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Lecture 19

CONTEMPORARY MOTIVATIONAL THEORIES

Following the Hawthorne studies, managers and researchers focused more attention on the importance of good human relations in motivating employee performance. Most motivation theorists are concerned with the ways in which management thinks about and treats employees.

Human Resources Model: Theories X and Y—Douglas McGregor's theory of motivation suggesting that managers have radically different beliefs about how best to use the human resources employed by a firm.

Theory X—theory of motivation holding that people are naturally irresponsible and uncooperative.

Theory Y—theory of motivation holding that people are naturally responsible, growth oriented, self-motivated, and interested in being productive.

McGregor Theory- X & Y

X-Type managers might:

Use punishment and threat to make people work. And will control activities of the work very closely.

Y-Type managers will identify the barriers which are causing problems for workers and try to eliminate those barriers.

In some situations, managers have to adopt X-type behavior and in some situations, they have to adopt Y-type behavior. Culturally, in societies, managers are moving towards Y-type behavior from X-type behavior.

Maslow's Hierarchy of Needs Model—Psychologist Abraham Maslow's theory of motivation proposing that people have several different needs that they attempt to satisfy in their work.

These needs are hierarchical in importance; lower-level needs must be met before a person will try to satisfy higher-level needs. Once a set of needs has been satisfied, it ceases to motivate behavior.

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Maslow's Hierarchy of Needs

Biological Needs

Biological needs are related to human body's survival. e.g. food, drink, air, sleep etc.

Safety Needs

Safety from: Cold, Heat, Sand, Storm, Earthquake, Animals, Enemies

Use of Hierarchy in Motivation

Biological needs can be fulfilled by:

- Giving salaries.
- Providing free or cheaper food to employees.
- Providing routine items at concessional prices.

Safety Needs

Organization can provide safety devices to employees. For instance:

- Helmet
- Glasses
- Gloves
- Special purpose shoes
- Medical Facilities
- Houses
- House rent
- Pick & drop service
- Insurance
- Pension plans
- Preventing people from accidents

Social Needs

Organizations encourage informal organizational activities.

These include:

- Combined lunch or dinner
- Sports
- Fun fair
- Musical Programs

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Self Esteem

It means worth of human beings.

These include:

- Designation of Individuals
- Status in the organization
- Recognition of employees in the organization

Self esteem has direct relationship with productivity. Various techniques can be used to make self esteem of employees high.

These can be:

- Finding titles for employees
- Recognition
- Awards
- Cash rewards
- Increment in the salary
- Promotion
- Raising status of employees

Self Actualization

Self actualization is the fullest utilization of one's potential.

These include:

- High Challenges
- High position in the organization

Criticism on Maslow's hierarchy theory

- It is possible that human needs may deviate from the order given by Maslow.
- There is a question mark whether needs finish after self actualization or not.

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Lecture 20

TWO-FACTOR THEORY OR HYGIENE THEORY

Frederick Herzberg's theory of motivation holding that job satisfaction depends on two types of factors, hygiene and motivation.

- Factors required to keep employees in the organization are called hygiene factors.
- Factors used to get high productivity from workers are called motivators.

Hygiene factors fall with the biological needs, safety needs and partially with social needs of Maslow's hierarchy theory. Motivators are almost similar to social needs, self-esteem needs and self-actualization needs of Maslow's hierarchy theory. Both factors should be present in the organization at the same time to get productivity from workers.

This theory suggests that managers should follow a two-step approach to enhancing motivation—first, ensure that hygiene factors (working conditions, policies) are acceptable, and then offer motivation factors such as recognition and added responsibility. Biological needs are related to human body's survival. E.g. food, drink, air, sleeps etc.

Expectancy Theory—theory of motivation holding that people are motivated to work toward rewards that they want and that they believe they have a reasonable chance of obtaining.
In this theory, a reward that is out of reach is likely to be undesirable even if it is intrinsically positive.

People in the organization are motivated with:

- Expectations about reward.
- Assurance of getting reward by doing a particular task.

Equity Theory—theory of motivation holding that people evaluate their treatment by employers relative to the treatment of others.
People derive a ratio of contribution to return from analyzing what they contribute to their jobs (inputs) and what they receive in return (outputs); they then compare their own ratios with those of other employees. The ratios do not have to be the same, only fair.

Equivalence in inputs and outcomes

Inputs of employees in an organization are:

- Level of education
- Skills
- Experience

- Reputation
- Hard work
- Connections

Outcomes of employees in an organization are:

- Salaries
- Designations
- Promotions
- Benefits
- Social Status
- Respect in the organization
- Opportunities

Individual will also compare his input/outcome with other individual's input/outcome.

How can Equity Theory be implemented?

Managers have to explain reasons for the difference of outcomes of employees in order to keep them motivated. People compare their rewards with the market as well.

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Lecture 21

STRATEGIES FOR ENHANCING JOB SATISFACTION AND MORALE

These strategies are ways to apply manager's knowledge of what provides job satisfaction and motivates workers.

Reinforcement/Behavior Modification Theory—theory that behavior can be encouraged or discouraged by means of rewards or punishments.
Most managers prefer giving rewards and placing positive value on performance to doling out punishment.

- To strengthen desired behavior at work place.
- To force the workers to adopt that behavior.
- There are two ways for reinforcement:
    - Positive reinforcement- means to encourage a particular behavior.
    - Negative reinforcement- means to discourage a particular behavior.

Human Relations—Interactions between employers and employees and their attitudes toward one another

Human Relations can be:

- Employee to employee
- Employee to employer

Purpose of human relations is to give a feeling of a family.

Management by Objectives—set of procedures involving both managers and subordinates in setting goals and evaluating progress.
Experts agree that motivation is the biggest advantage of MBO if it is used properly.

Participative Management and Empowerment—method of increasing job satisfaction by giving employees a voice in the management of their jobs and the company.
As an example, workers who no longer report product defects to supervisor but have the freedom to correct problems themselves, or even return defective products to the workers who are responsible for them, have been empowered to take greater responsibility for their own performance.

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Teamwork is not for every situation. Levi Strauss dismantled production teams in which faster workers became resentful of slower workers who reduced the group's total output, when teach member's pay was determined by the team's level of productivity.

Team Management—employees are given decision-making responsibility for certain narrow or broad activities.

JOB ENRICHMENT AND JOB REDESIGN

Job Enrichment Programs—method of increasing job satisfaction by adding one or more motivating factors to job activities.

Job rotation plans, for example, expand growth opportunities and the chance to learn new skills.

Job Redesign Programs—method of increasing job satisfaction by designing a more satisfactory fit between workers and their jobs.

Job redesign is usually implemented in one of three ways: through combining task, forming natural work groups, or establishing client relationships.

PSYCHOLOGICAL CONTRACTS IN ORGANIZATIONS

Set of expectations held by an employee concerning what he or she will contribute to an organization (referred to as contributions) and what the organization will in return provide the employee (referred to as inducements).
All organizations face the basic challenge of managing psychological contracts. The massive wave of downsizing and cutbacks that swept the U.S. economy in the 1980s and early 1990s has complicated that challenge. Because job permanence is less likely now, alternative inducements such as lavish benefits packages may be needed instead.

Managerial Styles and Leadership:

There are many valid styles of leadership. Most managers do not conform to anyone style, but under different circumstances, any given style or combination of styles may prove appropriate.

Leadership: A process of motivating others to work to meet specific objectives.

a. Managerial Styles: Pattern of behavior that a manager exhibits in dealing with subordinates.

i. **Autocratic Style:** Managerial style in which managers generally issue orders and expect them to be obeyed without question.

ii. **Democratic Style:** Managerial style in which managers generally ask for input from subordinates but retain final decision-making power.

iii. **Free-Rein Style**: Managerial style in which managers typically serve as advisers to subordinates who are allowed to make decisions.

iv. **The Contingency Approach to Leadership**: The contingency approach acknowledges that people in different cultures behave different and expect different things from their managers. Managers will be more effective when they adapt their styles to the contingencies of the situations they face.

v. **Contingency Approach**: Approach to managerial style holding that the appropriate behavior in any situation is dependent (contingent) on the unique elements of that situation.

MOTIVATION AND LEADERSHIP IN THE TWENTY-FIRST CENTURY

Changing Patterns of Motivation:

Today's employees want rewards that are often quite different from those valued by earlier generations.

- Money is no longer the prime motivator for most people, and because businesses cannot offer the same degree of job security that many workers want, motivation requires skillful attention from managers.

- One recent survey found that workers wanted flexible working hours (67 percent), casual dress (56 percent), unlimited Internet access (51 percent), opportunities to telecommute (43 percent), nap time (28 percent), massages and other perks. In another study of fathers, many men said they wanted more flexible working hours in order to spend more time with their families. Today's workers have a complex set of needs and their motivations are increasingly complex.

- The diversity inherent in today's workforce makes motivating behavior more complex.

Changing Patterns of Leadership:

1. Today's leaders are finding it necessary to change their own behavior as organizations become flatter and workers more empowered.
   The autocratic style is less acceptable and many managers are functions more as coaches than bosses.

2. Diversity is affecting leadership processes.
   Women, African Americans, and Hispanics are entering the managerial ranks in

increasing numbers, and they are more and more likely to be younger than some of the people they are leading.

3. Leaders must adopt more of a "network" mentality rather than a "hierarchical" one.

   New forms of organizational design may call for one person to be the leader on one project and a team member on another.

Modified Work Schedules

Work-Share Programs—method of increasing job satisfaction by allowing two or more people to share a single full-time job

Job sharing usually benefits both employees and employers, although job-sharing employees generally receive fewer benefits than full-time counterparts.

Flextime Programs and Alternative Workplace Strategies—method of increasing job satisfaction by allowing workers to adjust work schedules on a daily or weekly basis.
Flextime can include starting later and leaving later in the day, starting and leaving earlier, or choosing which 4, 5, or 6 days to work during the week while still completing 40 hours.

Telecommuting and Virtual Offices
Telecommuting—form of flextime that allows people to perform some or all of a job away from standard office settings.

Among salaried employees, the telecommuter workforce grew by 21/5 percent in 1994, to 7.6 million; the number of telecommuters now exceeds 25 million employees.
The key to telecommuting is technology—networked computers, fax machines, cellular phones, and overnight delivery services make it possible to work from home or while traveling.

Virtual office—redesigned conventional office space to accommodate jobs and schedules that are far less dependent on assigned spaces and personal apparatus.
Informal work carrels or nooks and open areas can be made available to every employee.

Advantages and Disadvantages of Modified Schedules and Alternative Workplaces

1. Employees benefit from more freedom in their professional and personal lives.

2. Employers benefit from higher levels of commitment and job satisfaction.

3. Flextime sometimes complicates coordination because people who need to work together are working different schedules.

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4. Telecommuting and virtual offices may not be for everyone. Those who can work best in these new environments tend to be disciplined self-starters who require little direct supervision during the day and are not uncomfortable working away from their managers and colleagues.

One other disadvantage is that it can be difficult for telecommuters to convince management that if they are not being supervised, they are still working, a perception based on the often erroneous assumption that “if you can see them, they are working.”

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Lecture 22

WHAT IS MARKETING?

Although you may be just beginning your classroom study of marketing, organizations like Microsoft and Coca-Cola have been trying to sell you things for many years. You have probably become accustomed to many marketing techniques—contests, advertisements, fascinating displays placed in strategic locations, price markdowns and giveaways. What you are about to learn is that marketing requires a lot of planning and implementation to develop a new product, set its price, get it to consumers, and convince them to buy it.

Marketing

As defined by the American Marketing Association:

"It is planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and organizational objectives."

However, in laymen's terms:

"Marketing is quite simply finding a need and filling it."

a. **Marketing: Providing Value and Satisfaction:**
Marketing plays an important role in society by helping people satisfy their needs and wants and by helping organizations decide what to produce.
   i. **Value** compares a product's **benefits** with its costs.
   ii. **Utility** is the value to the customer that is added by the marketer. In other words, utility is the ability of a product to satisfy a human want or need. There are four types of utility:

      1) **Time utility** is making the product available when the customer wants it.
      2) **Place utility** is making the product available where consumers want it.
      3) **Ownership utility** is the customer value created when someone takes ownership of a product. Marketers create possession utility by facilitating the transaction.
      4) **Form utility** refers to the characteristics of the product such as its shape, size, color, function, and style.

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b. **Marketing of Goods, Services, and Ideas:**
The influence of marketing permeates everyday life, applying to **goods**, **services**, and **ideas**. Marketing applies to tangible and intangible goods and include:

1) **Consumer Goods**—products purchased by consumers for personal use.
2) **Industrial Goods**—products purchased by companies to produce other products.
3) **Services**—intangible products, such as time, expertise, or an activity, that can be purchased.
4) **Ideas**—intangibles such as, MADD, Mothers against Drunk Driving.

c. **Relationship Marketing** emphasizes lasting relationships with customers and suppliers. Purchase incentives and customer loyalty programs are just some of the ways in which firms try to promote these relationships.

Lecture 23

Difference between Marketing and Selling

Marketing	Selling
Marketing starts before decision about production	Selling starts after decision about production
Marketing is a total system and selling is one of its parts	Selling is the transfer of ownership
Marketing is a long term process	Selling is a short term process

CLASSIFICATION OF PRODUCTS

There are two types of products

1: Consumer products

2: Industrial products

- Consumer products are consumed after certain uses. E.g. Tea, soap, toothpaste, shaving cream, cooking oil etc.
- Industrial products are used in industry. E.g. Raw material, machinery, chemicals, computer hardware and software.

Relationship Marketing

Developing a long term relationship with the customers, by making phone calls to the customers, sending gifts to customers etc.

Transactional Marketing

Transaction with the customer, it is a business strategy that focuses on single, "point of sale" transactions. The emphasis is on maximizing the efficiency and volume of individual sales rather than developing a relationship with the buyer.

FACTORS INFLUENCING THE MARKETING SYSTEM

- External Marketing Environmental Factors
- Internal Marketing Environmental Factors

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THE MARKETING ENVIRONMENT

The powerful forces of the external marketing environment heavily influence

Marketing programs by posing opportunities and threats

a. **Political and legal environment**: From taxes to regulations to laws, the political and legal environment has a profound impact on marketing. This is especially true for certain industries, such as telecommunications, automobiles, and tobacco.
b. **Social and cultural environment**: Trends in this arena, present enormous opportunities for companies those are both farsighted and flexible. Issues and changes include increasing diversity in the U.S., more single-parent families, a rapidly growing senior population, etc.
c. **Technological environment**: New technologies create new goods and services, but also make some existing products obsolete (witness the growing dominance of DVDs at Blockbuster). In recent years, the emergence of the Internet has had the greatest impact on marketing.
d. **Economic environment**: Inflation, interest rates, recession, and recovery-both in the U.S. and (to an increasing extent) abroad-have a dramatic influence on every element of the marketing mix.
e. **Competitive environment**: Creating a competitive advantage is a fundamental goal of marketing that can only be accomplished by carefully and continually monitoring every element of the competitive environment.
   The competitive environment drives many marketing decisions. By studying the competition, marketers determine how best to position their own products. Knowing the alternatives available to your customers, who your competitors are and what they offer is as vital to success as watching for the next big food or fashion craze or technological innovation. There are three specific types of competition:
   1. **Substitute product competition**: Products that are dissimilar from those of competitors, but can fulfill the same need (e.g. Television and computer games are very different from one another, but both fulfill the need for entertainment).
   2. **Brand competition**: Occurs between similar products (e.g. Zest bar soap and Irish Spring bar soap).
   3. **International competition**: matches the products of domestic marketers against those of foreign competitors (e.g. Neutrogena skin care products vs. L'Oreal skin care products, or Heineken vs. Budweiser).

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MARKETING MANAGER

A person who plans, executes and responsible for all marketing activities.

Role of Marketing Manager

- To identify the unsatisfied needs of the customers.
- To design the product.
- Product Development.
- Pricing Decisions.
- Product Distribution.
- Communication with the customers.
- Marketing Research.
- Appointment of staff in marketing department.

MARKETING PLAN

A written document which describes the overall marketing activities for a particular time period.

Components of marketing plan are:

- Executive Summary.
- Current market situation.
- Opportunity Analysis.
- Marketing objectives.
- Marketing Strategies.
- Projected income statement.
- Control.

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Lecture 24

THE MARKETING MIX

A firm's **marketing mix** (often called the four Ps) consists of **product**, **place** (or distribution), **price**, and **promotion**.

a. Product: The good, service, or idea that is marketed to fill consumer wants and needs. Improving existing products and developing new products are among the marketer's most important tasks.

i. **Product differentiation**: Creation of a product or product image that differs enough from existing products to attract consumers. Differentiation is a source of competitive advantage. Combinations of physical goods and services can also be sources of differentiation.

b. Pricing: Selecting the most appropriate price at which to sell a product. Lower prices generally lead to higher sales volume, while higher prices generally lead to higher profits per unit. Prices must support a variety of costs, such as the organization's operating, administrative, and research costs, and marketing cost like advertising and sales salaries

c. Place (distribution): Determining the most effective and efficient way to get products from producers to consumers. The distribution also involves choosing which channels of distribution are most appropriate.

d. Promotion: All of the activities a firm undertakes to communicate and promote its products to the target market. This is clearly the most visible element of the marketing mix.

TARGET MARKETING AND MARKET SEGMENTATION

A market contains all the customers or businesses that might be interested in a product and can pay for it.

Identifying Market Segments: Companies subdivide the market into **market segments**, homogeneous groups of customers within a market that are significantly different from one another. The goal of the **market segmentation** process is to group customers with similar characteristics, behavior and needs. These **target markets** can then be offered products that are priced, distributed, and promoted differently. Four factors marketers frequently use to identify market segments are:

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I. **Geographic** segmentation divides markets in certain areas such as regions, cities, counties, or neighborhoods to customize and sell products that meet the needs of specific markets**.**
II. **Demographics** use statistical analysis to subdivide the population according to characteristics such as age, gender, income, race, occupation, and ethnic group.
III. **Psychographics** is the analysis of people by psychological makeup, including activities, interests, opinions, and lifestyles (e.g. Fashion-conscious, thrill-seeking).
IV. **Behavioral** segmentation divides markets according to customers' knowledge of, attitude toward, use of, or response to products or their characteristics.

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Lecture 25

MARKETING RESEARCH

Market research is the process of systematic gathering, recording and analyzing of data about customers, competitors and the market. Market research can help create a business plan, launch a new product or service, fine tune existing products and services, expand into new markets etc. It can be used to determine which portion of the population will purchase the product/service, based on variables like age, gender, location and income level. It can be found out what market characteristics your target market has.

The purpose of market research is to help companies make better business decisions about the development and marketing of new products. Market research represents the voice of the consumers in the company

A list of questions that can be answered through market research:

- What is happening in the market? What are the trends? Who are the competitors?
- How do consumers talk about the products in the market?
- Which needs are important? Are the needs being met by current products?

A simple example of what market research can do for a business is the following.
At the Company Chevrolet they brought several disciplines together in a cross-functional team to develop a concept for a completely new Chevrolet. This team enabled the marketers to come up with an alternative concept, one that balanced 4 attributes: comfort and convenience, quality, styling, and performance. This was considered radical because comfort and convenience were not traditional Chevrolet values. However, market research demonstrated that consumers supported the alternative concept. As a result the new Chevrolet was a huge success in the market. [Burns 2001]

With market research you can get some kind of confirmation that there is a market for your idea, and that a successful launch and growth are possible.

Market research for business planning

Market research is discovering what people want, need, or believe. It can also involve discovering how they act. Once that research is complete it can be used to determine how to market your specific product. Whenever possible, try to reduce risks at the earliest possible stage. For example you could carry out market research early on and not wait until you are almost ready to enter the market. If early market research reveals that your business idea has real potential, you can use this information in planning the buildup of your business. [Ilar 1998]

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For starting up a business there are a few things should be found out through market research in order to know if your business is feasible. These are things like:

Market information

Market information is making known the prices of the different commodities in the market, the supply and the demand. Information about the markets can be obtained in several different varieties and formats. The most basic form of market information is the best quotation and last sale data, including the number of shares, with respect to a particular security at a given time. [Market research 2006]

Examples of market information questions are:

_ Who are the customers?
_ Where are they located and how can they be contacted?
_ What quantity and quality do they want?
_ What is the best time to sell?
_ What is the long-term or historical price data over a number of years?
_ What is the expected production in the country?
_ Is there more demand for one product or another? Etc.

Market Segmentation

Market segmentation is the division of the market or population into subgroups with similar motivations. Widely used bases for segmenting include geographic differences, personality differences, demographic differences, use of product differences, and psychographic differences.

Market Trends

The upward or downward movements of a market, during a period of time, the market size is more difficult to estimate if you are starting with something completely new. In this case, you will have to derive the figures from the number of potential customers or customer segments. [Ilar 1998]

But besides information about the target market you also need information about your competitor, your customers, products etc. A few techniques are:

Customer Analysis

_ Competitor analysis
_ Risk analysis
_ Product research

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MARKET RESEARCH PROCESS

This chapter introduces the steps involved in the market research process. It also provides you with a brief preview of each of the steps necessary to conduct a market research effort. As you can see in figure 1, the market research process has 4 basic steps. These steps include:

- Defining the research problem
- Establishing the research design
- Collecting and analyzing data
- Formulate findings

Meta-process model for Market research

Before these four steps are discussed it is important to make a few comments about these steps. First, although the list does strongly imply an orderly step-by-step process, it is rare that a research project follows these steps in the exact order that they are presented in the figure.

Market research is more of an interactive process whereby a researcher, by discovering something in a given step, may move backward in the process and begin again at another step [Market research 2006] Finding some new information while collecting data, may cause the researcher to establish different research objectives

In the following the different market research steps are described.

Defining the research problem

The step defining the research problem exists of 2 main steps: (1) formulating the problem and
(2) Establishing research objectives.

Defining the problem is the single most important step in the market research process. A clear statement of the problem is a key to a good research. A firm may spend hundreds or thousands of dollars doing market research, but if it has not correctly identified the problem, those dollars are wasted. In our case it is obvious that the problem here is setting up a business. But even if this is clear, you still need to know what exactly you need to know to make the new business a success and what specifically related to the product is difficult to find out. Problems that may be encountered are: it is unknown what potential markets there are, what customer groups are interested in your products, who the competitors are? After formulating your problem, you need to formulate your research questions. What questions need to be answered and which possible sub-questions do you have.

With the problem or opportunity defined, the next step is to set objectives for your market research operations. Research objectives, related to and determined by the problem

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formulation, are set so that when achieved they provide the necessary information to solve the problem. A good way of setting research objectives is to ask,

“What information is needed in order to solve the problem?" Your objective might be to explore the nature of a problem so you may further define it, or perhaps it is to determine how many people will buy your product packaged in a certain way and offered at a certain price. Your objective might even be to test possible cause and effect relationships. For example, if you lower your price, how much will it increase your sales volume? And what impact will it have on your profit?

Clear objectives can lead to clear results. An example of this is a situation at Camaro/Firebird. Auto manufacturers are sometimes criticized for creating expensive vehicles with unwanted features and technologies that do not meet the needs of the target market. To avoid this trap engineering team of this company turned to market research to evaluate how changes in performance and fuel economy would affect sales volume and customer satisfaction. It turned out that customers were willing to pay more for greater performance if the car also offered simultaneous increases in fuel economy. [Burns 2001]

The problem description, the research question, sub questions and the research objectives are part of an overall document problem description.

After describing and formulating the problem and the objectives, the next step is to prepare a detailed and realistic time frame to complete all steps of the market research process. If your business operates in cycles, establish target dates that will allow the best accessibility to your market. For example, a holiday greeting card business may want to conduct research before or around the holiday season buying period, when their customers are most likely to be thinking about their purchases. [Market research 2006]

Selecting and establishing research design

The step selecting and establishing research design consists of 3 main steps:
(1) Select the research design, (2) identify information types and sources and (3) determine and design research instrument.

.

Collecting and analyzing data

Data collection is usually done by trained interviewers who are employed by field data collection companies to collect primary data. A choice has to be made between collecting the data yourself or hiring an external office who are specialized in interviews. Data analysis is needed to give the raw data any meaning. The first step in analyzing the data is cleaning the data. This is the process of checking the raw data to verify that the data has been correctly entered into the files from the data collection form. After that the data have to be coded. This is the process of assigning all response categories a numerical value.

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For example males = 1, females = 2. After that the data can be tabulated, which refers to the actual counting of the number of observations that fall into each possible response category.

Formulate findings

After analyzing the data you can make your findings based on this data. Once the findings about the target market, competition and the environment are finished, present it in an organized manner to the decision makers of the business. In this case report the findings in the market analysis section of your business plan. In summary, the resulting data were created to help guide your business decisions, so it needs to be readily accessible to the decision makers.

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Lecture 26

CONSUMER BEHAVIOR & MARKETING RESEARCH

Marketing Research is the process of gathering data about marketing issues and transforming that raw data into meaningful information that can improve decisions and reduce risks. Market research can help with nearly every phase of marketing from setting goals for market share of developing new products for monitoring the program's effectiveness. It is also important to monitor the competition, track industry trends, and measure customer satisfaction. Marketing

Research can occur at any point in the product's existence.

The Research Process

- Study the current situation
- Select a research method
- Collect data
- Secondary data are already available from previous research.
- Primary data is newly performed research.
- Analyze the data
- Prepare a report

Research Methods

Observation: Market Research technique that involves simply watching and recording consumer behavior. Probably the oldest form of market research, it has been brought up to date with such tools as electronic supermarket scanners that allow managers to see what is selling without having to check shelves or inventory.

Survey-Market Research: technique using a questionnaire that is either mailed to individuals or used as the basis of interviews. Surveys can be expensive and may vary widely in accuracy; it is also difficult to find representative groups of respondents.

Focus Group-Market Research: technique in which a small group of people is gathered, presented with an issue, and asked to discuss it in depth. At its best, it allows exploration of complex issues and can produce creative solutions. Its small size (6 to 15 people is best) means it may not represent the larger market well. Focus groups are often used as a first step, leading to some other form of research.

Experimentation: market research technique that attempts to compare the responses of the same or similar people under different circumstances. This method is very expensive but

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can supply answers to questions that surveys cannot address, by allowing customers to sample new products, for instance.

UNDERSTANDING CONSUMER BEHAVIOR

Marketers study consumer buying behavior to learn what makes individuals buy one product instead of another. Consumer markets consist of individuals or households that purchase goods and services for personal use. Issues to be considered are the differences between organizational and consumer markets, the buyer's decision process, and the factors that affect that decision process.

Influences on Consumer Behavior

Consumer behavior is essentially the study of why consumers purchase and consume products. Four key factors influence consumer behavior:

I. **Psychological**: Motivations, perceptions, ability to learn, attitudes
II. **Personal**: Lifestyle, personality, economic status
III. **Social**: Family, opinion leaders, reference groups (e.g. Friends, associates)
IV. **Cultural**: Culture, subculture, social class

The Consumer Buying Process

One way to look at the psychology of buying is to understand the decision-making process people go through when making a purchase. Deciding what to buy is a problem-solving process. Sometimes consumers become

I. **Problem/Need recognition**: The consumer buying process begins with recognizing a problem or need. Needs often arise when our personal circumstances change, creating windows of opportunity for marketers (e.g. Getting married, entering the workforce, etc.).

II. **Information seeking**: Sources of information can range from personal sources, to market sources, to public sources, to experience. Depending on the product, information seeking ranges from superficial (e.g. "Where is the soft drink machine?") to extensive (e.g. Library research).

III. **Evaluation of alternatives**: This step is essentially a matching process: How do the attributes of the products you are considering match with your needs and wants? Here, too, the evaluation process can range from brief to protract.

IV. **Purchase decision**: Purchase decisions are typically based on a combination of rational and emotional motives. **Rational motives** are based on logical evaluation of product attributes (e.g. Cost, quality, usefulness). **Emotional motives** are based on non-objective factors (e.g. "All my friends have 4-inch high heel shoes!").

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V. **Post-purchase evaluation**: This includes everything that happens after the sale. Satisfied customers are likely to repurchase products they have used and enjoyed, while unhappy customers are not only unlikely to repurchase, but also are prone to broadcast their negative experience to other potential consumers.

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Lecture 27

PRODUCT, TYPES OF PRODUCTS & STEPS FOR PRODUCT DEVELOPMENT

Product

A product is anything that can be offered for sale by an organization and in return it can earn profits for the firm. Every product has some associated benefits based on the features of that specified product. Every product has a set of identified features.

Forms of Products

General forms of products can be:

- **Tangible**

All the products that can touch physically or smelled or felt with fingertips are called tangible ones.

- **Intangible**

All the products that cannot be touched physically are called intangible ones.

E.g., if you observe a bill board of any juice product, product presented in the bill board is untouchable as you can't feel is with your finger or smell it but original product will be tangible as you can taste it, feel it or smell it.

CLASSIFICATION OF PRODUCTS

Products are classified as under:

Consumer Products

Products that are used by consumers as are available in finished & consumable forms.

Industrial Products

Products that are used to prepare other products are called as industrial products.

CATEGORIES OF CONSUMER GOODS

Consumer goods can be further divided as under:

- **Convenience goods**
  - Goods which are convenient to buy for the customer.
  - Customer has complete awareness of the product.
  - Customer buys these products frequently.
  - Goods available at near places from the customers
- **Shopping Goods**
  - Customers move farther to acquire these goods
  - Customers do have search for getting these goods
  - Usually quality is not standardized for these goods
  - Prices are also not standardized for these goods
- **Specialty goods**
  - For these products, customers have strong brand loyalty.
  - Customers are very quality, status & standard conscious for these products.

CATEGORIES OF INDUSTRIAL GOODS

Industrial goods have following categories

- **Capital Items**
  - These are capital goods.
  - These are long lived and expensive goods.
  - Sometimes copyrights are purchased.
- **Expense Items**
  - These can be:
    - Raw Material
    - Some utility items
      - Oil
      - Grease
    - Some tools used in operations

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PRODUCT MIX

The sum of all products offered by a company for sale.

- Its **width wise** expansion of the products of any companies.
- Production of cars, trucks motorcycle etc. & other vehicles produced by the same company is the examples of product mix.

PRODUCT LINE

A set of related products manufactured by a single organization is called product line.

- Depth wise expansion of any company is called product line
- Products which are similar to each other .e.g. if a company is producing TV sets, like black & white, medium sized, large size & small size TV, then it will be called as product lines of the company.

STEPS FOR PRODUCT DEVELOPMENT

Following are the important steps any product development process:

- Recognition of unsatisfied needs.
- Idea Generation.
- Idea Screening.
- Prototype
  - Physical shape of the product.
- Product Testing
  - Tests are of two types:
    - Laboratory Test.
    - Market Test or Test Marketing.
      - Product is sold on trial basis.
- Commercialization
  - Product is sold on commercial basis. This concept is also called **Mass marketing.**

Lecture 28

PRODUCT LIFE CYCLE, BRANDING, PACKAGING & LABELING

The product is the core concern of any firm. All the efforts from raw material to finished form are related to the product. Business firm spends their every resource to develop, present & maintain product throughout their business operation. Normally products have following four stages:

Introduction stage

A stage when a new product is introduced in the market after continuous R & D, & all developmental processes. At this stage, there are only one or few manufacturers in the market. Since less producers are there, so almost no competitions. Since sales are less so profits are also less.

At this stage product appears as "Question Mark" which shows product may be successful in the market & may not be.

Growth Stage

At this stage, customers' awareness develops & people start knowing more & more about new product in the market so sale of the product will increase due to:

- Repeated orders of the old customers.
- New customers will also enter the market.

At this stage, product is called as "Star" as it generates good profits for the firm

Maturity Stage

Since at this stage, people become more and more aware with the new product in the market so here comes the time when not only product become stable but people also start recognizing company with the reference of that particular product. Here product gets "share of Mind" among the targeted markets. At this stage product have:

- Highest level of sales in the market because of awareness about the product.
- More sellers will also enter in the market.
- Completion become very high

At this stage, product called as "Cash Cow" as now profit margins may be less than growth stage but product gain relatively more market share

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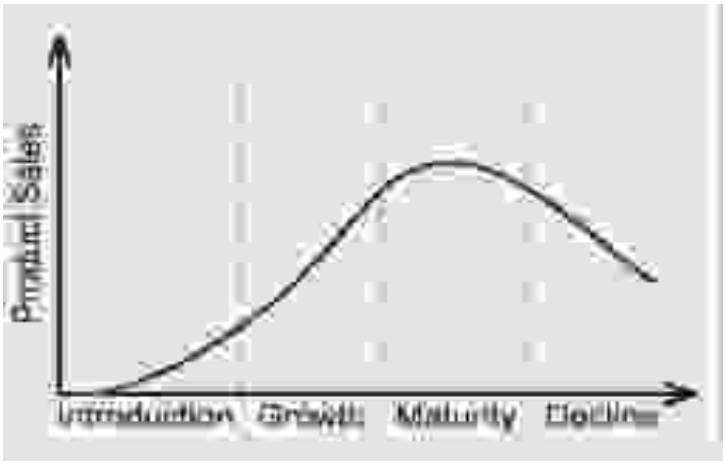
Decline Stage

This the last stage of any product. Product loss market share as well as profits for the firm. At this stage, product will disappear from the market.

Following important steps become very necessary for the firm to be taken in order to bring product back in market:

- More & more D & R & innovation in order to add more feature in the product
- Searching of new target markets for the product
- Evolution of new co-product

At this stage product called as "Dog" as production & development costs are more & more but no profits at all.



USE OF PRODUCT LIFE CYCLE IN DECISION MAKING PROCESS

Introduction Stage

- Marketers can dictate more of their policies.
- At this stage, customers of the product are venturesome (Who like to try new ideas).
- Marketers can keep the prices high because, Customer can afford to spend more money on a new product.
- There will not be much profit at this stage.

- **Growth Stage**
  - Marketers will earn more profit due to:
    - Small number of manufacturers
    - Less Competition
    - High Sales
- **Maturity stage**
  - Marketers will:
    - Reduce the price due to more competition.
    - Spend money on research and development.
    - Spend money to promote the brand name of the product.
  - Marketers will also revise their marketing strategies. i.e. They will find new segments of the market for their product.
  - Per unit profit might reduce at this stage.
- **Decline Stage**
  - Marketers should sell the products to selective customers.
  - At this stage, marketers will introduce innovations in the product to keep their sales high.

BRANDS

Brand is a symbol, a sign, a type of writing, a color, a design or a combination of all these things to identify goods or services of one seller or group of sellers to differentiate them from those of competitors.

BRANDING PROCESS

Branding is a process in which any identification is suggested for the product.

BRAND EQUITY

Brand Equity is the loyalty of the customers attached to the product.

BRAND AWARENESS

Brand awareness is the extent to which a customer knows or recalls the brand of the product.

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TYPES OF BRAND NAMES

National Brands

If a same brand is sold throughout the country then its called as National Brand.

License Brands

Seller buys the right to sell that brand in the market.

Private Brands

Manufacturers use the brand of some retailer while manufacturing the product.

PACKAGING AND LABELING

- **Packaging**
  - Dress of the product.
  - Designing and making of the wrapper of the product.
- **Labeling**

Part of package containing name, contents and name of manufacturer of the product is called a label.

Lecture 29

PRICING & DISTRIBUTION MIX

Pricing

Price is the value which a seller receives in exchange of a good or a service.

It is a process of determining what a company will receive in exchange for its products.

Objectives of Pricing

- Maximization of profit.
- Increasing market share.
- Psychological advantage.
- Get rid of stock.

Cost Based Pricing

In cost based pricing cost of product is considered and amount of profit is added to it.

Breakeven Analysis

Breakeven analysis tells us that at what point the organization will be at no profit no loss point.

In order to calculate breakeven point, we need to consider:

- Fixed cost
- Variable cost

Fixed cost will remain fixed regardless of number of units produced.

Variable cost varies with the number of units produced.

Total Cost = Fixed cost + Variable cost

Concept of breakeven analysis is used in cost based pricing.

Pricing of a new Product

There are various forms of pricing to determine the price of the product

- Price Skimming
- Penetrating Pricing
- Fixed Price
- Dynamic Price

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Price Skimming

It is a strategy through which a product is introduced in the market with higher price than the market expectations.

Advantages of price skimming

- If there is any mistake in calculation of cost, price skimming strategy will absorb that mistake due to initial higher price.
- Sometimes, customers value the quality of the product with its price.

Penetrating Pricing

Penetrating price is the initial lower price than the market expectations.

Advantages of Penetrating Pricing

- A larger market share can be captured through this pricing strategy.
- Pricing depends upon the objectives of the organization.

Fixed Price Vs. Dynamic Price

Fixed price held constant for a specified period of time.

In the fixed pricing method, we do not consider:

- Type of customer
- Type of community
- Location of the sale point

In dynamic pricing, price will vary from:

- Customer to customer
- Market to market

Factors to be considered while setting International Pricing

- Currency
- Exchange rate
- Taxes by the Government
- Tariff
- Freight
- Insurance

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THE DISTRIBUTION MIX

Getting products from producer to consumer is the next element of the marketing mix, known as **distribution**, or **place**. An organized network of firms used to move goods and services from producers to customers is called a **distribution channel**, or marketing channel. A company's decisions about which channels should be used, the **distribution mix**, plays a major role in the firm's success.

▪ Intermediaries and Distribution Channels

For most of your purchases, you rely on **market intermediaries,** also known as middlemen, who channel goods and services from producer to end-users.

- **Wholesaler-intermediary** those who sells products to other businesses for resale to final consumers.
- **Retailer-intermediary those** who sells products directly to consumers.

A firm's choice between using an independent intermediary and employing its own distribution network and sales force depends on three factors:

1) The company's target markets
2) The nature of its products
3) The costs of maintaining distribution and sales networks

The number and type of market intermediaries involved in the channel of distribution depend on the kind of product and the marketing practices of a particular industry. There are important differences among the channels of distribution for **consumer products** and **business products**.

Distribution of Consumer Products

Channels for **consumer goods** are usually the most complex, although they can be categorized. Typical channels include:

1. **Channel 1: Direct Distribution of Consumer Products**, ex. Avon, Fuller Brush, Tupperware
2. **Channel 2: Retail Distribution of Consumer Products**, ex. Levi's, Goodyear, PeaPod.com
3. **Channel 3: Wholesale Distribution of Consumer Products**, ex. combination convenience store/gas station
4. **Channel 4: Distribution through Sales Agents or Brokers**, ex. food brokers, travel agents, realtors

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ii. **The Pros and Cons of Non-direct Distribution**
Non-direct distribution becomes higher priced for end users because each distribution link charges a markup or commission.
1. Intermediaries can save consumers both time and money by providing added value.

iii. **Channel 5: Distribution by Agents to Consumers and Businesses**, ex. some travel agencies. Channel 5 differs from the other channels in two ways: (1) it includes an agent as the sole intermediary (2) it distributes to both consumers and business customers

Distribution of Business Products

Industrial Distribution-network of channel members involved in the flow of manufactured goods to industrial customers.

i. **Channel 6: Direct Distribution of Business Products**, ex. Dell Computers
ii. **Channel 7: Wholesale Distribution of Industrial Products**, ex. distribution of office equipment and accessories
iii. **Channel 8: Wholesale Distribution to Business Retailers**, ex. Staples, Office Depot, Office Max

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Lecture 30

WHOLESALING, RETAILING & PHYSICAL DISTRIBUTION

Agents and Broker

Independent intermediary who usually represents many manufacturers and sells to wholesalers or retailers. Provides a wide range of services including shelf and display merchandising and advertising layout. Agents and brokers never actually own the merchandise they sell.

WHOLESALING

Wholesalers sell primarily to retailers, other wholesalers, and industrial or institutional users. Wholesalers provide a variety of services to customers who are buying products for resale or business use. The types of wholesale intermediaries are:

- **Merchant wholesalers**

—independent wholesaler who takes legal possession of goods produced by a variety of manufacturers and then resells them to other businesses. Merchant wholesalers also provide storage and deliver; the merchant wholesaling industry employs 6 million people in the United States.

i. **Full-Service Merchant Wholesaler**--merchant wholesaler who provides credit, marketing, and merchandising services in addition to traditional buying and selling services. Approximately 80 percent of all merchant wholesalers are full-service merchant wholesalers.
ii. **Limited-Service Merchant Wholesaler**—merchant wholesaler who provides a limited range of services, sometimes only storage.
iii. **Drop Shipper**—limited-function merchant wholesaler who receives customer orders, negotiates with producers, takes title to goods, and arranges for shipment to customers.
iv. **Rack jobbers**—limited-function merchant wholesaler who sets up displays in retail outlets, stock inventory, and mark prices on merchandise displayed in a certain area of a store.

DISTRIBUTION STRATEGIES

A distribution strategy is a company's overall plan for moving products to buyers and it plays a major role in the company's success. One part of that strategy, choosing the appropriate market coverage, depends primarily on the type of product, as convenience goods require different strategies from organizational supplies.

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i. **Intensive distribution**, where the market is saturated with a product, almost certainly needs a long distribution chain. Normally used for low-cost consumer goods with widespread appeal such as candy and magazines.
ii. **Exclusive distribution** severely limits the number of outlets for the item in a particular geographic area and is most often used for expensive specialty or technical products, such as Jaguar automobiles and Rolex watches.
iii. **Selective distribution** uses a limited number of outlets and might work better for shipping goods that a buyer is likely to want to compare for features and prices. Examples are fashions and appliances.

DISTRIBUTION CONFLICTS

- **Channel conflict** can occur when one channel member places its own success above the success of the entire channel, or when the members of a distribution channel disagree over the roles they should play or the rewards they should receive.
- **Channel Leadership** can occur when a channel member who is most powerful in determining the roles and rewards of other members. That member is called the Channel Captain. Power may come from the desirability of a producer's product, or from the large sales volume generated by a wholesaler or retailer.

RETAILING

Retailers sell to individuals who buy products for ultimate consumption and are a visible element in the distribution chain. Retailers represent the end of the distribution channel, making the sale of goods or services to final consumers. Today's retail stores include department stores, discount stores, warehouse clubs, hypermarkets, factory outlets, category killers, supermarkets, convenience stores, and catalog stores. Retailers save consumers time and money.

Types of Retailer Outlets

i. **Product Line Retailer**-retailer featuring broad product lines.
   1. **Department Store**—large product line retailer characterized by organization into specialized departments.
   2. **Supermarket**—large product line retailer offering a variety of food and food-related items in specialized departments. Ex., Safeway, Kroger, etc.
   3. **Hypermarket**—very large product line retailer carrying a wide variety of unrelated products.
   4. **Specialty Stores**—carry only a particular type of good, but an extensive selection of brands, styles, sizes, models, and

prices within each line stocked such as children's clothing, books, or sporting goods.

5. **Category killers** are superstores such as Toys R Us or Office Depot that dominate a market by stocking every conceivable variety of a particular line of merchandise.
6. **Scrambled merchandising**—retail practice of carrying any product that is expected to sell well regardless of a store's original product offering

ii. **Bargain Retailer**—retailer carrying a wide range of products at bargain prices.

1. **Discount House**—bargain retailer that generates large sales volume by offering goods at substantial price reductions. K-Mart, Wal-mart
2. **Off-Price Store**—bargain retailer that buys excess inventories from high-quality manufacturers and sells them at discounted prices. Marshall's is one of the most successful.
3. **Catalog Showroom**—bargain retailer in which customers place orders for catalog items to be picked up at on-premises warehouses.
4. **Factory Outlet**—bargain retailer owned by the manufacturer whose products it sells.
5. **Warehouse Club** (or Wholesale Club) —bargain retailer offering large discounts on brand-name merchandise to customers who have paid annual membership fees. Ex., Price Club, which merged with rival Costco.
6. **Convenience Store**—retail store offering easy accessibility, extended hours, and fast service. Ex. 7-Eleven and Circle K.

PHYSICAL DISTRIBUTION

Physical distribution encompasses all activities required to move finished products from a producer to the consumer. It is a complex strategic activity with many trade-offs that affect the organization and profits.

Technology used in physical distribution systems today includes satellite navigation and communication, robots, machine vision; voice input computers, on-board computer logbooks, and planning software that uses artificial intelligence.

The overriding objective of all physical distribution systems should be to achieve a competitive level of customer service standards at the lowest total cost. Producers must be able to analyze whether it is worth it to deliver a product in three days instead of five, if doing so reduces the cost of an item. The goal is to optimize the total cost of achieving the

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desired level of service by analyzing each step in the process and its relation to the other steps.

Transportation Operations

i. Major transportation modes are:

1. **Trucks** are most frequently used and offer door-to-door delivery and use of public highways, but are unable to carry all types of cargo.
2. **Railroads** are able to carry heavier and more diversified cargo, but are unable to deliver directly to the customer.
3. **Water carriers**—Boats are the cheapest form of transport, especially for bulk items, but service is slow and infrequent, and delivery is restricted.
4. **Air transport** is the fastest means of moving goods, but it doesn't go everywhere, it can carry only certain types of cargo, and is unreliable and expensive.
5. **Pipelines**, although expensive to build, are extremely economical to operate and maintain.

ii. Changes in Transportation Operations

1. **Inter-modal Transportation**: combined use of several different modes of transportation.
2. **Containerization**: uses of standardized heavy-duty containers in which many items are sealed at points of shipment and opened only at final destination.
3. **Physical Distribution and E-Customer Satisfaction**: New e-commerce companies need to focus not only on sales but also on after-sale distribution in order to avoid customer dissatisfaction that discourages repeat sales. **Order Fulfillment and E-Customer Satisfaction**: Order fulfillment begins when the sale is made: It ends with getting the product, in good condition and on time, to the customer for each sales transaction.

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Lecture 31

PROMOTION & ADVERTISEMENT

PROMOTION

The ultimate goal of a promotion is to increase sales. Other goals include communicating information, positioning a product, adding value, and controlling sales volume. In deciding on the appropriate promotional mix, marketers must consider the good or service being offered, characteristics of the target audience and the buyer's decision process, and the promotional mix budget.

Promotional Objectives

Promotion experts recognize that not all objectives are sales objectives. Some communications objectives use an indirect approach to make an audience aware of a new product or change a company's negative image. In addition to increasing sales, promotion can have four other objectives.

Communicating Information
Information can advise customers about a product's existence or about its features.

Creating Awareness
Through providing information, customers become aware with the product available in the market.

Comparison
After awareness, customers, make comparisons among the available products in the market.

Buying decision
Last step is the buying decision after which customers finally acquire the products while paying due costs.

- **Promotional Strategies**

i. **A push strategy** is a promotional approach designed to motivate wholesalers and retailers to push a producer's products to end users.
ii. **A pull strategy** is a promotional approach that stimulates consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.
iii. Many firms use combinations of these two very different strategies.

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- **Promotional Mix**

Marketers use four types of promotional tools: advertising, personal selling, sales promotions, and publicity and public relations. Market-related factors influence the promotion mix.

The best combination of promotional tools will depend on many factors, such as:

i. The nature of the product
ii. The Target Audience
iii. Promotion and the Buyer Decision Process. This is the five-step process outlined in Chapter 10. Marketers match promotion efforts with different stages of the buying decision process.
iv. The Promotional Mix Budget. The combined costs of personal selling, advertising, sales promotion, and public relations must fall within the budgeted amount and be balanced to have the desired effects on attitudes and purchasing decisions.

ADVERTISING PROMOTION

Promotional tool consisting of paid, non-personal communication used by an identified sponsor to inform an audience about a product. The average U.S. resident is exposed to roughly 250 ads every day through a variety of media—including floor ads. All forms of advertising have three objectives: to create product awareness, to create and maintain the image of a product, and to stimulate consumer demand. It not only determines what we buy, but it shapes our view of the world.

Advertising

1) The best form of promotion for reaching mass audiences quickly at a low per-person cost.
2) Gives the organization the greatest control over the message.
3) Promotes goods, services, or ideas, using a full range of creative approaches and media to convey your message.
4) Must conform to the law, as well as the ethical and moral standards of the medium and trade associations.

ADVERTISING STRATEGIES

The advertising strategies used for a product most often depend on which stage of the product life cycle the product is in. During a product's growth and maturity stages, marketers may choose one of three common approaches:

i. **Persuasive Advertising**—advertising strategy that tries to influence consumers to buy one company's products instead of those of its rivals.
ii. **Comparative Advertising**—advertising strategy that directly compares two or more products.
iii. **Reminder Advertising**—advertising strategy that tries to keep a product's name in the consumer's mind.

ADVERTISING MEDIA

Variety of communication devices for carrying a seller's message to potential customers:

i. **Television** sometimes leads viewers to confuse commercials because of their brevity and their great number.
ii. **Newspapers**—the most widely used medium, accounting for about 20 percent of all advertising expenditures.
iii. **Direct Mail**—about 18 percent of all ad spending. Direct mail has the largest advance costs of any technique but the highest cost-effectiveness.
iv. **Radio**-8 percent of all advertising outlays. Radio ads are quite inexpensive but easy for consumers to ignore.
v. **Magazines**—roughly 5 percent of all advertising. Huge variety of magazines makes for a high level of ready market segmentation.
vi. **Outdoor Advertising**—about 1 percent of all advertising. Billboards, signs, ads on buses, taxis, stadiums, etc. are inexpensive and have high repeat exposure. It's growing faster than newspapers, magazines, and television and offers animation and changing images.
vii. **The Internet**—Still in its infancy but offers high potential, particularly for targeted advertising.

The Media Mix

A combination of advertising media chosen to advertise a company's products, Determinants of the Media Mix include:

- The characteristics of the target audience and the types of media that will reach it are determined.
- The choice of media is also determined by what it is expected to do.

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ADVERTISING AGENCY

An independent company that provides some or all of a client firm's advertising needs.

Preparing the Campaign with an Advertising Agency

Advertising Campaign — arrangement of ads in selected media to reach targeted audiences. It:

i. Identify the target audience
ii. Establish the advertising budget
iii. Define the objectives of the advertising messages
iv. Create the advertising messages
v. Select the appropriate media
vi. Evaluate advertising effectiveness

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Lecture 32

PERSONAL SELLING

PERSONAL SELLING

"A promotional tool in which a salesperson communicates one-on-one with potential customers"

- It is the most expensive form of promotion per contact. Most companies spend twice as much on personal selling as on all other marketing activities combined. Expenses include sales people's compensation and overhead, usually travel, food, lodging. The cost of a single sales call has been estimated at about $300.

- Sales force automation and new technologies are relieving salespeople of nonproductive tasks, making the time they spend with customers more efficient and profitable.

Personal Selling Situations:

i. **Retail Selling**: Personal selling situation in which products are sold for buyers' personal or household use.

ii. **Industrial Selling**: Personal selling situation in which products are sold to businesses, either for manufacturing other products or for resale.

iii. **Pharmaceutical products:** Sales persons communicate with doctors & products are presented to the doctors & in return doctors recommend these products to the patients as most of the specialized medicines are not allowed to be advertised directly.

Preparing the Campaign with an Advertising Agency

It includes:

i**. Identify the target audience**

a. Education Class
b. Income Class
c. Area (Rural or urban)
d. Age
e. Social Class

ii. **Establish the advertising budget**

a. Percentage of expected sales
b. Considering our marketing objectives
c. Considering the competitors

iii. **Define the objectives of the advertising messages**

a. Are we going to introduce new product
b. Are we going to advertise price change impact?
c. Are we going to launch new campaigns in response to our competitor's campaigns?

iv. Create the advertising messages

a. Include all color selections, images, Cartons & illustrations
b. Selection of language
c. Selection of appropriate words

v. Select the appropriate media

Media selection is very important for every advertising message. E.g.

a. Radio for agricultural products
b. TV for consumer products
c. If company's introduction & contents required then can be print media as good selection

vi. Evaluate advertising effectiveness

a. Our message has changed customer's buying decision or not?
b. We have found desired image or not?
c. Our meaning well communicated or not?

Advertising Researchers

It is always done in response to all advertising campaigns in order to know the overall impact of the advising activities. Advertising researches bring answer for all the above mentioned aspects & through these companies can know where the change is required either in your message, your budget, your media selection or etc.

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Lecture 33

PERSONAL SELLING

PERSONAL SELLING TASKS

a. Booking of orders

Consulting the customers & get their orders booked for specified time period.

b. Processing of orders

Personal selling task in which salespeople receive orders and see to their handling and delivery

c. Creative Selling

Personal selling task, in which salespeople try to persuade buyers to buyers to purchase products by providing information about their benefits, salesperson delivers creative messages, adopts creative ways of pursuing the customers and invents creative ideas by his experience of going to the market.

d. Missionary Selling

To sell products by helping the buyer. Salesman provides voluntary service to the buyer and tries to put the order.

Tasks of Sales Manager

He has to define the sales objectives to

- To increase the sales
- To control the sales

- **Organization of team**

- The team performs the tasks of implementing all the decisions relevant to sales. Sales manager chooses the persons for this team. He conducts the tests or interview of the people and selects the right persons for the team.

- **Implementation of those plans**

- In this stage sales team implements all the plans made by the sales manager, defines quotas and regions of the sales persons individually.

- **Territory Management**

Sales Manger defines the route plan of sales persons in this stage

PERSONAL SELLING PROCESS

Prospecting and Qualifying

Prospecting is the process of identifying potential customers; qualifying identifies those who have the authority to buy and the ability to pay.
It includes

a. Location of the industry
b. To know about the decision maker of the organization
c. Size of the order
d. Mode of Payment
e. Past practices of the organization
f. Current Problems

Techniques for prospecting

a. **Snowball Technique**
   To ask a satisfied customer, about more customers to sell the product

b. **Cold Conversing Technique**
   Knocking every body's door

Features of the prospective buyer

a. Age of the person
b. Interest of the buyer
c. Preferences of the buyer

APPROACHING THE CUSTOMERS

Getting appointment from the customer

Advantages of the appointment

- Proper hearing
- Customer will get the feeling that his time is being respected

Disadvantages of the appointment

- Customer might say no
- Salesperson might not be able to reach in time

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Without getting appointment from the customer

Advantages of not getting the appointment

- Time is in control of salesperson
- Salesperson does not have fear of getting no
-

Disadvantages of not getting the appointment

- Customer might feel that person is not an organized person

Barriers

Sales person might face some barriers in approaching the customer

These barriers can be:

- Security guard
- Receptionist
- Junior Officer

Techniques to handle barrier

- The salesperson can handle the barriers by:
- Requesting to the security guard or receptionist
- Using the name of the organization
- Giving small gifts from the company in order to go in
.

Presenting and Demonstrating

A full explanation of the product, its features, and its uses, linking its benefits to the prospect's needs. Salesperson might have all the necessary things before starting the presentation like brochures, calculators, pen and charts etc.

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Lecture 34

SALES PROMOTION

SALES PROMOTION

Short-term promotional activity designed to stimulate consumer buying or cooperation from distributors and sales agents.

How to start Sales Presentation

Presentation Stage

After approaching the buyer sales person reviews the situation.
It includes:

- Type of Furniture
- Wall hanging
- Type of curtains
- Personal Taste

All these things help the sales person to start and process the conversation and he can develop the image of the taste and likings of the buyer by the environment and surroundings.

How to start the conversation

- Ask a question n order to seek the undivided attention of the buyer.
- In case of appointment direct conversation may be started.
- Avoid unpleasant event to start the discussion.

a. Interest Stage:
Sales person will try to create interest of the customer in the product.
Interest of the customer can be:

- Price
- After Sales Services
- Guarantee and Warrantee

b. Objection Stage:
In this stage sales person will try to create desire in the customer to buy the product. Customer will start raising the objections or the questions. If the buyer starts to take the interest in asking the questions about the product, it means salesperson has convinced him in buying. Sales person will handle the questions raised by the buyer.

c. Closing stage:
In this stage the order is booked and agreement is signed by the seller and buyer.

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d. Follow up stage:

In this stage the order is fulfilled and goods are being distributed according to the agreement.

All the stages of Attention, Interest, Desire and Act (AIDA) have been covered in this way.

Skeptic Customers

It refers to the doubtful behavior of the customer because of deception from any seller in the past. The salesperson should try to understand the problems of the customers sympathetically.

Innovations in Sales

Tele Marketing-Tele Marketing helps to receive quicker response and avoid long distances. Extensively used method all over the world now, including Pakistan as well.

Techniques for Sales promotion

- **Arrangement for a contest**

  Customers, distributors, and sales reps may all be persuaded to increase sales by means of contests.
- **Tradeshows**

  Trade show exhibits to distributing free samples and publishing promotional booklets.
- **Point-of-purchase also called Point-of-Sales**

  Point of purchase (POP) or Point of sales (POS) displays is devices used to show a product in a way that stimulates immediate sales. It may be an end-of-aisle display in a supermarket or the computerized kitchen design systems for cabinets in building-supply stores.

PUBLICITY

It is an unpaid form of promotion through mass media like TV and newspaper. Publicity is free but you have little or no control of the content and delivery. Be aware, there may be both good and bad publicity.

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PUBLIC RELATIONS

Company-influenced publicity directed at building goodwill between an organization and potential customers. Smart companies know they need to maintain positive relations with their communities, investors, industry analysts, government agencies, and the news media.

Companies seek favorable publicity to create interest in their products. Companies with a good public image are more attractive to investors. Press relations refer to the process of communicating with reporters and editors from newspapers, magazines, and radio and television networks and stations.

News releases are brief statements or video programs released to the press announcing new products, management changes, sales performance, and other potential news items; also called a press release. News conferences are gatherings of media representatives at which companies announce new information; also called a press briefing.

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Lecture 35

THE PRODUCTIVITY

Productivity

Productivity is the measure of the effective use of the organization's resources" is known as "Productivity".

PRODUCTION

Conversion of raw material into finished goods. Adding value to raw material, processing it and making it a new useful product. It includes input, processes and output.

UTILITY

Ability of a product to satisfy a need

Forms of Utility

a. **Time Utility:** Getting a product when required.

b. **Place Utility:** Product is manufactured at one place and is sold at another place. Utility of the product is increases due to its mobility. For example if a product is made in one city and it is transported to other city for sale and then use, then it is said that its utility has been increased.

c. **Form Utility**: Changing the form of the product and then converting it into some useful product.

Operation planning

Operations Managers decide about the production capacity of the organization. And appropriate location for the organization.

Capacity Planning

Optimum level of production needed by the organization

FACTORS FOR LOCATION OF INDUSTRY

i. Availability of skilled workers
ii. Availability of infrastructure
    a. Includes electricity, gas, water and telephone.
    b. Access to road transport and railway

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iii. Availability of raw material
iv. Climatic Condition

FACILITIES TO BE ORGANIZED FOR PRODUCTION PROCESS

i. Productive facilities

It includes units and plants which contain assembly lines and machines in order to convert the raw material into finished products.

ii. Nonproductive facilities

A process that is not directly involved in the production process but are related to the production, for example storing the raw material

iii. Support facilities

It includes departments like management, purchasing, finance, human resource and others which support to run the factory.

LAYOUT PLAN

Internal arrangement in the organization

i. Placement of machinery
ii. Movement of people
iii. Water storage
iv. Entry and exit point

Layout Designing Options

i. Considering the product
ii. Processes involved in the production
iii. Cellular Layout
iv. Product layout
v. Placement Layout
vi. Flexible Layout
vii. Other Layouts (U-shaped layout)
viii. Straight line layout

Reasons for designing a layout

i. To increase efficiency
ii. To reduce cost
iii. To avoid accidents
iv. Avoid delays

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Lecture 36

TOOLS FOR PRODUCTION PLANNING

GANTT CHART

Gantt charts are visual aids that are useful in loading and scheduling. The name is derived from Henry Gantt, who developed them in the late 1800s. The chart shows the use of resources, such as work centers and labor.

When used in loading, Gantt charts show the loading and idle times of several departments, machines or facilities. They display the relative workloads in the system so that the manager knows what adjustments are appropriate. For example when one work center becomes overloaded employees from a low-load center can be transferred temporarily to increase the workforce.

In short this chart is for following purposes

This chart is for scheduling purposes.
Bar charts are drawn in this schedule. Each bar describes an activity.
This chart will help to know, which activity should start at what time.
Comparison of planning with actual output.

PERT NETWORK

PERT stands for Program Evaluation Review Technique, this was a methodology that was developed by U.S. Navy in 1950 to manage the Polaris submarine missile program.
It is commonly used in construction. Pert network is a flow chart which shows the sequence of activities that are required to complete a project along with time or cost associated with each.

Major difference in Gantt Chart & Pert is, in Gantt chart we have bars, here we don't have bars here we have diagrams.

Components of PERT Chart

Pert chart provide the details of

Events
Show end points where we have to reach

Activities
Include all the resources used to complete any project

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Slack time
Represent the delay in each activity

Critical path
Pert chart is used to determine critical path of each activity & to determine maximum time consumed for each project.

CHALLENGES FOR MATERIAL MANAGEMENT

i. **Flow of material**

Flow of material is an important factor for success and competitiveness. It involves production planning, purchasing, Just-In-Time and inventory management.

ii. **Standardization**

A standard is a document that establishes uniform engineering or technical specifications, criteria, methods, processes, or practices. Thus Standardization is the process of developing and agreeing upon technical standards.

Areas for Material Management

i. **Transportation**
How & through which medium materials will be received in the form

ii. **Storage**
In which manners & sequence materials will be stored

iii. **Record Keeping**
How the record will be maintained for all the materials available in the stored form.

iv. **Inventory control**
It further covers two parts
1. Quantity Control
2. Cost Control
3. In hand stock details

Costing of Material

i. **LIFO – Last in First out**
In this method the most recently purchased units are sold first and that the older units remain in inventory.

ii. **FIFO – First in First out**
In this method the oldest purchase costs are transferred to the cost of goods sold, while the most recent costs remain in inventory.

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iii. Average cost
Average cost is equal to total cost divided by the number of goods produced

PURCHASING PROCESS

Purchasing is the process through which materials are selected from the market and bring in the firm to perform all production operations.

Steps in purchasing process

i. Select the right suppliers
ii. Evaluate the suppliers
iii. Evaluate the capacity of each supplier
iv. Short list the appropriate supplier
v. Negotiation of the prices
vi. Start the supply transactions
vii. Maintain the long term relationship

JUST-IN-TIME (JIT)

It means to get the materials exactly at the time of demand. This mechanism can be well maintained only when our supplier has our full inventory details.

JIT concepts always work on the view; we much have reliable suppliers in sufficient No. in order to serve us timely & in best manners. When we have minimum No. of orders in our hand, required materials should be provided us immediately.

This process can work very well, when deep confidence is there between production unit & suppliers. As a result, production unit can provide the access to suppliers to view the inventory of their raw materials & supplier can supply the required materials when inventory is just at minimum level.

Benefits of JIT

i. It avoids production delays
ii. Mange cash flows in best manners
iii. It avoids uncertainties

Application of JIT

- **In production**-it manages continuous supply of raw material which bring continuity in operations
- **In Marketing-**if this system is well managed, sales persons are able to finalize sales deals with minimum lead times which can serve as competitive edge.

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JUST-IN-CASE

It is conventional concept works in contrasts to JIT. While working through this concept, firms may not get good suppliers as & when required, may not get quality raw materials as & when required, so firms keep stocks of their raw materials which have a big disadvantage as huge finances of the firm can be blocked in the form of stocks as well as handling of stocks may be another issue.

So in today's organizations, JIT concept is developing day by day & almost every firm is trying to get some good suppliers in order to work on JIT concept.

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Lecture 37

TOTAL QUALITY MANAGEMENT

The advice of U.S. business consultant W. Edwards Deming on quality was heeded more widely in Japan than at home until recently. Now U.S. companies are increasingly customer driven, quality initiatives exist at all levels of the corporation, and more measurements are used to document progress objective and identify areas for improvement. Rather than occasional, quality efforts are now continuous.

MANAGING QUALITY

Total Quality Management (TQM) (or Quality Assurance)

The sum of all activities involved in getting high-quality products into the marketplace. Customer focus is the starting point and includes methods of determining what customers want, then causing all the company's activities and people to be directed toward fulfilling those needs and creating customer satisfaction.

Productivity

Productivity is the measure of the effective use of the organization's resources.

PLANNING FOR QUALITY

To achieve high quality, managers must plan for production processes (including equipment, methods, worker skills, and materials).

1) **Performance Quality:** the performance features offered by a product.

2) **Quality Reliability**: consistency of a product's quality from unit to unit.

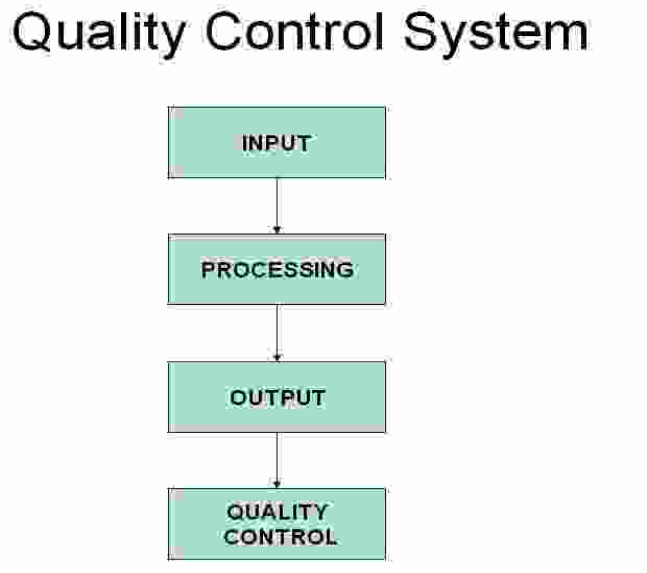
Organizing for Quality

Although everyone in a company contributes to product quality, responsibility for specific aspects of total quality management is often assigned to specific departments and jobs.

Quality

Directing for quality means that managers must motivate employees throughout the company to achieve quality goals.

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Inspection

Inspection is an important strategy, in its simplest form, is any method or device or tactics used to minimize defects in products or services being offered to the customers.

QUALITY CONTROL VS QUALITY ASSURANCE

Quality Control

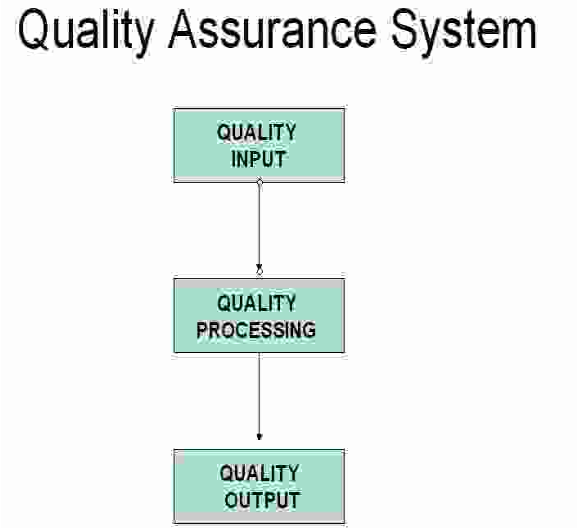
Quality control is concerned with quality of conformance of a process. The prime purpose of quality control is to assure that processes are performing in an acceptable manner.

Quality Assurance

All actions taken to ensure that standards and procedures are adhered to and that delivered products or services meet performance requirements.

Quality assurance defines the standards to be followed in order to meet the customer requirements whereas quality control ensures that these defined standards are followed at every step.

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PROMINENT FEATURES OF DR. DEMMING'S 14 POINTS

Globally organizations are adopting the concept of quality assurance and avoid the process of inspection and quality control, in this way organization focus on quality input, quality process and quality output. The best companies emphasize designing quality into the process, thereby greatly reducing the need for inspection or control efforts. As you might expect, different business organizations are in different stages of this evolutionary process. The least progressive rely heavily on inspection. Many occupy middle ground that involves some inspection and a large deal of process control. The most progressive have achieved an inherent level of quality that is sufficiently high that they avoid wholesale inspection activities and process control activities.

Prior to the increased level of Japanese competition in the U.S. marketplace in 1970s and 1980s customers often got less than they paid for with U.S-made products; quality was not uppermost in the minds of U.S. business organizations. Perhaps Japanese captured a significant share of the U.S. market.

Deming was the senior guru. A statistics professor at New York University in the 1940s, he went to Japan after World War II to assist the Japanese in improving quality and productivity. Deming compiled a famous list of 14 points he believed were the prescription needed to achieve quality in an organization.
Some of them are discussed here:

- Organizations should adopt the philosophy of quality rather than quantity
- Training of the employees should be a continuous system
- Training is the key to achieve Total Quality Management
- Modern techniques should be used to train the staff in the organization
- Workers should bring creative ideas to improve quality of the product
- It is very important to assure the workers that new ideas will be encouraged
- Statistical methods should be used to measure the quality
- Barriers between different departments should be removed

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HUMAN RESOURCE MANAGEMENT FOR TOTAL QUALITY MANAGEMENT

i. Selection stage: Organization manager must make sure that quality people are selected in the organization. Quality people are those who focus on quality rather than quantity

ii. HR managers should see whether that particular person has attitude required in the organization or not. Attitudes include:

iii. Being flexible
- Being acceptable
- Quality Conscious
- A person who can work with the team

iv. Training Stage: HR manager should train the people in the field of:
- Quality Awareness
- Quality Achievement
- Statistical Techniques

v. Personality Development
- Team leading
- Mind adjustment
- Changing paradigm
- Avoiding box thinking
- Developing creative ideas

vi. Compensation: HR manager should develop special systems for compensation. These include:
- Compensation would be given to the whole group

vii. Performance Appraisal:
- Collective performance appraisal

viii. Statistical Process Control:

Using statistical techniques in:
- Planning
- Execution
- Problem analysis
- Control

Lecture 38

TOTAL QUALITY MANAGEMENT

Cost of quality: Cost paid in the market for not having quality products.

Types of cost

External Failure Costs: Cost incurred for managing the problems faced in selling the products in the market.

External failure costs include

- Cost incurred on sales return
- Repair cost of faulty goods
- Customer service cost
- Repair cist of returned goods
- Investigation of defects
- Product recalls
- Product liability suits

Internal Failure Costs: Internal failure costs are paid within the organization.

Internal failure costs include

- Cost of scrap
- Cost of re-work on product
- Cost of inspection of re-work
- Cost for downgrading

  Product is graded below standard due to some fault

Appraisal costs

Appraisal costs include costs of:

- Inspection
- Laboratory Testing
- Laboratory Equipment maintenance Cost
- Calibration of Testing Equipment

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Prevention Cost

- Cost for making a preventive network.
- Managerial Work for quality

  It includes:

  a. Quality Planning
  b. Training-it's an expensive area & requires continuous spending on it.
- Cost for quality improvement Process
- Costs for using statistical Methods
- Cost for maintenance of machinery and equipment etc
- Cost for hiring experts

ISO 2000: 9000 Certification programs

It is a standardized system which provides a set of systems to the organization**.** ISO is a certification which shows that organization is following some system and that system might lead to some quality product.

ISO 14000

It is a system that certifies the organization for protecting the environment is called ISO 14000

- A system for environment.
- Organizations are responsible for environment

Value Chain Management

All activities performed are working in a chain to produce a valued product.

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Lecture 39

BENCHMARKING

Process by which a company implements the best practices from its own past performance and those of other companies to improve its own products

Internal benchmarking: Uses the firm's own performance to evaluate progress and set goals;

External benchmarking: begins with a critical review of competitors or even companies in other businesses to determine which have "best practices."

We will compare the best practices of other organizations with our organization.

Compare the products, processes, instruments and culture of one organization to other one.

Zero Defect Level: A stage where there is no defect in the product, process and organization.

CONSIDERATIONS IN BENCHMARKING

1. Identification of processes to be benchmarked

- **Sales forecasting:** We can benchmark the order booking process, e.g. what is the order taking to order delivery time of organization. We should minimize this time for more sale to customer.
- **Pricing:** Which pricing system is used by other organizations? What should be the pricing mechanism?
- **Distributions:** Organization should match the distribution channel with other organization. How can organization reduce the delivery time of products?
- **To maintain financial record.** Record should be properly maintained in soft data as well as hard copy. There should be back up of that data at various places.
- **Technology:** what technology is most efficient and result oriented? Is it local or imported technology?

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2. KEY VARIABLES IN A PROCESS

Product:

- What should be the shape of product?
- Color of product
- Size of product
- Weight of product

Selling and Marketing:

- **Cost:** Promotion cost with competitors, How to save the cost?
- **Identification of unsatisfied need** of customers
- **Productivity:** How an organization can increase its productivity.
- **Mixture of ingredients:** What ingredients should be so that customer can satisfy?
- **Timeliness:** Reduce the time For example In a fast food restaurant, what is the duration of the order taking to order delivery time and benchmark those restaurants whose delivery time is less than others.
- **Differentiation of products:** There should be uniqueness in product.
- **Performance of product:** Performance of product should be according to customer's satisfaction. It should be good word of mouth for your product.

3. IDENTIFICATION OF THE BEST PLAN

For benchmarking organization should identify the best plan or practices from different organizations. For example In mobile phones, one companies phone have better battery timing, Second has good design, third one has good display screen, fourth one has light weighted and good result of camera.

Another example of food restaurant, which one is best restaurant in following things;

- Services
- Parking
- Variety of dishes
- Interior
- Cutlery

Organizations should choose the best one from any one and implement for your organization.

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4. MEASUREMENT OF OWN PERFORMANCE

Organization should measure the own performance and keep in mind one important thing that not find the only one organization for benchmarking. Choose the different variables from different organizations.

For example Airline company should measure:-

- Handling of luggage
- Comfort wise with other air lines
- Safety record
- Time lines: less time from one place to another.

5. ACTION TO BRIDGE THE GAP

Identify the gap where we are lacking, where our performance is low and how we can improve our performance.

Organization should go for benchmarking when there is more competition in the market.

Benchmarking can be done for two entirely different products or organizations. For example Bicycle manufacturing organization compares with paper manufacturing company. What is the method of complaint handling and how one organization best satisfies his/her customers. What is the payment method?

Organization should benchmark its processes or products with the best organization in that class. Never benchmarking to those organizations that are not good in any process

Benchmarking can be used for personality development. For example who is the best in attitude? Who is the best in study? Who is the most obedient with elders? We can make key variables and make the list and identify the lacking in our personality.

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Lecture 40

COMMUNICATION

Transmission of information from one place, person or organization to another place, person or organization

"Communication is the blood of the organization".

Communication is a process whereby information is enclosed in a package and is channeled and imparted by a sender to a receiver via some medium. The receiver then decodes the message and gives the sender a feedback.

Flow of Communication within the organization

- **Upward Communication:** Flow of communication from bottom to top. For example when labor or supervisors communicate with his/ her manager or top level management in any organization.
- **Downward Communication:** Flow of communication from top to bottom. When CEO or top level management communicate with their employees.

Hierarchy of Management

- **Top Management**
  - Chief Executive, Managing Director, Board of Directors.
- **Middle Management**
  - Directors and Senior Managers.
- **Lower Management**
  - Officers and Executives.

External vs. Internal Communication

- **Internal Communication: -** Communication within the organization.
- **External Communication: -** Communication with the outside bodies.

Process of Communication

Two parties for communication are:

- Sender
- Receiver

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- Sender is a person or organization that communicates.
- Receiver is a person or organization who receives the message.

Encoding Vs. Decoding

- **Encoding**
  - Conversion of message into understandable form.
  - Sender is called encoder.
- **Decoding**
  - Giving meanings to the message.
  - Receiver is called decoder.
- Effective communication will take place when climate of encoder and decoder is similar.
- Jargons are the words of a particular profession.

VERBAL VS NON VERBAL COMMUNICATION

Verbal Communication:

Written or oral communication, the basis of communication is the interaction between people. Verbal communication is one way for people to communicate face-to-face. Some of the key components of verbal communication are sound, words and language.

Non verbal Communication

Sources for non verbal communication can be:

Appearance: Appearance of people and surroundings. E.g. if we receive any letter, appearance of the letter can show from where it come. For example if the letter comes from any organization, we will judge from its letterhead. We can judge many things from appearance of individuals as well including age, profession, education, nationality, face of the individual, mood of the individual etc.

Colors: Colors also indicate the nonverbal communication. For example red light at signal means to stop the vehicles. Colors of the dresses also indicate many things about.

Sounds: Sound is also non verbal communication. For example voice of machine in organization show that machine is running and work is in progress. Drop of key ring from our pocket create voice and intimate us that keys have been fallen from our pocket.

Smell: Smell is also a source of non verbal communication. In industry if there is fire anywhere than we can judge by smell that something is burning and can take the appropriate action. We can also judge the acids and chemicals by smelling.

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Touch: - Touch is also source of non verbal communication. We can judge different object by touching them. Blind people judge different things by touching.

Silence: - Silence is also a source of nonverbal communication. For example Organization hires the employee and gives specific dates for joining but the employee does not join till given date. This silence creates two meanings in the mind of that organization that either he/she is not interested in this job or not received our letter.

Body language: - Body language is also non verbal communication. For example gesture, posture etc. Biting the nail, sitting at the edge of chair shows discomfort

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Lecture 41

NON-VERBAL COMMUNICATION

"Nonverbal communication involves those non-verbal stimuli in any communication that are generated by both the source [speaker] and his or her environment and that have potential message value for the source or receiver [listener]"

Basically sending and receiving messages occurs in a variety of ways without the use of verbal codes (words). It is both intentional and unintentional. Most speakers / listeners are not conscious of this.

Sources of Non-verbal communication can be

Body Language: Body language is used during face to face communication. Simple body language conveys sometimes very deep messages, common examples of body language is seen by players. They show almost every sort of gesture just through their body language.

COMMUNICATION CHANNELS

Channel is a **Carrier** which carries the message from sender to receiver. Selection of channel always depends upon the situation, what channel will be appropriate for what situation is always decided by sender or discretion of both sender & receiver.

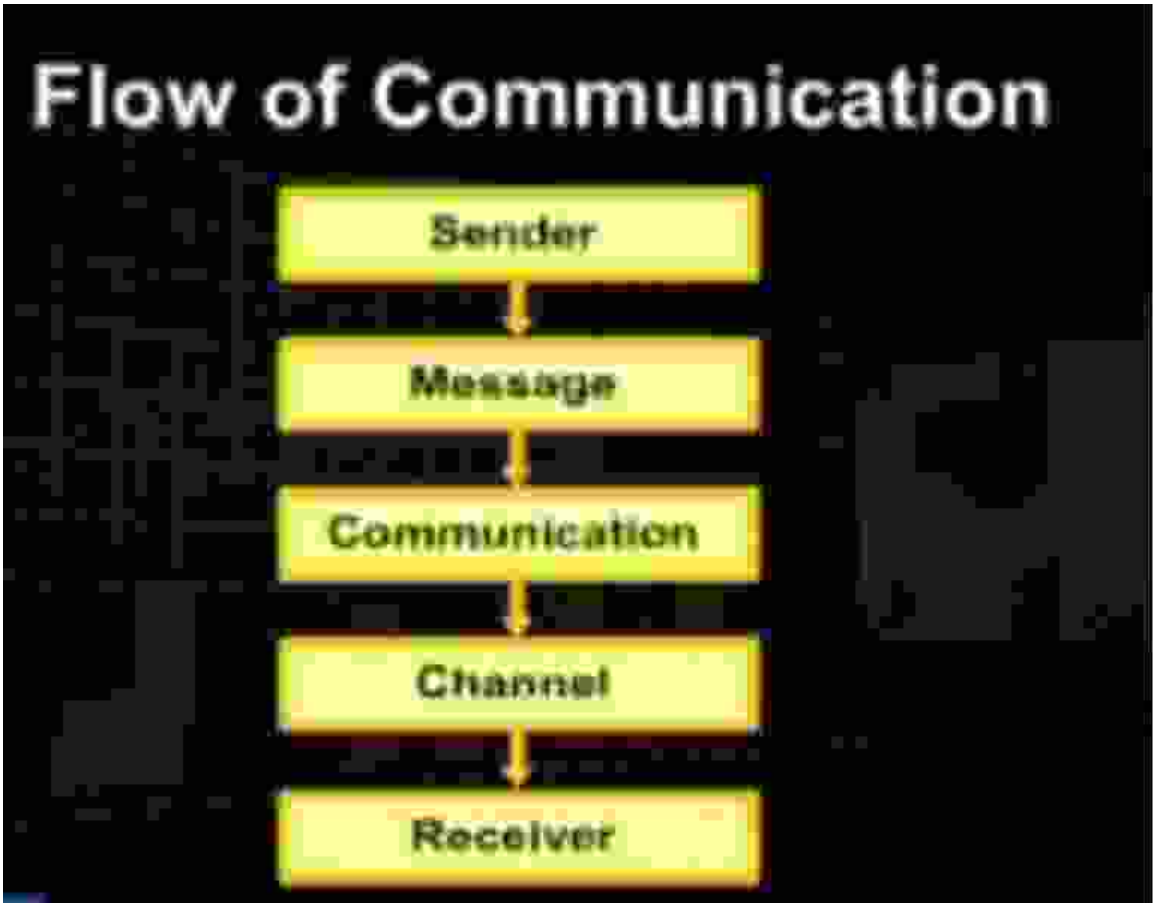
Channel can be:

- Letter
- Telephone
- Fax
- A person who carries the message to another person.

Flow of Communication

The sender sends the message through a channel and the receiver receives this message. There is communication between two parties.

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Noise also occurs during communication. All those factors which affect the communication process are called noise. Noise can be at any stage & can affect the whole communication process.

LETTER VS MEMORANDUM

- Letter is written for communication outside the organization
- Memorandum is written for communication inside the organization. Informal language is used in memorandum.

Types of Letters

Inquiry letter: In this type, organization collects the information. For example, purchasing of furniture, about raw material, transportation cost from goods transporter.

Reply to the inquiry letter: In this type, organization gives the information. For example, give the information to customer about product cost, Method of delivery etc.

Order letter: In this type, organization places the order for purchasing something.

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Complaint latter: In this type, organization complaint about the already purchased products or acquired services. For example quality problem of product etc

Adjustment letter: In this type, organization sends the letter for adjustment of accounts. For example organization has purchased the furniture from ABC Company and payment has done. But quality of some furniture is not good than organization sends the letter to ABC Company for adjustment of dues/payment.

INFORMATION SYSTEM (IS)

Gather the information & arrangement of information into a form that can be used for decision making purposes

Information Management

Arrangement of information into a form which is useful for management

Duties of Information Manager

- Information gathering
- Information organizing
- Information distribution

Users of Information: There are following users of information in an organization.

1. Head of manufacturing department
2. Marketing people
3. Planning people

Data vs. Information

- Data is raw figures and facts.
- Meaningful shape of data is called information

Why Information System is important in the Organization?

a. Frequent use of information.
b. New technology.
c. New innovations, processes and methods.
d. New communication devices:

    - Telephone
    - Intercom
    - Video conferencing

e. Digital business system
f. Data communication network:

    - Global network for receiving and sending the information globally, quickly and economically**.**

Lecture 42

APPLICATION OF INFORMATION SYSTEM IN THE ORGANIZATION

New Options for Organizational Design: The Networked Enterprise

i. **Leaner Organizations**—Networked firms can accomplish more work with fewer resources.
ii. **More Flexible Operations**—Electronic networks allow businesses to offer customers greater variety and faster delivery cycles.
    1. **Mass-customization**—Flexible production process that generates customized products in high volumes at low cost
iii. **Increased Collaboration**: Networked systems make it cheaper and easier to work together.
    1. **Networking and the Virtual Company**: Networked systems can also improve collaboration between organizations through the so-called virtual company
iv. **Greater Independence of Company and Workplace**: Employees no longer need to work only at the office or the factory, nor are all the company's operations performed at one location. Geographically separate processes can be tightly coordinated via networking.
v. **Improved Management Processes**: Because instantaneous information is accessible in a convenient usable format, more upper managers use it routinely for planning, leading, directing, and controlling operations.

Enterprise Resource Planning (ERP)

A system that helps the organization in planning its resources using computerized systems.

Resources can be:

- Financial resources
- Administrative resources

Types of Information Systems

Organizations depend on quality information to make good decisions and help them accomplish their goals. To design and develop good information systems, companies hire a top-level manager known as a CIO. A Chief Information Officer (CIO) is a strategic-level manager who oversees the company's information systems.

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Types & levels of Information Systems in any organization can be:

- Information system for top management.
- Information system for middle management.
- Information system for lower management.

Information system for Departments

A separate information system is designed for every department while keeping in view demands & requirements of each department.

Knowledge Workers

An increasingly important group of employees who use information and knowledge as the raw materials of their work, and who rely on technology to design new products or business systems (e.g. Engineers, scientists, computer programmers, etc.).

Considerations of Users for Information System

Managers at Different Levels: First-line managers need information on the day-to-day details of their departments or projects. Middle managers need summaries and analyses for setting intermediate and long-range goals for their departments or projects. And top managers need information on a broader economic and business trends, and overall company performance.

Functional Areas and Business Processes: Each business area (e.g. marketing, finance) has its own information requirements, and each business process (e.g. strategic planning, product development) also has specific information needs.

Management Information System (MIS)

A system which helps management in decision making

MIS provides information regarding the decision making by management.

Decision Support System (DSS)

A system which supports the decision of the management is called Decision support system. The pool of information is gathered after various internal & external researchers and this system provides a proper form to make this information functional for decision making.

Executive Support System (ESS) OR Executive Decision System (EDS)

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A system which provides information to executives for decision making is called Executive Support System. Since executives have to take a decision at broader levels so this special system is designed for them to provide very valid, accurate & timely information for top level decisions.

Computer Network

Computers linked together for the purpose of information sharing are called computer network.

COMPONENTS OF INFORMATION SYSTEM

a. Hardware
b. Software
c. Controls
d. Database
e. People
f. Telecommunications

a. Hardware:

Physical components of a computer system

i. **Inputting**
   1. **Input Device**: Part of the computer system that enters data into it.
   2. **Central Processing Unit** (CPU): Part of the computer system where data processing takes place.

ii. **Main Memory**: Part of the computer CPU housing memory of programs it needs to operate.

iii. **Programs**
   1. **Program**: Set of instructions used by a computer to perform specified activities.
   2. **Output Device**: Part of the computer system that presents results, either visually or in printed form.

b. Software:

Programs that instruct a computer on what to do

i. **System program**: Software that tells the computer what resources to use and how to use them.

ii. **Application program**: Software (such as Word for Windows) that processes data according to a user's special needs

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iii. **Graphical User Interface**: Software that provides a visual display to help users select applications.

c. Control:

Ensures that the system is operating according to specific procedures and within specific guidelines

i. Problems of Privacy and Security

1. **Privacy** invasion occurs when intruders (hackers) gain unauthorized access, either to steal information, money, or property or to tamper with data.
2. **Security** measures for protection against intrusion are a constant challenge.

ACCOUNTING

- A system of recording, classifying, analyzing, summarizing and reporting the economic information in terms of money.
- Economic Information: Every information is an economic information where monetary exchange takes place.

General Journal

A book in which all economic information of a general nature is recorded.

Ledger

It is a book in which all economic information is recorded category wise or heading wise.

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Lecture 43

ACCOUNTING

Accounting Period: Time span in which accounts are terminated.

Summarizing: Summary of all revenues and expenses

Income Statement: A statement which shows the position of revenues and expenses or profit and loss

Profit: Excess of revenues over expenditures.

Loss: Excess of expenditures over revenues.

Bookkeeping: Recording of accounting transactions. It is just one phase of accounting.

Accounting Vs Book Keeping

- Recording the information in the books is called book keeping.
- To draw a picture from the information is called accounting.

ACCOUNTING INFORMATION SYSTEM (AIS)

Organized means by which financial information is identified, measured, recorded, and retained for use in accounting statements and management reports

Types of Accounting

- **Financial Accounting:** Financial accounting is used by external users.

- **Managerial Accounting:** Managerial accounting is used by internal users.

AUDITING

Auditing is an examination of the records and reports of an enterprise by accounting specialists other than those responsible for their preparation. Public auditing by independent accountants is common in large firms. The auditor performs tests to determine whether the firm's statements were prepared in accordance with acceptable accounting principles and that they fairly present its financial position and operating results.

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Accounting versus Auditing

- Accounting is concerned with recording of accounting information.
- Auditing is concerned with examination of accounting information.

TYPES OF AUDITORS

There are two types of auditors:

a. Internal Auditors

Internal auditors are employees of a company hired to assess and evaluate its system of internal control. To maintain independence, they present their reports directly to the Board of Directors or to Top Management. They provide functional operation to the concern. Internal Auditors are employees of the company so that they can easily find out the frauds and any mis-happening.

b. External Auditors

External auditors are independent staff assigned by an auditing firm to assess and evaluate financial statements of their clients or to perform other agreed upon evaluations. Most external auditors are employed by accounting firms for annual engagements. They are called upon from the outside of the company.

USERS OF ACCOUNTING INFORMATION

- **Business Managers & Management**
  Set goals, develop plans, set budgets, and evaluate future prospects
- **Employees and Unions**
  Get paid, plan for and receive benefits
- **Investors and Creditors (Owners)**
  Estimate returns to stockholders, determine a company's growth prospects, and determine creditworthiness before investing or lending
- **Banks**
  They would be interested in company's financial conditions as they would like to know when their loans will be paid
- **Tax Authorities (Banks)**
  Plan for tax inflows, determine tax liabilities, and ensure proper payment
- **Government Regulatory Agencies**
  Fulfill their duties to the citizens

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Generally Accepted Accounting Principles (GAAP)

These are accepted rules and procedures governing the content and form of financial reports around the world. Need for these systems were raised when shuffling of financial staff was happening in the teams & new people were joining the existing teams so it was becoming difficult to make new people aware with every aspect of previous working so these systems were evolved.

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Lecture 44

TOOLS OF THE ACCOUNTING TRADE

For thousands of years, businesses and governments have kept records of their transactions. Accountants are guided by three fundamental principles: the accounting equation, double-entry accounting, and the matching principle.

The Accounting Equation

Accountants use the following equation to balance the data in journals and ledgers:

Assets = Liabilities + Owners' Equity

ASSETS AND LIABILITIES

Asset—any economic resource expected to benefit a firm or an individual who owns it.

a. **Tangible Assist:** It includes Cash, Building, Automobiles, Machinery & raw Materials.
b. **Intangible Assist:** It includes copyrights & good will etc.

Assists are always equal to liabilities of the firm.

Liability—debt owned by a firm to an outside organization or individual. These are all payables, claims or obligation of the firm. These can be payable to a bank, to suppliers or to other institutions.

Liabilities are of two types:

- Liability towards owner
- Liability towards other parties

Owners' Equity—amount of money that owners would receive if they sold all of a firm's assets and paid all of its liabilities. It consists of two sources of capital: the amount the owners originally invested, and profits earned by and reinvested in the company.

Double-Entry Accounting

To keep the accounting equation in balance, companies use a system developed by Fra Luca Pacioli, an Italian monk, in 1494. Double-entry accounting is a way of recording financial transactions that requires two entries for every transaction, so that the accounting equation is always kept in balance.

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a. Every transaction has two effects:

    1. Debit
    2. Credit

b. For every debit, there is always a credit.
c. For every credit, there is always a debit.
d. Debit and credit are always equal.

FINANCIAL STATEMENTS

Any of several types of reports summarizing a company's financial status to aid in managerial decision making

1) Balance Sheet

Also known as a statement of financial position is a kind of "snapshot "of where a company is, financially speaking, at one moment in time.

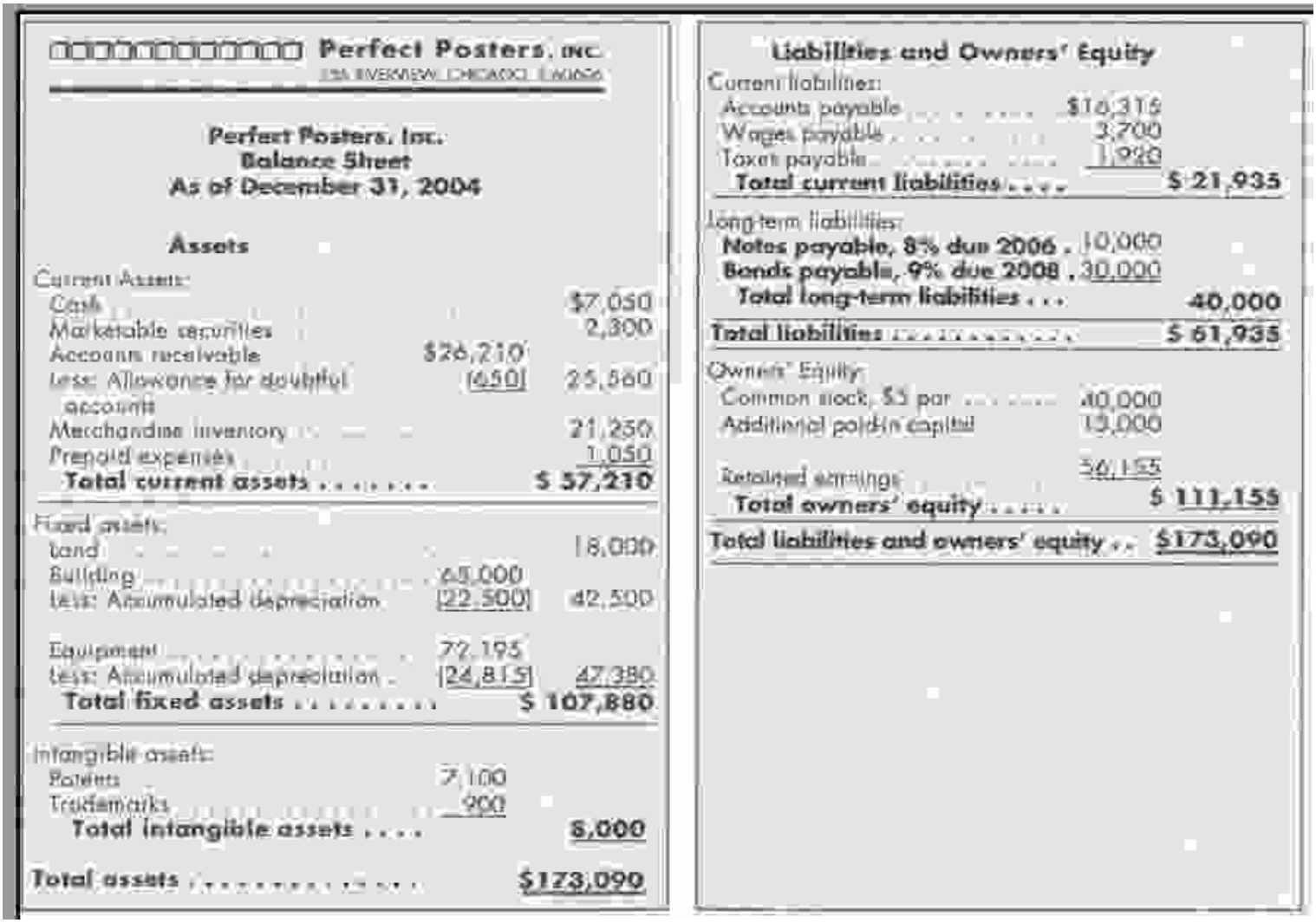
The balance sheet includes all the elements in the accounting equation, showing the balance between assets on one side and liabilities and owners' equity on the other. Every company prepares a balance sheet at least once a year, most often at the end of the calendar year, January 1 to December 31. The fiscal year, any 12 consecutive months, is used by many business and government bodies.

a. A sheet which shows the balances of assets and liabilities.

b. Balance sheet includes:

a. Title
    i. Name of company
    ii. Name of statement
    iii. Period
b. Asset side
c. Liabilities and owner's equity

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Perfect Posters, INC.
[illegible]

Perfect Posters, Inc.
Balance Sheet
As of December 31, 2004

Assets

Current Assets:		
Cash		$7,050
Marketable securities		2,300
Accounts receivable	$26,210	
less: Allowance for doubtful accounts	(650)	25,560
Merchandise inventory		21,250
Prepaid expenses		1,050
Total current assets		**$ 57,210**
Fixed assets:		
land		18,000
Building	65,000	
less: Accumulated depreciation	(22,500)	42,500
Equipment	72,195	
less: Accumulated depreciation	(24,815)	47,380
Total fixed assets		**$ 107,880**
Intangible assets:		
Patents	7,100	
Trademarks	900	
Total intangible assets		**8,000**
Total assets		**$173,090**

Liabilities and Owners' Equity

Current liabilities:		
Accounts payable	$16,315	
Wages payable	3,700	
Taxes payable	1,920	
Total current liabilities		**$ 21,935**
Long-term liabilities:		
Notes payable, 8% due 2006	10,000	
Bonds payable, 9% due 2008	30,000	
Total long-term liabilities		**40,000**
Total liabilities		**$ 61,935**
Owners' Equity:		
Common stock, $5 par	40,000	
Additional paid-in capital	13,000	
Retained earnings	58,155	
Total owners' equity		**$ 111,155**
Total liabilities and owners' equity		**$173,090**

2) Trial Balance

A trial balance is a list and total of all the debit and credit accounts for an entity for a given period – usually a month. The format of the trial balance is a two-column schedule with all the debit balances listed in one column and all the credit balances listed in the other. The trial balance is prepared after all the transactions for the period have been journalized and posted to the General Ledger.

The key to preparing a trial balance is making sure that all the account balances are listed under the correct column. The appropriate columns are as follows:
Assets = Debit balance
Liabilities = Credit balance
Expenses = Debit Balance
Equity = Credit balance
Revenue = Credit balance

Trial Balance Errors

- Those errors which will affect debit and credit side.
- If both sides of trial balance are equal, it does not mean that the books of accounts are error free.

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Lecture 45

FINANCIAL MANAGEMENT

Financial Management

The efficient and effective management of monetary resources of an organization in such a manner, as to accomplish the objectives of the organization.

3) INCOME STATEMENT

It is a financial statement listing a firm's annual revenues and expenses so that a bottom line shows annual profit or loss. If the balance sheet is a "snapshot," the income statement is a movie."

a) **Revenues**: Funds that flow into a business from the sale of goods or services.
b) **Cost of Goods Sold**: Total cost of obtaining materials for making the products sold by a firm during the year.
c) **Gross Profit (or Gross Margin)**: Revenues obtained from goods sold minus cost of goods sold.
d) **Operating Expenses**: Costs, other than the cost of goods sold, incurred in producing a good or service.
e) **Operating Income**: Gross profit minus operating expenses.
f) **Net income (or net profit or net earnings)**—gross profit minus operating expenses and income taxes.

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Perfect Posters, INC.
555 RIVERVIEW, CHICAGO, IL 60606

Perfect Posters, Inc.
Income Statement
Year Ended December 31, 2004

Revenues (gross sales)			**$256,425**
Cost of goods sold:			
Merchandise inventory, January 1, 2004	$22,380		
Merchandise purchases during year	103,635		
Goods available for sale		$126,015	
less: Merchandise inventory December 31, 2004	21, 250		
Cost of goods sold			**104,765**
Gross profit			**151,660**
Operating expenses:			
Selling and repackaging expenses:			
Salaries and wages	49,750		
Advertising	6,380		
Depreciation—warehouse and repackaging equipment	3,350		
Total selling and repackaging expenses		59,480	
Administrative expenses:			
Salaries and wages	55,100		
Supplies	4,150		
Utilities	3,800		
Depreciation—office equipment	3,420		
Interest expense	2,900		
Miscellaneous expenses	1,835		
Total administrative expenses		71,205	
Total operating expenses			**130,685**
Operating income (income before taxes)			20,975
Income taxes			8,390
Net income			**$12,585**

Revenue Vs Profit

- Revenue is income.
- Profit is obtained after deducting expenses from revenue.

Trading Concern

An organization which buys goods for reselling is called trading concern. The difference between buying price & selling price is called revenue.

FINANCE IN AN ORGANIZATION

Thinking and considering for long term investments of the firm, Generating revenues to pay back these investments and to perform day to day activities of an organization is called finance.

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The Role of the financial people in organization management

Corporate finance typically entails four responsibilities: determining a firm's long-term investments, obtaining funds to pay for those investments, conducting the firm's everyday financial activities, and helping to manage the risks the firm takes.

Responsibilities of the **Financial Manager** include planning and controlling the acquisition and dispersal of a firm's financial resources.

i. **Cash-Flow Management**: Management of cash inflows and outflows to ensure adequate funds for purchases and the productive use of excess funds.

ii. **Financial Control**: Process of checking actual performance against plans to ensure that desired financial results occur.

iii. **Financial Planning**: A **financial plan** shows the funds a firm will need for a period of time, as well as the sources and uses of those funds. A strategy for reaching some future financial position.

iv. **Dealing with Banks**: Deal with almost every bank for debiting & crediting the funds, Manage foreign trade & short term loans.

Ratio Analysis

a. Ratios tell us relationship among financial figures.
b. These can be: Relationship between current assets and current liabilities.

THE BUDGET: AN INTERNAL FINANCIAL STATEMENT

Budget is a detailed statement of estimated receipts and expenditures for a period of time in the future. The budget is probably the most crucial internal financial report. Most companies use their budgets for internal planning, controlling, and decision-making. Although the accounting staff coordinates the budget process, many different employees contribute to creating and updating the budget.

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MGT211 FINAL TERM NOTES

LECTURE 23 TO 45

PROVIDE BY ORANGE MONKEY TEAM

Lecture no 23 THE MARKETING ENVIRONMENT

Difference b/w marketing and selling

Marketing	selling
Marketing starts before decision about production	Selling starts after decision about production
Marketing is a total system and selling is one of its parts	Selling is the transfer of ownership
Marketing is a long term process	Selling is a short term process

Classification of products

- Consumer products.
- Industrial products.

Consumer products:

Consumer products after certain uses, e.g. tea, soap etc

Industrial products:

Industrial products are used in industry, e.g. raw material, machinery,

Relationship marketing

Developing a long term relationship with the customers, by making phone calls to the customers, sending gifts to customers etc

Transactional Marketing

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Transactional marketing is a business strategy that focuses on single, "point of sale" transactions. The emphasis is on maximizing the efficiency and volume of individual sales rather than developing a relationship with the buyer.

The marketing environment

- **Political and legal environment** (From taxes to regulations to laws, the political and legal environment has a profound impact on marketing.)
- **Social and cultural environment** (in which social or cultural changes act to affect the firm's marketing effort)
- **Technological environment** (New technologies create new goods and services, but also make some existing products)
- **Economic environment** (The term economic environment refers to all the external **economic** factors that influence buying habits of consumers and businesses)
- **Competitive environment**(A competitive environment is a system where different businesses compete with each other by using various marketing channels, promotional strategies, pricing methods, etc

Substitute product competition:

Products that are dissimilar from those of competitors, but can fulfill the same need

Brand competition:

Occurs between similar products (e.g. Zest bar soap and Irish Spring bar soap)

International competition:

Matches the products of domestic marketers against those of foreign competitors

MARKETING MANAGER:

A person who plans, executes and responsible for all marketing activities.

Role of Marketing Manager

- To identify the unsatisfied needs of the customers
- To design the product
- Project development
- Pricing decisions
- Product distribution
- Communication with the customers
- Marketing research
- Appointment of the staff in marketing department

Marketing Plan

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A written document which describes the overall marketing activities for a particular time period.

Components of marketing plan

- Executive summary
- Current market situation
- Opportunity analysis
- Marketing objectives
- Marketing strategies
- Projected income statement
- Control

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Lecture no 24

The Marketing Mix

Consist of product, place, price and promotion

Product

The good, service, or idea that is marketed to fill consumer wants and needs

Product differentiation

Creation of a product or product image that differs enough from existing products to attract consumers

Pricing

Selecting the most appropriate price at which to sell a product .Lower prices generally lead to higher sales volume, while higher prices generally lead to higher profits per unit.

Place

Determining the most effective and efficient way to get products from producers to consumers

Promotion

All of the activities a firm undertakes to communicate and promote its products to the target market.

Target marketing

A target market refers to a group of customers to whom a company wants to sell its products and services, and to whom it directs its marketing efforts

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Market Segment

A market segment refers to a sub-group of customers that share common characteristics such as interests, geography, age, demographic, or lifestyle.

Market Segmentation

Market segmentation is the process of dividing a target market into smaller, more defined categories.

Factors of market segmentation

- **Geographic segmentation** is a marketing strategy used to target products or services at people who live in, or shop at, a particular location.
- **Demographic segmentation** groups customers and potential customers together by focusing on certain traits such as age, gender, income, occupation & family status.
- **Psychographics** are the attitudes, interests, personality, values, opinions, and lifestyle of your target market.
- **Behavioral segmentation** is the process of sorting and grouping customers based on the behaviors they exhibit.

Important Questions of this lecture

Define the marketing mix and its components
Define the market segmentation and its factors

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Lecture no 25

This lecture will not be include in final term exam

Market research:

Market research is an organized effort to gather information about target markets and customers.

Market information:

Market information is making known the prices of the different commodities in the market, the supply and the demand.

Market segmentation:

Market segmentation is the process of dividing a target market into smaller, more defined categories.

Market trends:

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A trend is the overall direction of a market or an asset's price. In technical analysis, trends are identified by trend lines or price action that highlight when the price is making higher swing highs and higher swing lows

Market research process

There are four steps of market research process

- Defining the research problem
- Establishing the research design
- Collecting and analyzing data
- Formulate findings

Defining the research problem

The step defining the research problem exists of two main steps

- Formulating the problem
- Establishing research objectives

Formulating the problem:

Formulation of a research problem means to state the problem in a way that is researchable.

Establishing research objectives:

Research objectives should be closely related to the statement of the problem and summaries what you hope will be achieved by the study.

Establishing the research design

The step establishing the research design consists of 3 main steps.

- Select the research design
- Identify information types and sources
- Determine the design research instrument

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Select the research design:

The design allows researchers to hone in on research methods that are suitable for the subject matter and set up their studies up for success.

Identify information types and sources:

Business magazines and journals published periodically contain data which is very useful for marketing research;

Determine the design research instrument:

Research Instruments are measurement tools (for example, questionnaires or scales) designed to obtain data on a topic of interest from research subject.

Collecting and analyzing data

Data collection is defined as the procedure of collecting, measuring and analyzing accurate insights for research using standard validated techniques. The data analysis stage in a market research project is the stage when qualitative data, quantitative data or a mixture of both, is brought together and scrutinized in order to draw conclusions based on the data.

Formulate findings

Market research is the process of determining the viability of a new service or product through research conducted directly with potential customers. Market research allows a company to discover the target market and get opinions and other feedback from consumers about their interest in the product or service.

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Important question of this chapter

Examiner can be asked about the steps of market research, steps of establishing the research design and the steps of defining the research problem in long or a short question.

Define the market research, market segmentation, market trends and market information.

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Lecture no 26 Research methods

This lecture will not be include in final term exam

Observation

Market Research technique that involves simply watching and recording Consumer behavior

Survey market research

Market survey is the survey research and analysis of the market for a particular product/service which includes the investigation into customer inclinations.

Focus group market research

A technique in which a small group of people is gathered, presented with an issue, and asked to discuss it in depth.

Experimentation

A market research technique that attempts to compare the responses of the same or similar people under different circumstances

Influence in customer behavior

Consumer behavior is essentially the study of why consumers purchase and consumer Products. Four key factors influence consumer behavior:

I. Psychological:
Motivations, perceptions, ability to learn, attitudes

II. Personal:
Lifestyle, personality, economic status

III. Social:
Family, opinion leaders, reference groups (e.g. Friends, associates)

IV. Cultural:
Culture, subculture, social class

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The Consumer Buying Process

Problem/Need recognition:
The consumer buying process begins with recognizing a problem or need

Information seeking:
Sources of information can range from personal sources, to market sources, to public sources, to experience.

Evaluation of alternatives:
This step is essentially a matching process: How do the attributes of the products you are considering match with your needs and wants?

Purchase decision:
Purchase decisions are typically based on a combination of rational and emotional motives. Rational motives are based on logical evaluation of
Product attributes (e.g. Cost, quality, and usefulness). Emotional motives are based on non-objective factors (e.g. "All my friends have 4-inch high heel shoes!").

Post-purchase evaluation:
This includes everything that happens after the sale. Satisfied customers are likely to repurchase products they have used and enjoyed, while unhappy customers are not only unlikely to repurchase, but also are prone to broadcast their negative experience to other potential consumers.

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Lecture no 27 PRODUCT, TYPES OF PRODUCTS & STEPS FOR PRODUCT DEVELOPMENT

What is product?

A product is anything that can be offered for sale by an organization and in return it can
Earn profits for the firm.

Define the form of products. OR differentiate b/w tangible and intangible products.

Tangible:

All the products that can touch physically or smelled or felt with fingertips are called Tangible ones

Intangible:

All the products that cannot be touched physically are called intangible ones.

Define the classification of products.

Consumer product:

A final goods or consumer goods are a commodity that is used by the consumer to satisfy current wants or needs.

Industrial product:

Products that are used to prepare other products are called as industrial products.

Categories of consumer goods

- ***Convenience goods*** (Convenience goods are items consumers buy often and easily these include newspapers, magazines, most grocery items, and petrol.)
- ***Shopping goods***(consumer goods that are usually purchased only after the customer has compared price, quality, and style)
- ***Specially goods***(Specialty products are products with unique characteristics or brandidentification.)

Categories of industrial goods

- ***Capital items***(Capital goods are fixed assets such as machinery, equipment, buildings, vehicles, computers)
- ***Expense item****(raw material, utility items such that oil, grease)*

Steps for product development

- Recognition of unsatisfied
- Idea generation
- Idea screening
- Prototype (physical shape of product)
- Product testing (laboratory test and market test. In market testing product is sold on trial basis)
- Commercialization(product is sold on commercial basis)

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Important questions of this lecture

- Differentiate b/w tangible and intangible form of products.
- Differentiate b/w consumer and industrial products.
- Define the characteristics of consumer products.
- Define the characteristics of industrial products.
- Write down the steps of product development.
- What is mass marketing (product is sold on commercial basis this concept is known as mass marketing)

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Lecture no 28 PRODUCT LIFE CYCLE, BRANDING, PACKAGING & LABELING

Introducing stage

The introduction stage is the first stage in the product life cycle where a company tries to build awareness about the product or service in a market where there is less or no competition.

Growth stage

The growth stage is the period during which the product eventually and increasinglygains acceptance among consumers, the industry, and the wider general public.

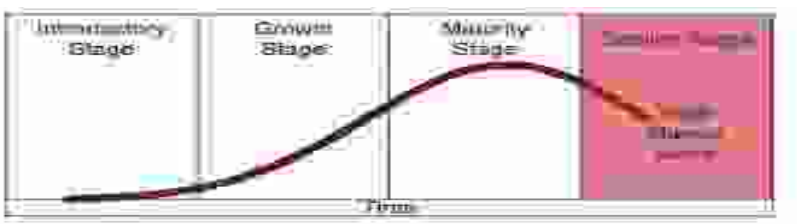
Sale of the product increase due to:

- Repeated order of old customers.
- New customer will also enter the market.

Maturity stage

The maturity stage of the product life cycle shows that sales will eventually peak and then slow down

Decline stage

The 

decline stage of the product life cycle is the terminal stage where

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sales drop and production is ultimately halted.

Brands

A brand is a name, term, design, symbol or any other feature that identifies one seller's good or service as distinct from those of other sellers

Types of brands

- **National brands (**If a same brand is sold throughout the country then it's called as National Brand.**)**
- **License brands (**Seller buys the right to sell that brand in the market.**)**
- **Private brands (**Manufacturers use the brand of some retailer while manufacturing the product.**)**

Packaging

Packaging is the science, art and technology of enclosing or protecting products for distribution storage, sale, and use.

Labeling

Labeling or using a label is describing someone or something in a word or short phrase.

Important questions of this lecture

- *Explain the life cycle of product*
- *Differentiate b/w maturity stage and decline stage*
- *When the sale of the product increase*
- *Define the type of brands*
- *Differentiate b/w the packaging and labeling*

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Lecture no 29 PRICING & DISTRIBUTION MIX

Pricing

Price is the value which a seller receives in exchange of a good or a service.

Objectives of pricing

- Maximization of profit.
- Increasing market share.
- Psychological advantage.
- Get rid of stock.

Cost based pricing

Cost-based pricing is a pricing method that is based on the cost of production, manufacturing, and distribution.

Breakeven Analysis

Break-even analysis tells you how many units of a product must be sold to cover the fixed and variable costs of production.

In order to consider the breakeven point, we need to consider:

- Fixed cost
- Variable cost

Pricing of a new product

- Price skimming
- Penetrating pricing
- Fixed price
- Dynamic price

Pricing skimming

It is a strategy through which a product is introduced in the market with higher price than The market expectations

Advantages of price skimming

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- If there is any mistake in calculation of cost, price skimming strategy will absorb that Mistake due to initial higher price.
- Sometimes, customers value the quality of the product with its price.

Penetrating pricing

Penetration pricing is **a** marketing strategy used by businesses to attract customers to a new product or service by offering a lower price during its initial offering.

Advantages of penetrating pricing

- A larger market share can be captured through this pricing strategy.
- Pricing depends upon the objectives of the organization.

Fixed pricing

A fixed price is aprice set for a good or a service that is not subject to bargaining.

Dynamic pricing

Dynamic pricing, also called real-time pricing, is an approach to setting the cost for a product or service that is highly flexible.

The Distributing mix

The distribution mix is an important part of the marketing mix, ensuring that the right product gets to the right place at the right time.

Intermediary

Independent firms which assist in the flow of goods and services from producers to end-users; they include agents, wholesalers and retailers;

Wholesale-intermediary

They sell products to other businesses for resale to final consumers

Retailer-intermediary

They sell products directly to consumers.

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Lecture no 30 WHOLESALING, RETAILING & PHYSICAL DISTRIBUTION

Agents and broker

Brokers and agents typically perform only a few of the marketing flows, and their main function is to ease buying and selling

Wholesaling

Wholesaling is the act of buying goods in bulk from a manufacturer at a discounted price and selling to a retailer for a higher price

Types of wholesaling

- **Merchant wholesalers**

  A merchant wholesaler is an intermediary who buys goods from manufacturers and sells them to third parties – retailers, businesses, government institutions, or other wholesalers.

Types of merchant wholesalers

- **Full service merchant wholesaler** (Full-service wholesaler is a wholesaler who provides a full line of services: carrying stock, maintaining a sales force, offering credit, making deliveries, and providing management assistance.)
- **Limited service merchant wholesaler** (Limited-service wholesalers, who offer fewer services to their customers and suppliers, emerged in order to reduce the costs of service)
- **Drop shipper** (Drop shipper wholesalers take ownership of goods, sign sales contract but they do not take responsibility for physical transportation or delivery.)
- **Rack jobbers** (Rack jobbers are those wholesalers who buy and keep stock of goods for retailers. They don't have their own warehouse. They carry goods by their own means of transportation.)

Retailing

Retail is the process of selling consumer goods or services to customers through multiple channels of distribution to earn a profit.

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Types of retailer

Product line retailer

- **Department store (**a large shop stocking many varieties of goods in different departments**)**
- **Super market (** a large self-service shop selling food and household goods**)**
- **Hyper market (** a very large self-service store with a wide range of goods and large car park, typically situated outside a town**)**
- **Specialty stores (** a specialty store is a shop that carries a deep assortment of brands, styles, or models within a relatively narrow category of goods**)**
- **Category killers (** a category killer is large retail chain superstore that is so competitive that it dominates it product category and put less productive and highly specialized merchants out of business **)**
- **Scrambled merchandising (**When a shop/retailer sells products in his shop which do not belong to the usual assortment of products he keeps or sells it is called scrambled merchandizing.**)**

Bargain retailer

- **Discount house (**a discount house is a firm that specializes in trading, discounting, and negotiating bills of exchange or promissory notes.**)**
- **Off price store (Off**-price retailers are retailers who provide high quality goods at cheap prices.**)**
- **Catalog showroom (**A catalog showroom is a retail outlet that consumers visit to make actual purchases of articles described in catalogs mailed to their homes or available for reference in the store.**)**
- **Factory outlet (**An *outlet store*, factory outlet or *factory shop* is a brick and mortar or online store in which manufacturers sell their stock directly to the public.**)**
- **Warehouse club (**A warehouse club is a retail store, usually selling a wide variety of merchandise, in which customers may buy large.**)**
- **Convenience store (A** retail store offering easy accessibility, extended hours, and fast service.**)**

Physical distribution

Physical distribution encompasses all activities required to move finished products from a producer to the cons umer

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Transportation Operation

Transportation modes are

- **Trucks (** used to door- to door delivery**)**
- **Railroads (** they are able to carry heavy and diversified cargo**)**
- **Water carriers (** boats are cheapest form of transport and carry bulk items**)**
- **Air transport (** it is fattest form of transport and used for unreliable and expensive material**)**
- **Pipelines (** it is expensive to build, operate and maintain**)**

Changes in Transportation Operations

- **Inter-modal Transportation**

  (combined use of several different modes of transportation)

- **Containerization**

  (uses of standardized heavy-duty containers in which many items are sealed at points of shipment and opened only at final destination.)

- **Physical Distribution and E-Customer Satisfaction**

  (New ecommerce companies need to focus not only on sales but also on after-sale distribution.

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Lecture no 31 PROMOTION & ADVERTISEMENT

Promotional strategies

- **A Push strategy**

  It is a promotional approach designed to motivate wholesalers and retailer to push a producer's product to the end users.

- **A pull strategy**

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It is a promotional approach that stimulates consumer demand, which than exert pressure on wholesalers and retailers to carry a product.

Promotional Mix

A promotional mix is a combination of marketing methods including advertising, sales, public relations and direct marketing to achieve a specific goal.

Promotional Tools

- **Advertising**
- **Personal selling**
- **Sales promotion**
- **Publicity OR public relation**

The promotional tools depend on these factors

- The nature of the product
- The target audience
- Promotion and the buyer decision process
- The promotional mix budget

Advertising Promotion

Promotional tool consisting of paid, non-personal communication used by an identified sponsor to inform a audience about a product.

Advertising

Advertising is a marketing communication that employs an openly sponsored, non-personal message to promote or sell a product, service or idea.

Advertising strategies

- **Persuasive Advertising(**Advertising strategy that tries to influence consumer to buy one company's product.**)**
- **Comparative Advertising (**Advertising strategy that directlycompares two or more products.**)**
- **Reminder Advertising (**advertising strategy that tries to keep a product's name in the consumer's mind.**)**

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Advertising Media

- Television
- News paper
- Direct mail
- Radio
- Magazines
- Outdoor Advertising
- The Internet

Media Mix

A media mix is the blend of paid communication channels that an organization uses to get its messaging and brand across to potential customers.

Advertising Agency

Independent company that provides some of all a client firm's advertising needs.

Steps to preparing the campaign an advertising agency

- Identify the target audience
- Establish the advertising budget
- Define the objectives of the advertising messages
- Create the advertising messages
- Select the appropriate media
- Evaluate advertising effectiveness

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Lecture no 32 PERSONAL SELLING

Preparing the Campaign with an Advertising Agency

- **Identify the target audience**
    - Education class

- Income class
- Area
- Age
- Social class

➢ Establish the advertising budget

- Percentages of expected sales
- Considering our marketing objectives
- Considering the competitors

➢ Define the objectives of the advertising messages

- Are we going to introduce new product
- Are we going to advertise price change impact
- Are we going to launch new campaigns in response to our competitor's campaigns?

➢ Create the advertising messages

- Include all color selection, images, Cartons and illustrations
- Selection of language
- Select of appropriative words

➢ Select the appropriate media

- Radio for agricultural product
- TV for consumer products

➢ Evaluate advertising effectiveness

- Our message has changed customer's buying decisions or not?
- We have found desired image or not?
- Our meaning well communicated or not?

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Personal Selling

A promotion tool in which a salesperson communication one-on-one with potential customers

Personal selling situations:

- **Retail sale**
  Personal selling situation in which product are sold for buyers, personal and household use

- **Industrial selling**
  Personal selling situation in which products are sold to business, either for manufacturing other products or for resale

- **Pharmaceutical products**
  Sales persons communicate with doctors and products are presented to the doctors

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Lecture no 33

Tasks of sales manager

- To increase the sale
- To control the sale

Organization of team

The team performs the tasks of implementation of all the decision relevant to sales. Sales manager chooses the persons for this team.

Implementation of plans

In this stage team implement all the plans made by sales manager

Territory management

Sales manager defines the rout plan of sales persons in this stage

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Personal selling tasks

- **Booking the orders**
  Consulting the customers and get their order booked for specified time period

- **Processing of orders**
  Personal selling tasks in which salespeople receive orders and see to their handling and delivery

- **Creative selling**
  Personal selling task, in which salespeople try to persuade buyers to purchase products by providing information about their benefits

- **Missionary selling**
  To sell products by helping the buyer sales man provides voluntary service to the buyer and tries to put the order.

Personal Selling Process

Getting the appointment Prospecting

Prospecting is a process of identifying potential customers; qualifying identifies those who have the authority to buy and the ability to pay.

With the help of prospecting we will able to know

- Location of the industry
- To know about the decision maker
- Size of the order
- Mode of payment
- Past practices of the organization
- Current problems

Techniques for prospecting

- **Snowball technique**
  To ask a satisfied customers, about more customers to sell the product

- **Cold-conversion technique**
  Knocking every body's door

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Features of the prospective buyers

- Age of a person
- Interest of the buyer
- Preferences of the buyer

Approaching the customers

Getting appointment

Advantages of the appointment

- Proper hearing
- Customer will get the feeling that his time is being respected

Disadvantages of the appointment

- Customer might say no
- Salesperson might not be able to reach in time

Without getting appointment

Advantages of not getting the appointment

- Time is in control of sales persons
- Salespersons does not have fear of getting no

Disadvantages of not getting the appointment

- Customer might fell that person is not organized person

Barriers

Customer may face the following barriers in reaching the customers

- ✓ Security Guards
- ✓ Receptionist
- ✓ Junior officer

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Techniques to handle barrier

- Requesting to the security guard
- Using the name of organization
- Giving small gifts from the company in order to go in

Presenting and Demonstrating

A full explanation of the product, its features, and its uses, linking its benefits to the prospect's needs

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Lecture no 34 Sales Promotions

Sales promotion

A sales promotion is a marketing strategy where a business will use short-term campaigns to spark interest and create demand for a product, service or other offers.

Start of sales presentation

Presentation stage

After approaching the buyer sales person reviews the situation.

It include

- Type of furniture
- Wall hanging
- Type of curtains
- Personal taste

Start the conversation

Interest stage

Interest of the customer can be

- Price
- After sale service
- Guarantee and Warrantee

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Objection stage

In this stage sales person will try to create desire in the customer to buy the product. Customer will start raising the objections or the questions. If the buyer starts to take the Interest in asking the questions about the product, it means salesperson has convinced Him in buying.

Closing stage

In this stage the order is booked and agreement is signed by the seller and buyer.

Follow up stage:

In this stage the order is fulfilled and goods are being distributed according to the agreement.

AIDA

It stands for Attention, Interest, Desire and Act.

Skeptic Customer

It refers to the doubtful behavior of the customer because of deception from any seller in the past.

Innovation in sales

Tele Marketing

Tele Marketing helps to receive quicker response and avoid long distances.

Techniques for Sales promotions

- **Agreement of a contest**
  Customers, distributors, and sales reps may all be persuaded to increase sales by means of contests.

- **Tradeshows**
  Customers, distributors, and sales reps may all be persuaded to increase sales by means of contests.

- **Point-of-purchase also called Point-of-Sales**
  Point of purchase (POP) or Point of sales (POS) displays is devices used to show a product in a way that stimulates immediate sales.

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Lecture no 35 THE PRODUCTIVITY

Productivity

Productivity is the measure of the effective use of the organization's resources.

Production

Conversion of raw material into finished goods.

Utility

Ability of a product to satisfy a need is known as utility

Form of utility

- **Time utility (**Getting a product when required**)**
- **Place utility**
  (Product is manufactured at one place and is sold at another place. Utility of the product is increases du e to its mobility.**)**
- **Form utility (**changing the form of the product and then converting it into some useful product.**)**

Operation planning

Operations mangers decide about the about the production capacity of the organization.

Capacity planning

Optimum level of production needed by the organization

Factors for location of industry

We have to ability of

- Skilled workers
- Electricity, gas, water and telephone
- Access to the road and railway
- Raw material
- Climatic condition

Facilities to be organized for production process

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- **Productive facilities**
  It includes units and plants which contain assembly lines and machines in order to convert the raw material into finished products.

- **Non-productive facilities**
  A process that is not directly involved in the production process but are related to the production, for e xample storing the raw material

- **Support facilities**
  It includes departments like management, purchasing, finance, human resource and others which supp ort to run the factory.

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Lecture 36 TOOLS FOR PRODUCTION PLANNING

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Non important And No Thing

Lecture no 37 TOTAL QUALITY MANAGEMENT

Managing quality

Total quality management

The sum of all activities involved in getting high quality products into the marketplace.

Planning for quality

- **Performance quality**
  The performance features offered by a product.

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- **Quality reliability**
  Consistency of a product's quality from unit to unit

Quality

Directing for quality means that managers must motivate employees throughout the company to achieve quality goals.

Quality Control System

Inspection

Inspection is a method, method and tactics used to minimize defects in products or services

Quality control

The prime purpose of quality control is to assure that processes are performing in an acceptable manner

Quality assurance

The prime purpose of quality control is to assure that processes are performing in an acceptable manner

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Lecture no 38 TOTAL QUALITY MANAGEMENT

Types of costs

- **External failure costs**
- **Internal failure costs**
- **Appraisal costs**
- **Prevention costs**

External failure costs

External failure costs are incurred to remedy defects discovered by customers. These costs occurs when product or services that fail to reach design quality standard are not detected until after transfer of the customers.

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Internal failure costs

Internal failure costs are incurred to remedy defects discovered before the product or service is delivered to the customer.

Appraisal costs

Appraisal costs are fees a company pays to detects in its product ahead of delivering them to customers.

Prevention costs

Prevention costs are any expenditure incurred that are intended to minimize the number of defects in products and services

ISO

ISO is a certification which shows that organization is following some system and that system might lead to so me quality product.

ISO 2000: 9000 Certification programs

It is a standardized system which provides a set of systems to the organization.

ISO 14000

It is a system that certifies the organization for protecting the environment is called ISO 14000

Value Chain Management

All activities performed are working in a chain to produce a valued product.

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Lecture no 39 BENCHMARKING

Benchmarking

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Process by which a company implements the best practices from its own past performance and those of other companies to improve its own products

- **Internal benchmarking** (Uses the firm's own performance to evaluate progress and set goals)

- **External benchmarking**(begins with a critical review of competitors or even companies in other businesses to determine which have "best practices."

Zero defect level

A stage where there is no defect in the product, process and organization.

Consideration in benchmarking

Process of benchmarking

- **Sales forecasting**
  We can benchmark the order booking process

- **Pricing**
  In pricing other organization pricing system is noted then pricing mechanism is prepared.

- **Distribution**
  Organization should match the distribution channel with other organization.

- **To maintain financial record**
  Record should be properly maintained in soft data as well as hard copy. There should be back up of that data at various places.

- **Technology**
  Chose the technology which is most efficient and result oriented

Key variables in a process

- **Product**
  - shape of product
  - color of product
  - size of product
  - weight of product

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Selling and Marketing

- **Cost:** Promotion cost with competitors, how to save cost?
- **Identification of unsatisfied needs of customers**
- **Productivity:** how a organization can increase its productivity
- **Mixture of ingredients:** what ingredient should be so that customer can satisfy?
- **Timelines :** save and reduce the time
- **Differentiation of products:** there should be uniqueness in product
- **Performance of a product:** performance of product should be according to customer's satisfaction

Identification of best plan

For benchmarking organization should identify the best plan or practices from different organizations. For exam ple In mobile phones, one companies phone have better battery timing, Second has good design, third one has good display screen, fourth one has light weighted and good result of camera.

Example

Food restaurant, which one is best restaurant in following things;

- Services
- Parking
- Variety of dishes
- Interior
- Cutlery

Measurement of own performance

Organization should measure the own performance and keep in mind one important thing that not find th e only one organization for benchmarking.

Example

Airline company should measure:-

- Handling of luggage
- Comfort wise with other air lines

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- Safety record
- Time lines: less time from one place to another.

Action to bridge the gap

Identify the gap where we are lacking, where our performance is low and how we can improve our performanc e.

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Lecture no 40 COMMUNICATION

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Communication

Transmission of information from one place, person or organization to another place, person or Organization

In other words

"Communication is the blood of the organization".

Flow of communication

- **Upward communication:** flow of communication from bottom to top
- **Downward communication:** Flow of communication from top to bottom

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Hierarchy of management

Top management

- Chief Executive
- Managing director
- Board of directors

Middle management

- Directors
- Senior managers

Lower management

- Officers
- Executives

Internal communication

Communication within the organization is called internal communication

External communication

Communication with the outside bodies.

Process of communication

Sender

Sender is a person or organization that communicates.

Receiver

Receiver is a person or organization who receives the message.

Encoding

Conversion of message into understandable form. Seller is called encoder.

Decoding

Giving meanings to the message. Receiver is called decoder.

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Verbal communication

Written or oral communication, the basis of communication is the interaction between people. Verbal communication is one way for people to communicate face-to-face.

Non-verbal communication

Sources of non-verbal communication is

- **Appearance**
  Appearance of people and surroundings. E.g. if we receive any letter, appearance of the letter can show from where it comes.

- **Colors**
  Colors also indicate the nonverbal communication. For example red light at signal means to stop the vehicles.

- **Sounds**
  Sound is also non verbal communication. For example voice of machine in organization show that machine is running and work is in progress.

- **Smell**
  Smell is also a source of non verbal communication. In industry if there is fire anywhere than we can judge by smell that something is burning and can take the appropriate action.

- **Touch**
  Touch is also source of non verbal communication. We can judge different object by touching them. Blind people judge different things by touching.

- **Silence**
  Silence is also a source of nonverbal communication. For example Organization hires the employee and gives specific dates for joining but the employee does not join till given date. This silence creates two meanings in the mind of that organization that either he/she is not interested in this job or not received our letter.

- **Body language**
  Body language is also non verbal communication. For example gesture, posture etc. Biting the nail, sitting at the edge of chair shows discomfort

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Lecture no 41 NON-VERBAL COMMUNICATION

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Communication channels

- Letter
- Telephone
- Fax
- A person who carries the message to another person

Flow of communication

The sender sends the message through a channel and the receiver receives this message.
There is communication between two parties.

Letter

Letter is written for communication outside the organization

Types of letter

- **Inquiry letter**

  In this type, organization collects the information. For example, purchasing of furniture, about raw material, transportation cost from goods transporter.

- **Reply to the inquiry letter**

  In this type, organization gives the information. For example,
  give the information to customer about product cost, Method of delivery etc.

-

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- **Order letter**

  In this type, organization places the order for purchasing something.

- **Complaint letter**

  In this type, organization complaint about the already purchased products or acquired services. For example quality problem of product etc

- **Adjustment letter**

  In this type, organization sends the letter for adjustment of accounts.

Memorandum

Memorandum is written for communication inside the organization. Informal language is used in memorandum.

Information system

Gather the information & arrangement of information into a form that can be used for decision making purposes

Information management

Arrangement of information into a form which is useful for management

Duties of information manager

- Information gathering
- Information organizing
- Information distribution

Data

Data is raw figures and facts.

Information

Meaningful shape of data is called information

Why Information System is important in the Organization?

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- Frequent use of information.
- New technology.
- New innovations, processes and methods.
- New communication devices:
  Telephone
  Intercom
  Video conferencing
- Digital business system
- Data communication network:
- Global network for receiving and sending the information globally, quickly and economically.

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Lecture 42 APPLICATION OF INFORMATION SYSTEM IN THE ORGANIZATION

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New Options for Organizational Design: The Networked Enterprise

- **Leaner Organizations**—Networked firms can accomplish more work with fewer resources.
- **More Flexible Operations**—Electronic networks allow businesses to offer customers greater variety and faster delivery cycles.
  1. **Mass-customization**—Flexible production process that generates customized products in high volumes at low cost
- **Increased Collaboration**: Networked systems make it cheaper and easier to work together.
  1. **Networking and the Virtual Company**: Networked systems can also improve collaboration between organizations through the so-called virtual company
- **Greater Independence of Company and Workplace**: Employees no longer need to work only at the office or the factory, nor are all the company's operations performed at one location. Geographically separate processes can be tightly coordinated via networking.
- **Improved Management Processes**: Because instantaneous information is accessible in a convenient usable format, more upper managers use it routinely for planning, leading, directing, and controlling operations.

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Enterprise Resource Planning (ERP)

A system that helps the organization in planning its resources using computerized system.Resources can be:

- Financial resources
- Administrative resources

Types of Information Systems

Organizations depend on quality information to make good decisions and help themaccomplish their goals. To design and develop good information systems, companies hire a top-level manager known as a CIO. A Chief Information Officer (CIO) is a strategic-level manager who oversees the company's information systems.

Types & levels of Information Systems in any organization can be:

- Information system for top management.
- Information system for middle management.
- Information system for lower management.

Information system for Departments

MIS (management information systems) is the department controlling hardware and software systems used for business-critical decision-making within an enterprise. The CFO oversaw MIS, ensuring the developers and administrators delivered what accounting needed.

Considerations of Users for Information System

- Managers at Different Levels:

First-line managers need information on the day-to-day details of their departments or projects. Middle managers need summaries and analyses for setting intermediate and long-range goals for their departments or projects. And top managers need information on broader economic and business trends, and overall company performance.

- Functional Areas and Business Processes:

Each business area (e.g. marketing, finance) has its own information requirements, and each business process (e.g. strategic planning, product development) also has specific information needs.

- Management Information System (MIS)

A system which helps management in decision making MIS provides information regarding decision making of management.

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- Decision Support System (DSS)

A system which supports the decision of the management is called Decision support system. Pool of information is gathered after various internal & external researchers and this system provides a proper form to make this information functional for decision making.

Executive Support System (ESS) OR Executive Decision System (EDS)

A system which provides information to executives for decision making is called Executive Support System. Since executives have to take decision at broader levels so this special system is designed for them to provide very valid, accurate & timely information for top leveldecisions.

Computer Network

Computers linked together for the purpose of information sharing are called computer network.

COMPONENTS OF INFORMATION SYSTEM

I. Hardware
II. Software
III. Controls
IV. Database
V. People
VI. Tele-communication

Hardware:

Physical components of a computer system

- Inputting
  I. **Input Device**: Part of the computer system that enters datainto it.
  II. **Central Processing Unit** (CPU): Part of the computer systemwhere data processing takes place.
- **Main Memory**: Part of the computer CPU housing memory ofprograms it needs to operate.
- Programs
  I. **Program**: Set of instructions used by a computer to performspecified activities.
  II. **Output Device**: Part of the computer system that presentsresults, either visually or in printed form.

Software:

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Programs that instruct a computer in what to do

I. **System program**: Software that tells the computer what resources touse and how to use them.
II. **Application program**: Software (such as Word for Windows) thatprocesses data according to a user's special needs
III. **Graphical User Interface**: Software that provides a visual display tohelp users select applications.

ACCOUNTING

- A system of recording, classifying, analyzing, summarizing and reporting the economic information in terms of money.
- Economic Information: Every information is economic information where monetaryexchange takes place

General Journal

A book in which all economic information of general nature is recorded.

Ledger

It is a book in which all economic information is recorded category wise or heading wise.

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Lecture 43 ACCOUNTING

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Accounting Period: Time span in which accounts are terminated.

Summarizing: Summary of all revenues and expenses.

Income Statement: A statement which shows the position of revenues and expenses or profit and loss.

Profit: Excess of revenues over expenditures.
Loss: Excess of expenditures over revenues.
Bookkeeping: Recording of accounting transactions. It is just one phase of accounting

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Accounting Vs Book Keeping

- Recording the information in the books is called book keeping.
- To draw a picture from the information is called accounting.

ACCOUNTING INFORMATION SYSTEM (AIS)

Organized means by which financial information is identified, measured, recorded, and retained for use in accounting statements and management reports.

Types of Accounting

- **Financial Accounting: Financial accounting is used by external users.**
- **Managerial Accounting:** Managerial accounting is used by internal users.

AUDITING

Auditing typically refers to financial statement audits or an objective examination and evaluation of a company's financial statements usually performed by an external third party. Audits can be performed by internal parties and a government entity, such as the Internal Revenue Service (IRS).

Accounting versus Auditing

- Accounting is concerned with recording of accounting information.
- Auditing is concerned with examination of accounting information.

TYPES OF AUDITORS

There are two types of auditors:

I. Internal Auditors

II. External Auditors

Internal Auditors

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An internal auditor (IA) is a trained professional tasked with providing independent and objective evaluations of company financial and operational business activities. They are employed to ensure that companies follow proper procedures and function efficiently.

What is external audit?

External auditors are independent staff assigned by an auditing firm to assess and evaluate financial statements of their clients or to perform other agreed upon evaluations. Most external auditors are. Employed by accounting firms for annual engagements. They are called upon from the out side of the company

USERS OF ACCOUNTING INFORMATION

- Business Managers & Management

  Set goals, develop plans, set budgets, and evaluate future prospects.

- Employees and Unions

  Get paid, plan for and receive benefits

- Investors and Creditors (Owners)

  Estimate returns to stockholders, determine company's growth prospects, and determine creditworthiness before investing or lending

- Banks

  They would be interested in company's financial conditions as they would like to know when their loans will be paid

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- Tax Authorities (Banks)

  Plan for tax inflows, determine tax liabilities, and ensure proper payment

- Government Regulatory Agencies

  Fulfill their duties to citizens

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Lecture 44 TOOLS OF THE ACCOUNTING TRADE

This lecture will not be include in final term exam

The Accounting Equation

Accountants use the following equation to balance the data in journals and ledgers:

Assets = Liabilities + Owners' Equity

ASSETS AND LIABILITIES

Asset—any economic resource expected to benefit a firm or an individual who owns it.

I. **Tangible Assist:** It includes Cash, Building, Automobiles, Machinery & raw Materials.
II. **Intangible Assist:** It includes copy rights & good will etc.Assists are always equal to liabilities of the firm.

Liability—debt owned by a firm to an outside organization or individual. These are all payables, claims or obligation of the firm. These can be payable to bank, to suppliers or to other institutions.

Liabilities are of two types:

- Liability towards owner
- Liability towards other parties

Owners' Equity

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Amount of money that owners would receive if they sold all of a firm's assets and paid all of its liabilities.

It consists of two sources of capital:

- The amount the owners originally invested
- Profits earned by and reinvested in the company.

Double-Entry Accounting

To keep the accounting equation in balance, companies use a system developed by Fra Luca Pacioli, an Italian monk, in 1494.

Double-entry accounting is a way of recording financial transactions that requires two entries for every transaction, so that the accounting equationis always kept in balance

a. Every transaction has two effects:
    1. Debit
    2. Credit
b. For every debit, there is always a credit.
c. For every credit, there is always a debit.
d. Debit and credit are always equal.

FINANCIAL STATEMENTS

Any of several types of reports summarizing a company's financial status to aid in managerial decision making

Balance Sheet

A balance sheet is a financial statement that reports a company's assets, liabilities and shareholders' equity at a specific point in time, and provides a basis for computing rates of return and evaluating its capital structure.

A. A sheet which shows balances of assets and liabilities.

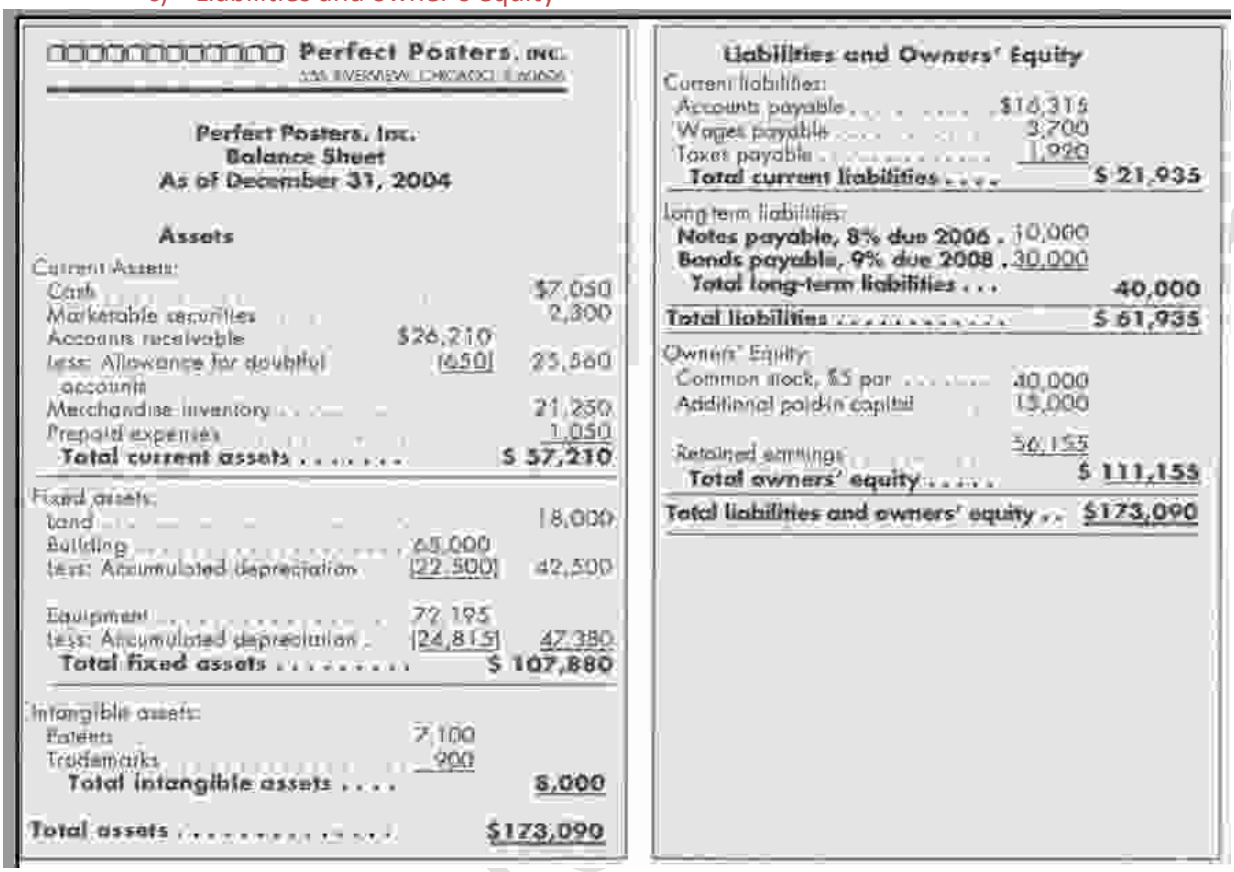
B. Balance sheet includes:

a) Title
I. Name of company
II. Name of statement
III. Period

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b) Asset side

c) Liabilities and owner's equity



Perfect Posters, Inc.
Balance Sheet
As of December 31, 2004

Assets

Current Assets:		
Cash		$7,050
Marketable securities		2,300
Accounts receivable	$26,210	
less: Allowance for doubtful accounts	(450)	25,560
Merchandise inventory		21,250
Prepaid expenses		1,050
Total current assets		**$ 57,210**
Fixed assets:		
land		18,000
Building	65,000	
less: Accumulated depreciation	(22,500)	42,500
Equipment	72,195	
less: Accumulated depreciation	(24,815)	47,380
Total fixed assets		**$ 107,880**
Intangible assets:		
Patents	7,100	
Trademarks	900	
Total intangible assets		**8,000**
Total assets		**$173,090**

Liabilities and Owners' Equity

Current liabilities:		
Accounts payable	$16,315	
Wages payable	3,700	
Taxes payable	1,920	
Total current liabilities		**$ 21,935**
Long term liabilities:		
Notes payable, 8% due 2006	10,000	
Bonds payable, 9% due 2008	30,000	
Total long-term liabilities		**40,000**
Total liabilities		**$ 61,935**
Owners' Equity:		
Common stock, $5 par	40,000	
Additional paid-in capital	15,000	
Retained earnings	56,155	
Total owners' equity		**$ 111,155**
Total liabilities and owners' equity		**$173,090**

Trial Balance

A trial balance is a bookkeeping worksheet in which the balances of all ledgers are compiled into debit and credit account column totals that are equal. The general purpose of producing a trial balance is to ensure the entries in a company's bookkeeping system are mathematically correct.

Key to preparing a trial balance is making sure that all the account balances are listed underthe correct column. The appropriate columns are as follows:
Assets = Debit balance
Liabilities = Credit balance
Expenses =Debit Balance
Equity = Credit balance
Revenue= Credit balance

Trial Balance Errors

- Those errors which will affect debit and credit side.
- If both sides of trial balance are equal, it does not mean that books of accounts areerror free.

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Lecture 45 FINANCIAL MANAGEMENT

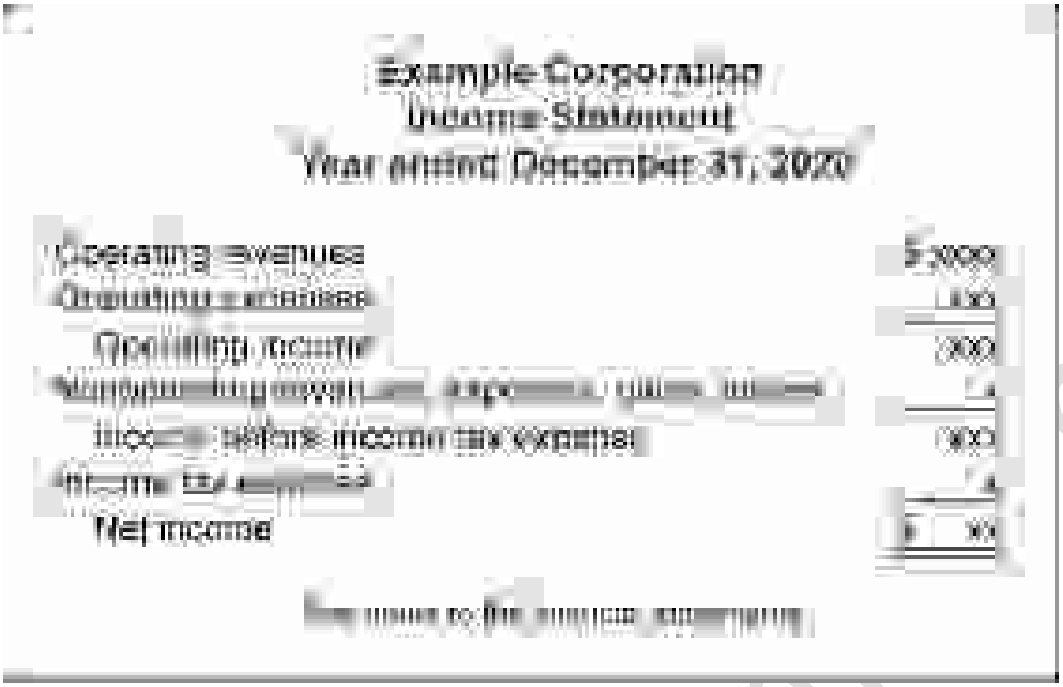
This lecture will not be include in final term exam

3) INCOME STATEMENT

It is a financial statement listing a firm's annual revenues and expenses so that a bottom line shows annual profit or loss. If the balance sheet is a "snapshot," the income statement is a movie."

a. Cost of Goods Sold: Total cost of obtaining materials for making the products sold by a firm during the year.
b. Gross Profit (or Gross Margin): Revenues obtained from goods sold minus cost of goods sold.
c. Operating Expenses: Costs, other than the cost of goods sold, incurred in producing a good or service.
d. Operating Income: Gross profit minus operating expenses.
e. Net income Revenues: Funds that flow into a business from the sale of goods or services.
f. (or net profit or net earnings)—gross profit minus operating expenses and income taxes

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- Revenue is income.
- Profit is obtained after deducting expenses from revenue.

Trading Concern

An organization which buys goods for reselling is called trading concern. The difference between buying price & selling price is called revenue.

FINANCE IN AN ORGANIZATION

Thinking and considering for long term investments of the firm, Generating revenues to pay back these investments and to perform day to day activities of an organization is called finance.

The Role of the financial people in organization management

Corporate finance typically entails four responsibilities: determining a firm's long-term investments, obtaining funds to pay for those investments, conducting the firm's everydayfinancial activities, and helping to manage the risks the firm takes.

Responsibilities of the **Financial Manager** include planning and controlling the acquisitionand dispersal of a firm's financial resources.

I. **Cash-Flow Management**: Management of cash inflows and outflows to ensure adequate funds for purchases and the productive use of excess funds.
II. **Financial Control**: Process of checking actual performance against plans to ensure that desired financial results occur.
III. **Financial Planning**: A **financial plan** shows the funds a firm will needfor a period of time, as well as the sources and uses of those funds. A strategy for reaching some

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future financial position.

IV. **Dealing with Banks**: Deal with almost every bank for debiting &crediting the funds, Manage foreign trade & short term loans.

Ratio Analysis

I. Ratios tell us relationship among financial figures.
II. These can be: Relationship between current assets and current liabilities.

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MGT211 FINAL TERM SOLVED MCQs
(VISIT VURANK FOR MORE)

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1) Which of the following business type has longest life time?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. All of the given options

2) Election of the Board of Directors is done by Shareholders.
   1. Through special resolution
   2. **In annual general meeting**
   3. In Special meeting
   4. In statuary meeting

3) Which of the following business type, has to pay double taxes to the government?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. Cooperative Societies

4) _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
   1. Memorandum of Association
   2. **Article of Association**
   3. Prospectus
   4. All of the given option

5) General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.

1. Charter of Company
2. Article of Association
3. **Prospectus**
4. None of the given option

6) To call the extraordinary meeting, how many days' notice is required? **1. 21 days**

2. 15 days
3. 07 days
4. 30 days

7) According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:

1. Statutory Declaration
2. **Fails to submit statutory report**
3. Expiry of Period
4. Appointment of Liquidators

8) Which of the following is the source of acquiring of redeemable capital?

1. Modarba Certificate
2. Debentures
3. **Participation Term Certificates**
4. All of the given option

9) Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:

1. **Reserve capital**
2. Un-Issued Capital
3. Un-Called up Capital
4. All of the given option

10) The following person cannot make a petition to the court to get an order for winding up of a company.

1. **Petition by debtor**
2. Petition by creditor
3. Petition by contributory
4. All of the above

1) Which of the following is the disadvantage of modified schedules and alternative workplace?

    a. Freedom in professional and personal life
    b. More Job satisfaction
    c. **Complicated coordination**
    d. Suitable for self starter who require little direct supervision

2) Among different managerial styles, which of the following allows most rapid decision making?

    a. Autocratic styles
    b. Democratic styles
    c. Free rein style
    d. None of the given option

3) _____ is the process of motivating others to work to meet specific objectives.

    a. Leadership
    b. Motivation
    c. Free rein style
    d. Democratic style

4) Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

    a. Participative Management and Empowerment
    b. **Management by Objectives (MBO)**

c. Reinforcement/Behavior Modification Theory
d. None of the given option

5) The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

a. Organization Policies
b. Product Policies
c. Management Structure
d. **All of the given option**

6) A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

a. Marketing Mix
b. **Advertising objective**
c. Market segmentation
d. Marketing process

7) Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing control

8) The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

a. **Marketing Environment**
b. Market segmentation
c. Marketing Mix
d. Marketing Penetration

9) The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.
   a. Market segmentation
   b. **Marketing Mix**
   c. Marketing Penetration
   d. Marketing Environment

10) Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

   a. **Substitute product competition**
   b. Brand competition
   c. International competition:
   d. Market competition

11) Physical distribution is a channel to make availability of _____ from producer to consumer.
   a. **Finished goods**
   b. Work in process
   c. Raw material
   d. All of the given option

12) Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:
   a. Persuasive advertising
   b. Comparative advertising
   c. **Informative advertising**
   d. Reminder advertising
   e. None of the given options

13) A _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.

a. **Pull strategy**
b. Push strategy
c. Persuasive advertising
d. Sales Promotion

14) _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.

a. **Warehousing cost**
b. Transportation cost
c. Distribution cost
d. Manufacturing cost

15) Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:

a. Order Processing
b. **Creative Selling**
c. Missionary Selling
d. None of the given option

16) Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.

a. Final consumer
b. Retailer
c. Wholesalers
d. All of the given options

17) In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

a. **Trade Shows**
b. Contests
c. Cross-promotion
d. Special-event sponsorship

18) _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

a. **Total quality management (TQM)**
b. Promotion strategy
c. Sales promotion
d. Management by objective (MBO)

19) A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.
a. Public relation
b. Trade Promotion
c. **Publicity**
d. Consumer Promotion

20) Advertising strategy that tries to keep a product's name in the consumer's mind.
a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. **Reminder advertising**

(GOOD LUCK FOR FINAL EXAM)

(KEEP VISITING VURANK FOR MORE)

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Introduction to business_MGT211_MCQs

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    d. Special-event sponsorship
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d. Consumer Promotion

20) Advertising strategy that tries to keep a product's name in the consumer's mind.

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b. Comparative advertising
c. Informative advertising
d. Reminder advertising

21) A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10%
b) 15%
c) 40%
d) 80%

22) Components of Business Plan include all of the following except

a) Marketing Component
b) Administrative Component
c) External Component
d) Financial Component

3) An agreement between two parties in which one party possess the rights to the other party is

a) Partnership
b) Strategic Alliance
c) Joint venture
d) Franchising

4) The shareholders elect the Board of Directors in the

a) Through special resolution

b) In annual general meeting
c) In Special meeting
d) In statuary meeting

5) Portion of the undistributed profit transferred to which of the following?

a) General Reserve
b) Retained Earning
c) Appropriation account
d) All of the given options

6) Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

a) Charter of Company
b) Article of Association
c) Prospectus
d) None of the given option

7) A joint stock company may be wound up voluntarily in which of the following way:

a) Expiry of Period
b) Fails to submit statutory report
c) Fails to start its business within one year from the date of incorporation
d) All of the following

8) Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:
a) Debt
b) Equity
c) None of the above
d) All of the given option

9) Cooperative Societies are not formed for:

a) The serving of the orphans and widows
b) The help of poor people
c) For the earning of profit
d) Social welfare

10) Which of the following is the source of acquiring of redeemable capital?

a) Mudarbah Certificate
b) Debentures
c) Participation Term Certificates
d) All of the given option

Q# 1:

Which one of the following statements about marketing is inaccurate?

a) The growing number of products in all categories has made it easier for marketers to capture the attention of customers.
b) Marketing has to do with persuading customers a product meets their needs.
c) The mass market has fragmented into many different groups of customers.
d) Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

Q# 2:

The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

a) Marketing
b) Business vision
c) Product development
d) Customer relationship management

Q# 3:

_____ is the typical sequence of changes in demand for a product that occurs over time.

a) The business vision statement
b) The product life cycle

c) Marketing research
d) A customer-oriented approach

Q# 4:

All of the following except _____ are considered to be correct statements about marketing research.

a) It is a systematic search for information about customers' needs and how those needs differ
b) Marketing research is geared to uncover unmet consumer needs
c) With market research, the chance product development will be able to create a product consumers want to buy increases
d) Marketing research provides an inexpensive method for tracking consumer behavior

Q#5:

When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

a) Market differentiation
b) Market mission
c) Market segment
d) Marketing plan

Q#6:

_____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

a) Marketing mix
b) Product mix
c) Product differentiation
d) Product positioning

Q# 7:

Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a) Sales promotion
b) Public relations
c) Personal selling
d) Advertising

Q# 8:

The specific method a company uses to sell and deliver its products to customers is known as its _____.

a) Retail intermediaries

b) Direct distribution
c) Distribution mix
d) Distribution channel

Q# 9:

Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a) Independent wholesalers
b) Direct distribution
c) Company-owned distributors
d) Retail distributors

Q# 10:

The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a) Missionary selling
b) Licensed distribution
c) Distribution mix
d) Distribution channel

Q# 11:

All of the following choices represent one of the four types of utility except:

a) Time
b) Form
c) Loyalty
d) Ownership

Q# 12:

The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

a) Production
b) Sales
c) Marketing
d) Relationship

Q# 13:

The marketing concept is:

a) Companywide consumer orientation with the objective of achieving the maximum amount of profits.
b) Long-run success page.

c) Largest market share.
d) Highest paid staff.

Q# 14:

_____ involves long-term, value-added relationships developed over time with customers and suppliers:

a) Relationship Marketing
b) Marketing Era Marketing
c) Consumer Marketing
d) Exchange Marketing

Q# 15:

An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

a) Sales process
b) Exchange process
c) Relationship process
d) Production process

1. An enterprise that provides products or services that customers desire is a / an:
   a. institution
   b. market
   c. agency
   d. business

2. The different types of stakeholders involved in a business include all of the following except:
   a. owners
   b. creditors
   c. couriers
   d. employees

3. A certificate of ownership of a business is a:
   a. bond
   b. stock
   c. mutual fund
   d. contract

4. The following are possible forms of business ownership except:
   a. proprietorship
   b. partnership
   c. bureaucracy
   d. corporation

5. Partners have unlimited liability in a:
   a. general partnership
   b. corporation
   c. limited partnership
   d. cooperative

1) An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is a :
   a. franchise
   b. joint venture
   c. distribution
   d. cartel

6. A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:
   a. bond rating
   b. risk
   c. value
   d. return on investment

7. _____ conditions reflect the overall performance of the nation's economy.
   a. microeconomic
   b. multieconomic
   c. macroeconomic
   d. all of the given options

8. The primary purpose of an industry business environmental assessment is to determine the:
   a. economic growth
   b. degree of competition
   c. inflation rate
   d. population growth

9. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
   a. finance
   b. marketing
   c. production
   d. management

1. If firms wish to avoid hiring during a temporary increase in production, they can offer _____ to existing employees.
    a. overtime
    b. training
    c. affirmative action
    d. orientation program

2. _____ are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.
    a. Contingent Workers
    b. Knowledge workers
    c. Diverse workforce
    d. None of the given options

3. Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:
    a. Labor Union
    b. Informal organization
    c. Team
    d. Trade union

4. Since they are closer to the production process, first line managers use their _____ skills more frequently.
    a. conceptual
    b. interpersonal
    c. managerial
    d. technical

5. Which of the following allows employees to set their own goals and determine the manner in which they accomplish their tasks?
    a. equity theory
    b. management by objectives
    c. theory X
    d. theory Y

Q 1. All of the following are key factors that influence consumer preferences and the size of target market except:
a. social values
b. anthropology
c. geography
d. demographics

Q 2. Cameras, clothes, and household items are examples of products that exist in:
a. industrial markets
b. business markets
c. consumer markets
d. government markets

Q 3. To develop new ideas for expanding their product lines, many firms have recently increased their investment in:
a. research and development
b. production facilities
c. distribution facilities
d. inventory control

Q 4. Products that are not branded by the producer or retailer are called:
a. national brands
b. store brands
c. obsolete brands
d. generic brands

Q 5. Managers typically attempt to set a price that will maximize a firm's:
a. value
b. production
c. advertising
d. promotion

Q 6. The manner by which a firm's products are made accessible to its customers is determined by its:

a. advertising strategies
b. product decisions
c. pricing strategies
d. distribution decisions

Q 7. Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:

a. single-service marketers
b. agents
c. stockers
d. mediators

Q 8. All of the following are methods of promotion except:

a. target marketing
b. personal selling
c. sales promotion
d. public relations

Q 9. The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:

a. institutional advertising
b. the push strategy
c. reminder advertising
d. public relations advertising

Q 10. Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?

a. pull
b. push
c. sampling
d. premiums

Q1. A _____ represents a series of tasks in which resources are used to produce a product or service.

a. Production process
b. Layout chart
c. Venn diagram
d. Organizational chart

Q2. The act of setting time periods for each task in the process is called:

a. Routing
b. Scheduling
c. Dispatching
d. None of the given options

Q3. A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as _____ system.

a. Gate-keeping
b. Broadband
c. Inter-organizational
d. Internal information

Q4. Through _____, firms achieve a lower average cost by producing large volume.

a. Inventory management
b. Economies of scale
c. De-integration
d. Effective marketing

Q5. _____ is the management, technological, and production operations performed by the organization to convert inputs to outputs.

a. Systems theory
b. Entropy
c. Synergy
d. Transformation process

Q6. Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:

a. Benchmarking
b. Quality assurance
c. Continuous improvement process
d. Total quality management

Q7. The heart of a computer is its:

a. Power unit
b. Central processing unit
c. Random access memory
d. Hard drive

Q8. In typical network architecture, workstations are connected to a _____, which is a machine that stores and provides access to centralized data.

a. Main-frame
b. Stand-alone computer
c. File server
d. Main-board

Q9. The exchange and comprehension of information is:

a. Communication
b. Promotion
c. Posture
d. Facial expression

Q10. Modems, printers, keyboards, monitors, and scanners are examples of computer _____.

a. Core components
b. Externalities
c. Peripherals
d. Serial interfaces

1) Which of the following is excluded from factors that can affect the business?

Demographic Factors
Economic factors
Act of God
None of the above

2) The function of business in which business man tries to find new techniques of production is

Accounting

Management Function
Innovation
Quality improvement

3) If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable
Unfavorable
Deficit
None of the above

4) Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers
Unlimited Liability
Easy transfer of Ownership
Entire Profit

5) Which of the following is an advantage of sole proprietorship?

Longest life
Availability of sufficient Capital
Direct contact with customer and workers
Separate Legal Entity

6) Which of the following is not among the benefits of Partnership Firm?

Satisfaction of Partners
Lack of Secrecy
Moral Promotion
Minority Protection

7) In partnership deed the profit & loss is distributed among the partners by the following ratio.

50:50
As per percentage of Capital invested
As per agreed ratio in Partnership deed
25:75

8) The company may raise its capital through which of the following sources:

By Issuing Shares
By Issuing Debentures
By Savings
All of the given options

9) Advantages of cooperative societies does not include

Equal distribution of wealth
Interference of Government
No Monopoly
Open Membership

10) WTO was organized on _____

July 15, 1998
January 01, 1990
August 25, 1995
January 01, 1995

1. A major disadvantage of corporate organization is

- Double Taxation of dividend
- **Inability of the firm to large sum of additional capital**
- Limited liability of share holders
- Limited life of Cooperate firm

2. It is difficult to transfer to right of ownership is

- Sole proprietor ship
- **Partner ship**
- All of given options
- None of given options

3. Wages are paid for
   - Long term
   - **Short term**
   - All of given options
   - None of given options

4. Pakistan is exporting
   - Sports Item
   - Agriculture Product
   - Textile Product
   - **All of given options**

5. Managers have _____ type of skills
   - 2
   - **3**
   - 4
   - 5

6. The process of attracting the people for job
   - **Recruitment**
   - Special skills
   - Supervision
   - Job Specification

7. What is the method of on job training?
   - Lectures
   - Vestibule
   - Videos
   - **None of given options**

8. The liability of a sole trader is _____
   - limited Only to his investment in the business
   - Limited to the total resources of the business
   - **Unlimited**
   - Not defined

9. Genetic industry means
   - Canal
   - Sugar mill
   - **Poultry**

- Agriculture

10. The first stage Evolution business is?
- **Industry revolution**
- Globalization
- Entrepreneurship
- Marketing era

Question No: 1 (Marks: 1) - Please choose one
When entrepreneurs establish a business, they must first decide on the form of:
? Partnership
? Ownership
? Expansion
? Organization

Question No: 2 (Marks: 1) - Please choose one
Generally, in a limited partnership:
? All partners have limited liability.
? The partners exist for a limited time period.
? The limited partners do not participate in management of the company.
? Not more than 75 partners may invest in the company at one time.

Question No: 3 (Marks: 1) - Please choose one
The “leading” function of management should be conducted in a manner that is consistent with
firm’s:
? Competition
? Strategic plan
? Industry demand
? Labor union

Question No: 4 (Marks: 1) - Please choose one
The skills managers use to understand the relationships among the various tasks of the firm are:
? Interpersonal skills
? Technical skills
? Decision making skills
? Conceptual skills

Question No: 5 (Marks: 1) - Please choose one
The four functions of management:
? Must be enacted in the proper sequence
? Must be integrated

? Are stand alone, independent functions
? Can not be performed by one individual

Question No: 6 (Marks: 1) - Please choose one
Social interaction and acceptance by others are examples of:
? Physiological needs
? Safety needs
? Affiliation needs
? Esteem needs

Question No: 7 (Marks: 1) - Please choose one
When firms delegate more authority to their employees, this strategy is referred to as:
? Empowerment
? Merit system
? Hygiene theory
? Equity system

Question No: 8 (Marks: 1) - Please choose one
The process used to determine the tasks and the necessary credentials for a particular position is
referred to as:
? Job analysis
? Job screening
? Job evaluation
? Human resource planning

Question No: 9 (Marks: 1) - Please choose one
A _____ is an assignment to a higher level job with more responsibility and greater pay.
? Transfer
? Lateral assignment
? Appraisal
? Promotion

Question No: 10 (Marks: 1) - Please choose one
Products purchased by companies to produce other products are:
? Consumer Goods
? Industrial Goods
? Services
? Inventory

1. People in business and government face important ethical issues and decisions.

Only in the United States

Primarily in capitalist countries

Primarily in communist countries

In many different countries around the world

2. Following are the advantages of cooperative society except

Increase in employment

Lack of profit incentive

Friendly relation

Easy formation

3. _____ refers to the standards of moral behavior

Legality

Liability

Integrity

Ethics

4. Which of the following is included in job specification?

Working environment

Experience

Job title

Job location

5. Which of the following is included in economic factors?

Religion

Value system

Norms

Exchange rate

6. Wages are paid for

Short term period

Long term period

All of the given options

None of the given options

7. The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

8. Which of the following statements about franchising is true?

Franchising is a type of corporate system

Franchising is used to achieve coordination at successive stages of production

Franchising is a type of administered vertical marketing system

Franchising is the most visible variation of contractual systems

9. The liability of a sole trader is:

Limited only to his investment in the business

Limited to the total resources of the business

Unlimited

Not defined

10. Which of the following is not an example of non-profit making organization?

NGO's

Trusts

Cooperative societies

Partnership

11. First directors are usually named in the_____

Memorandum of Association

Articles of Association

Prospectus

None of the above

12. Barriers to international trade include

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

13. The first stage in Evolution of business is

Industrial revolution

Marketing Era

Entrepreneurship

Globalisation

14. Political and legal barriers to trade include

Tariffs

Quotas

All of the given options

None of the given options

15. Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

No profit incentive

Untrained supervision

Protection of mutual interest

16. A statutory report must be sent to every member of the company at least _____days before the meeting is to be held

21 days

30 days

45 days

51 days

17. A market survey is important because it tells you:

How many & what types of people are shopping at a store

Tells you what the customer will buy

Tells you how much the customer will pay for the product

All of the above

18. A market survey is important because it tells you:

How many & what types of people are shopping at a store

Tells you what the customer will buy

Tells you how much the customer will pay for the product

All of the above

19. Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

20. Which of the following is NOT a core function of management?

Planning

Organizing

Motivating

Leading

21. In ———— industry raw material is converted into some goods finished or semi finished

Manufacturing

Constructive

Genetic

Extractive

22. A major advantage of the corporate form of organization is:

Reduction of double taxation

Limited owner liability

Legal restrictions

Ease of organization

23. The formation of ____ does not require any legal formality like registration.

Sole proprietorship

Company

Cooperative society

Partnership

24. Compared to licensing, franchising is a more advantageous entry mode because:

It generates economies of scale in marketing to international customers

It offers greater control

It is low-risk and low-cost

Of all the above

25. population size is included in

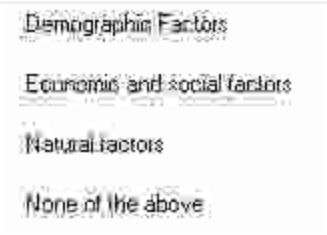
Economic factors

Demographic factors

Legal factors

Technological

26. Which of the following is excluded from factors that can affect the business?



27. Components of Business Plan include all of the following except:
e) Marketing Component
f) Administrative Component
g) External Component
d)Financial Component

28. An agreement between two parties in which one party possess the rights to the other party is:
e) Partnership
f) Strategic Alliance
g) Joint venture
d] Franchising

29. Many organizations provide guidelines of behavior to employees through a code of:

a) Cartel arrangements
b) Kickback agreements
c) Production manuals
d) Responsibility and ethics

30. A firm can charge a higher price without loosing its customers if it does not have much:

a) Production
b) Competition
c) Advertising
d) Industry demand

31. A distribution channel represents the path of a product from a producer to:

a) Retailer
b) Wholesaler
c) Consumer
d) Manufacturer

32. Process by which a company analyzes a competitor's products to identify desirable improvements is:

a) Competitive product analysis
b) Value-Added Analysis
c) Statistical Process Control
d) Quality/Cost Studies

33. Spreadsheets, database and word processing software are all types of:

a) Operating systems
b) Utility programs
c) Application software
d) Firmware

34. Which of the following is the most important determinant of a firm's value?

a) Earnings
b) Debt
c) Liabilities
d) Liquidity

35. How funds are obtained and invested by the firm is determined by the:

a) Finance function
b) Marketing function
c) Organizing function
d) Accounting function

36. _____ is used to cover long-term expenses such as assets.

a) Line of Credit
b) Debt Financing
c) Preferred Stock
d) Financial Management

37. _____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.

a) Knowledge Worker
b) Labor Markets
c) Contingent Worker
d) Workforce Diversity

38. An increase in the general level of prices of products over a specified period of time is called:

a) Inflation
b) Gross domestic product
c) Disinflation
d) Equilibrium

a. Which of the following business type has longest life time?
Sole proprietorship
Partnership
Joint stock company
All of the given options

b. Election of the Board of Directors is done by Shareholders.

Through special resolution
In annual general meeting
In Special meeting
In statuary meeting

c. Which of the following business type, has to pay double taxes to the government?

Sole proprietorship
Partnership
Joint stock company
Cooperative Societies

d. _____ includes the rules and regulations, necessary to manage the internal affairs of the company.

Memorandum of Association
Article of Association
Prospectus
All of the given option

e. General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.

Charter of Company
Article of Association
Prospectus
None of the given option

f. To call the extraordinary meeting, how many days' notice is required?

21 days
15 days
07 days
30 days

g. According to Section 305 of Companies Ordinance, a company may wound up by court under which of the following circumstances:

Statutory Declaration
Fails to submit statutory report
Expiry of Period
Appointment of Liquidators

h. Which of the following is the source of acquiring of redeemable capital?

Modarba Certificate
Debentures
Participation Term Certificates
All of the given option

i. Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:

Reserve capital
Un-Issued Capital
Un-Called up Capital
All of the given option

j. The following person cannot make a petition to the court to get an order for winding up of a company.

Petition by debtor
Petition by creditor

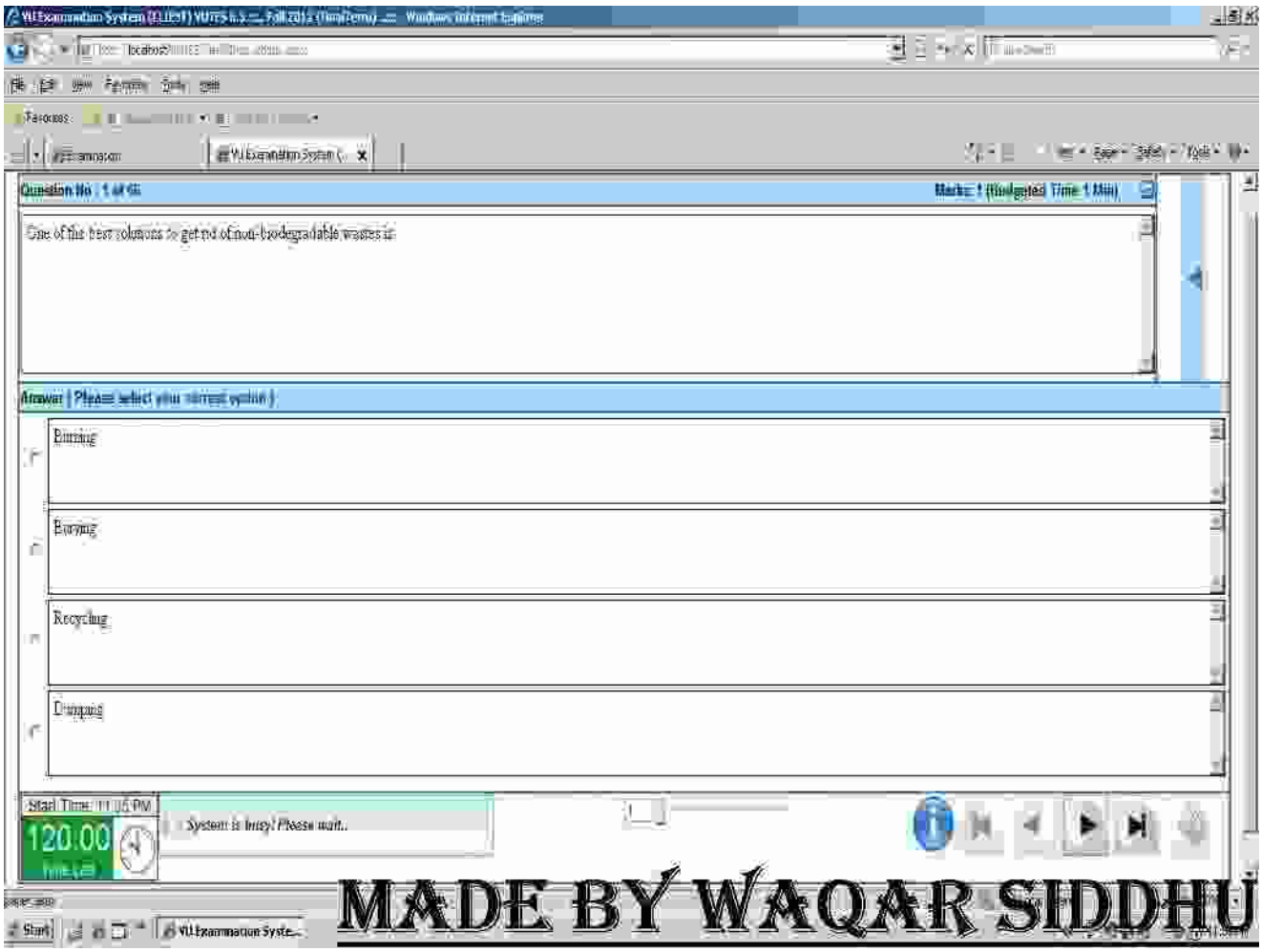
Petition by contributory
All of the above

Sr. #	Questions	Correct answer
1	Many organizations provide guidelines of behavior to employees through a code of: e) Cartel arrangements f) Kickback agreements g) Production manuals h) Responsibility and ethics	
2	A firm can charge a higher price without loosing its customers if it does not have much: e) Production f) Competition g) Advertising h) Industry demand	
3	A distribution channel represents the path of a product from a producer to: e) Retailer f) Wholesaler g) Consumer h) Manufacturer	
4	Process by which a company analyzes a competitor's products to identify desirable improvements is: e) Competitive product analysis f) Value-Added Analysis g) Statistical Process Control h) Quality/Cost Studies	
5	Spreadsheets, database and word processing software are all types of: e) Operating systems f) Utility programs	

	g) Application software h) Firmware	
6	Which of the following is the most important determinant of a firm's value? a) Earnings b) Debt c) Liabilities d) Liquidity	
7	How funds are obtained and invested by the firm is determined by the: d) Finance function e) Marketing function f) Organizing function g) Accounting function	
8	_____ is used to cover long-term expenses such as assets. e) Line of Credit f) Debt Financing g) Preferred Stock h) Financial Management	
9	_____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity. e) Knowledge Worker f) Labor Markets g) Contingent Worker h) Workforce Diversity	
10	An increase in the general level of prices of products over a specified period of time is called:	

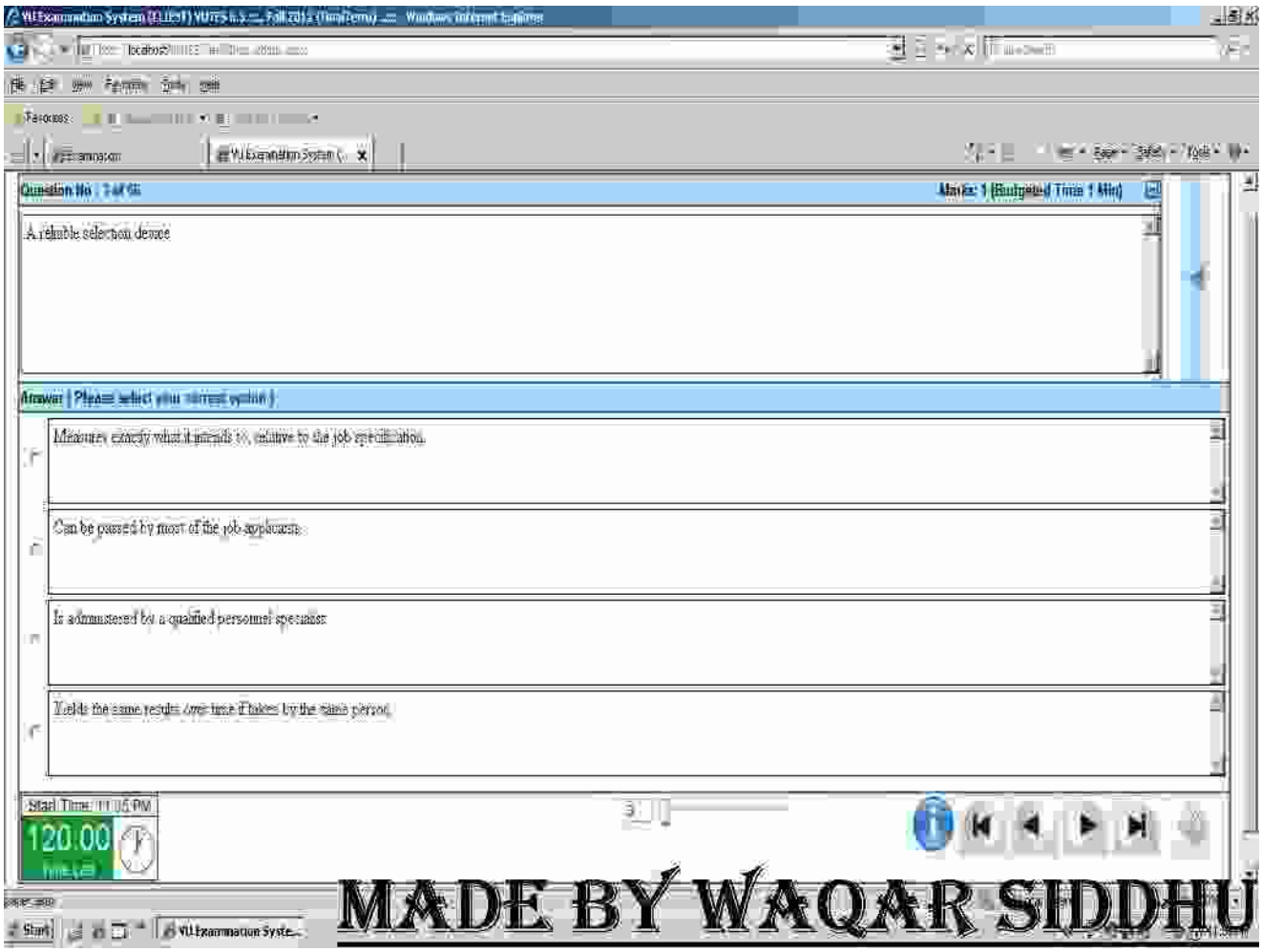
	e) Inflation f) Gross domestic product g) Disinflation h) Equilibrium	

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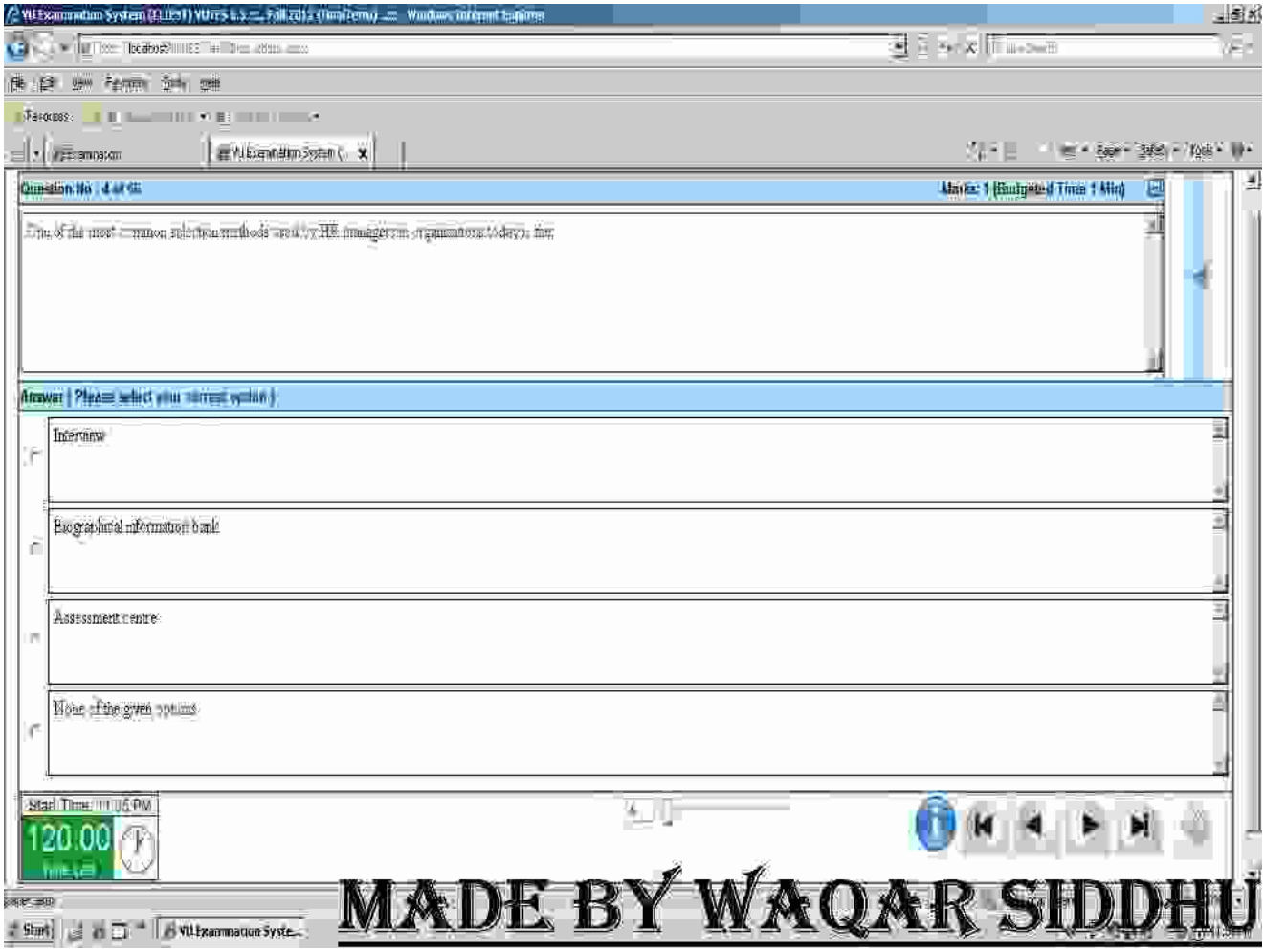
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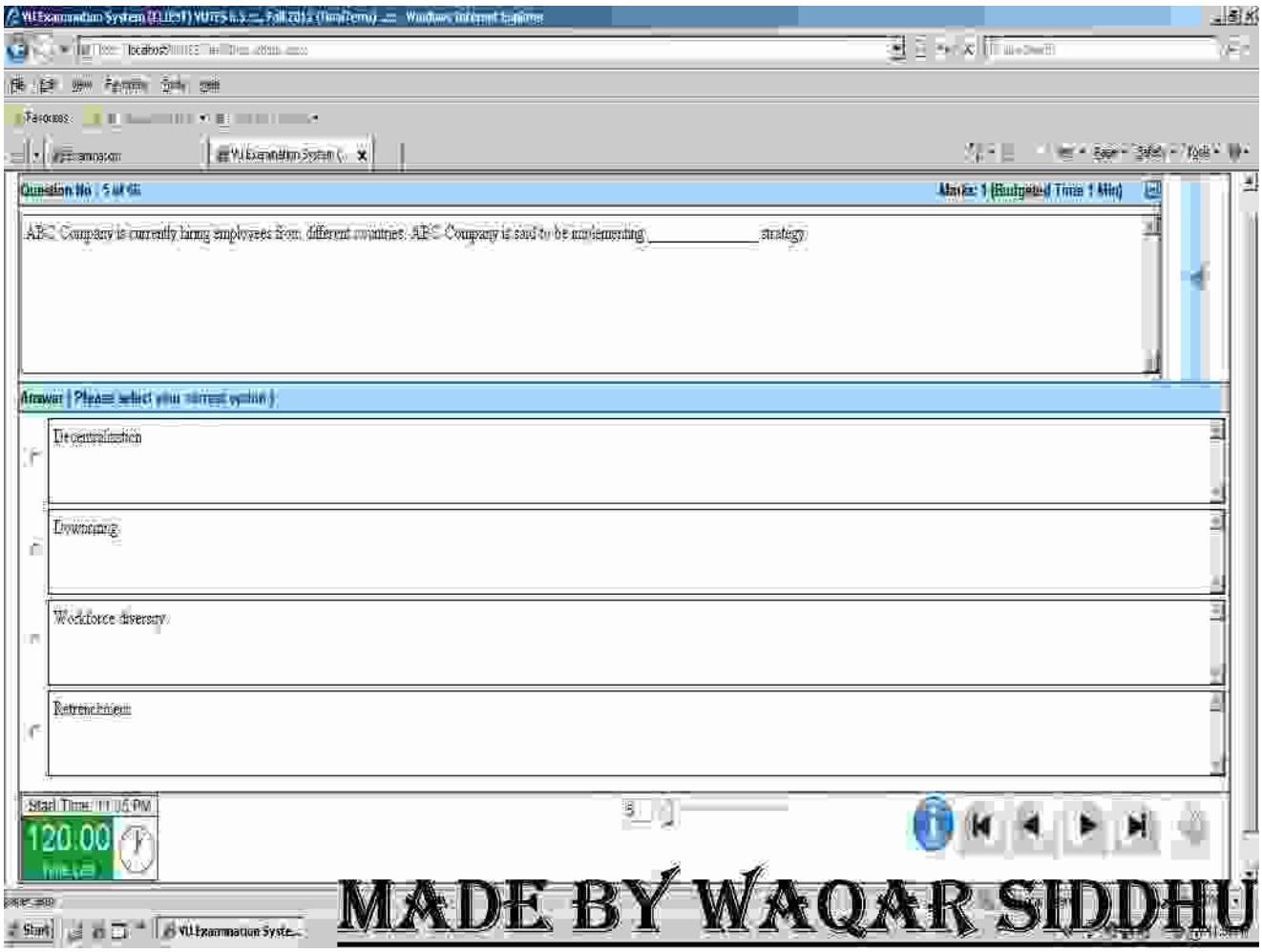
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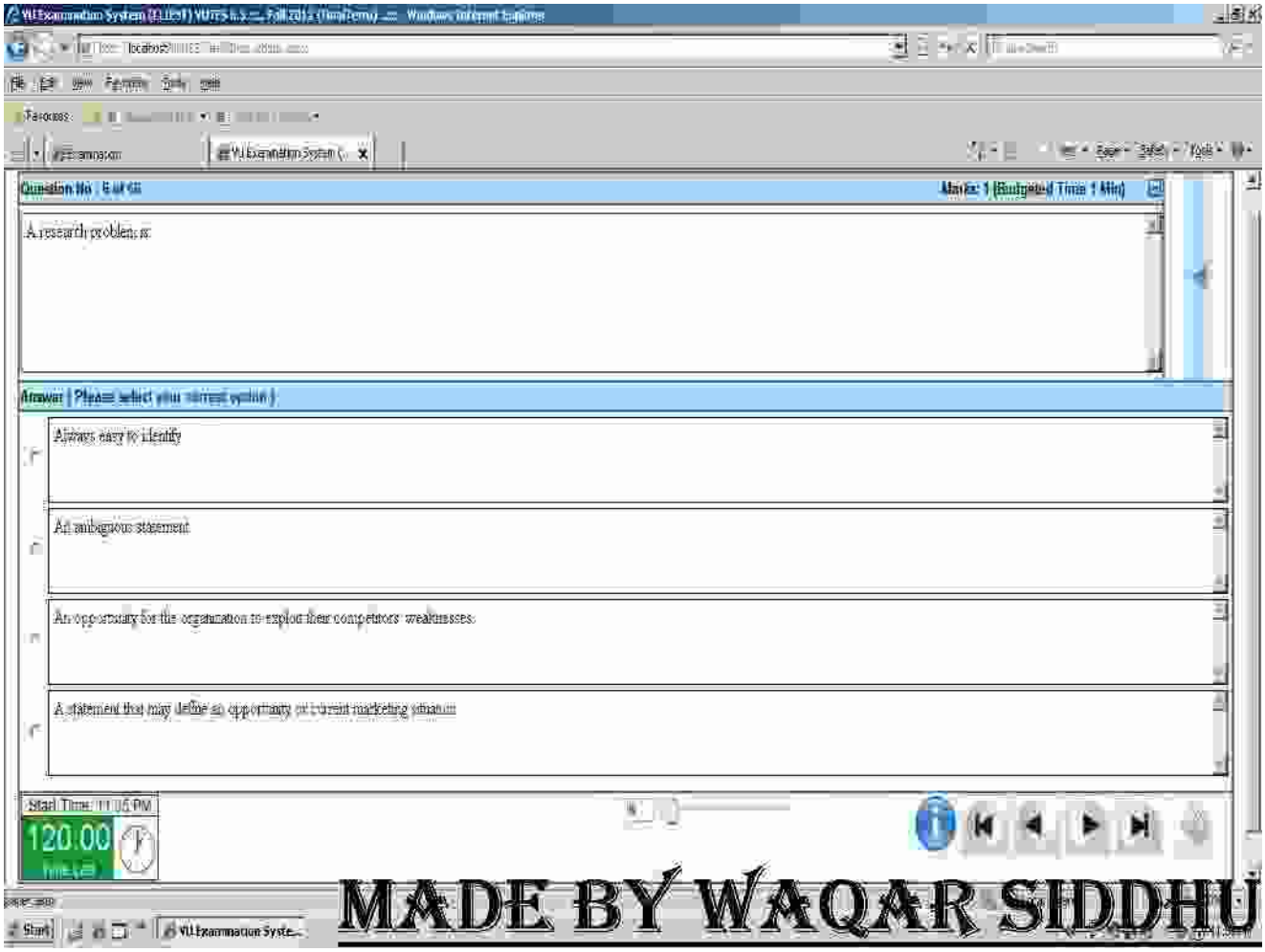
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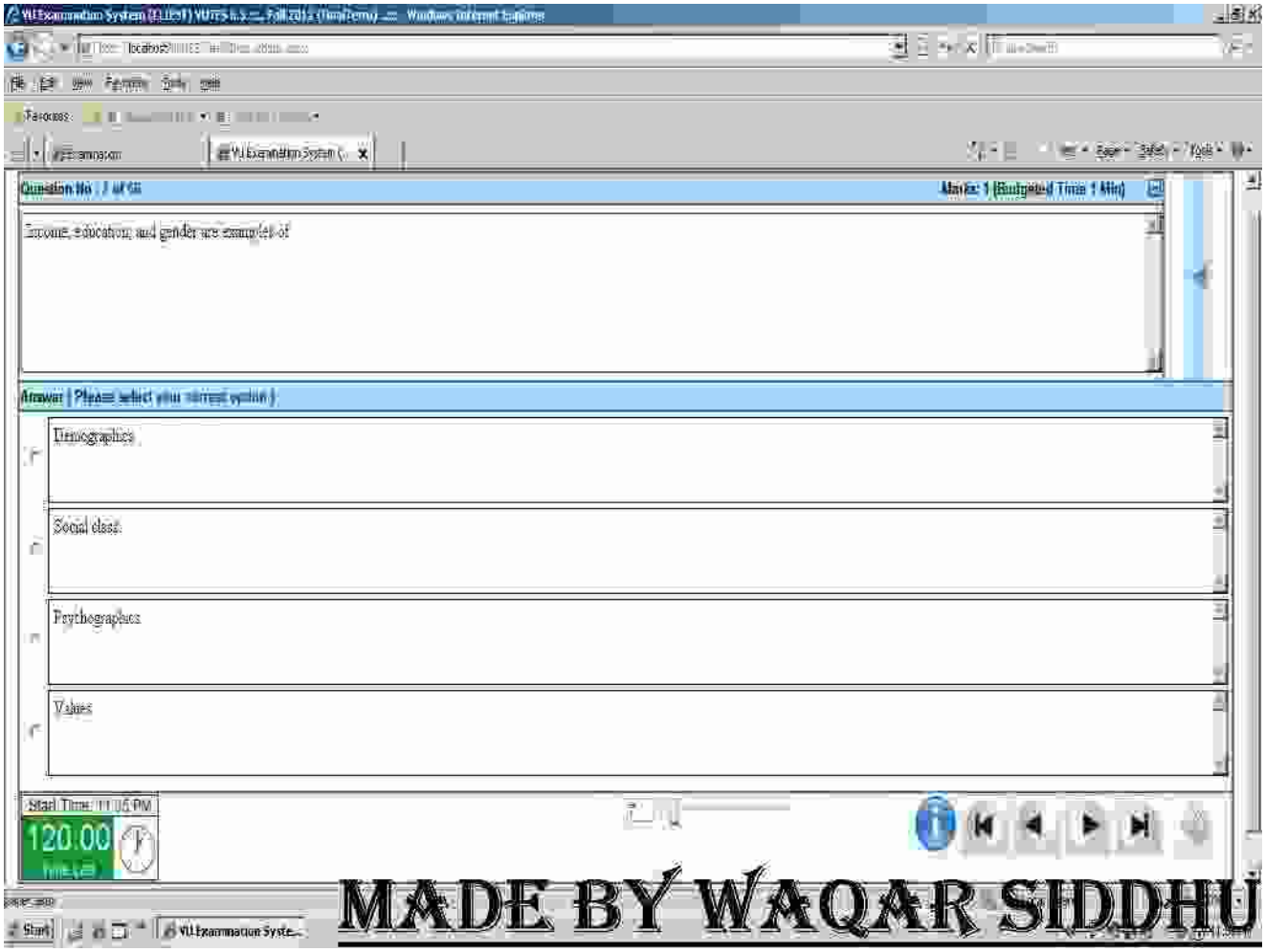
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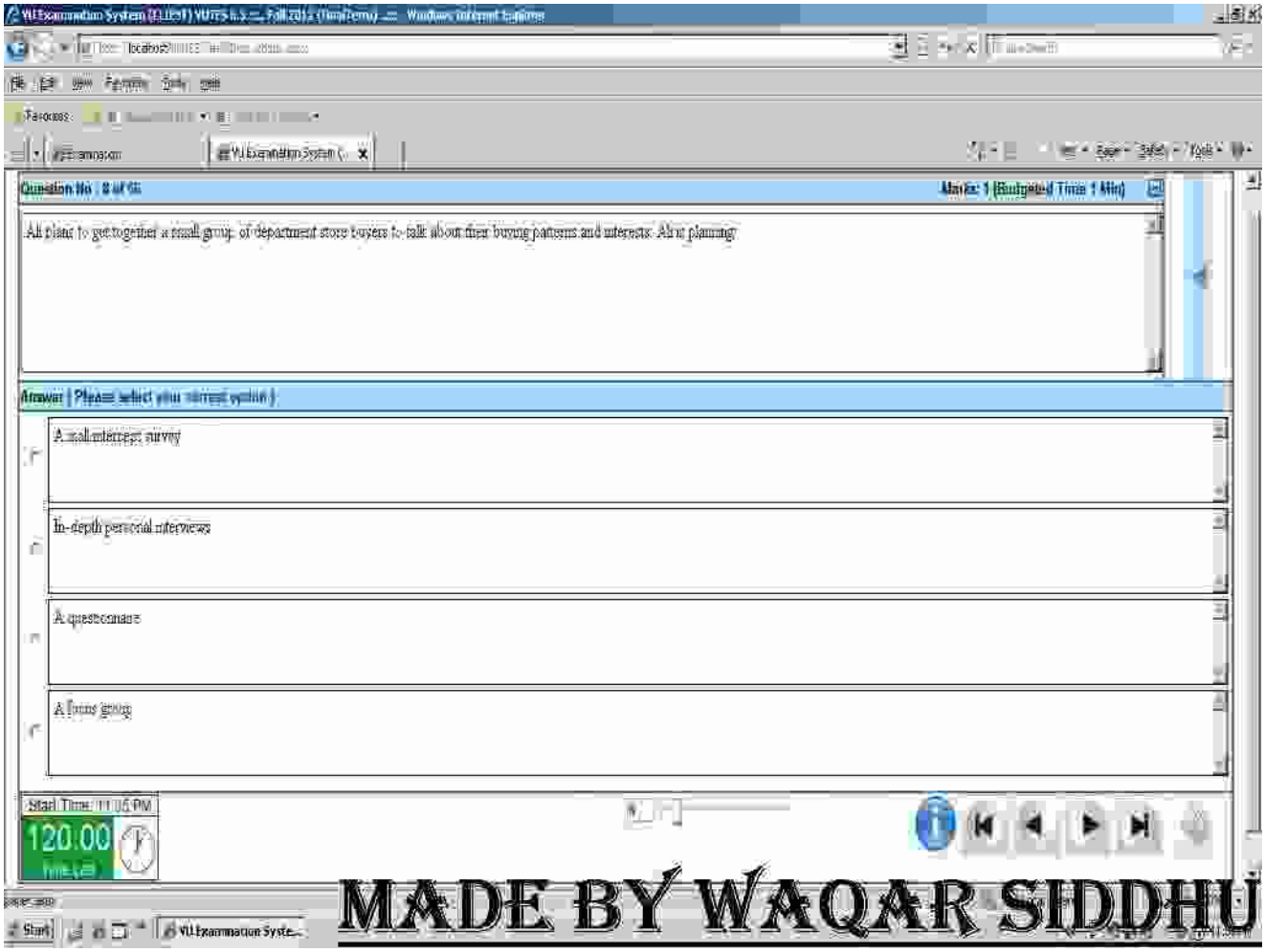
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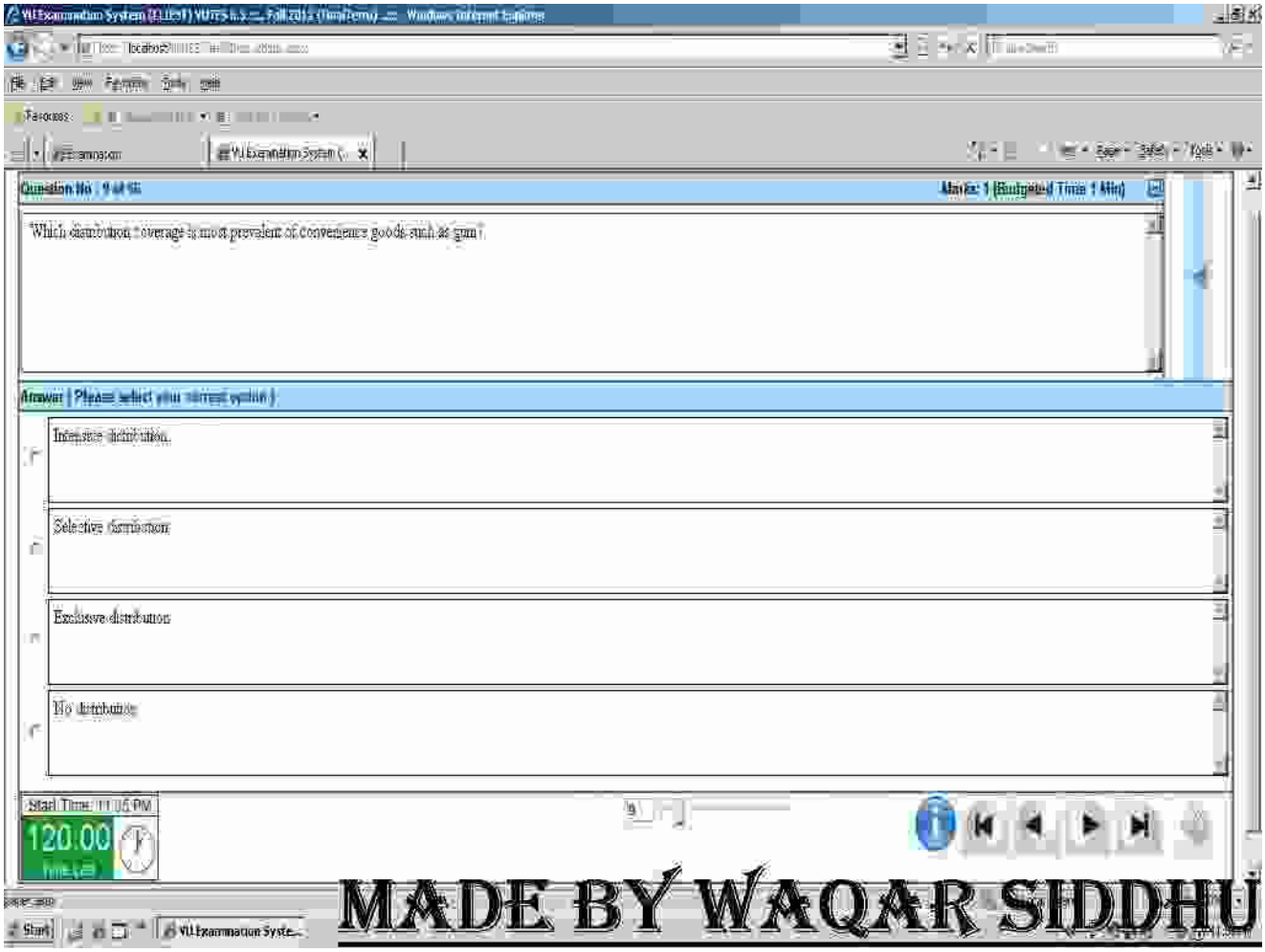
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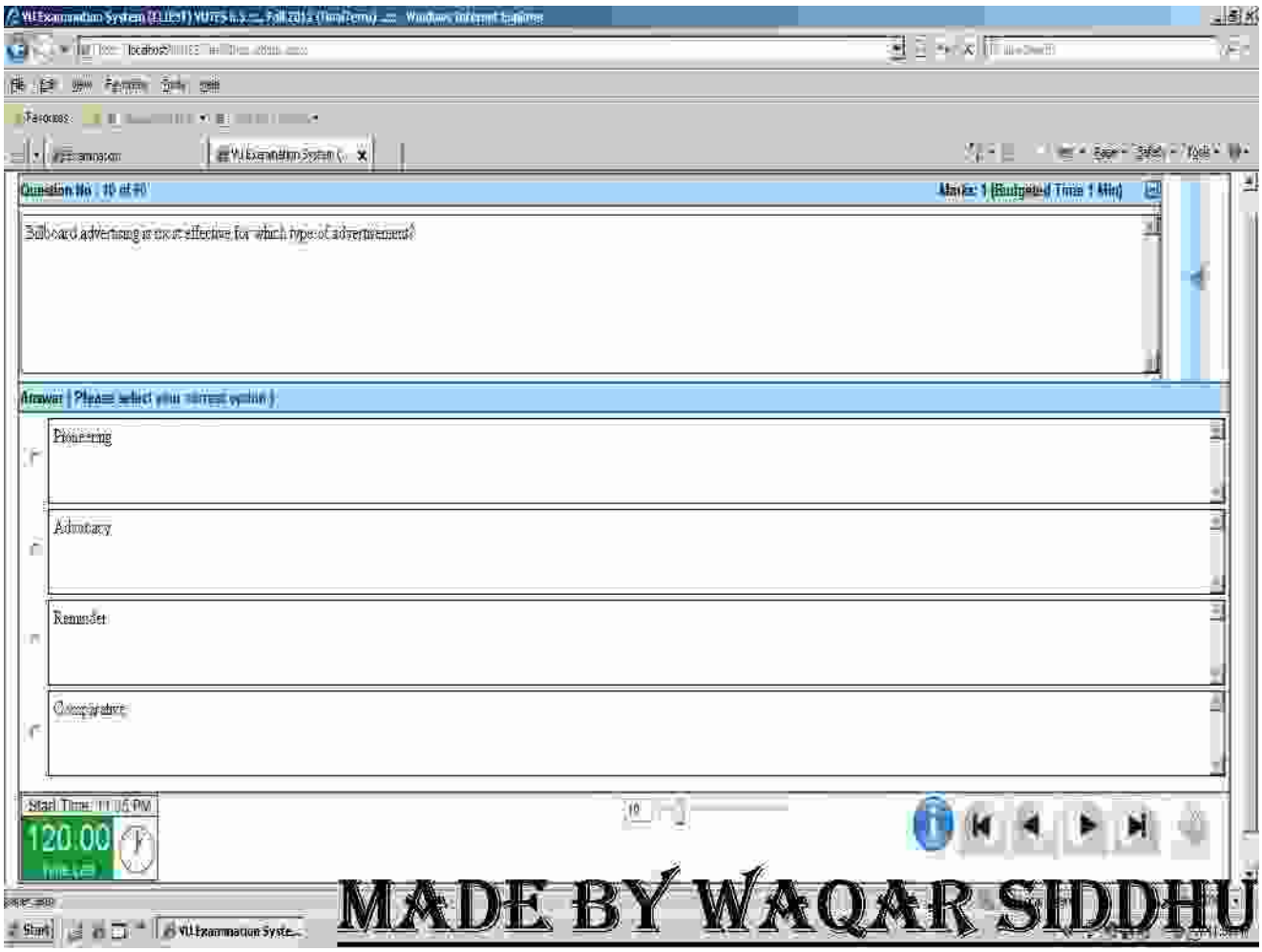
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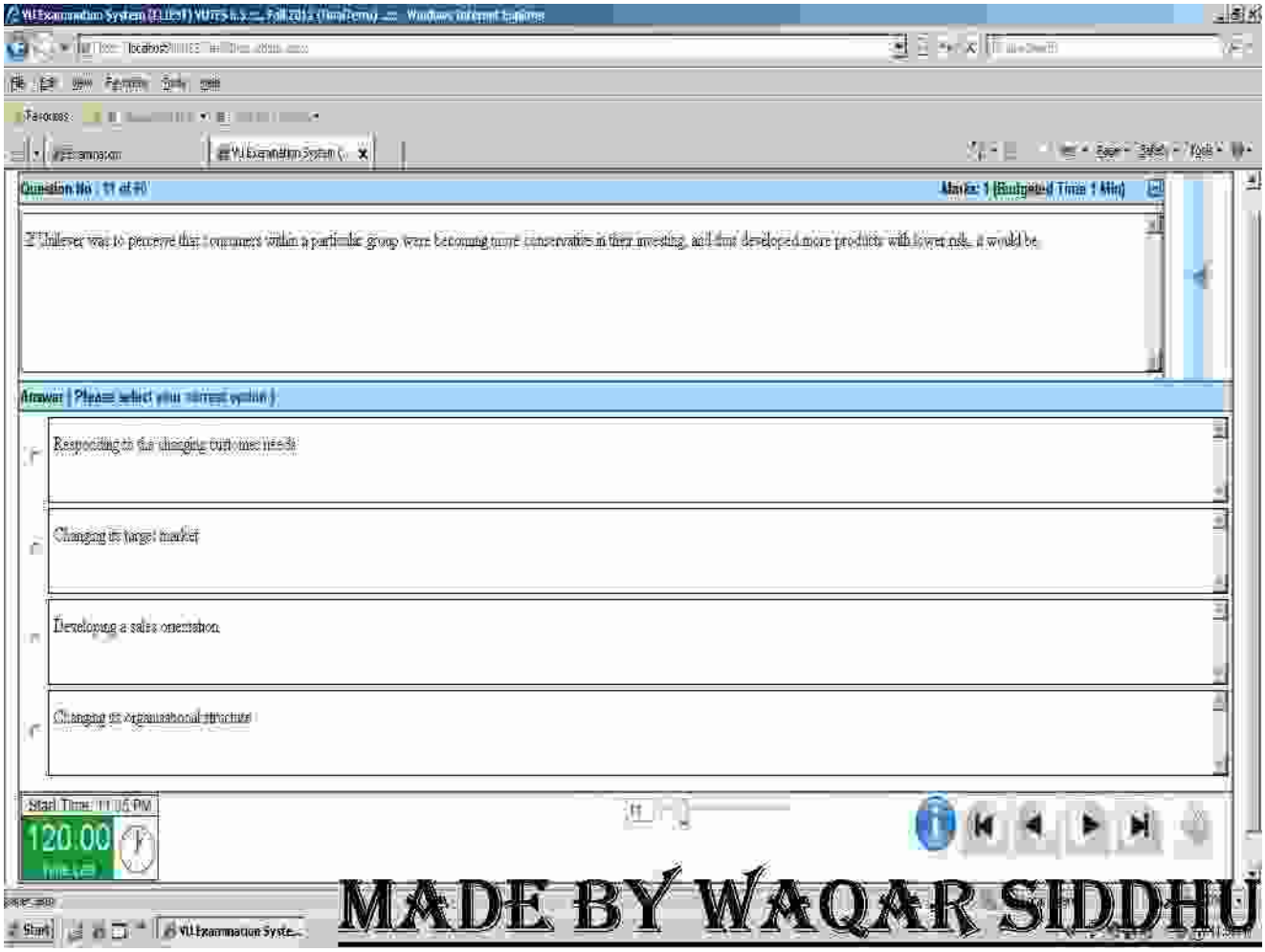
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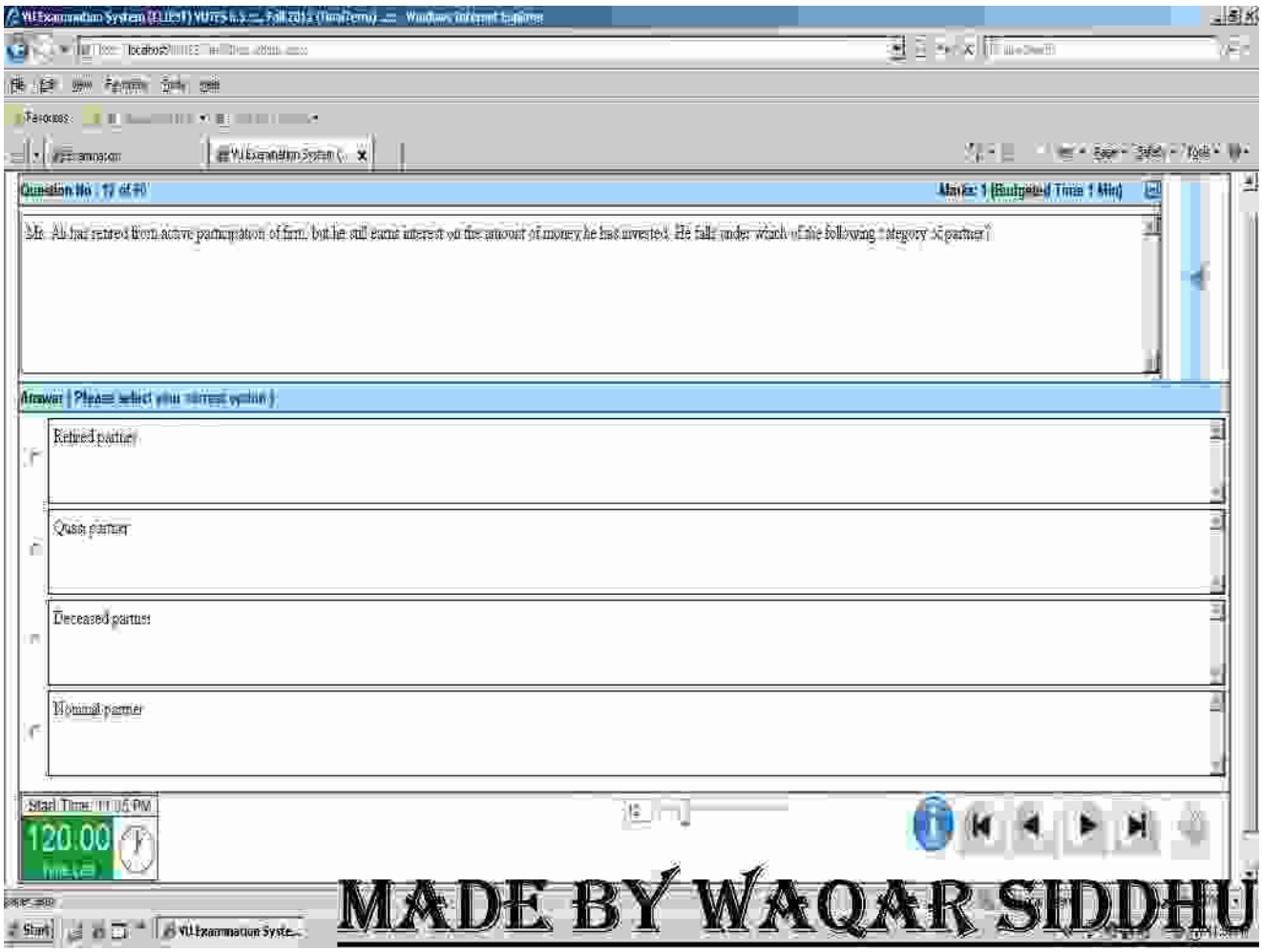
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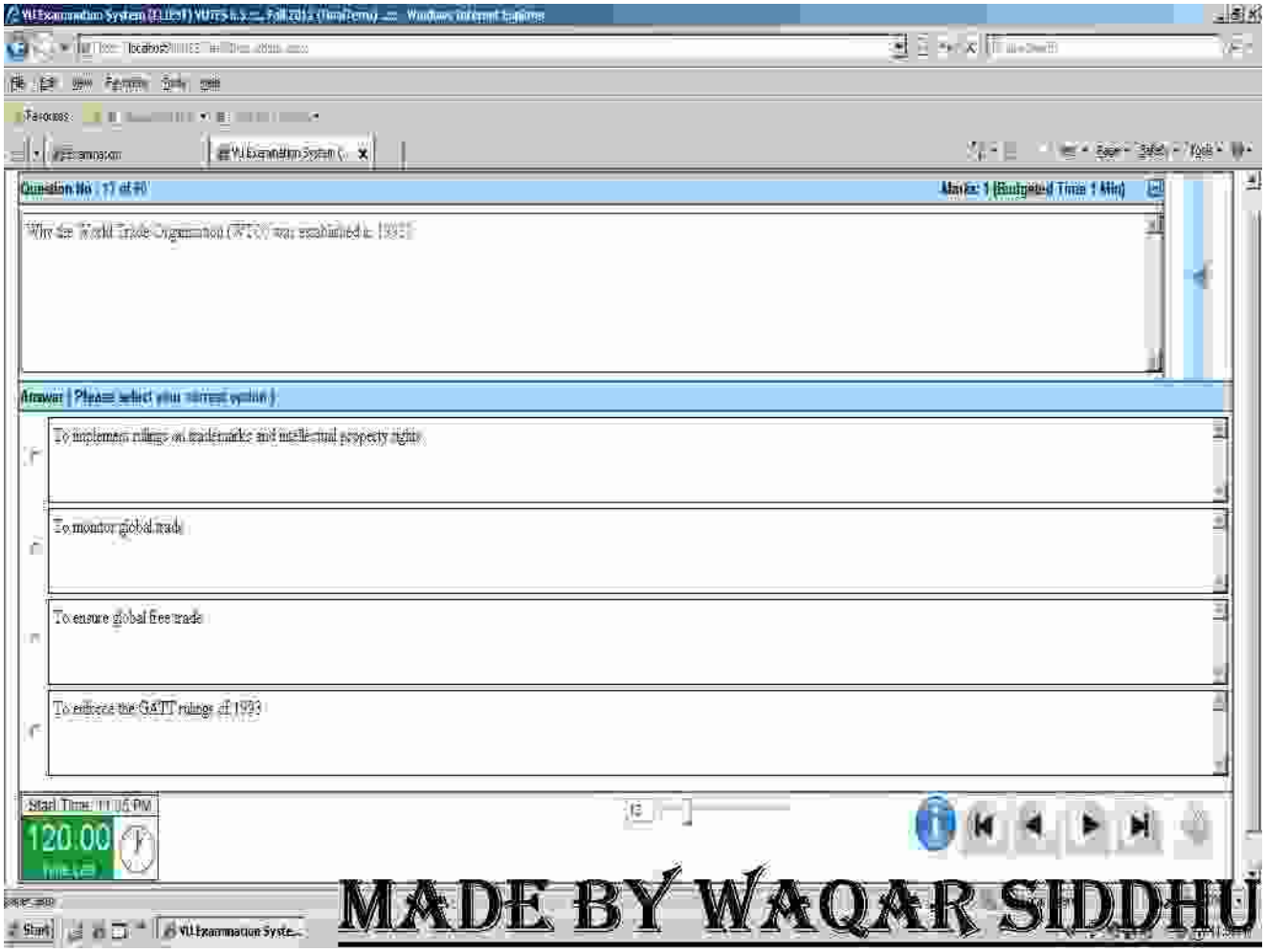
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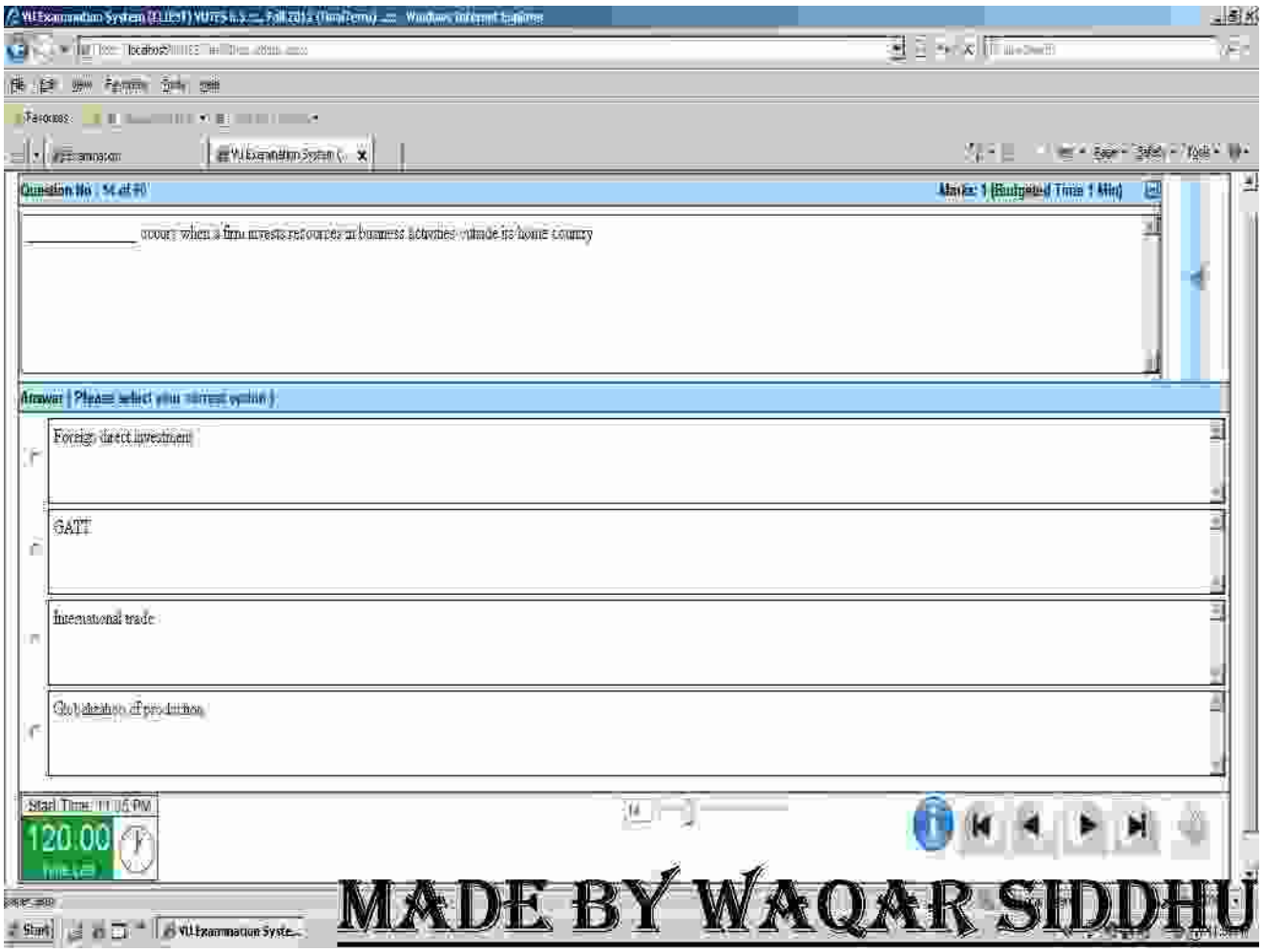
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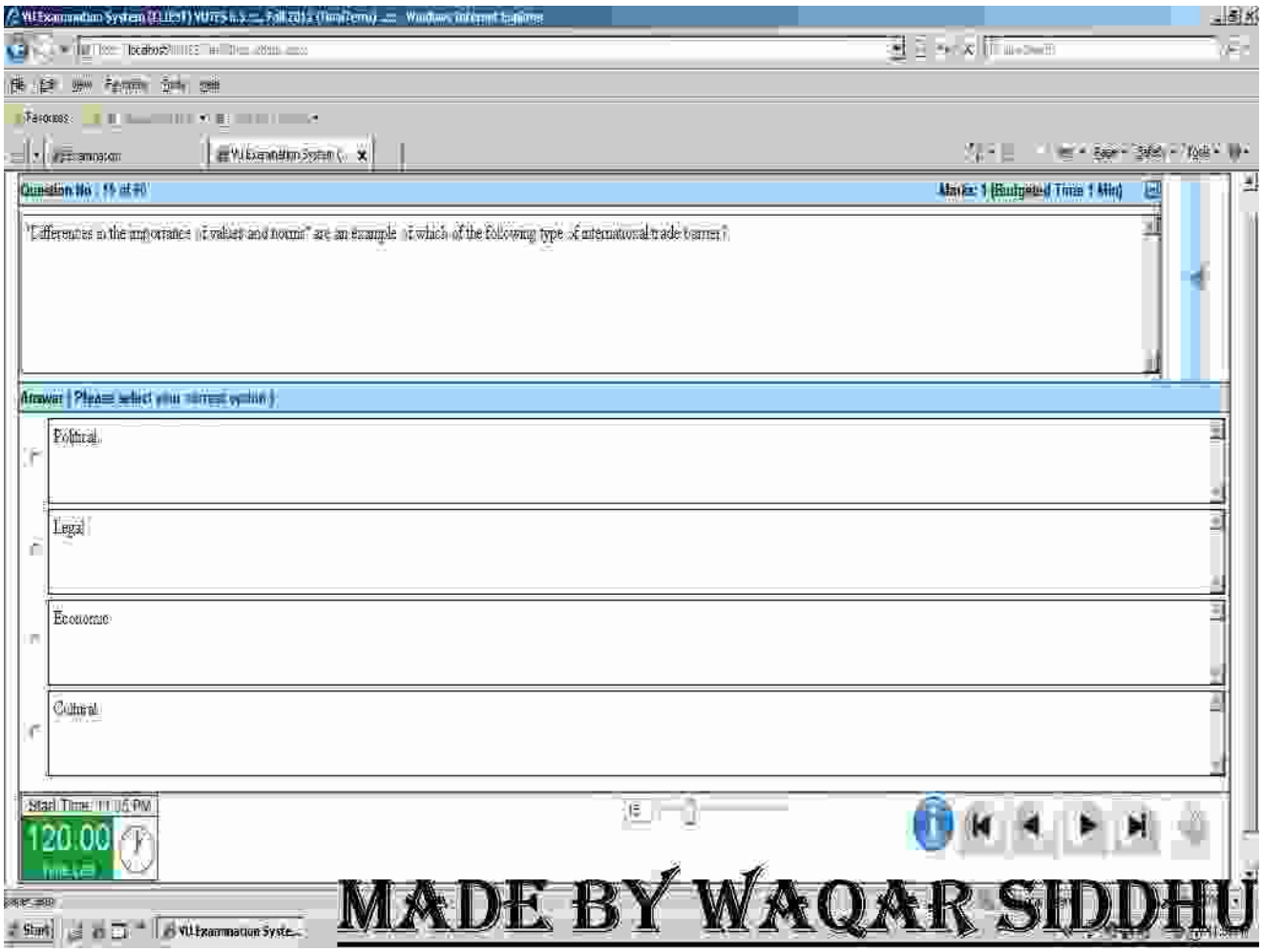
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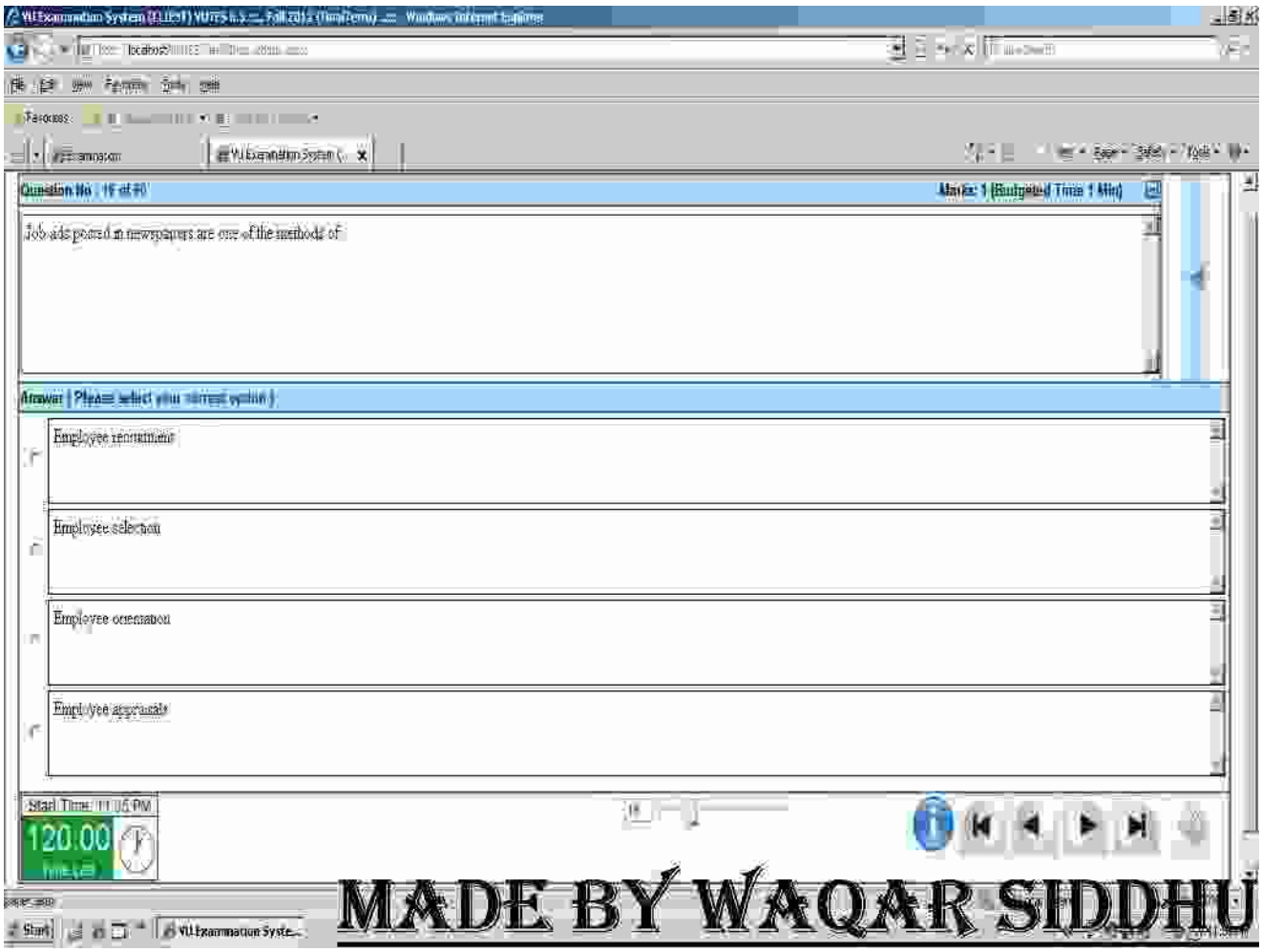
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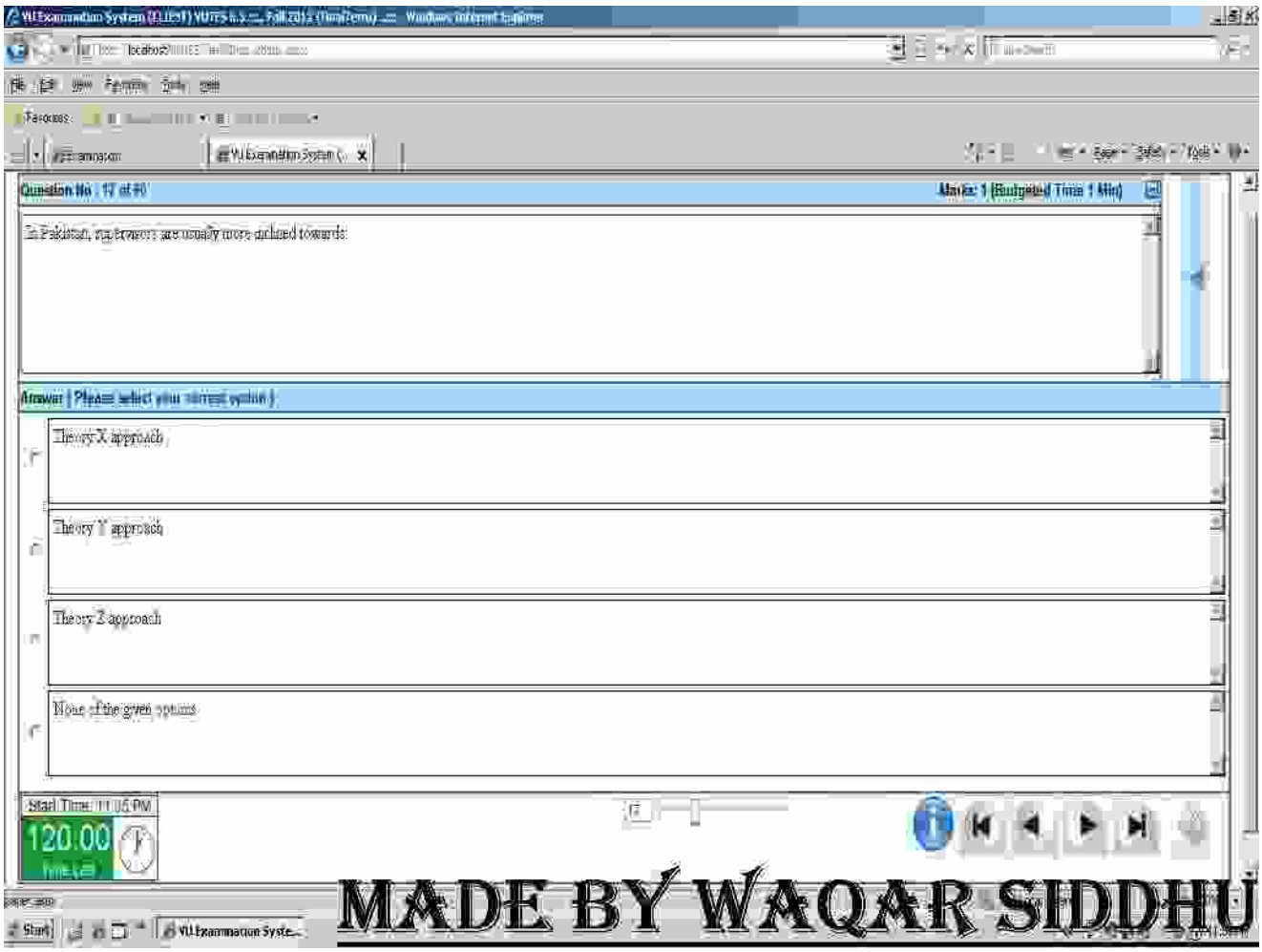
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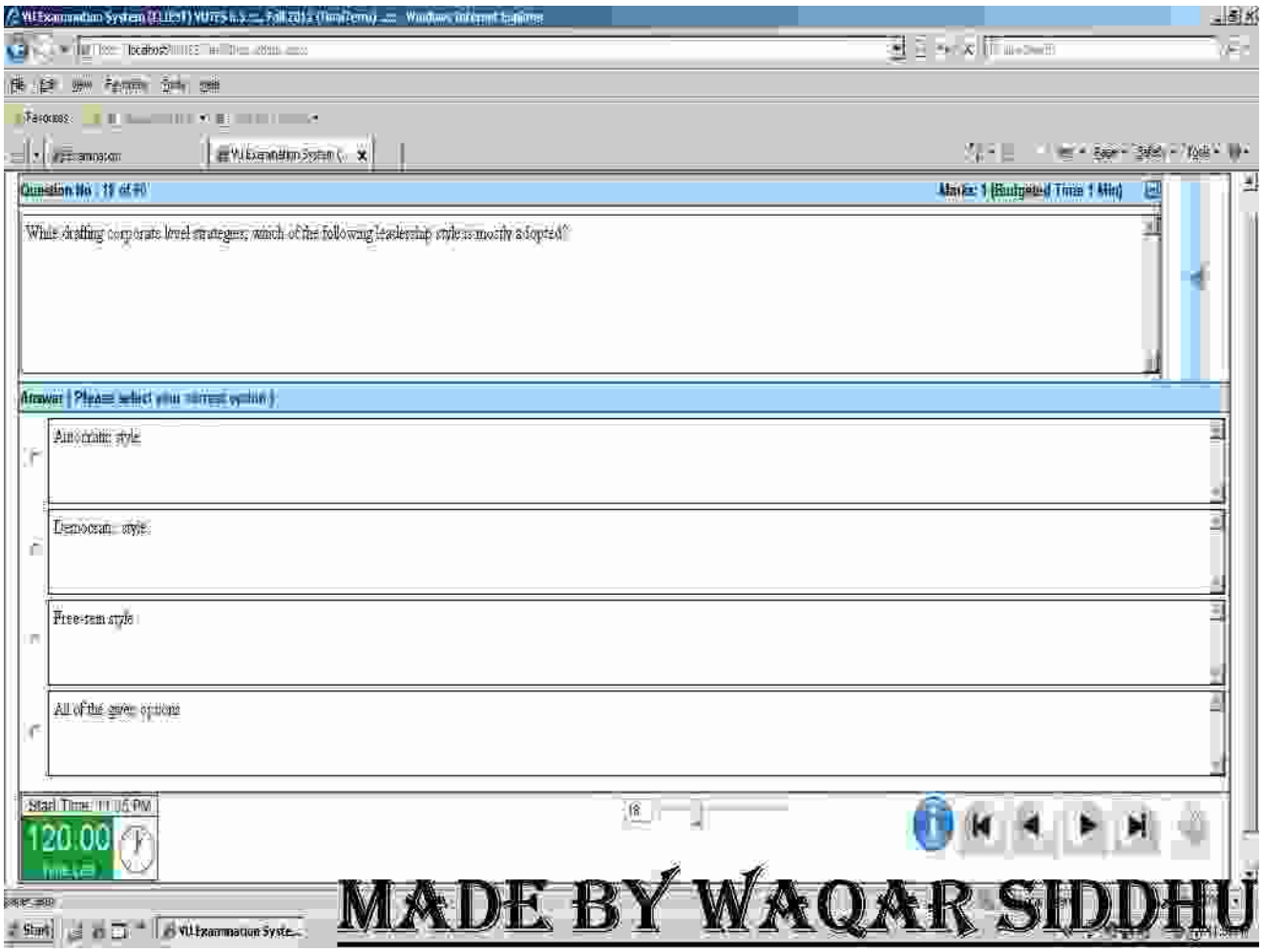
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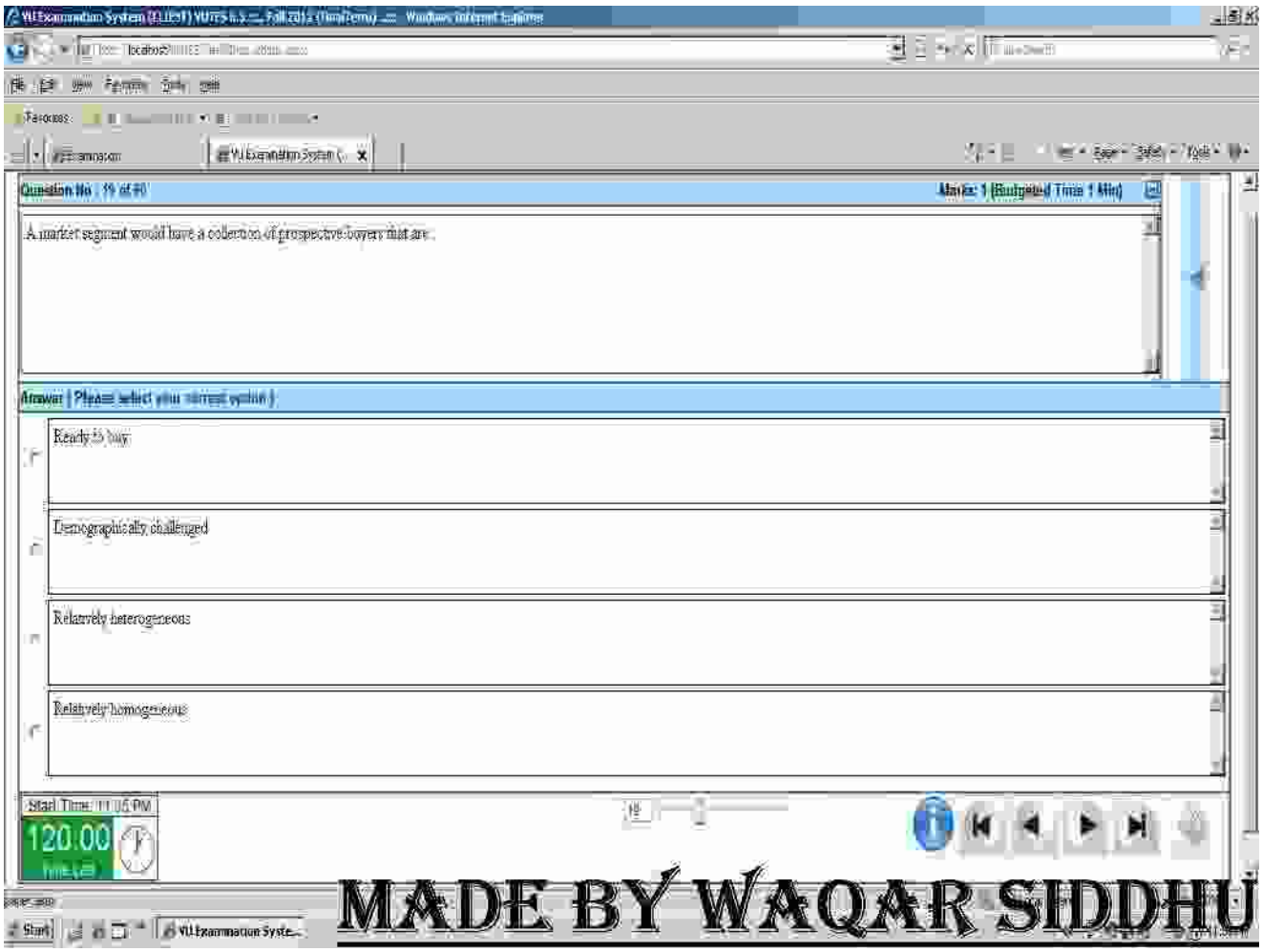
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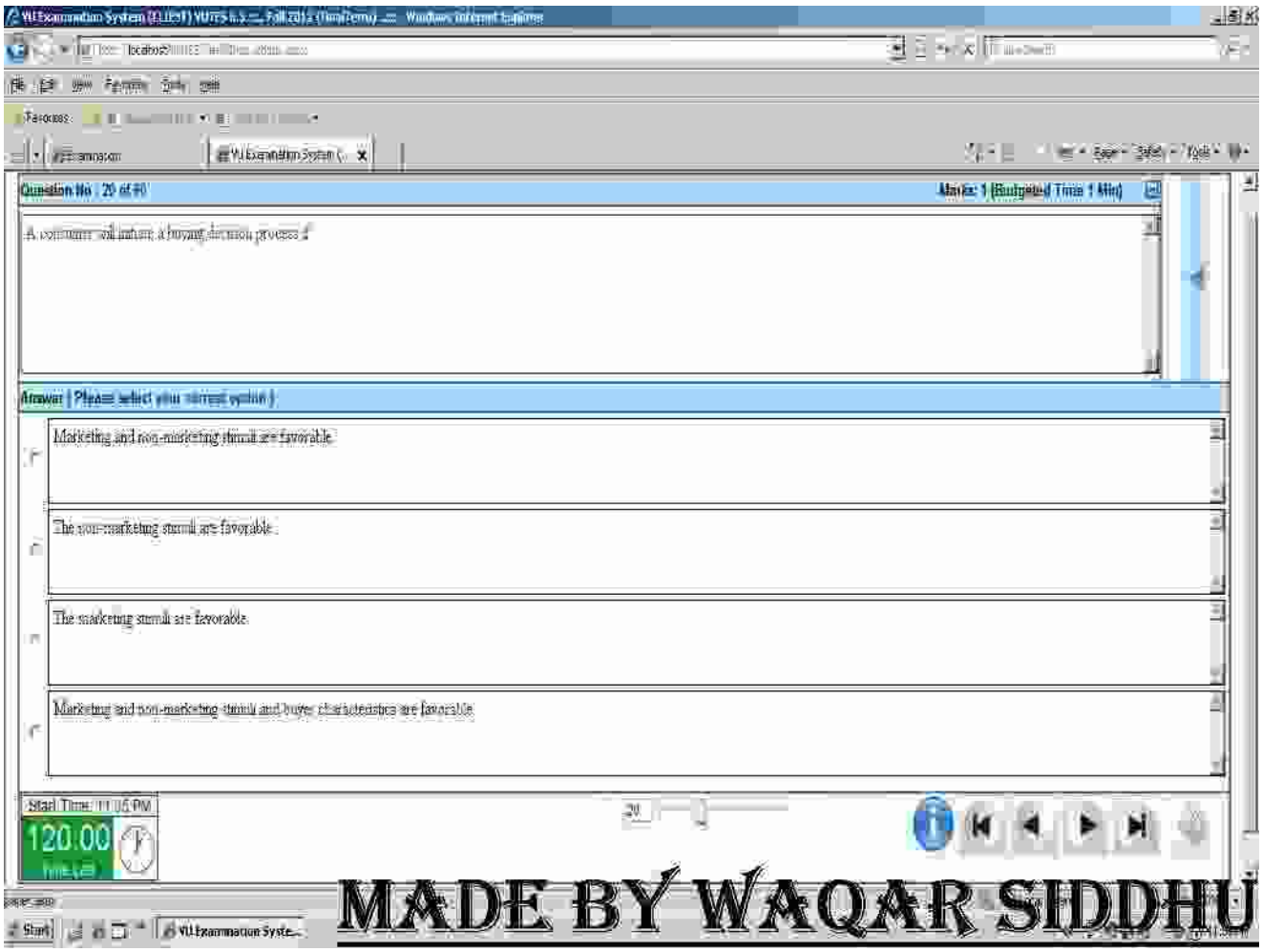
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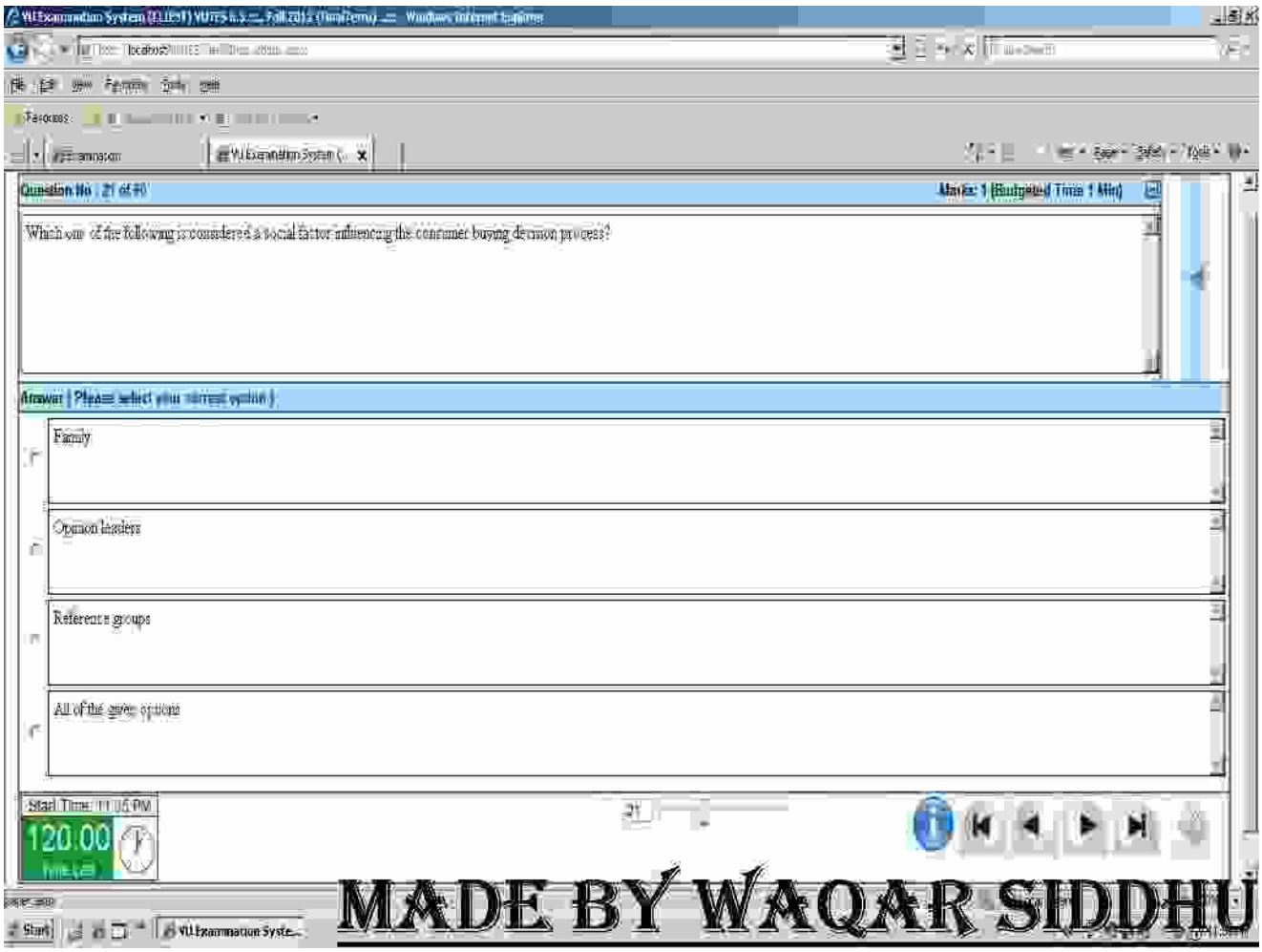
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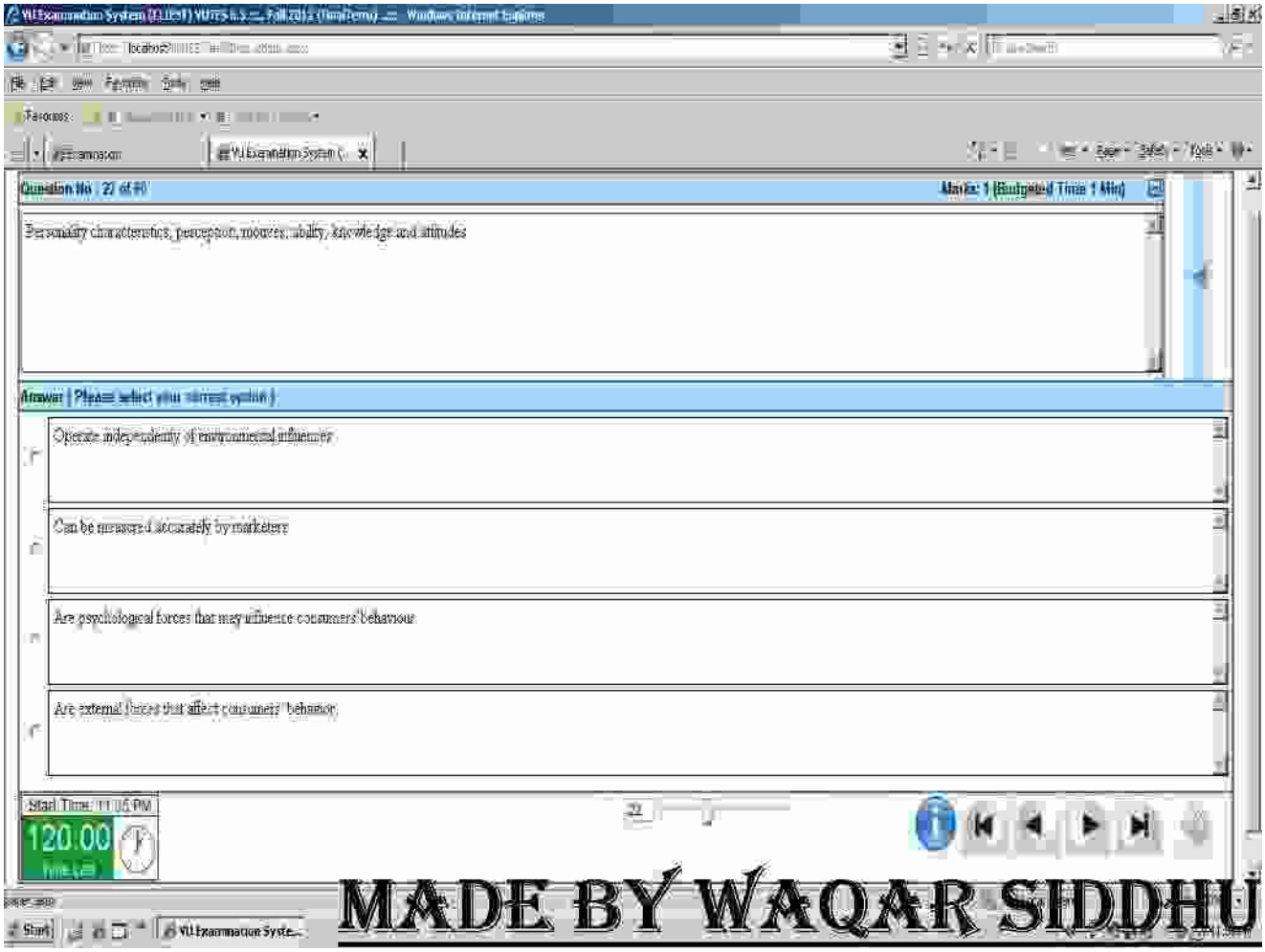
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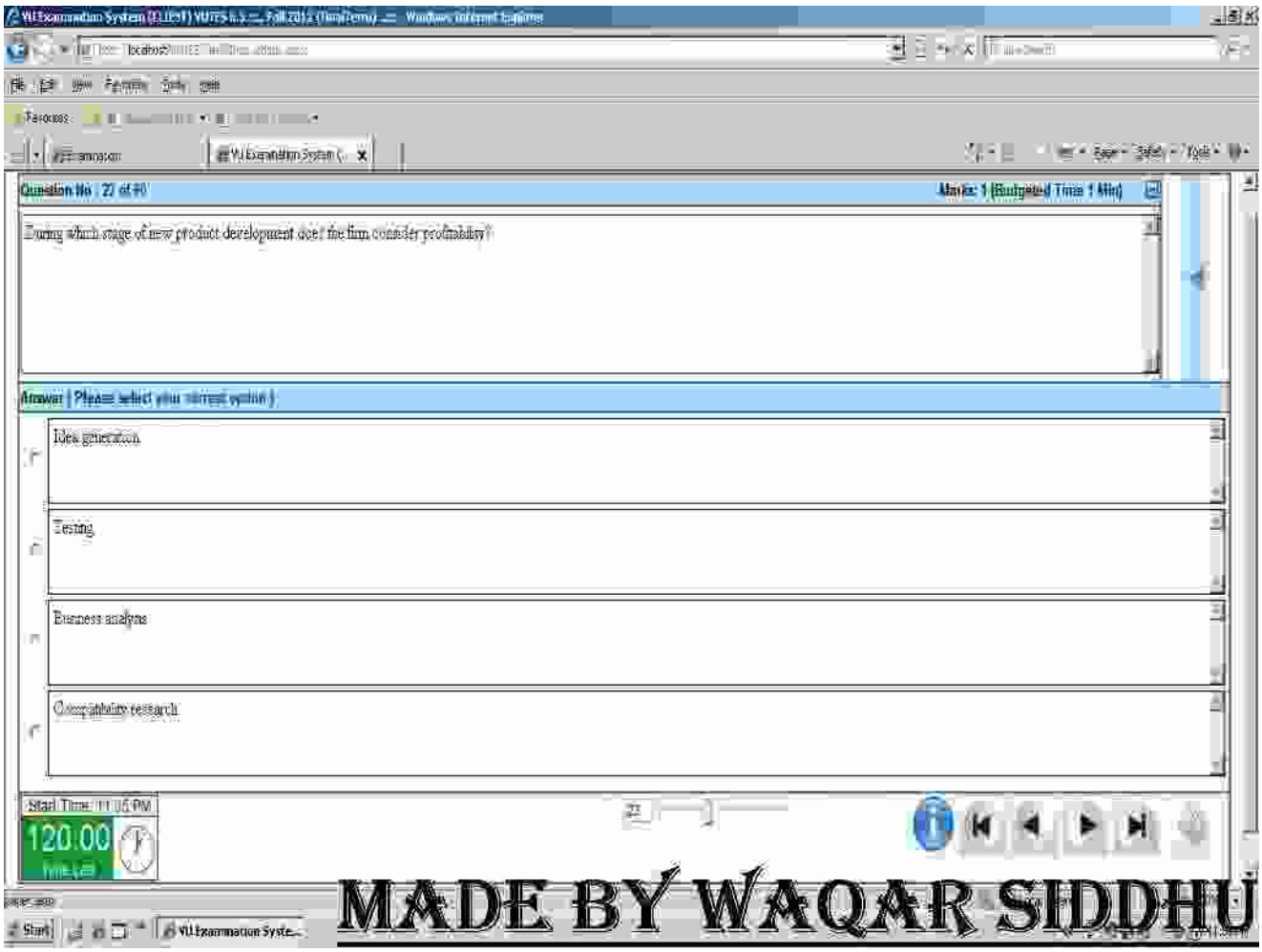
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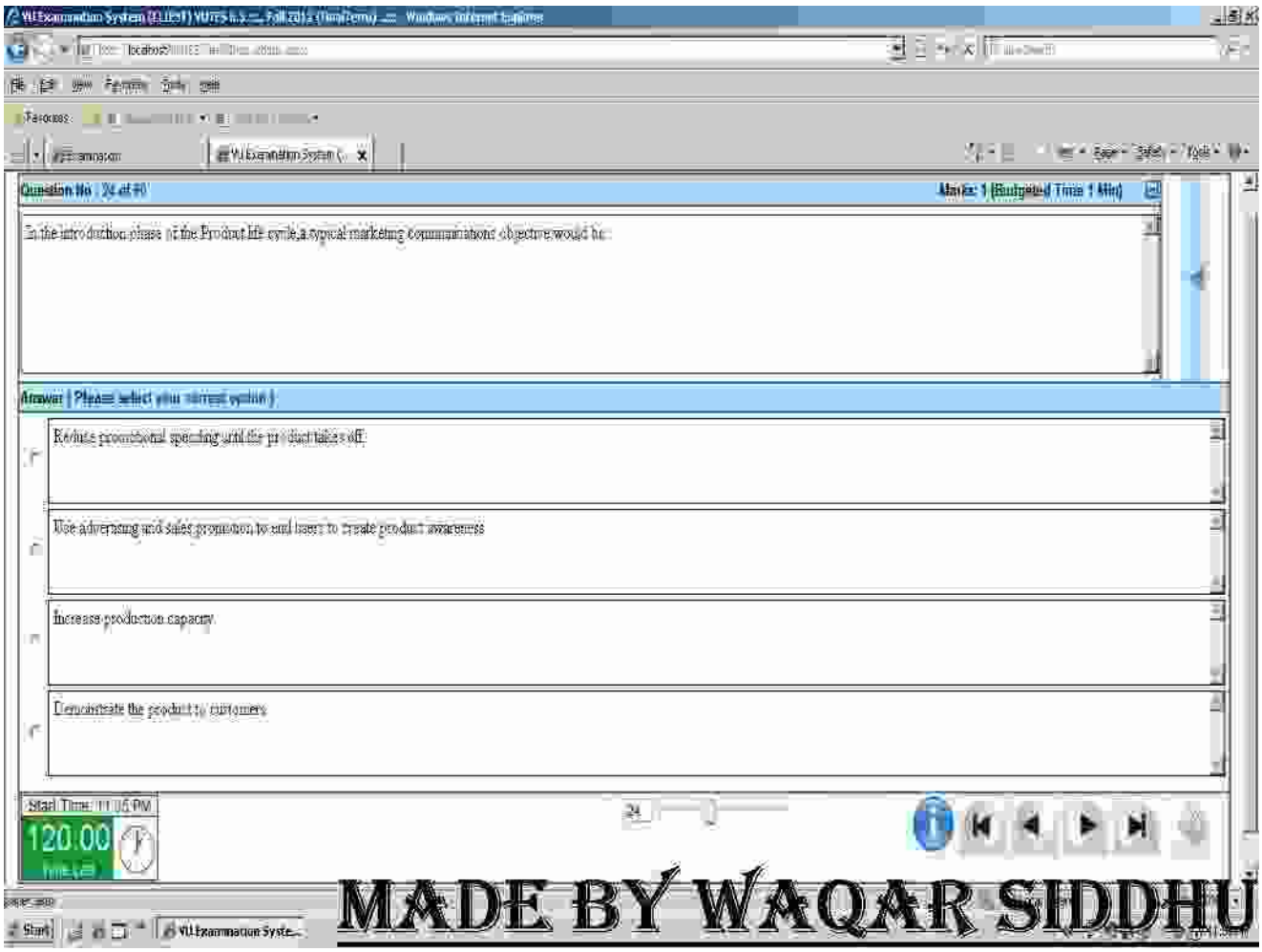
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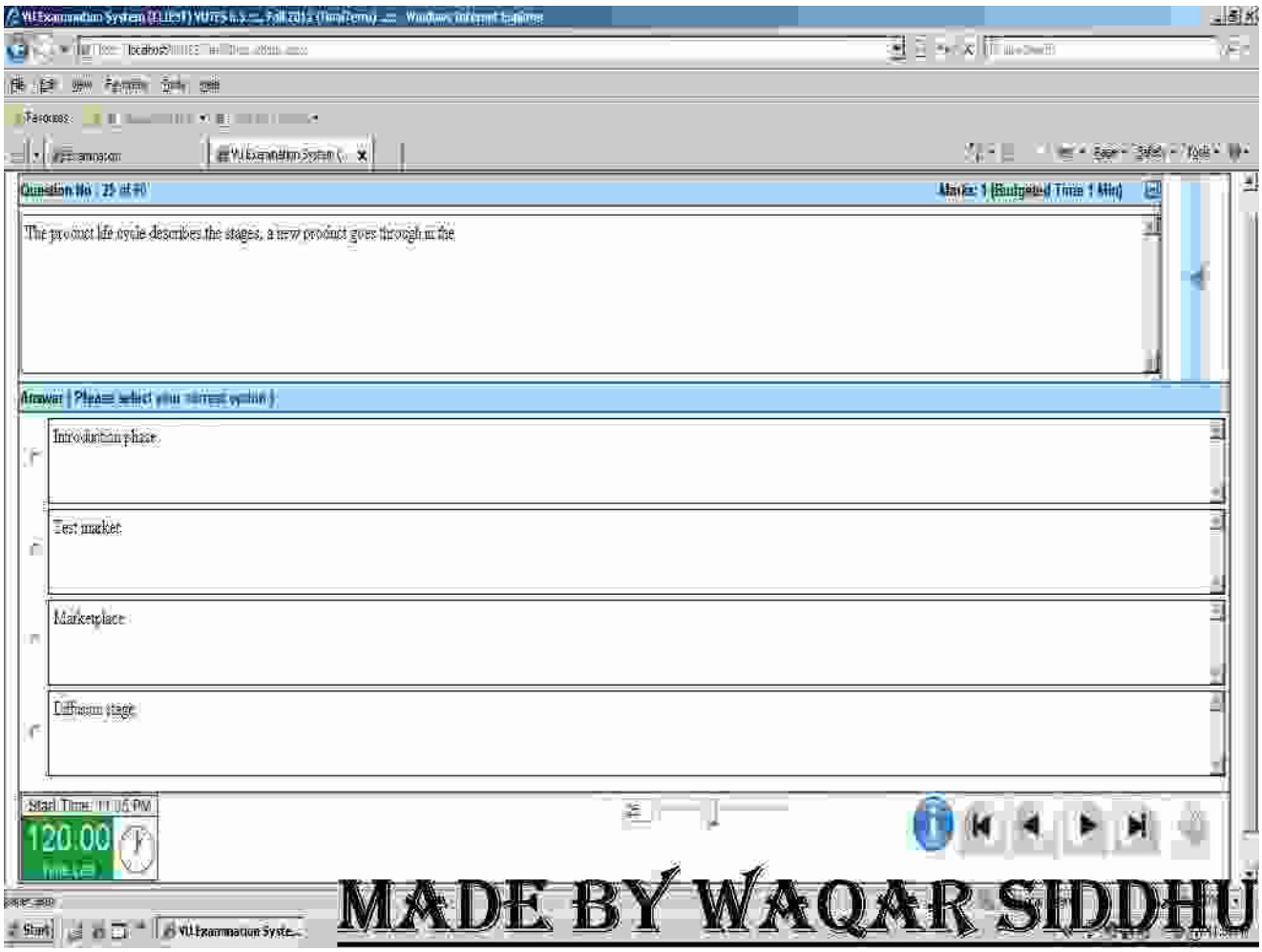
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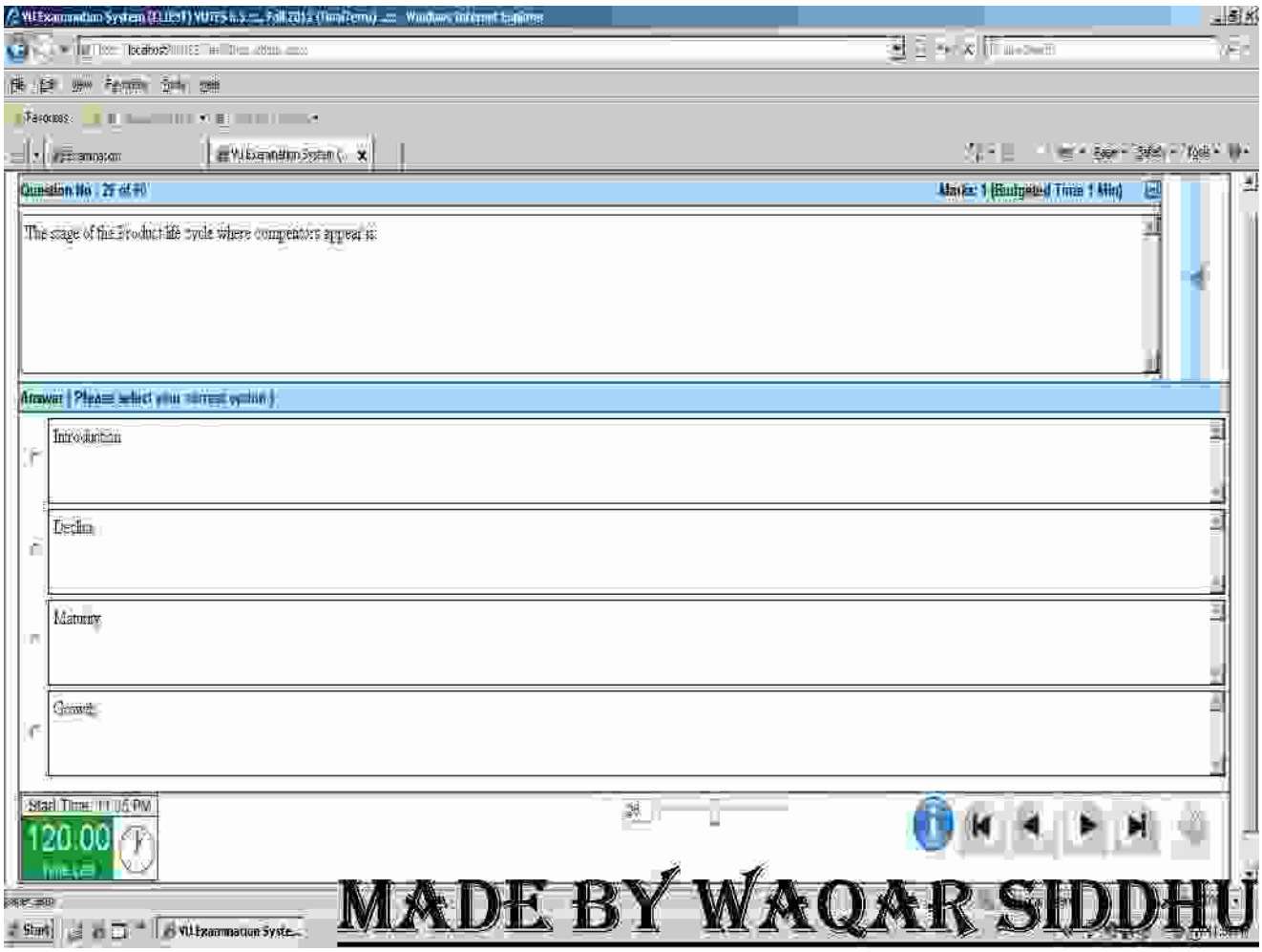
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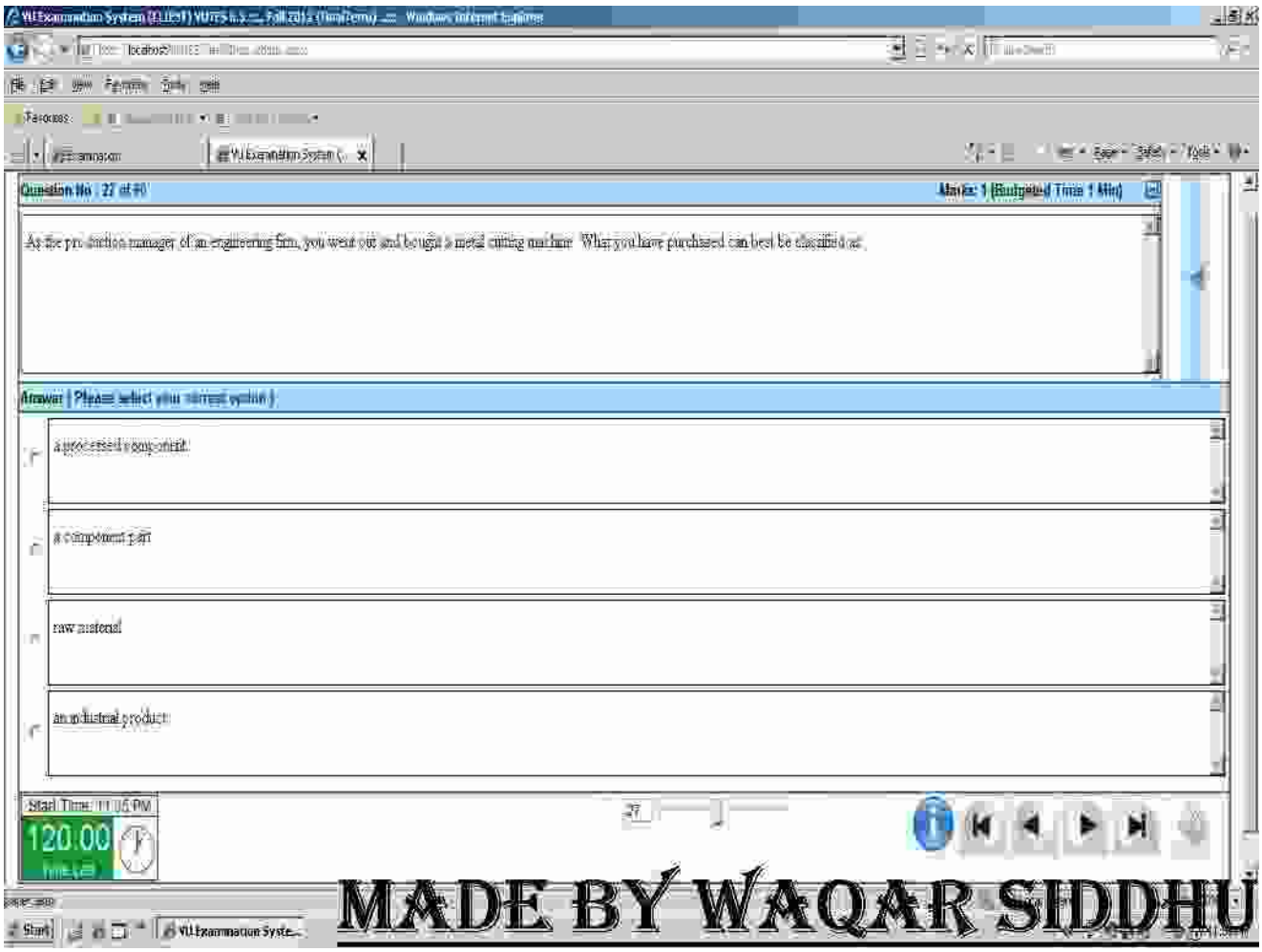
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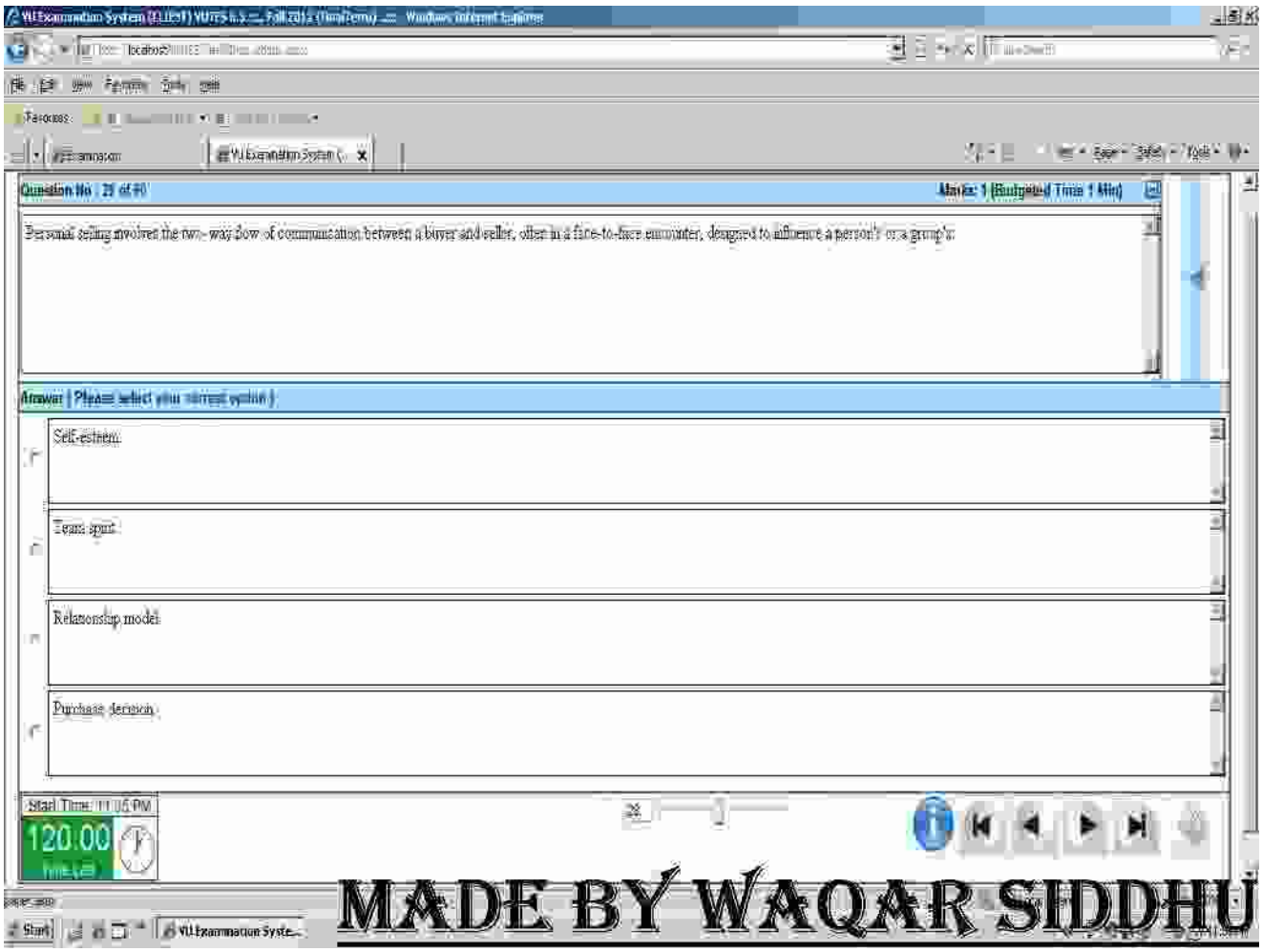
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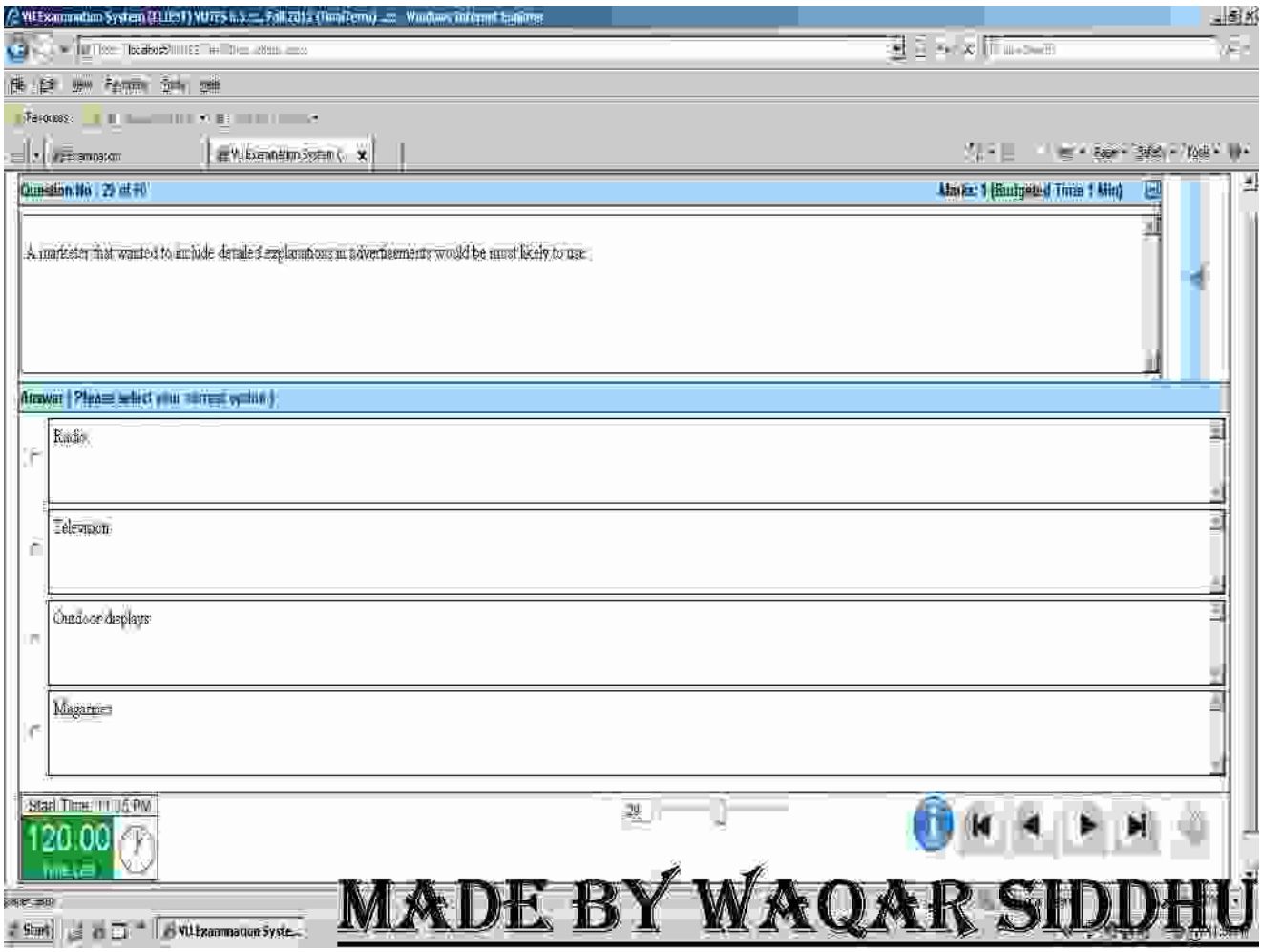
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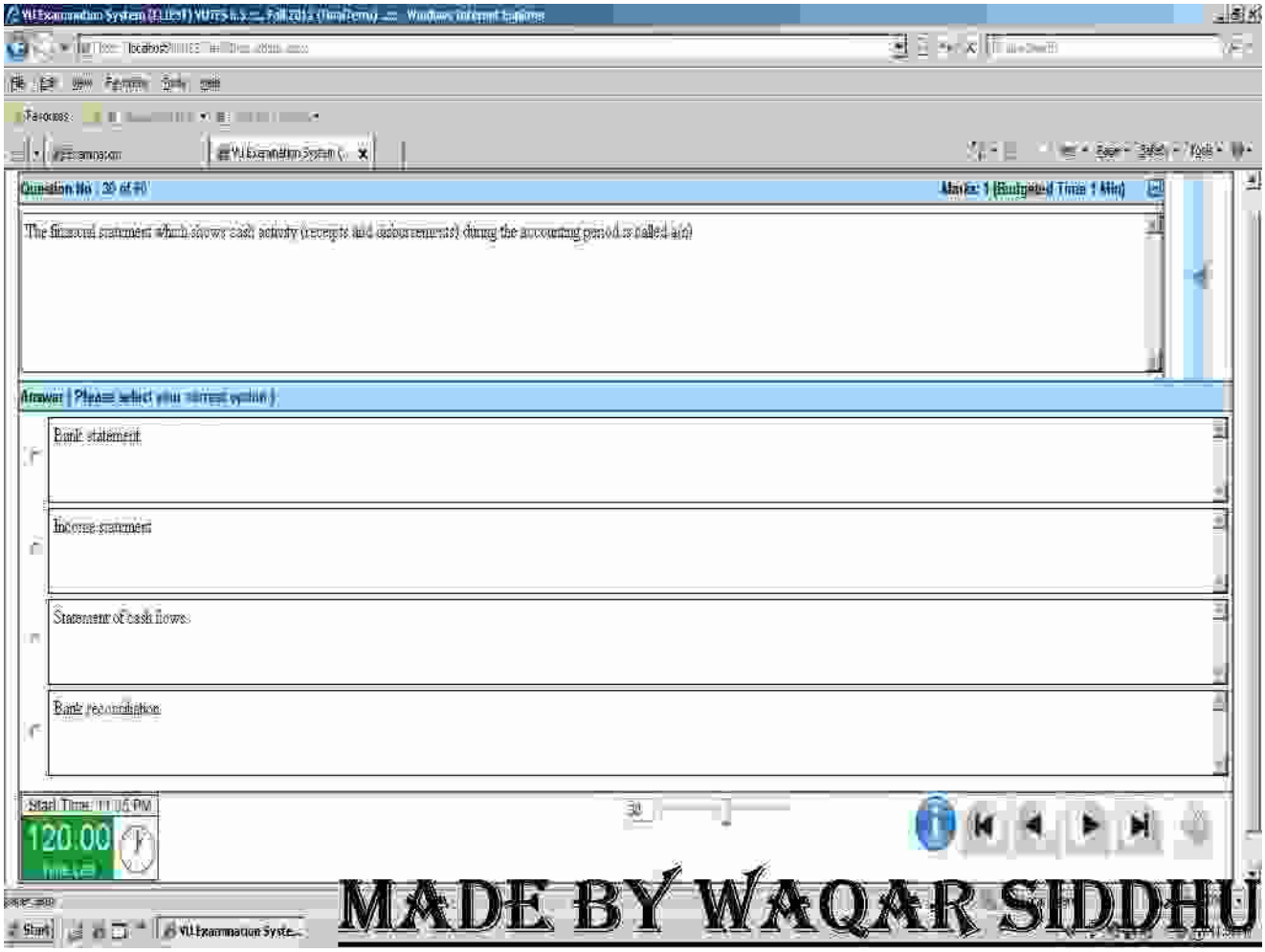
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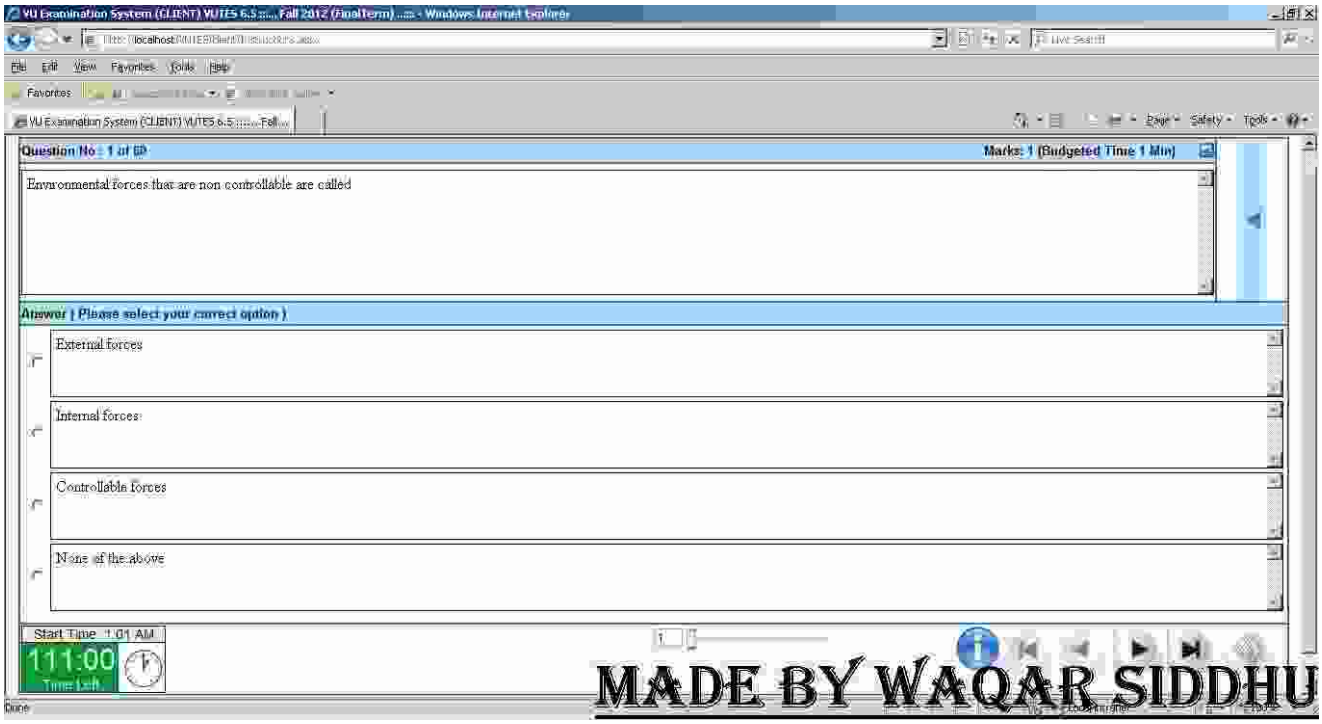
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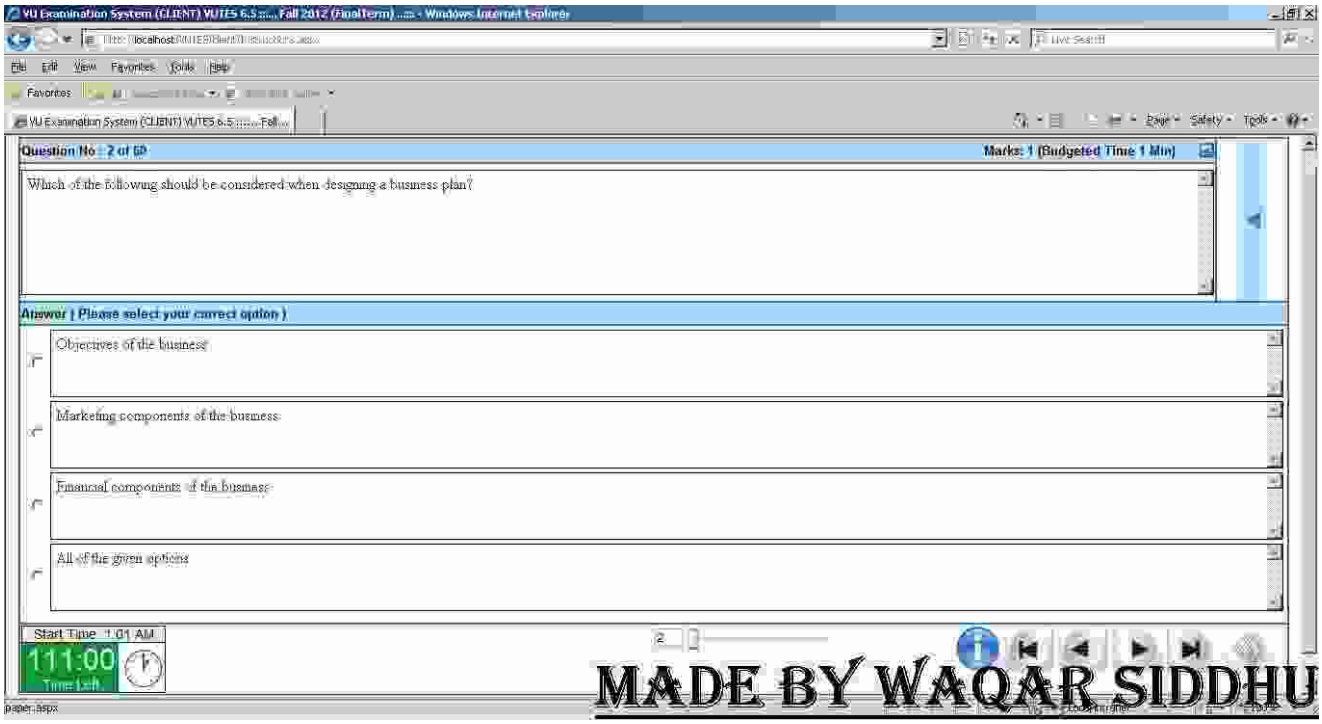
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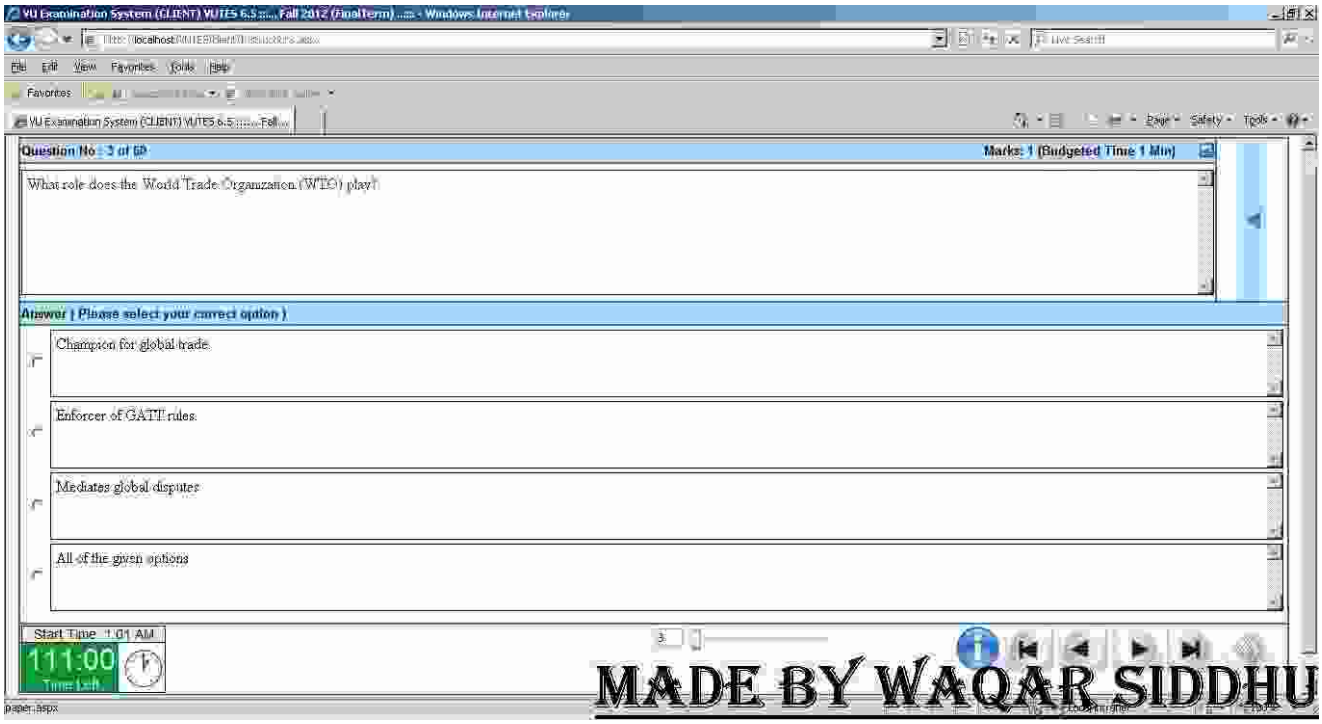
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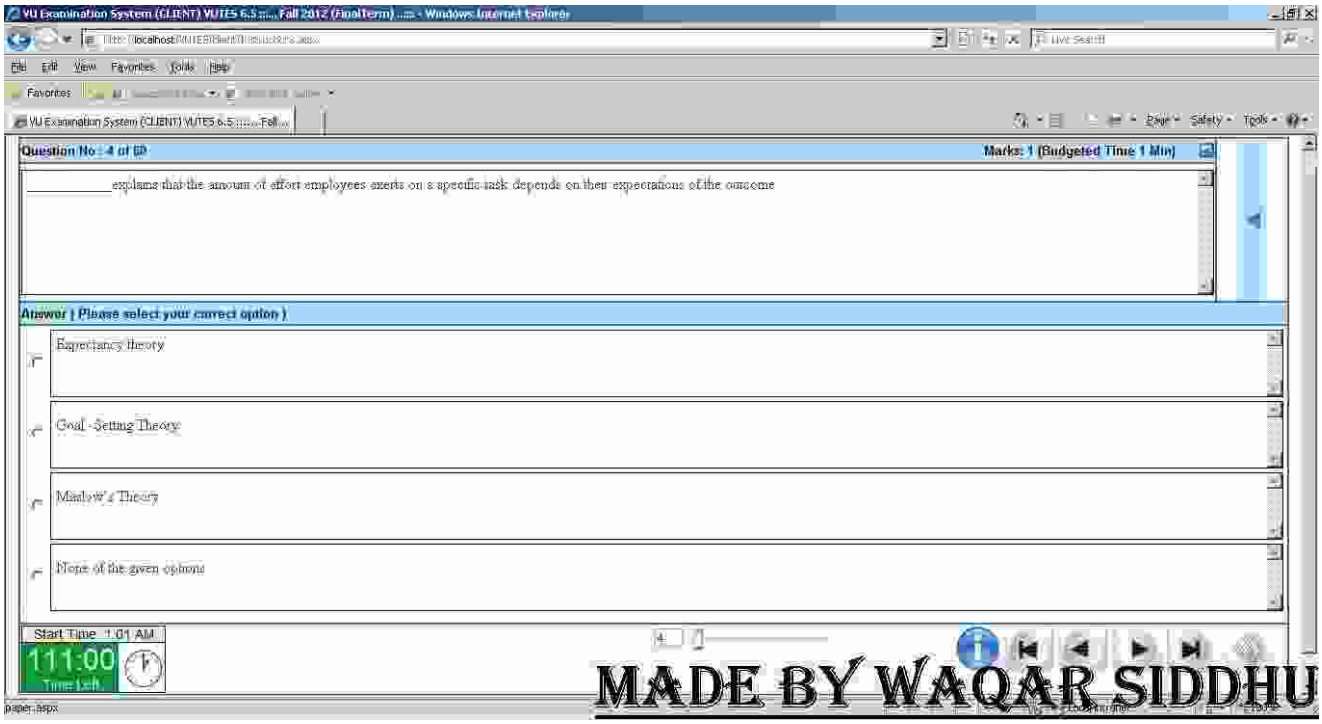
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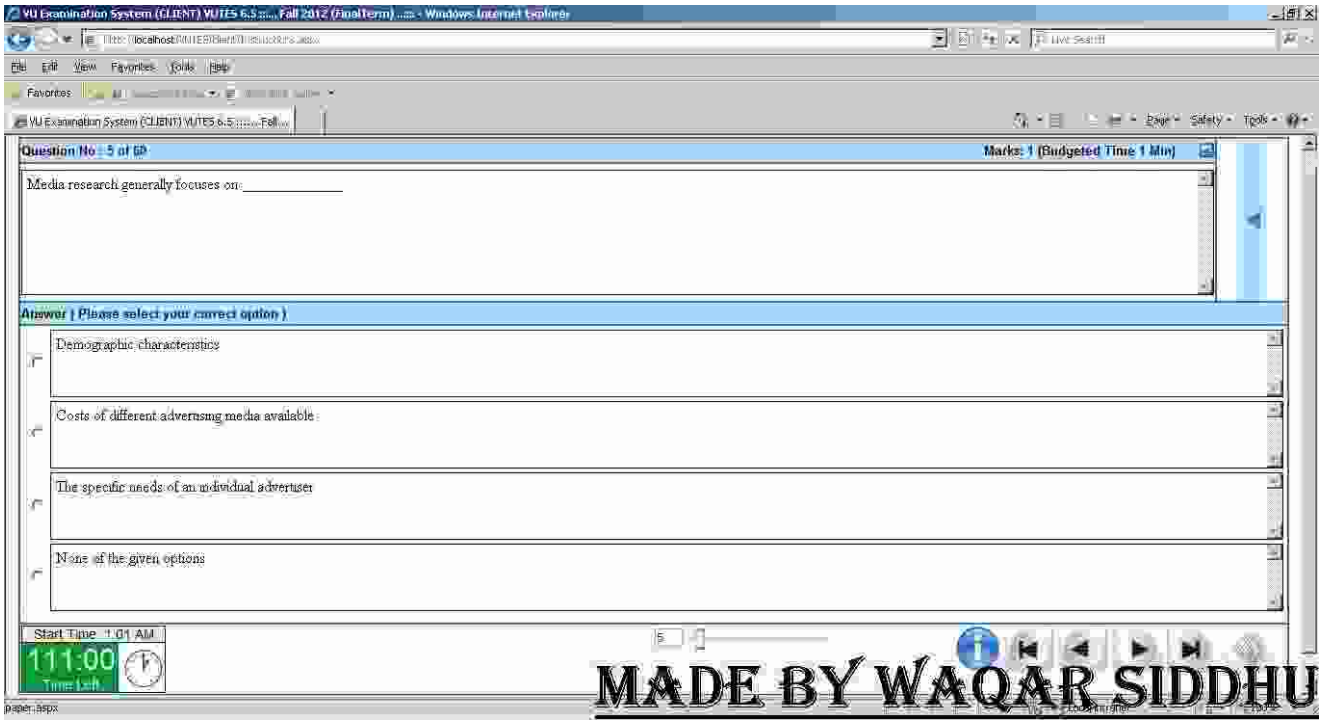
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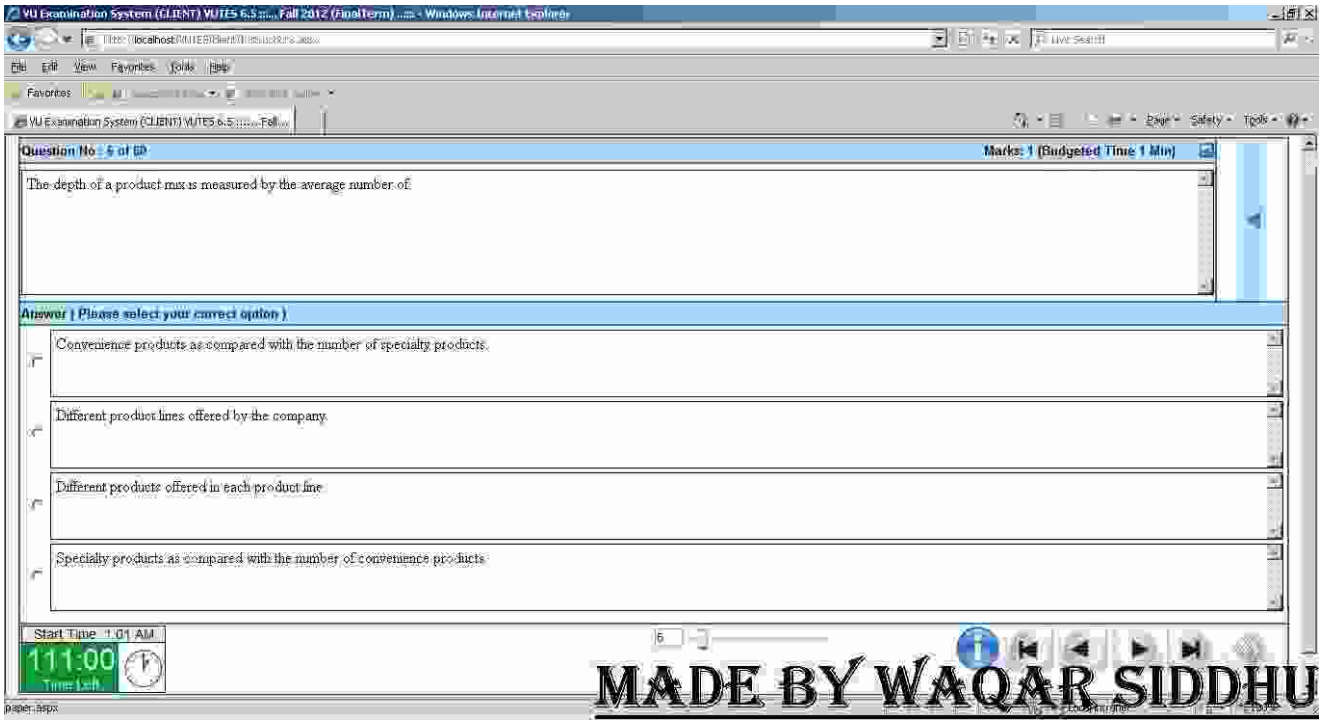
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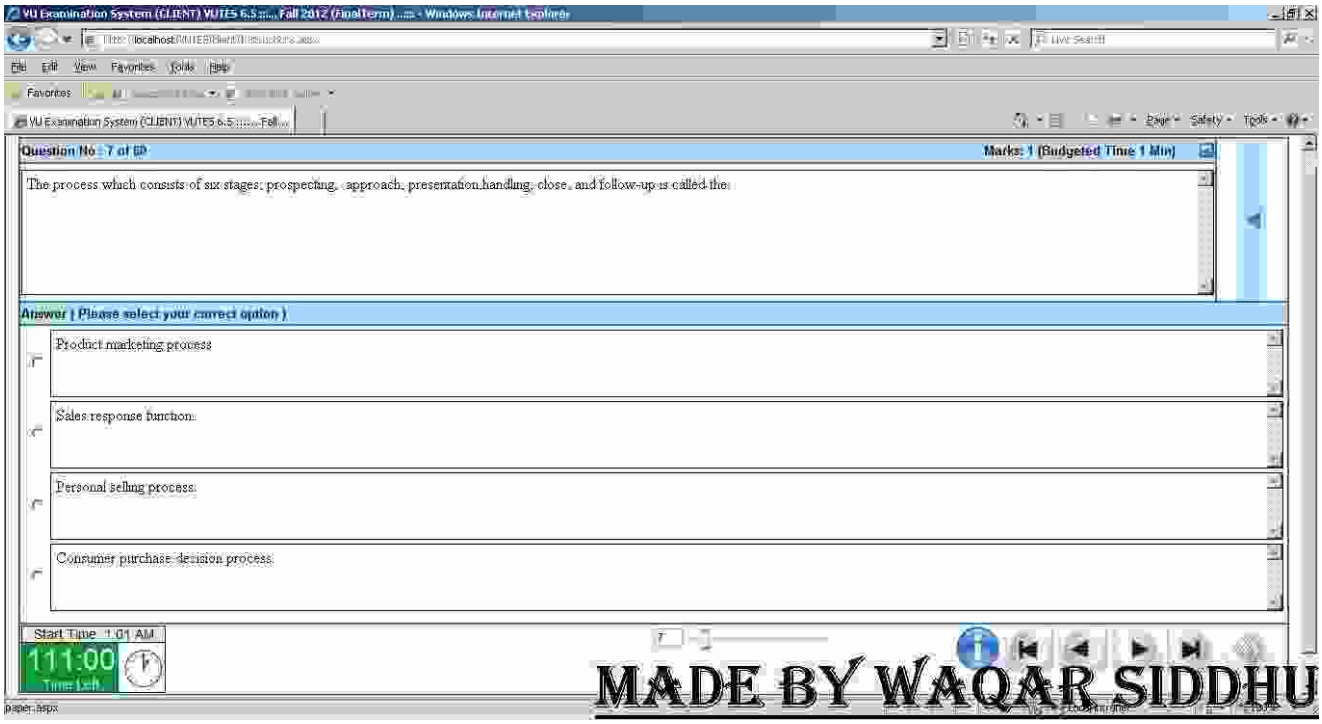
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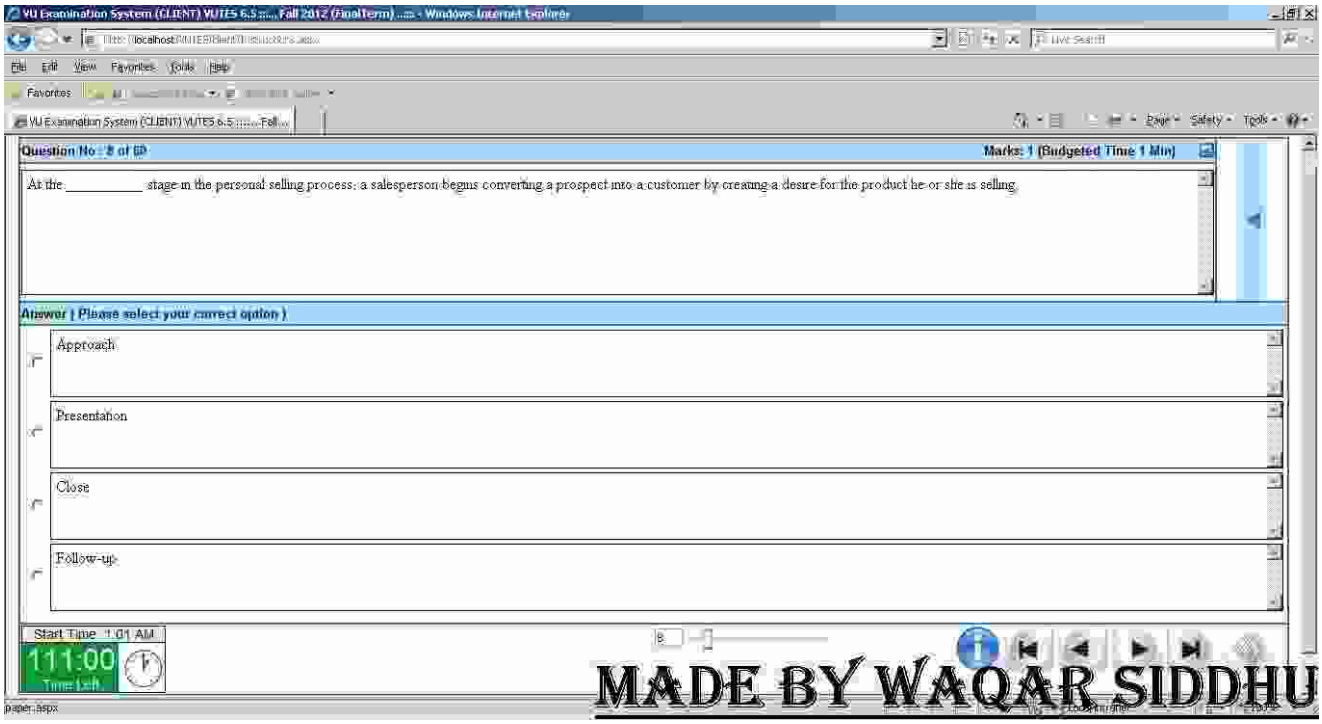
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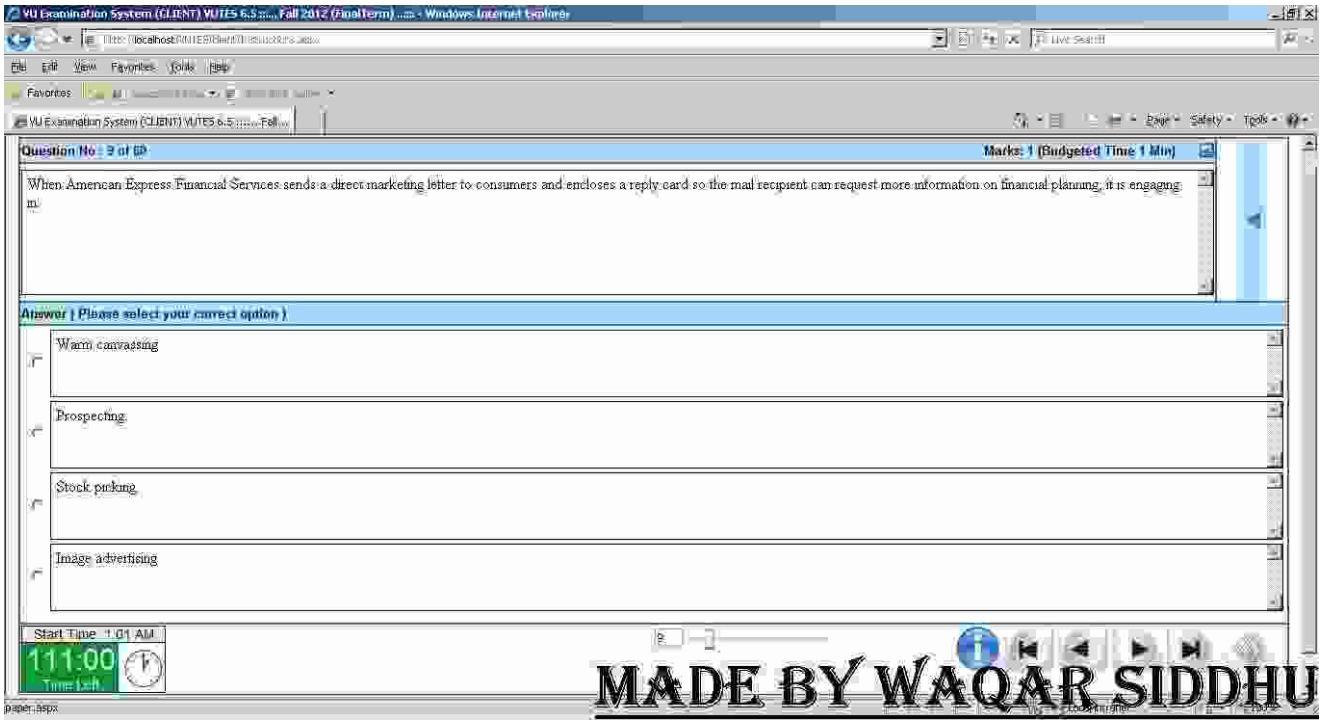
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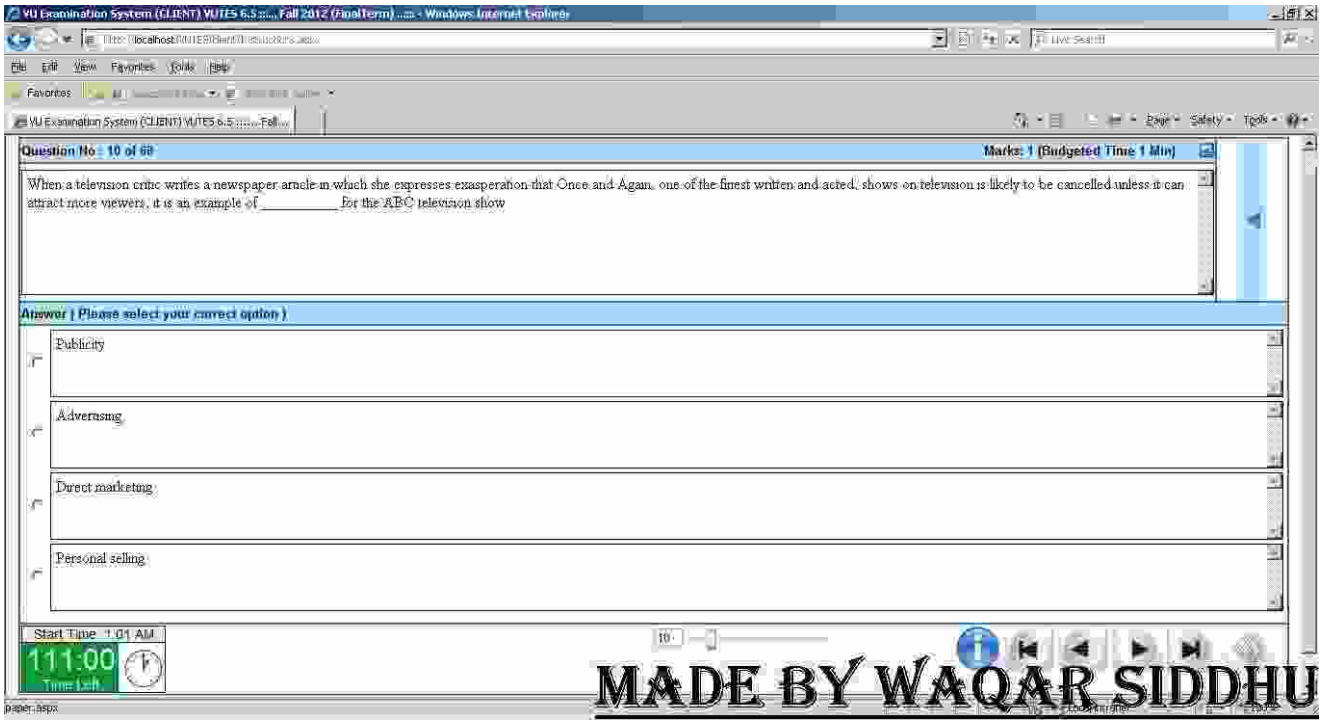
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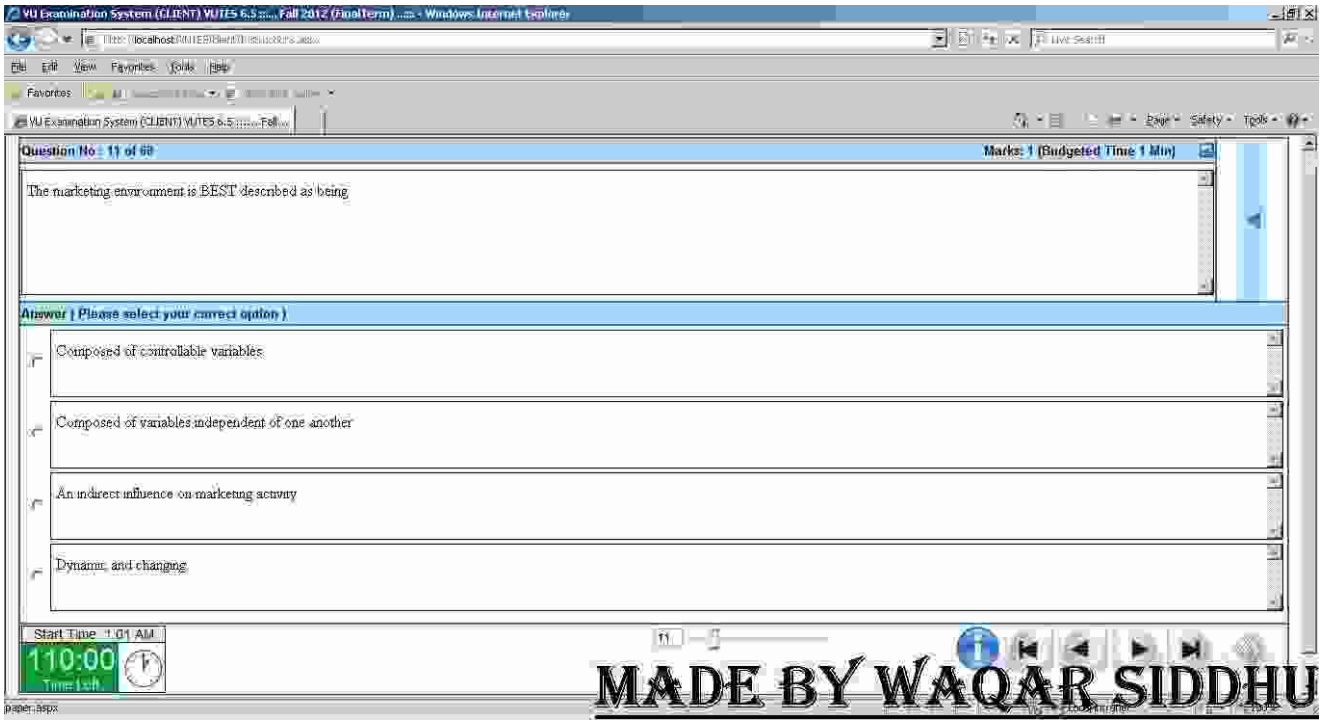
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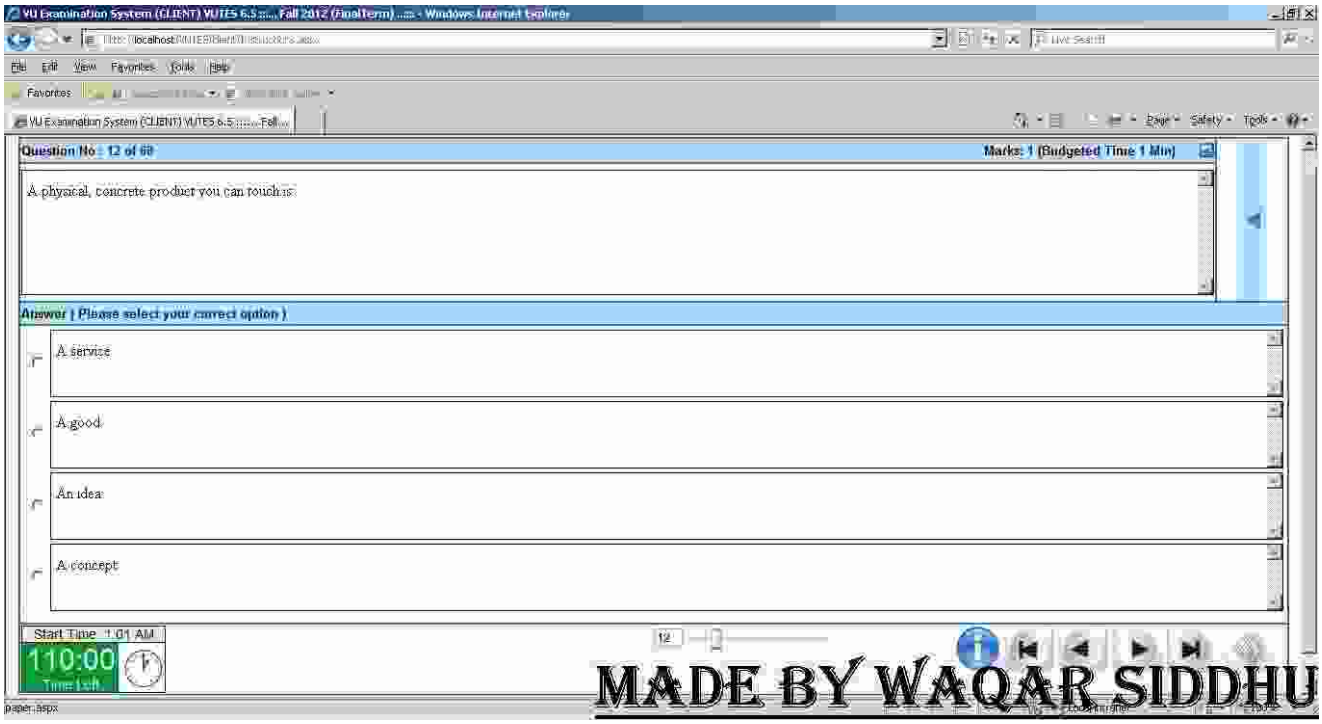
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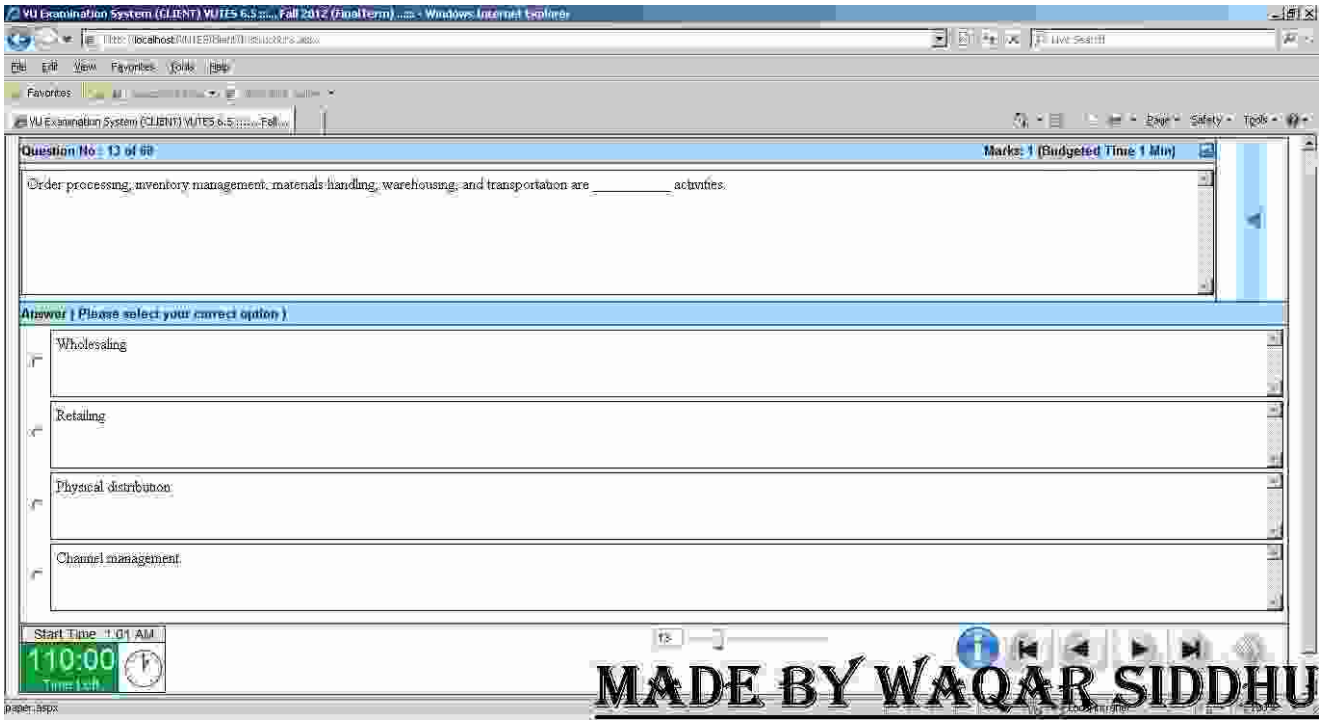
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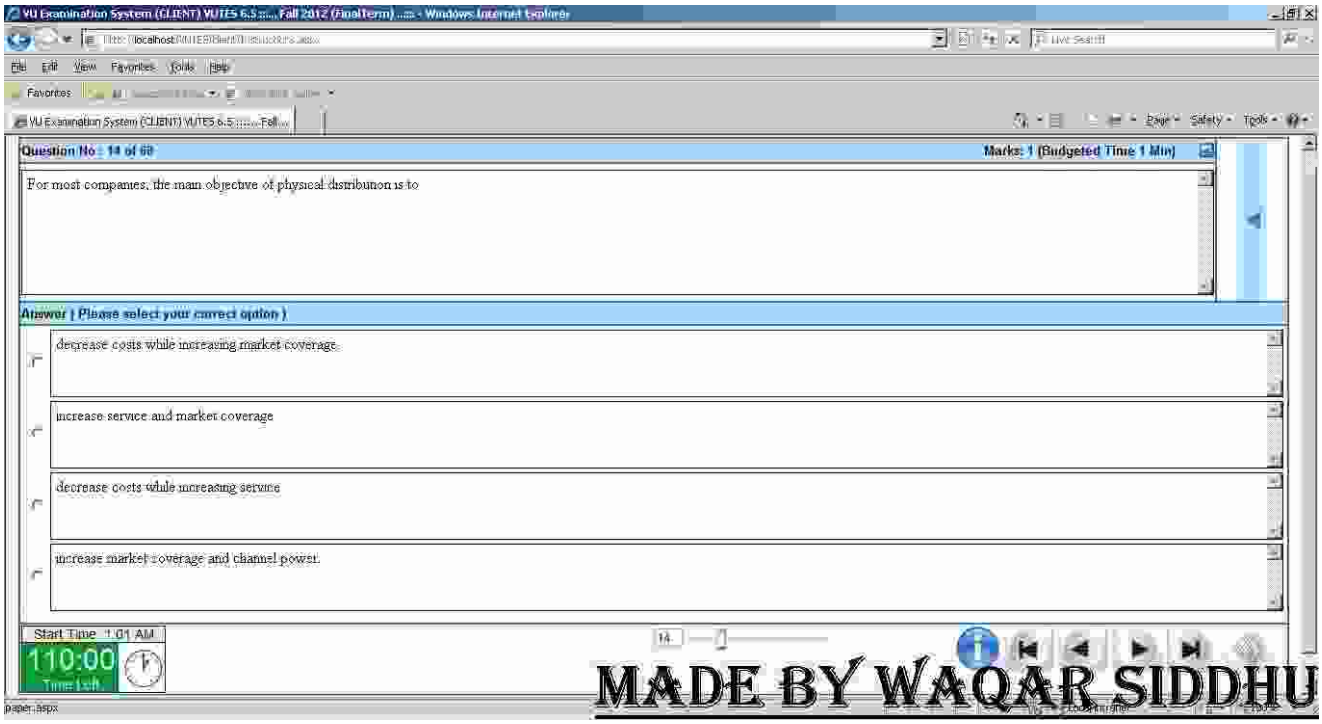
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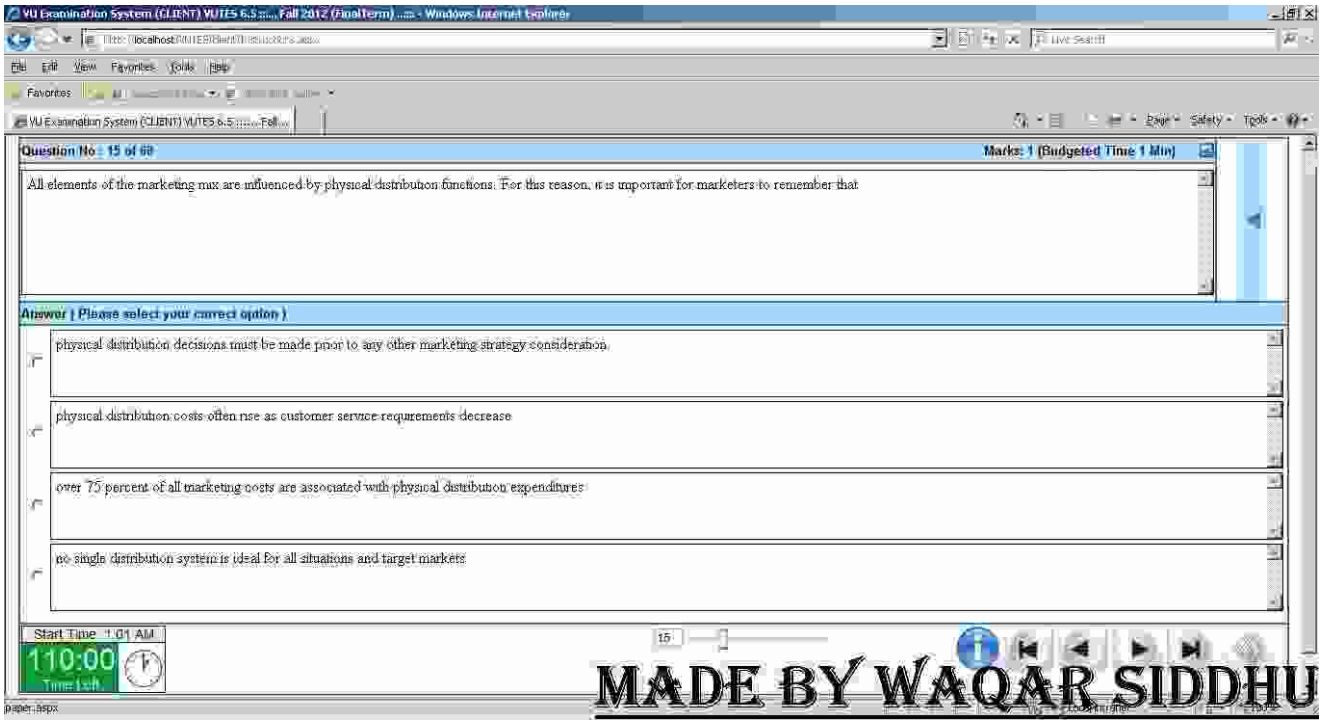
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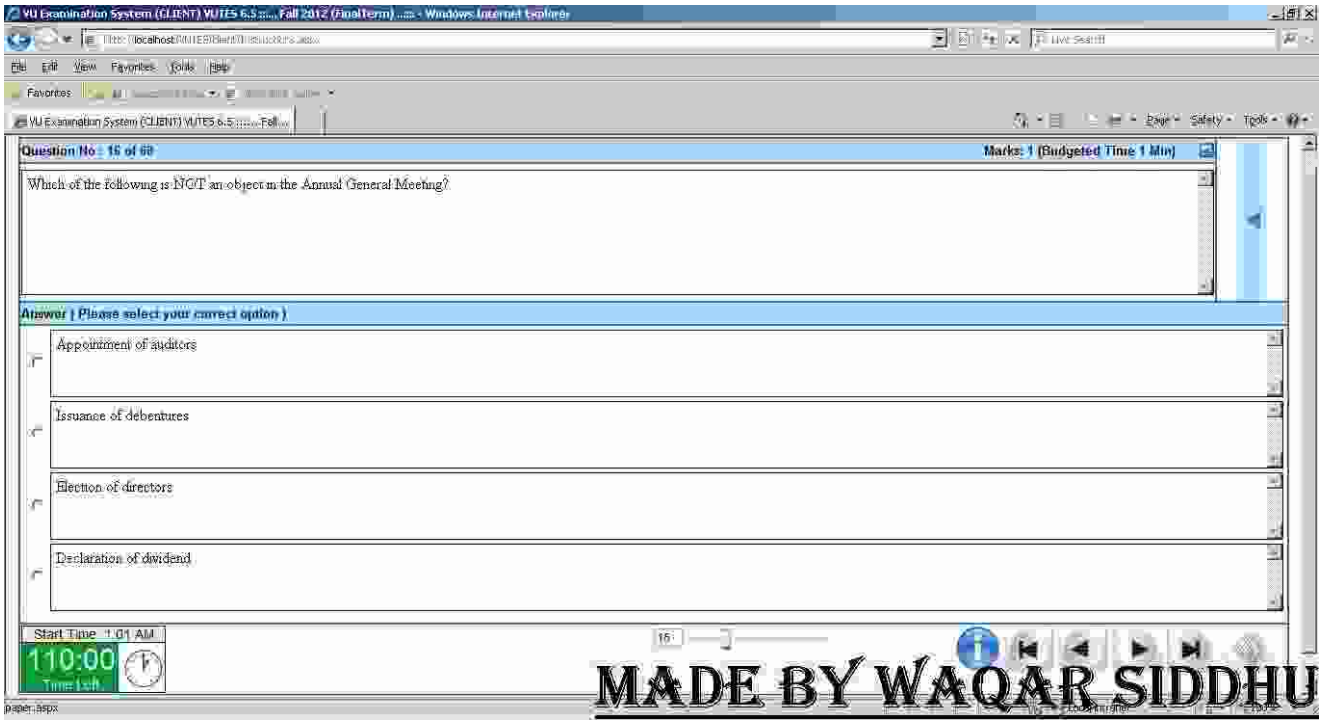
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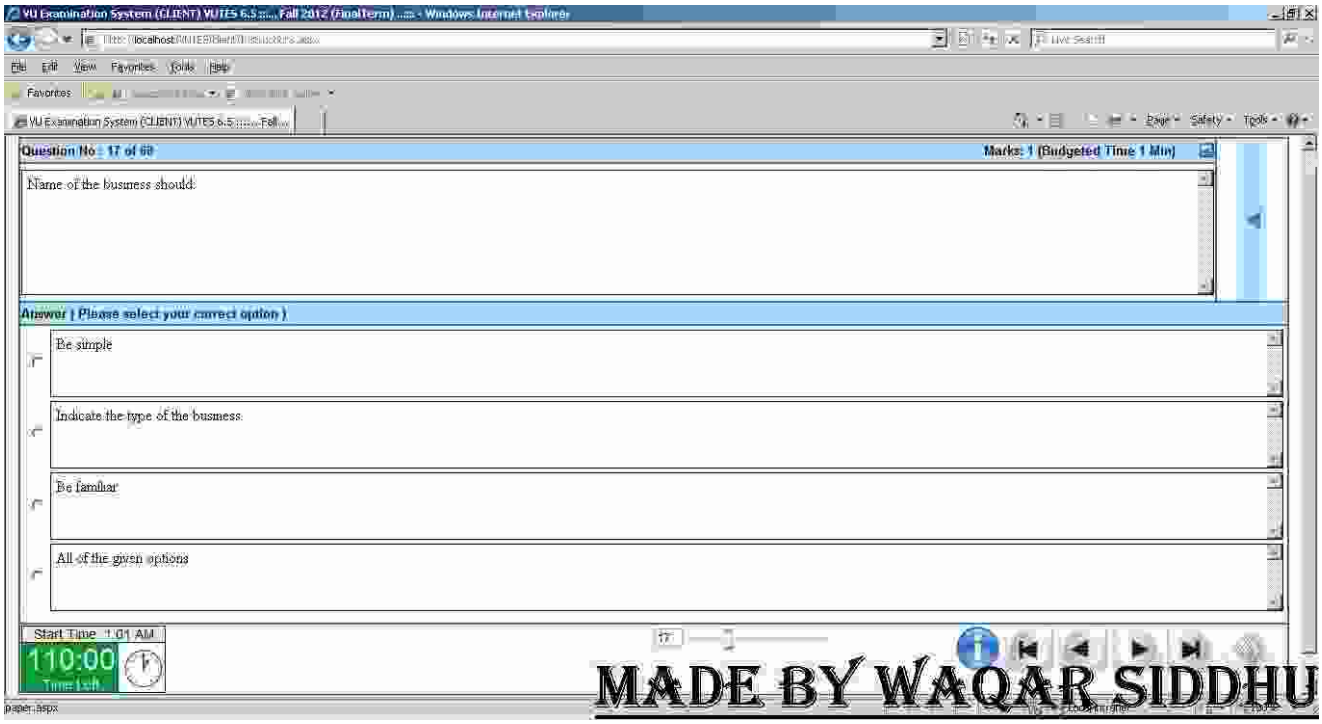
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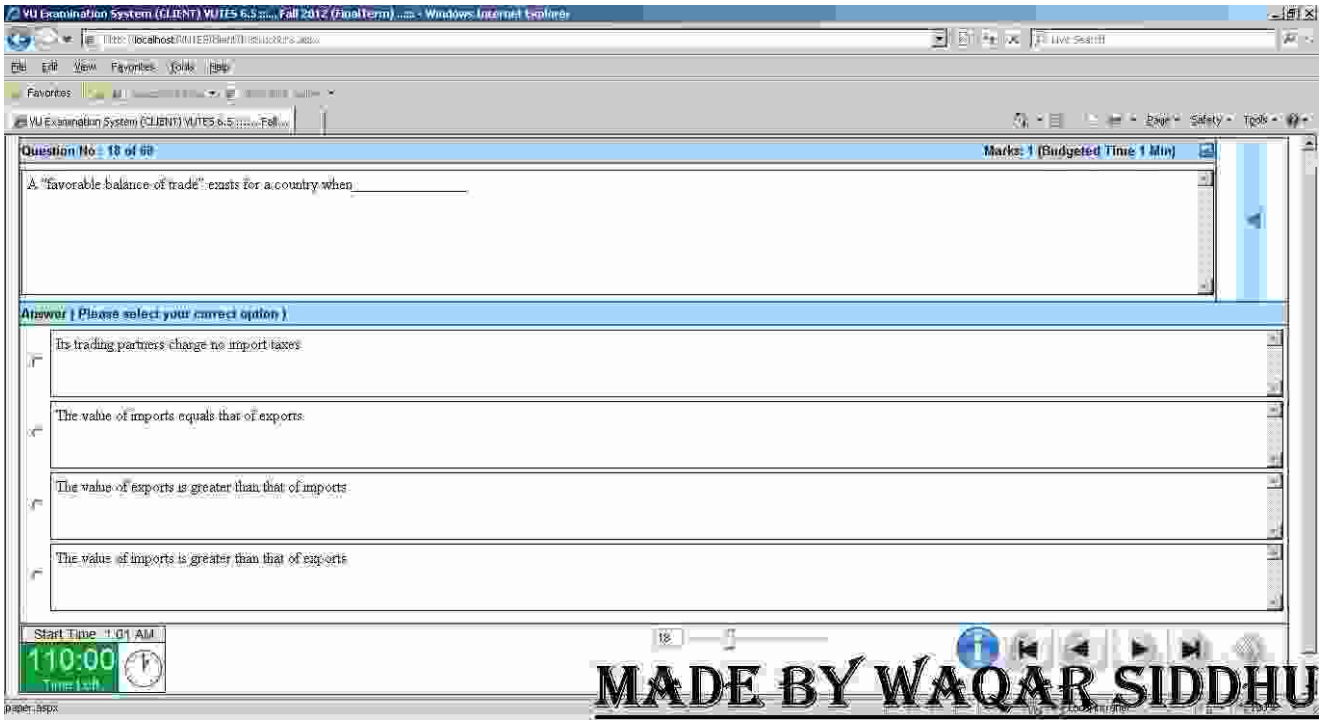
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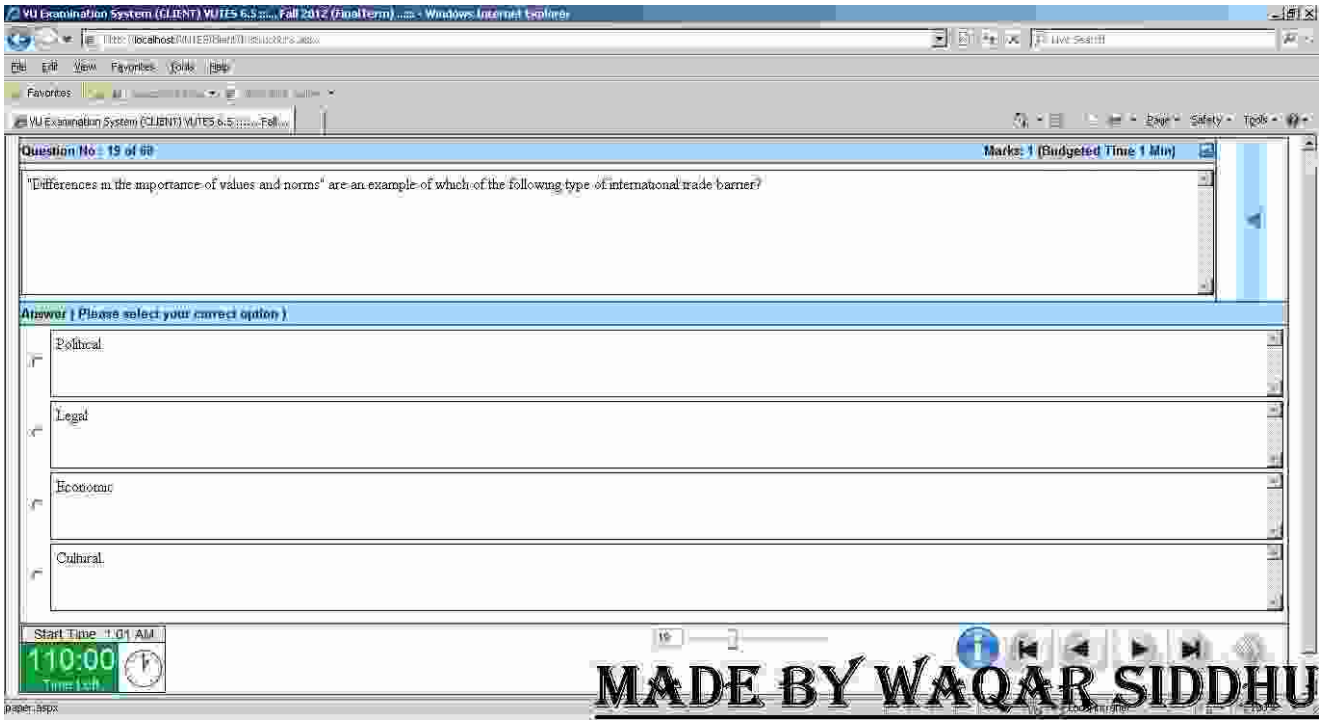
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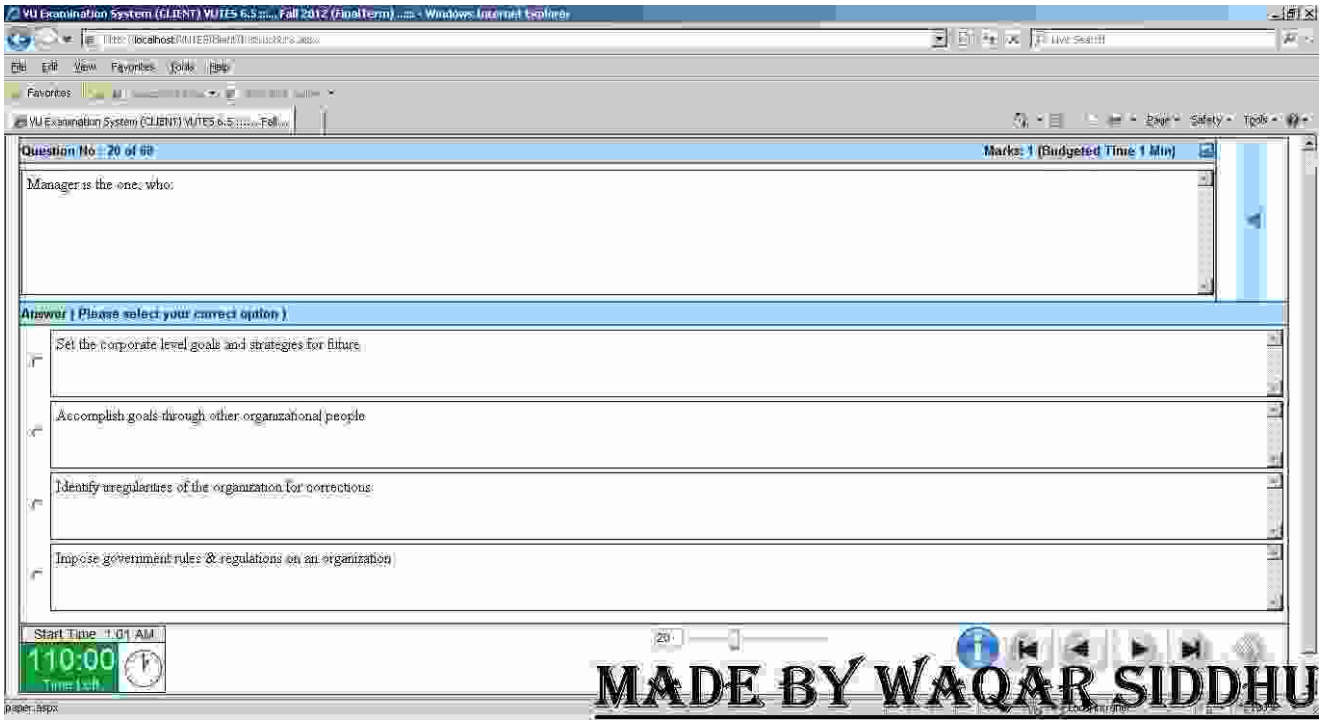
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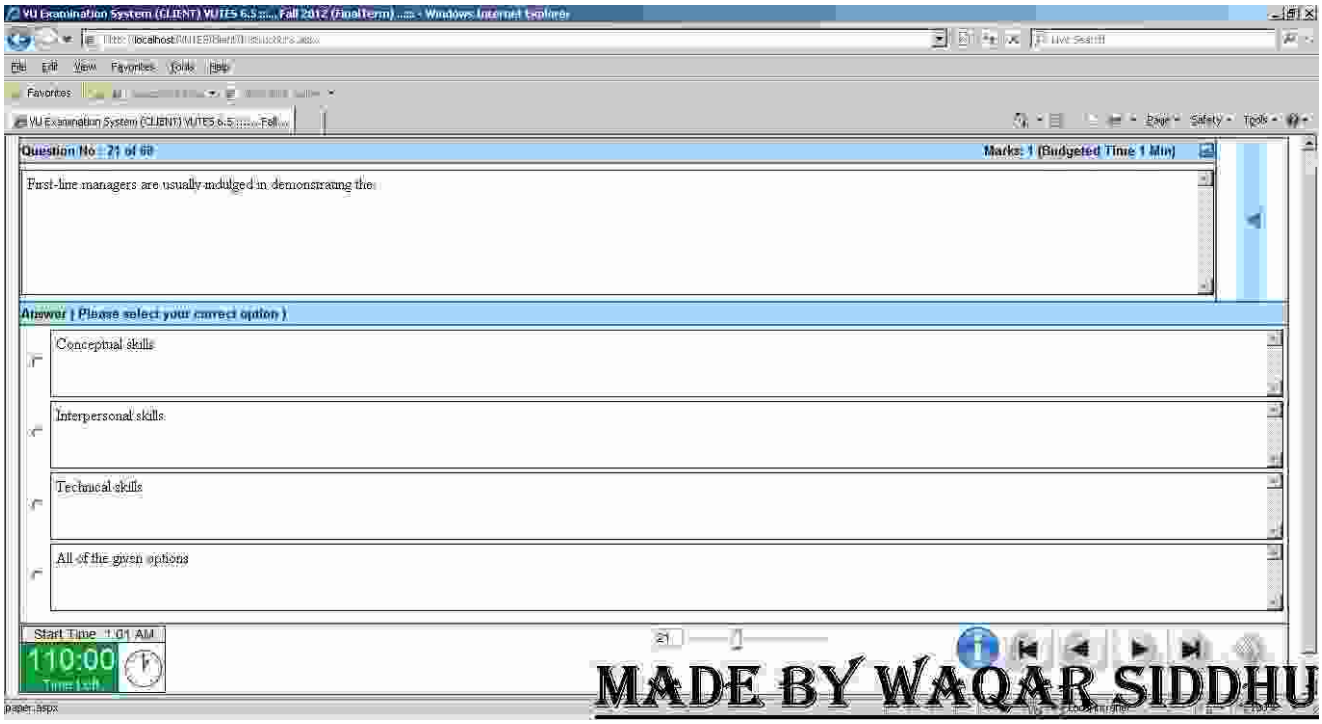
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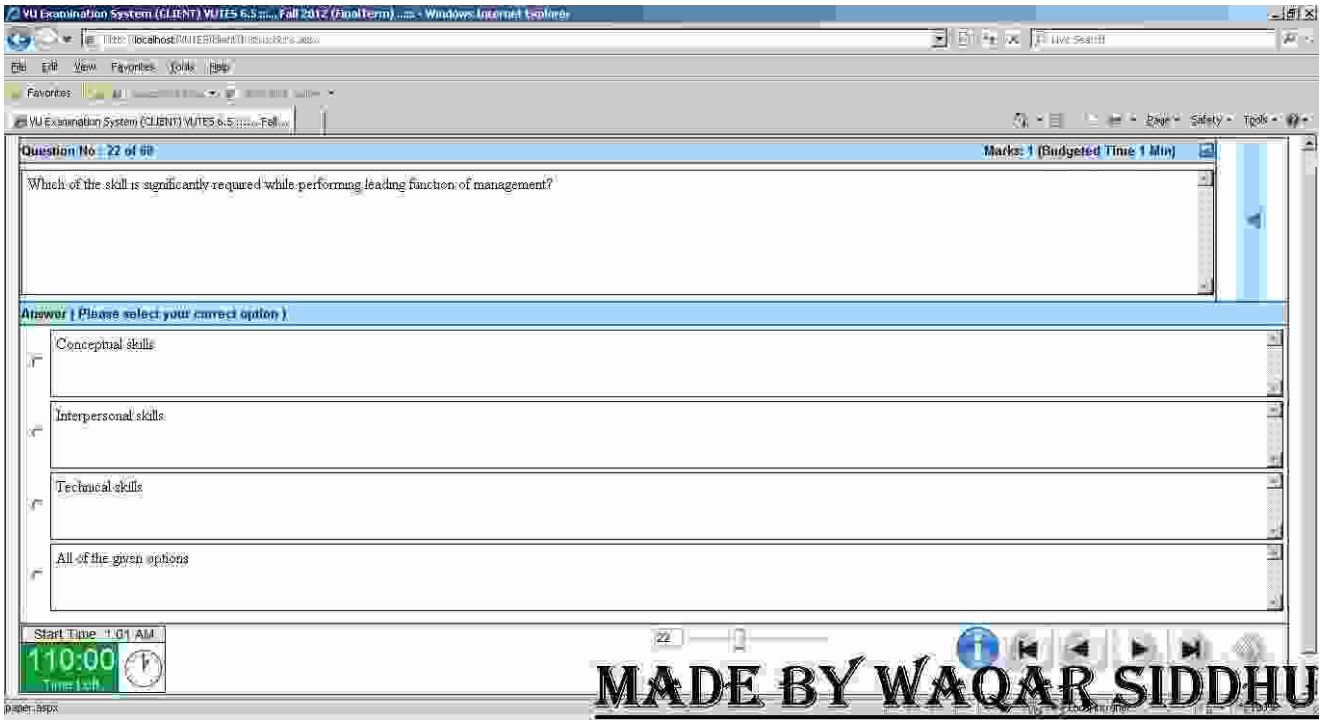
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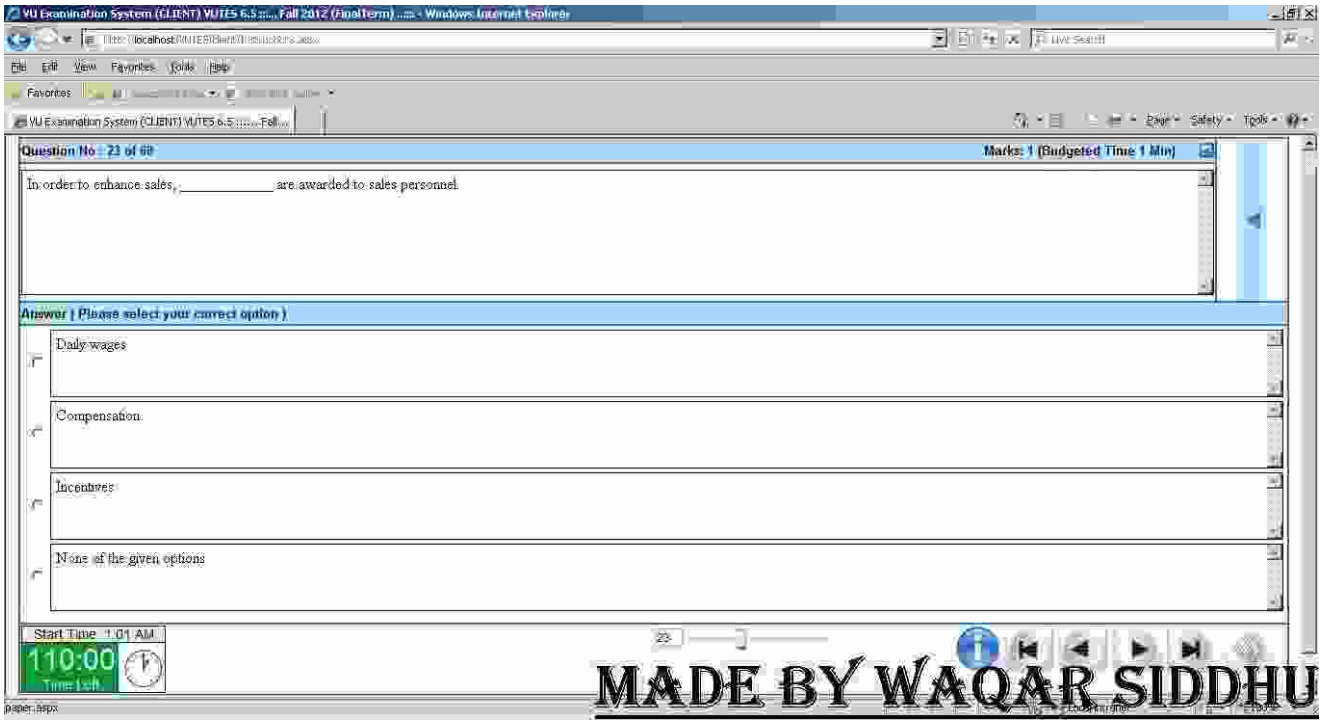
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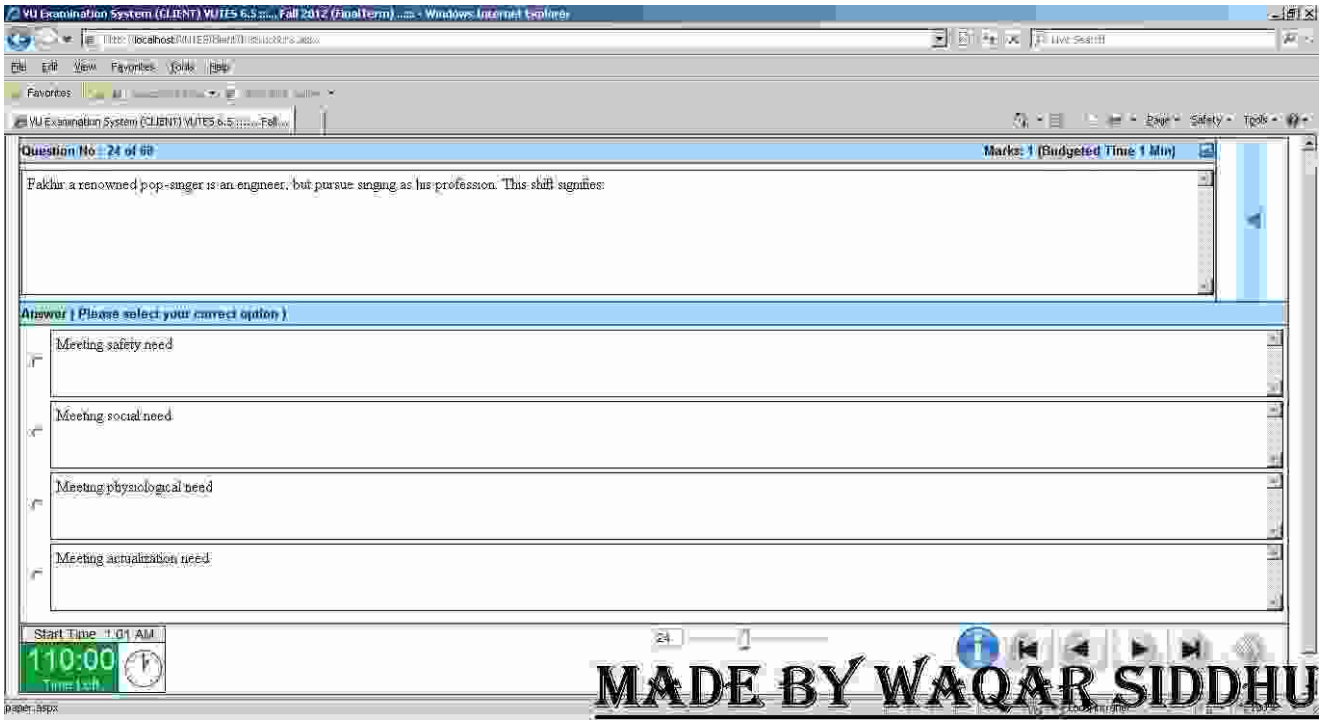
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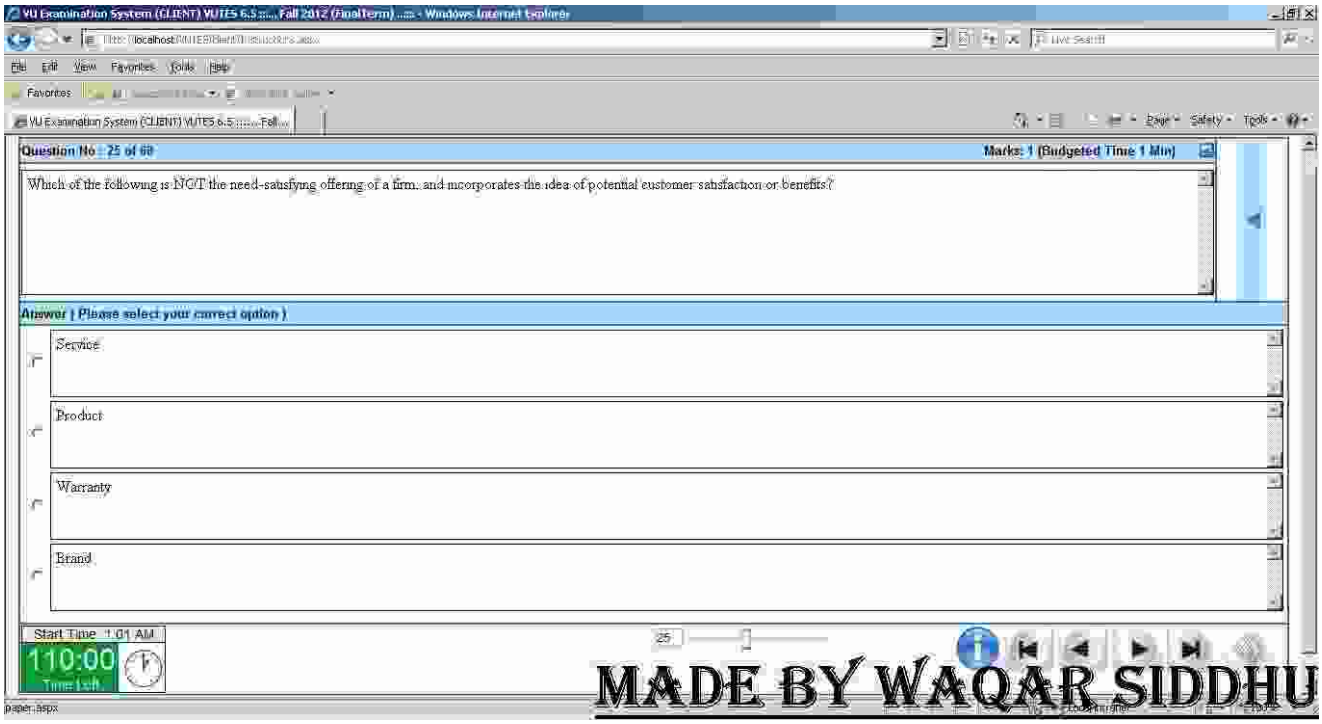
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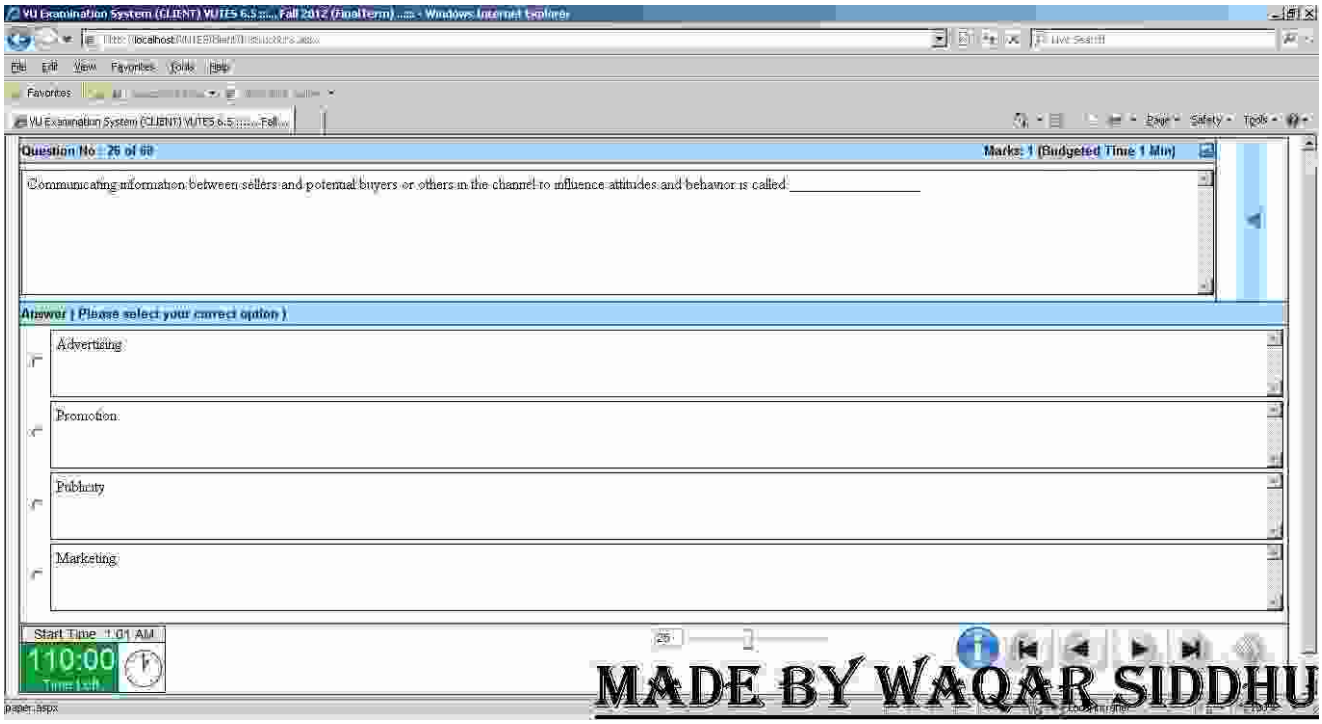
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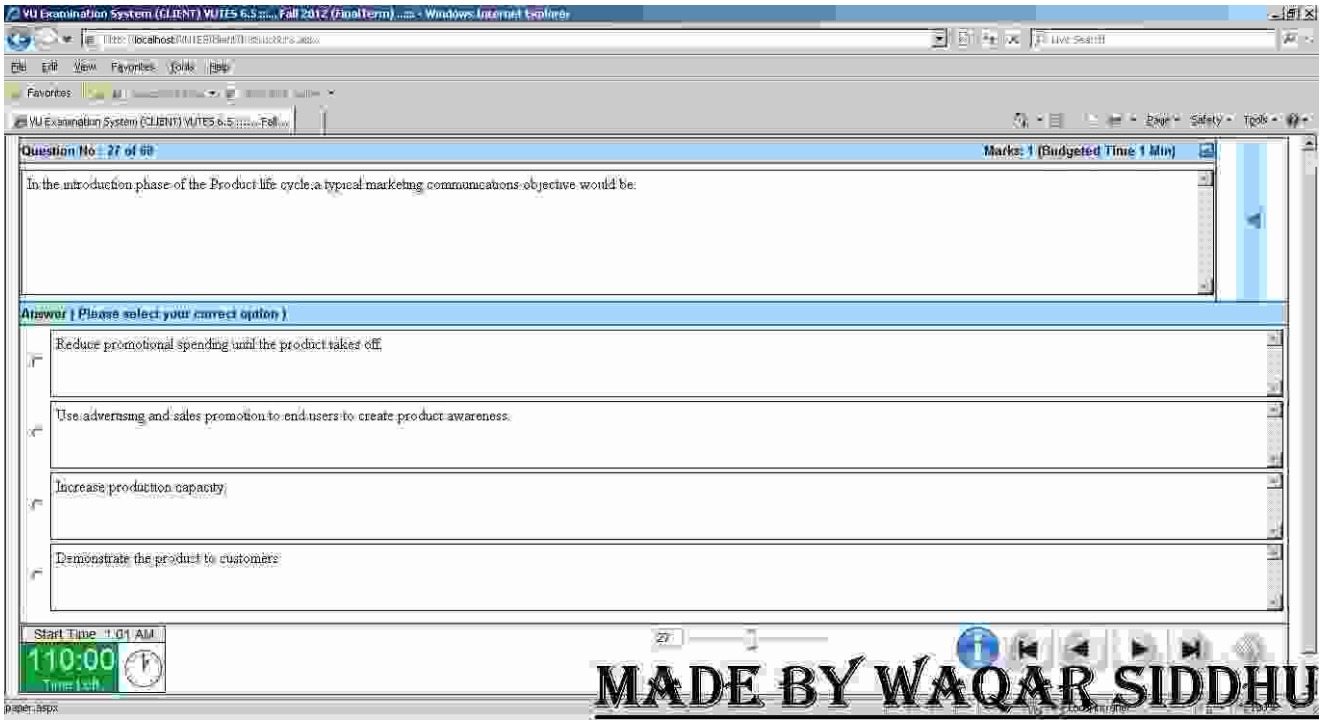
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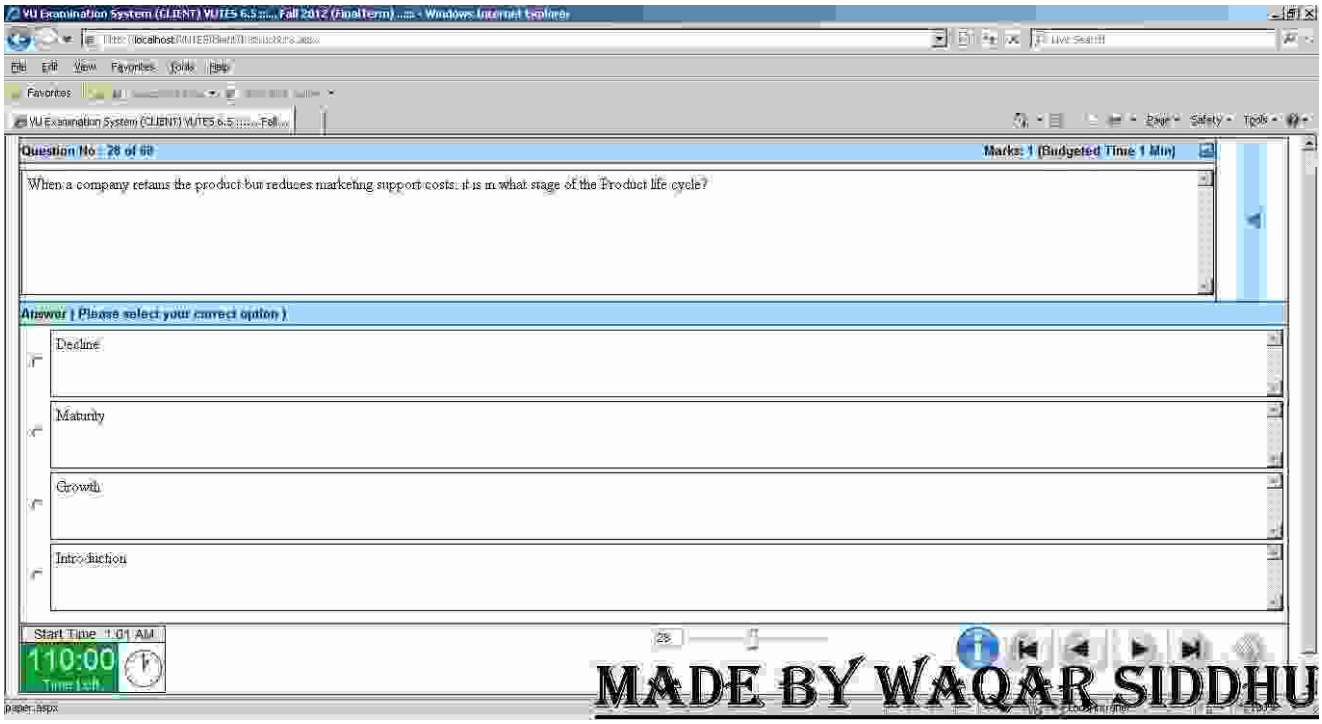
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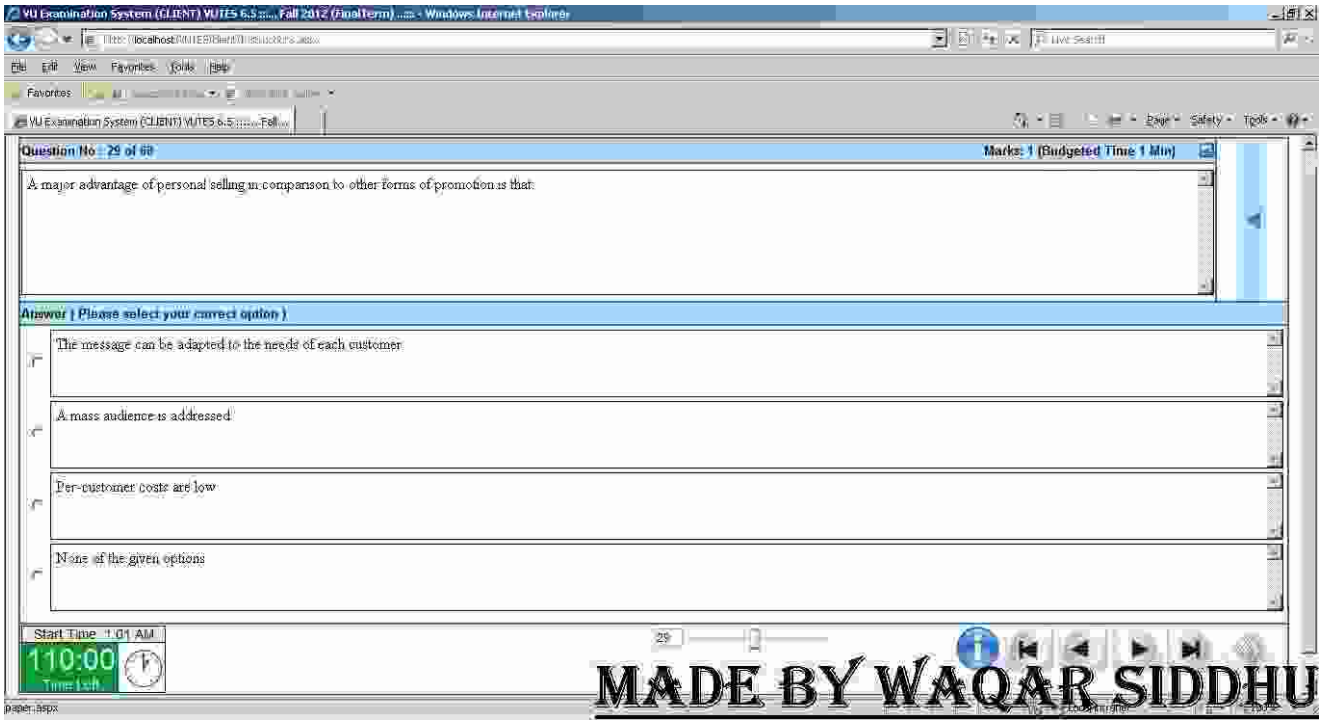
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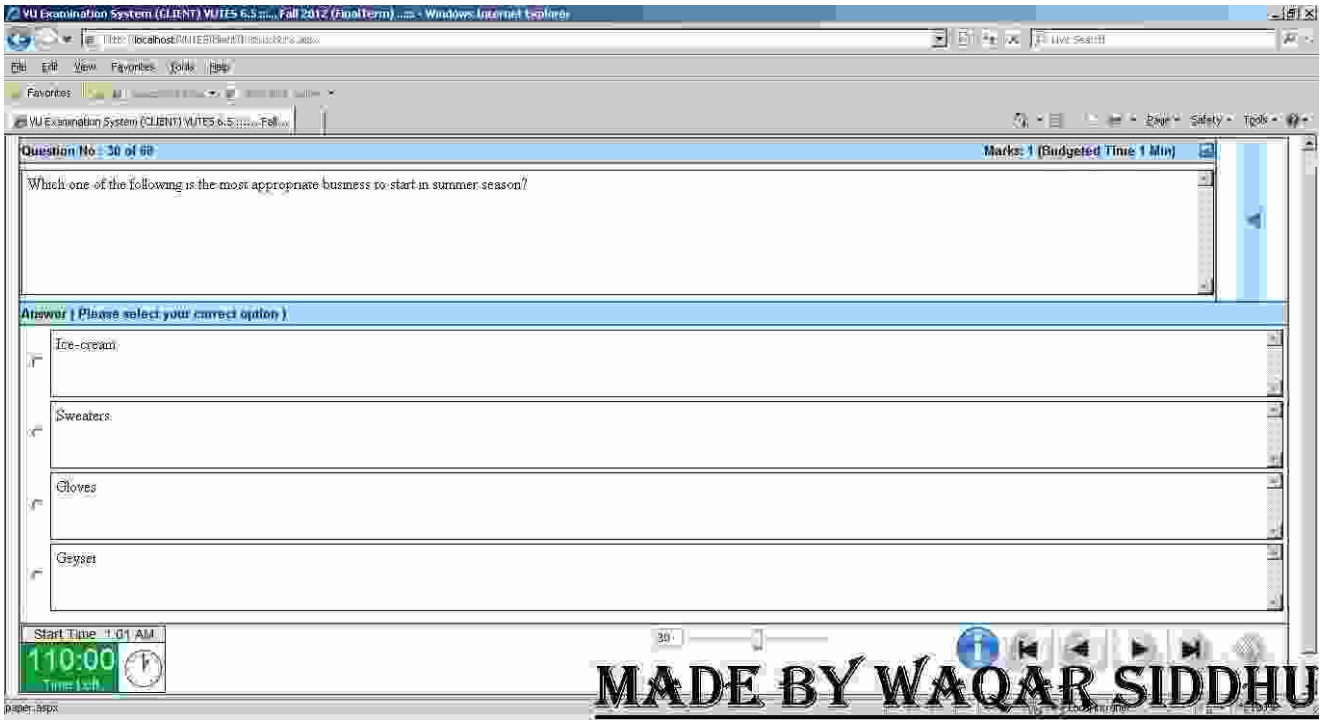
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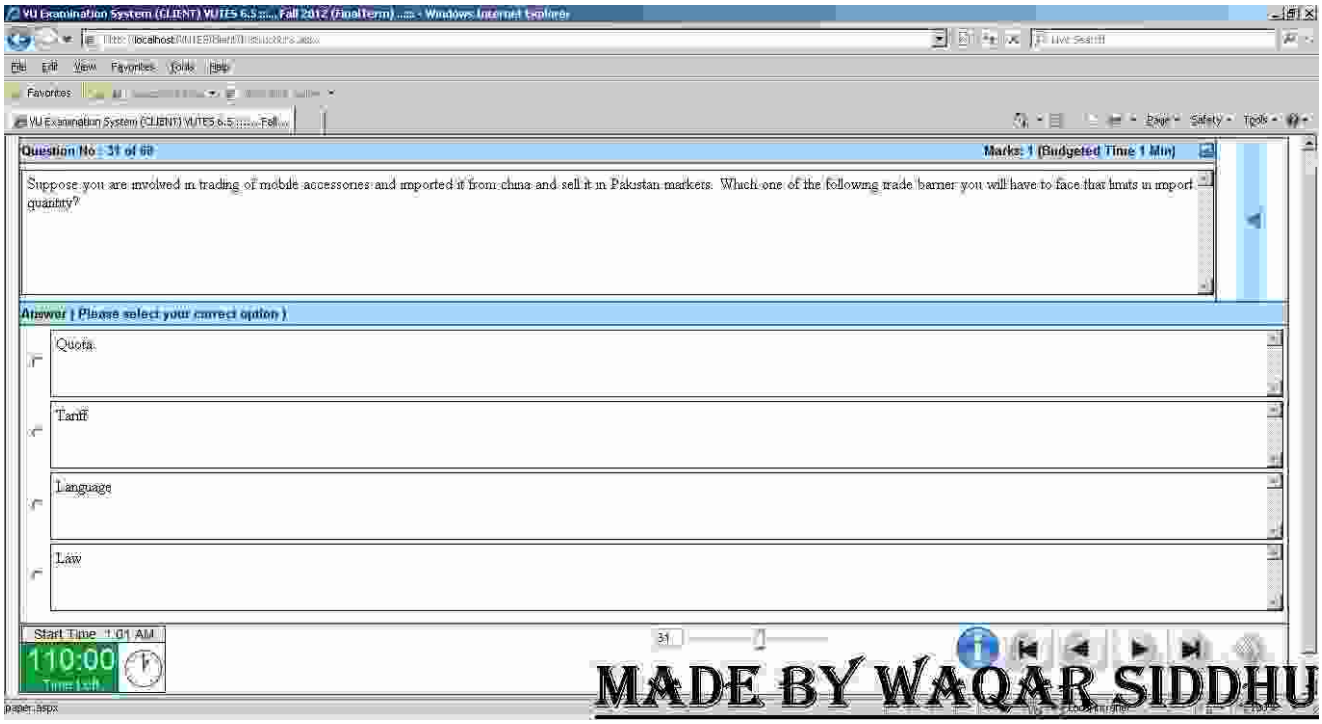
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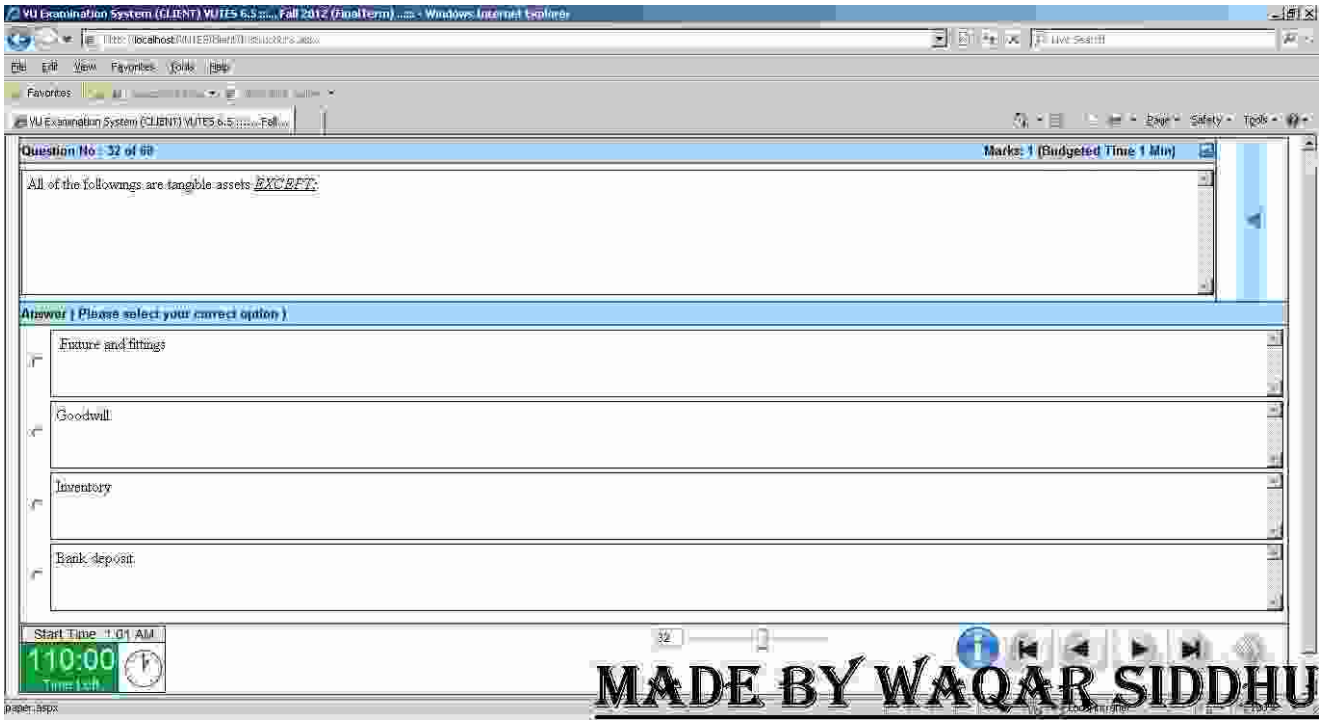
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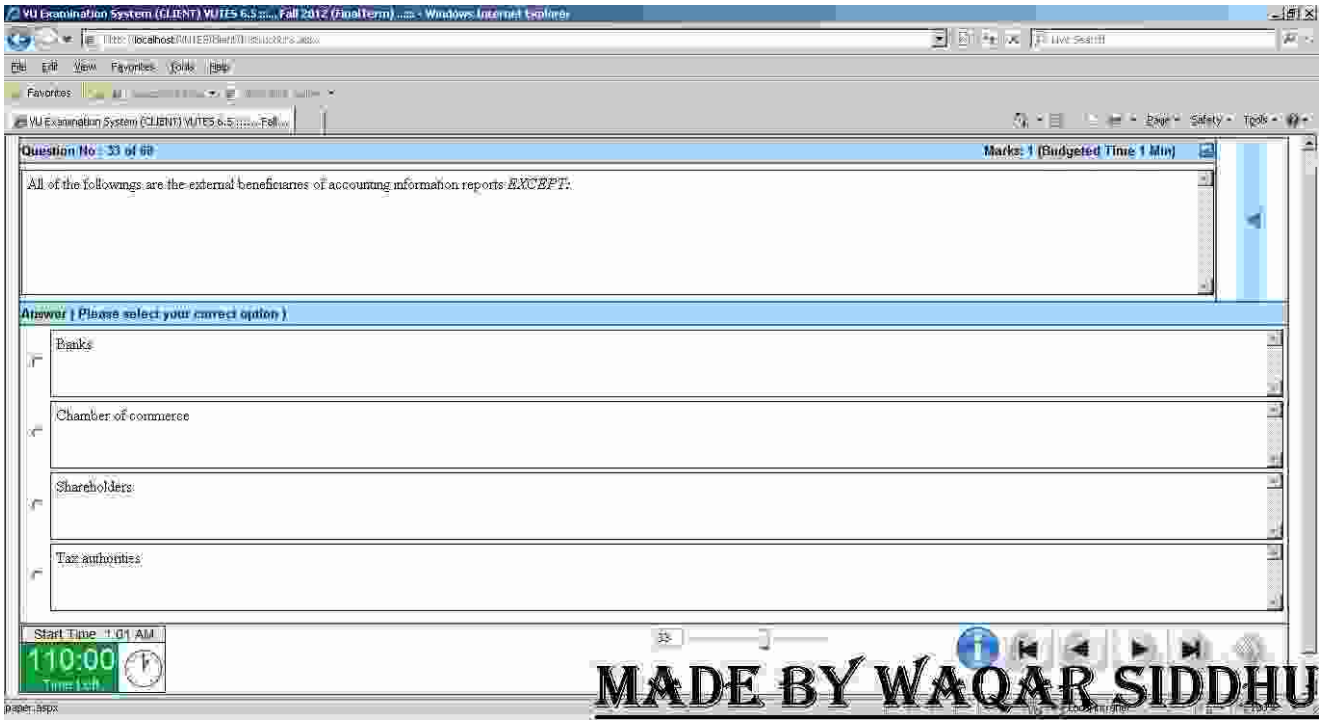
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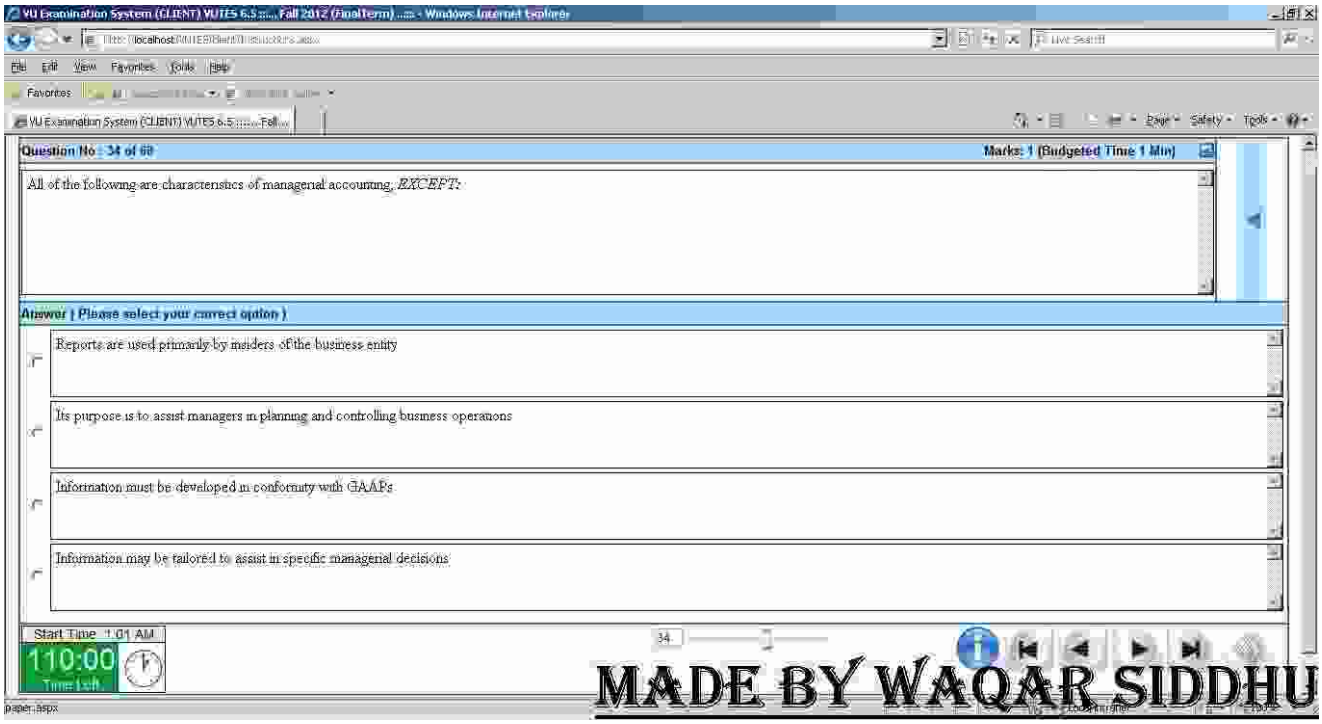
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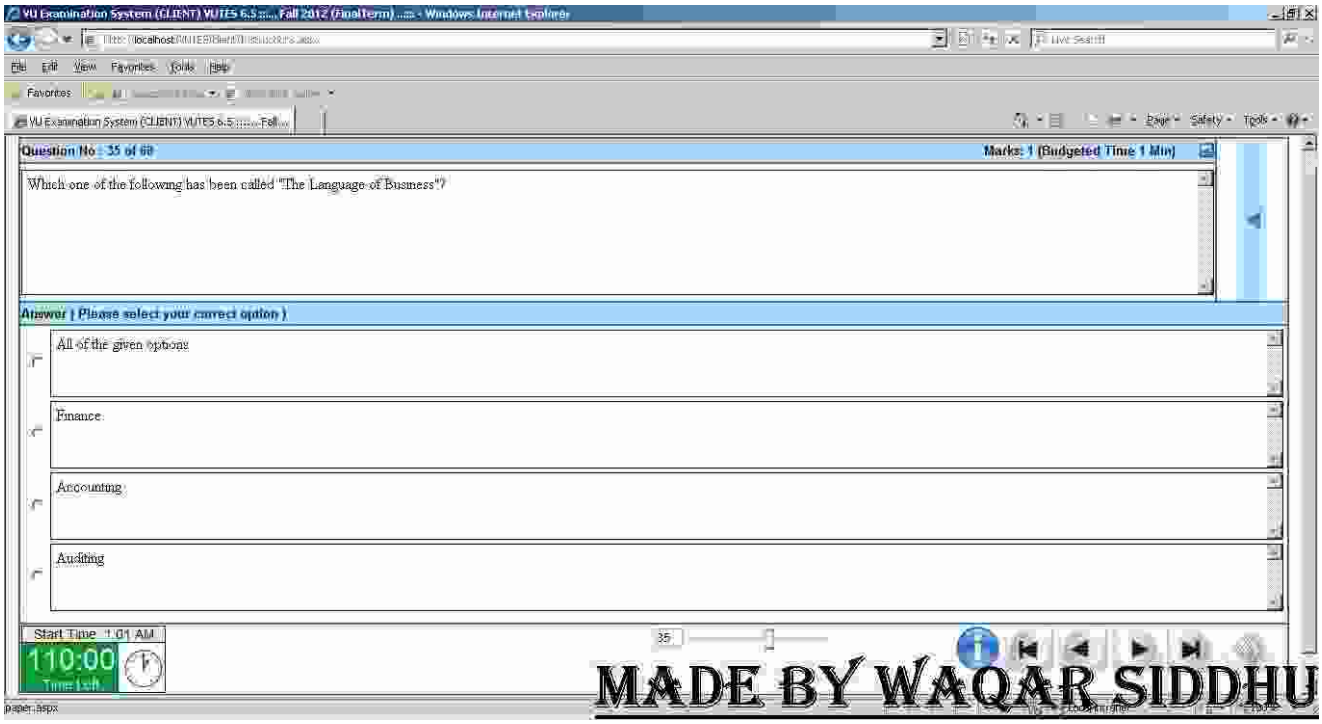
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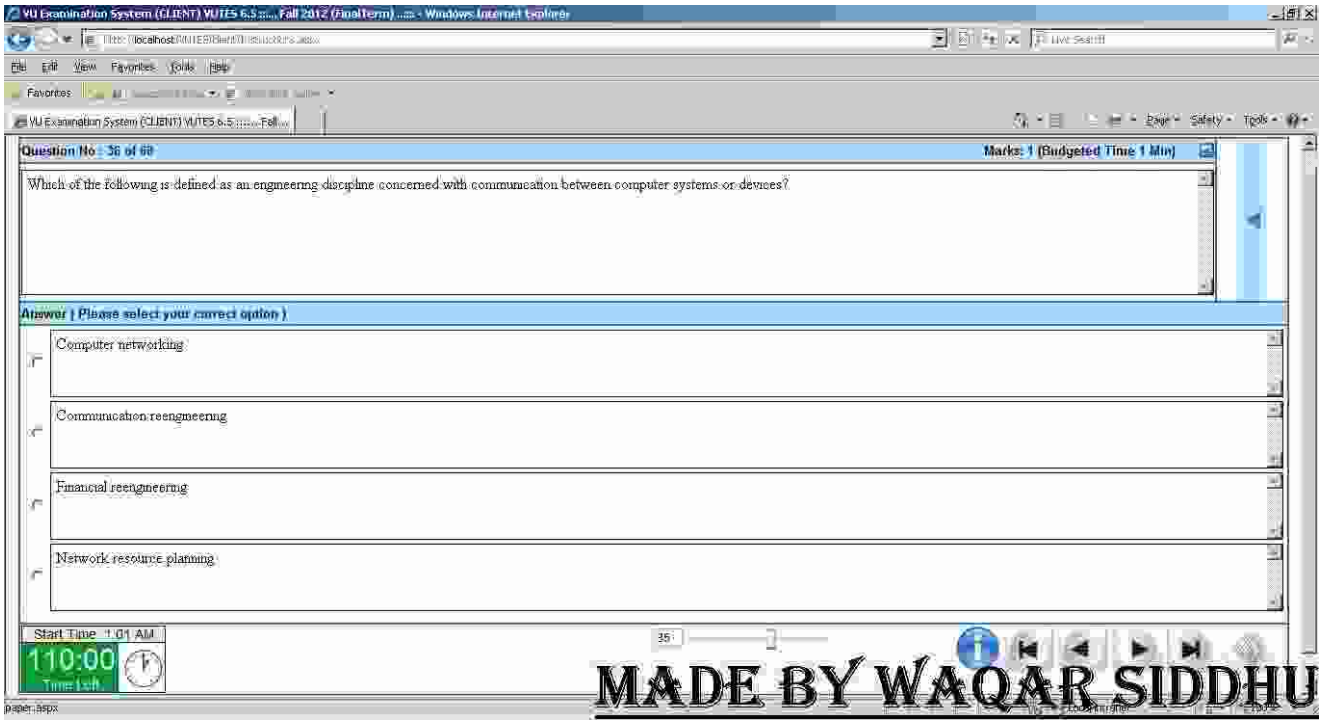
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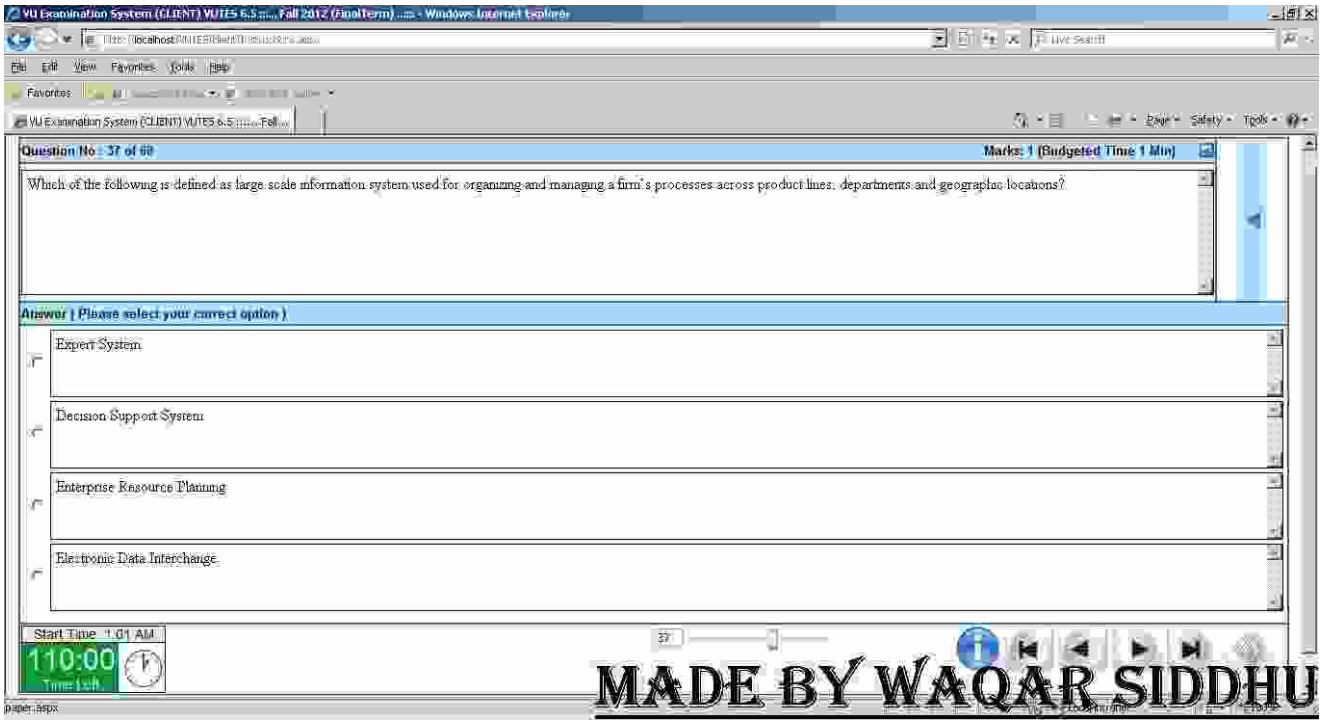
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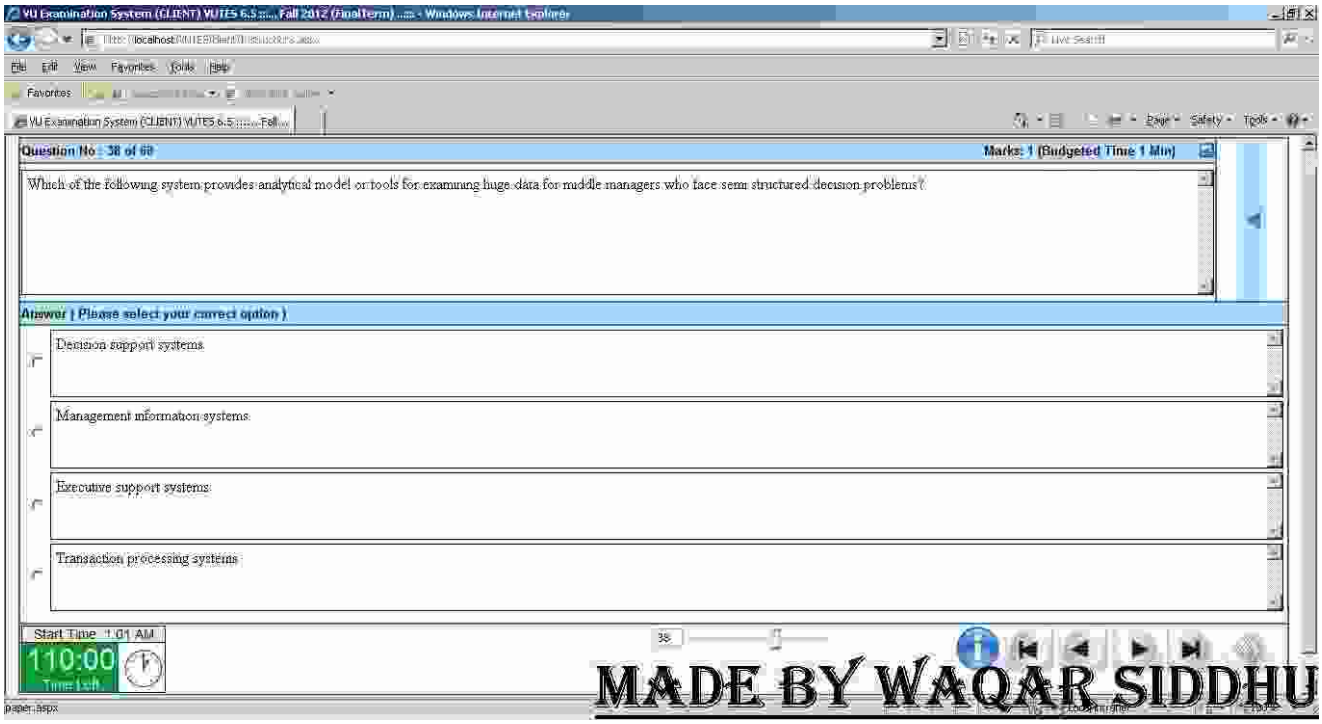
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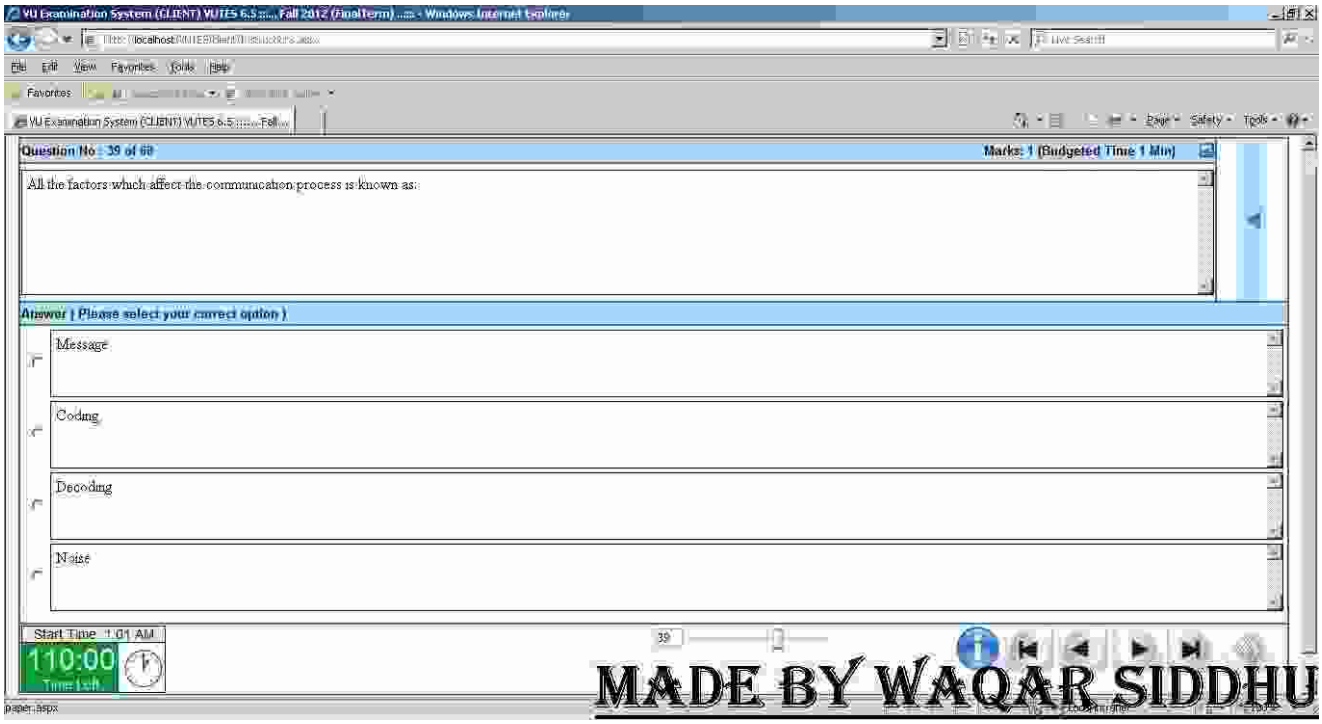
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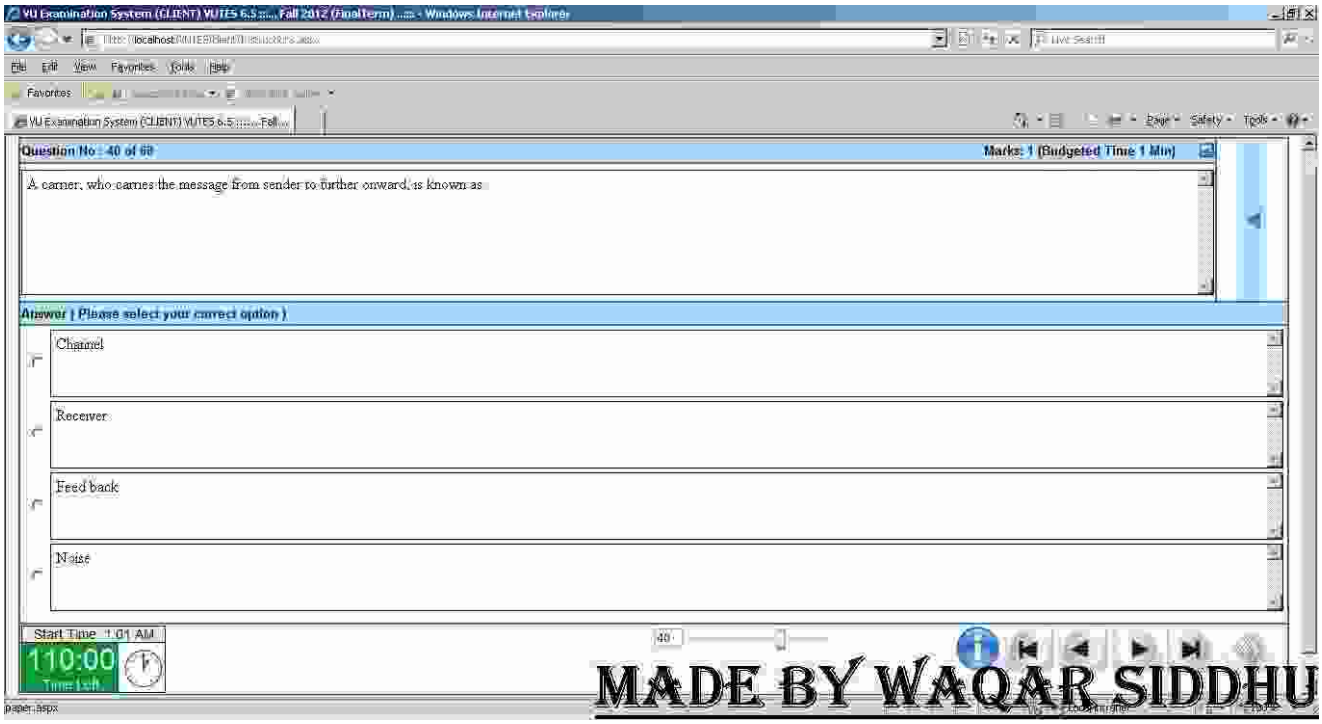
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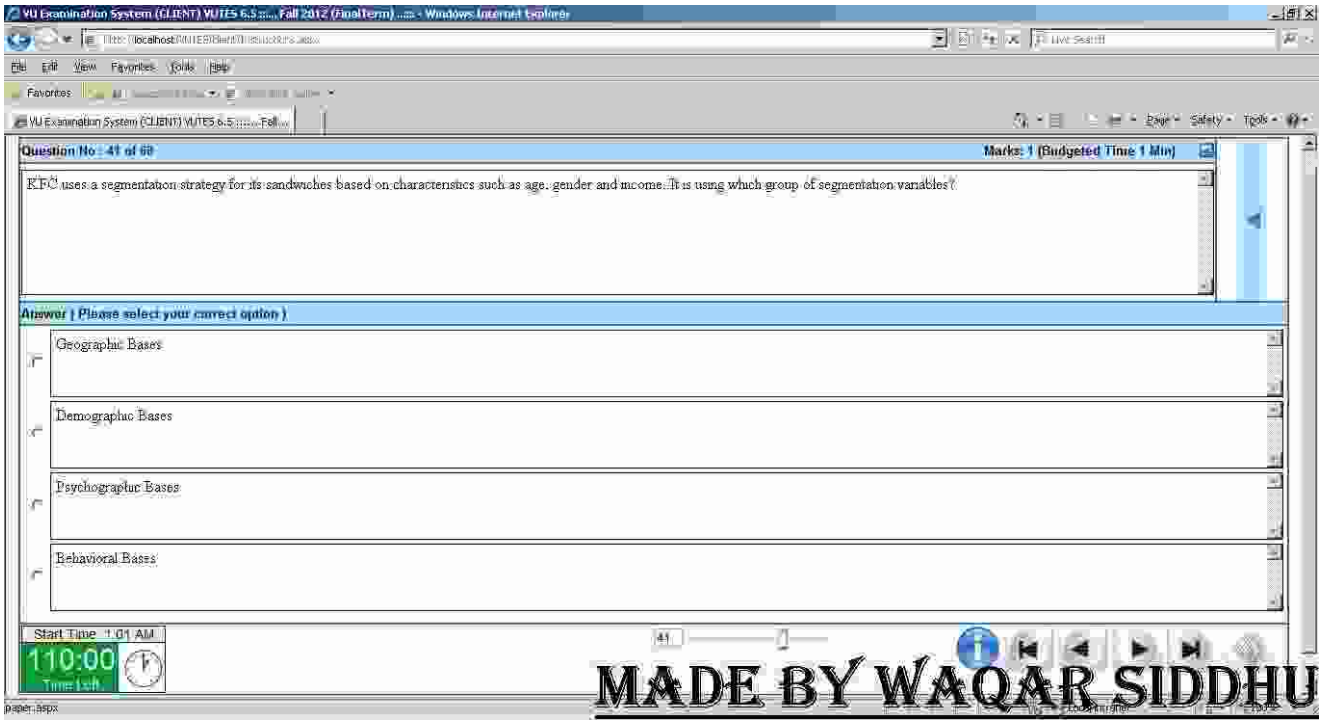
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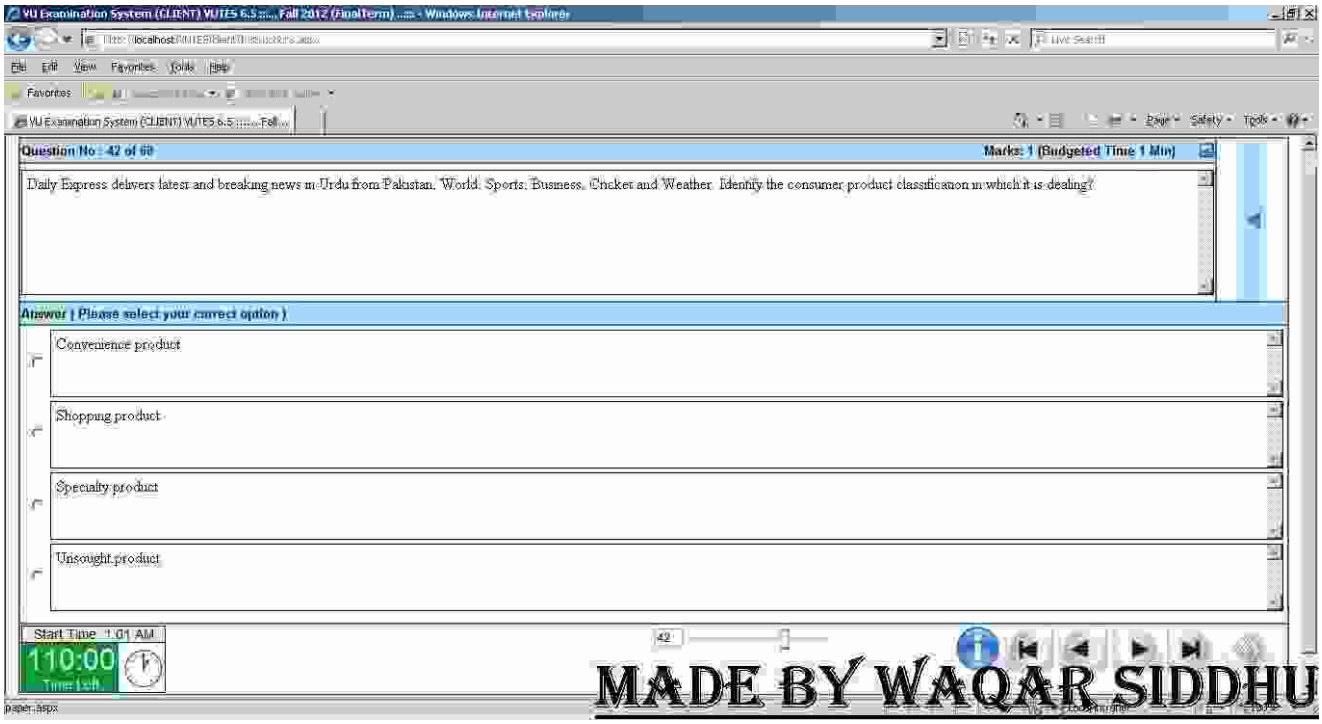
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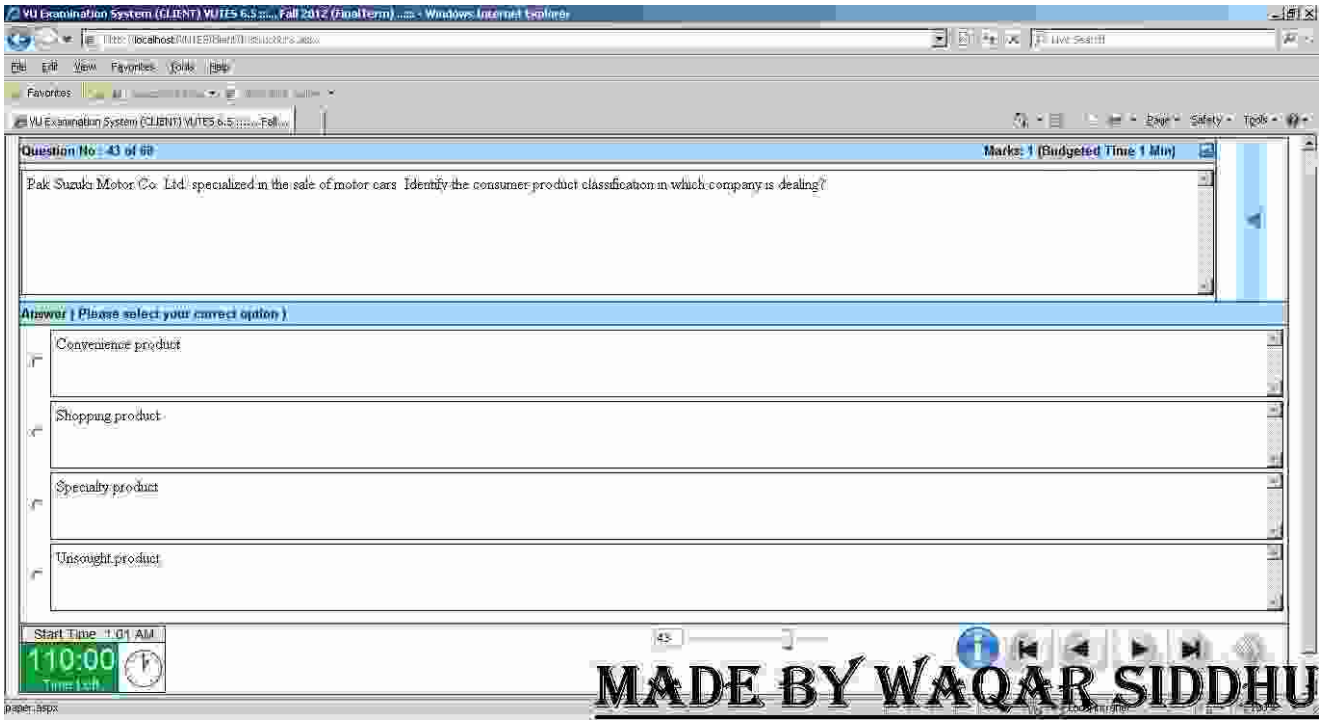
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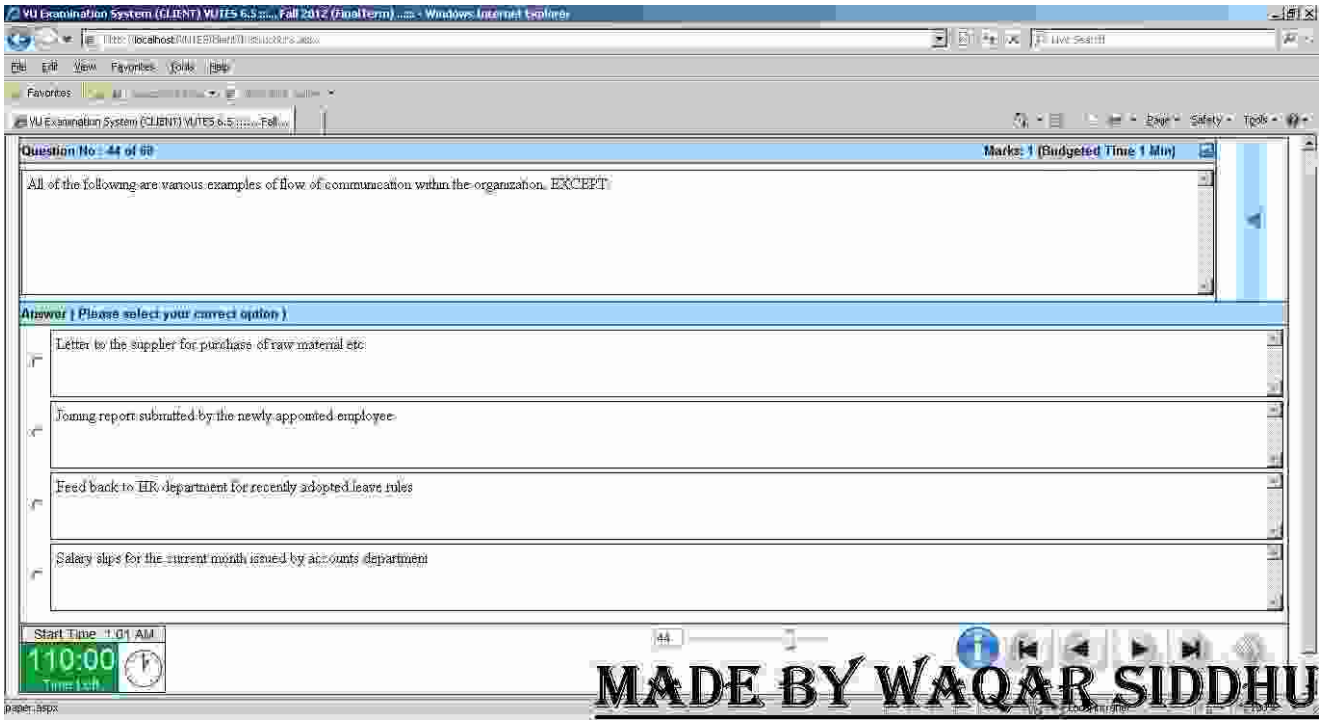
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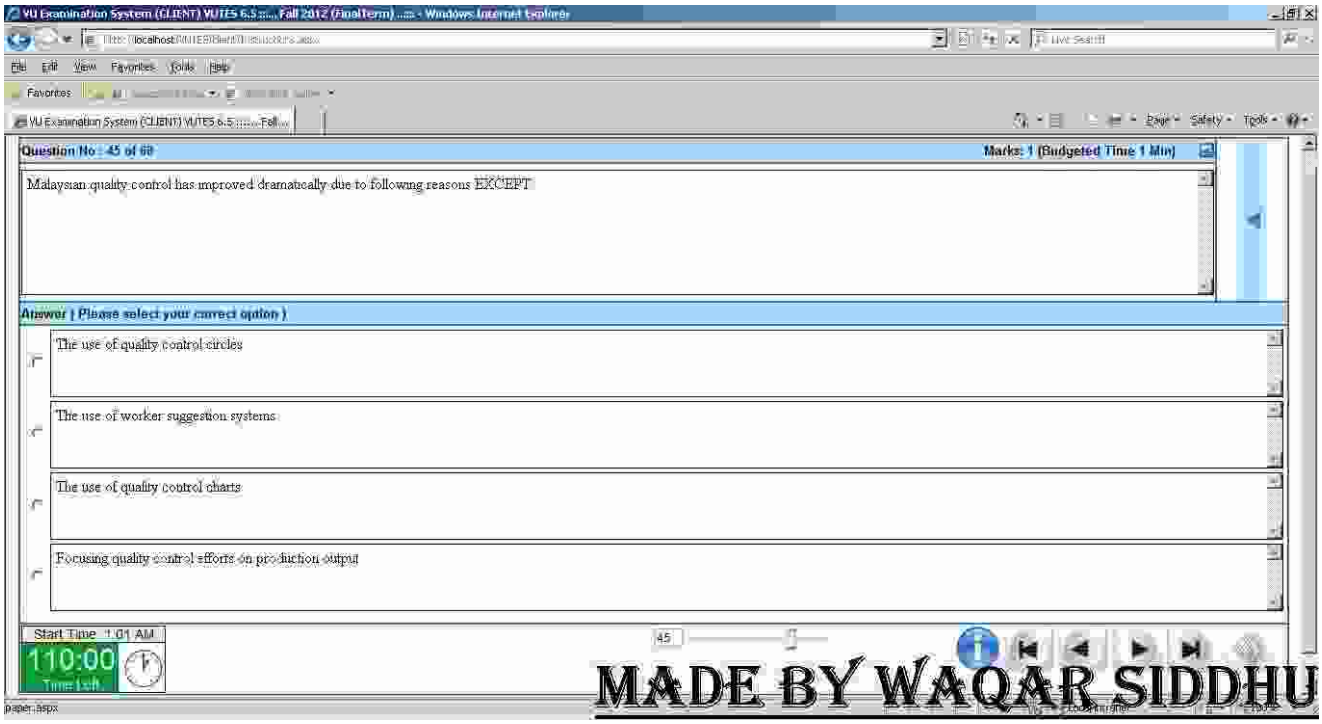
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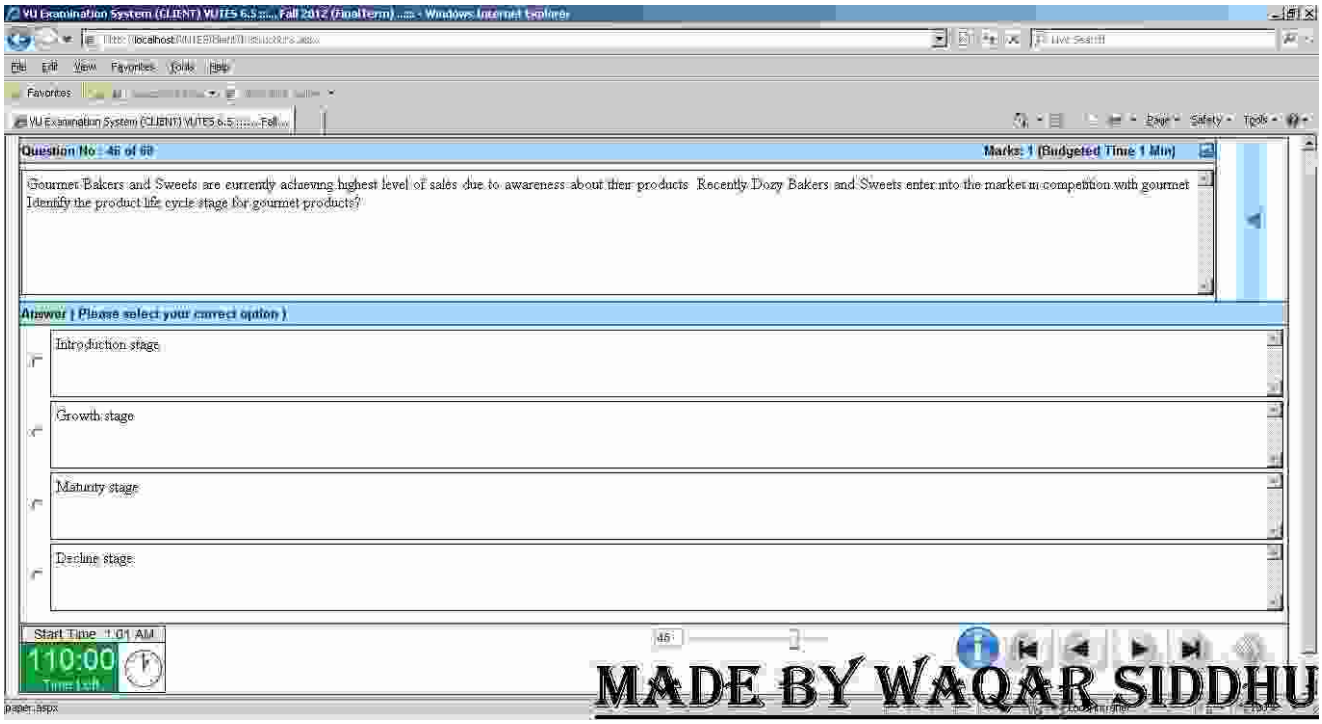
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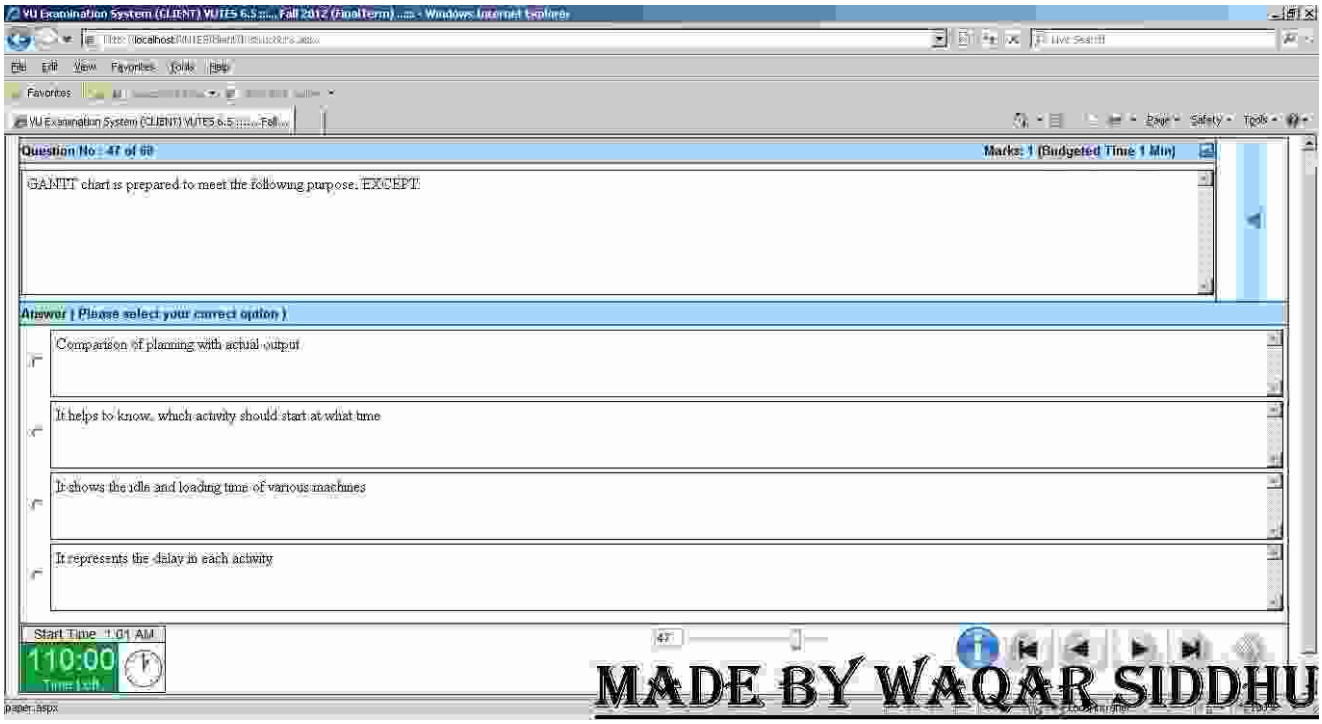
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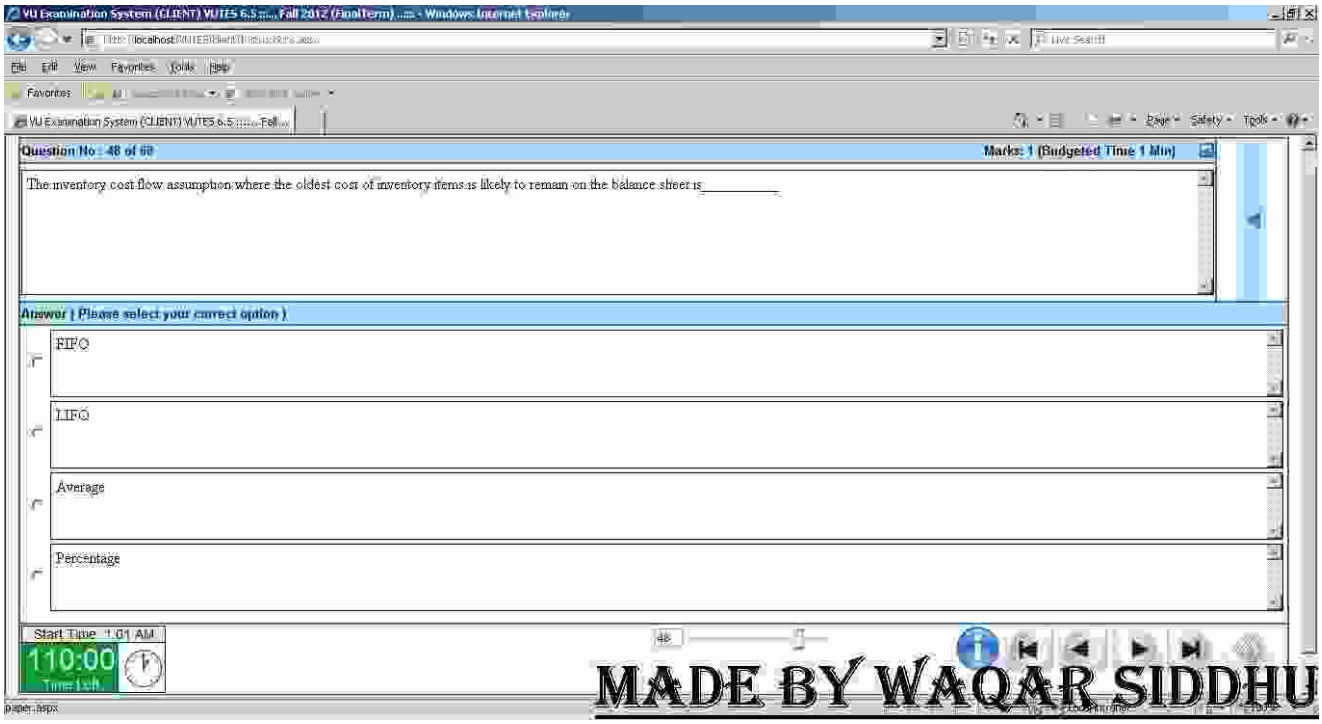
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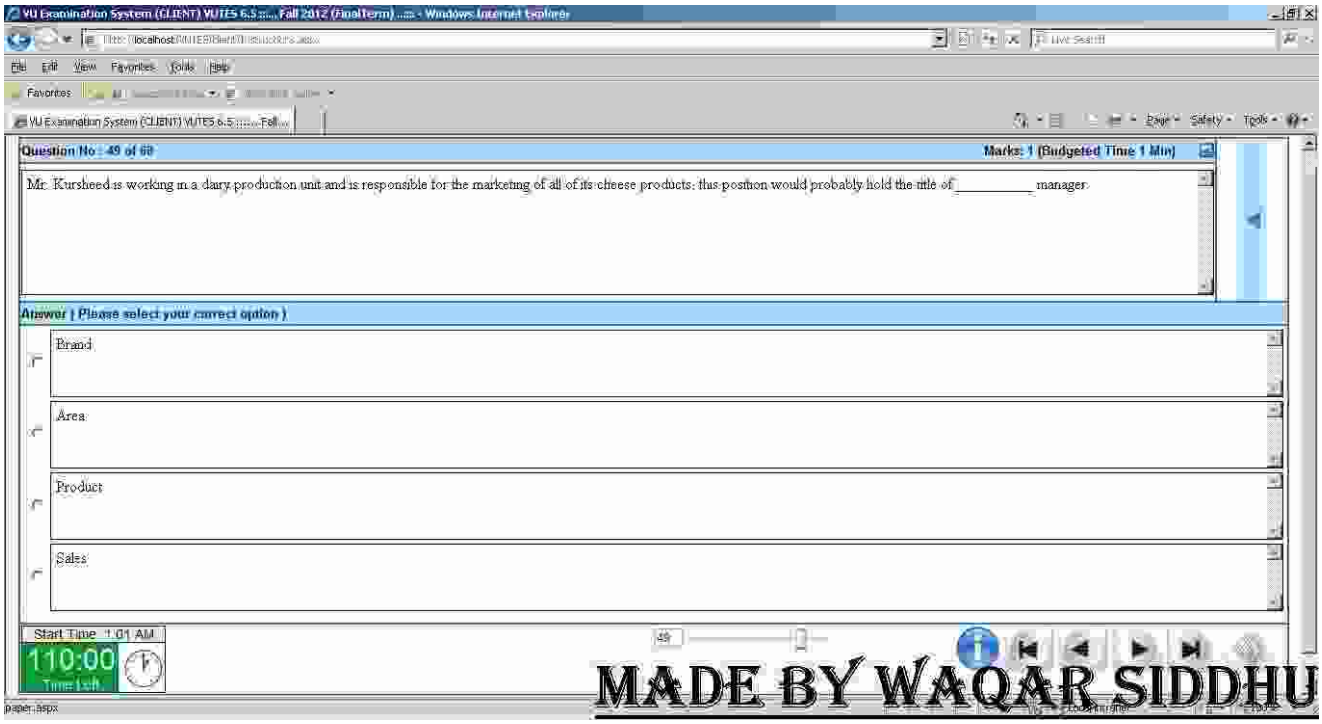
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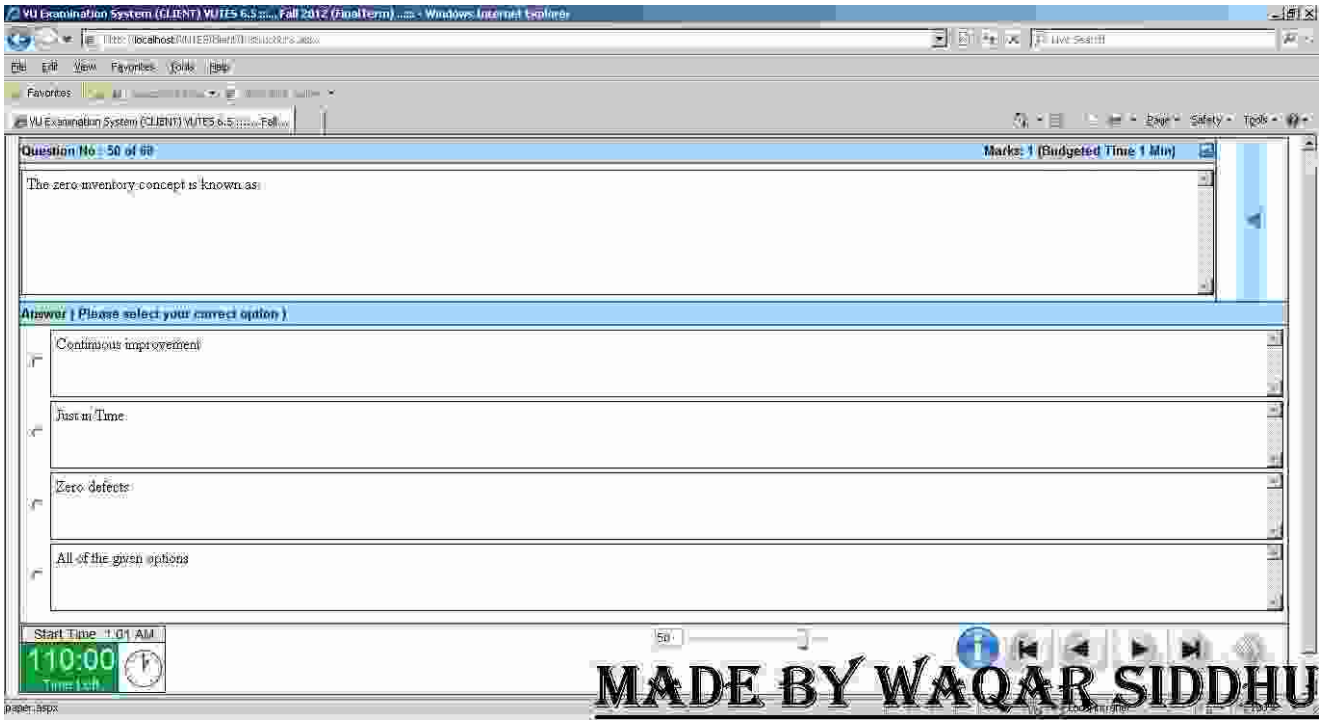
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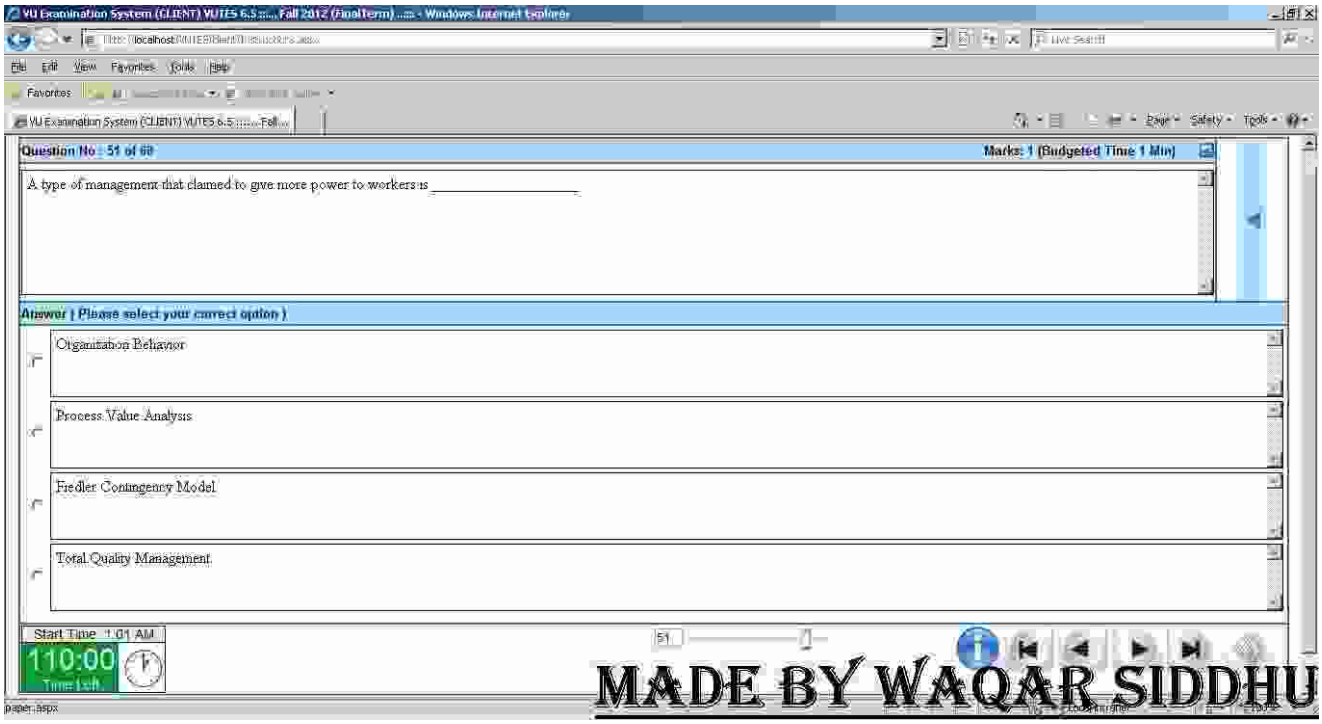
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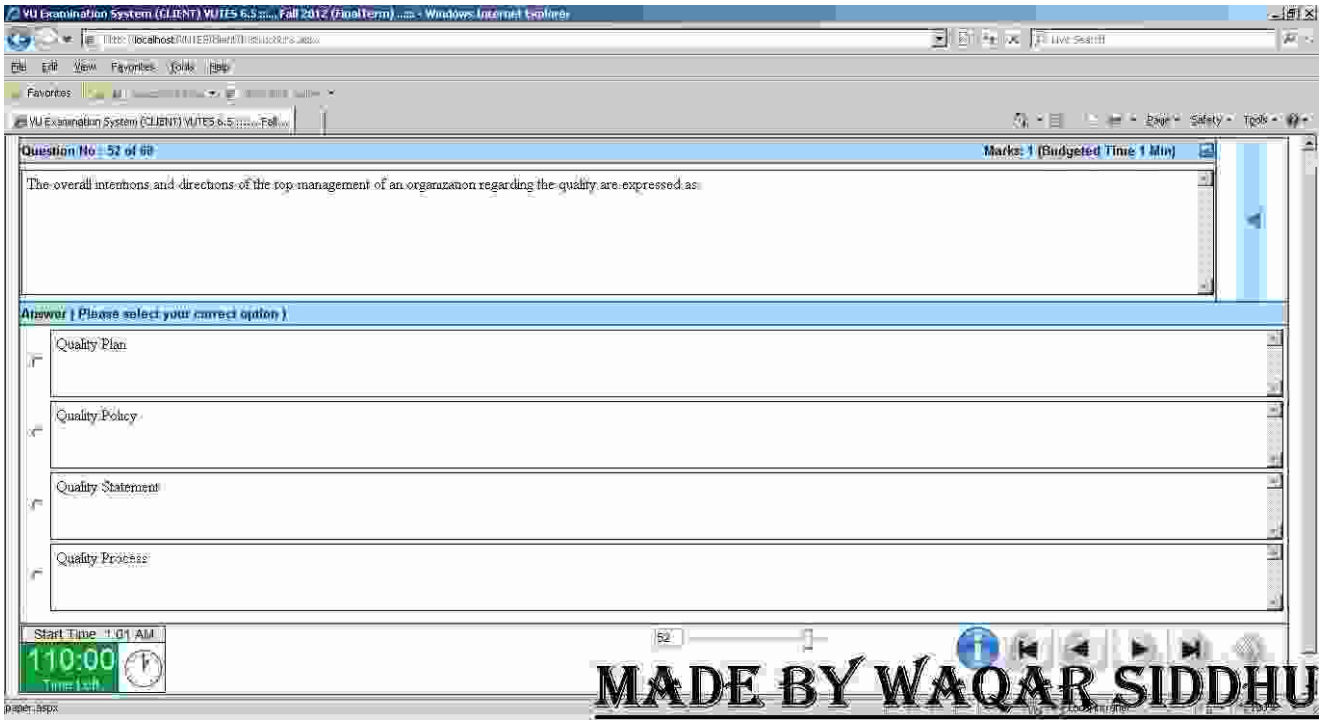
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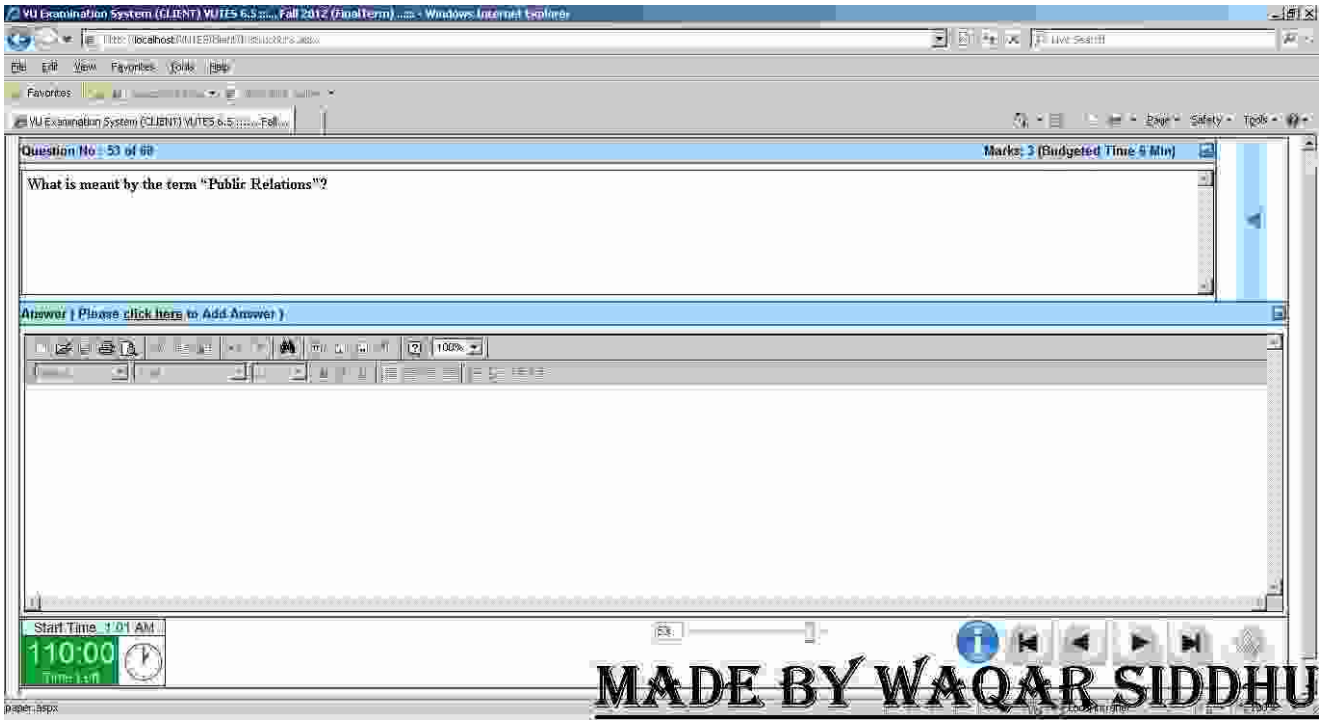
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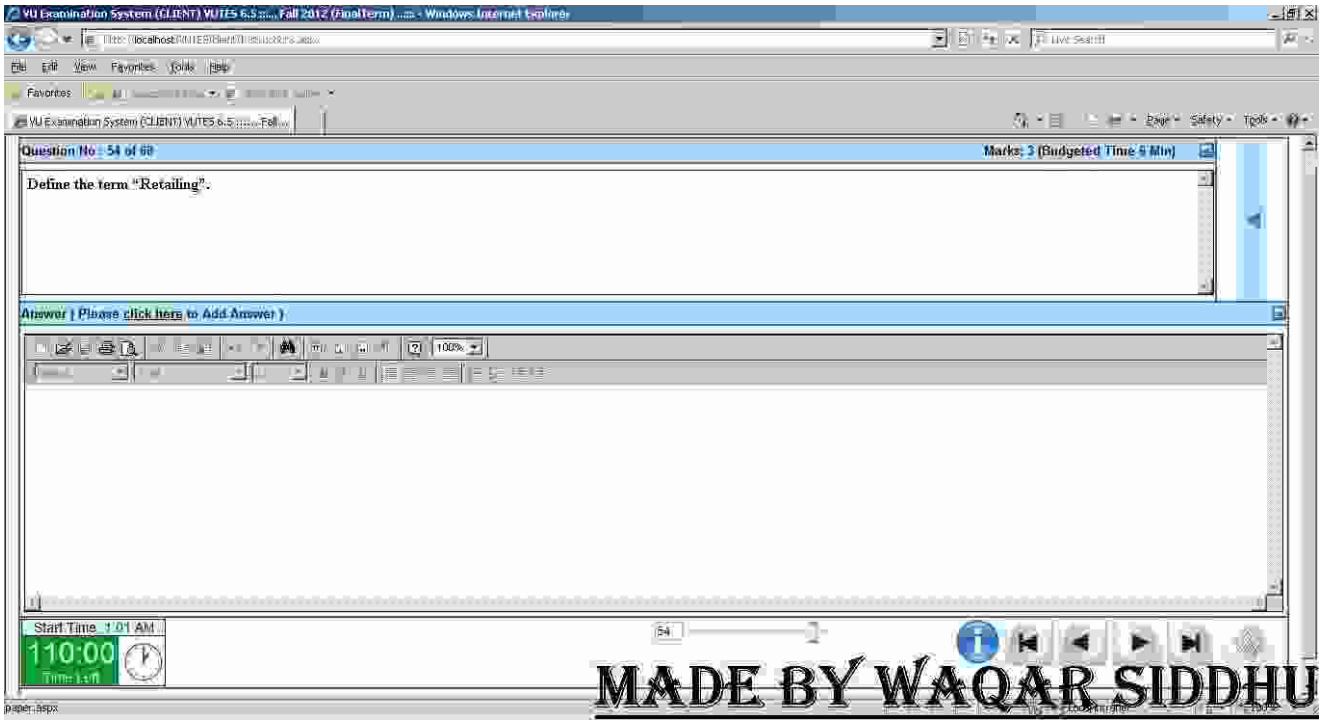
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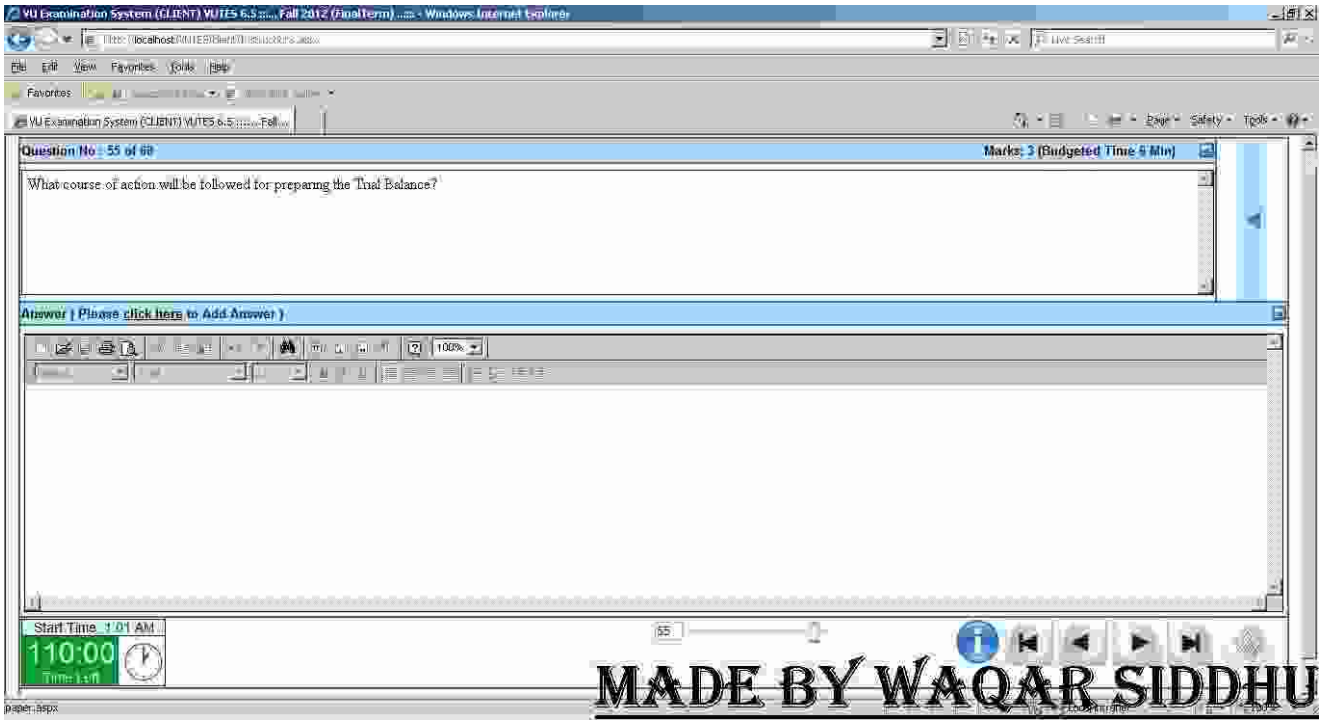
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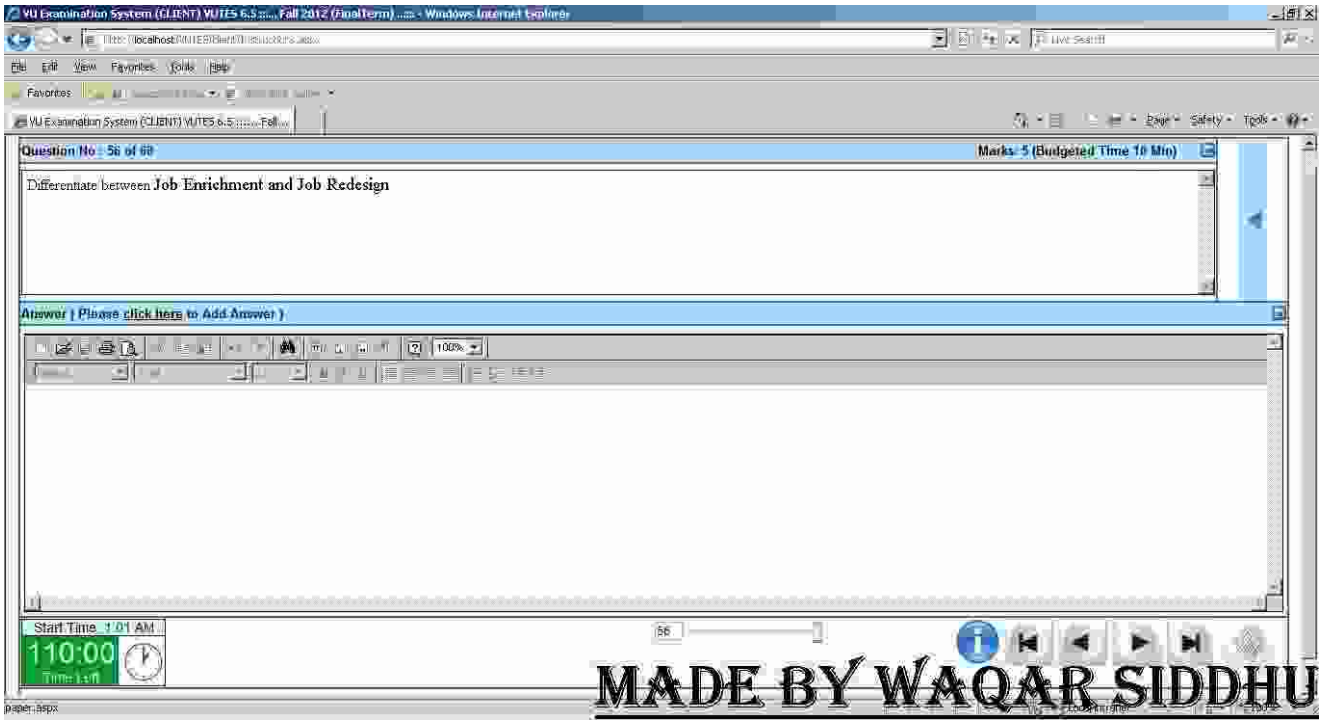
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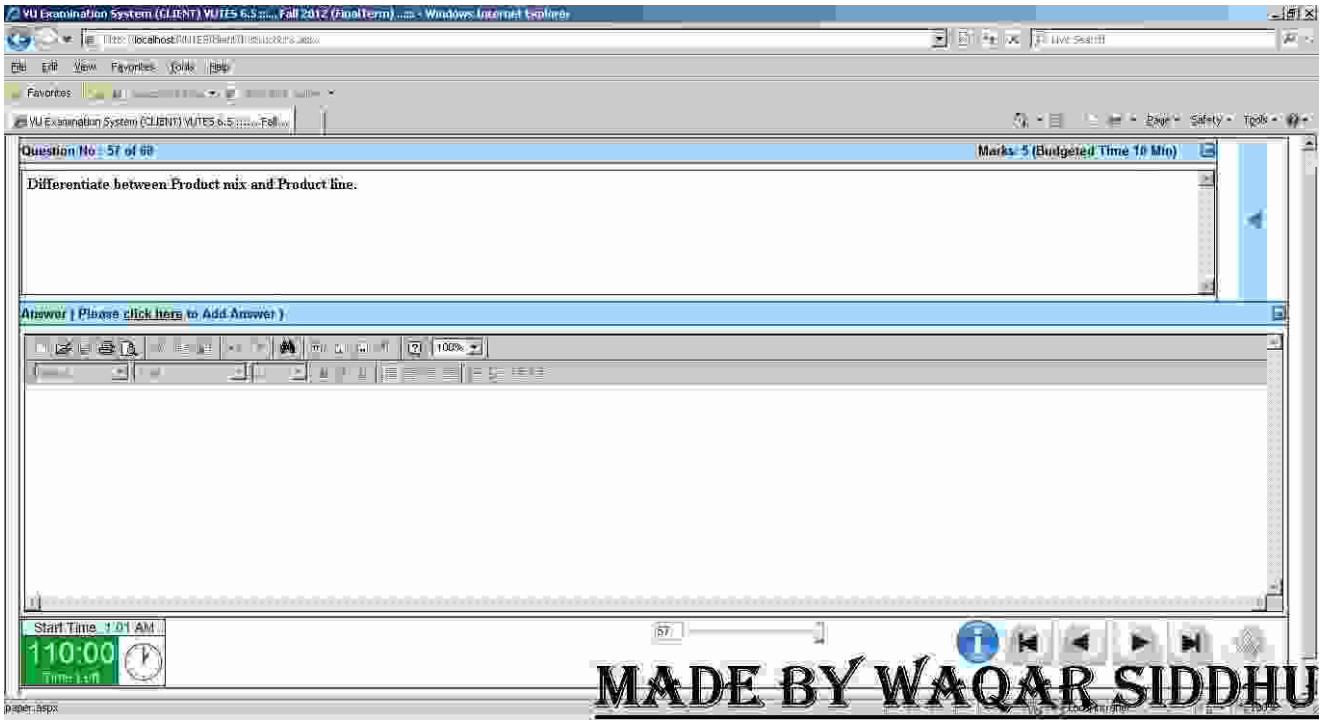
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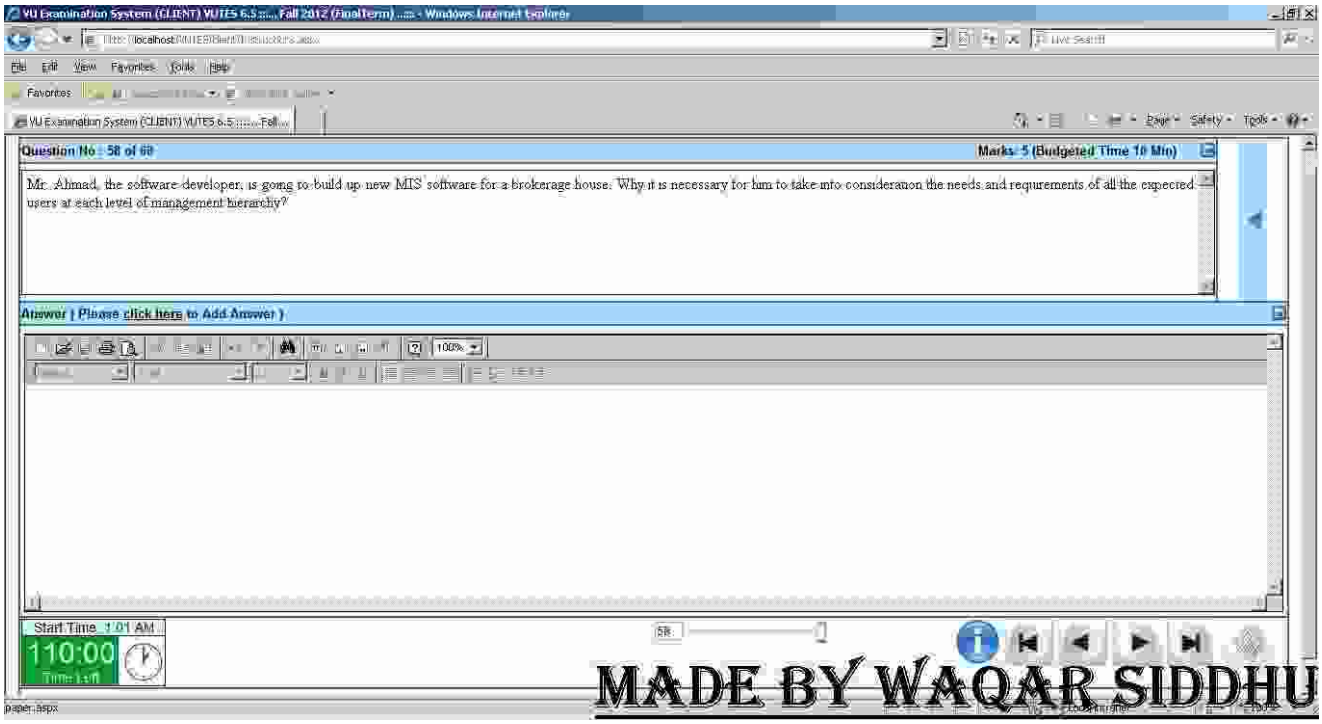
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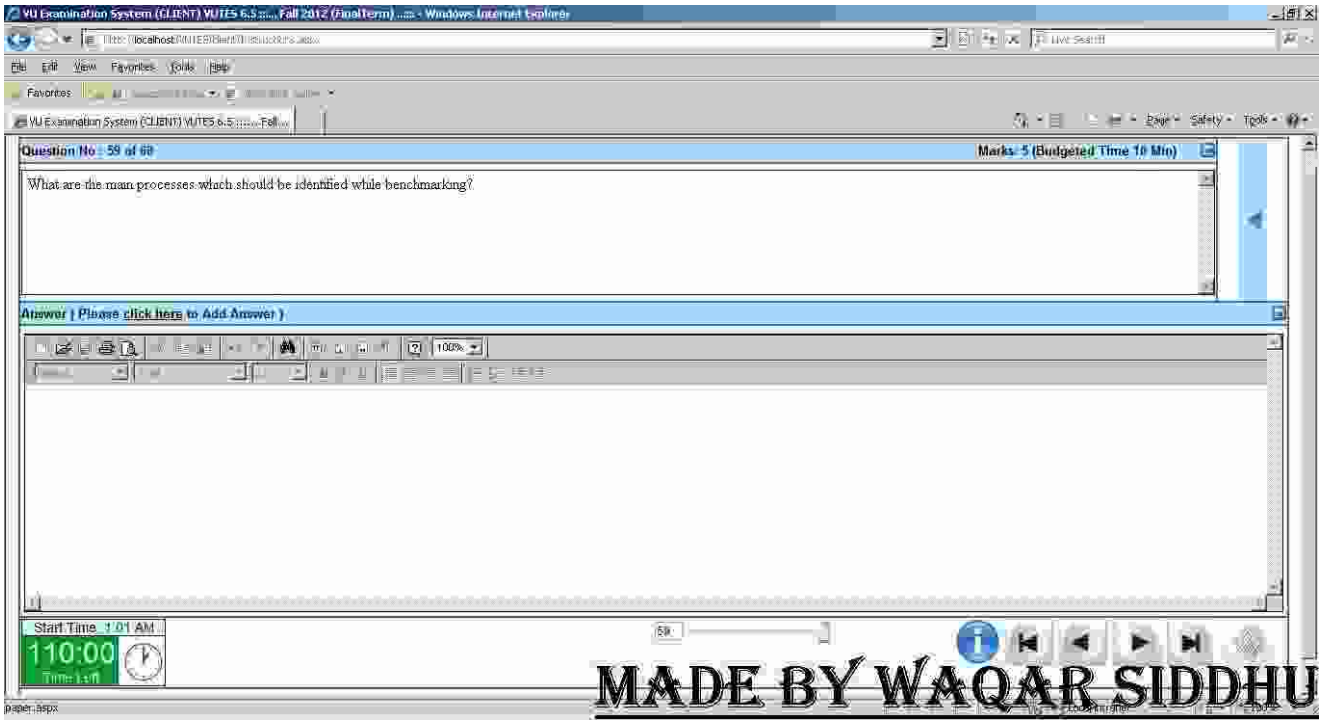
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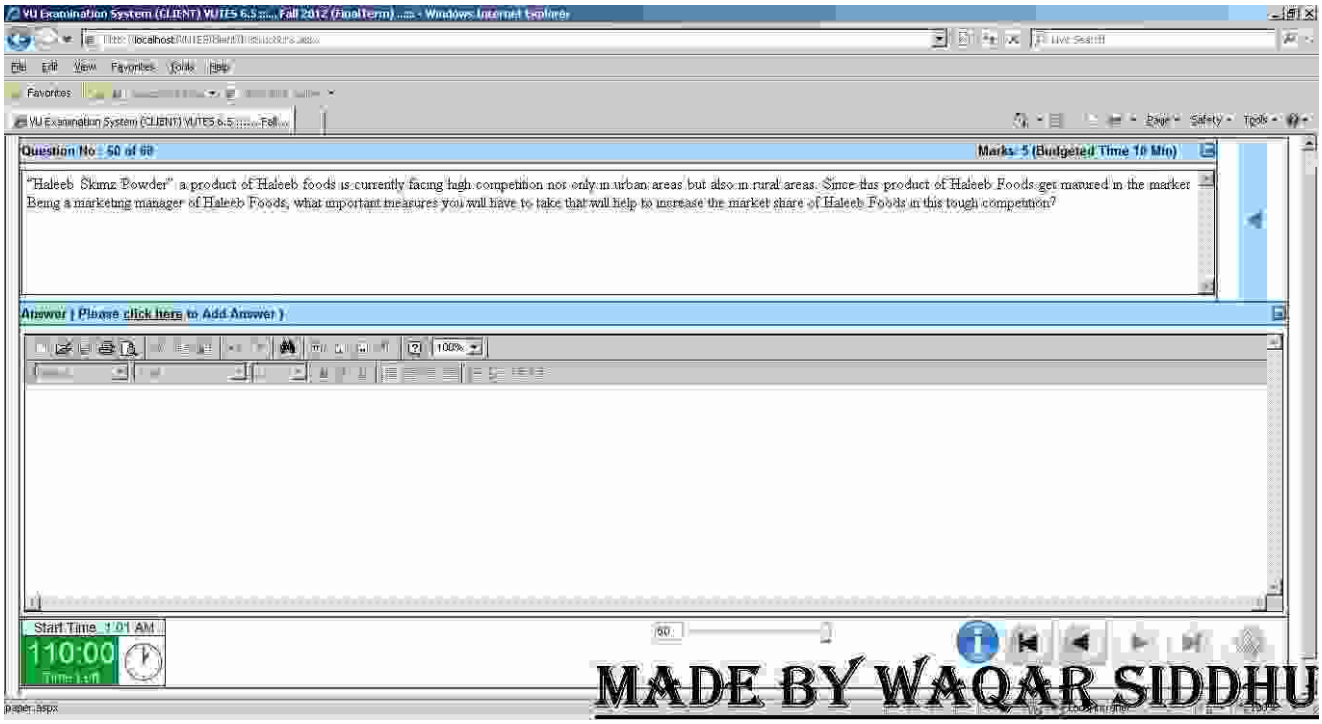
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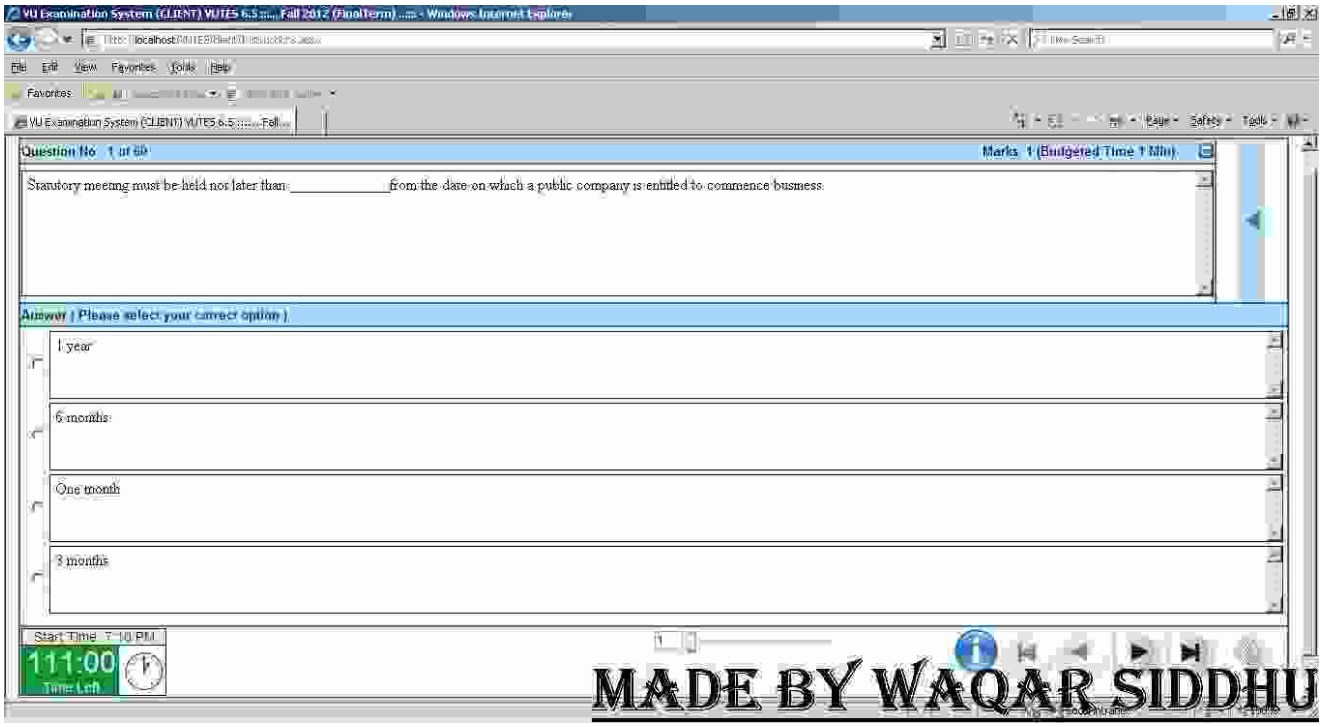
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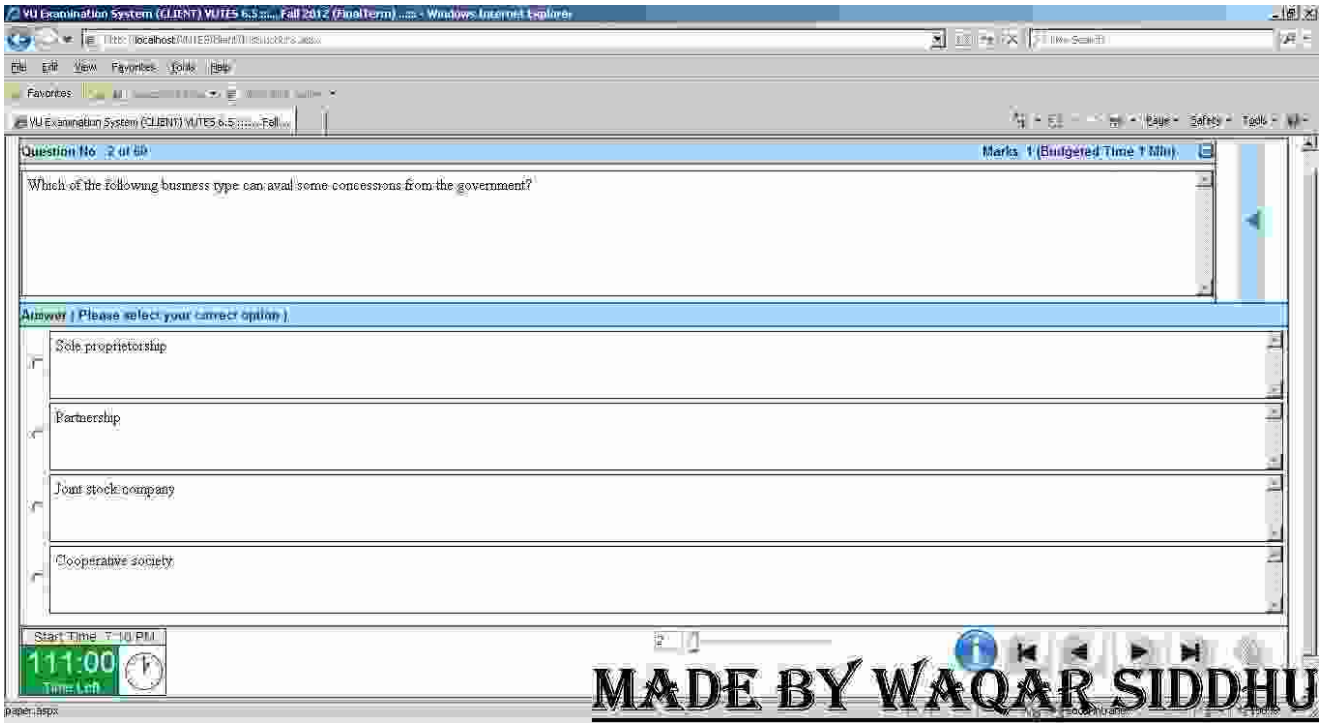
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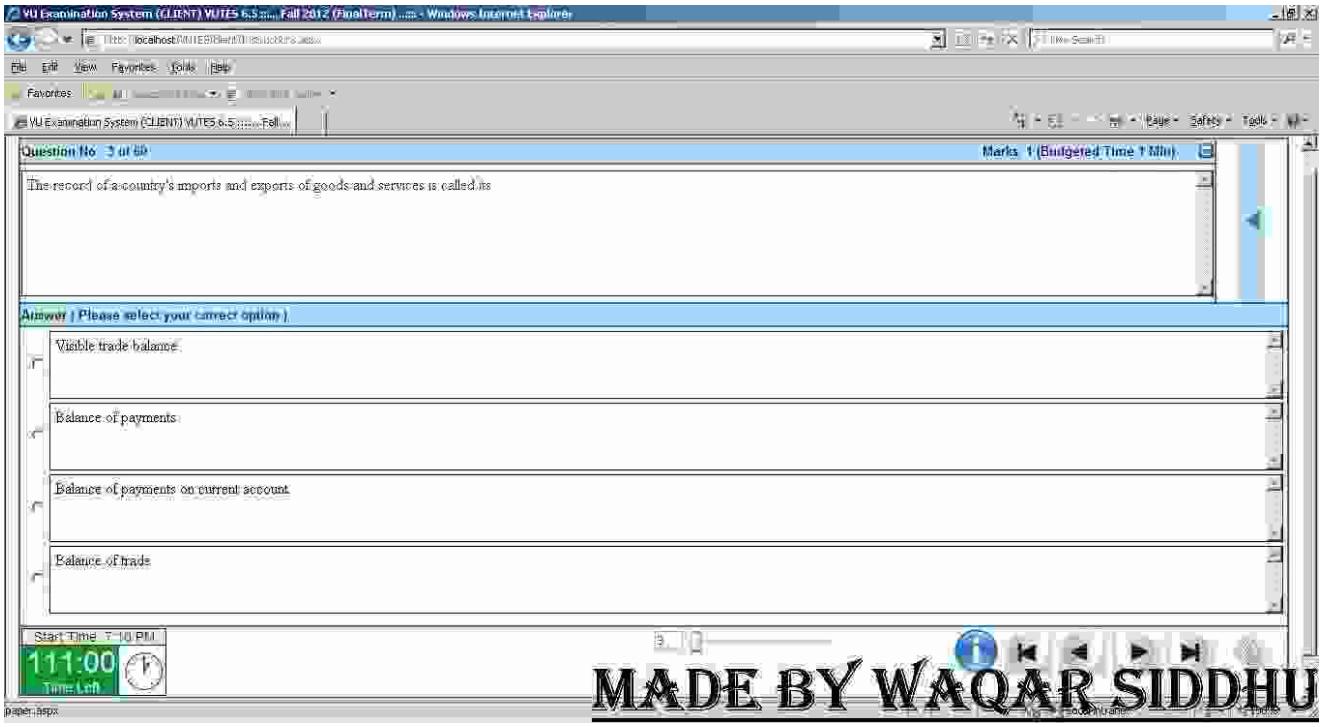
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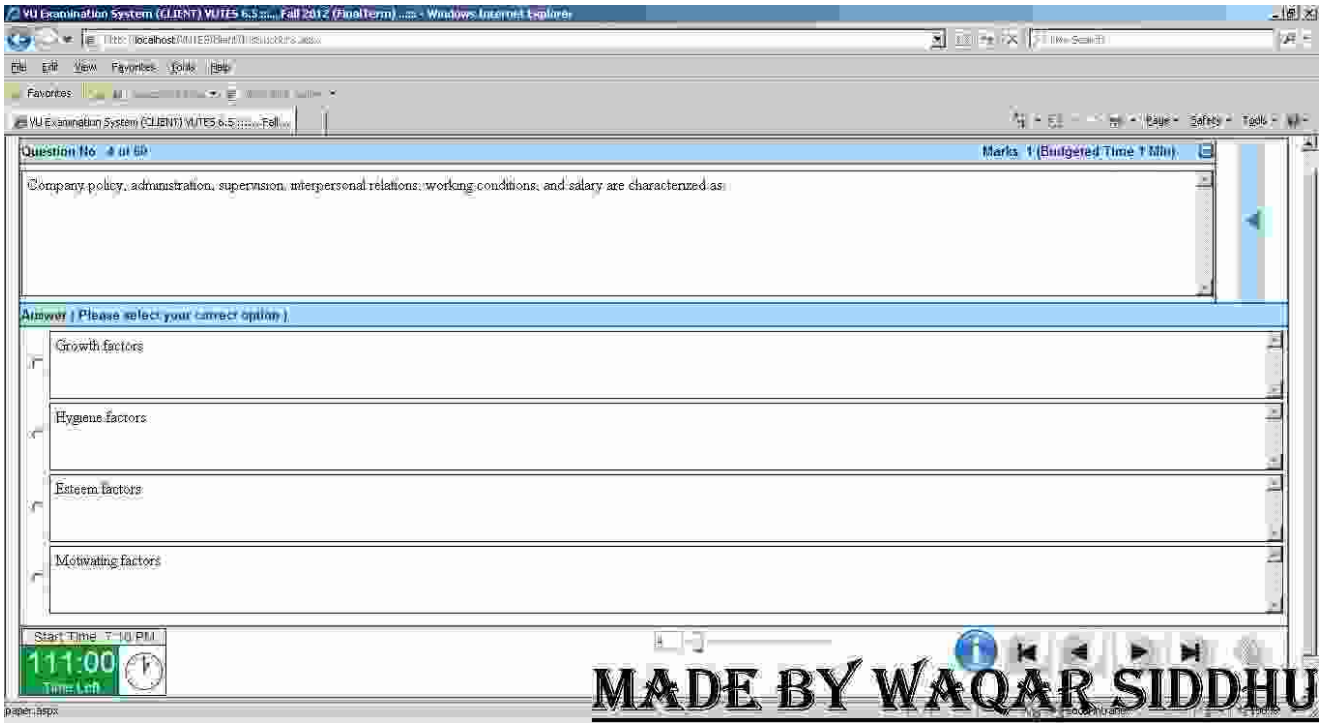
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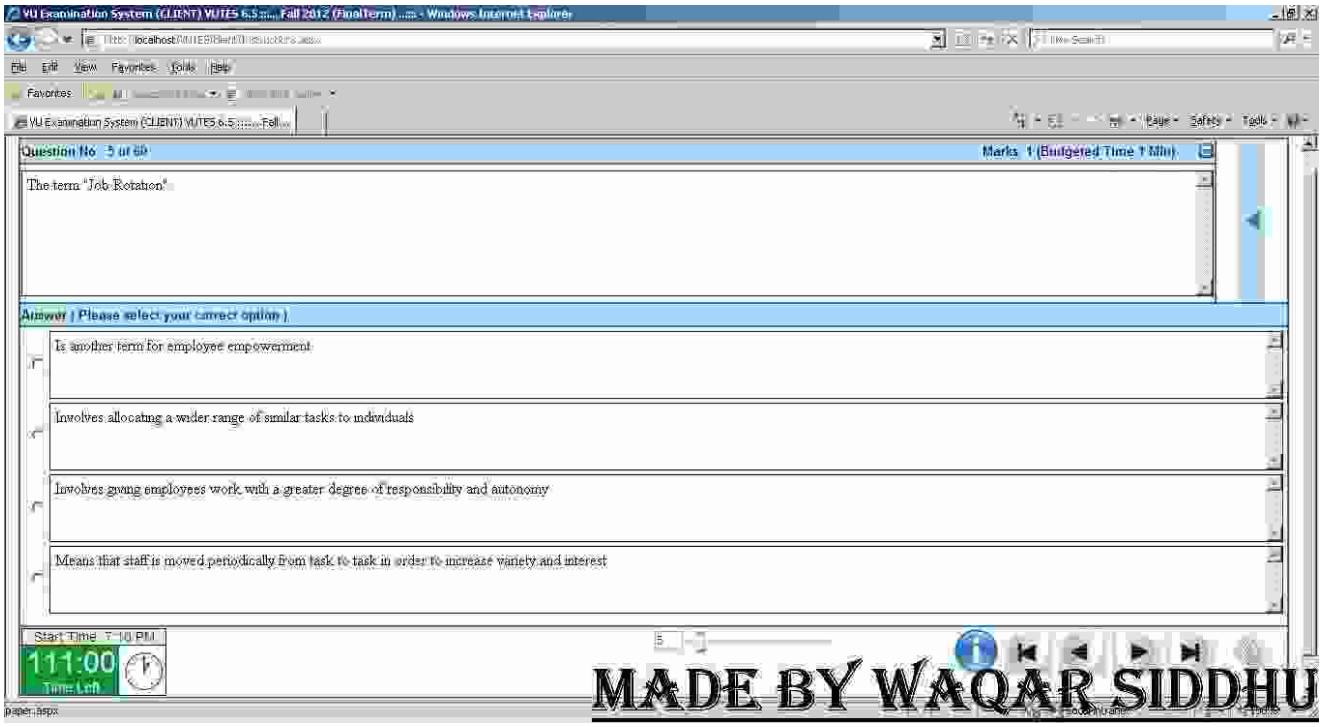
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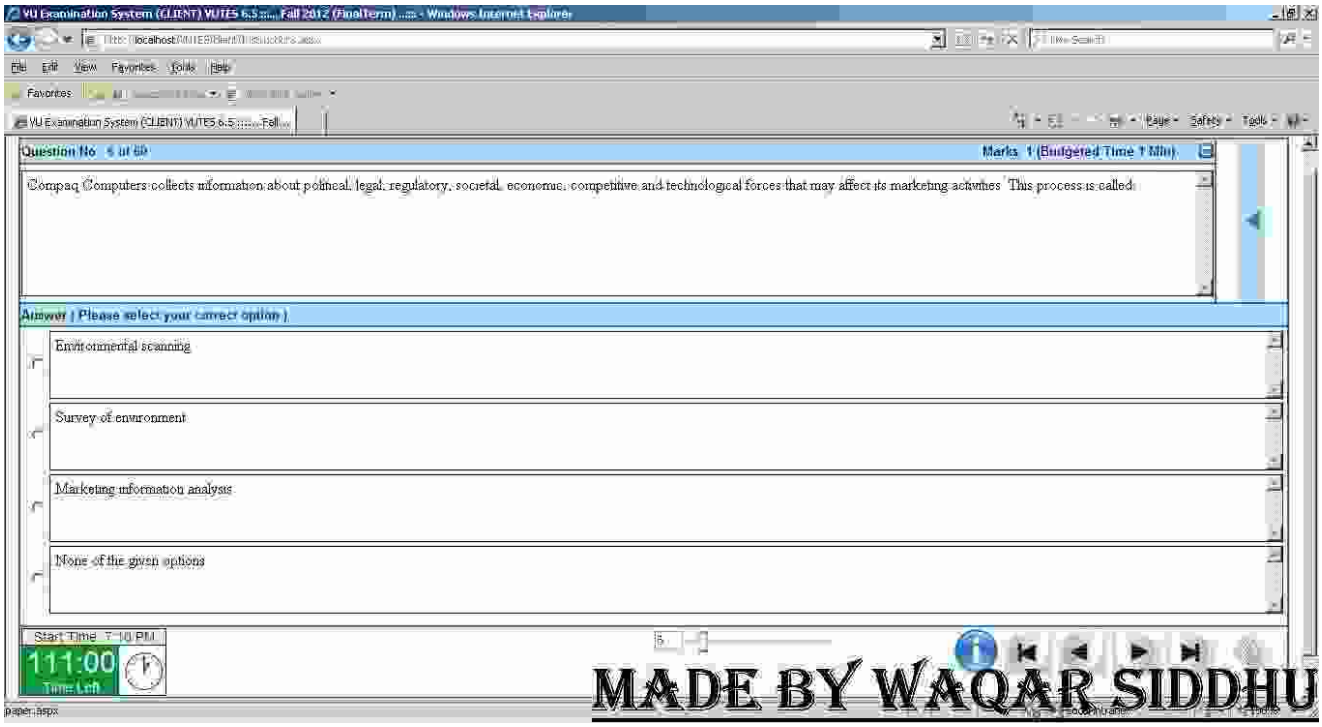
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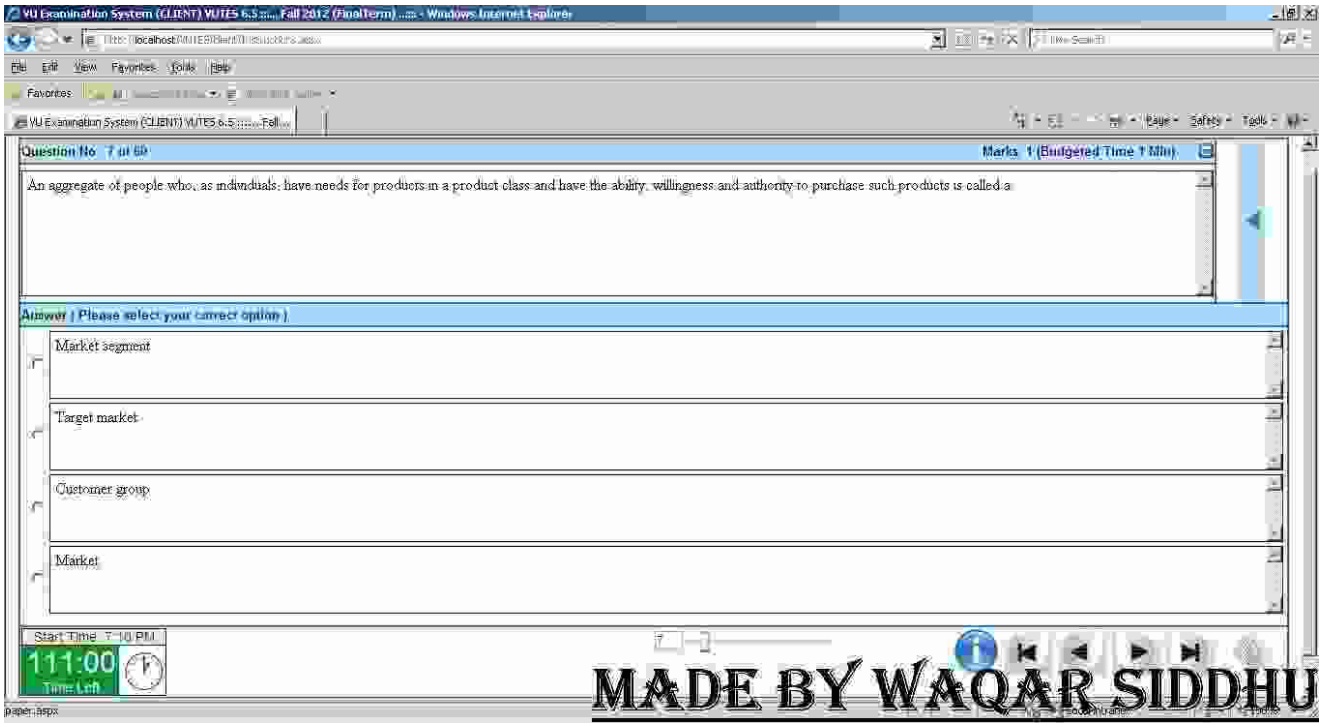
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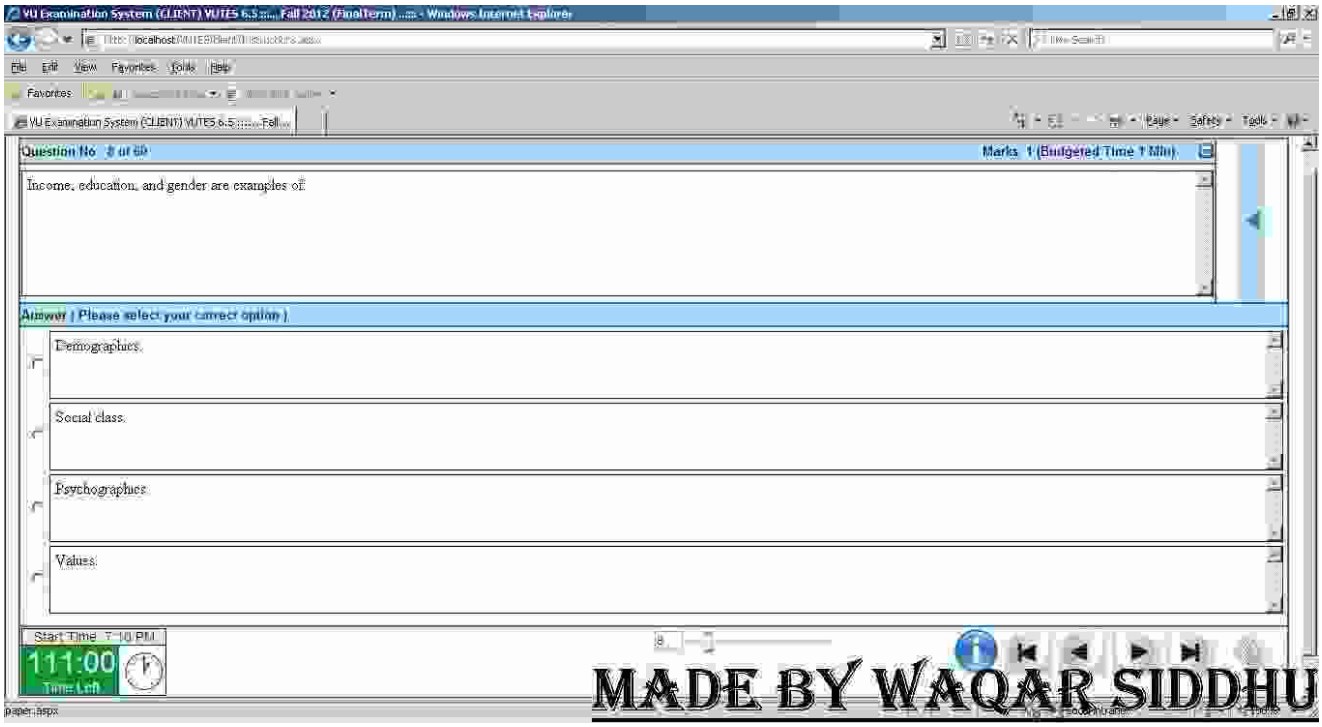
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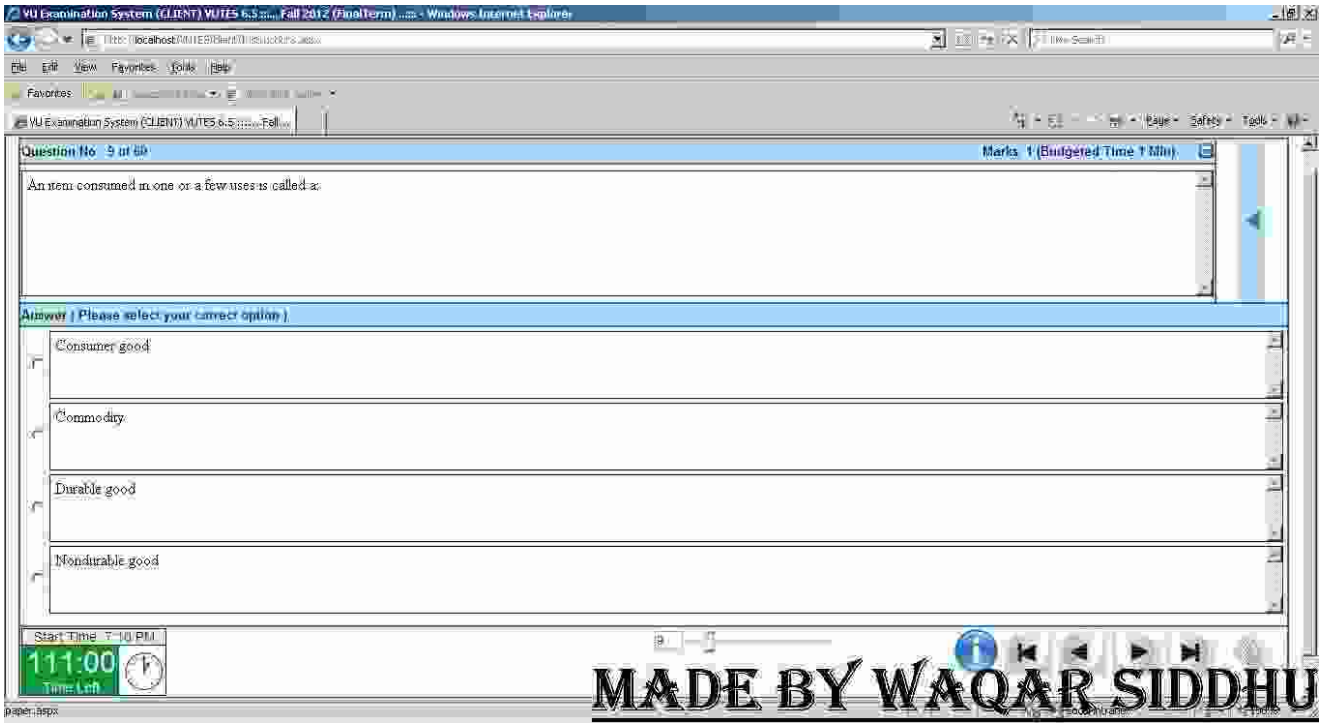
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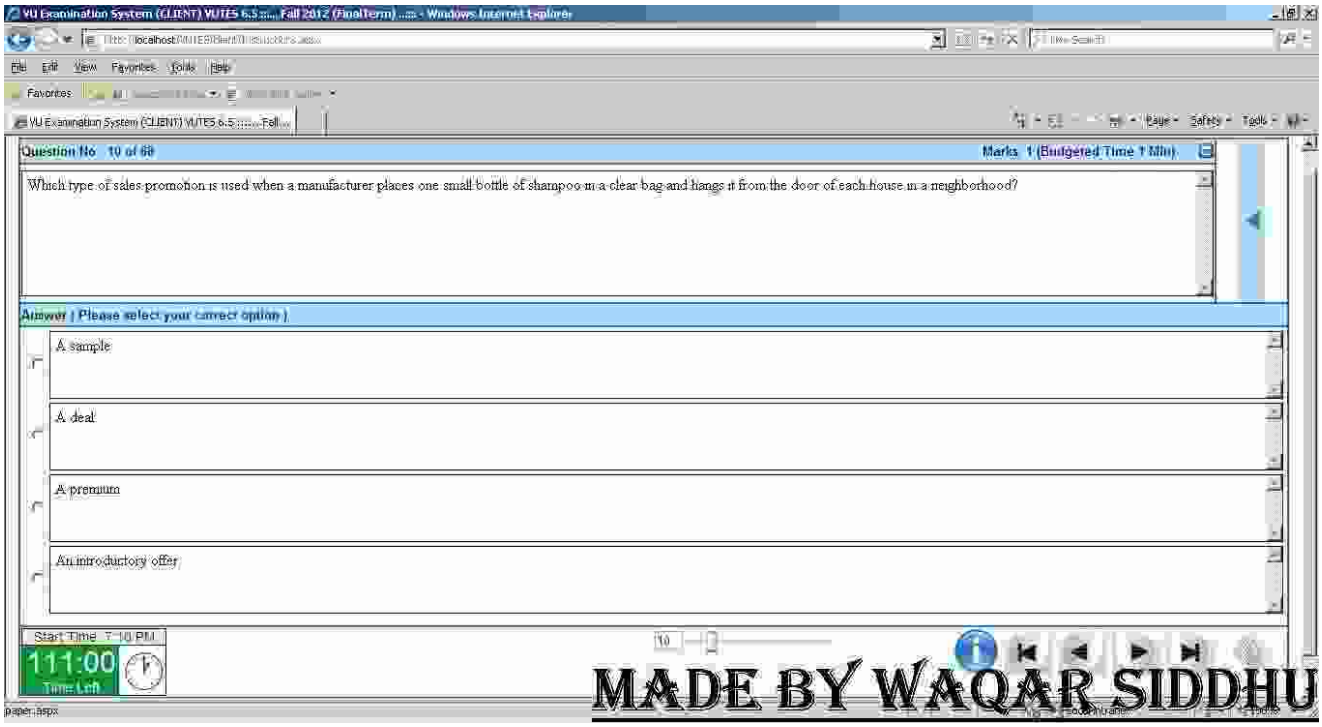
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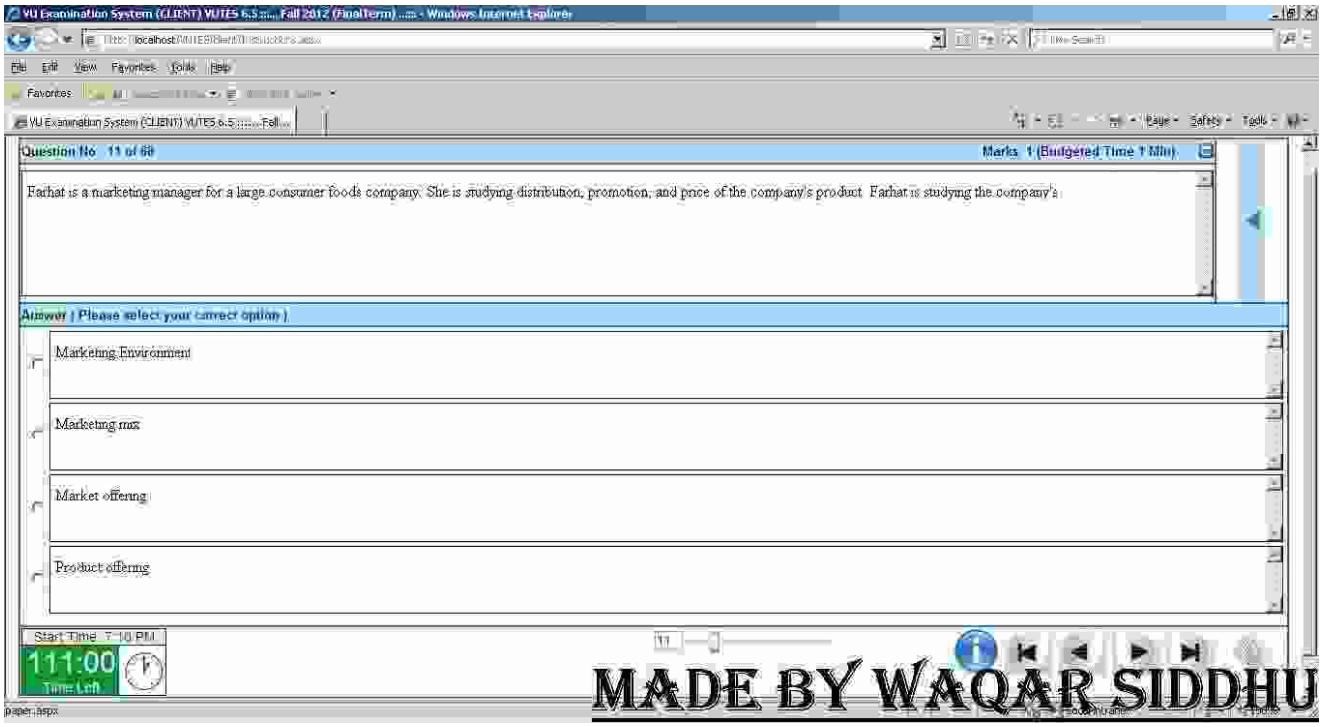
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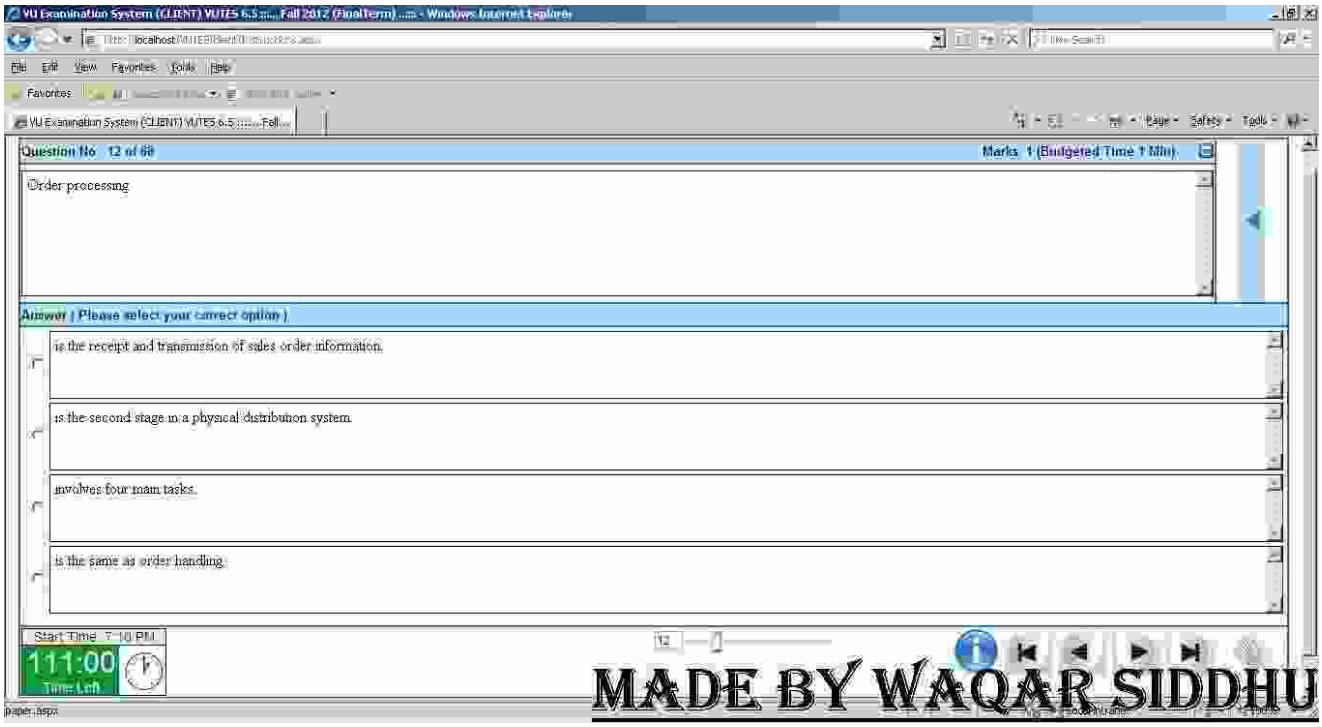
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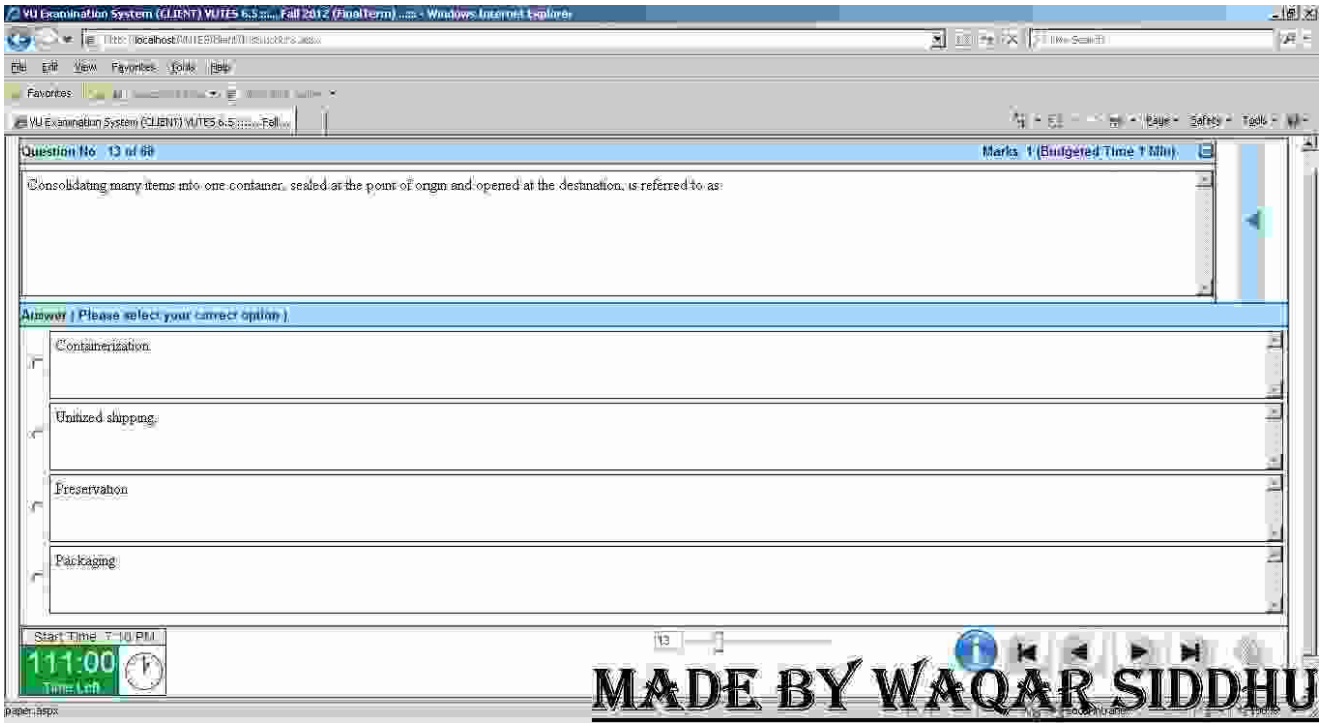
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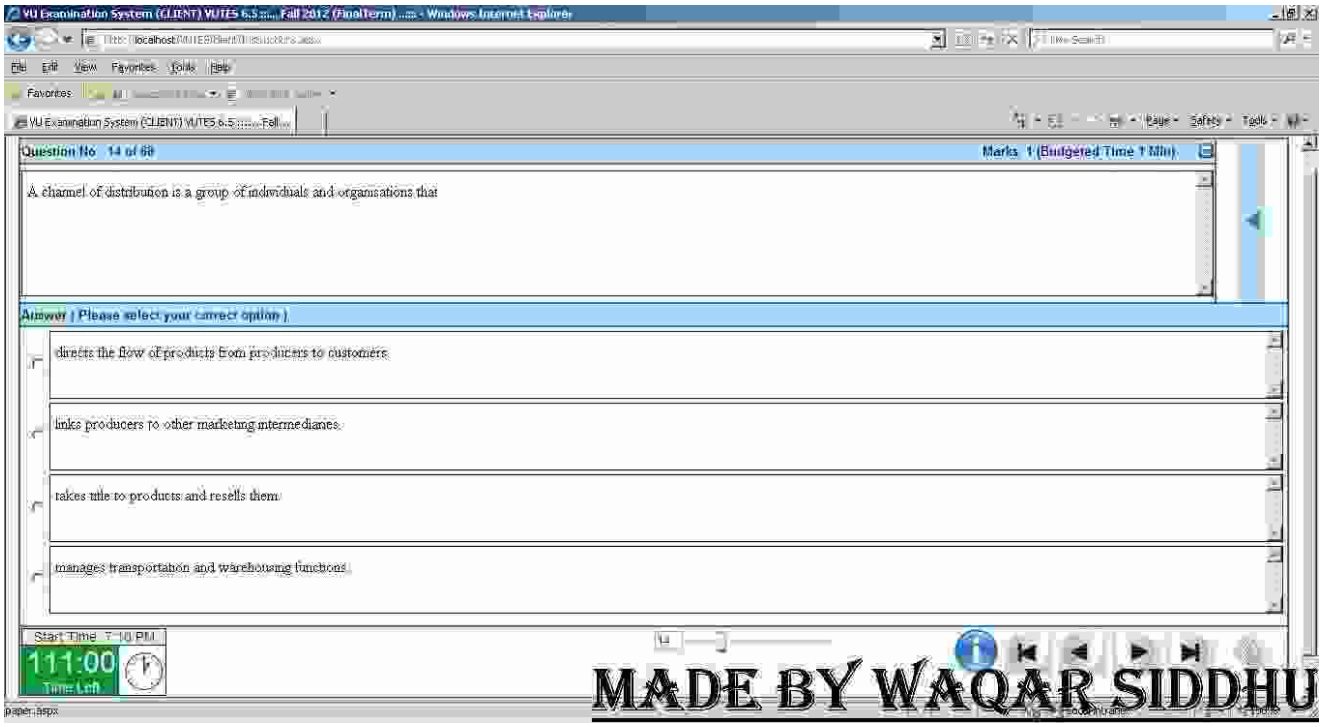
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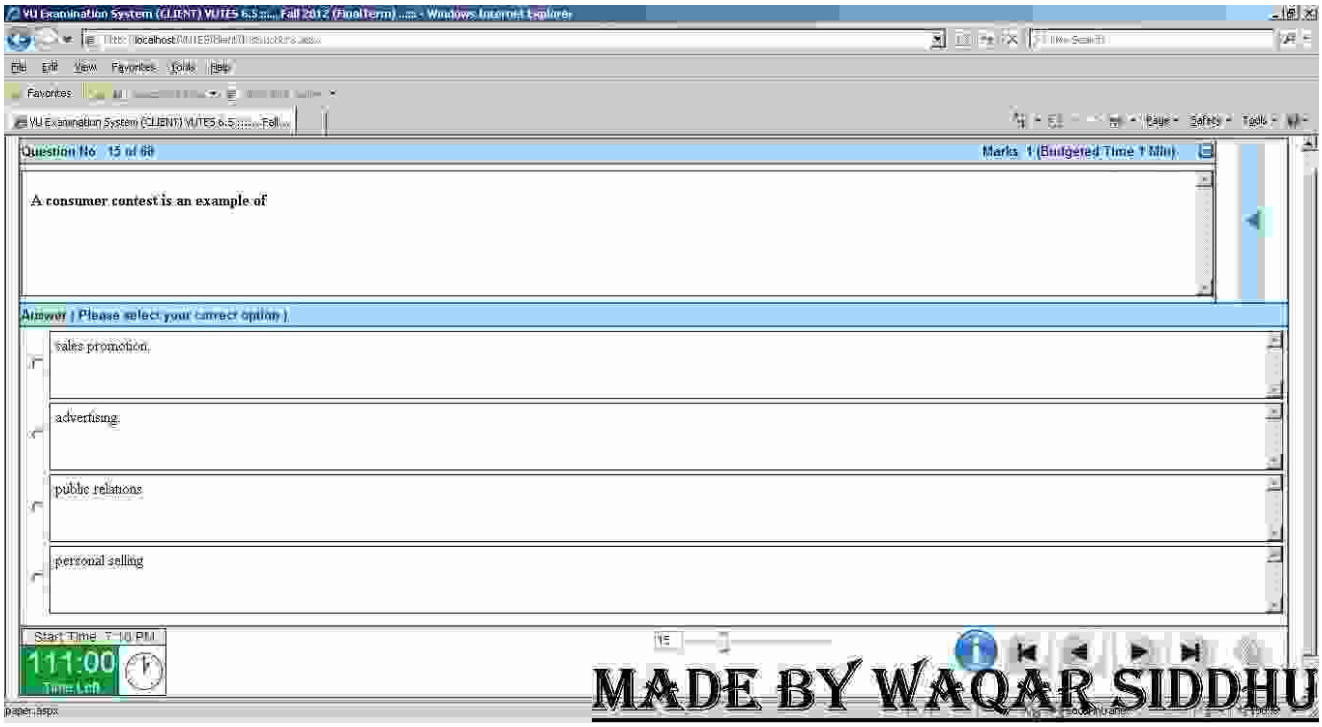
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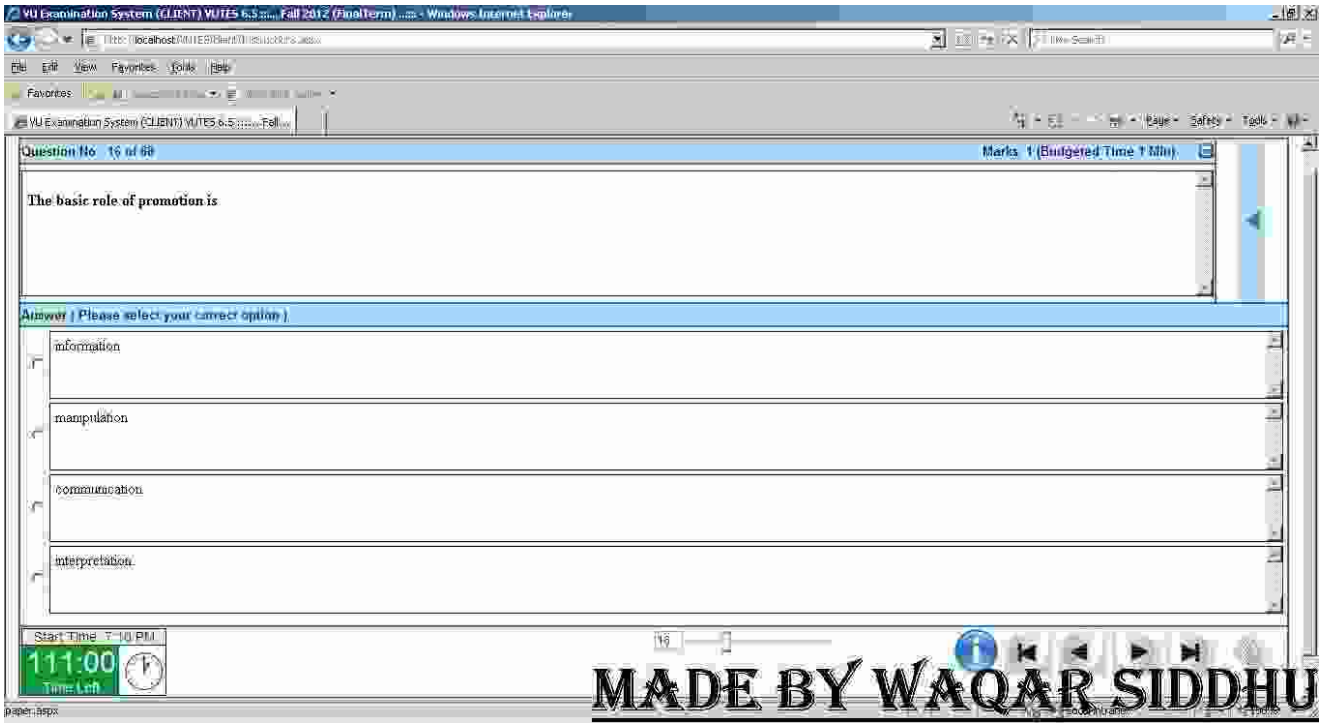
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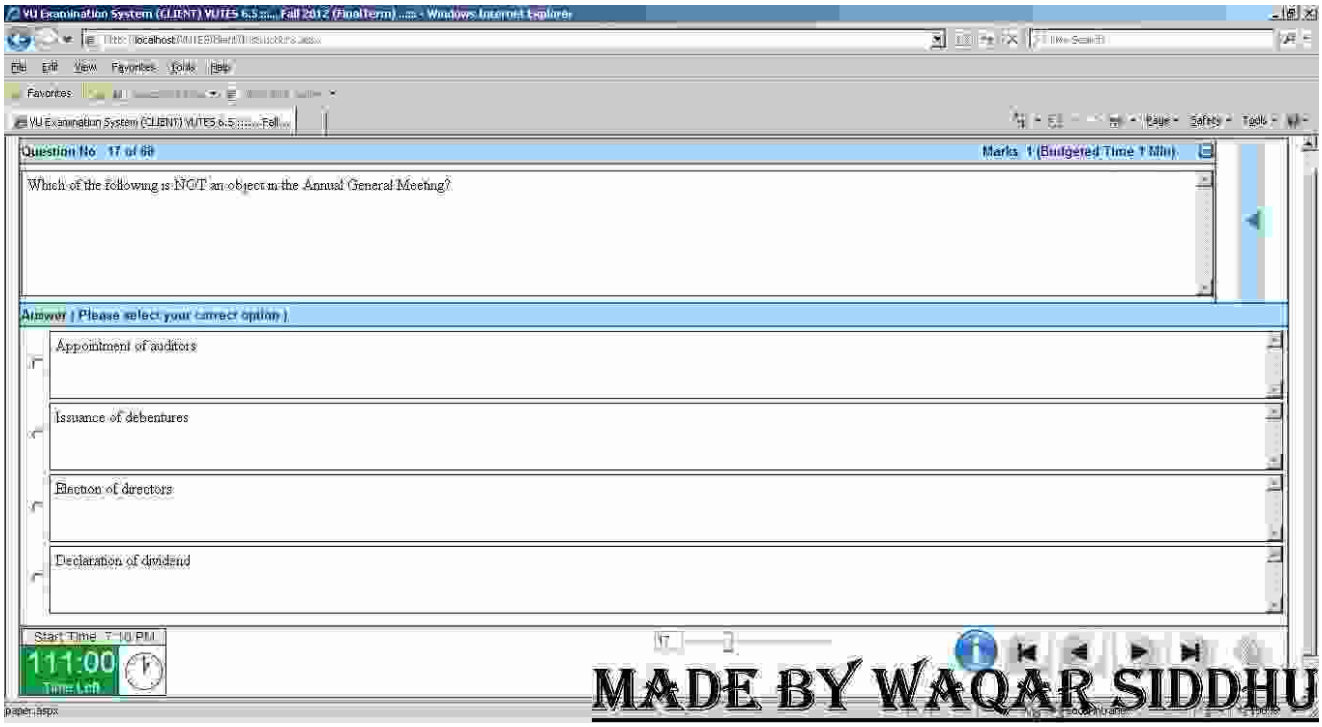
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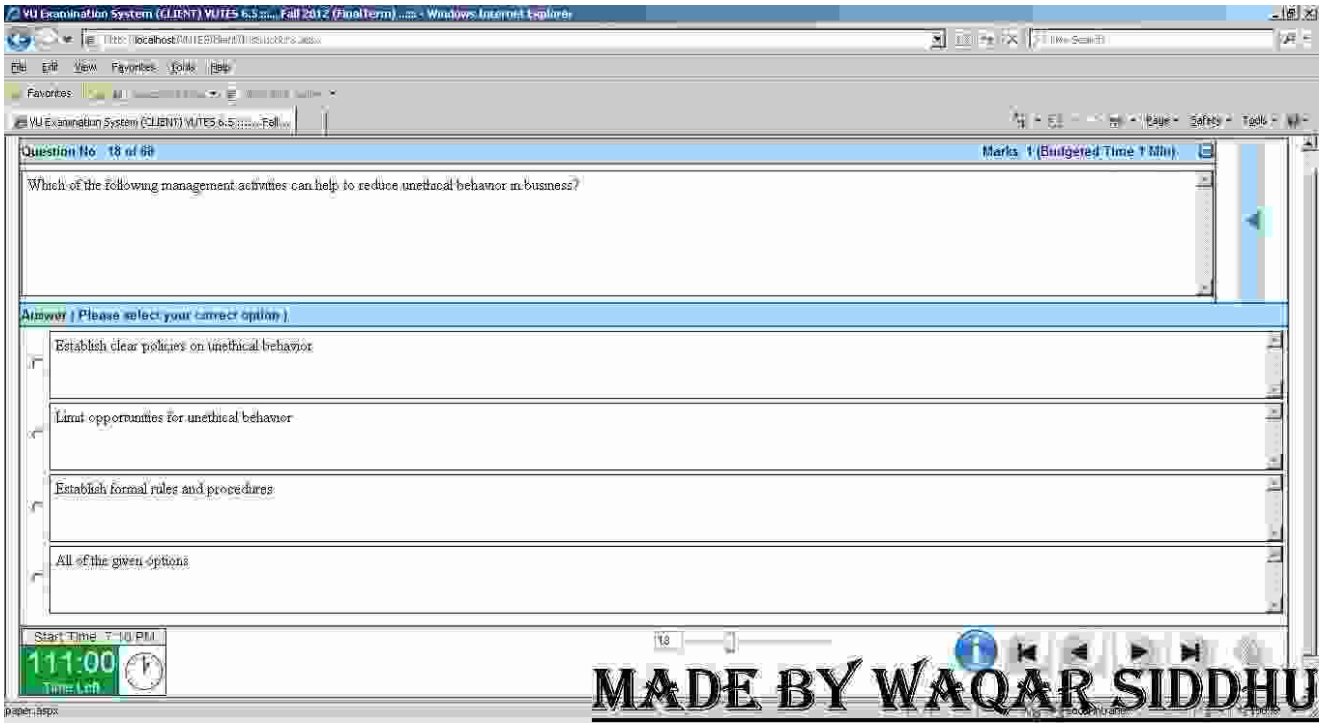
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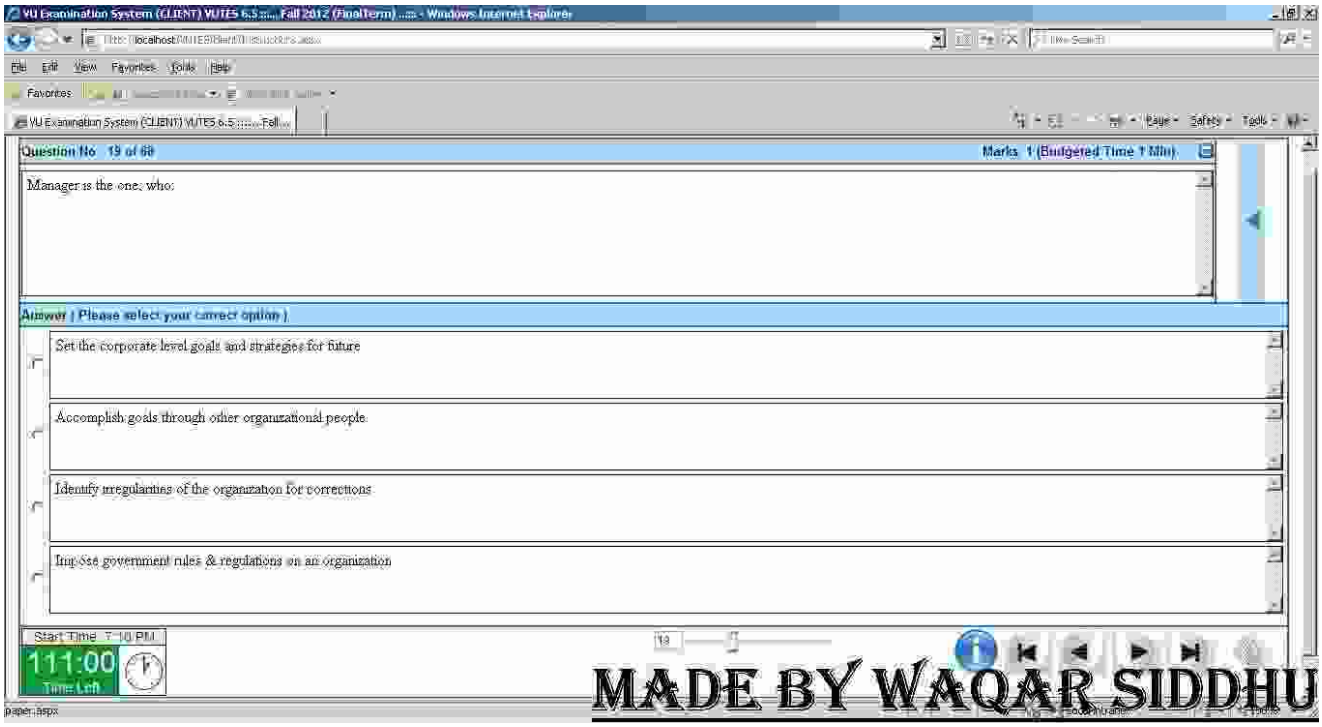
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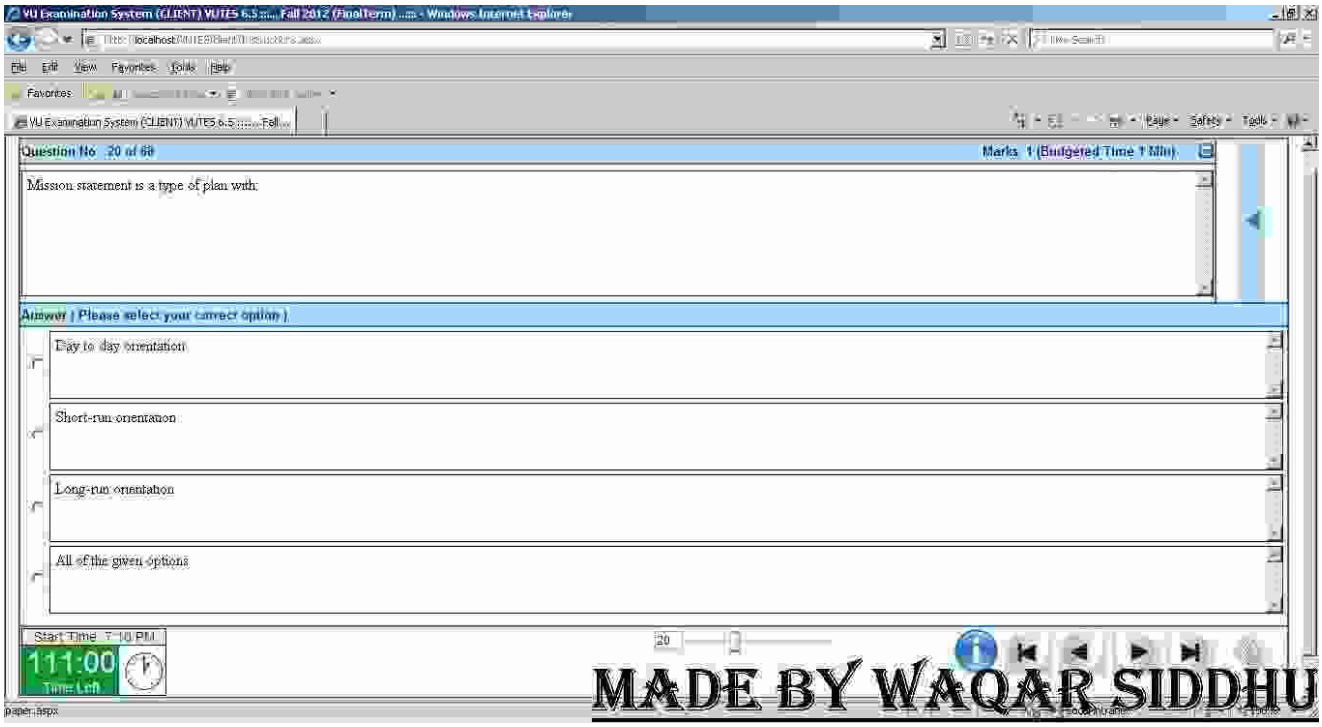
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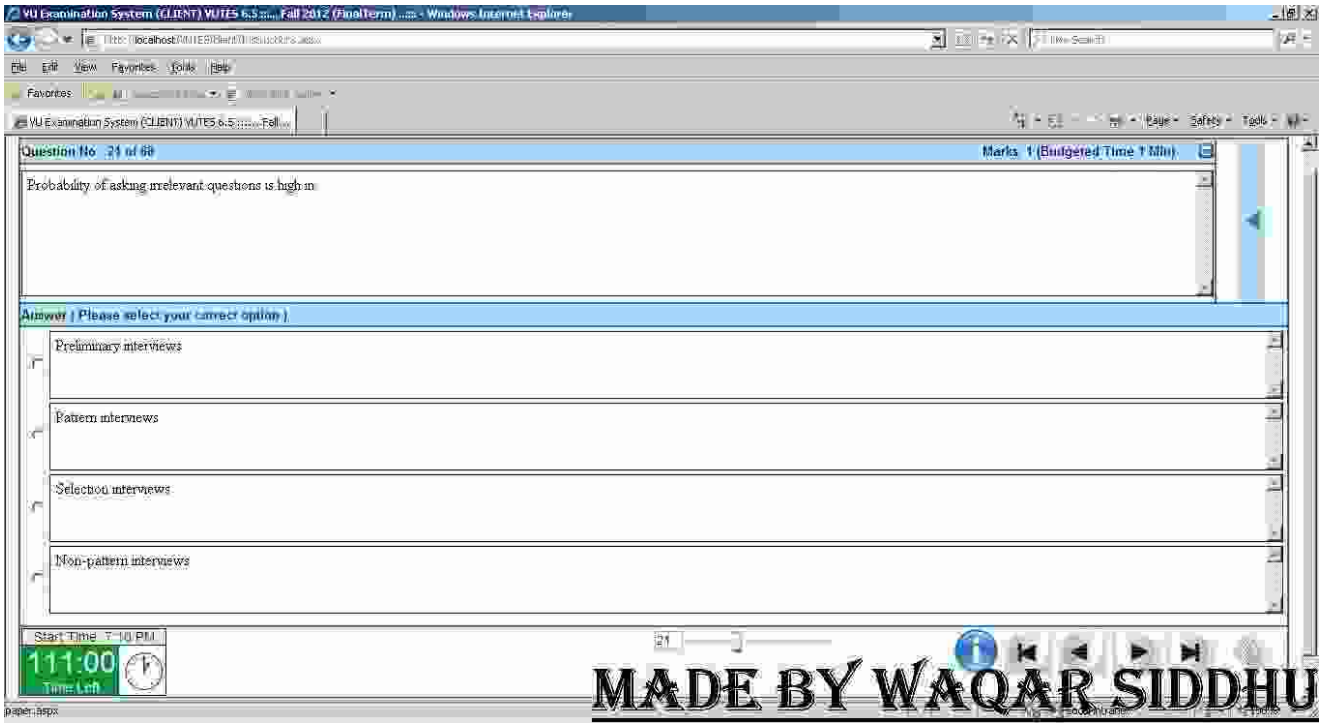
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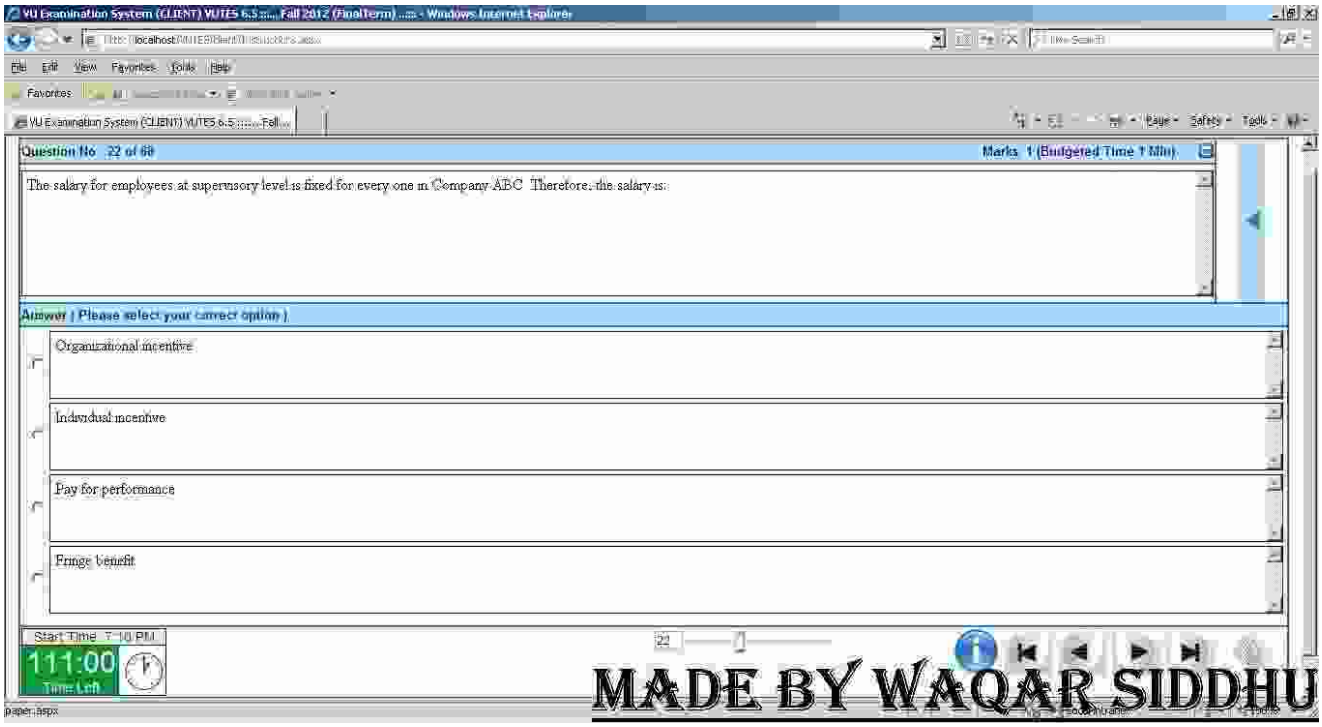
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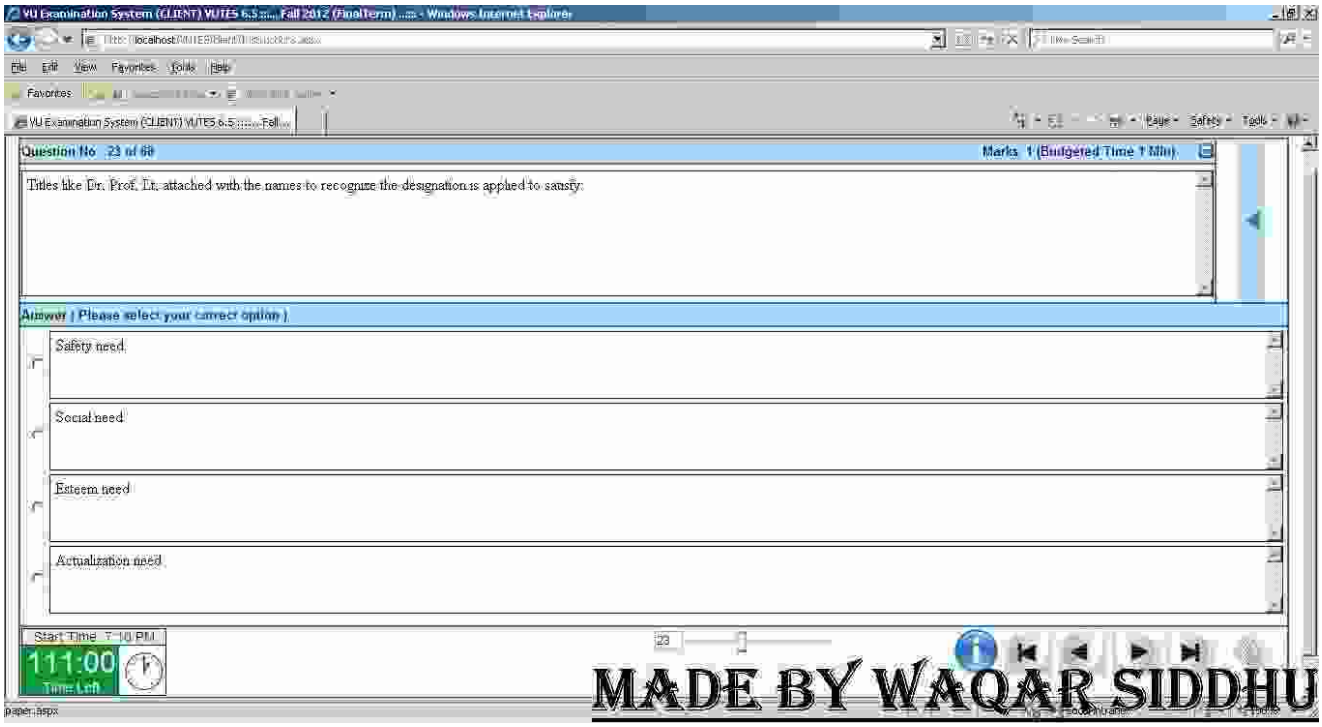
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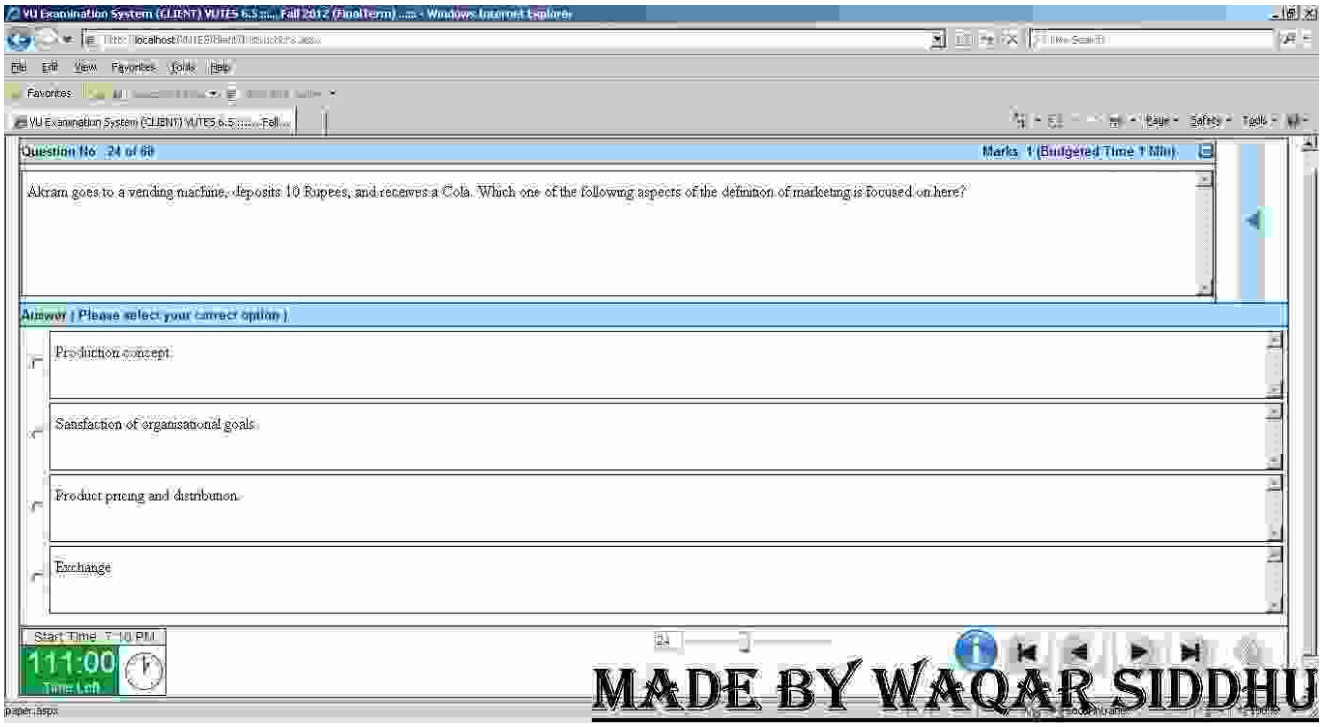
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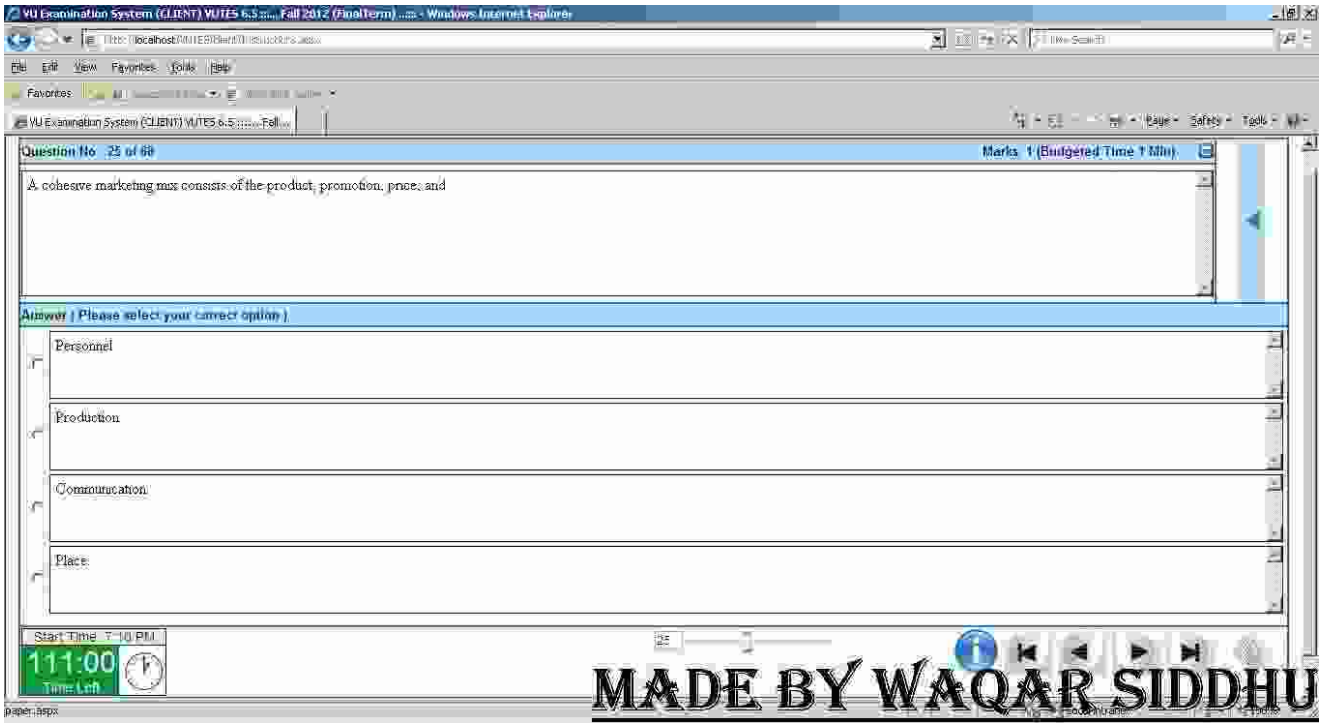
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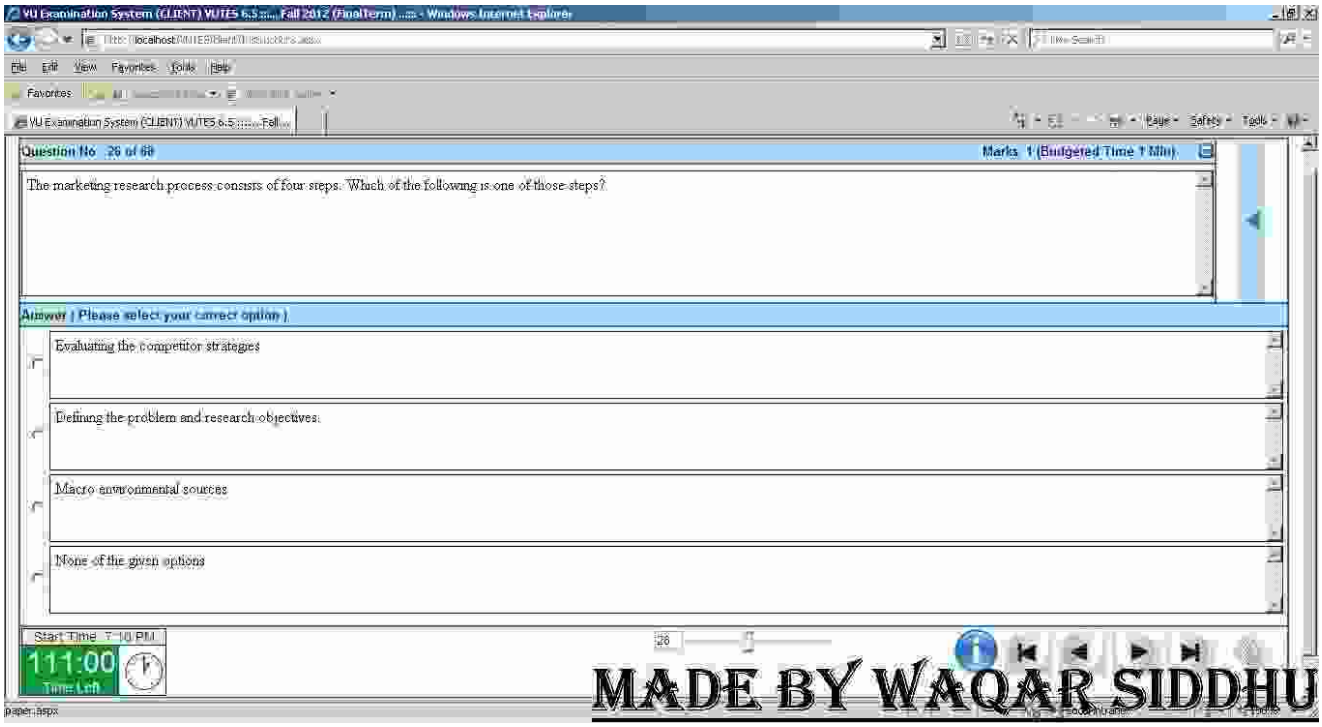
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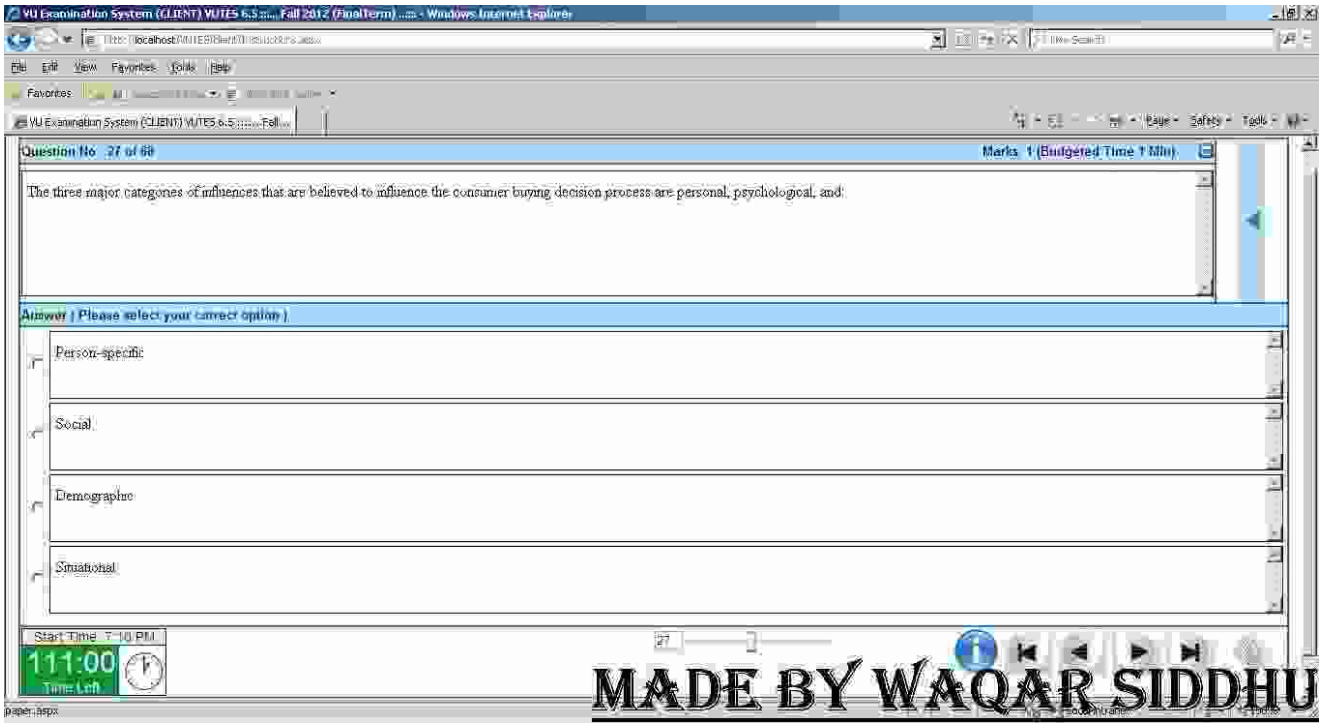
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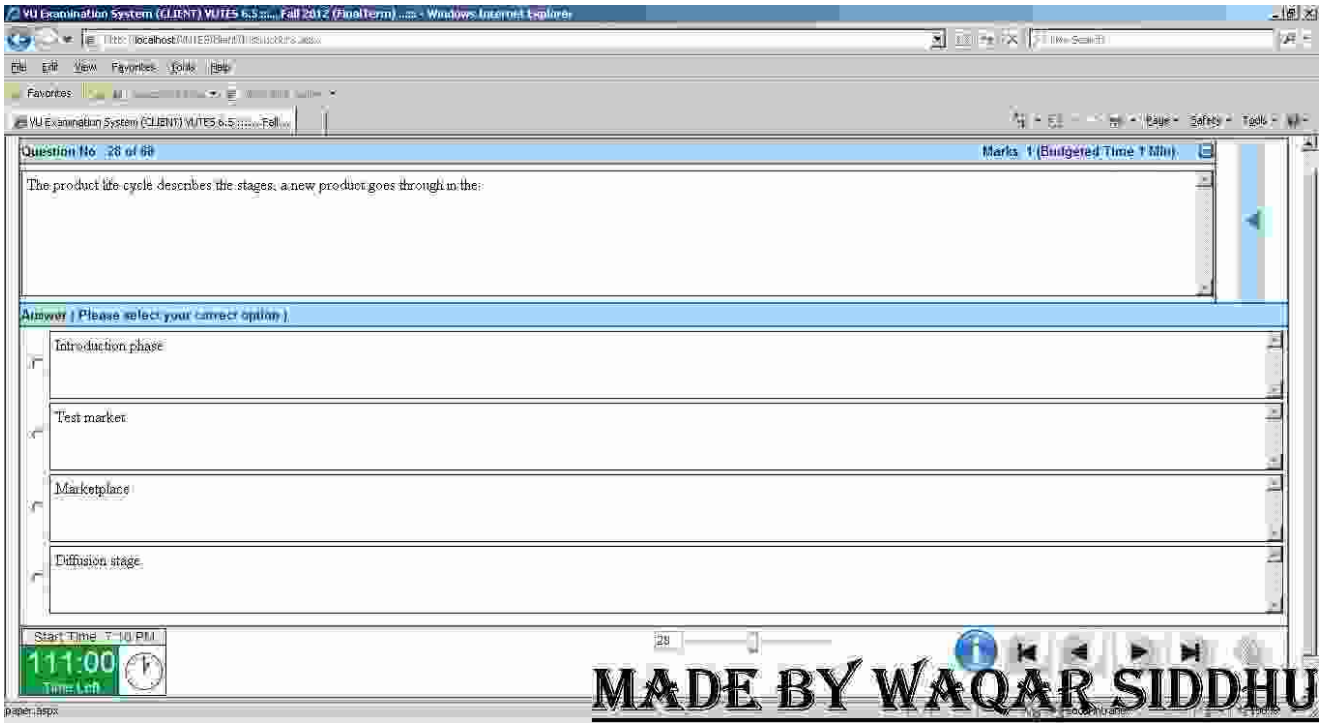
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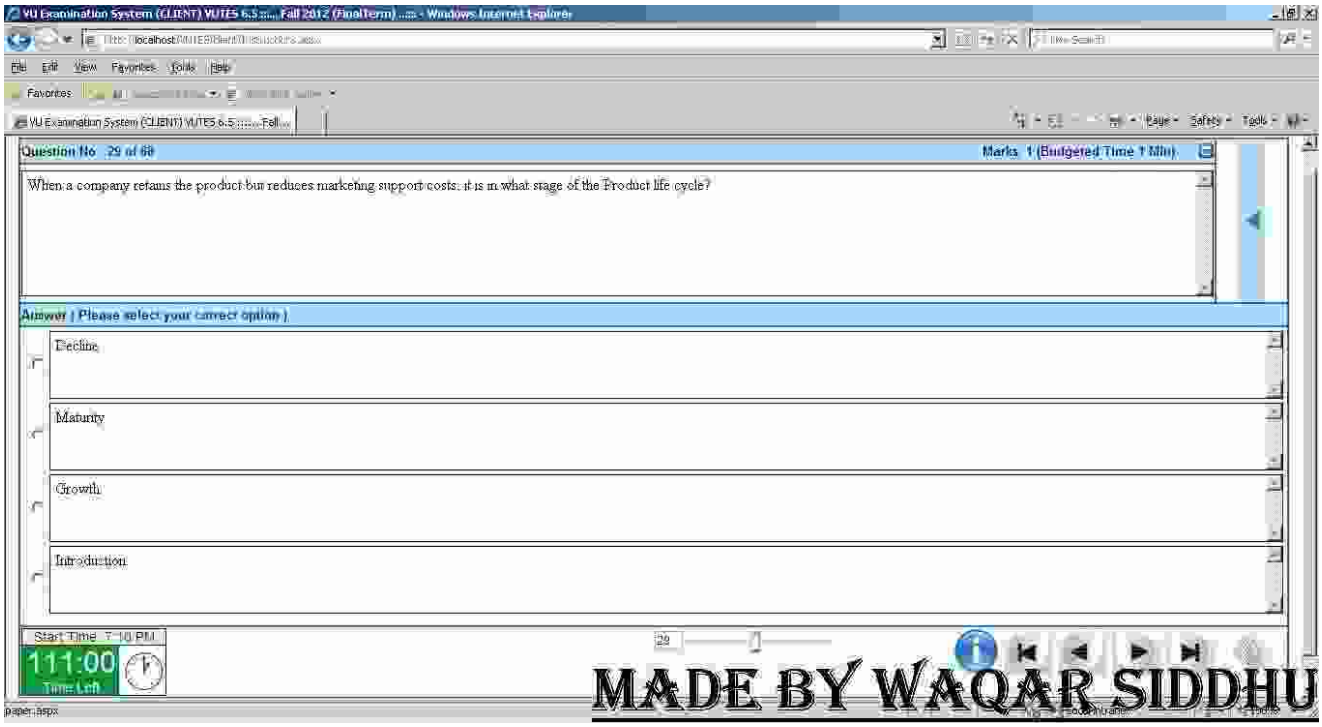
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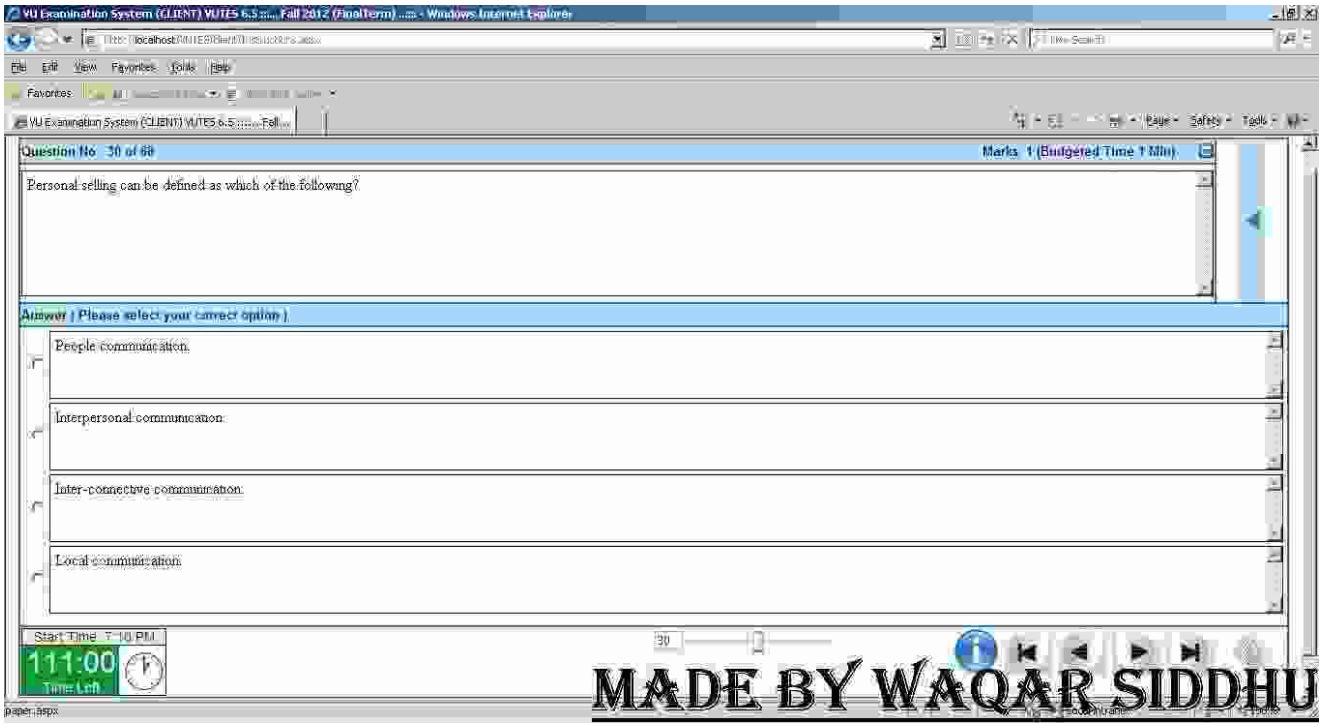
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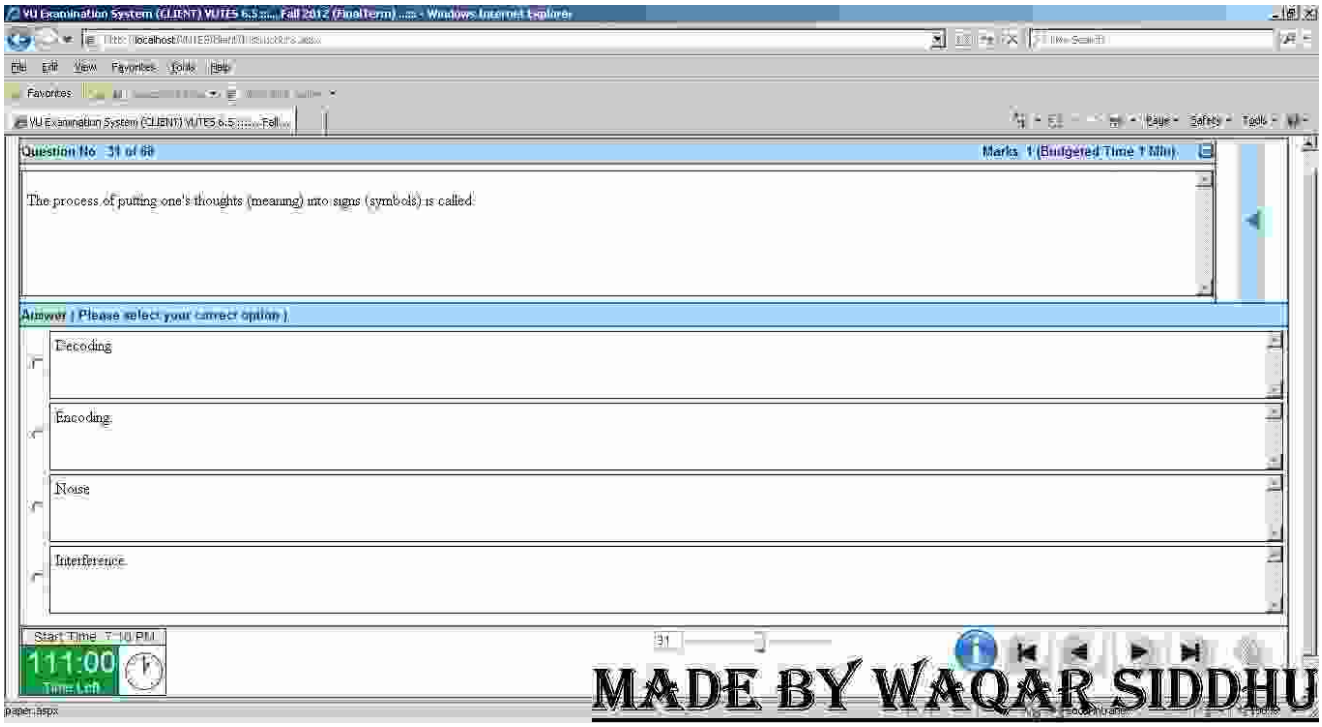
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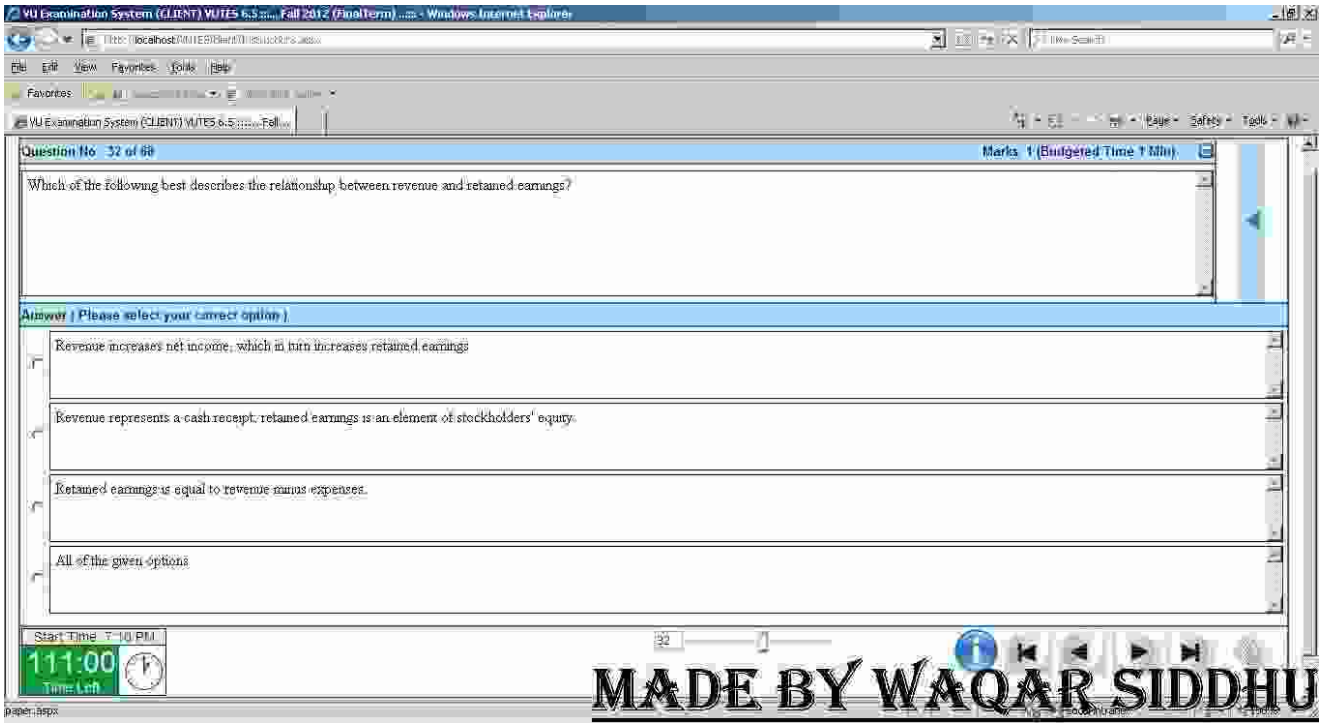
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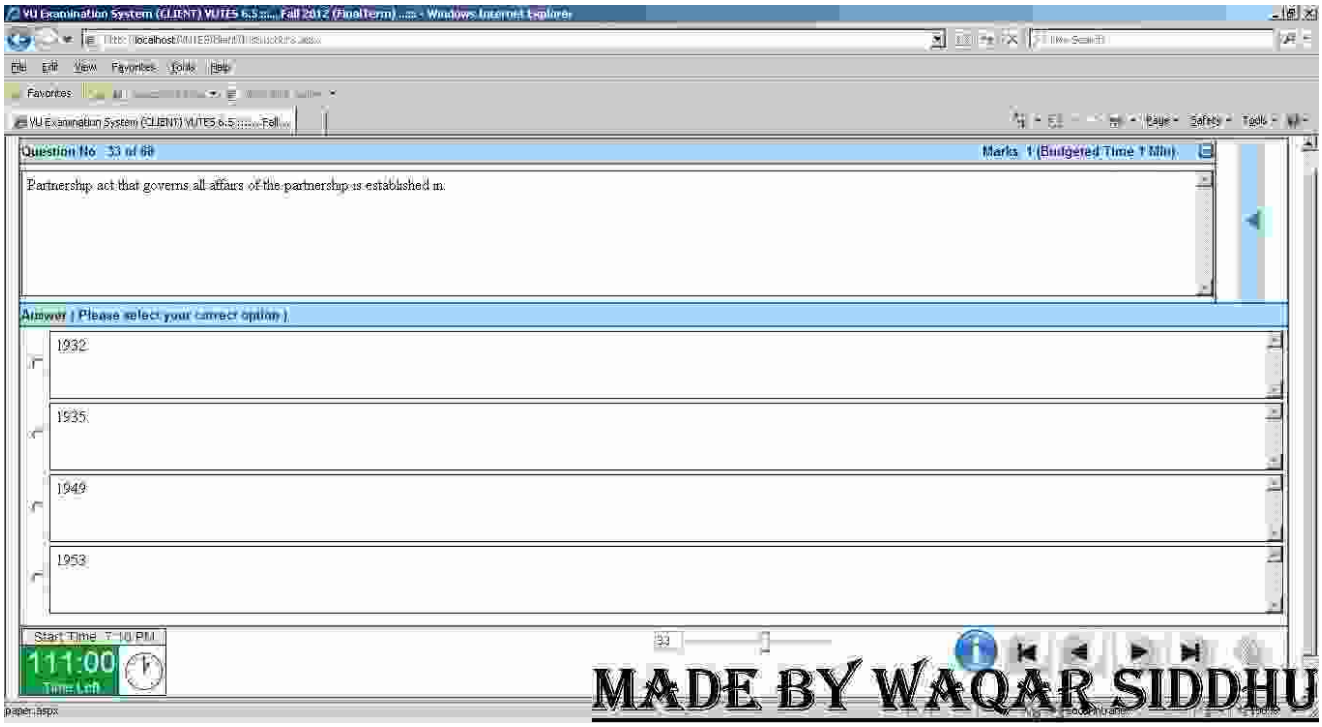
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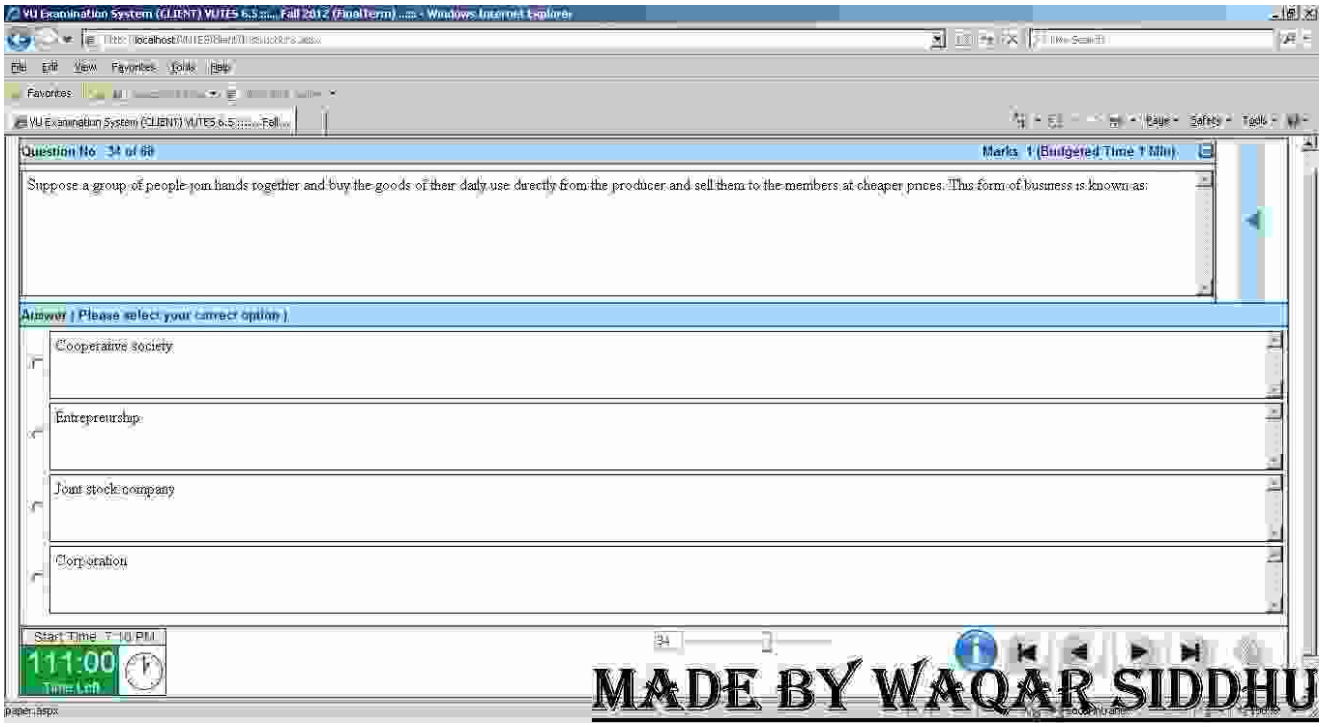
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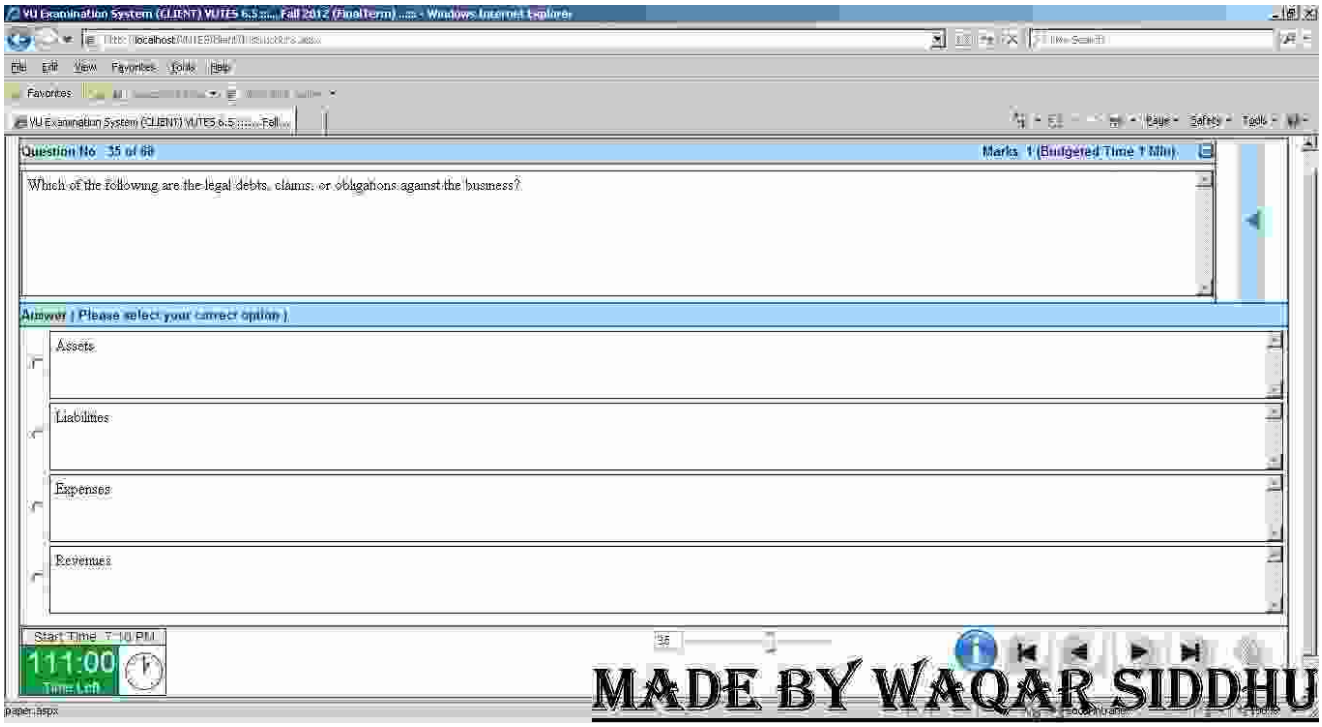
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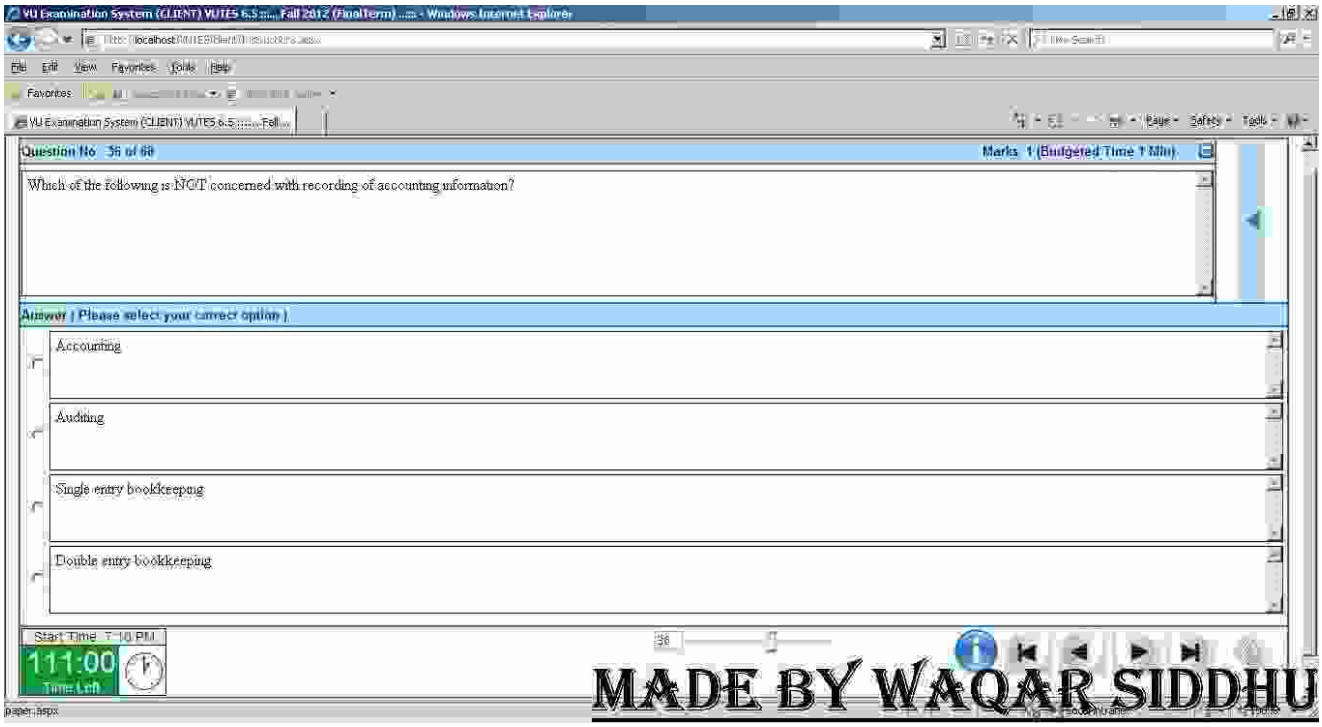
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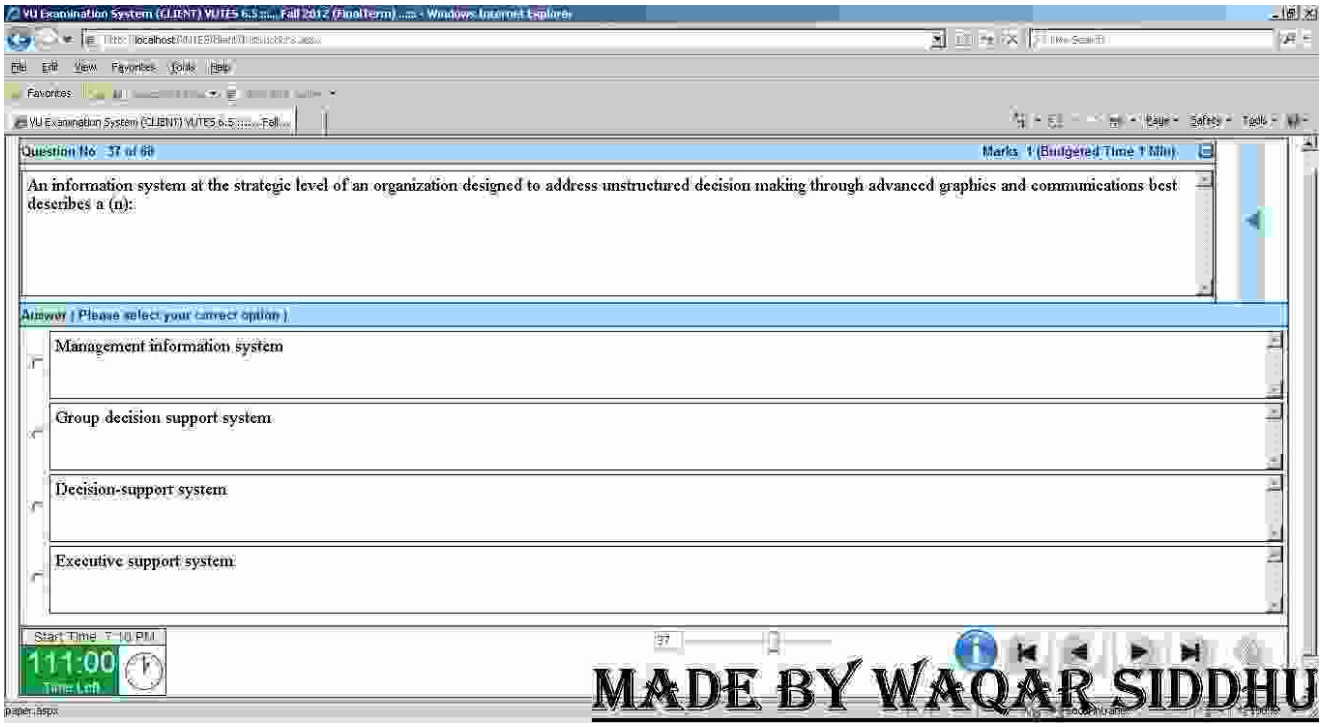
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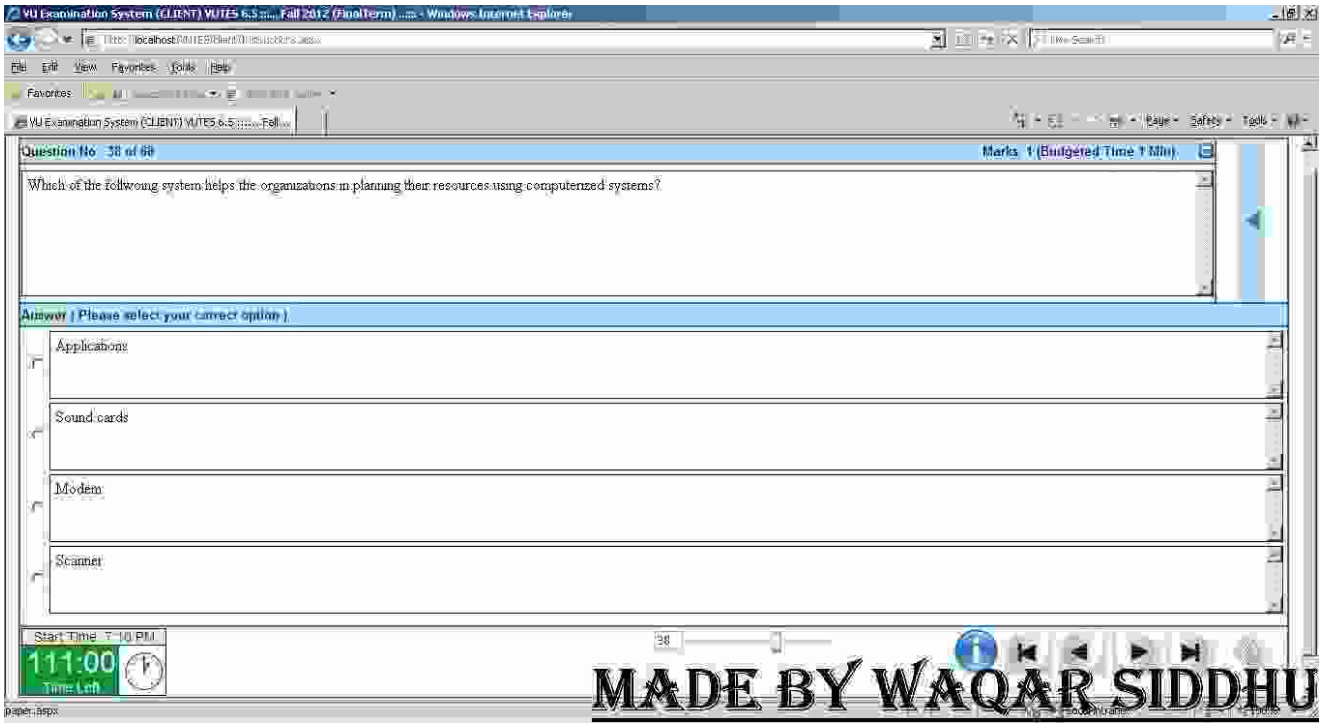
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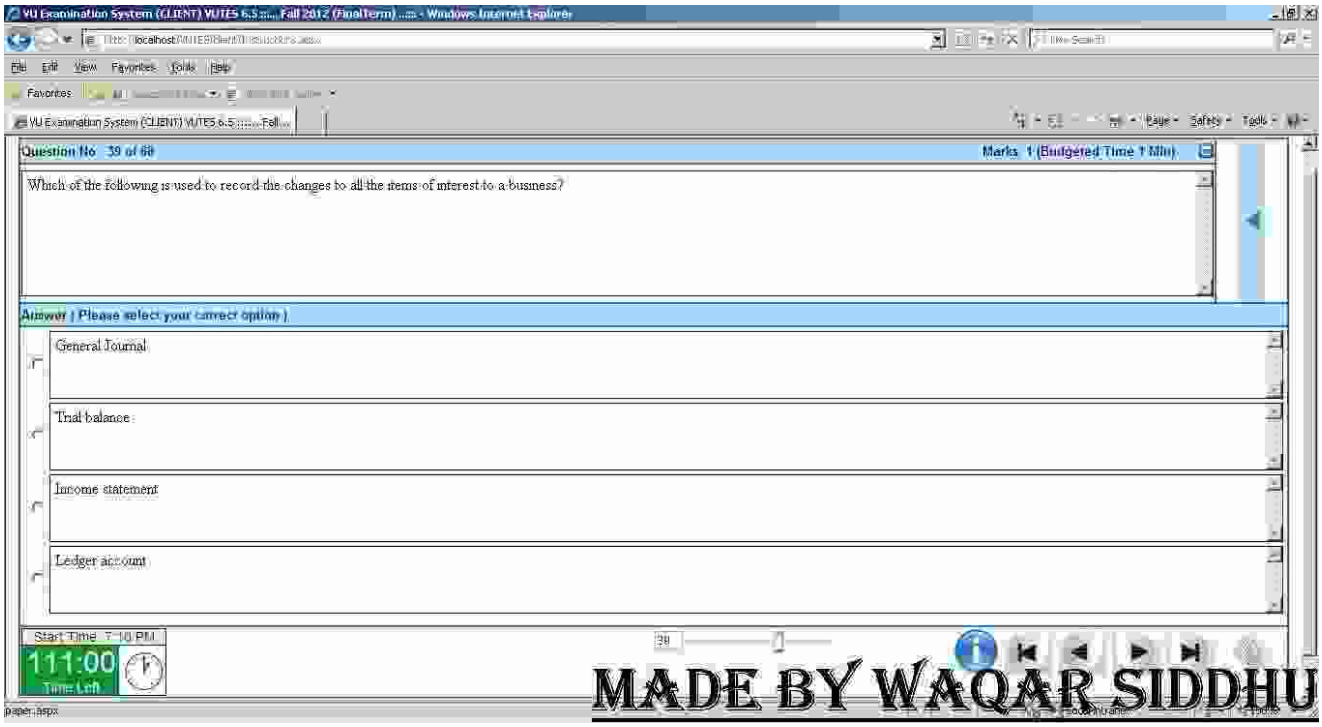
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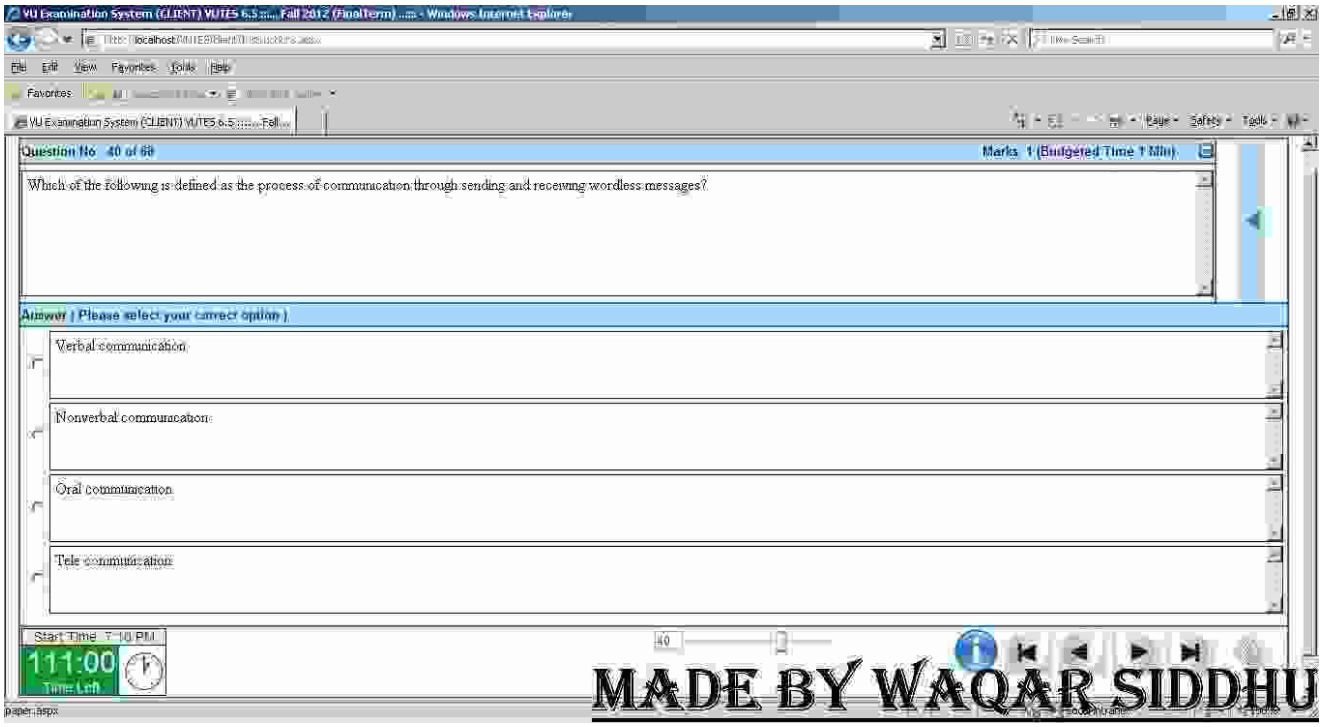
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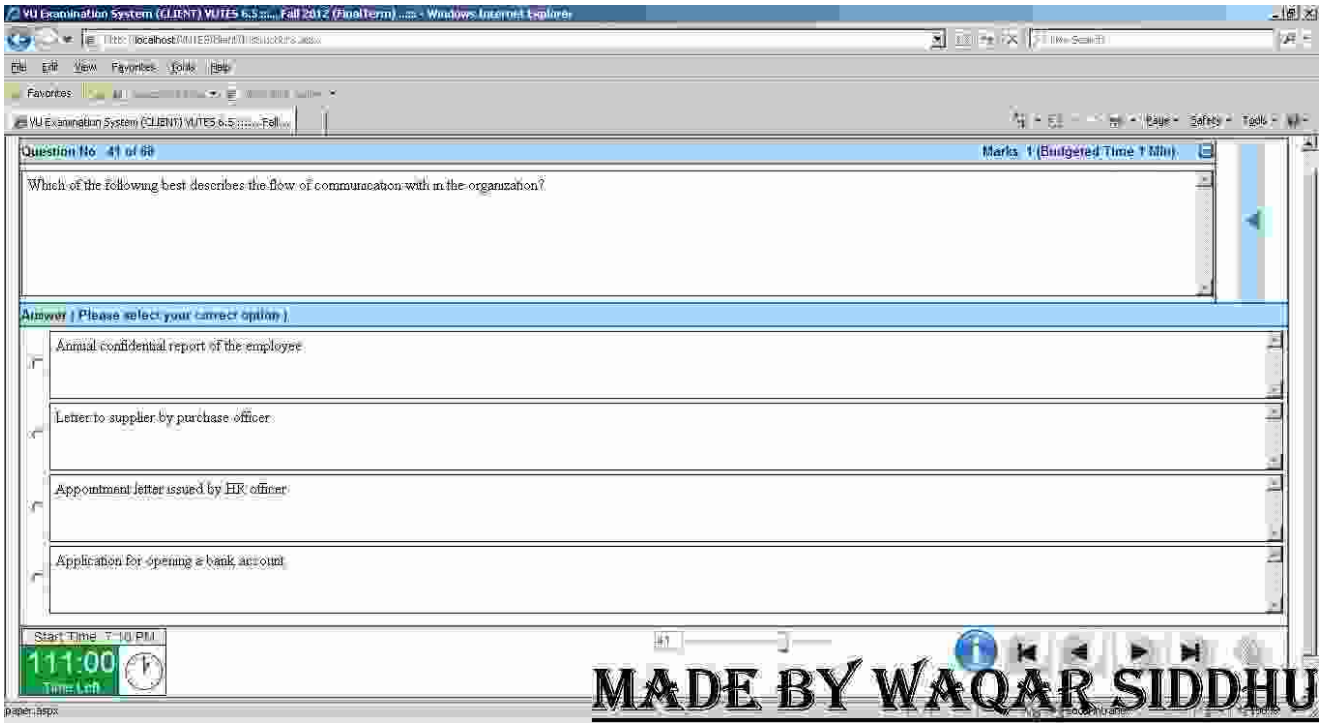
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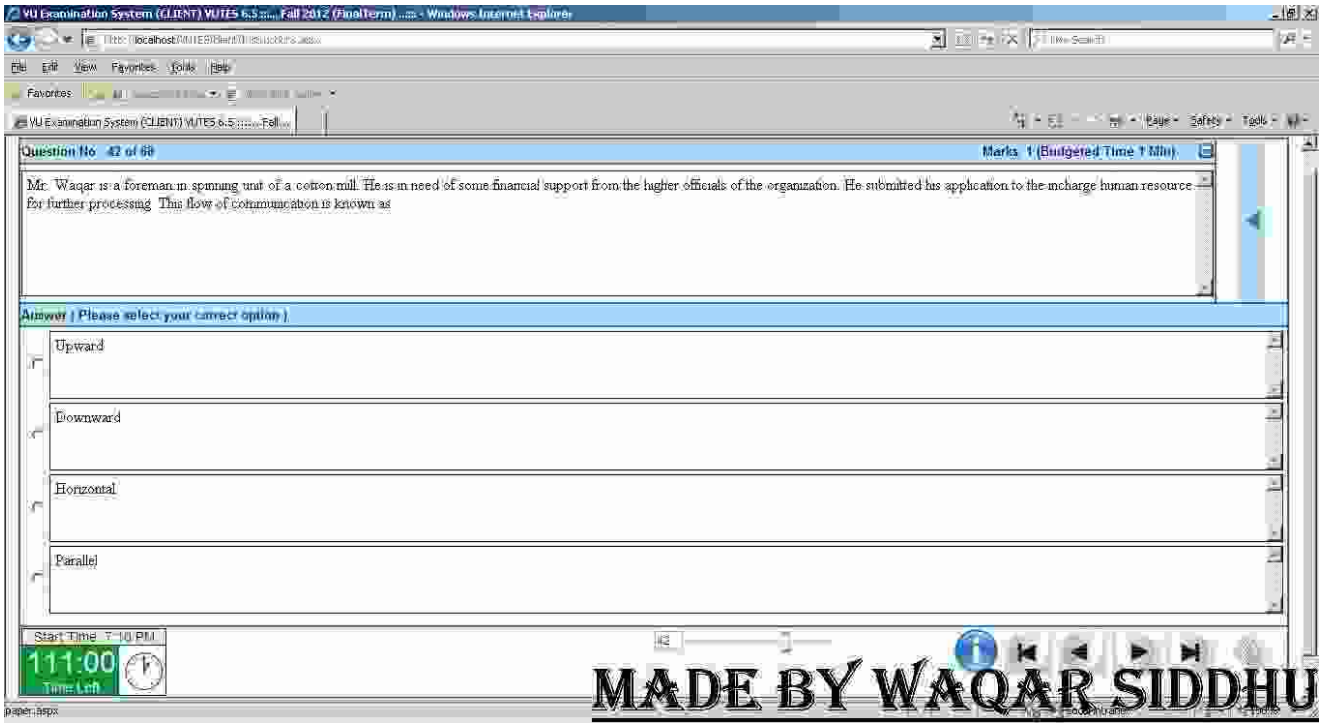
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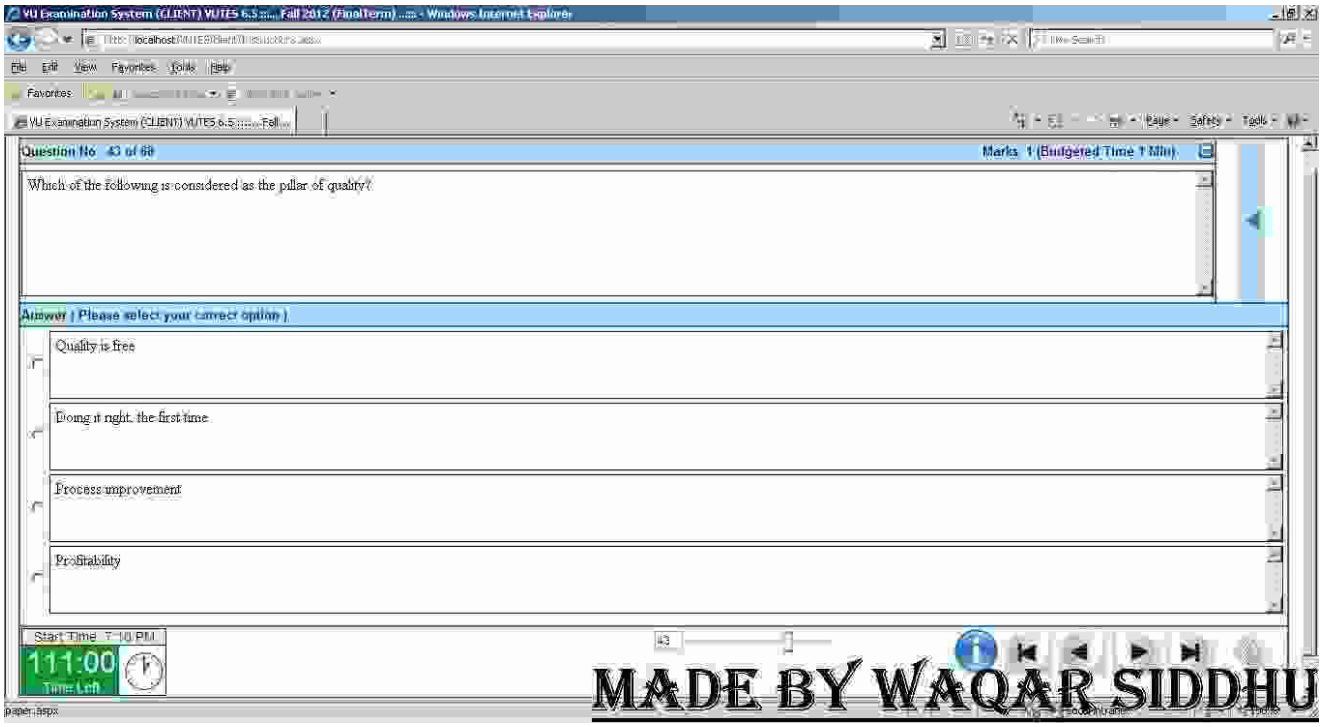
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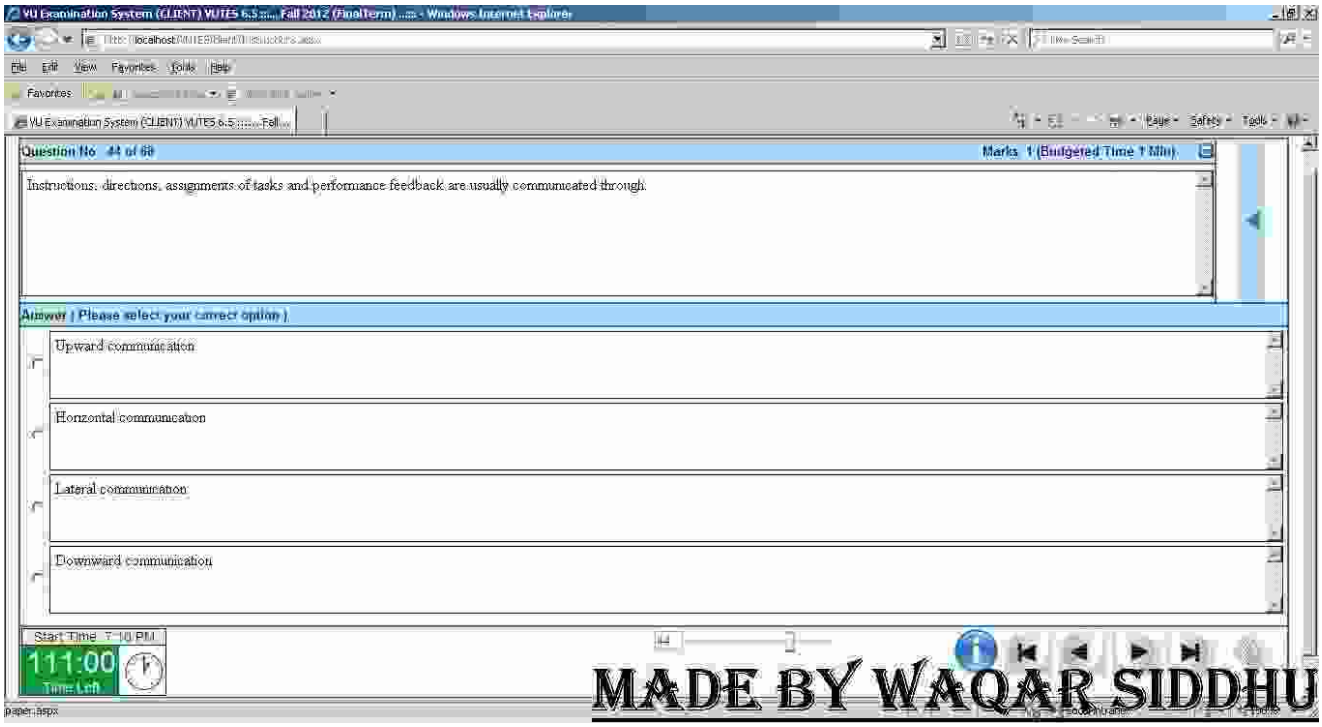
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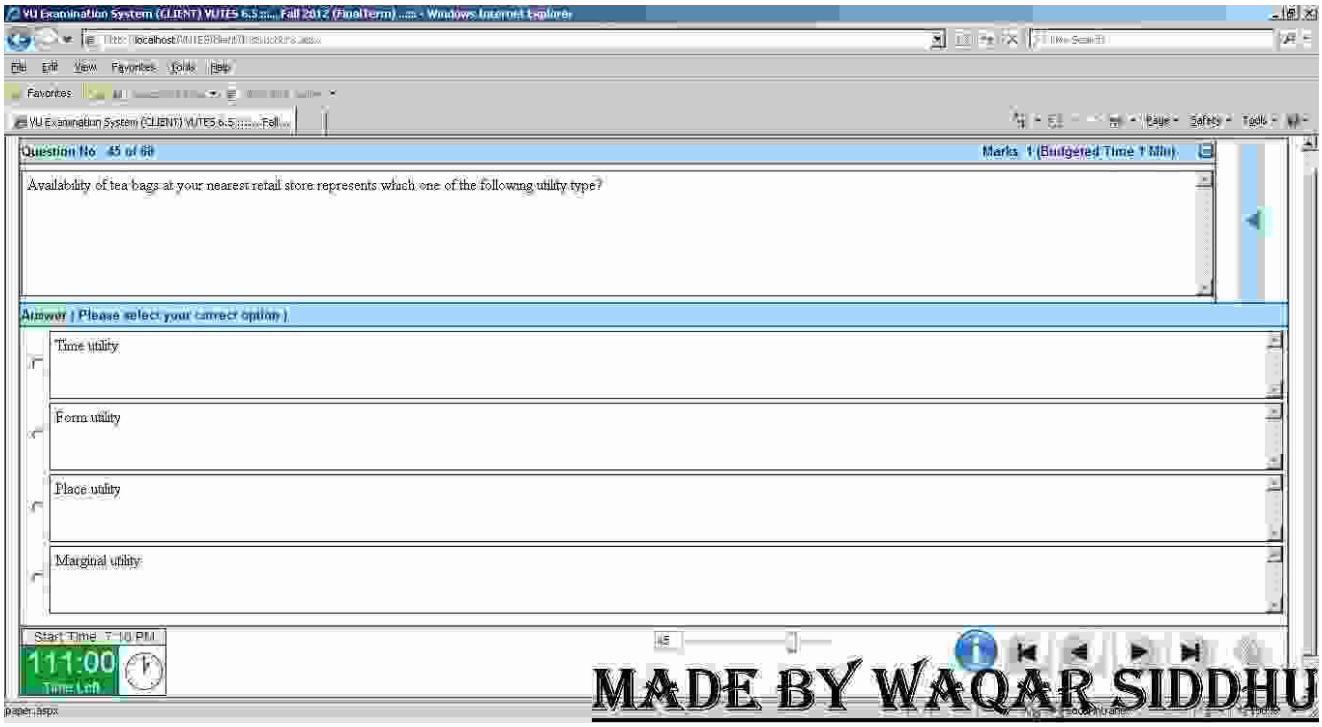
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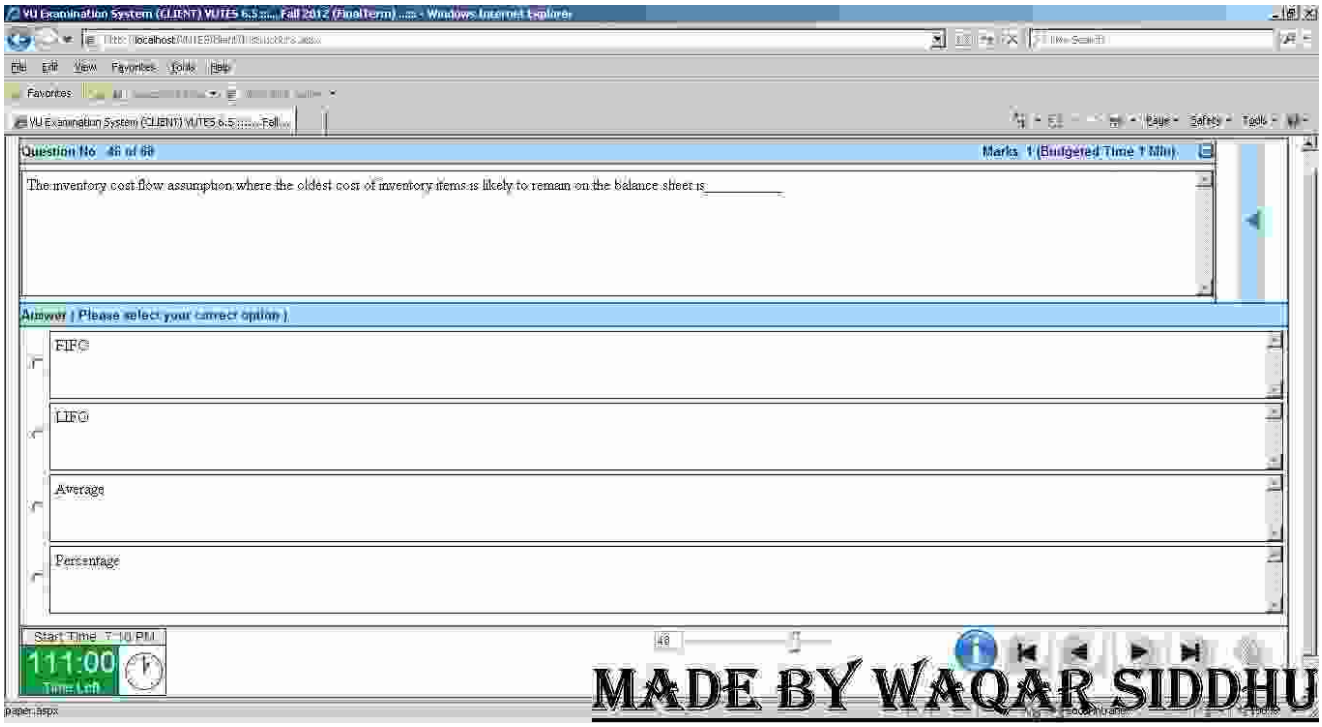
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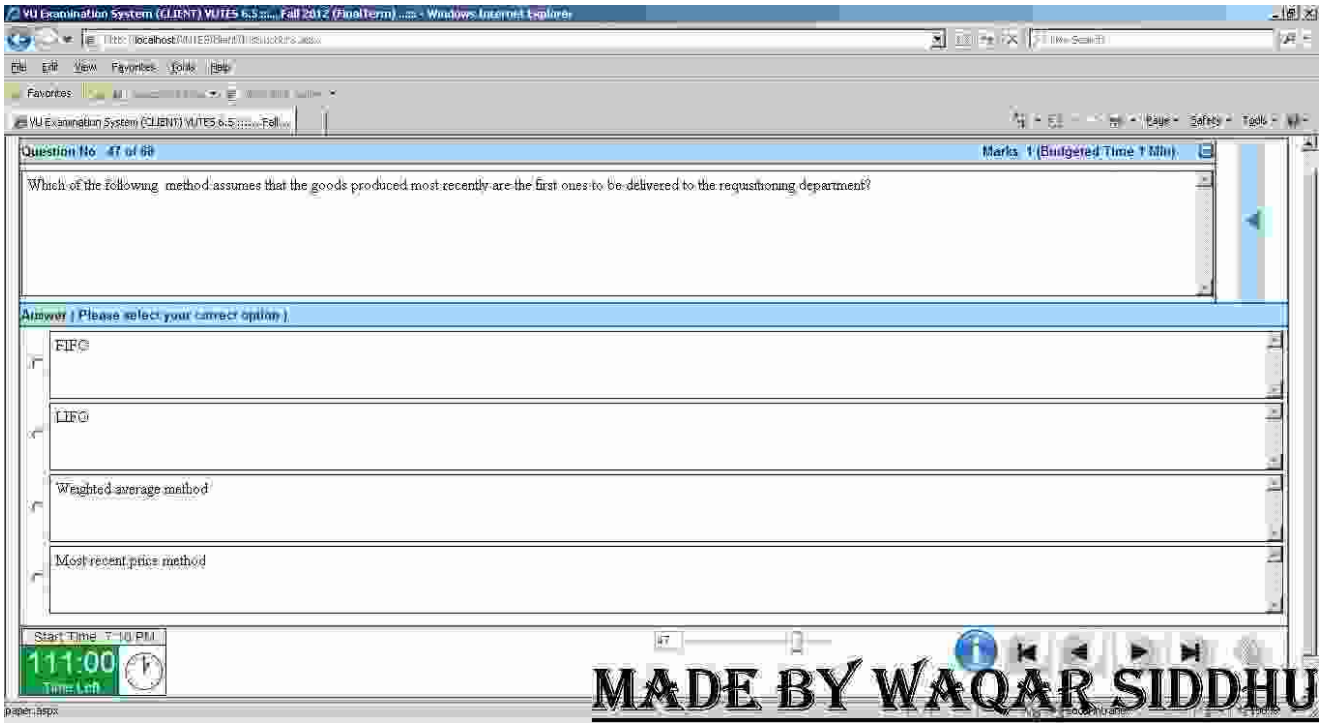
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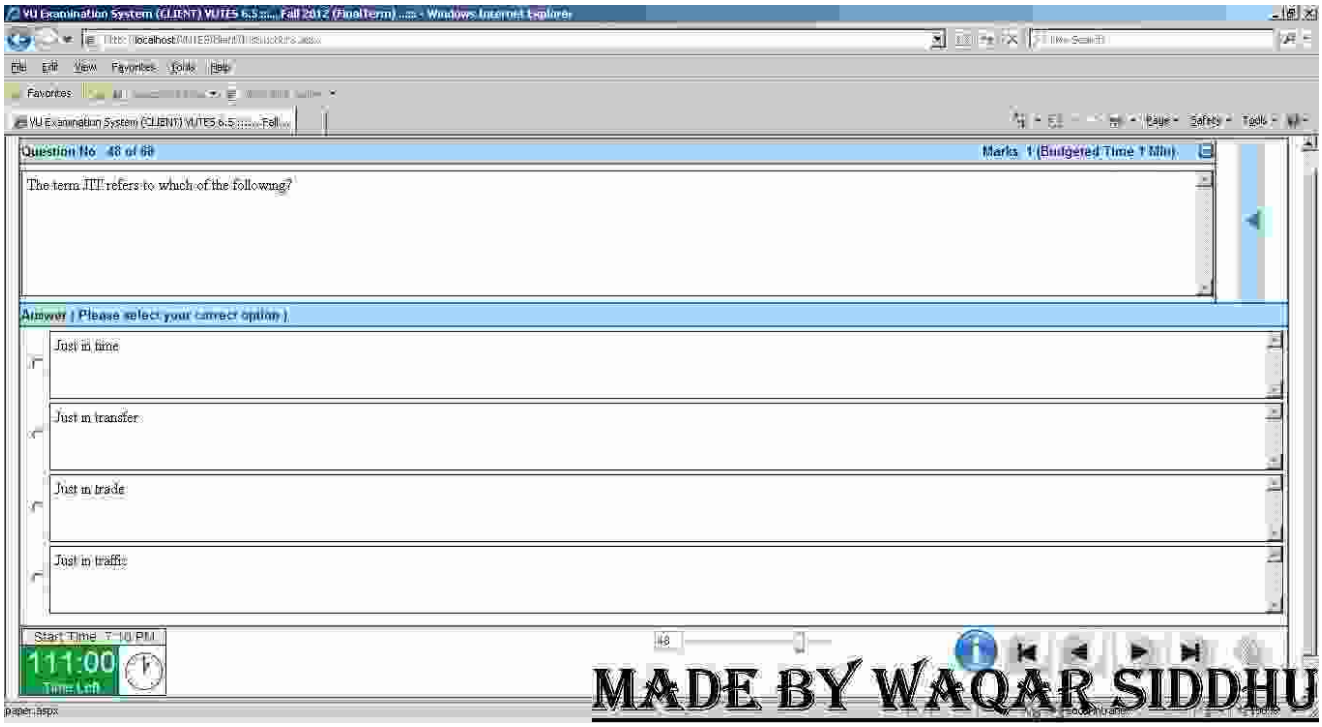
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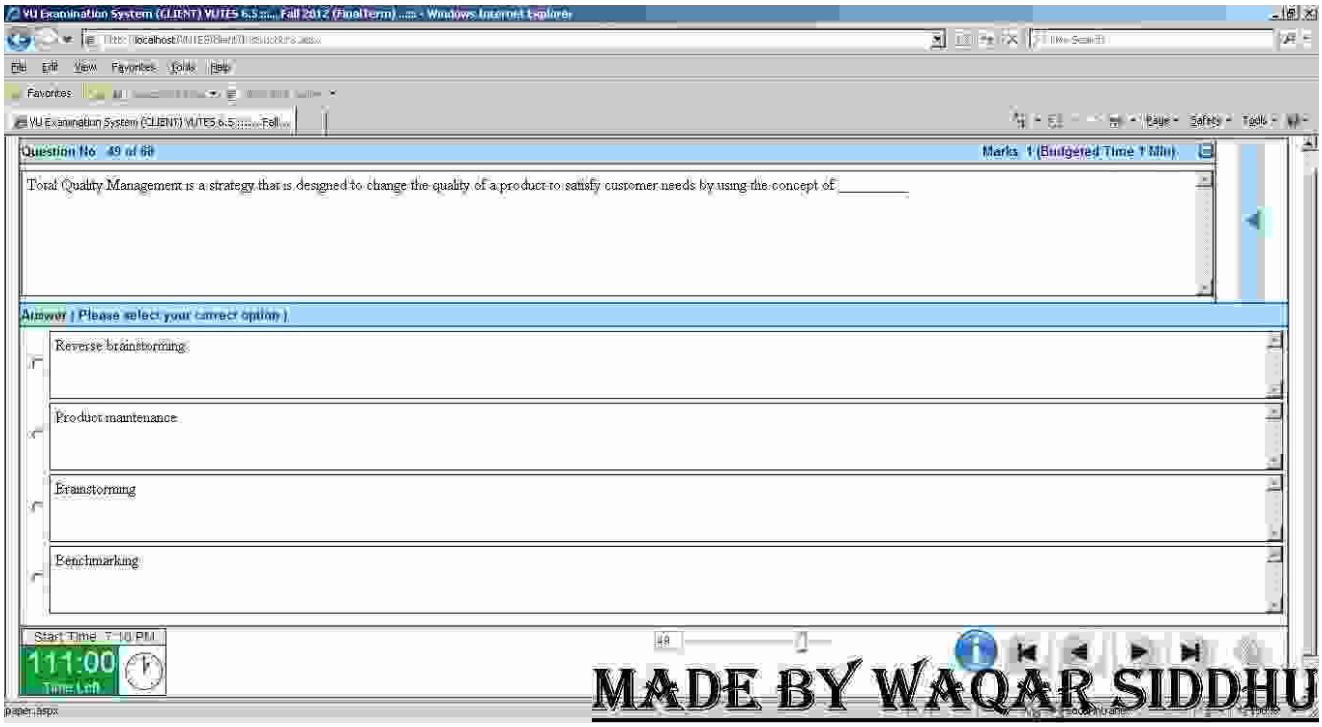
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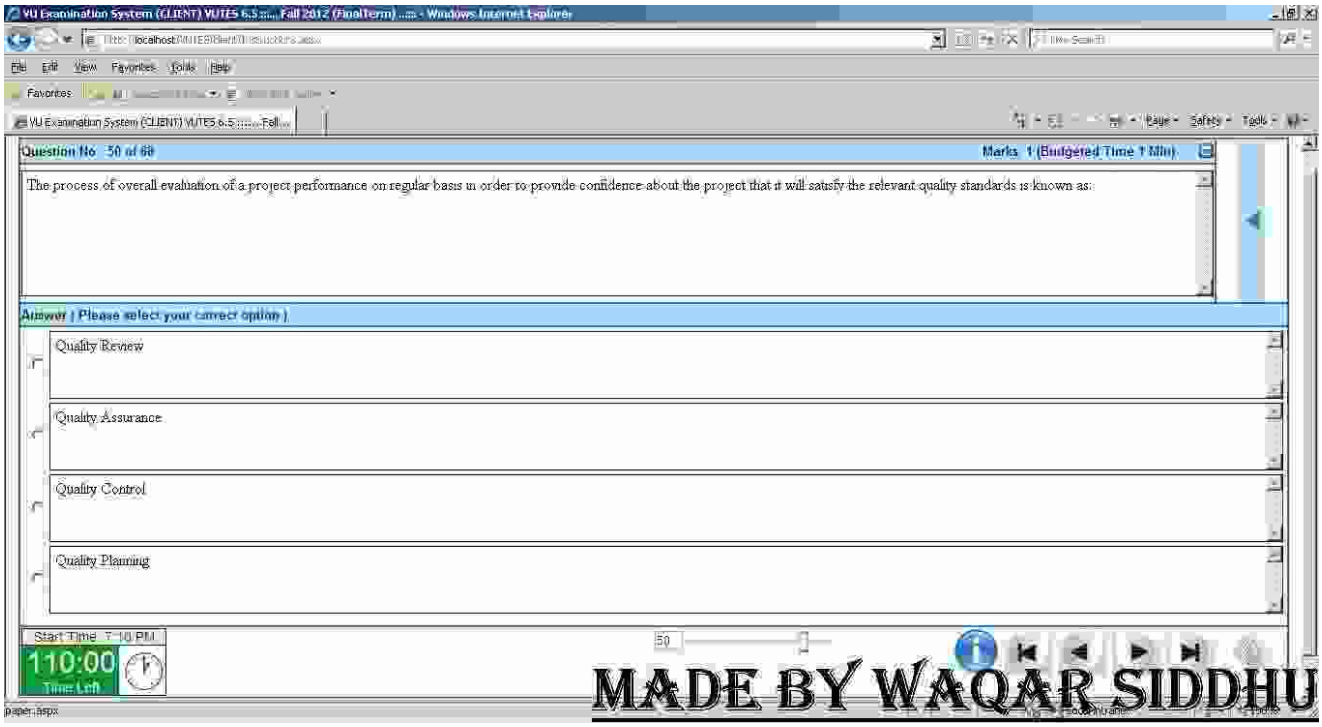
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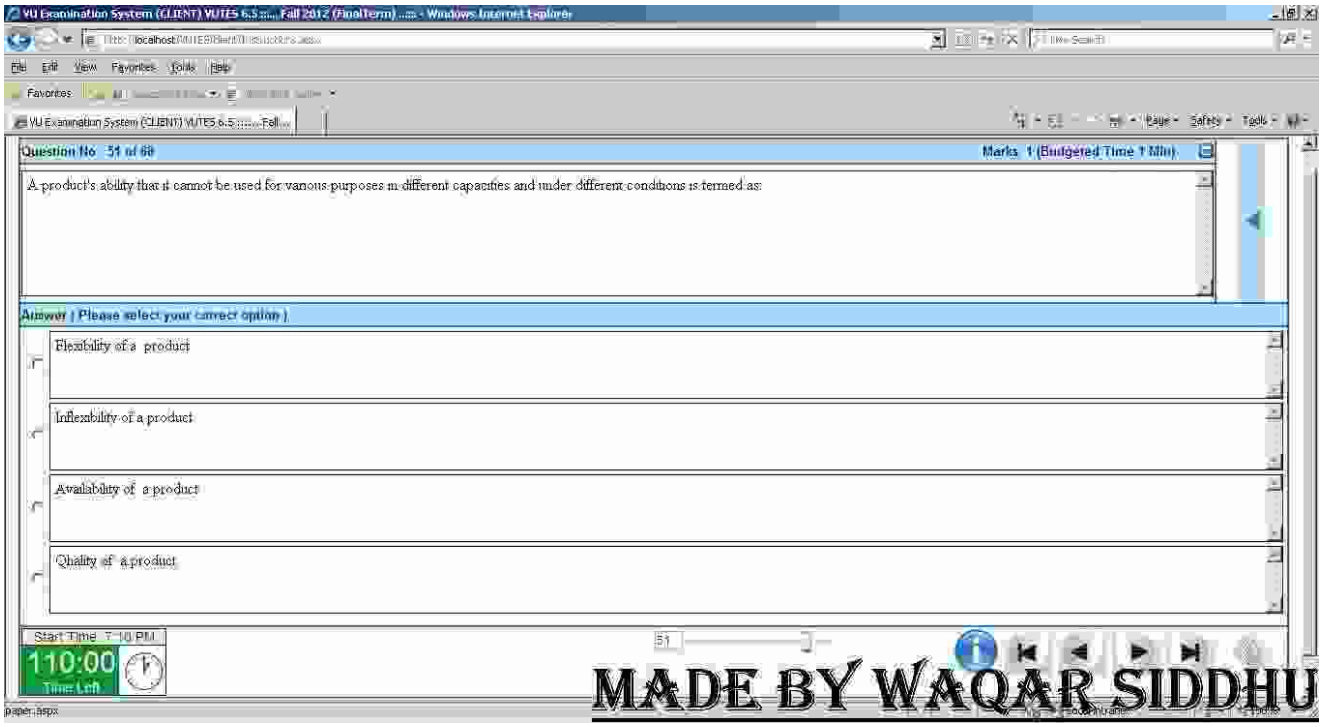
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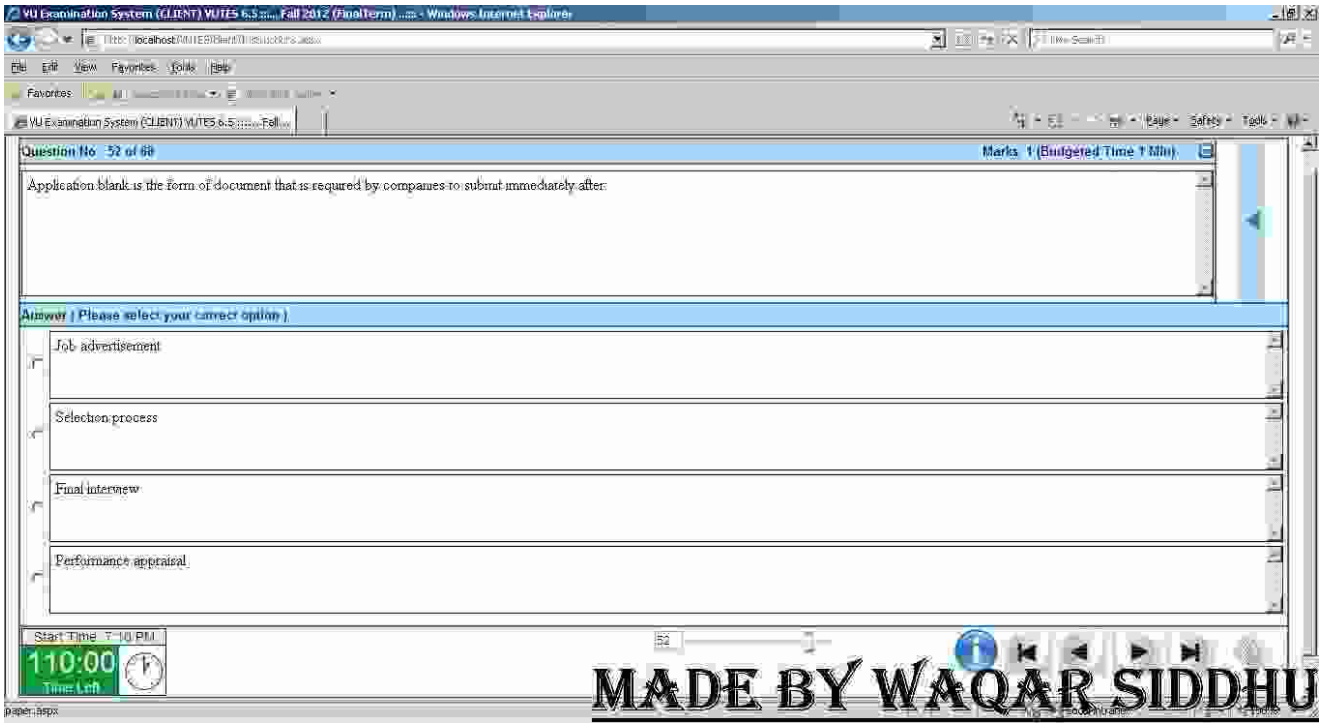
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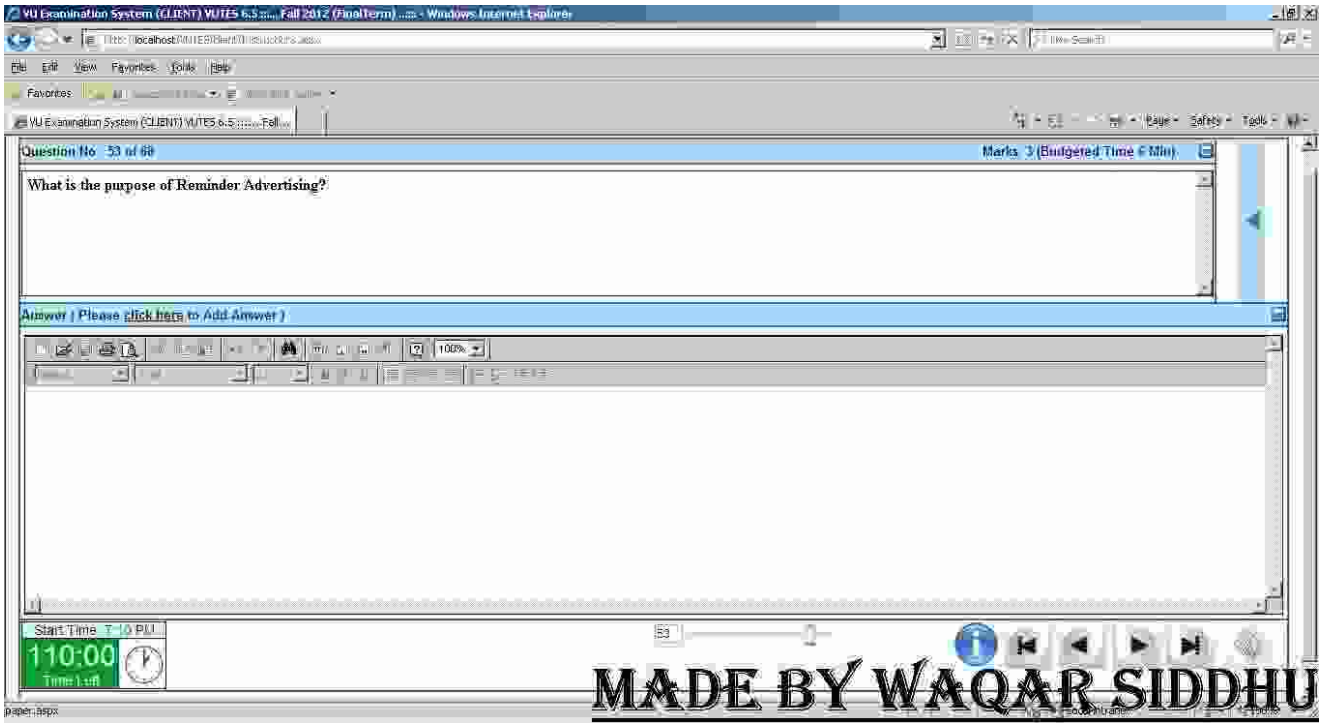
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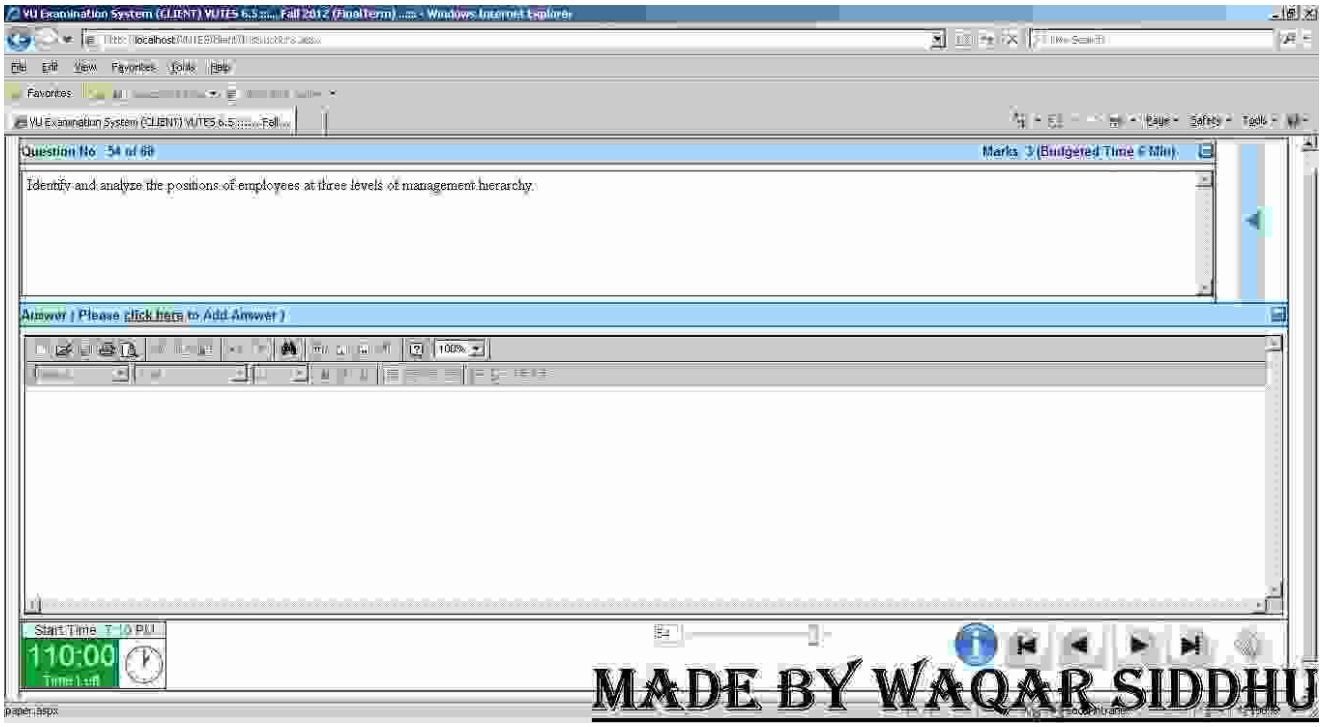
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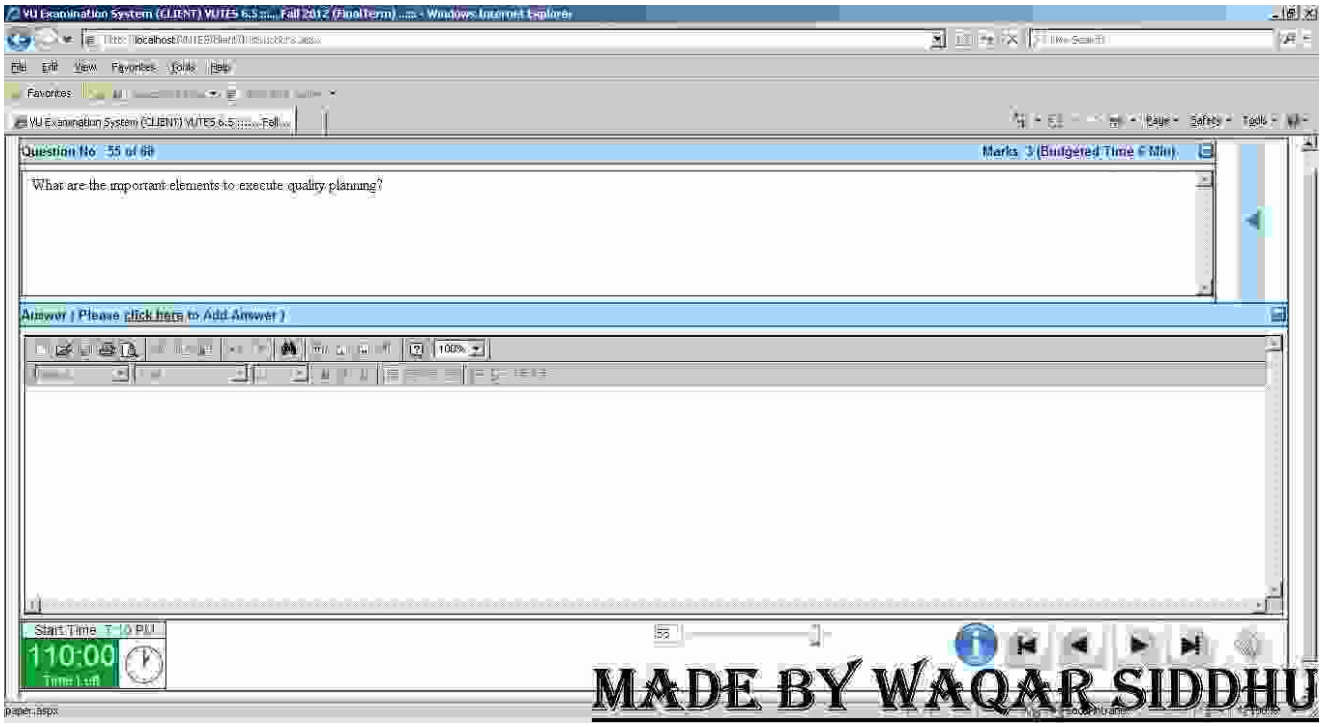
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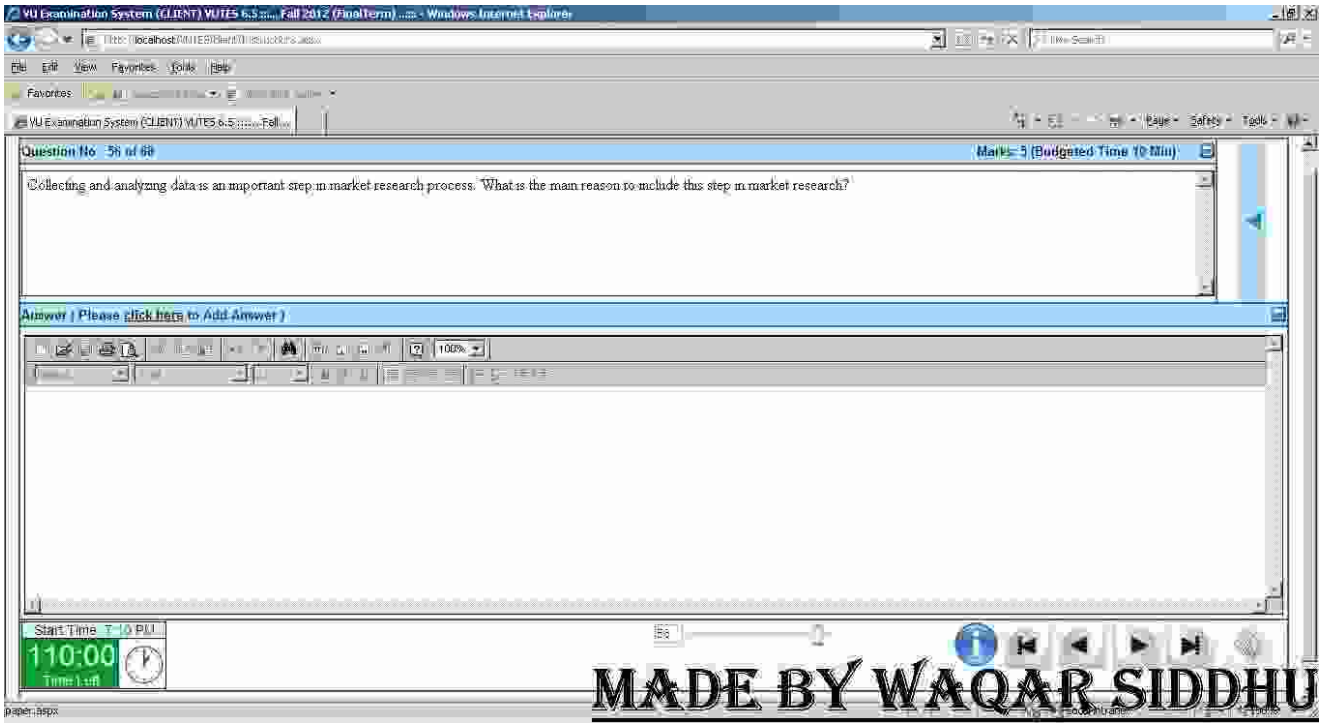
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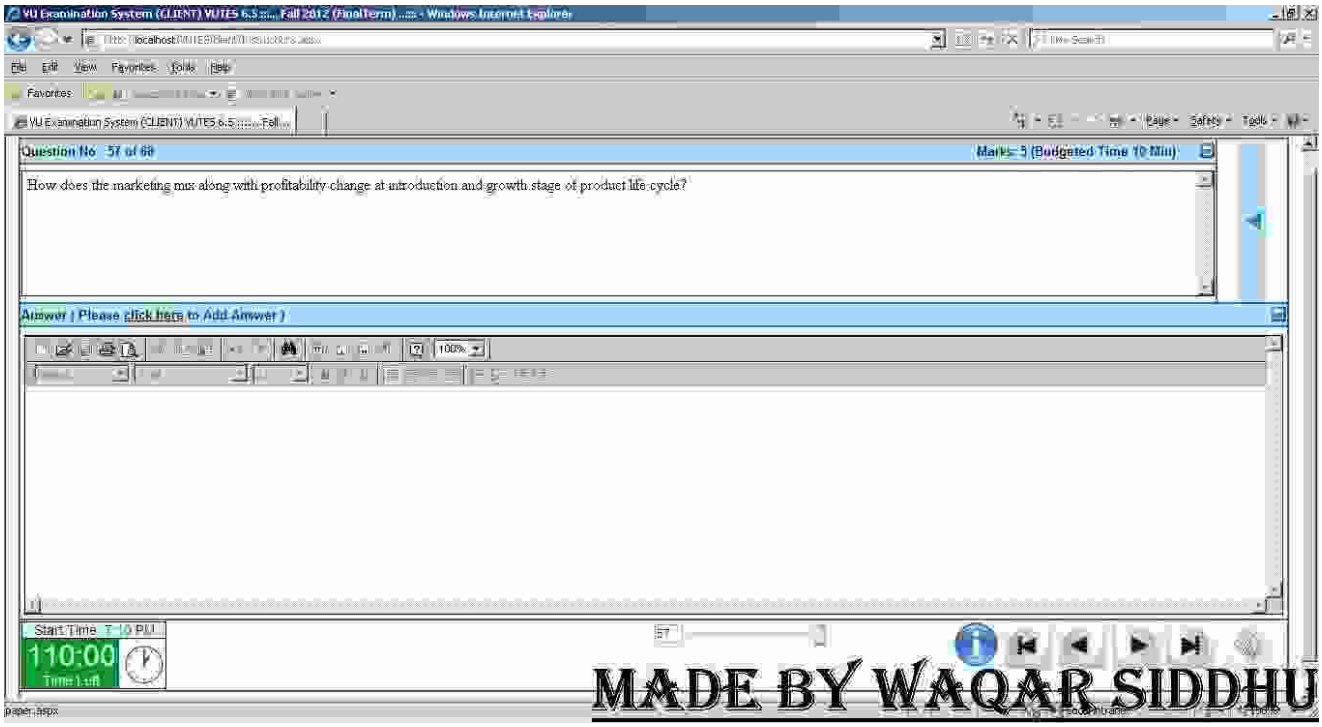
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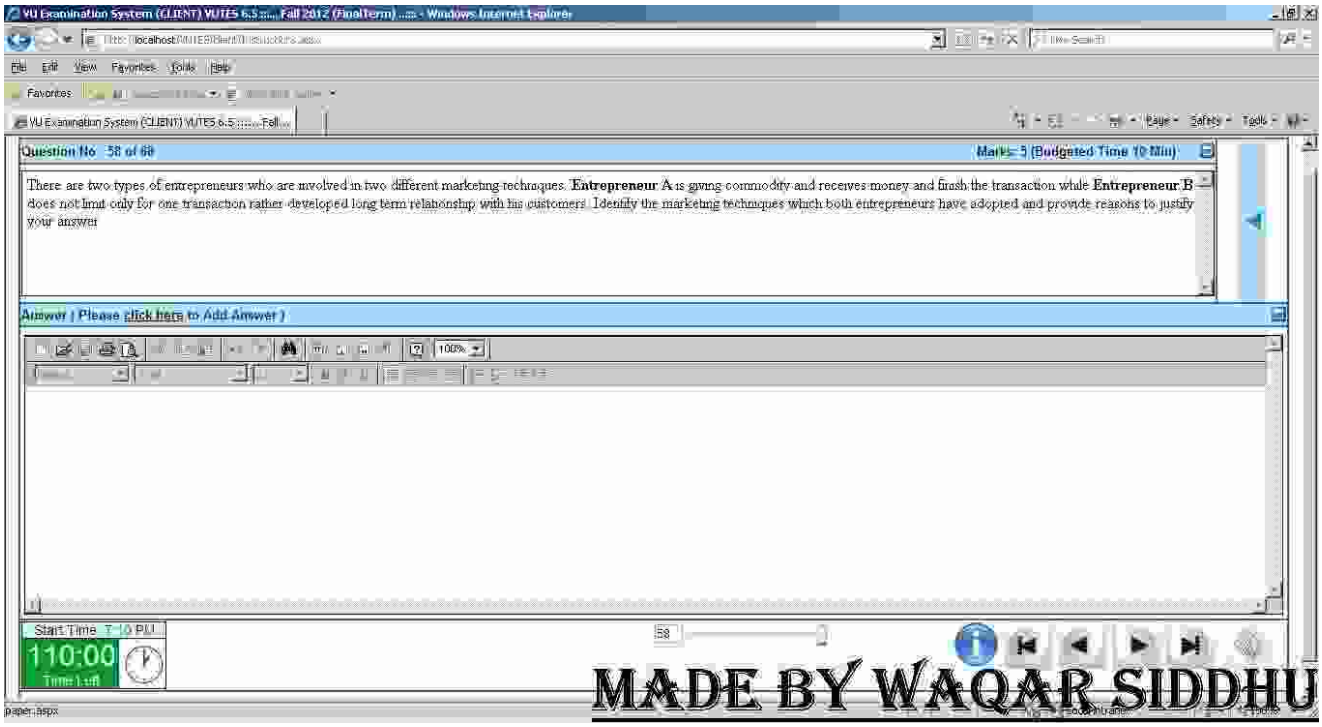
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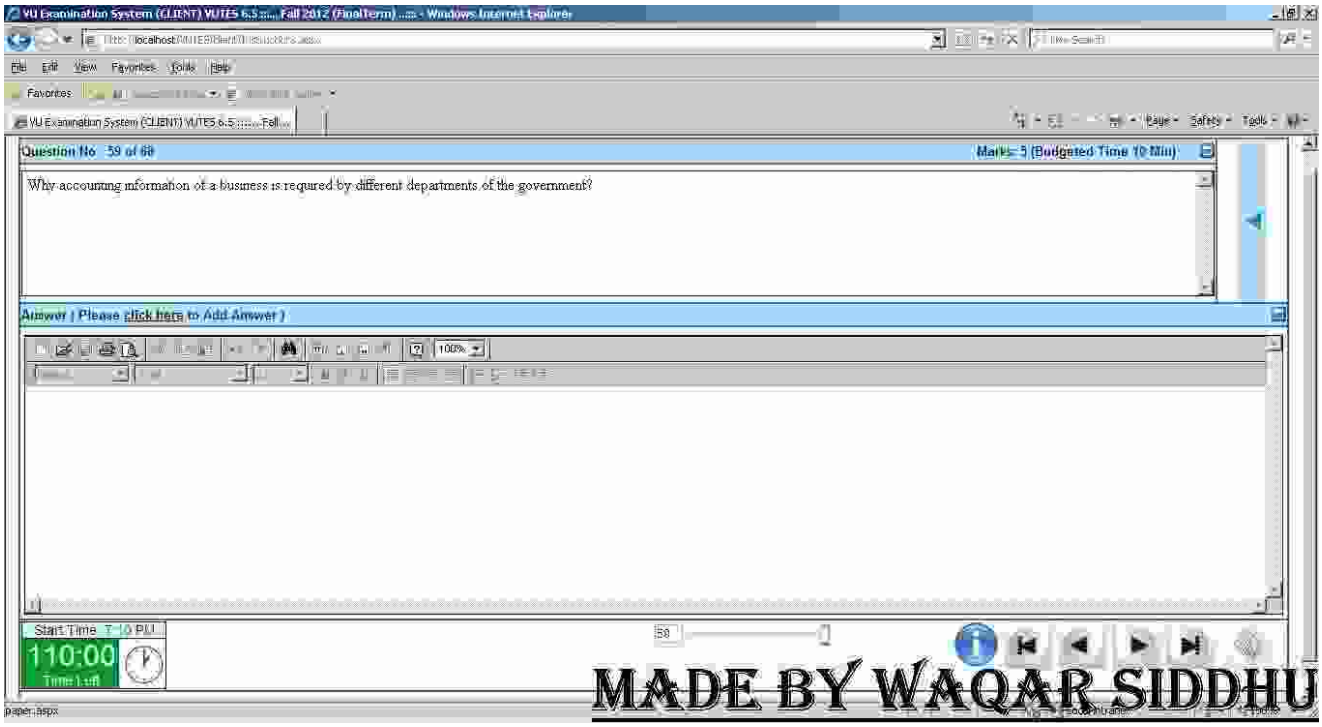
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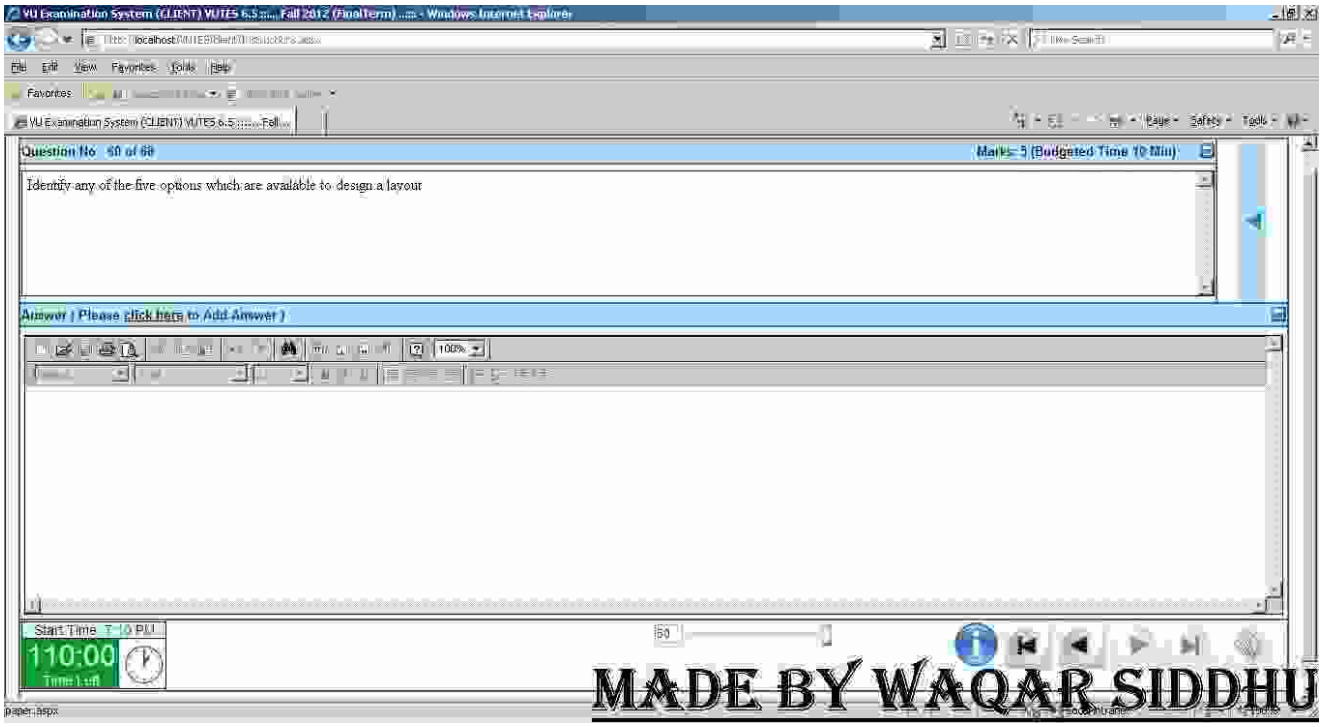
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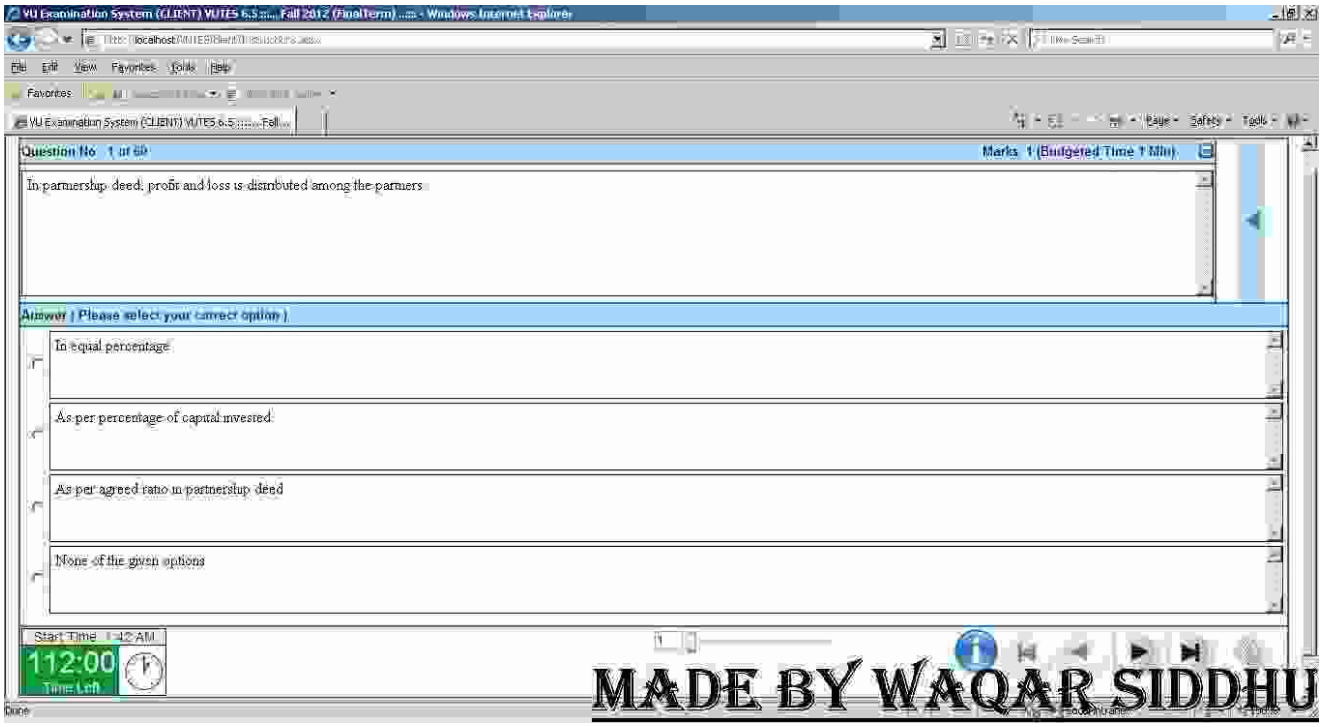
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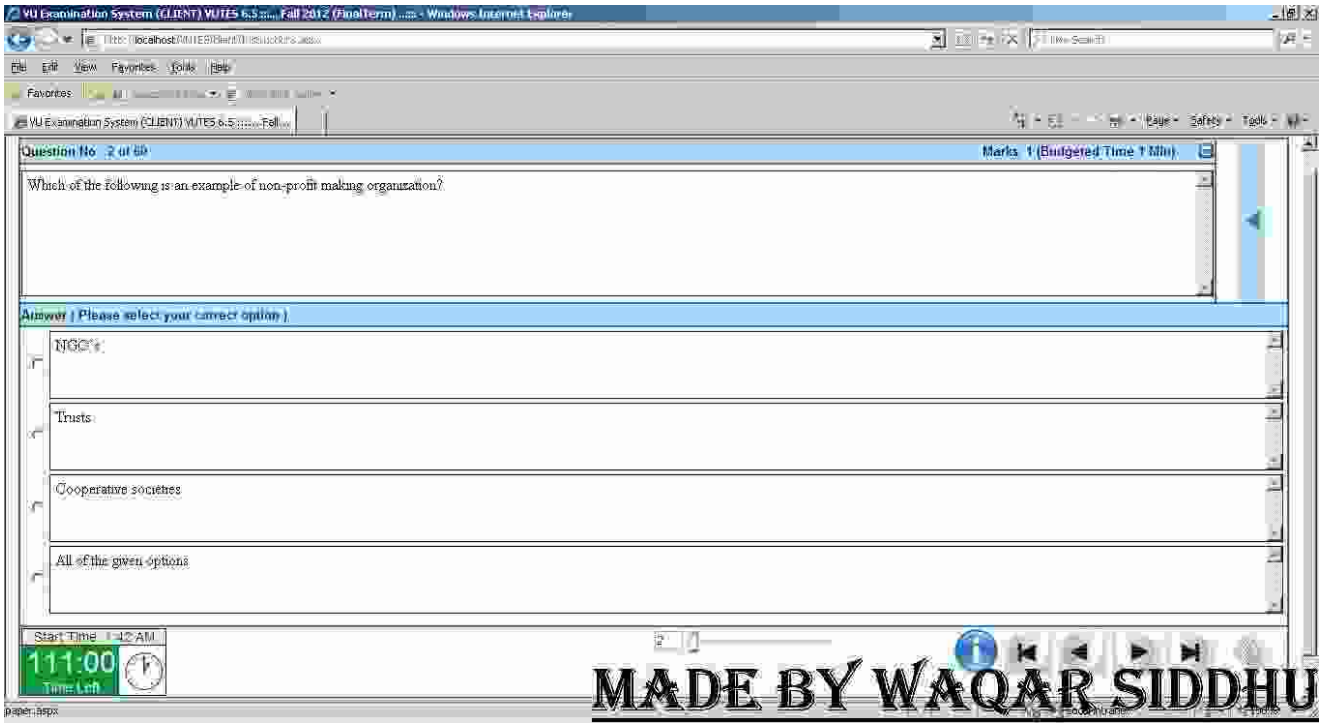
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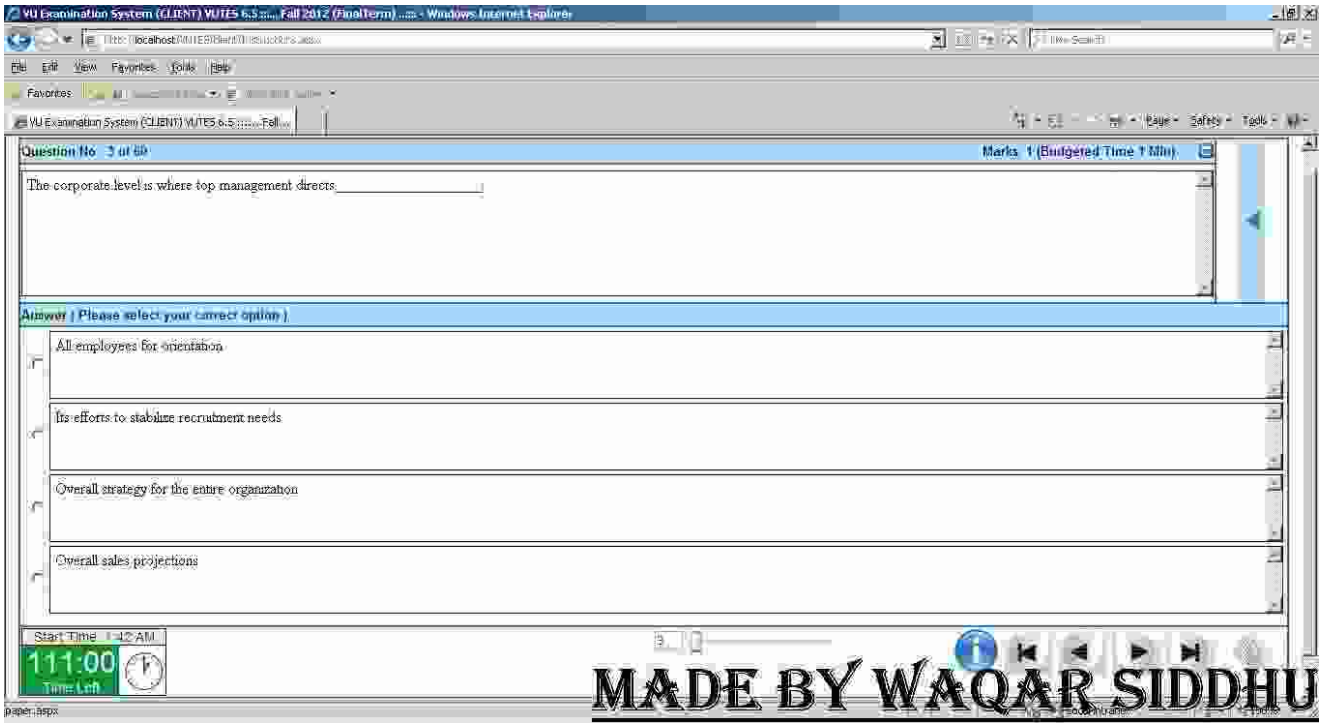
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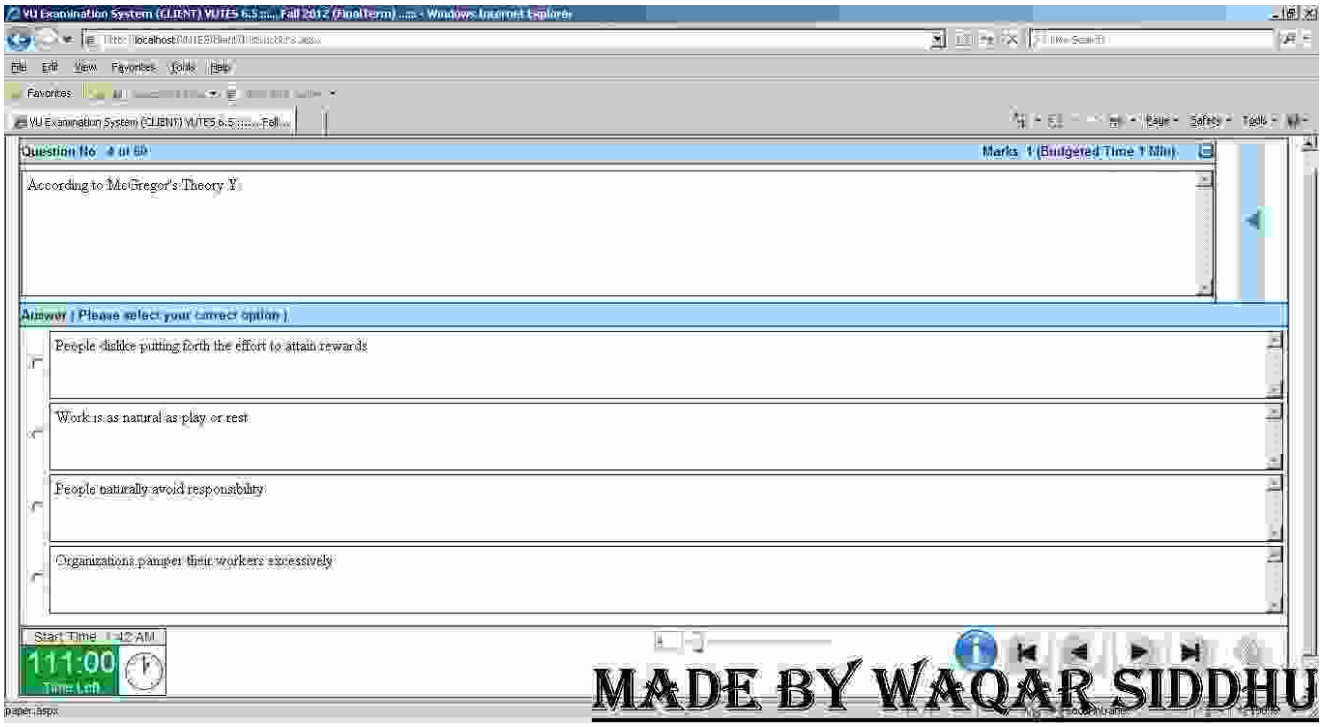
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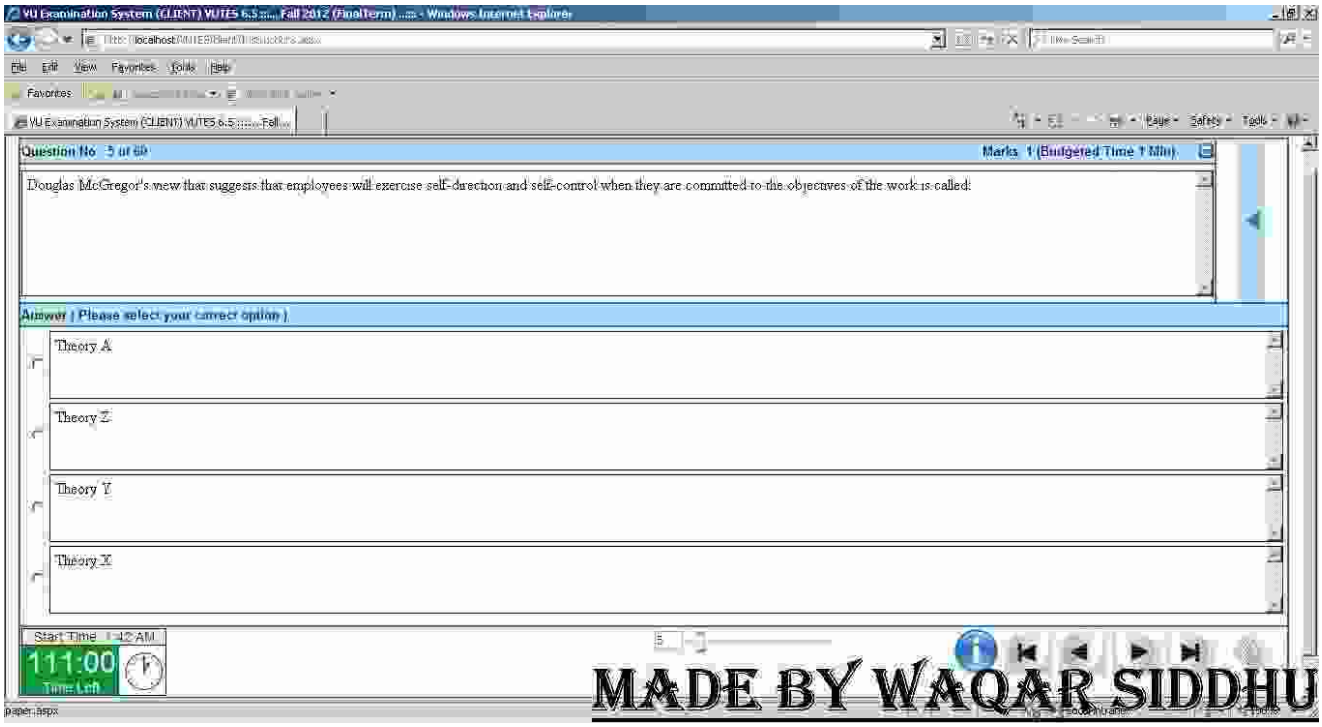
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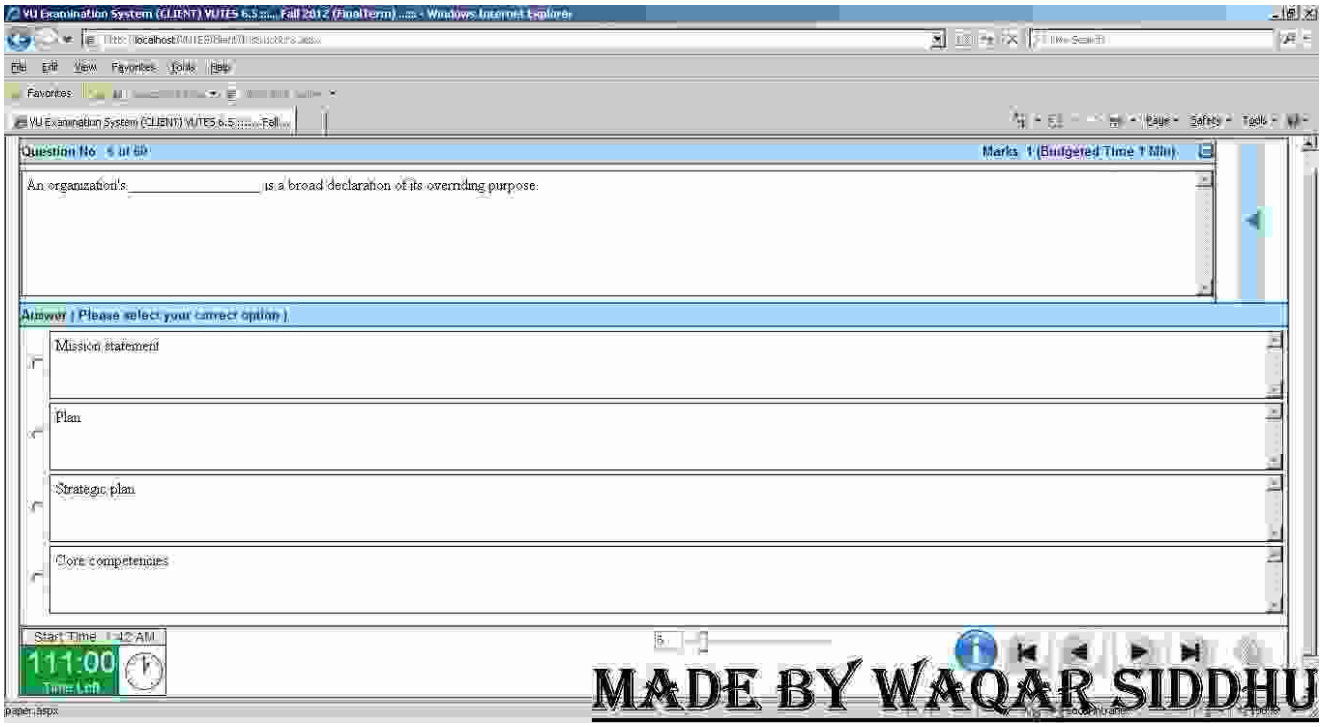
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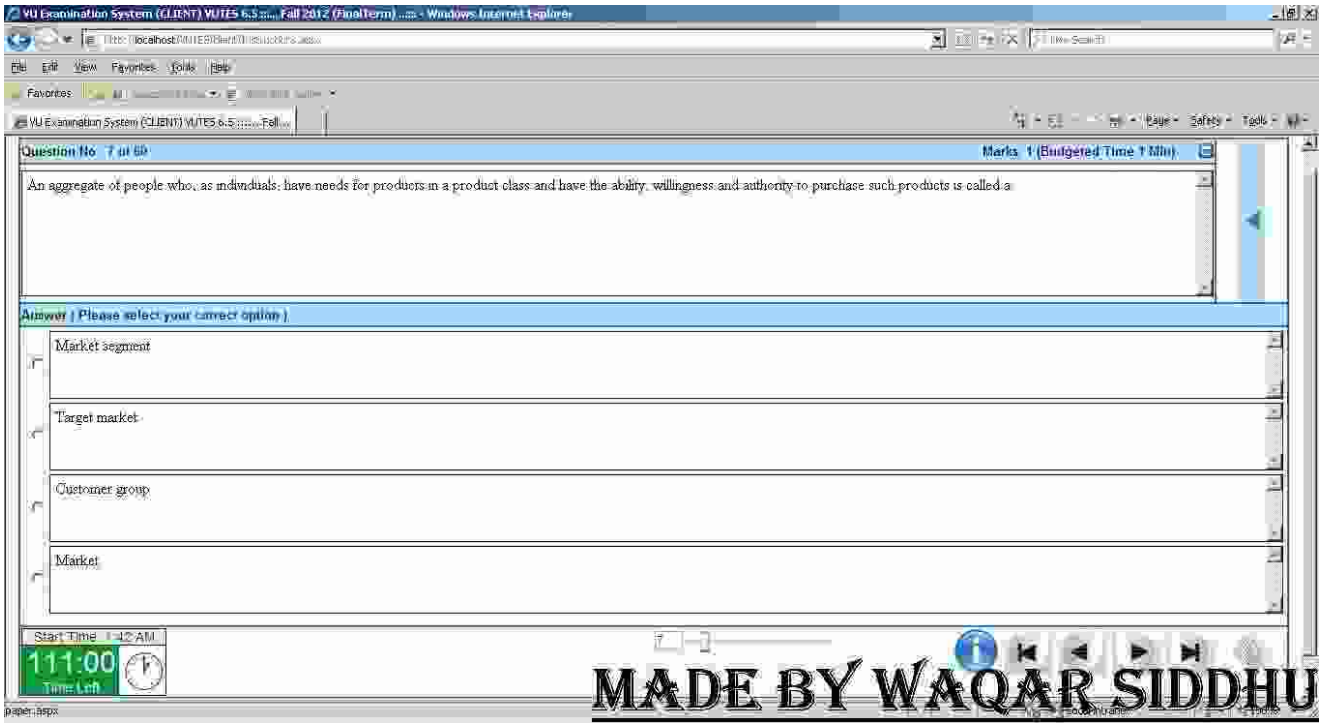
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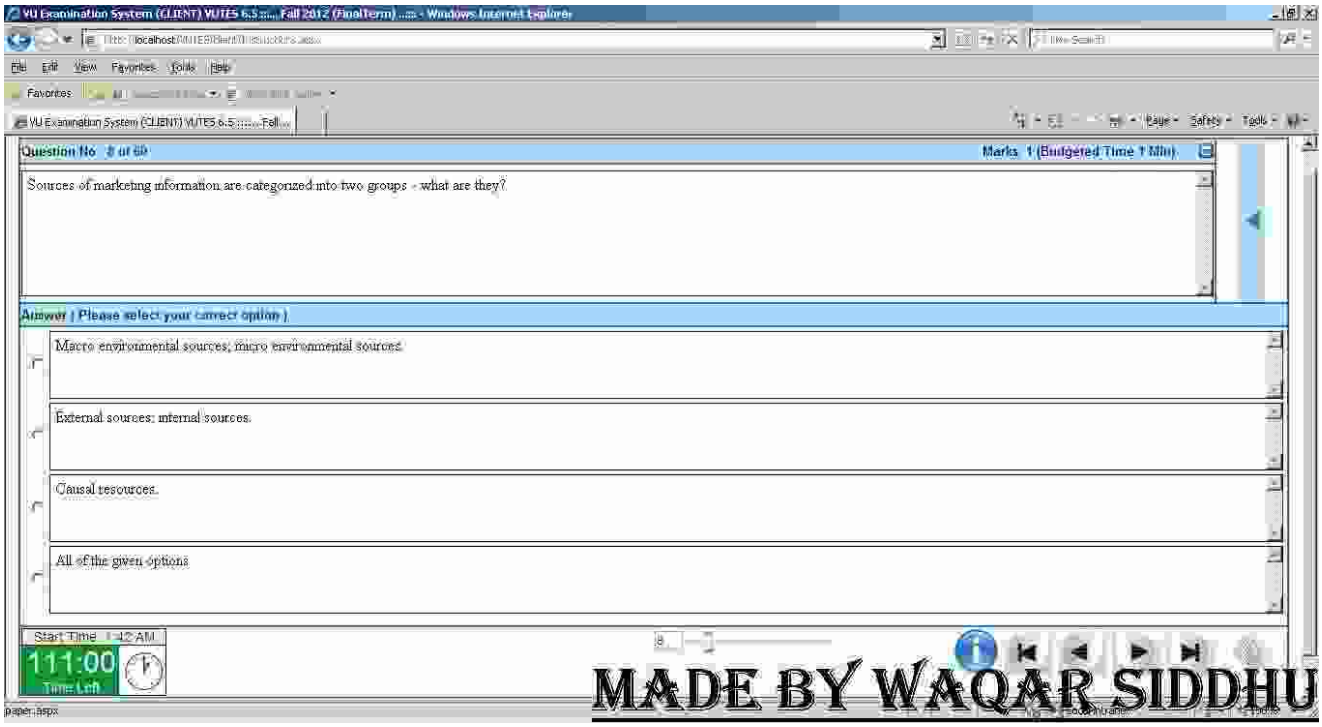
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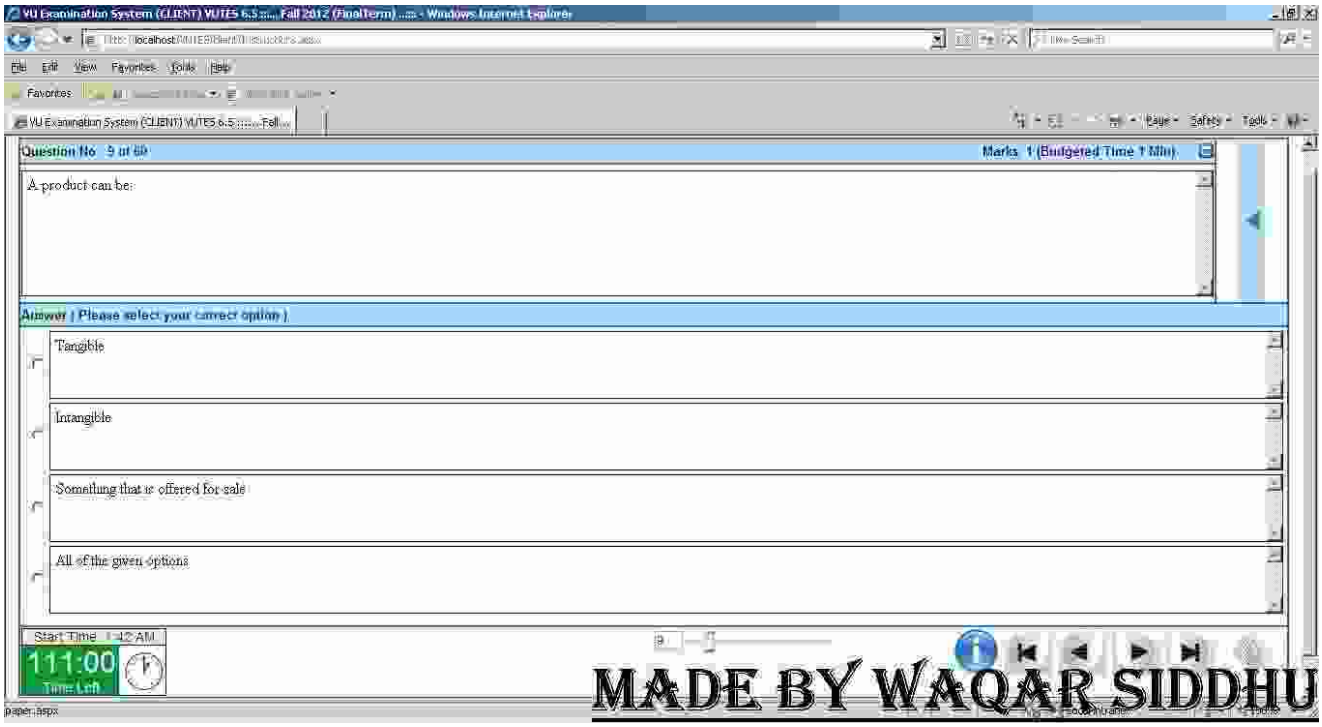
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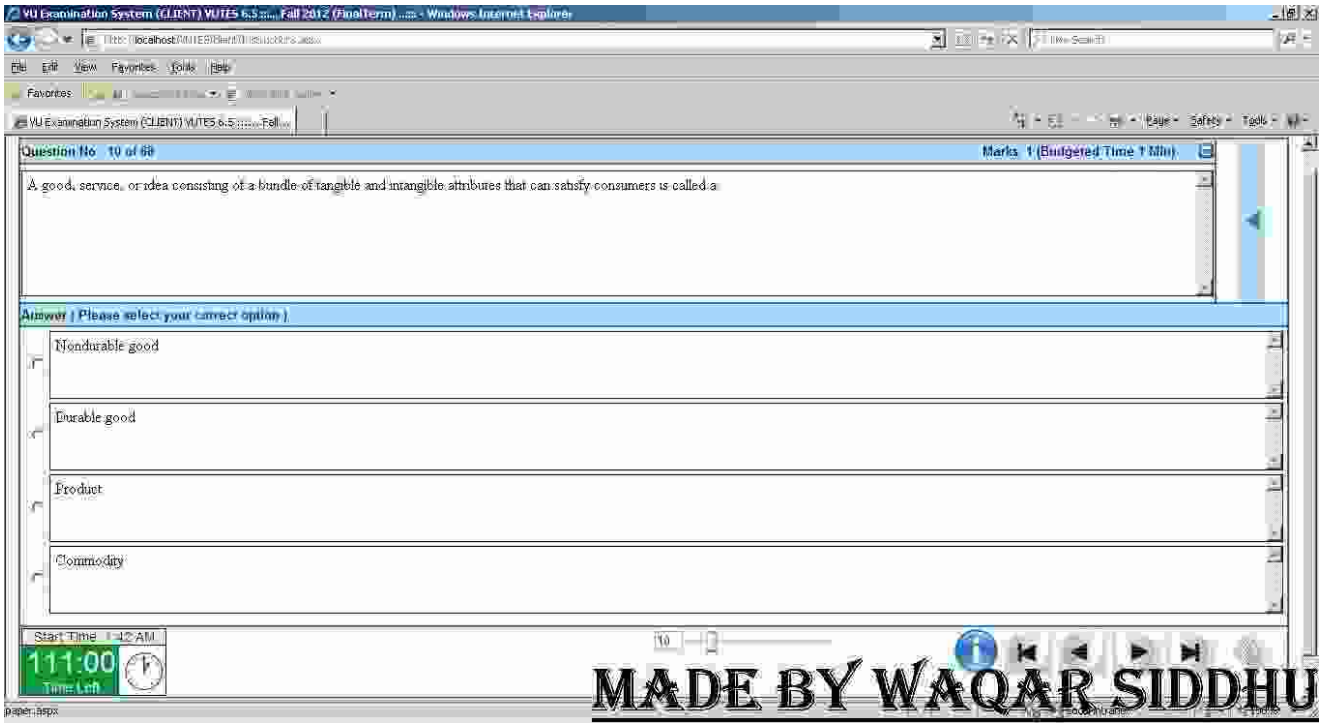
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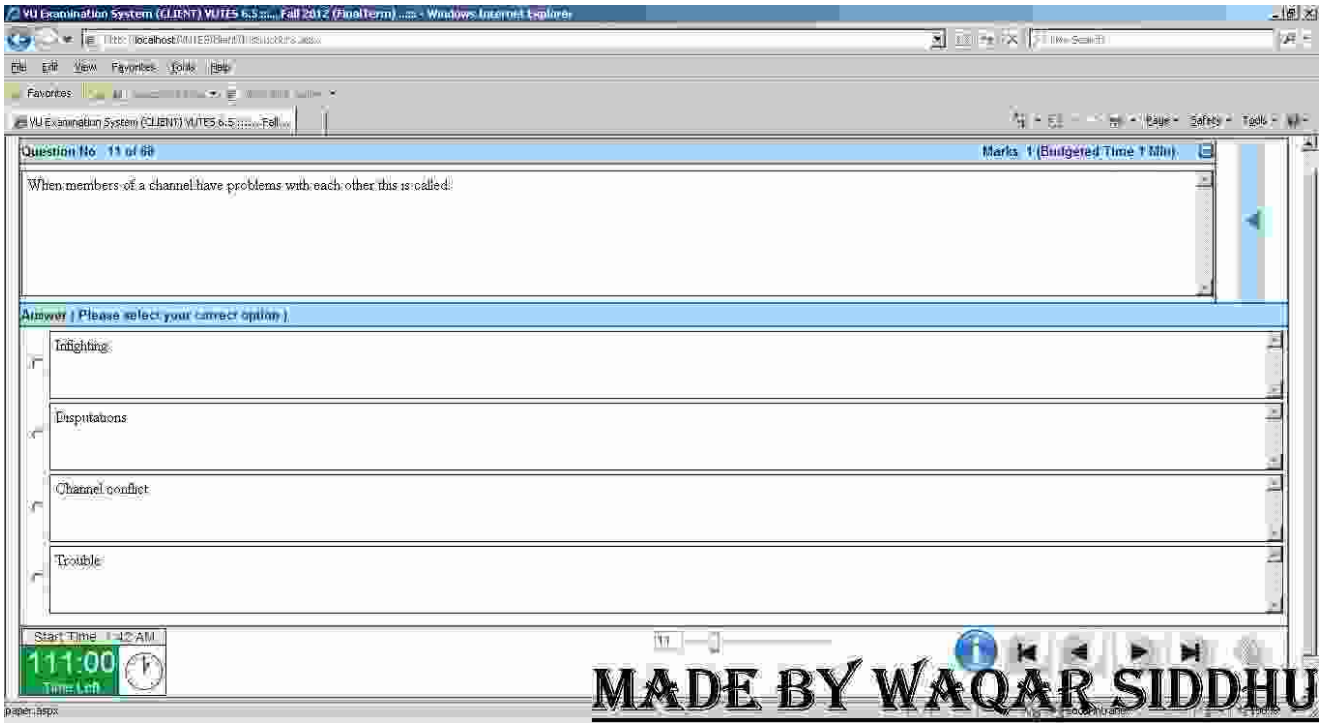
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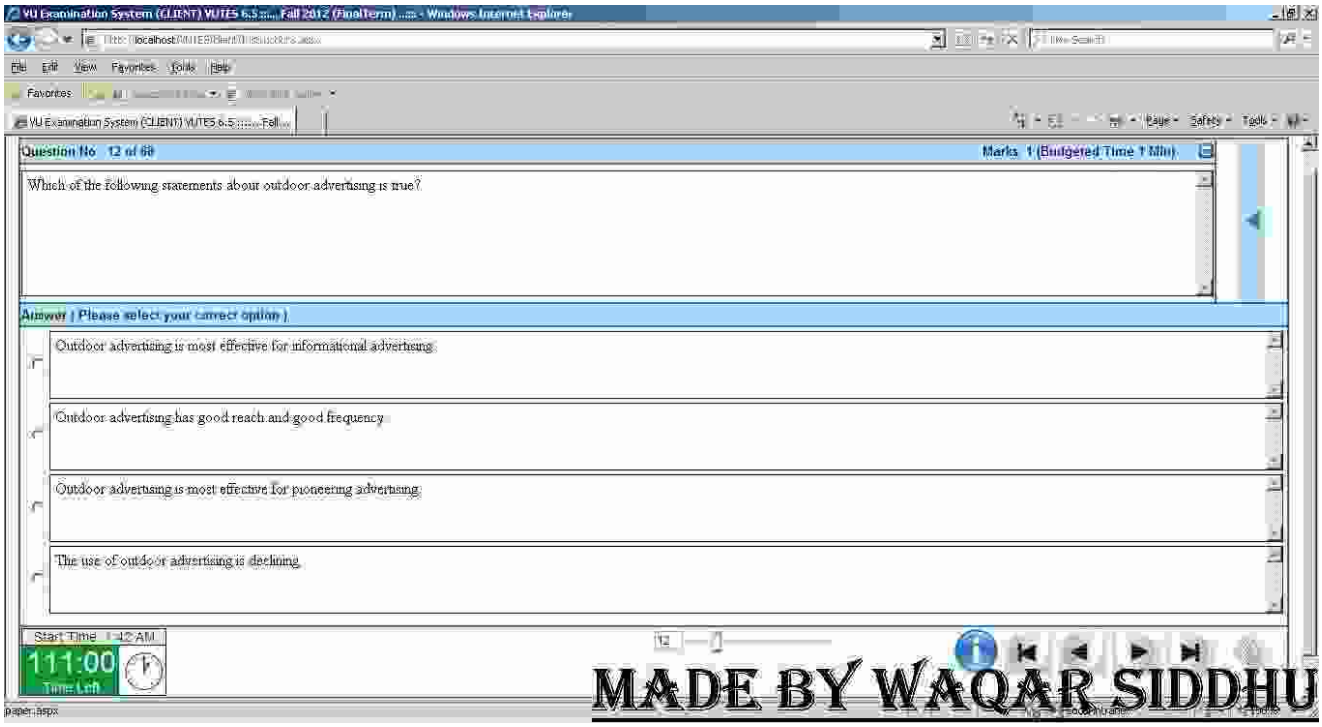
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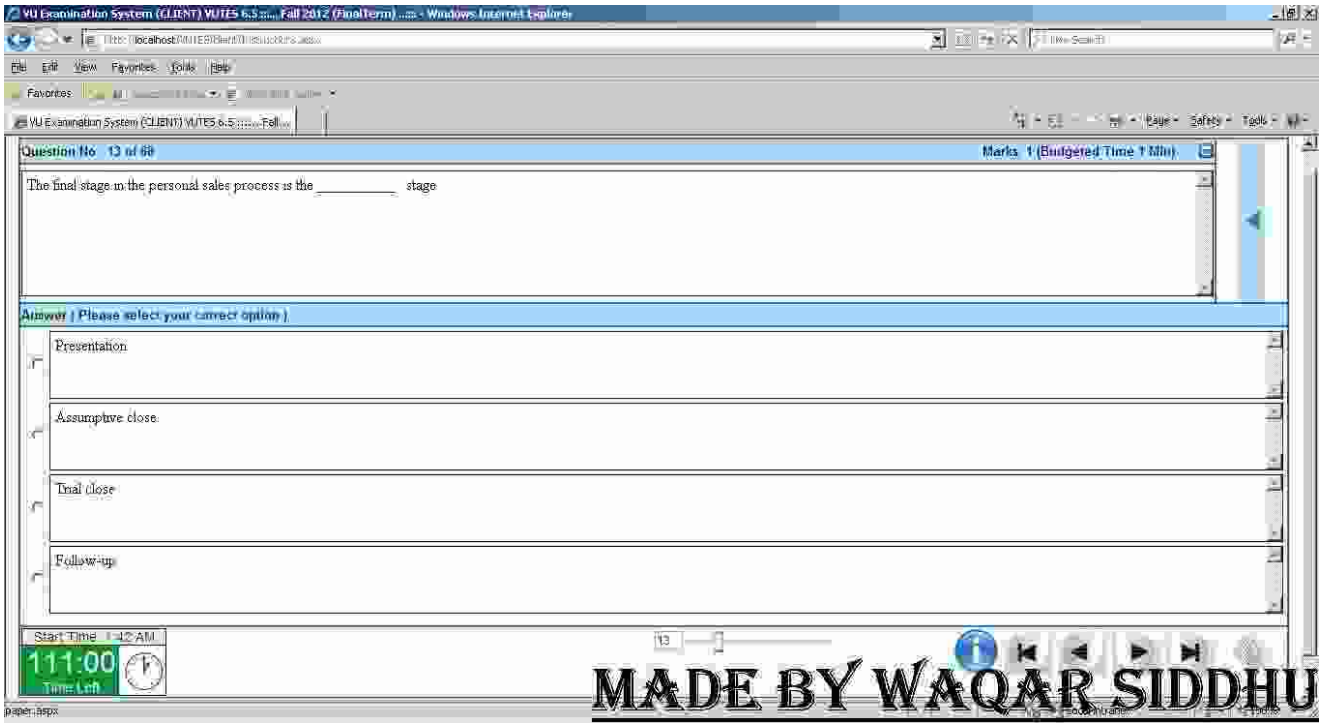
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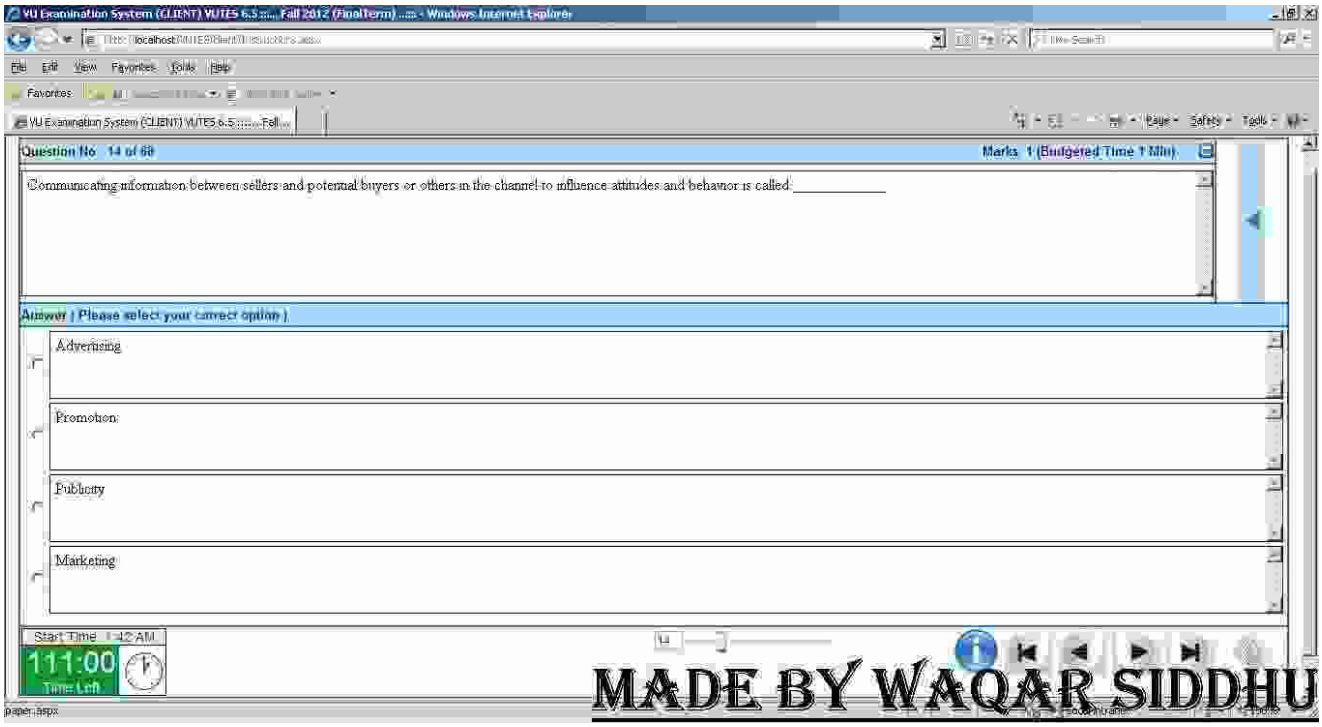
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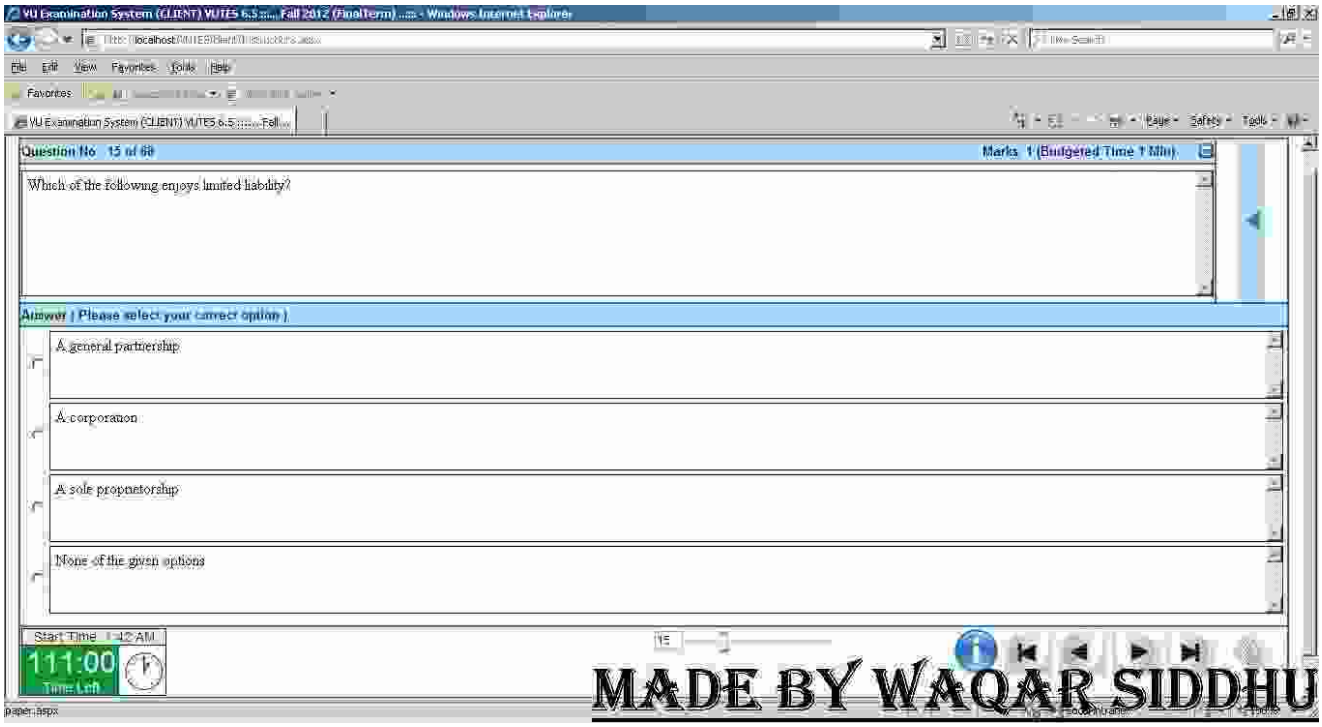
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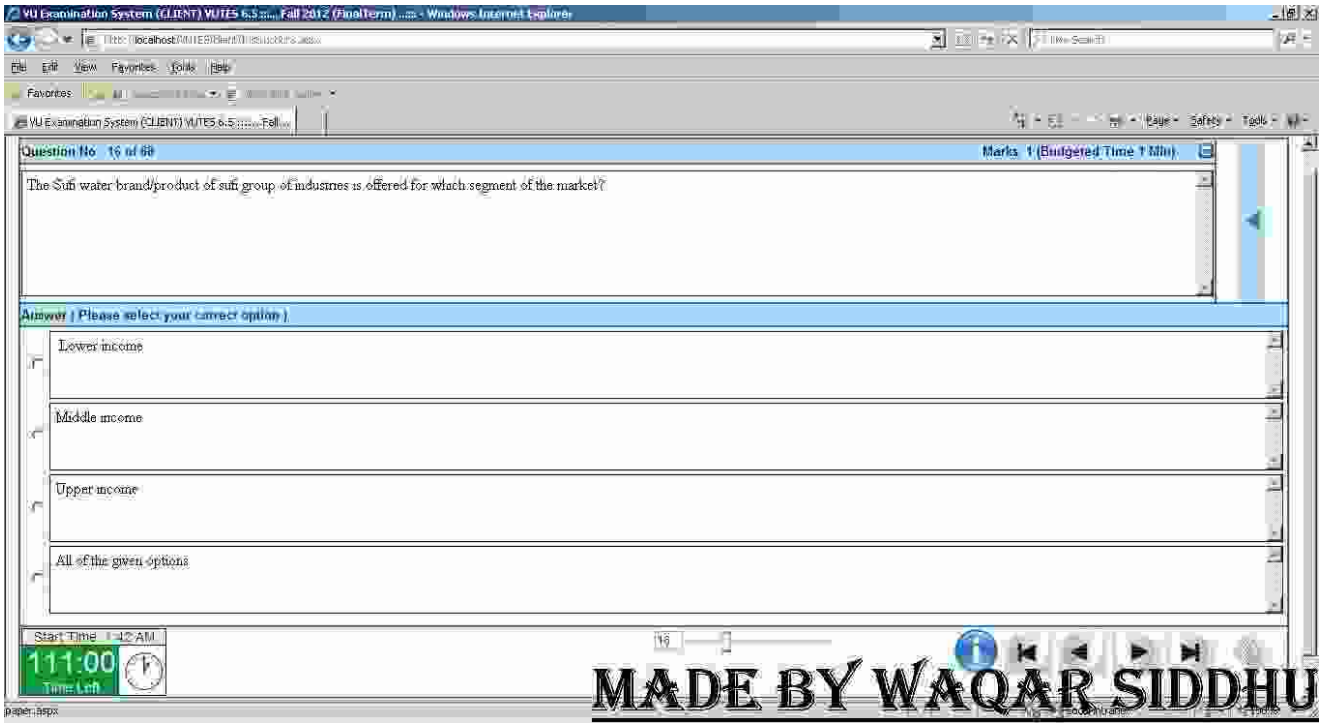
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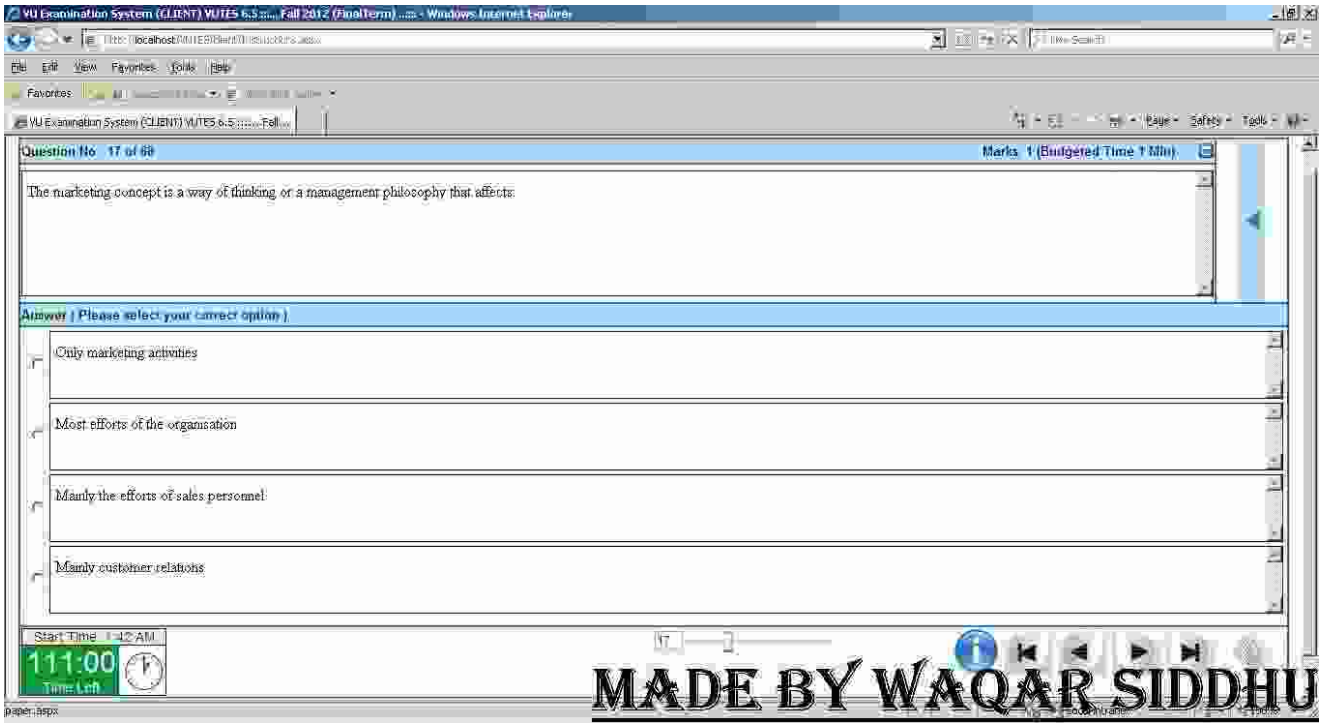
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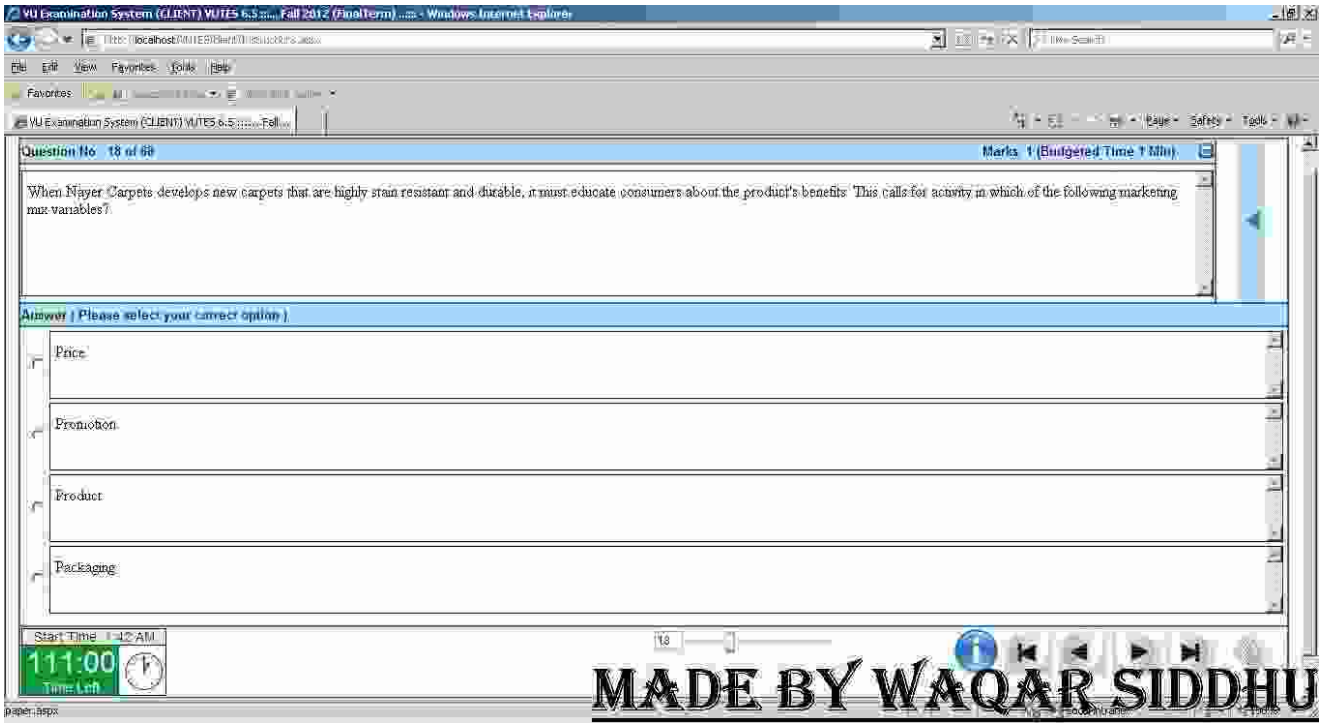
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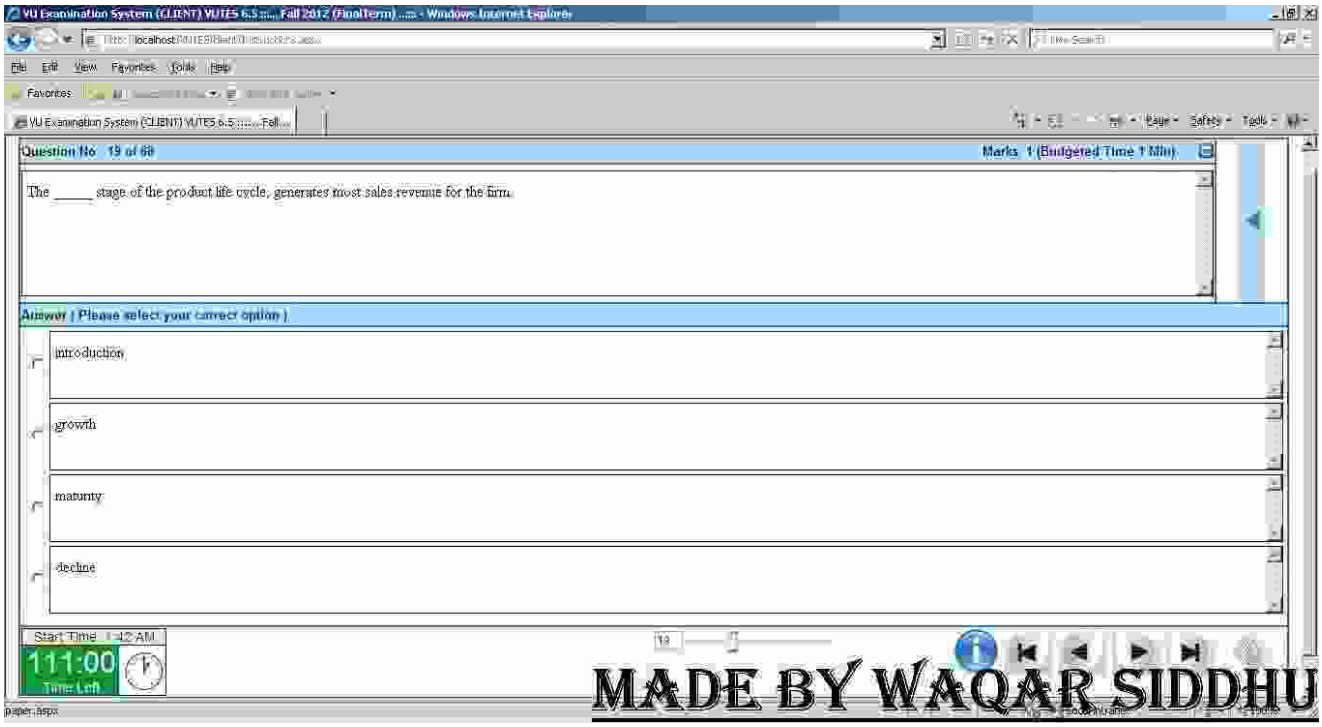
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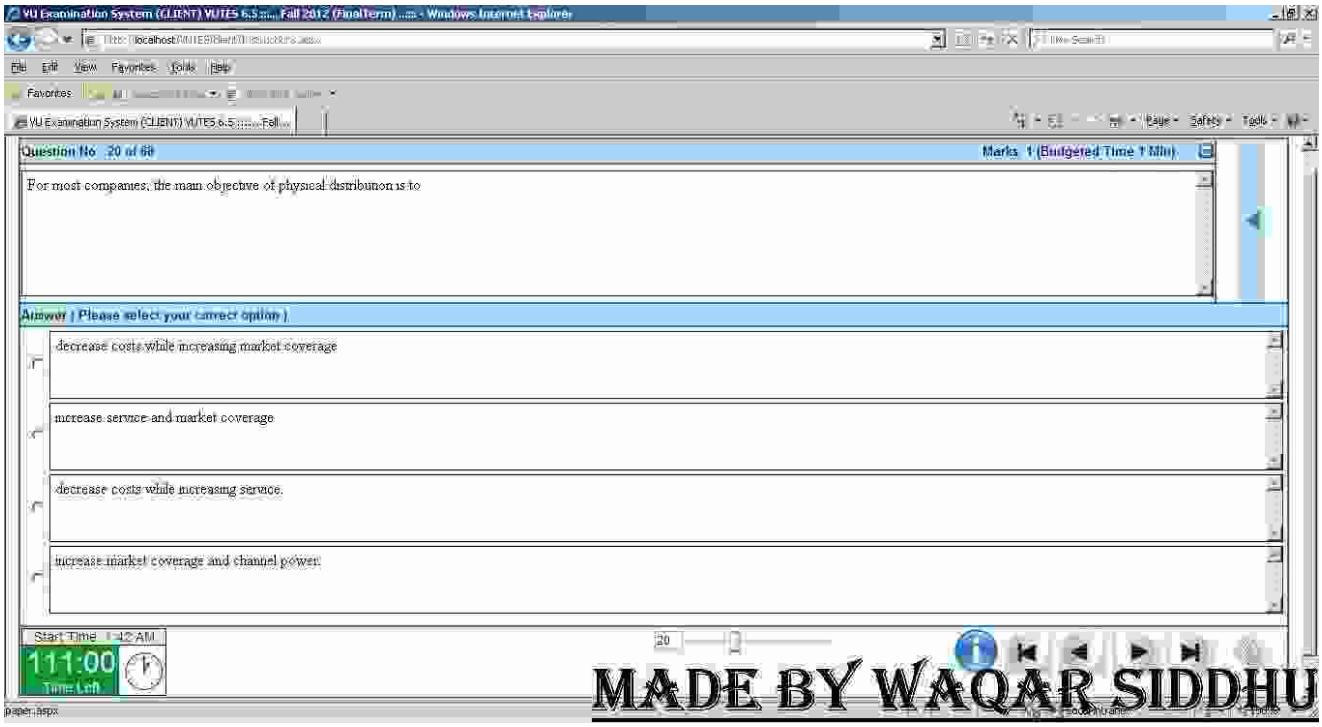
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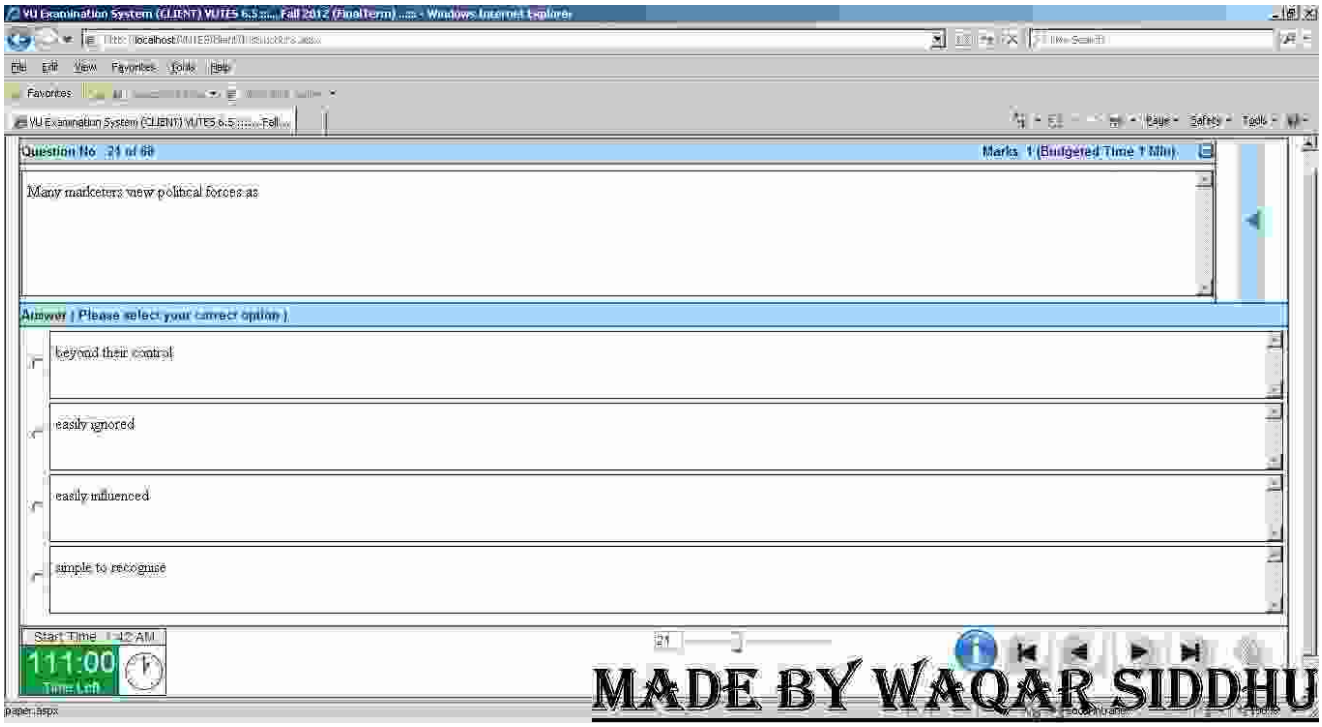
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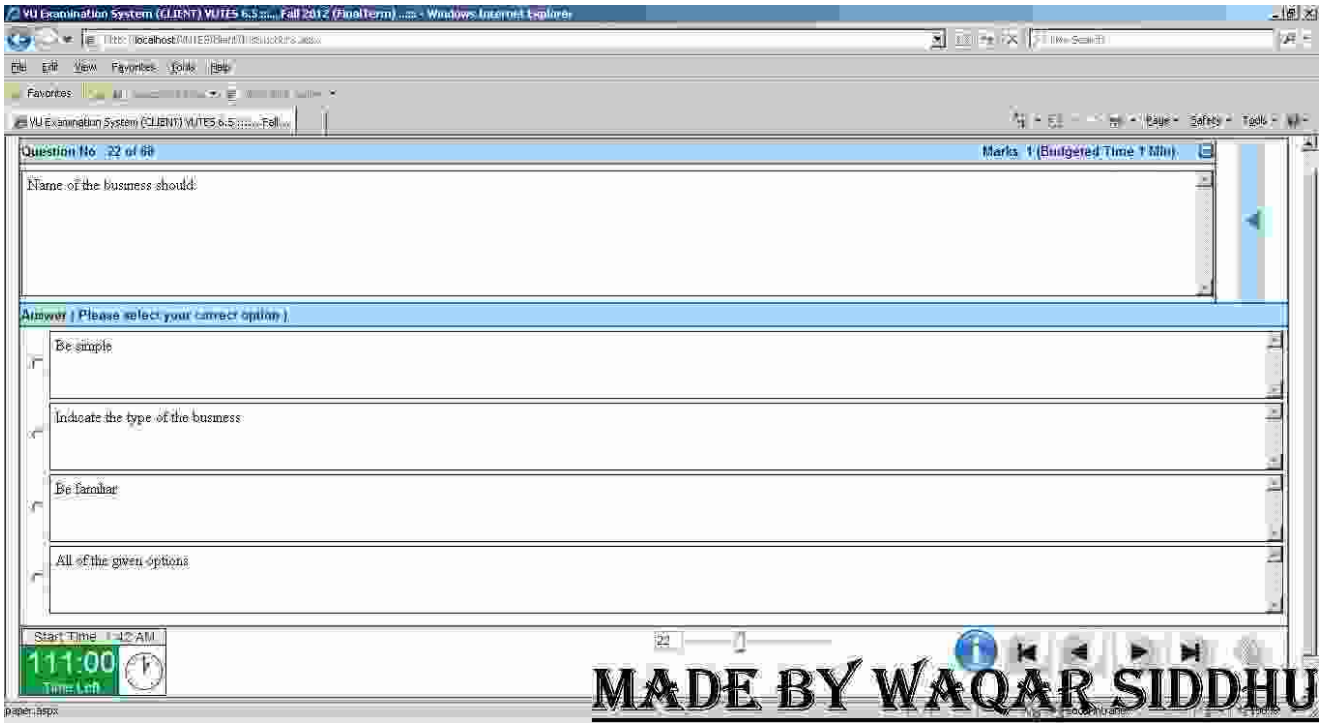
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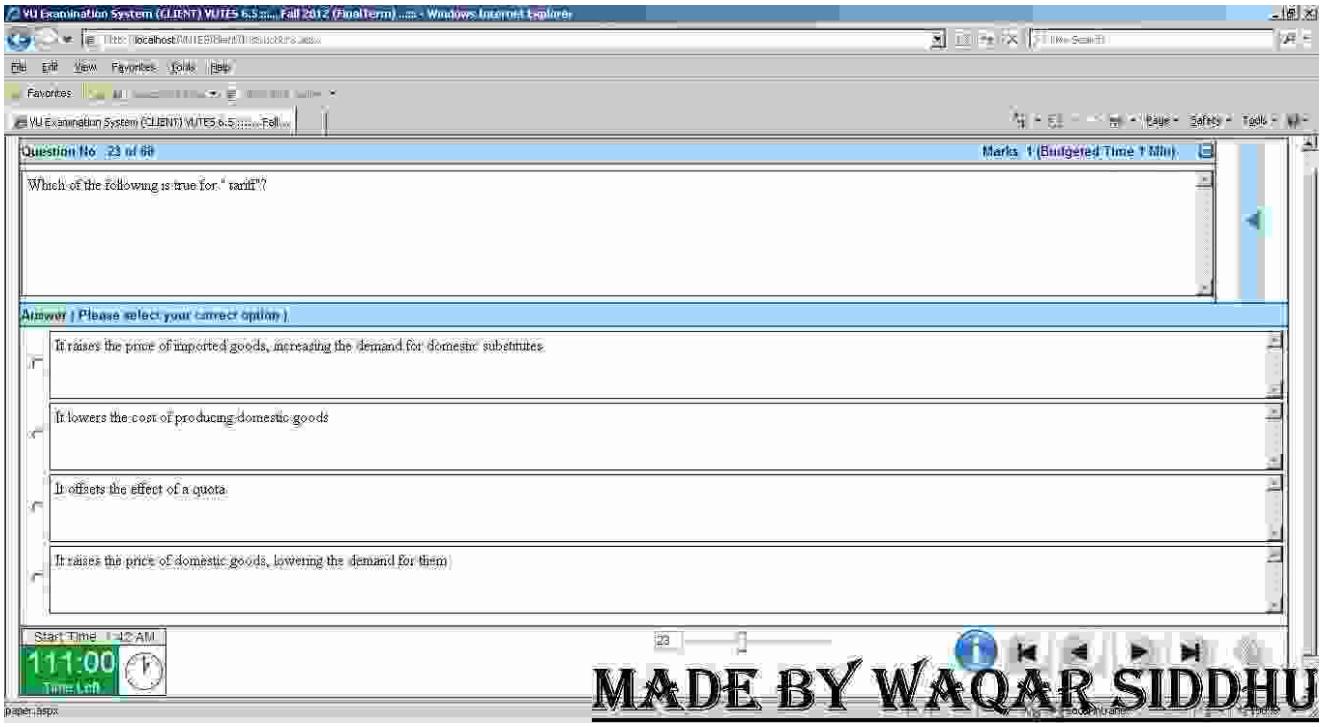
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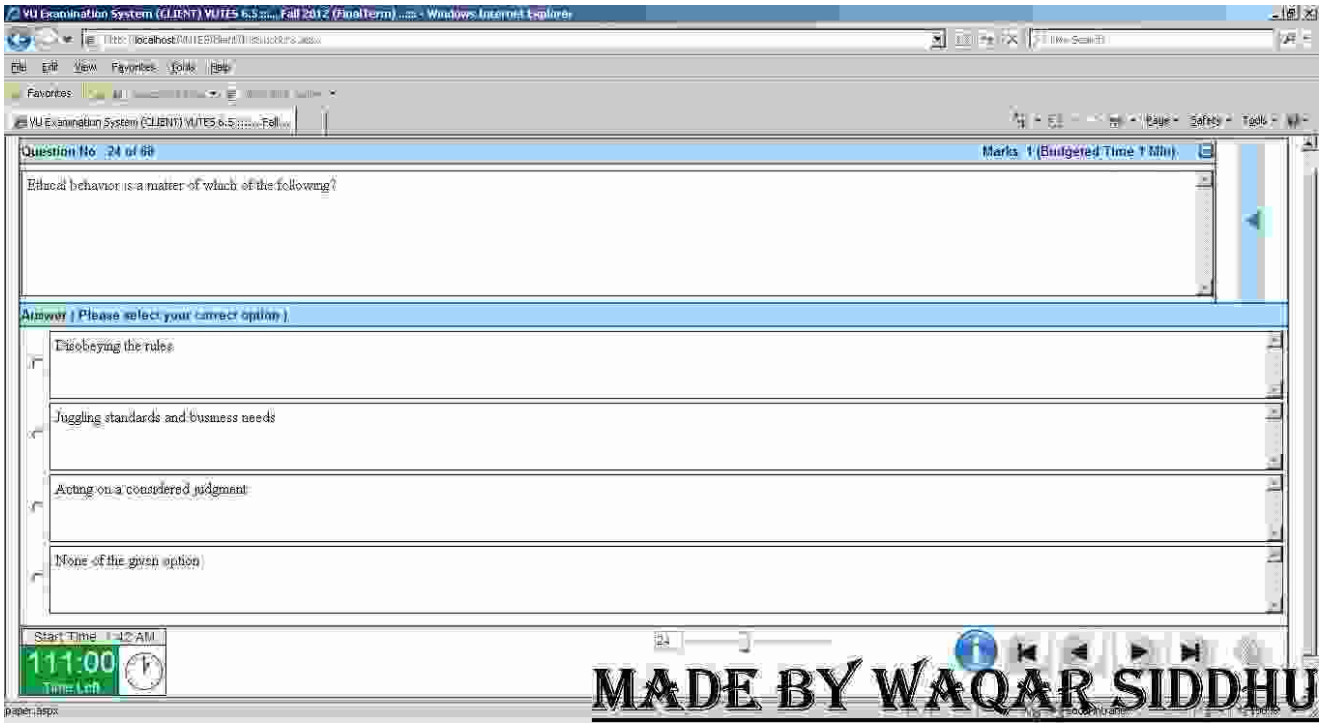
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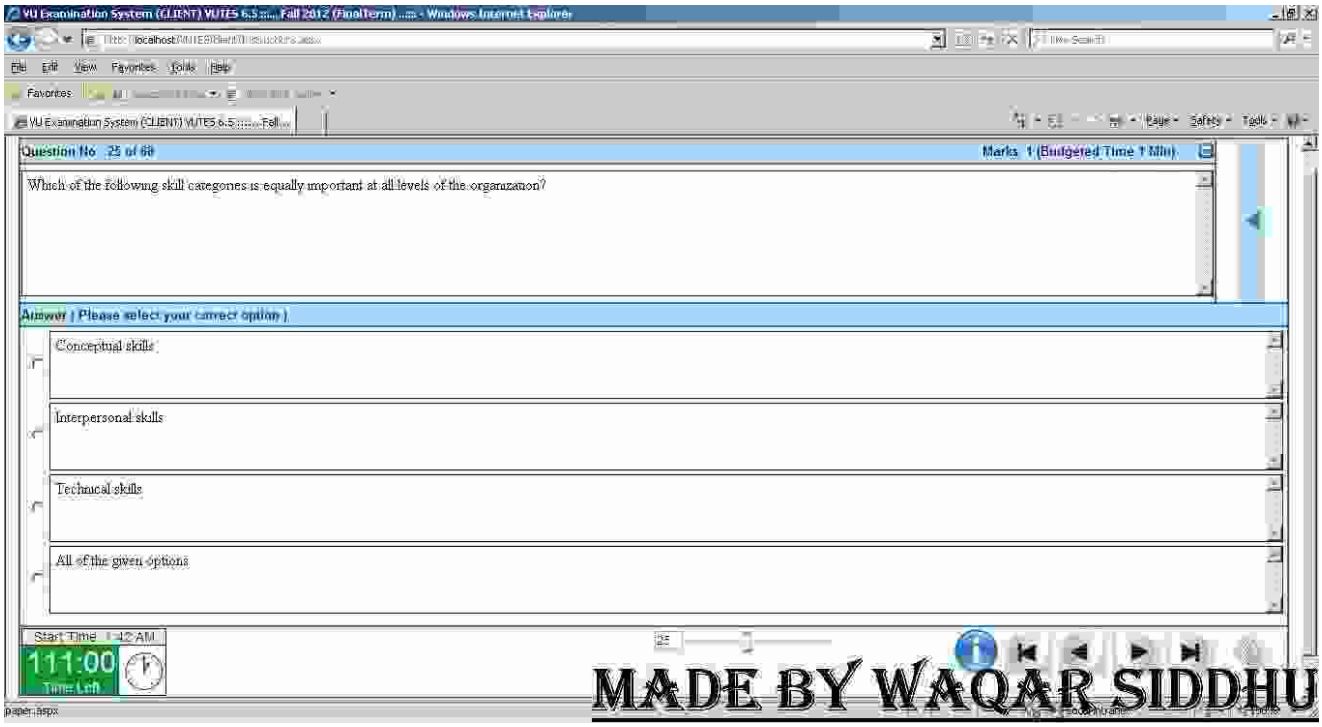
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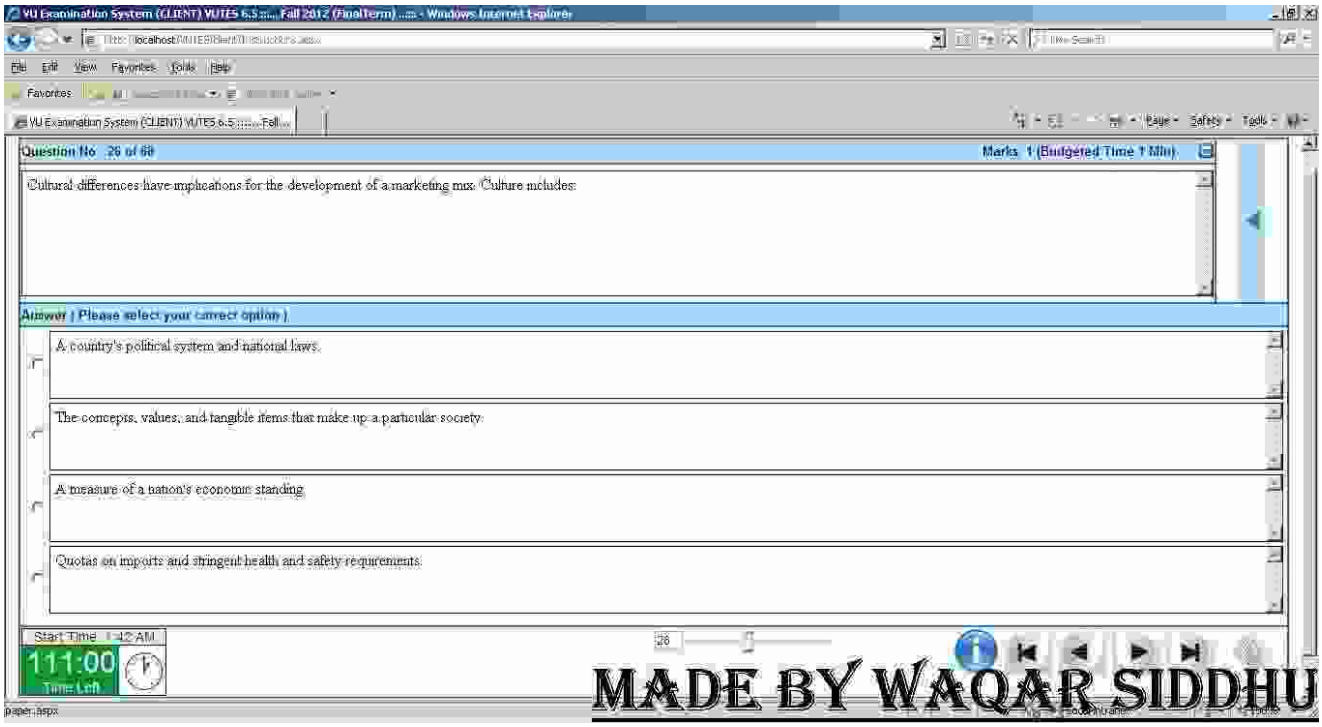
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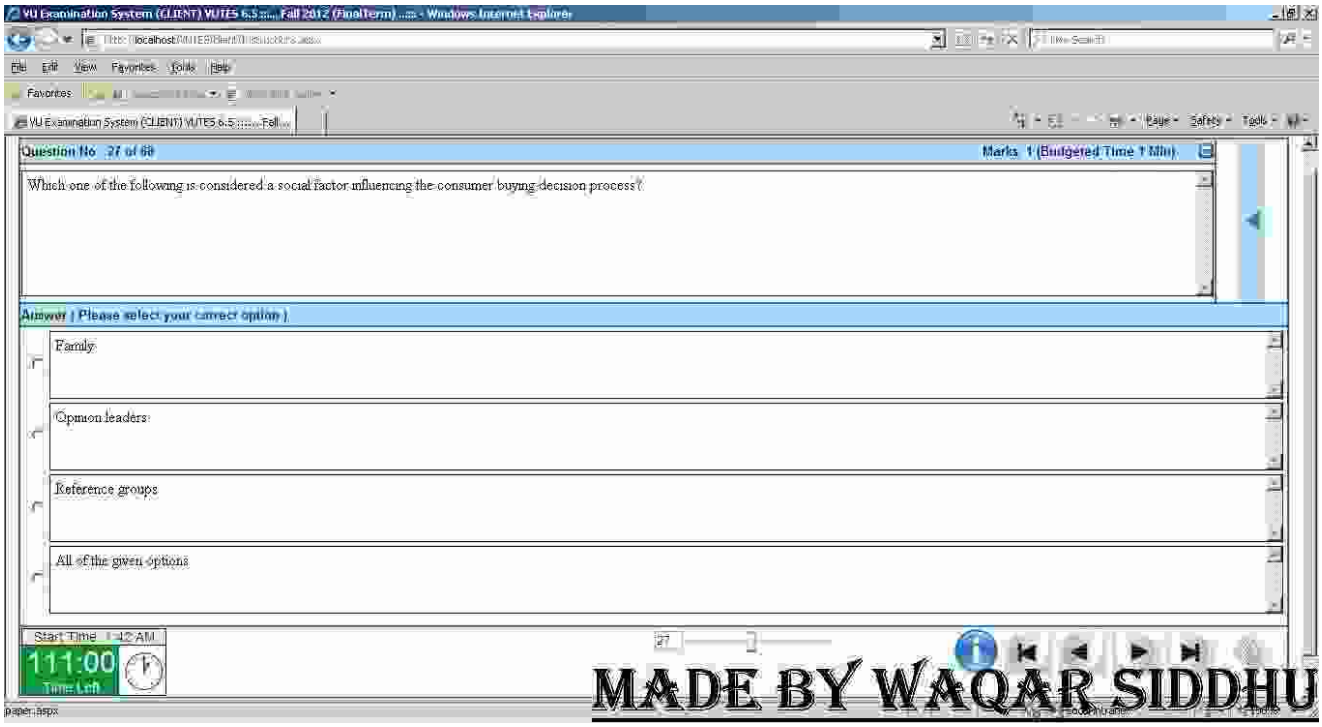
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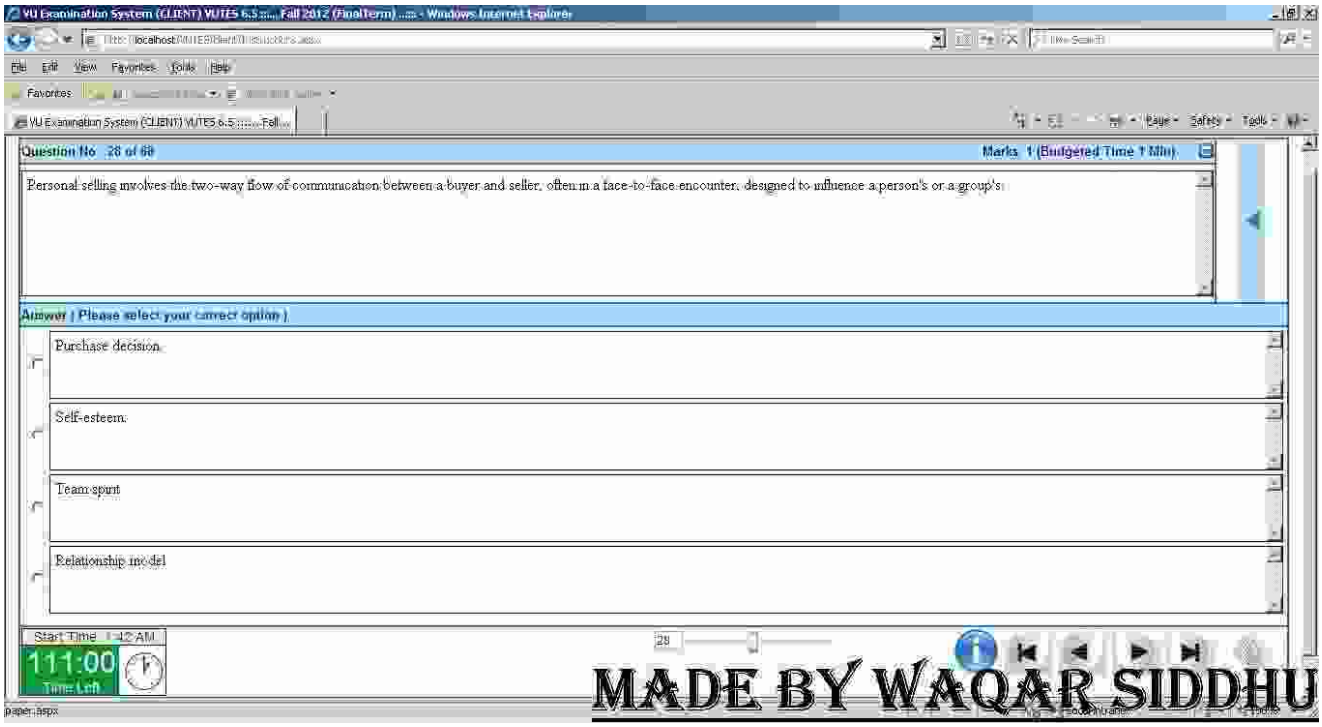
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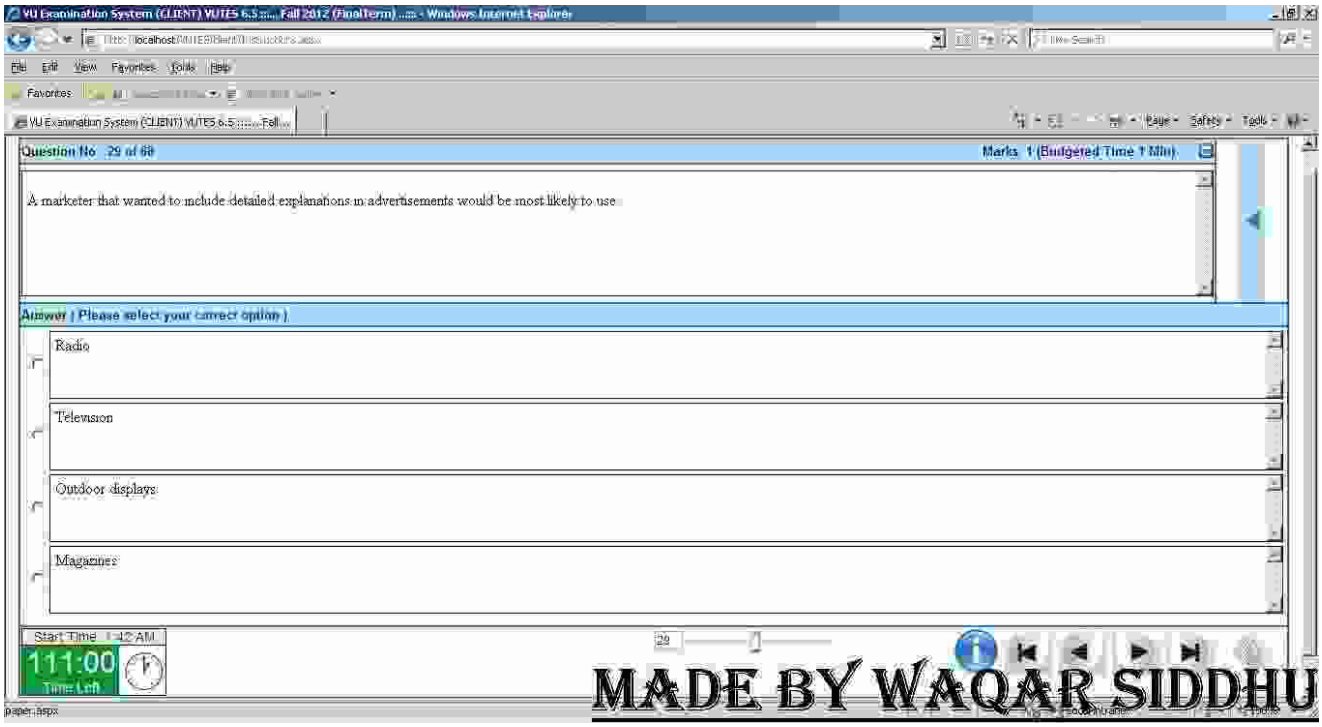
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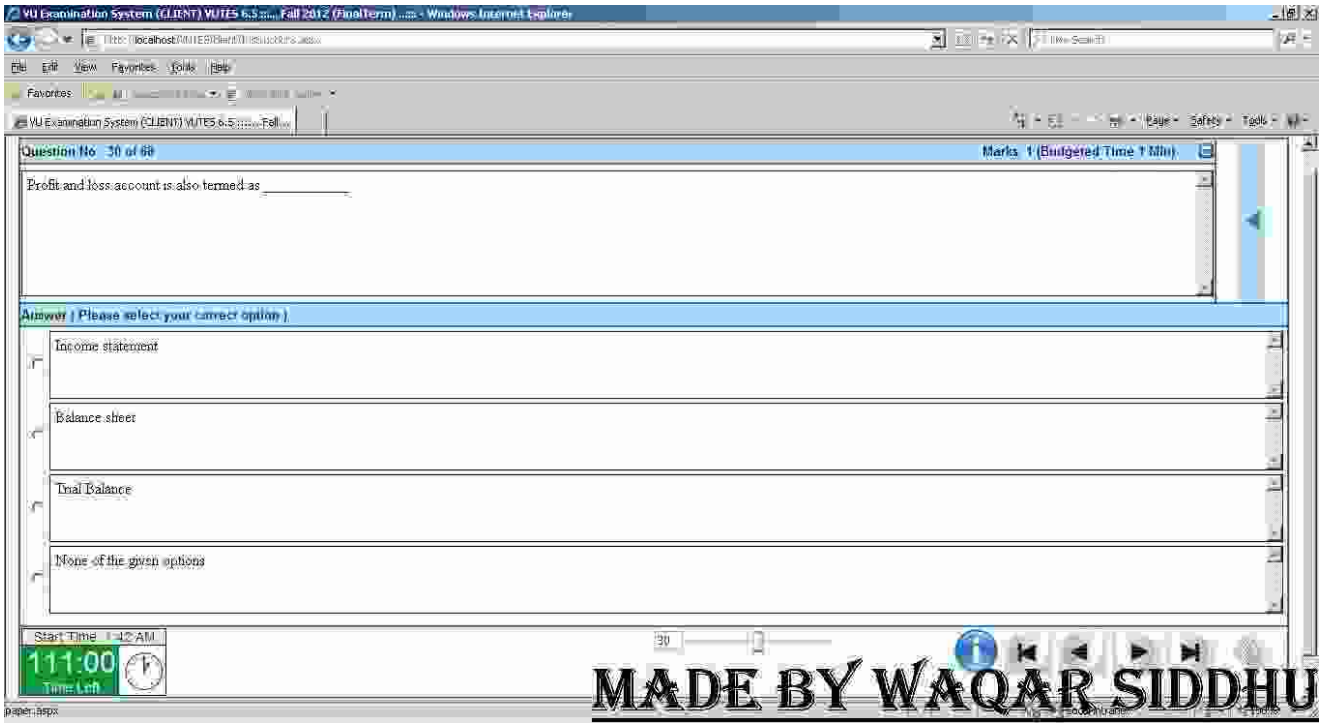
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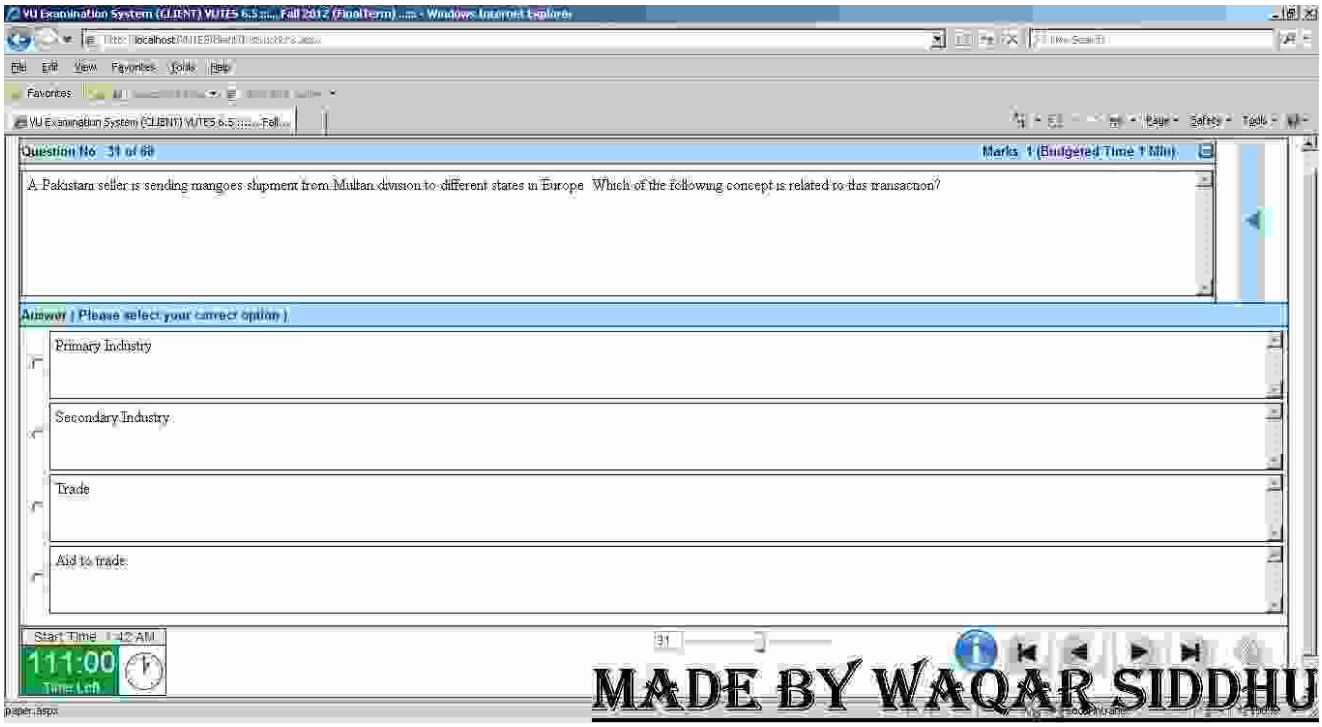
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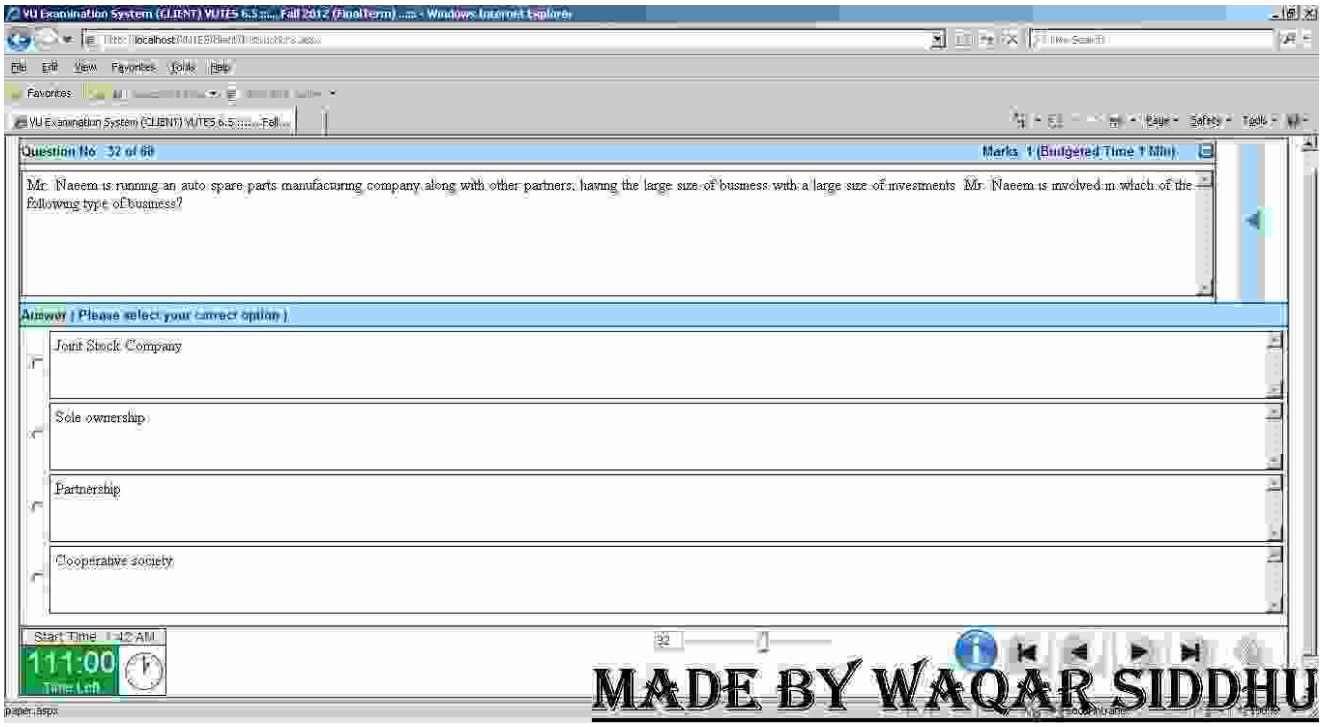
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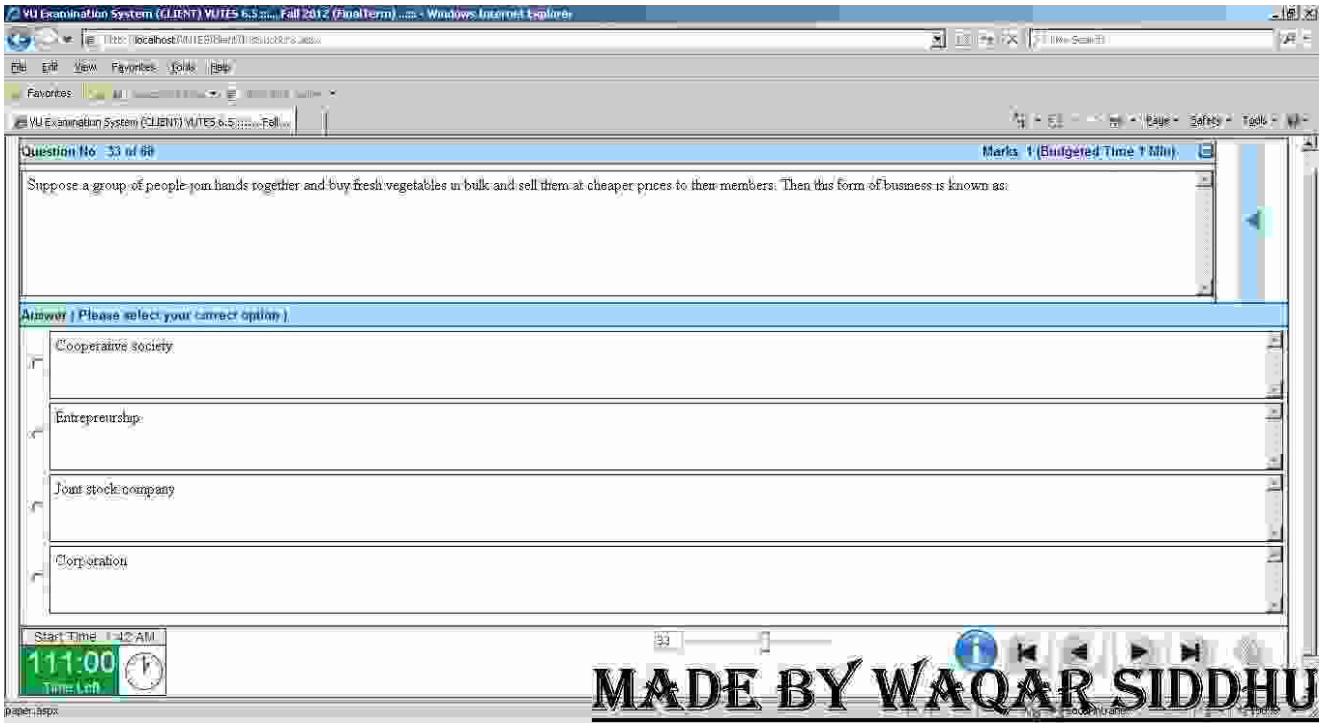
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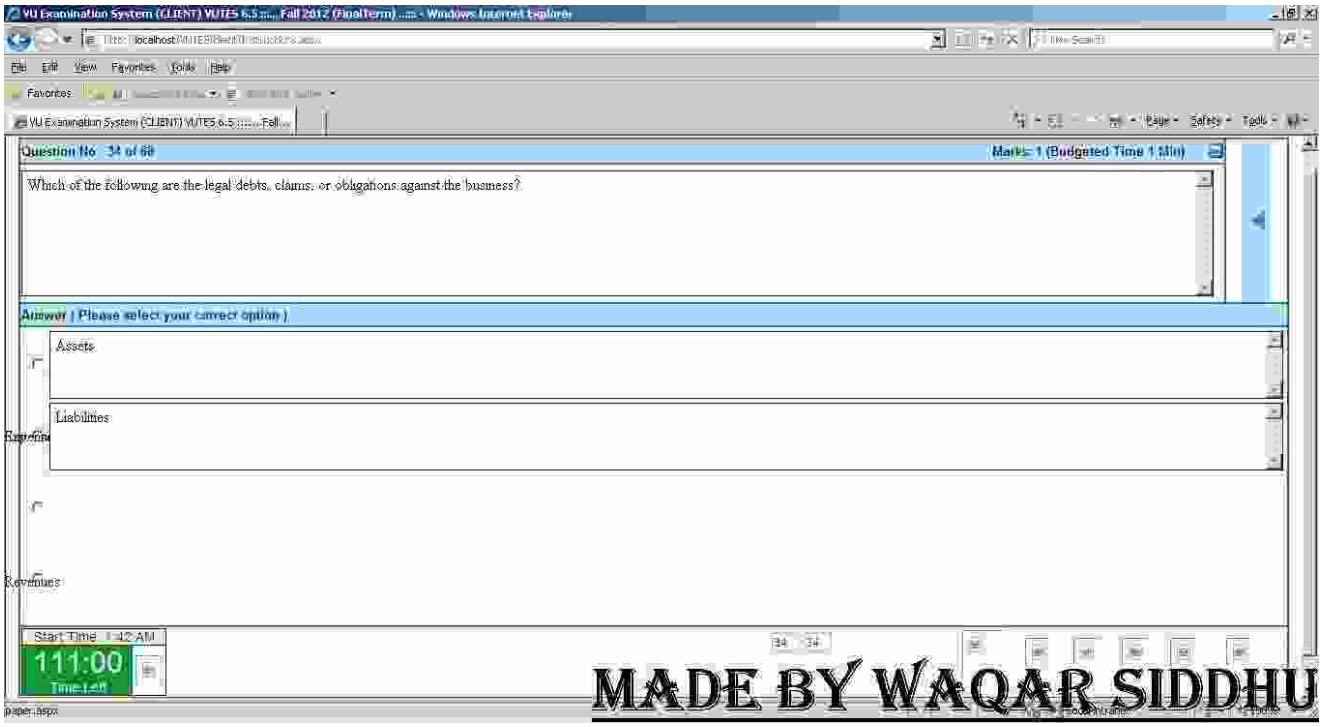
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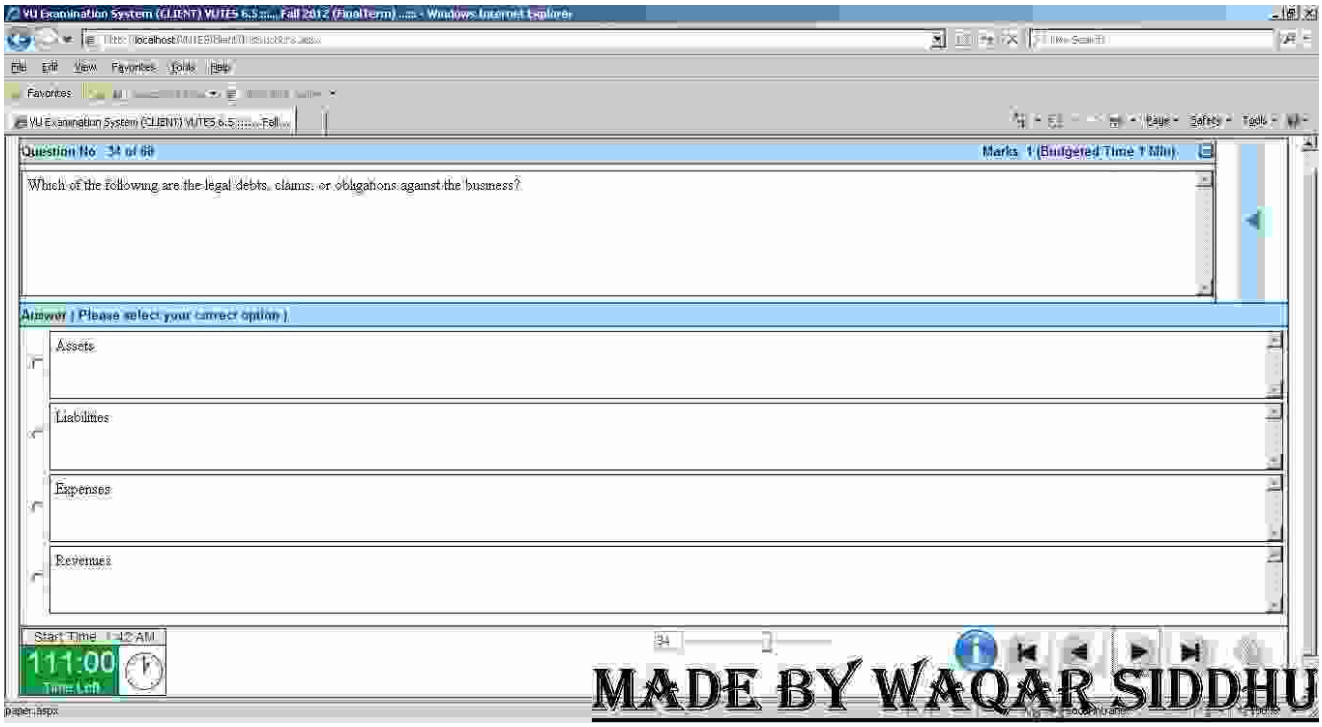
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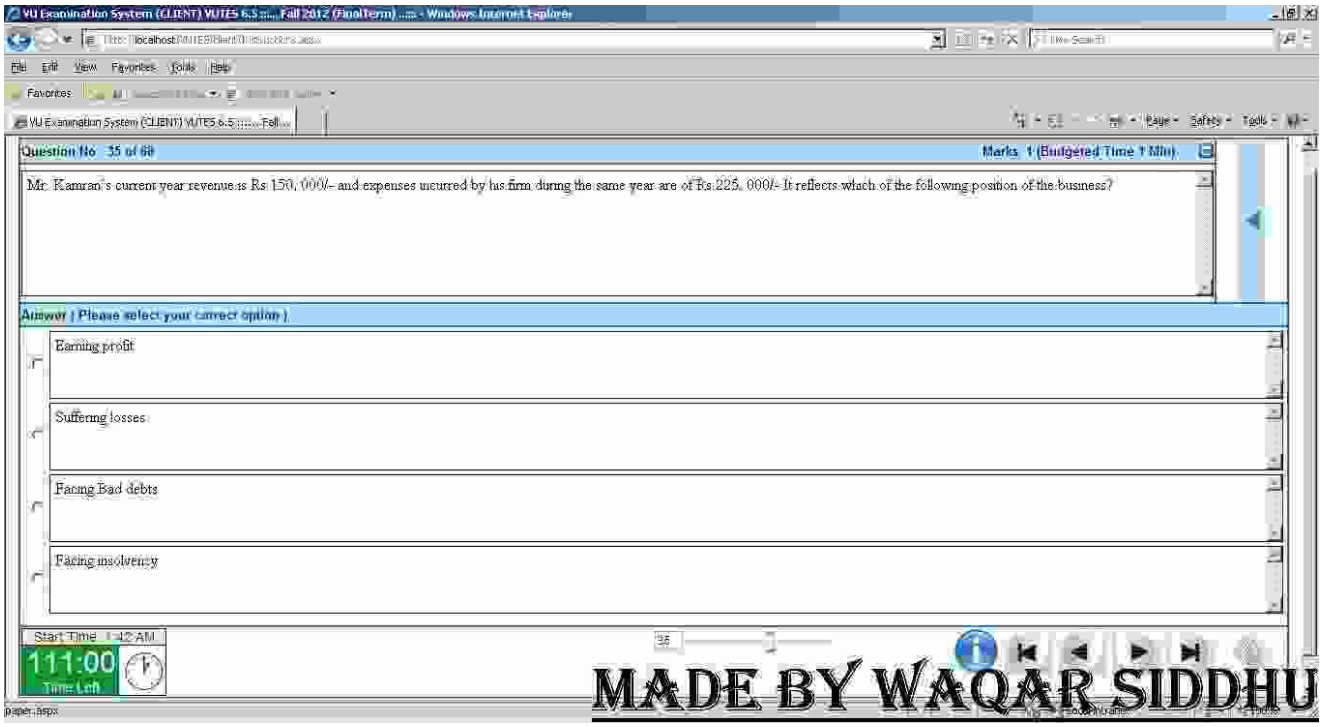
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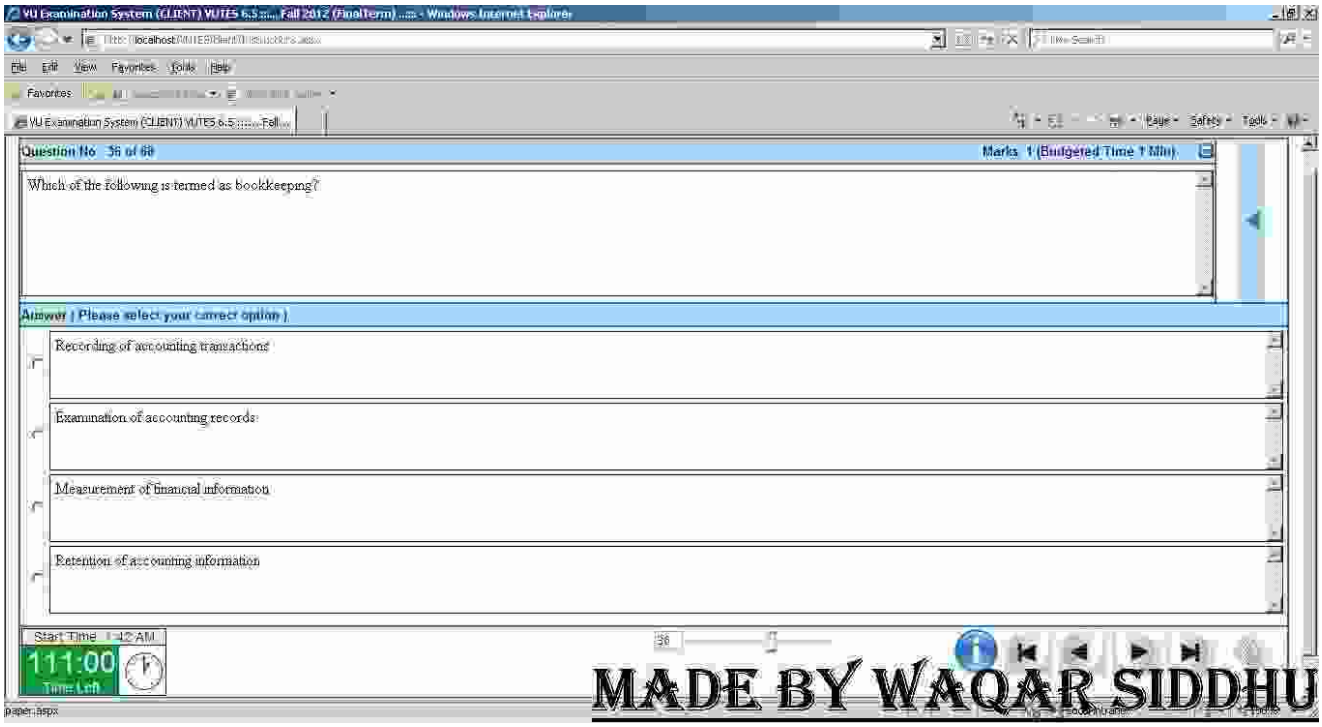
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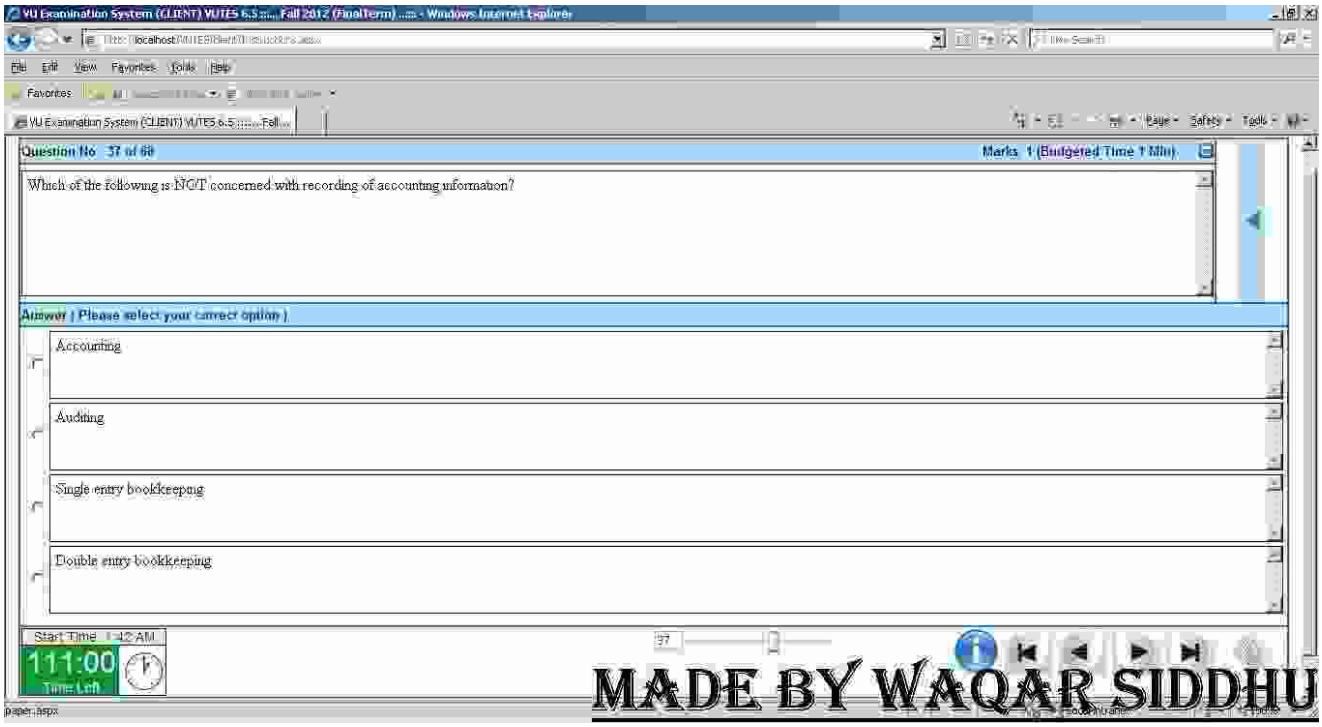
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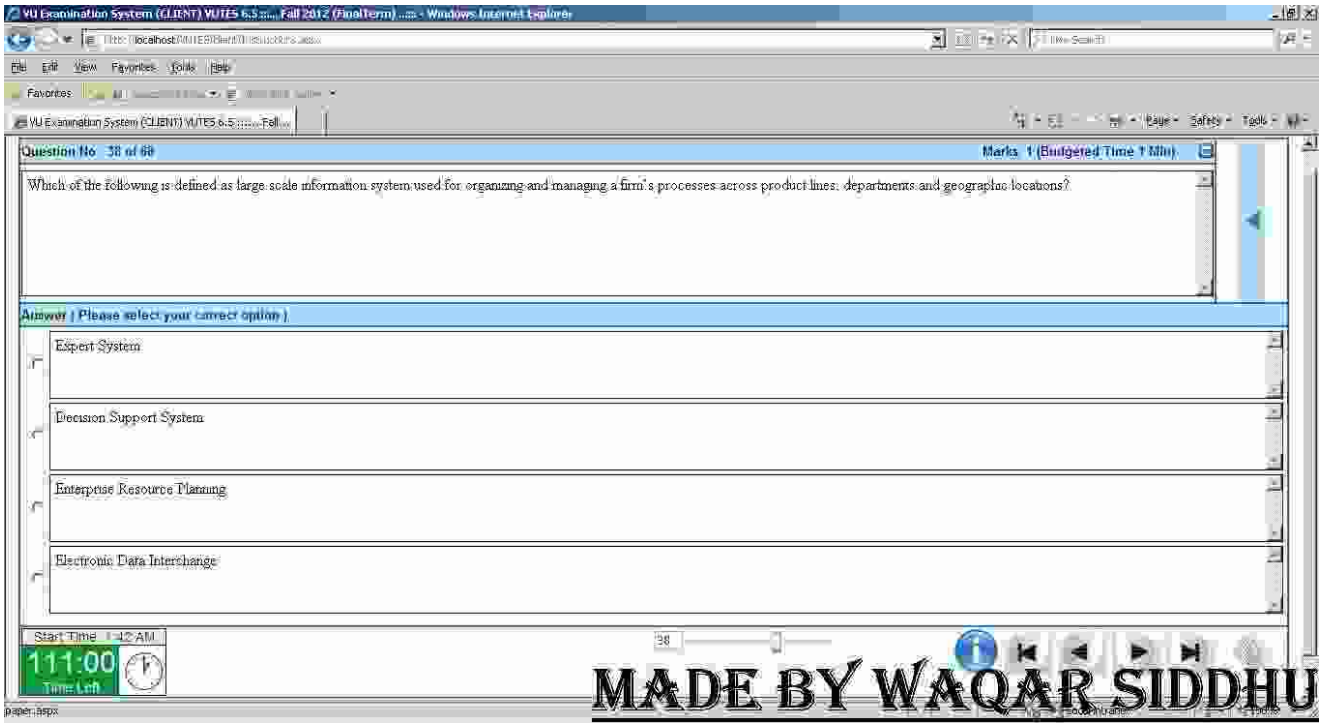
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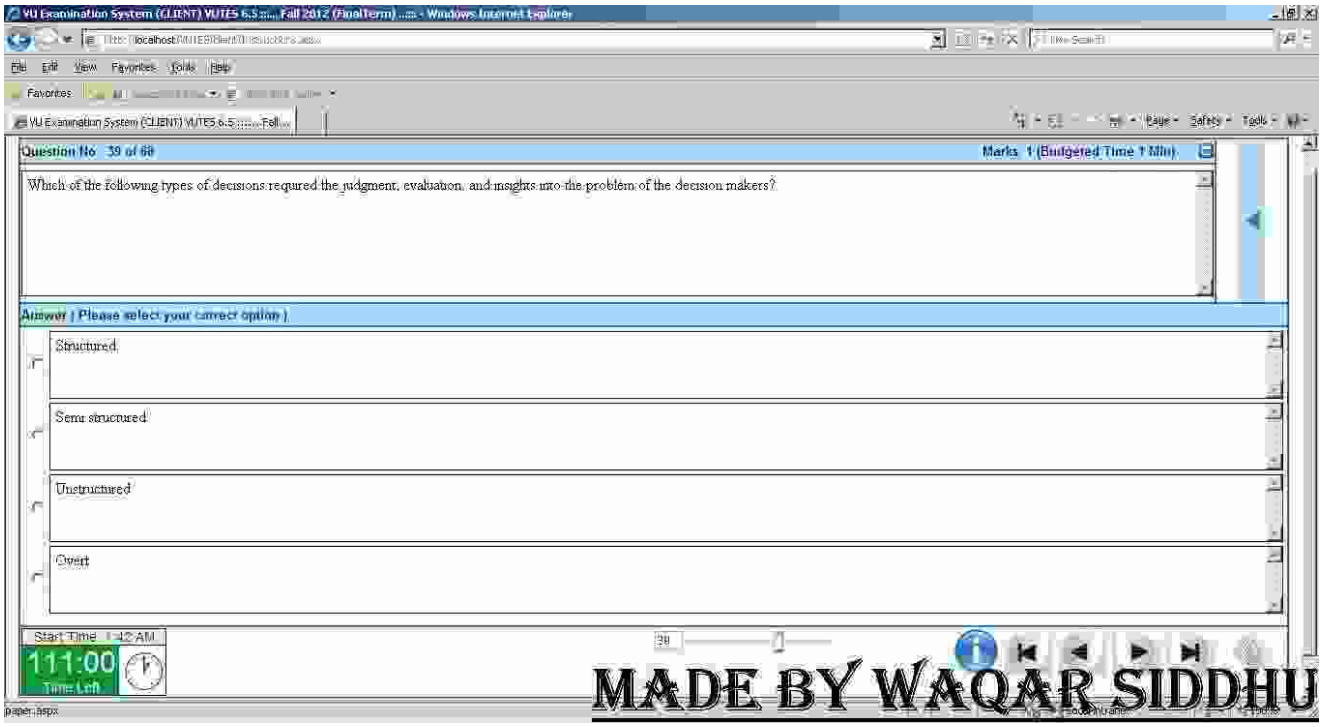
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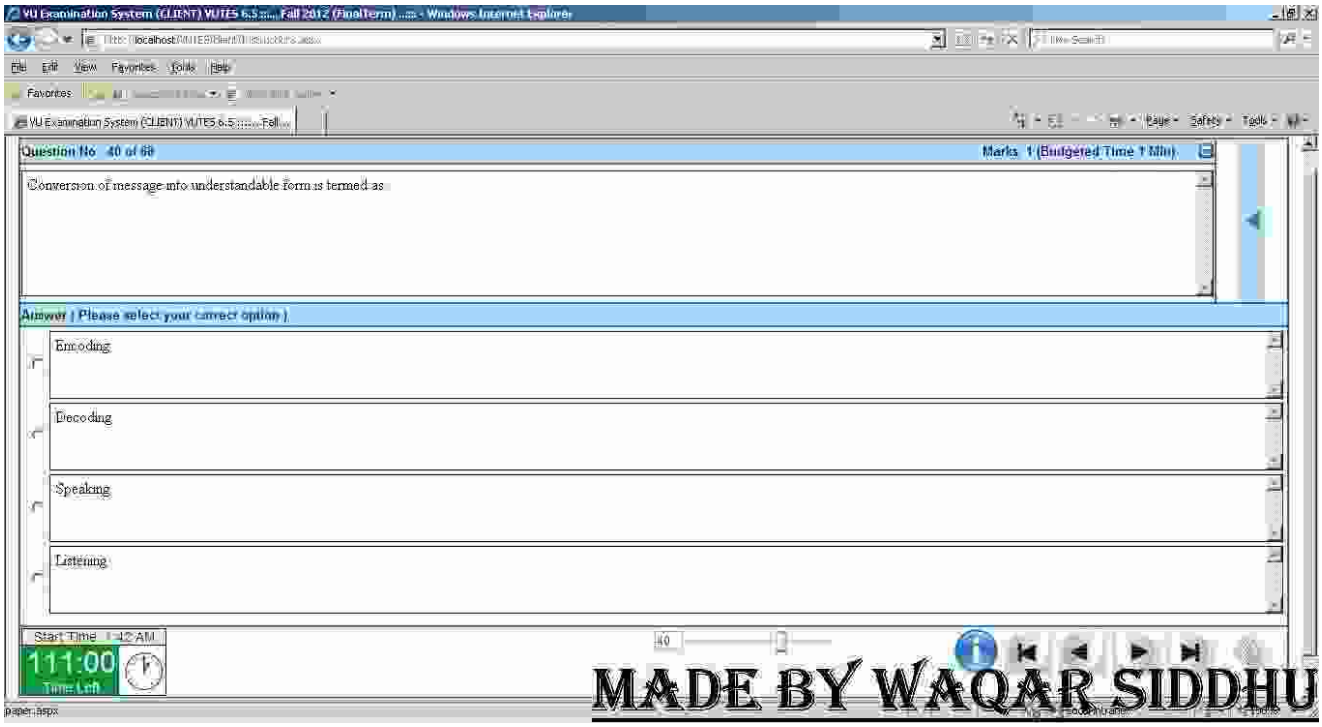
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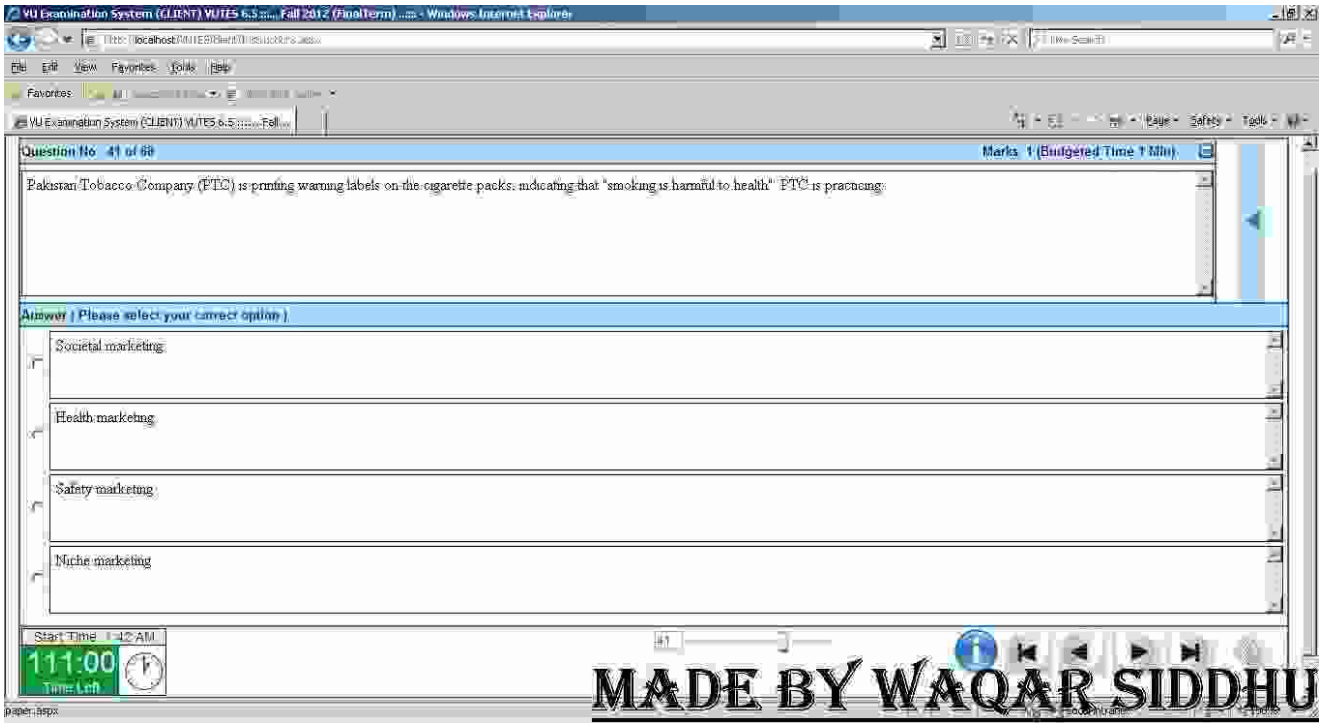
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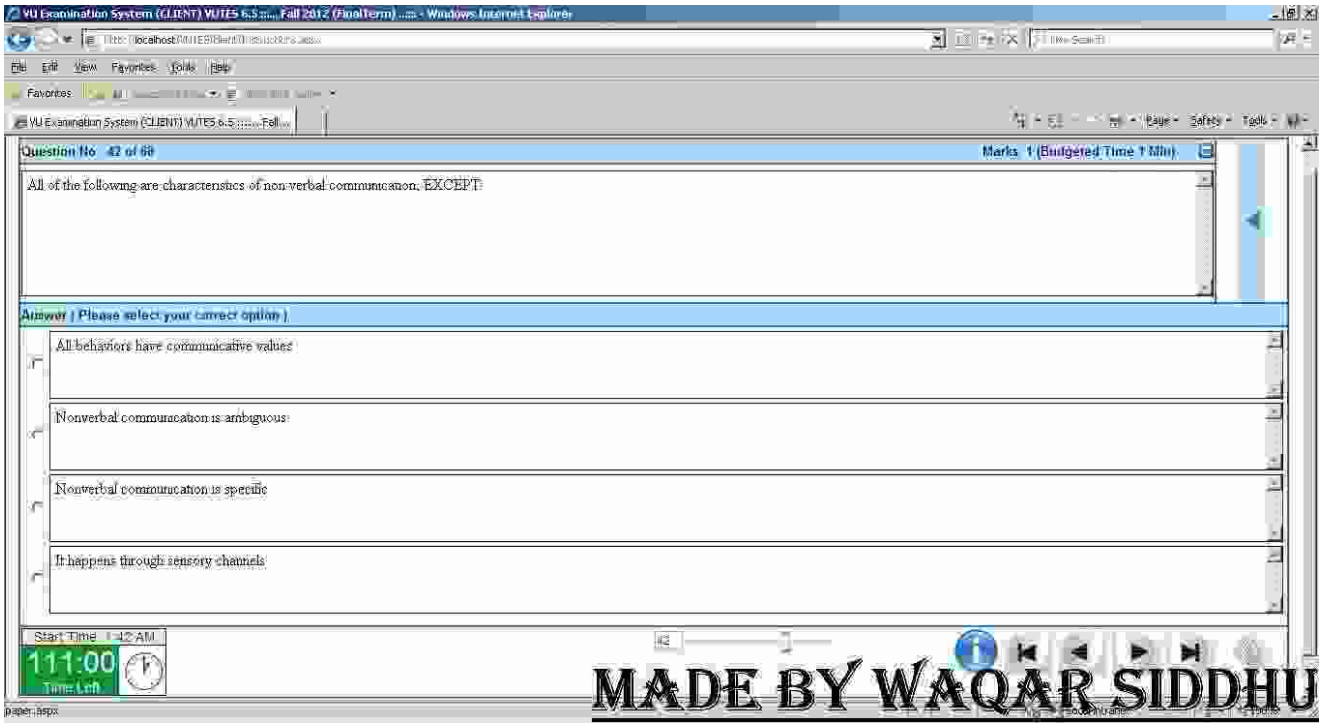
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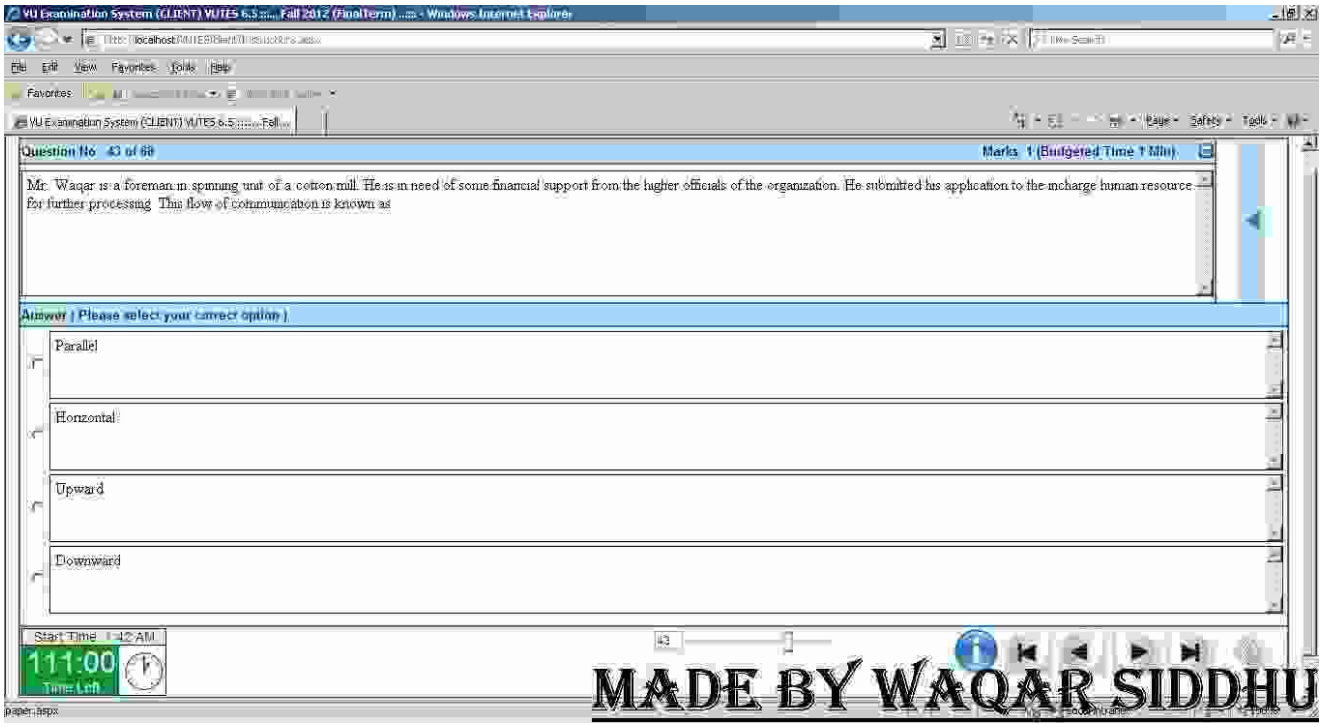
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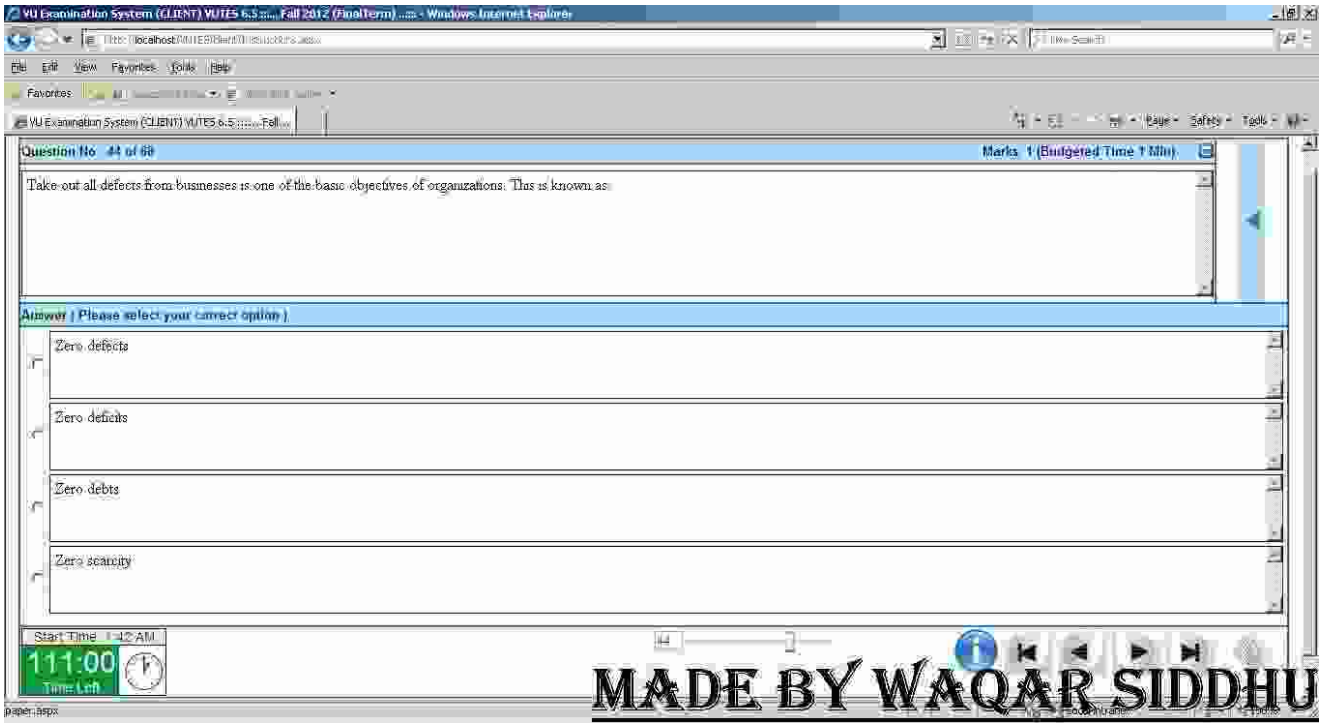
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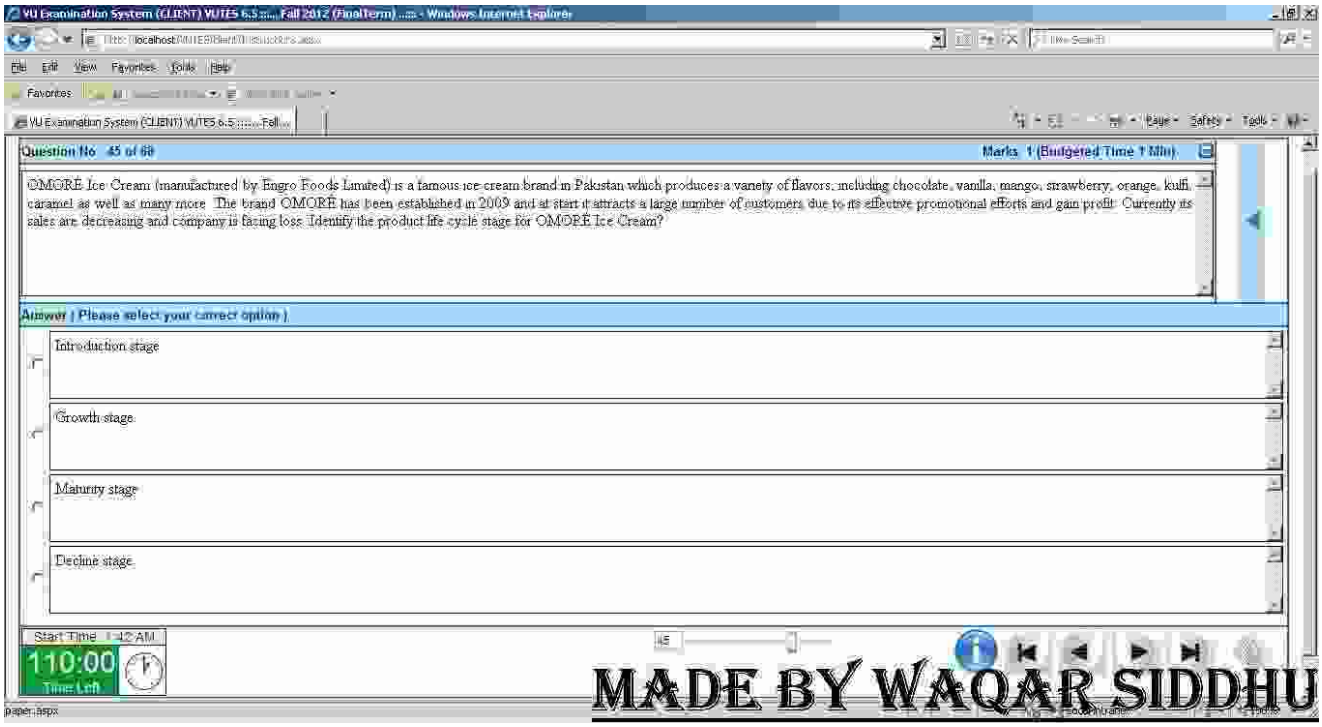
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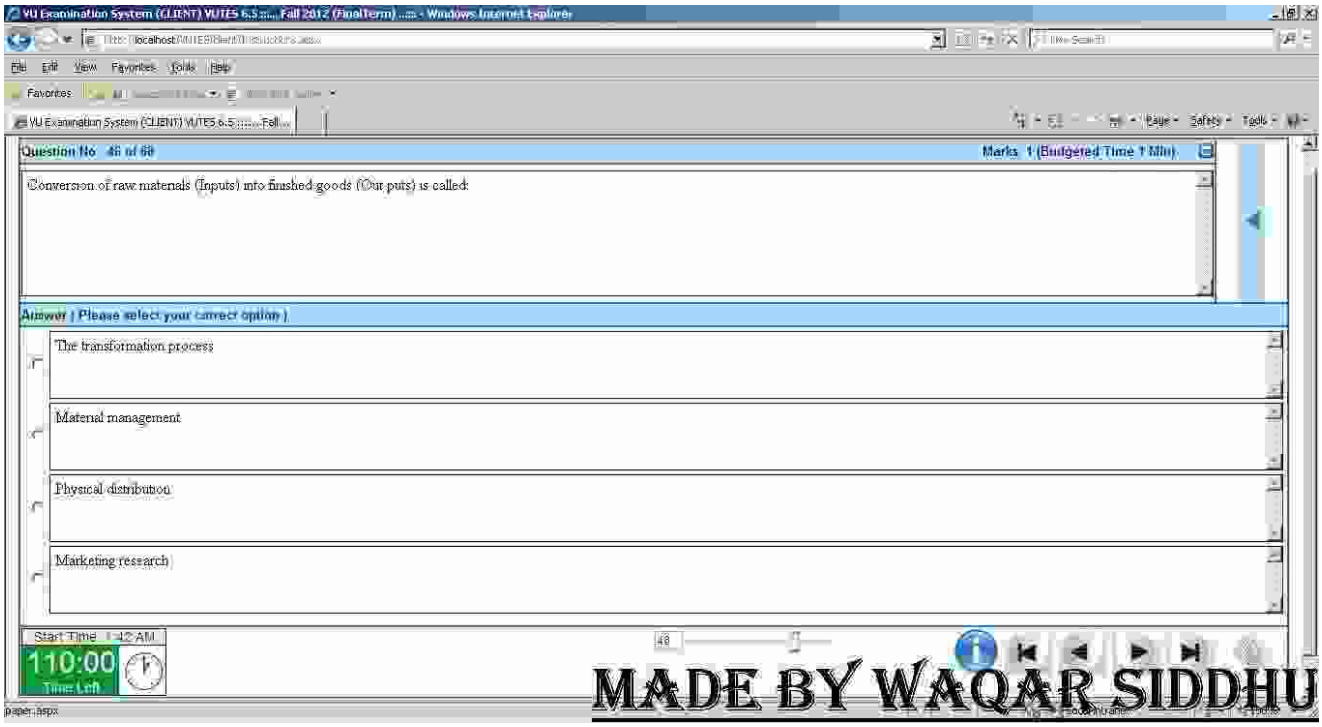
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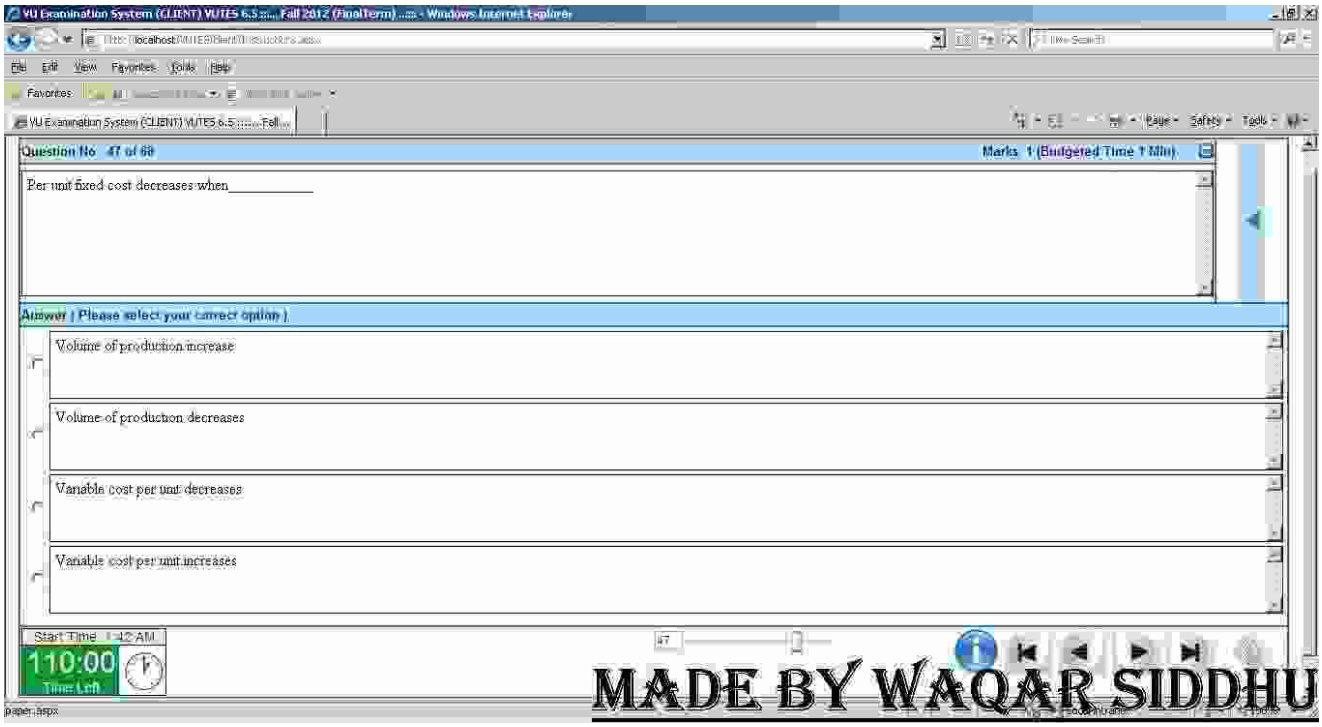
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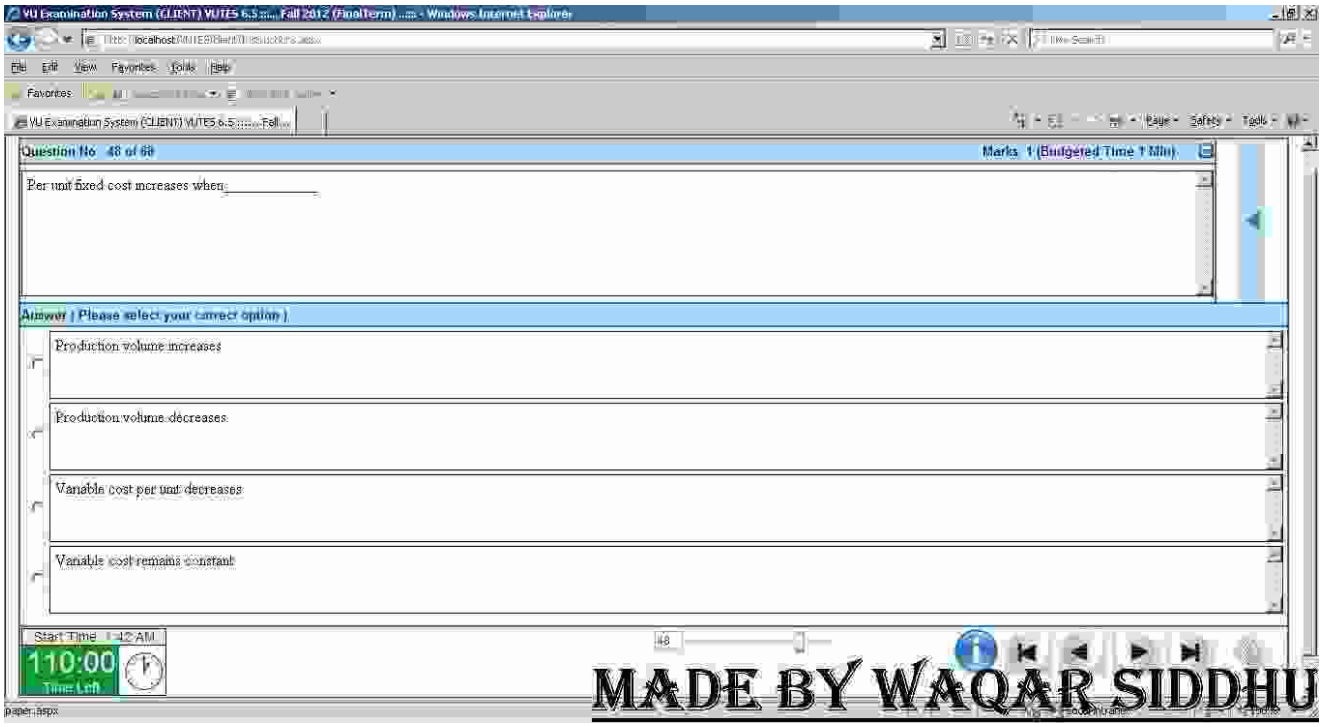
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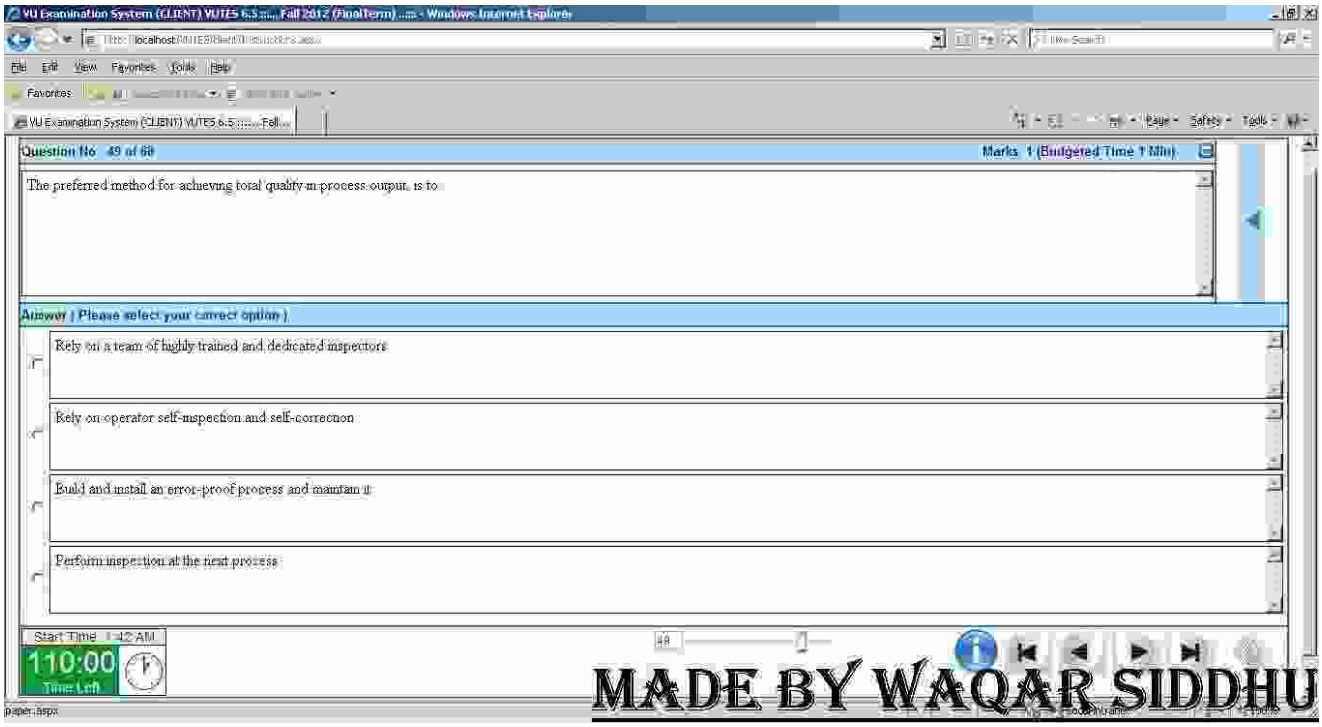
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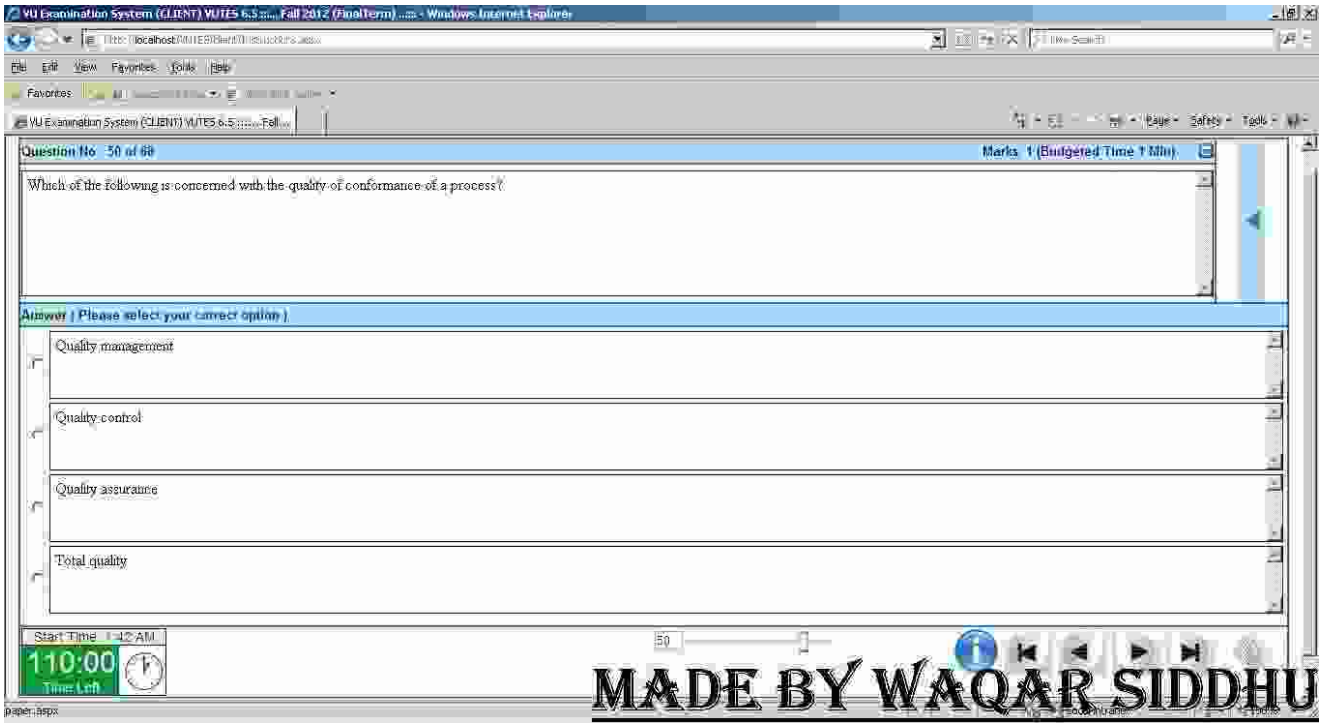
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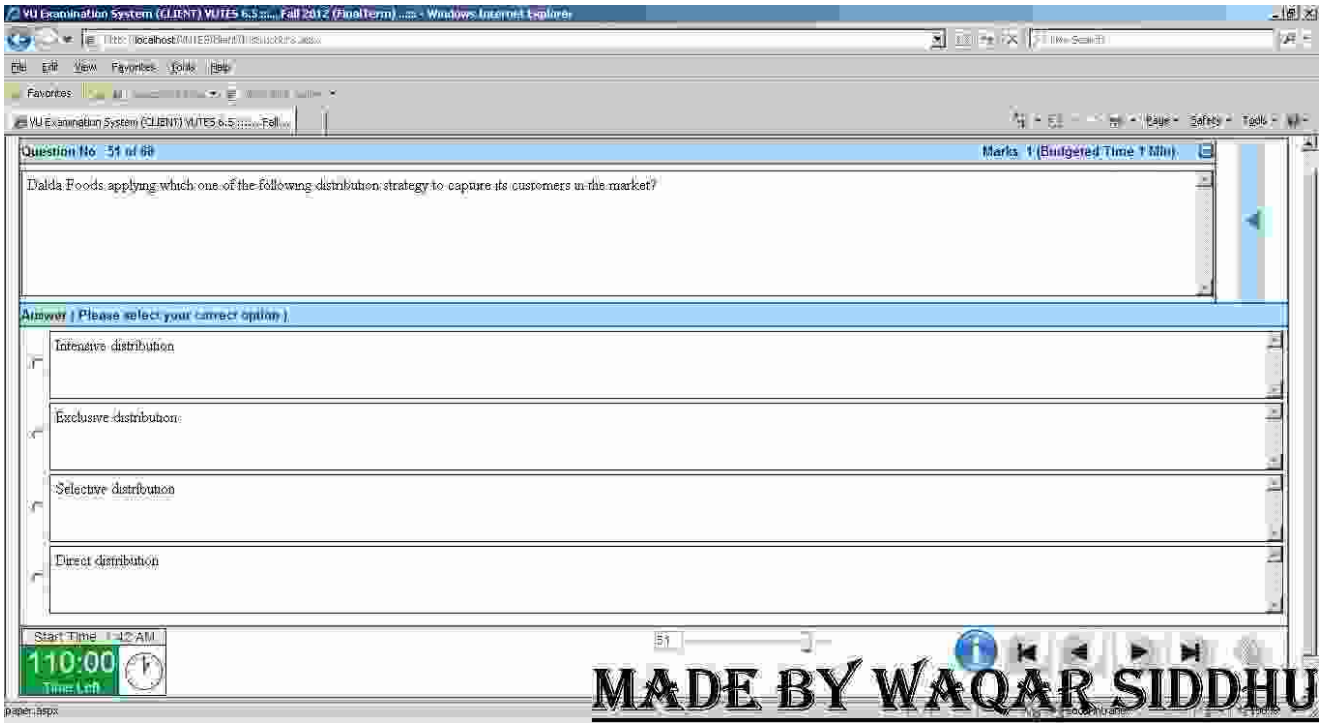
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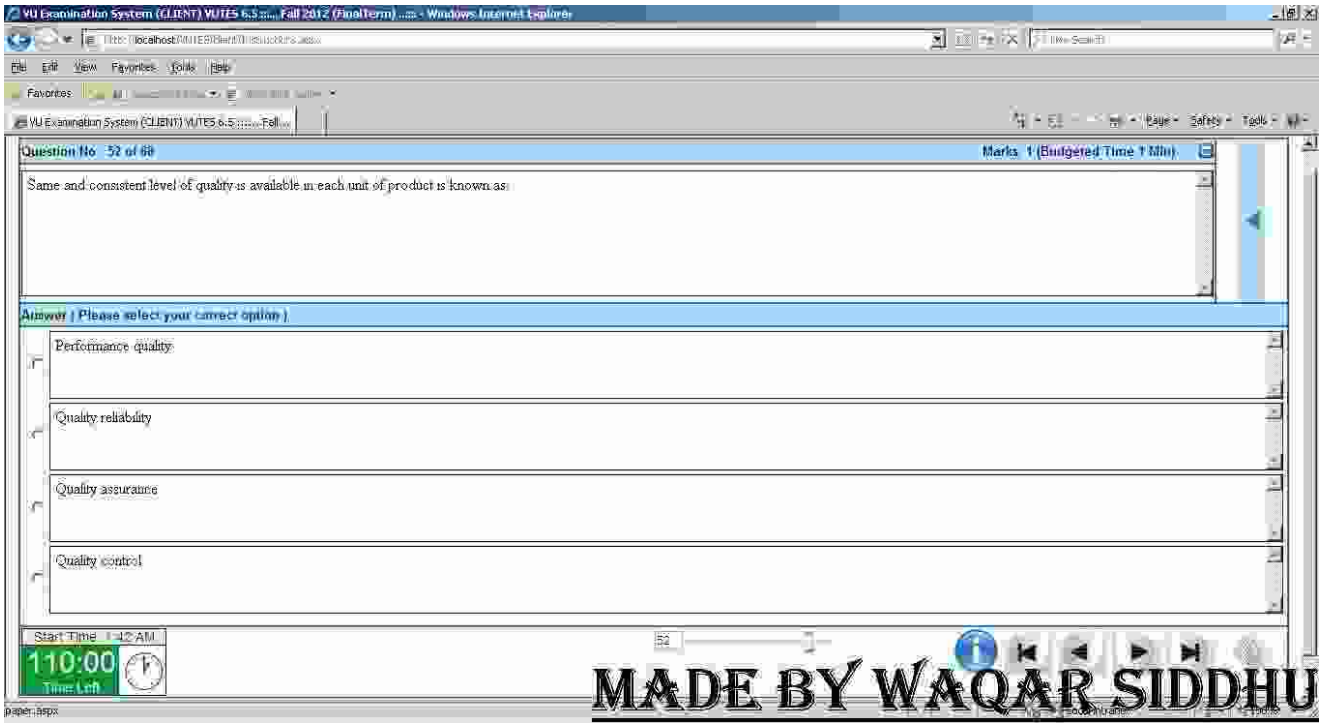
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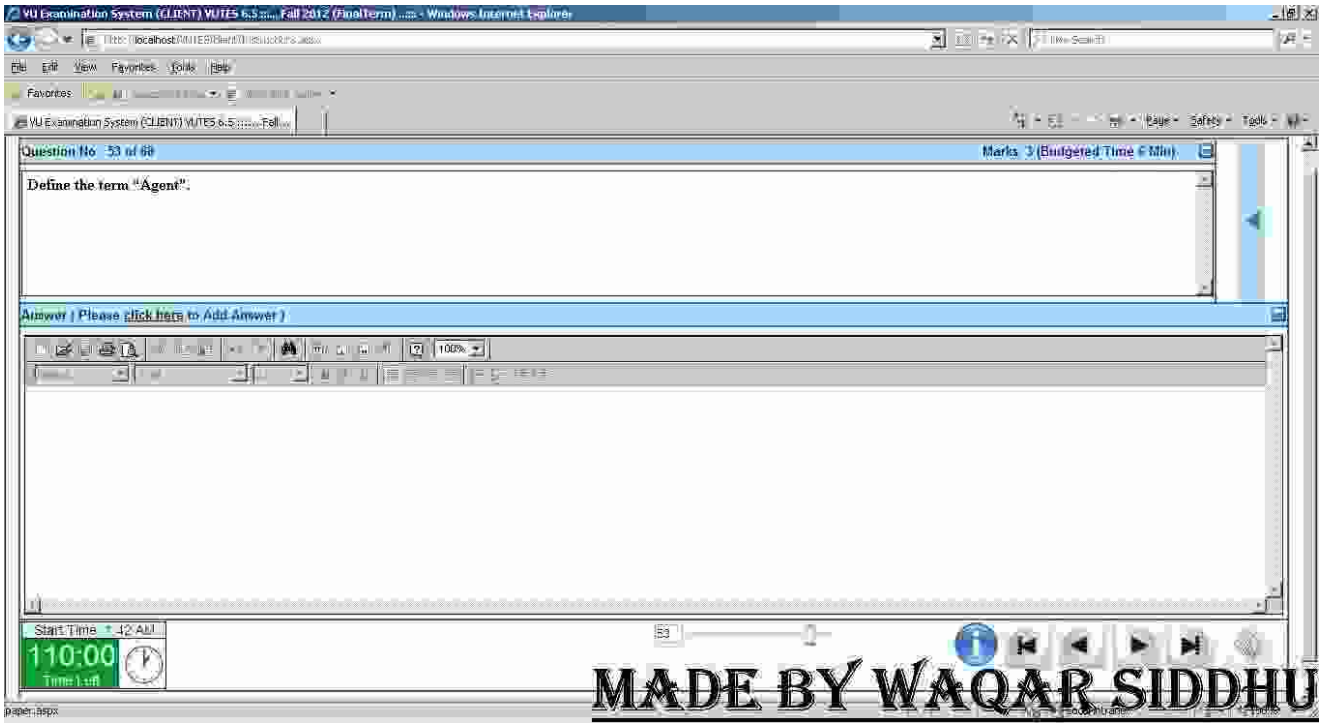
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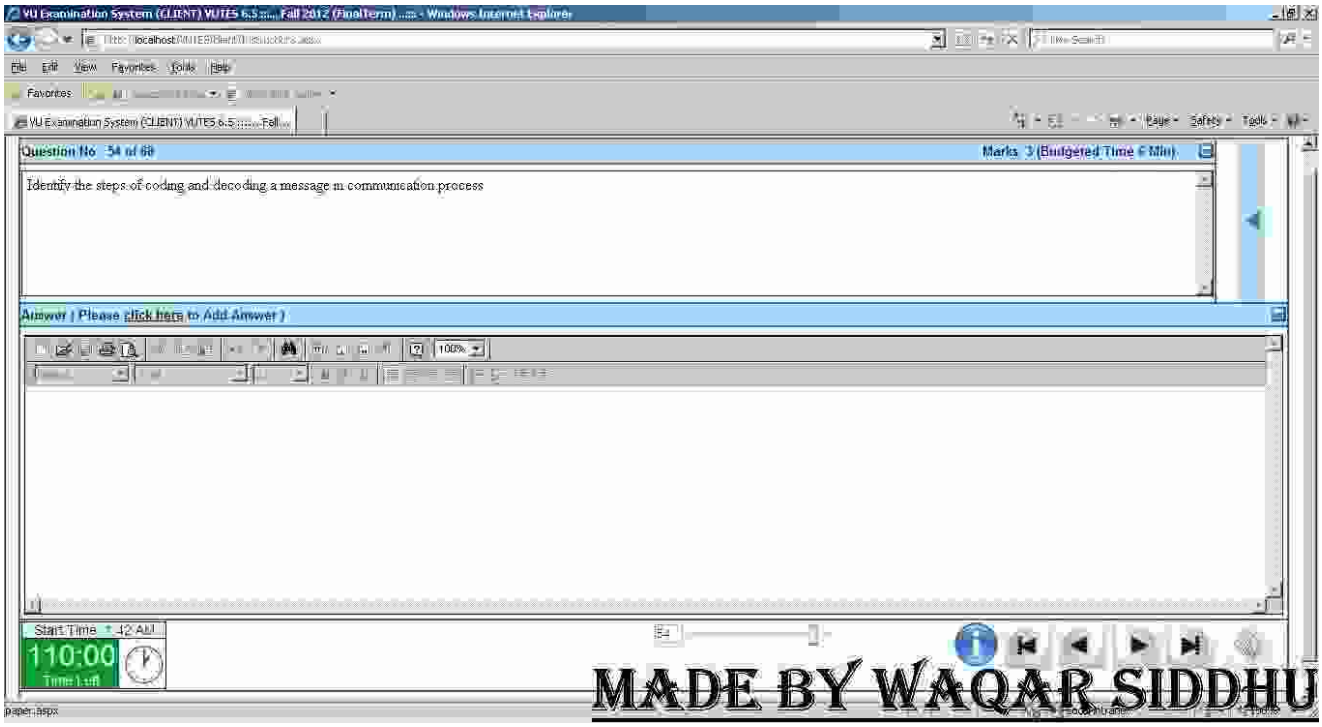
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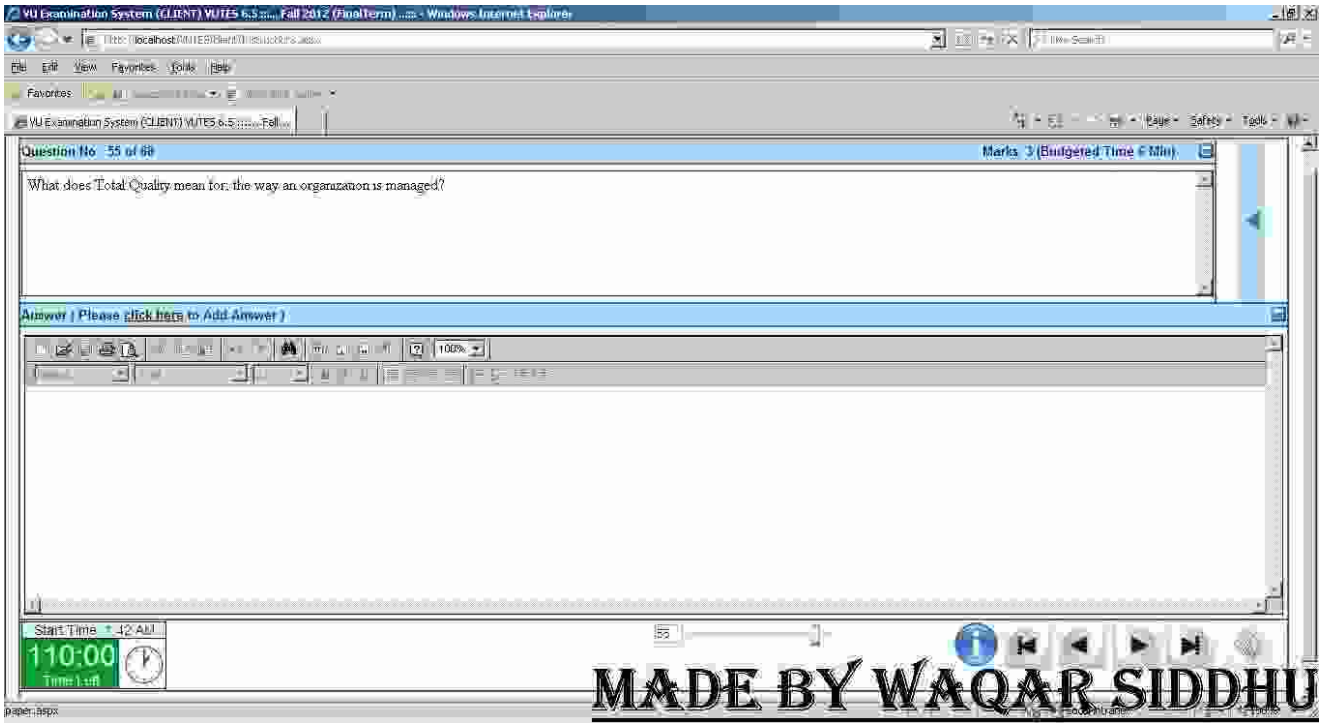
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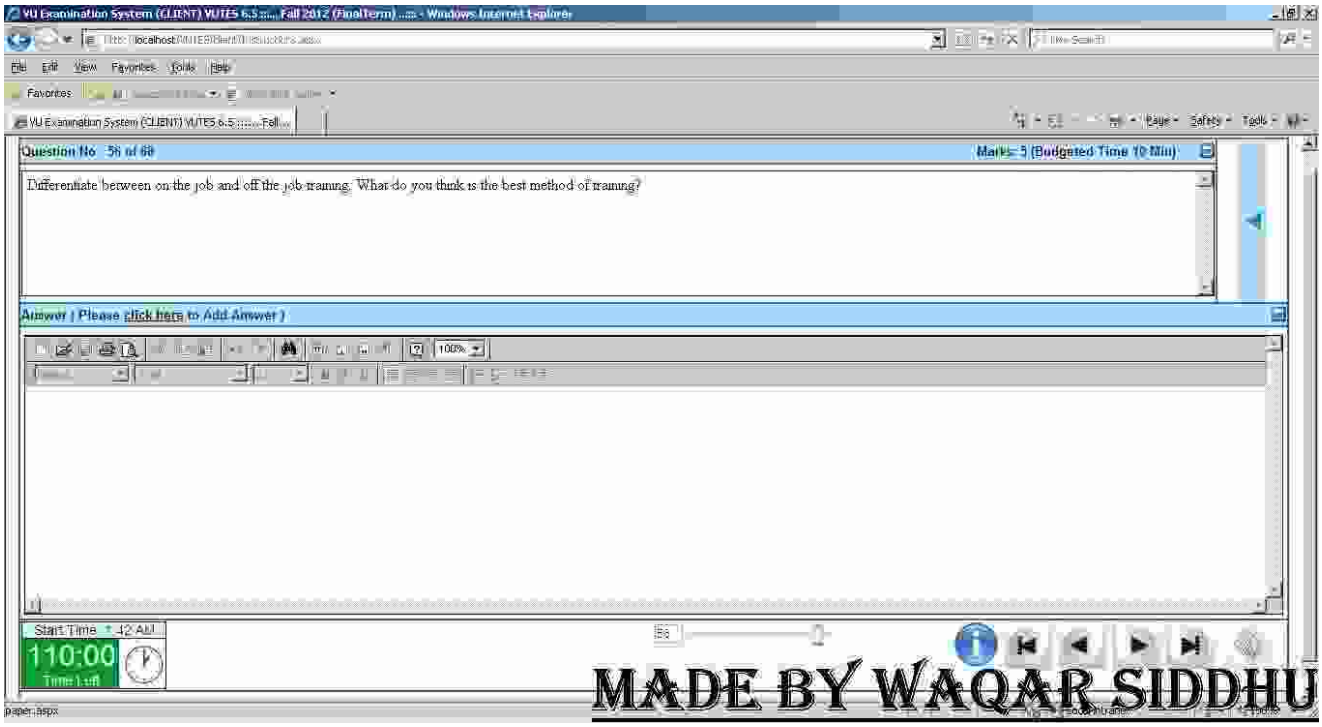
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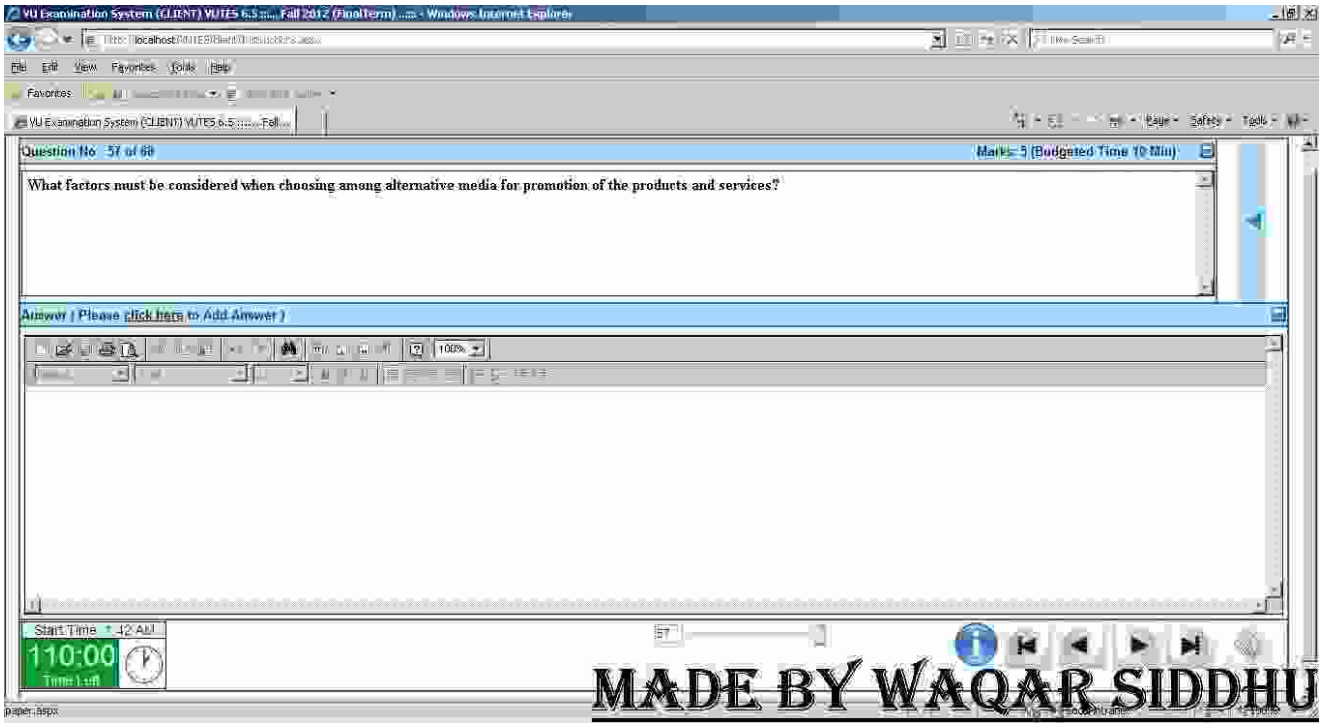
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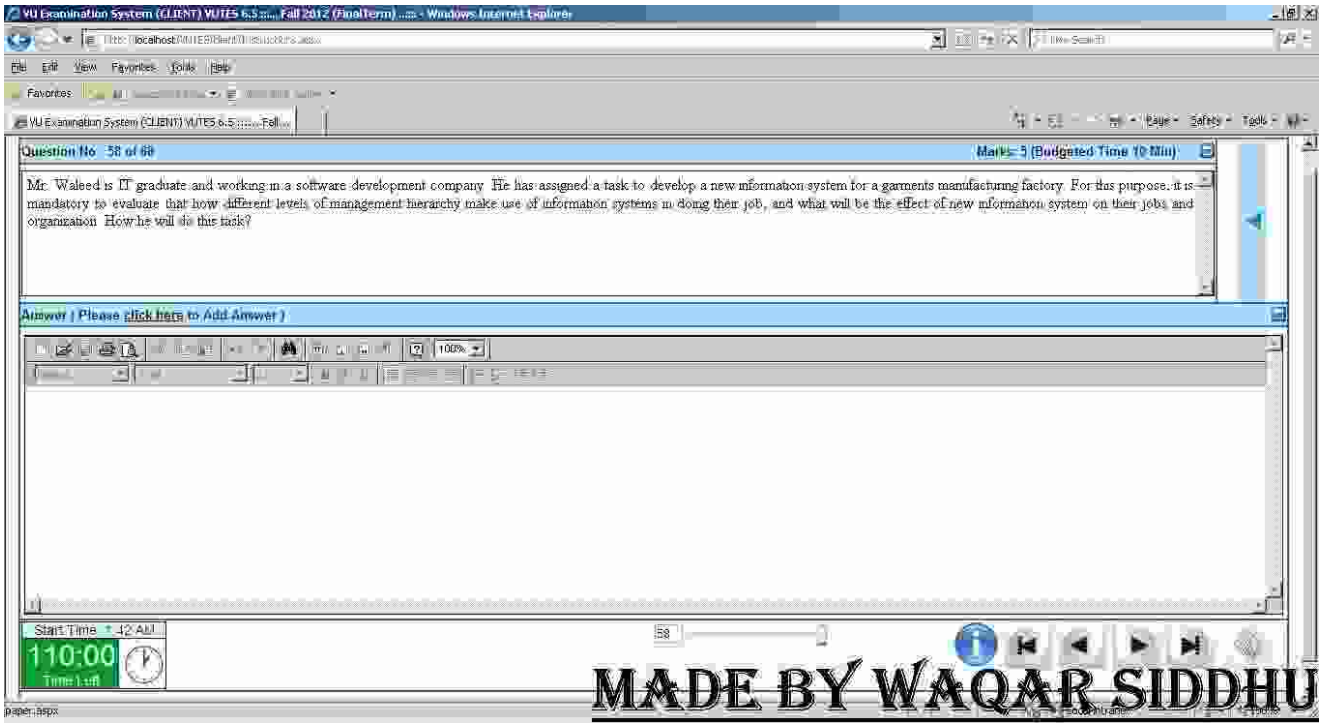
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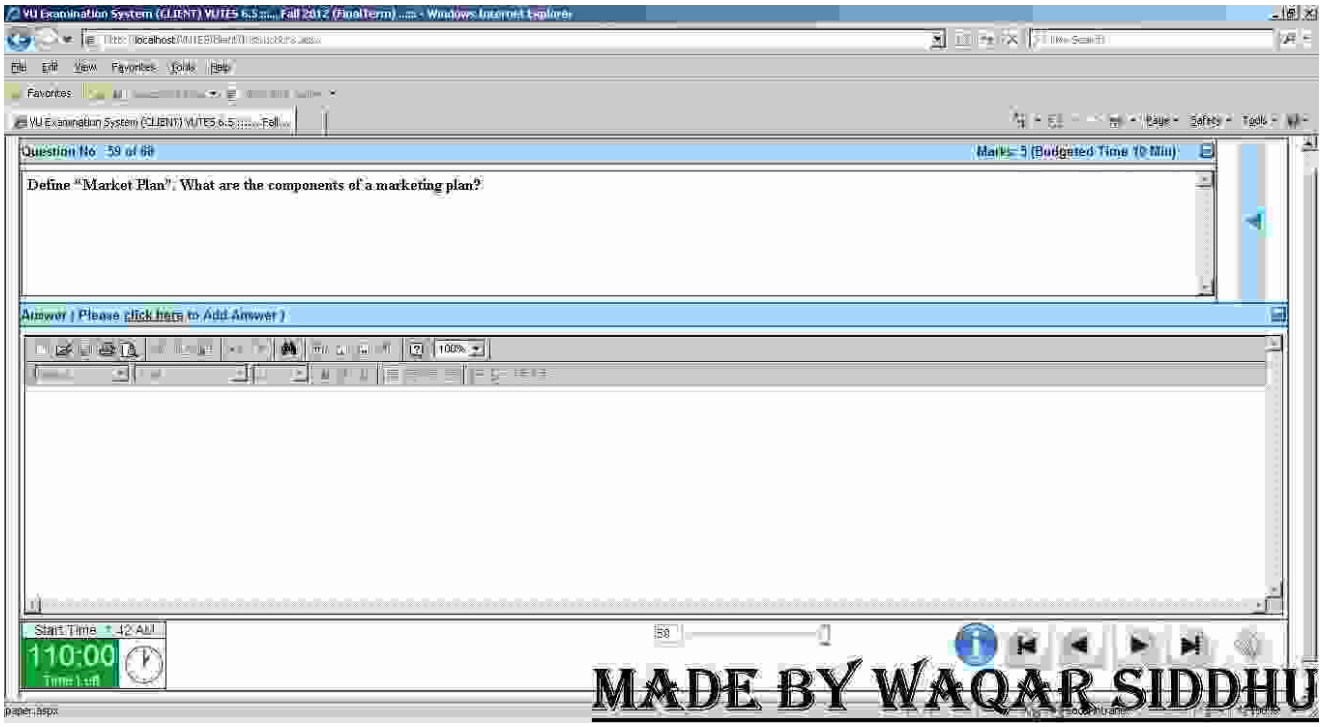
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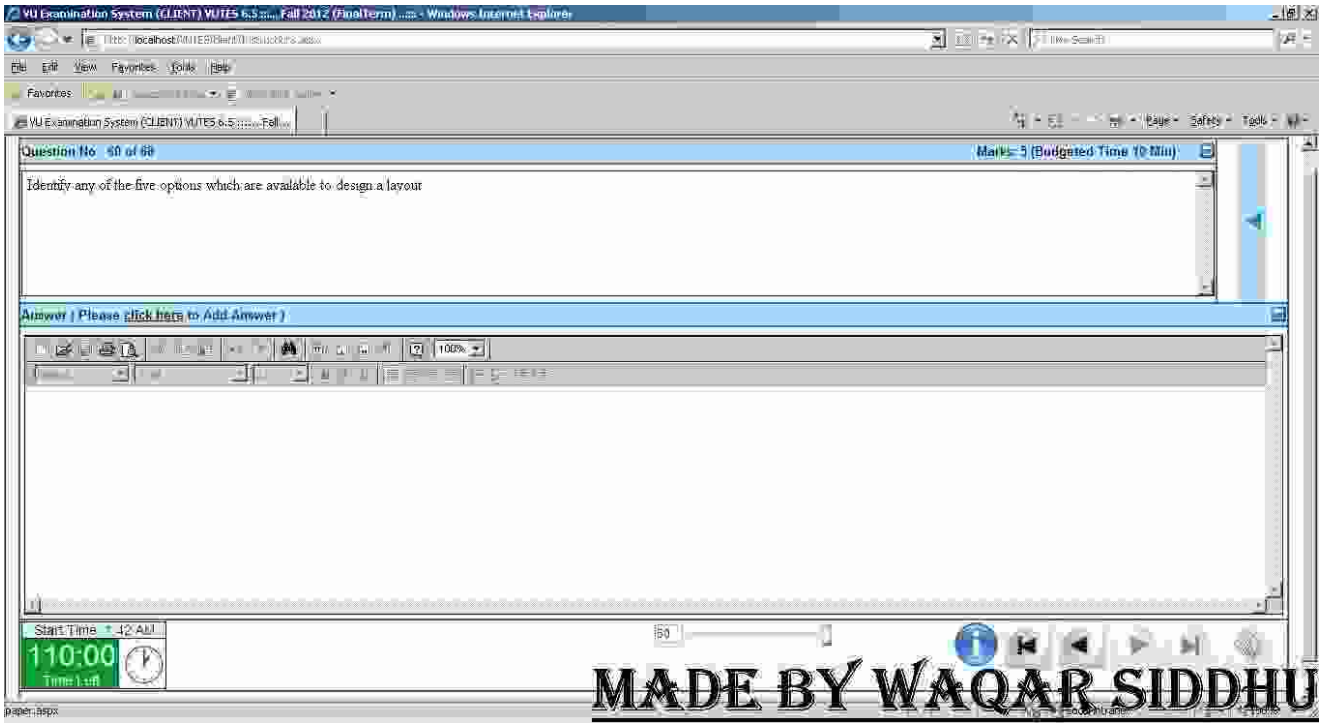
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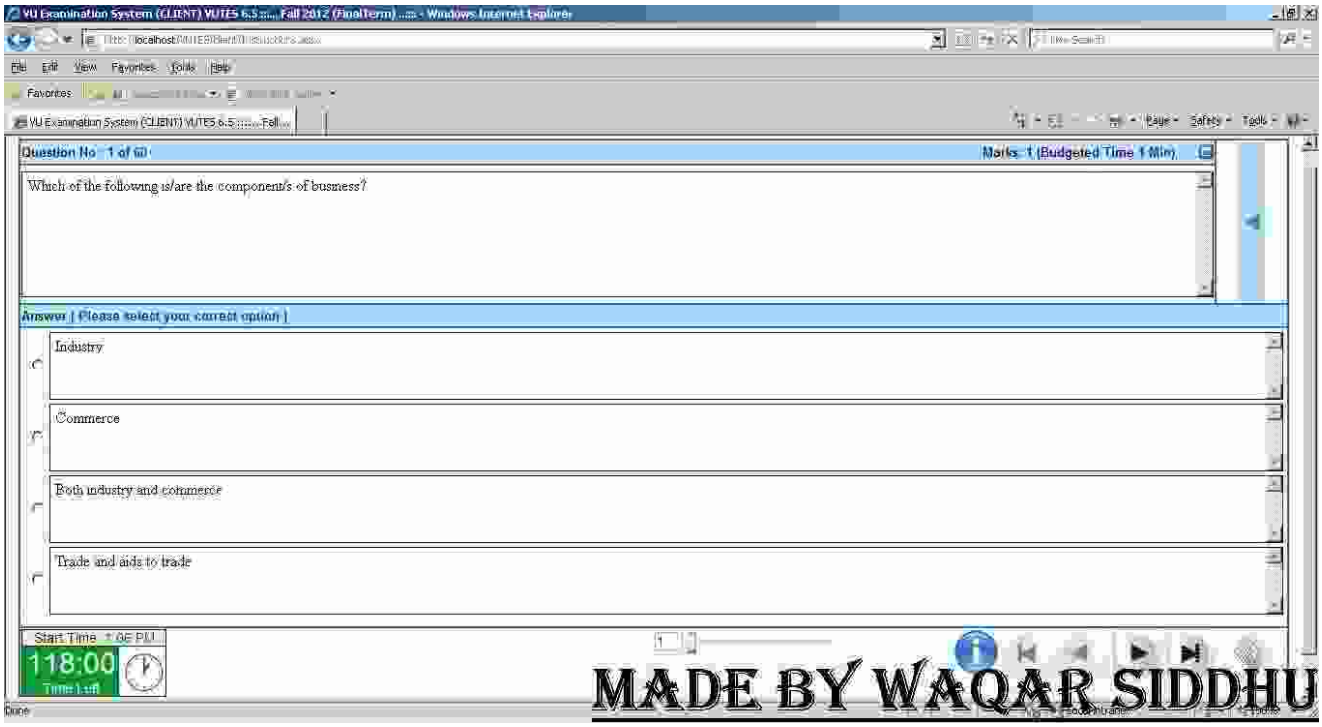
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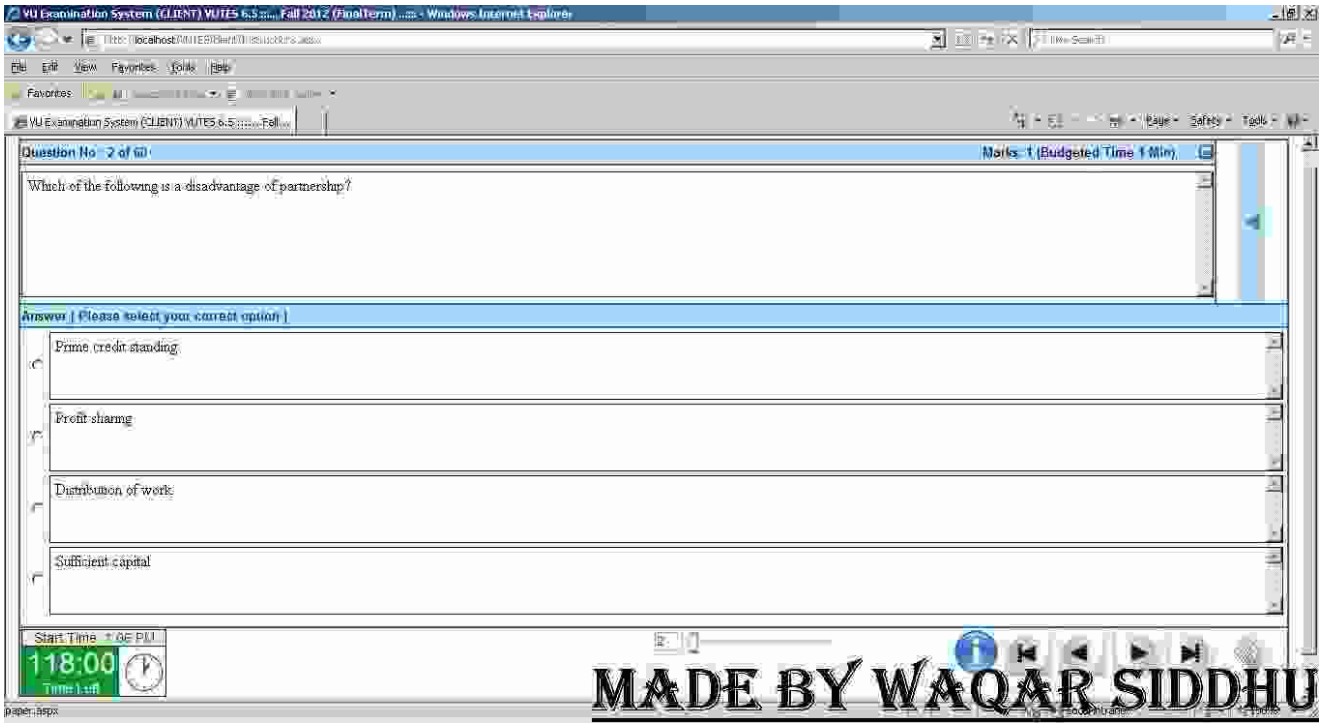
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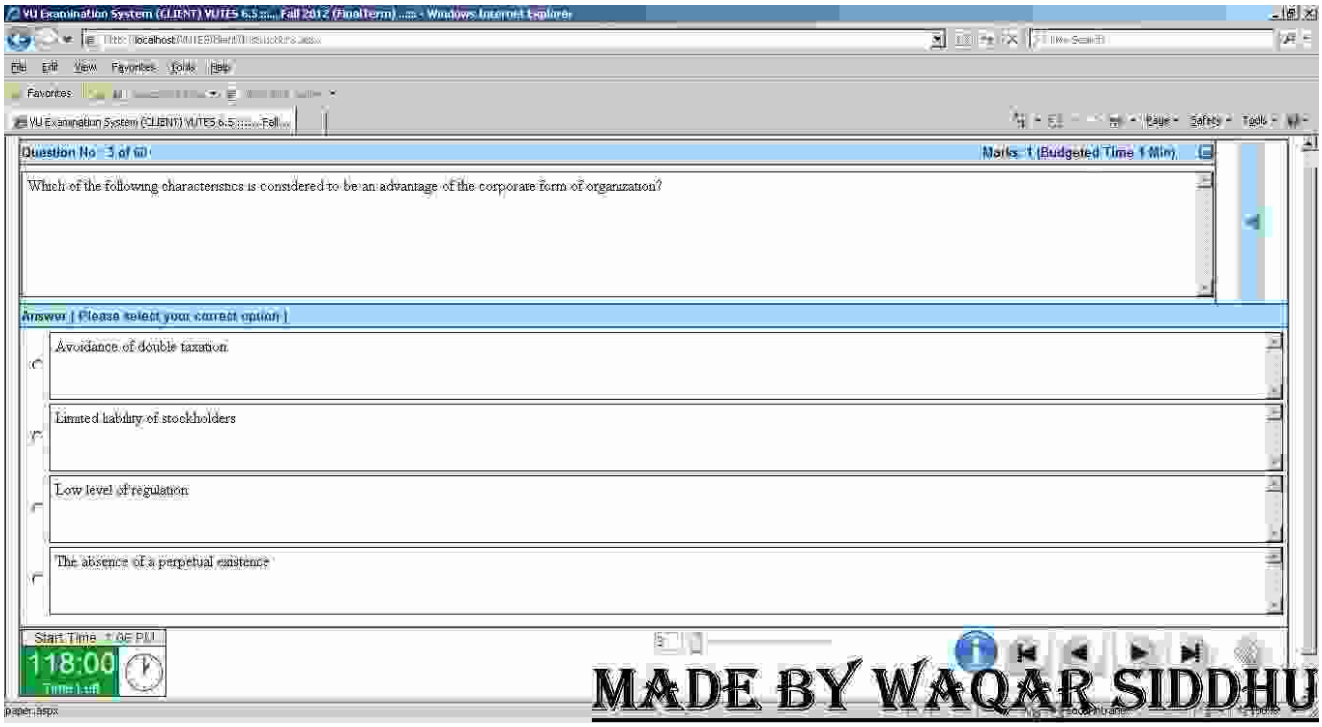
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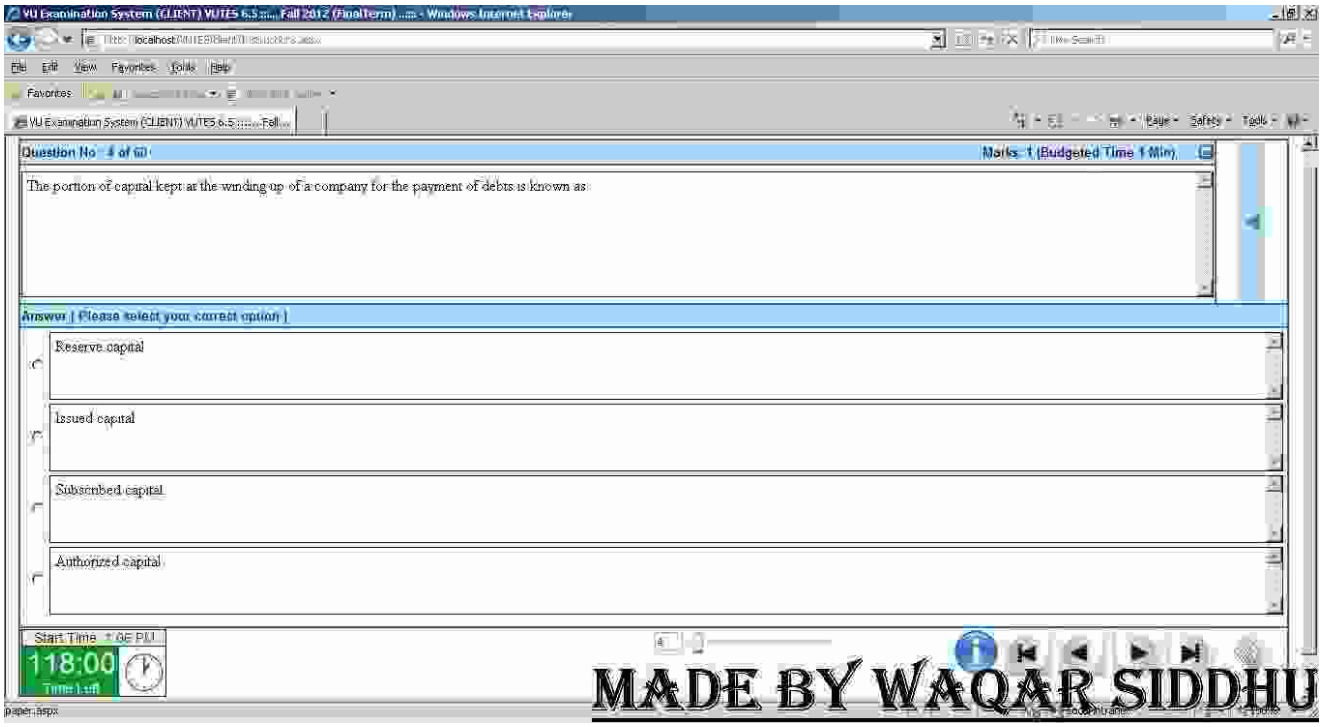
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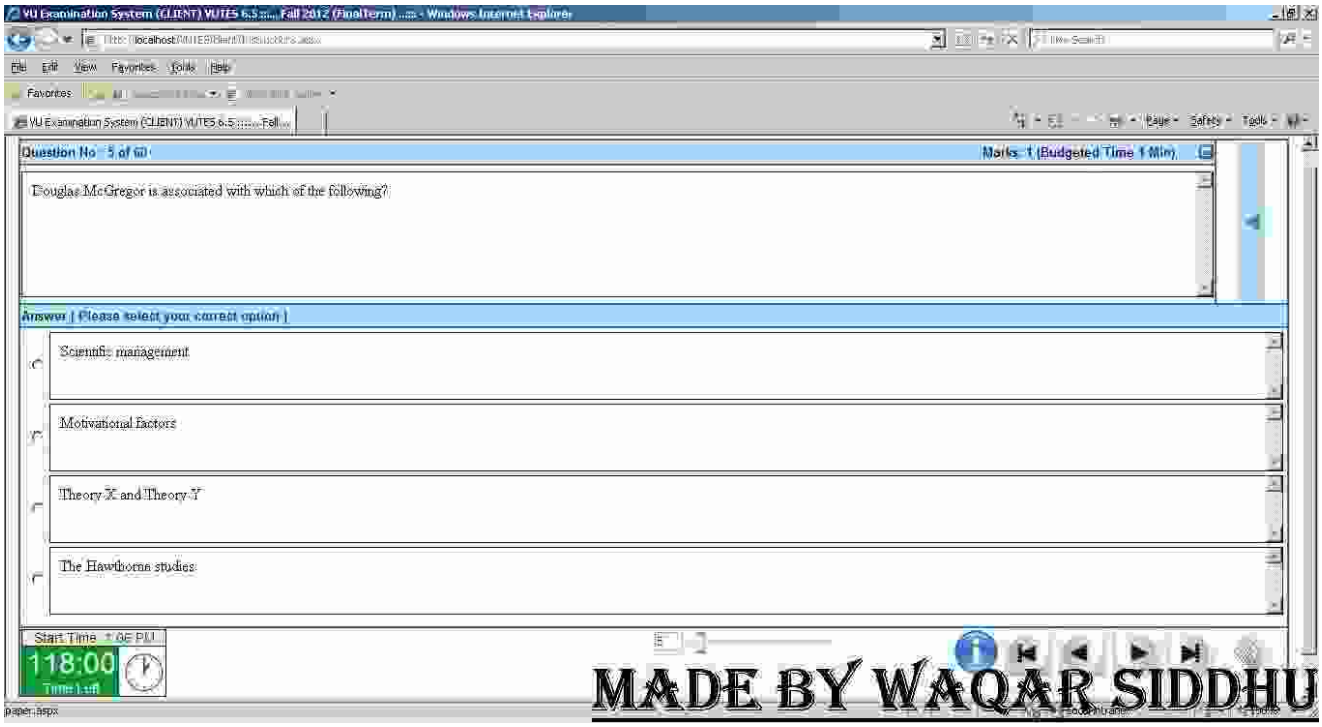
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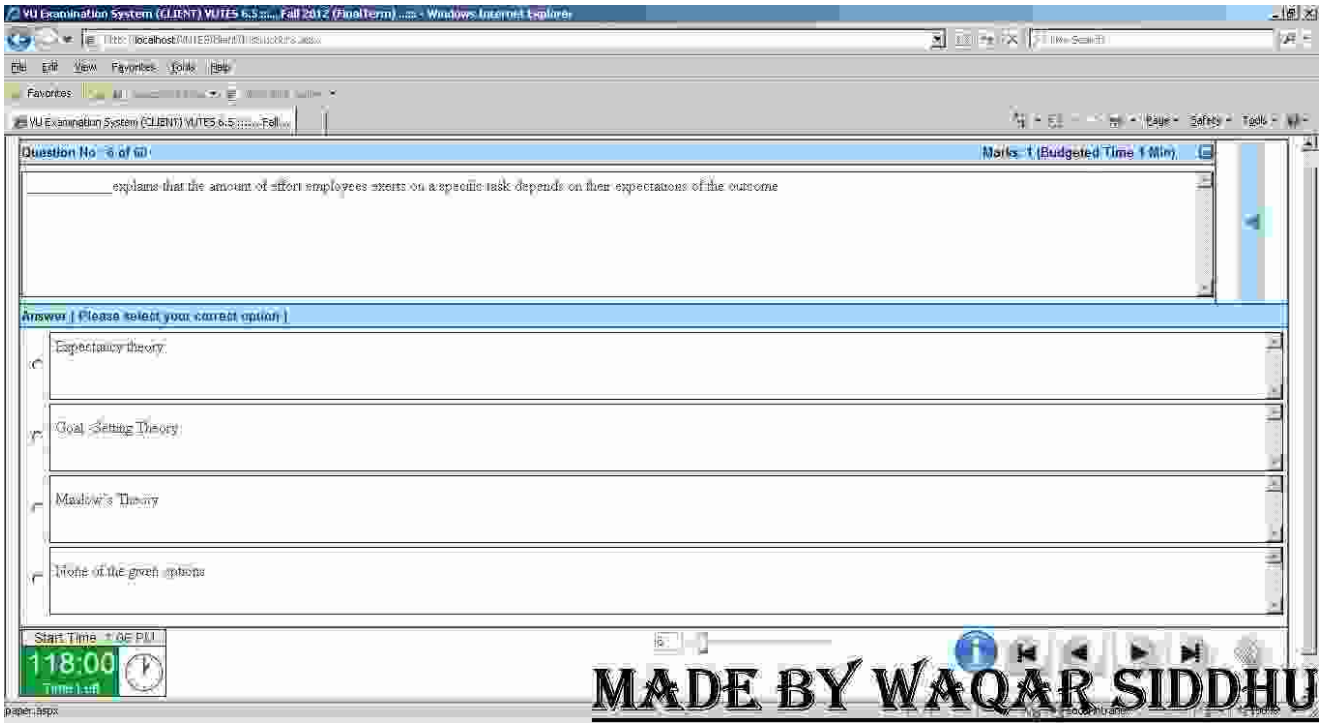
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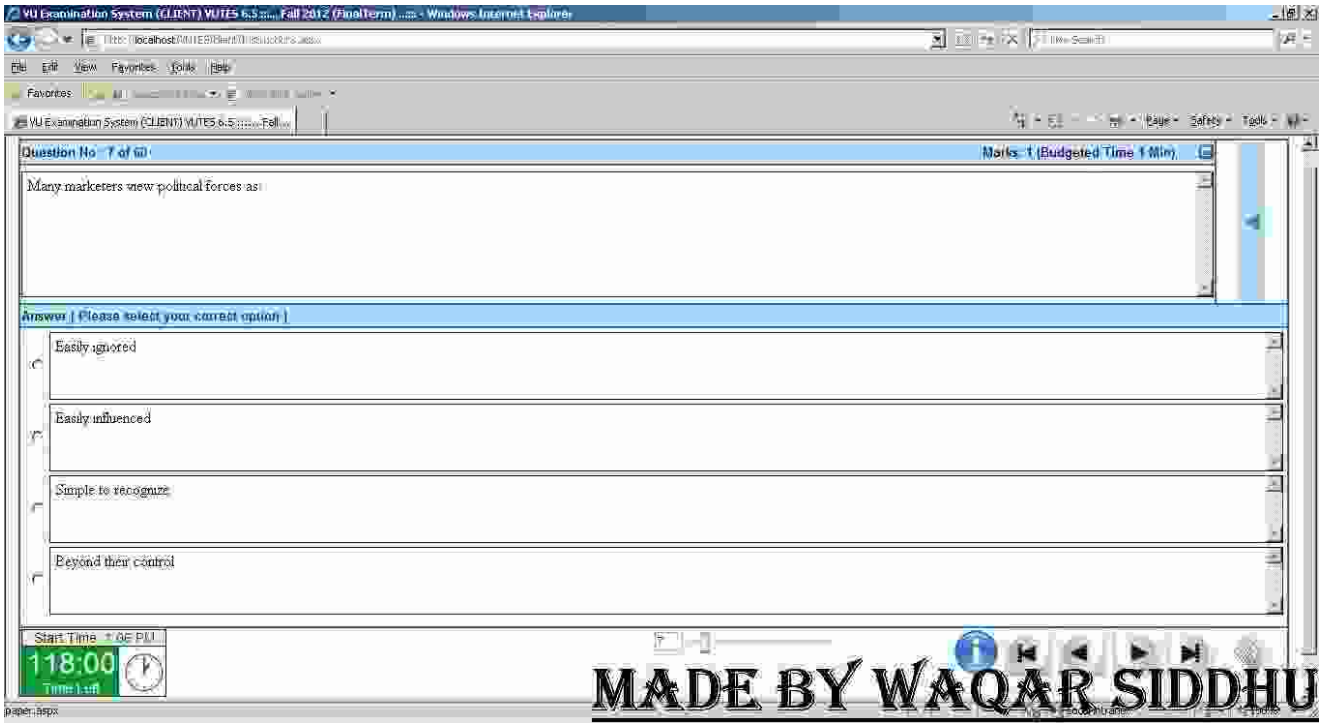
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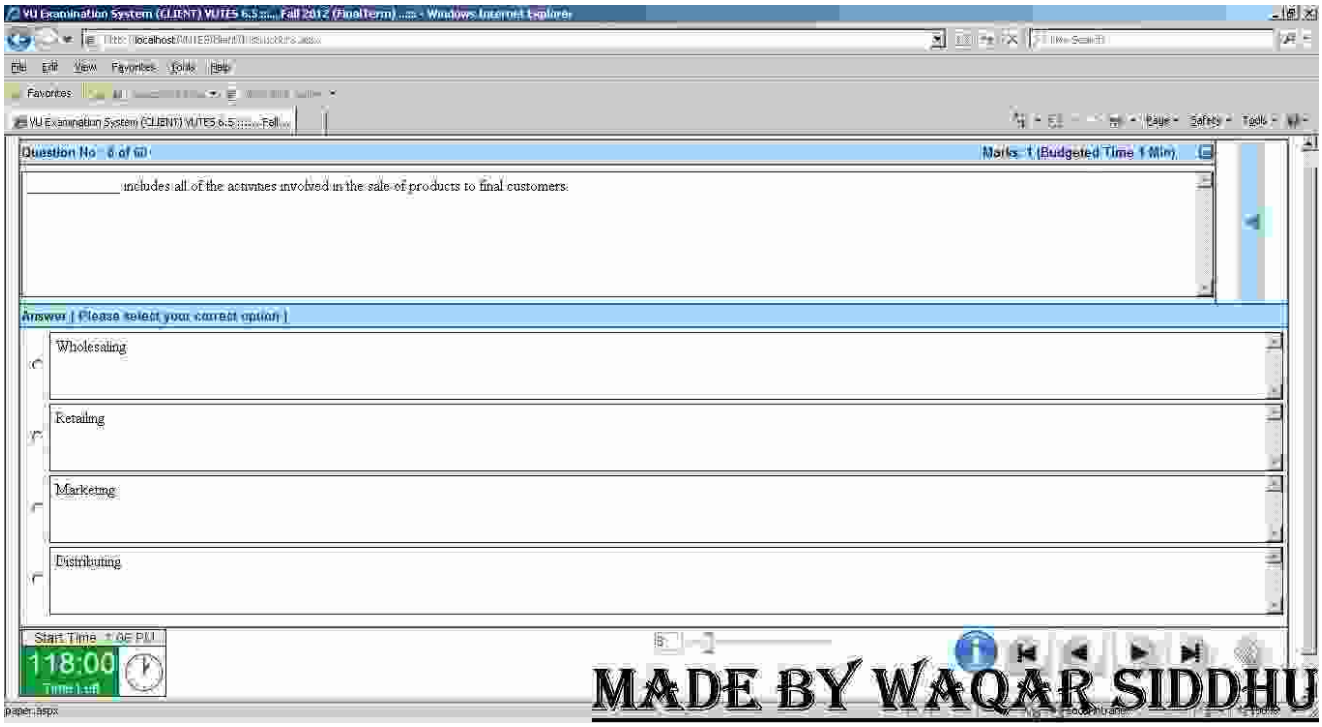
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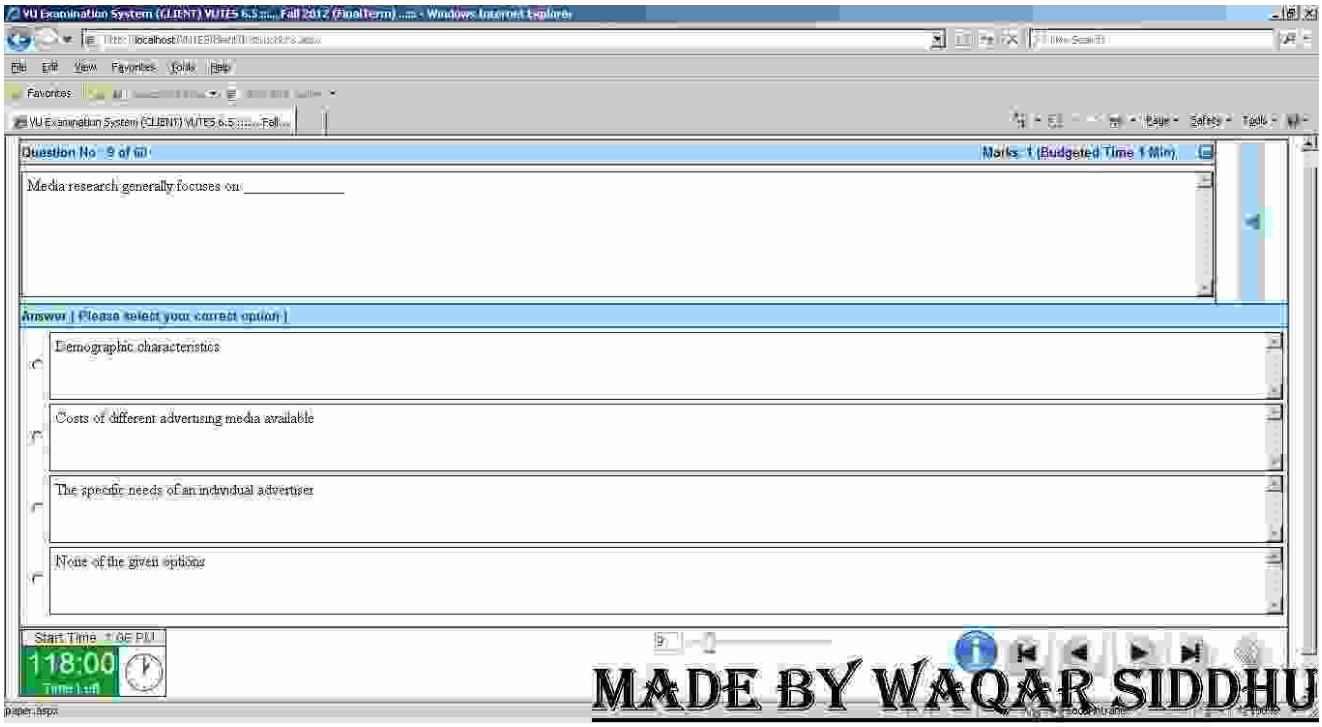
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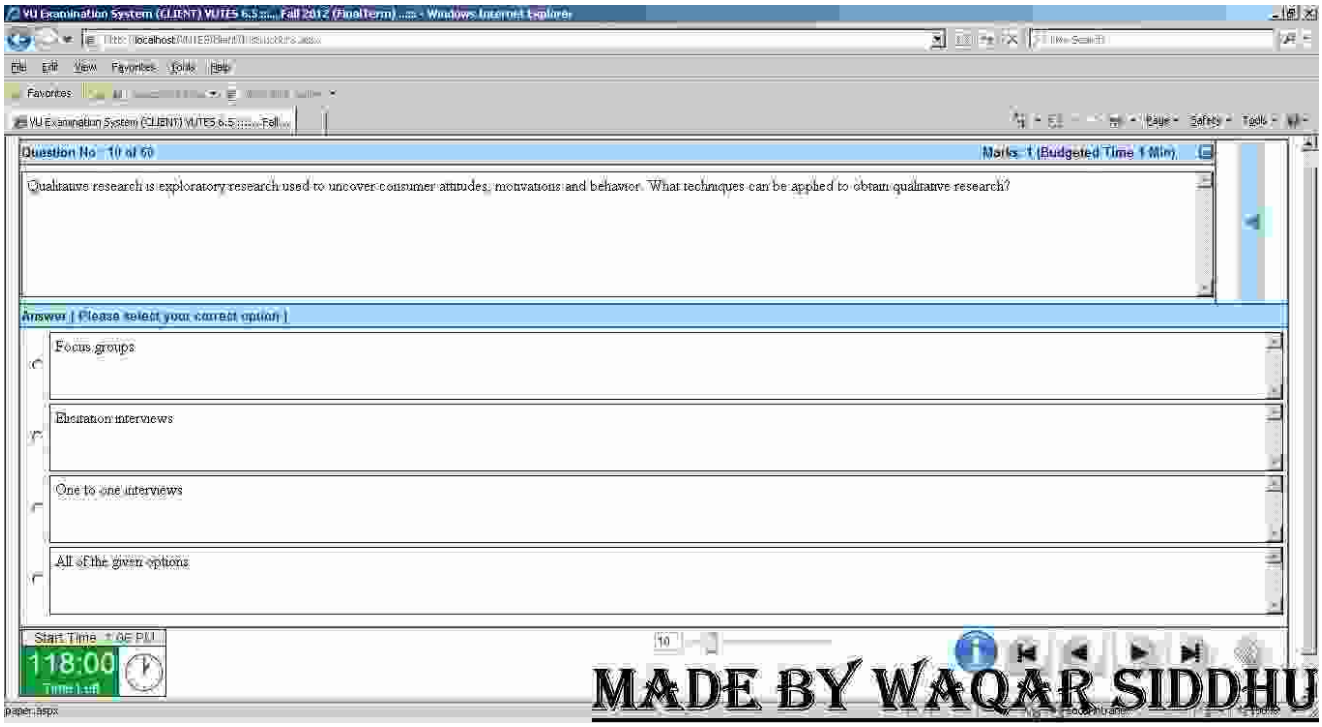
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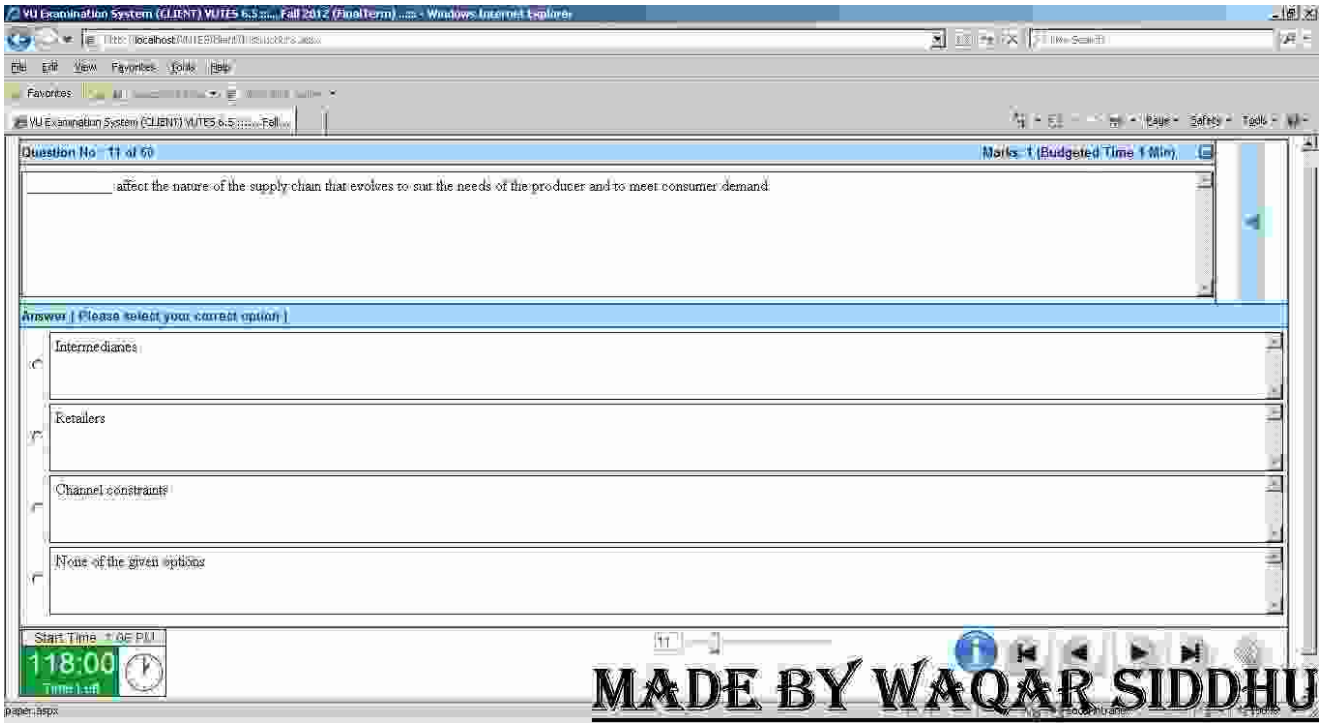
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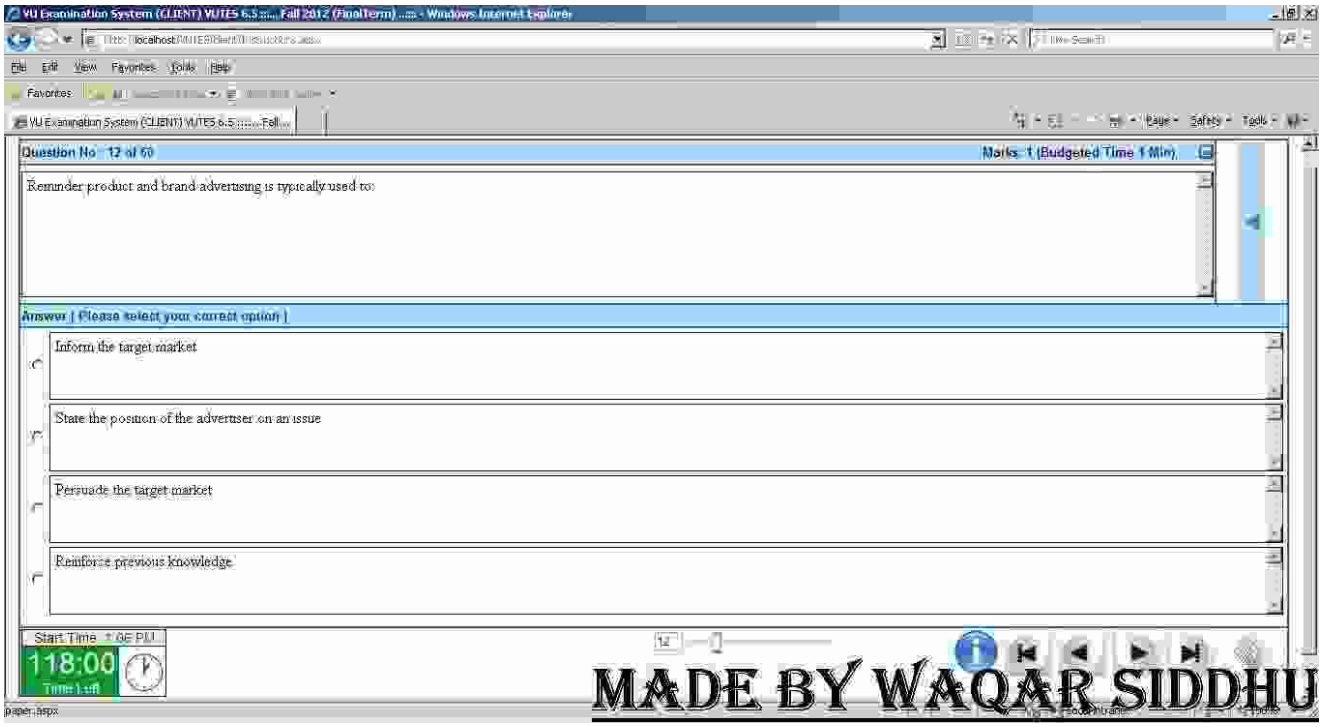
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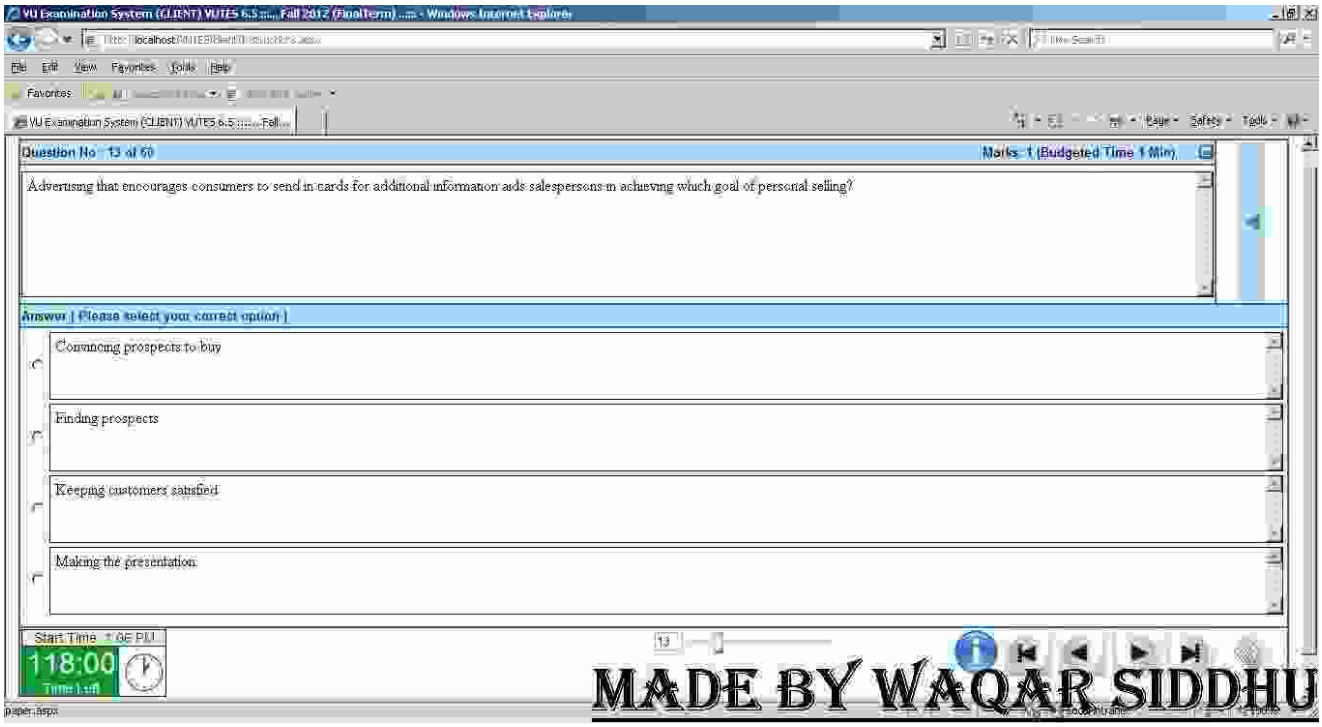
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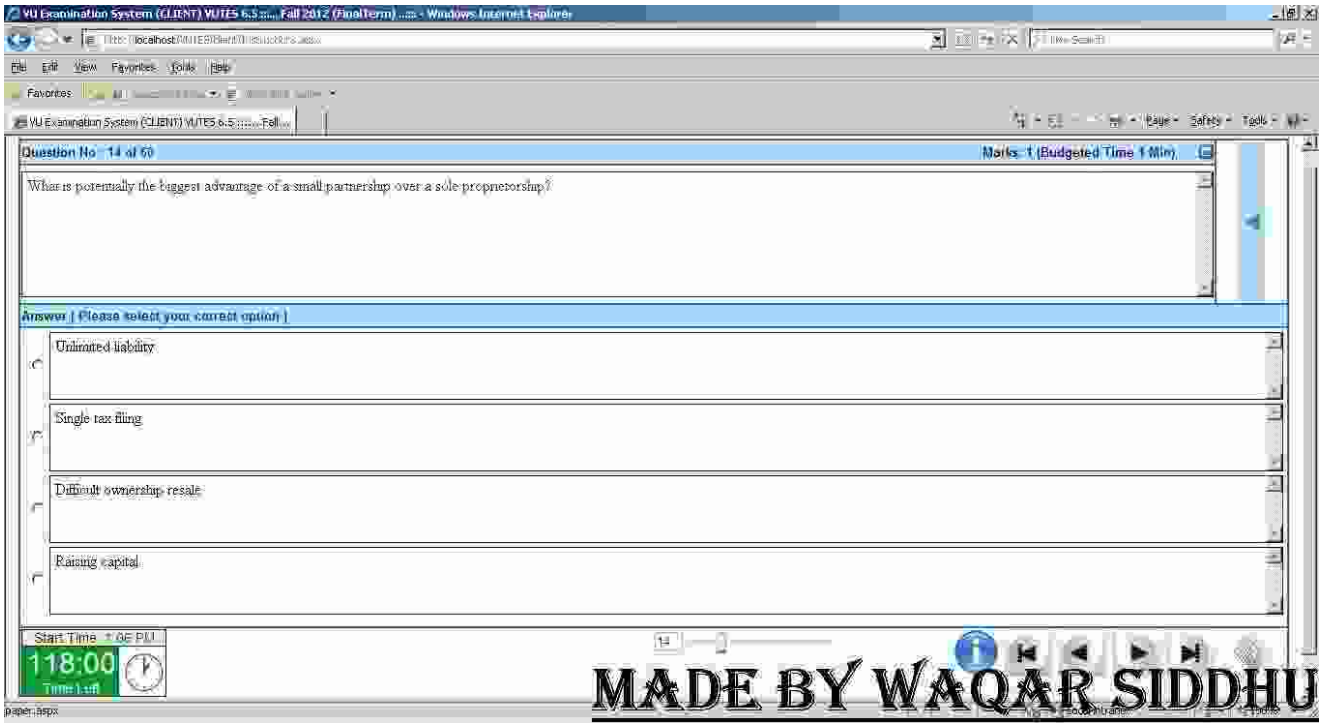
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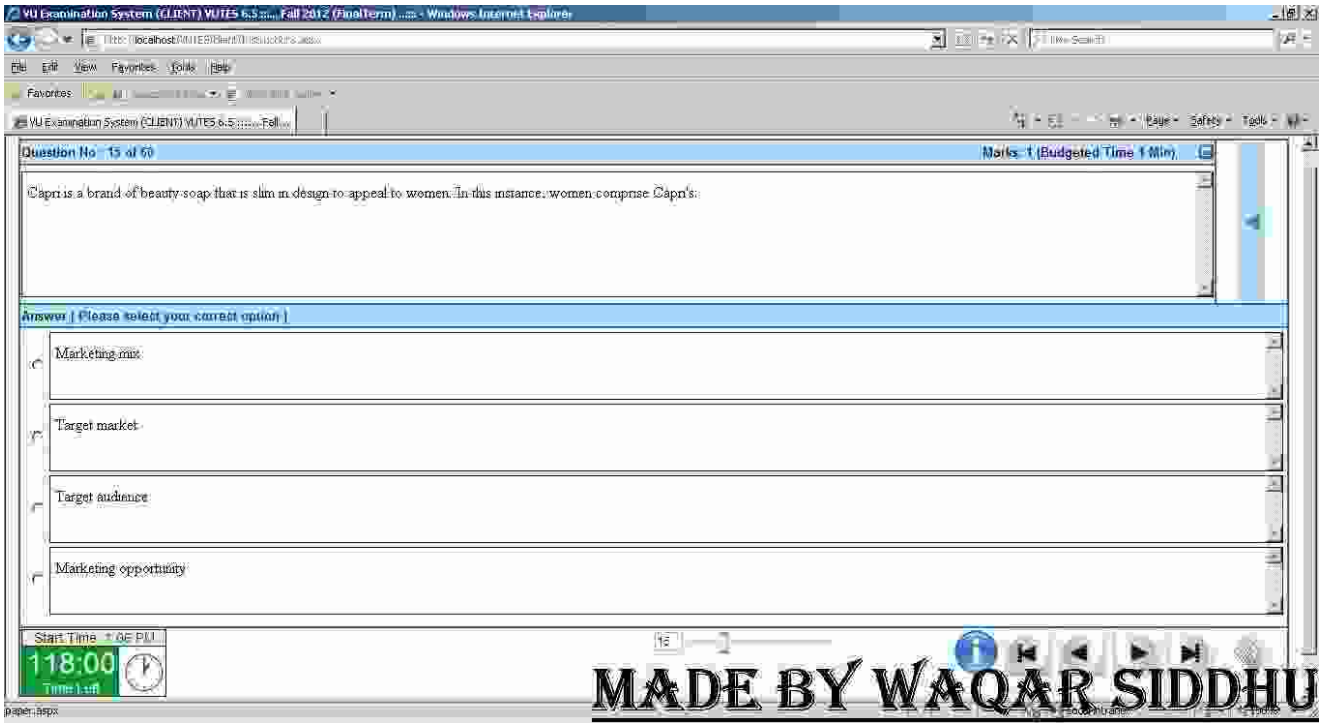
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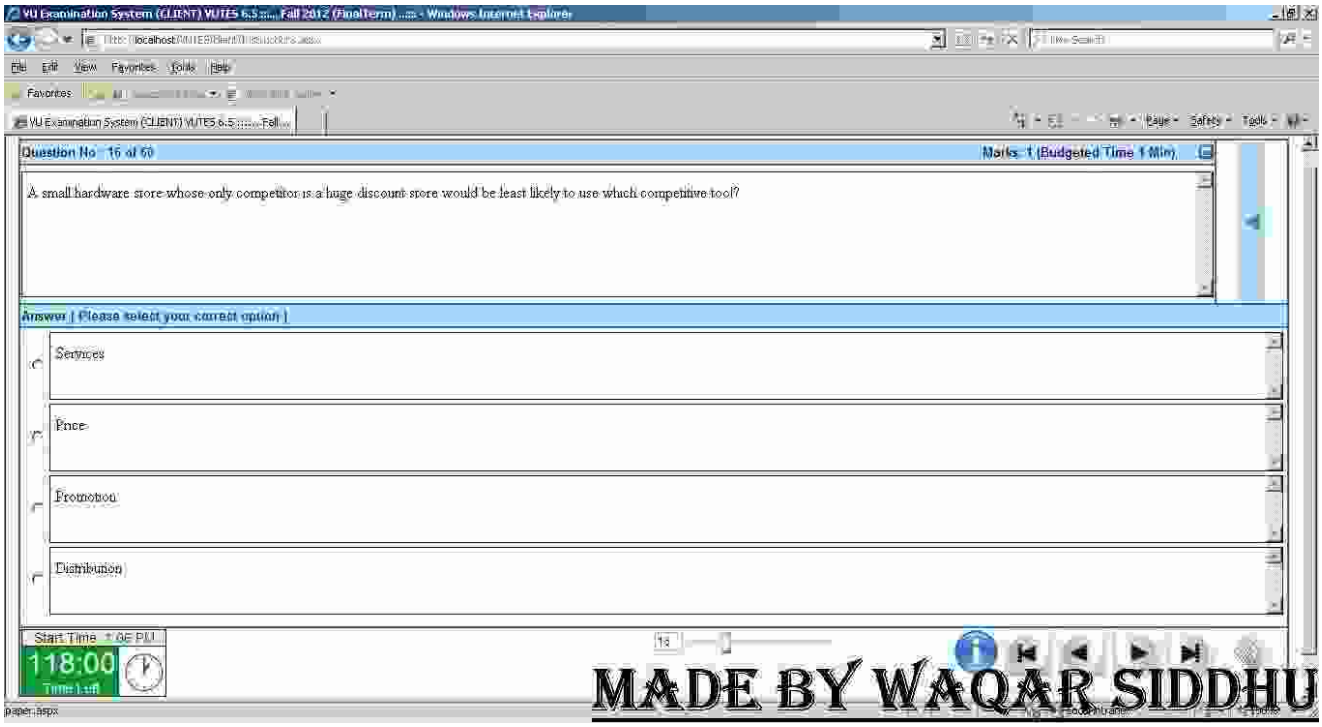
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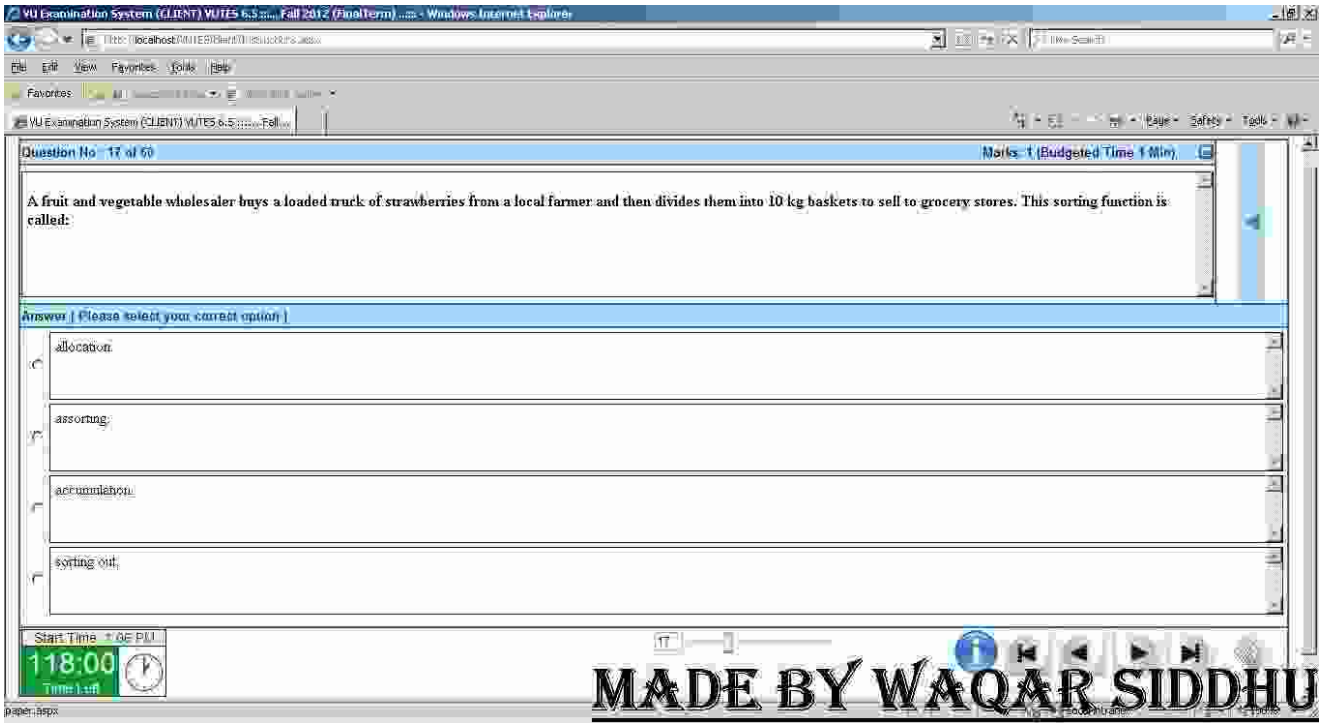
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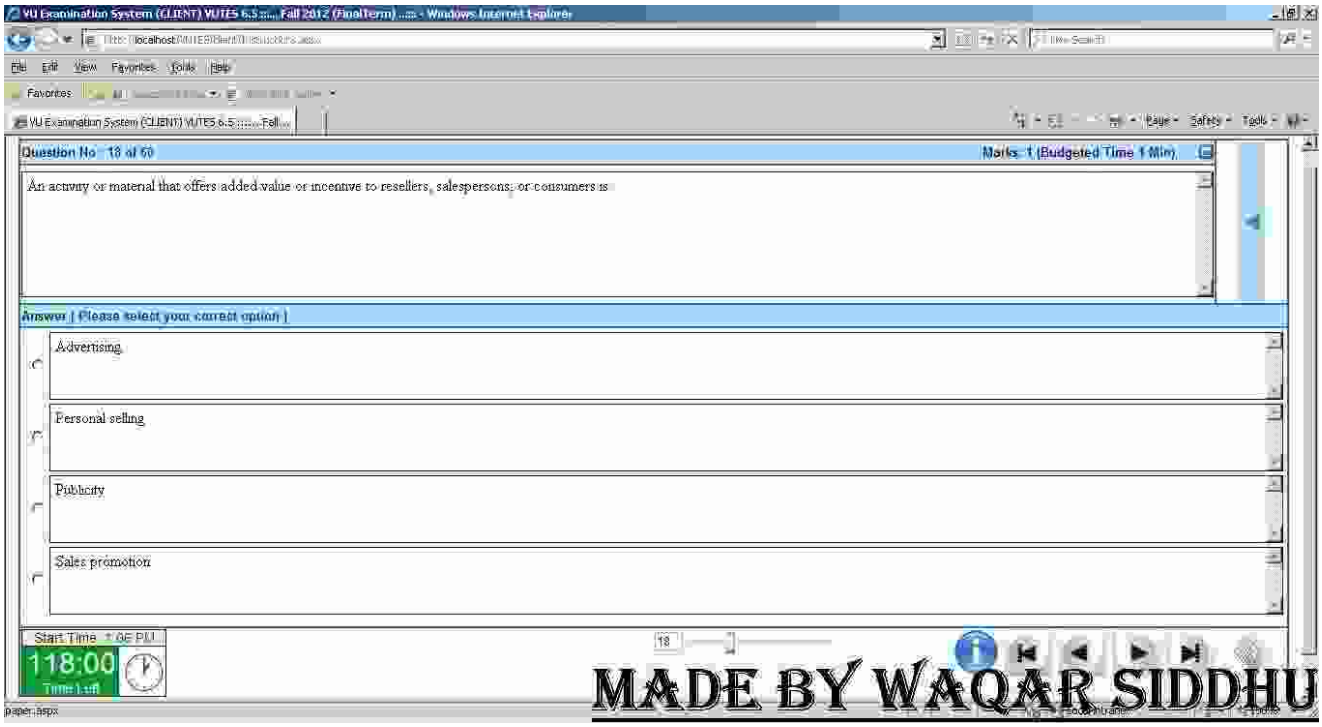
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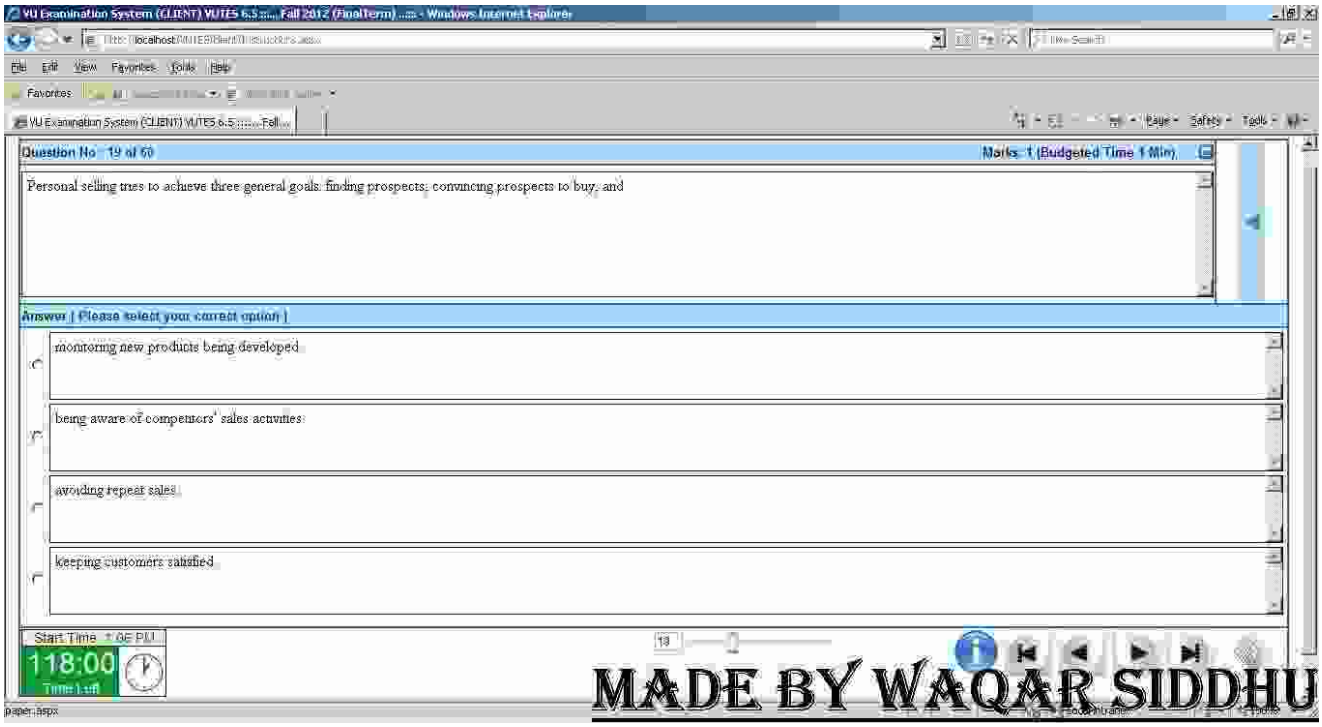
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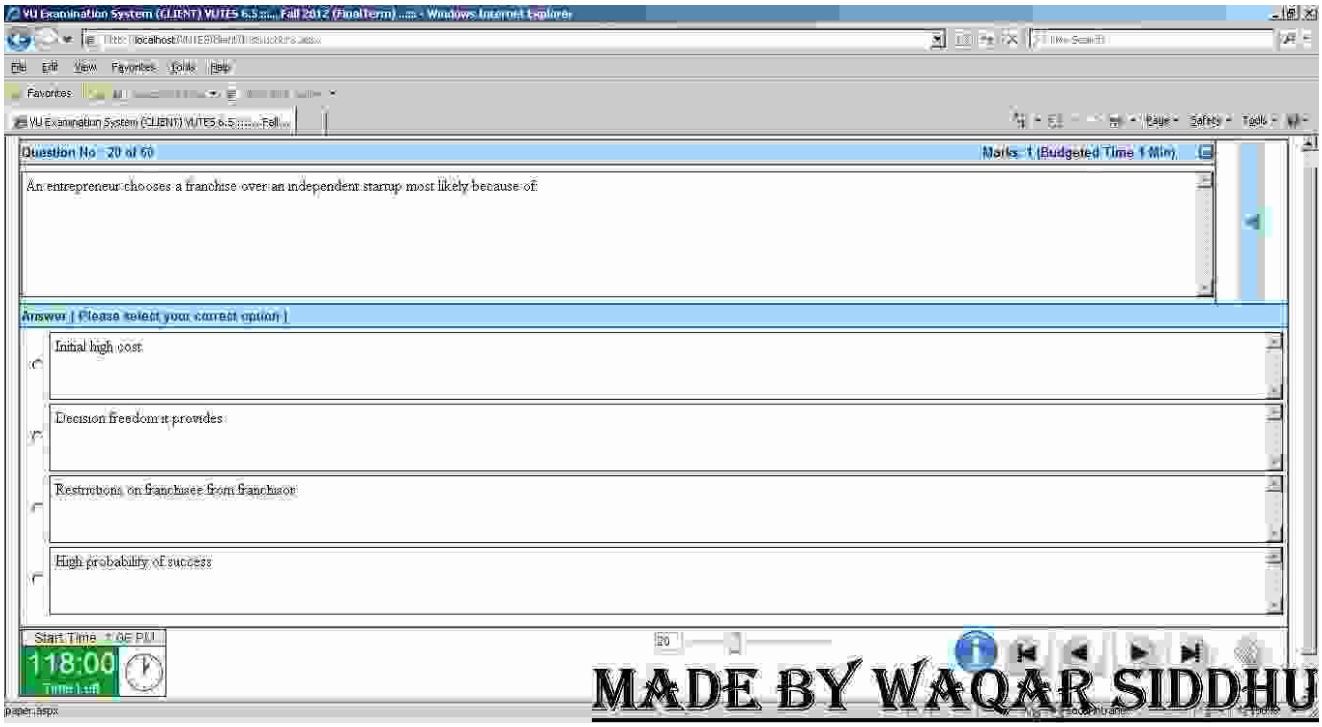
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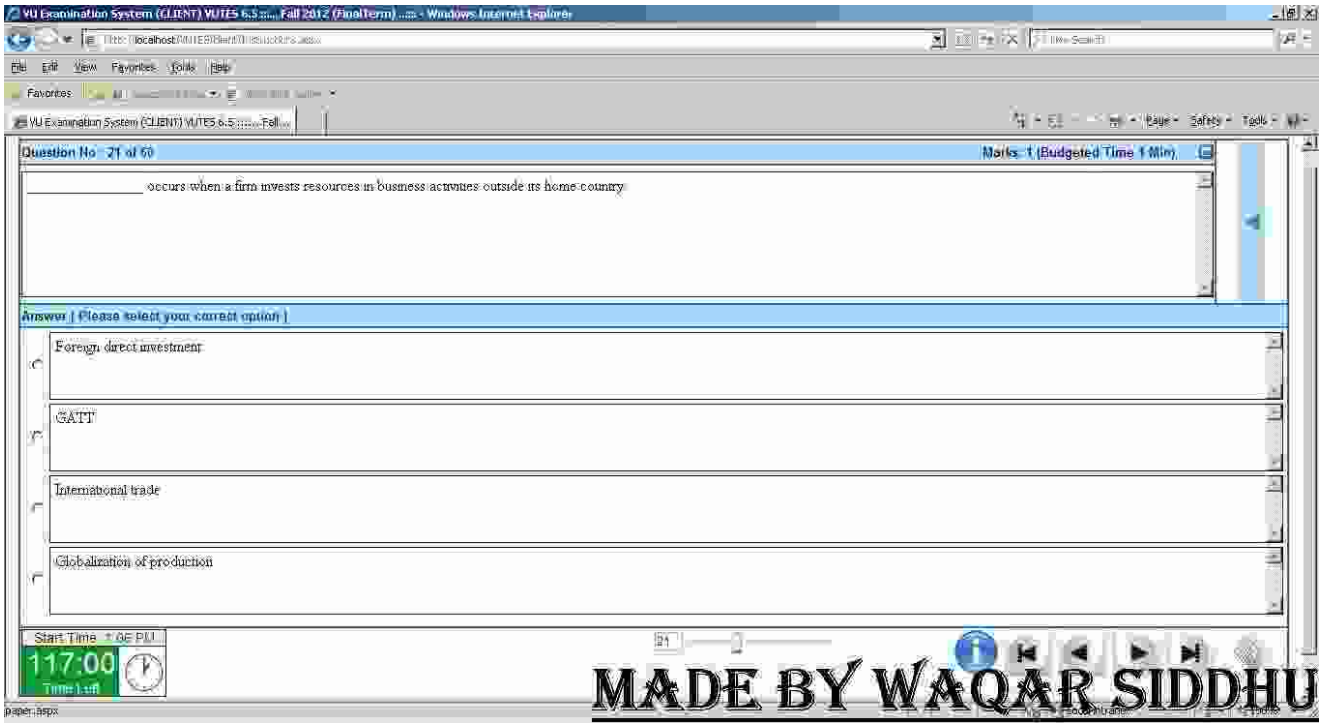
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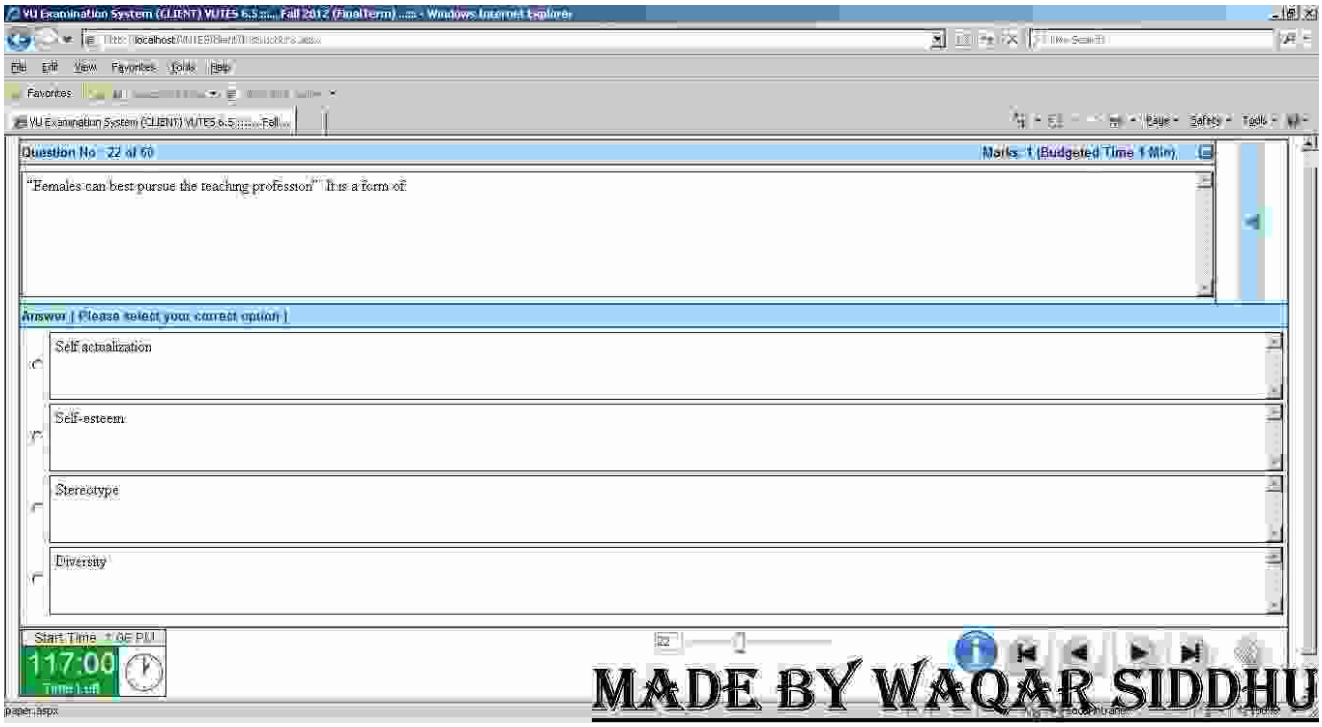
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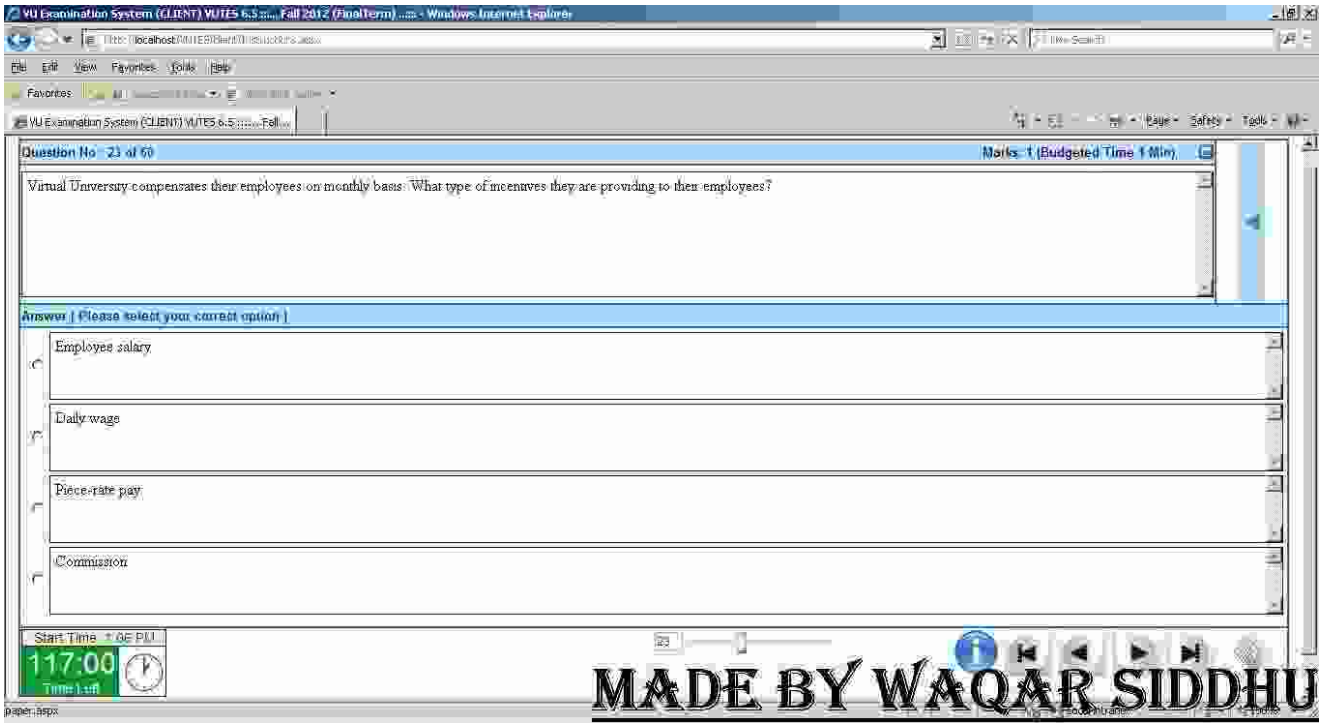
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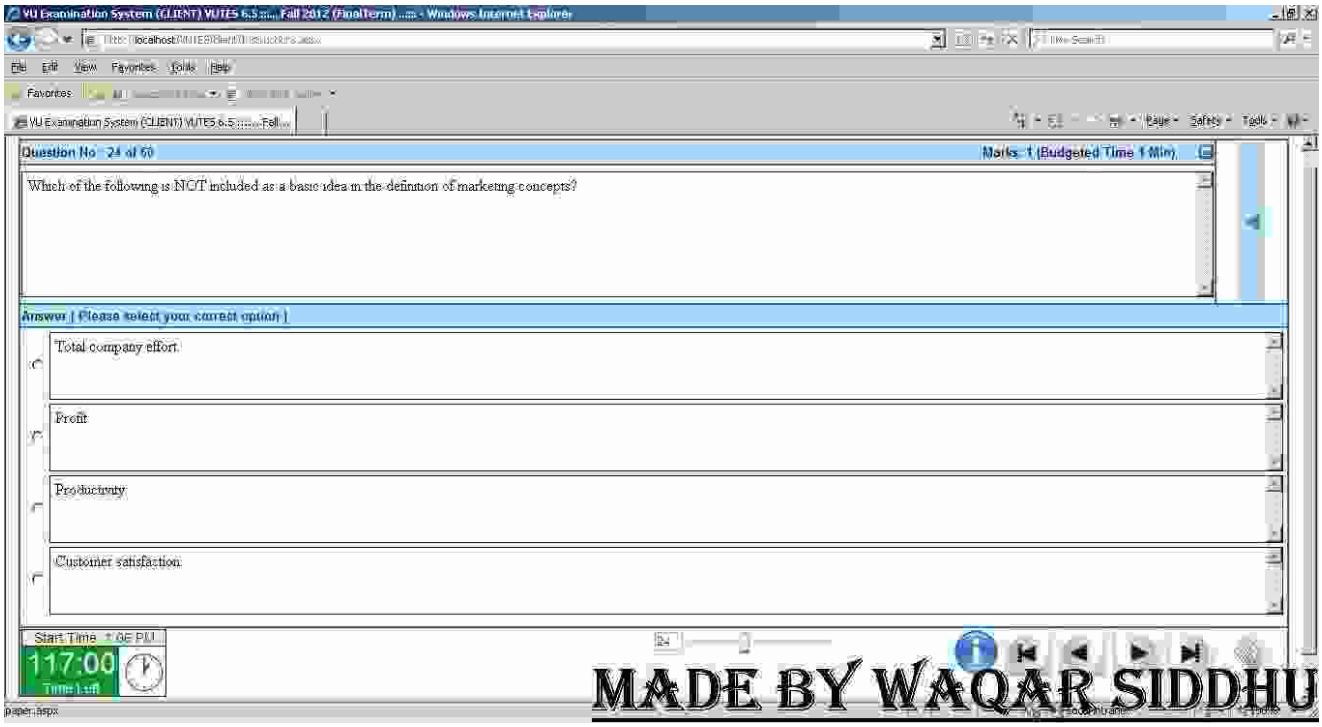
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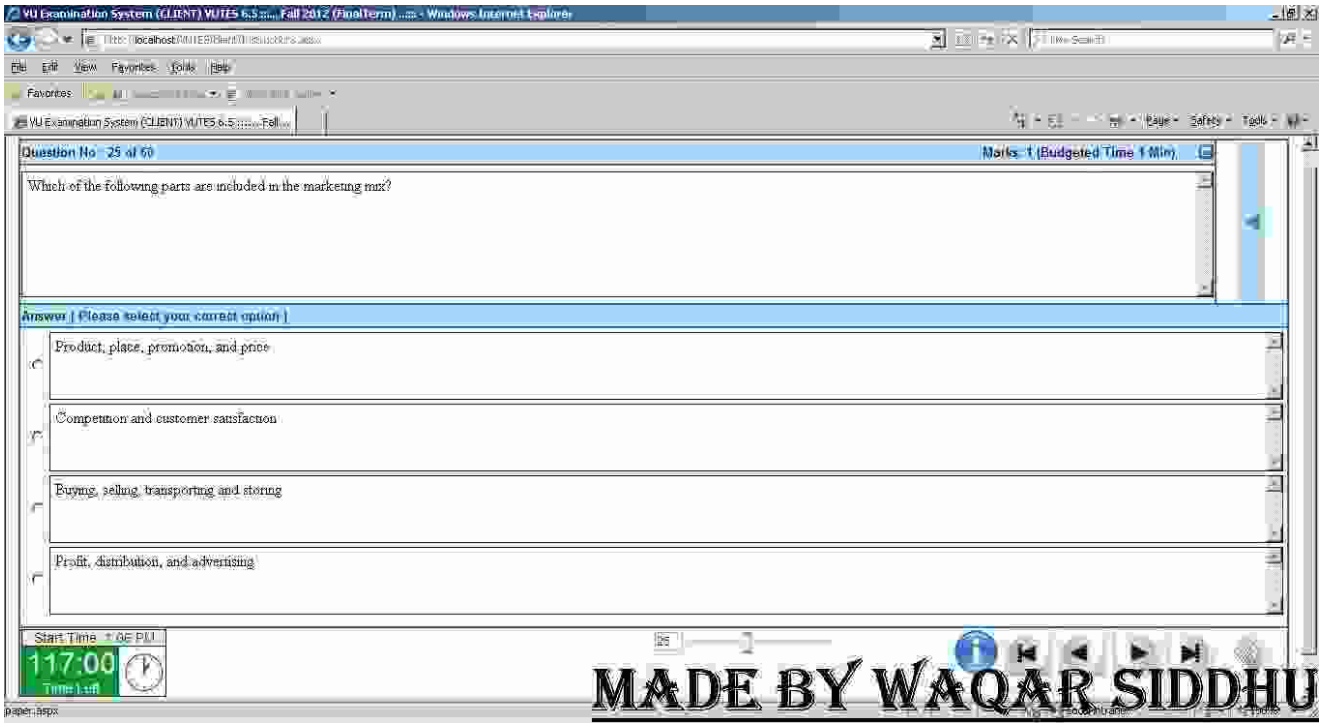
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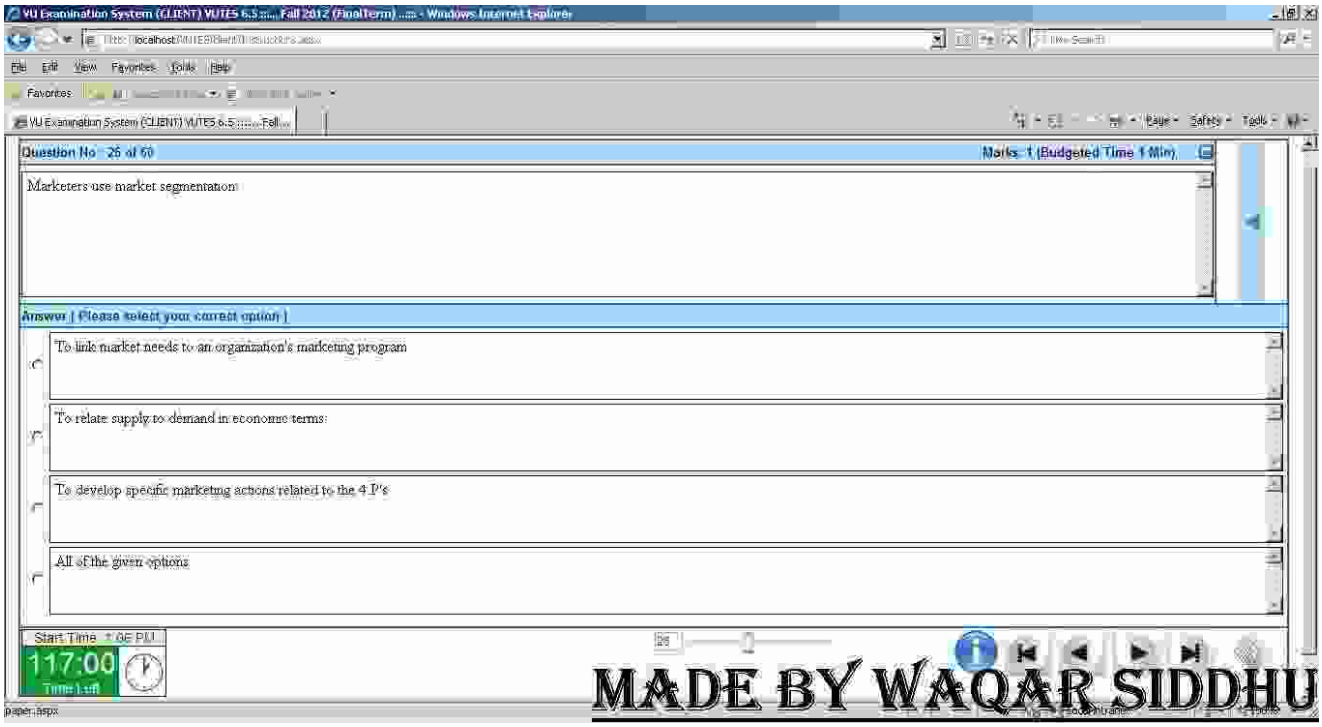
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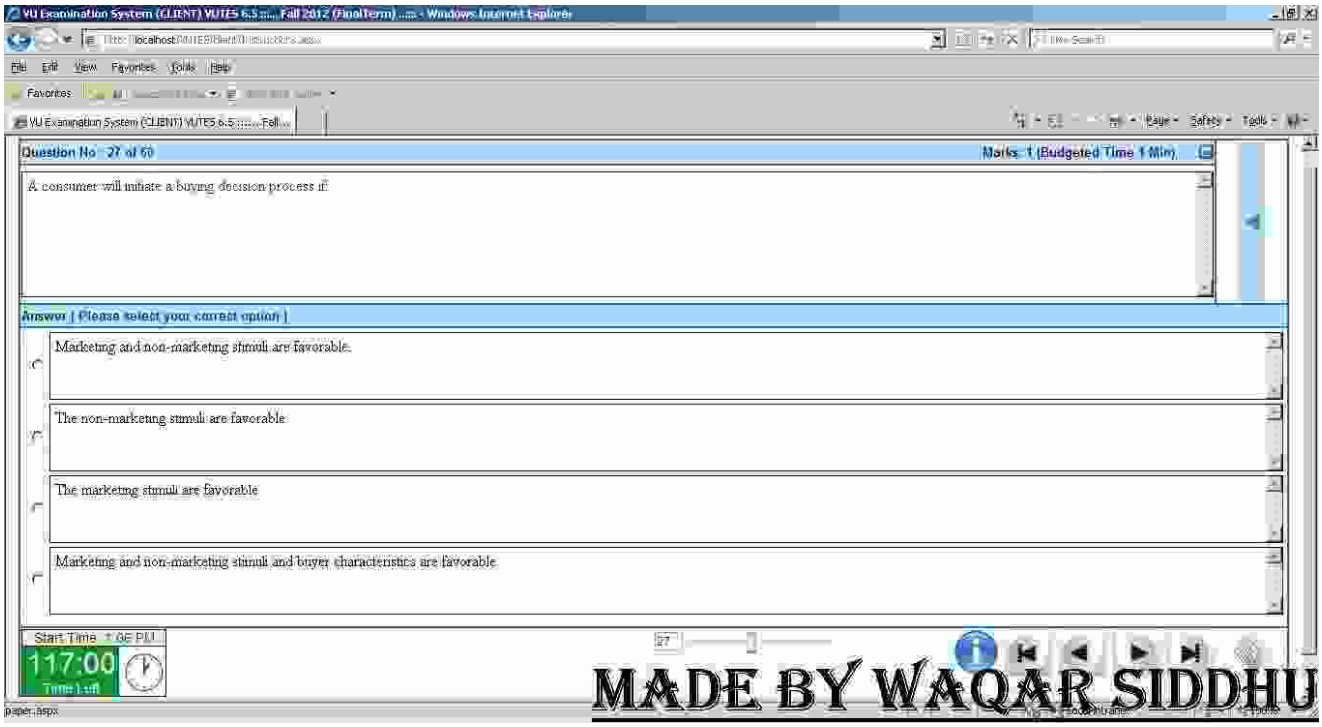
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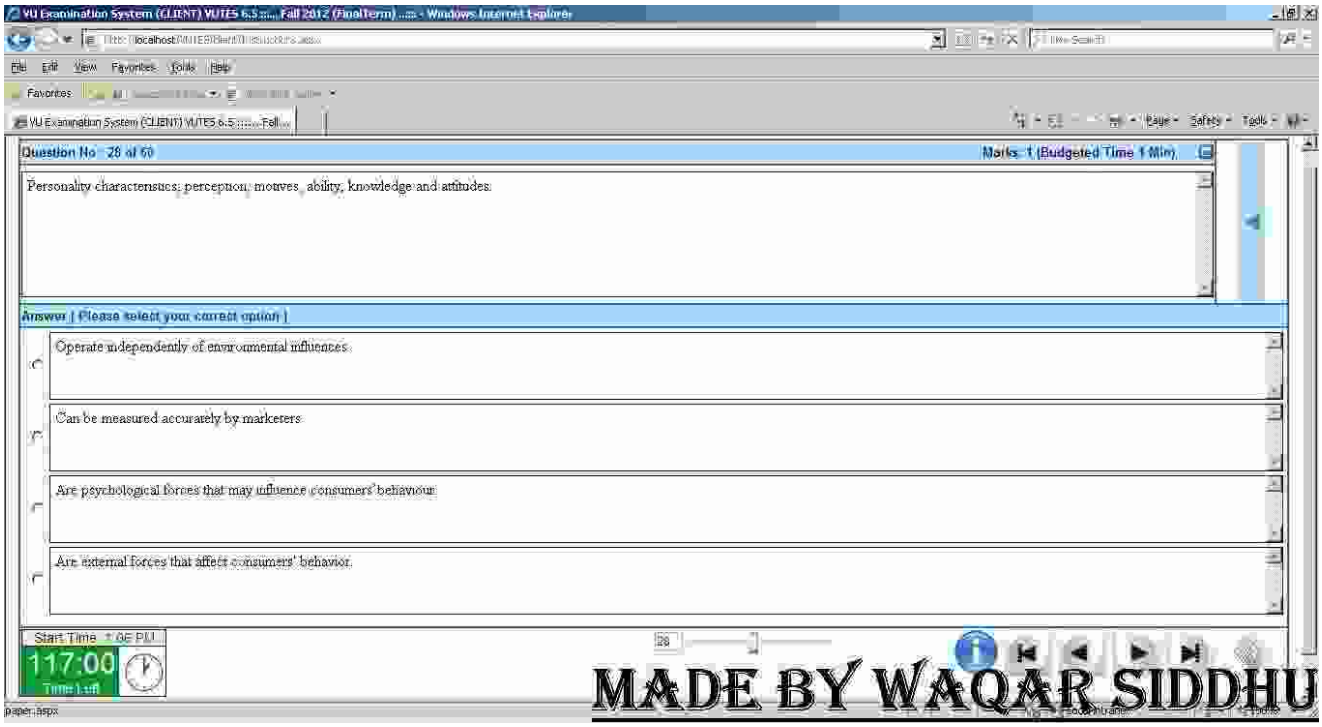
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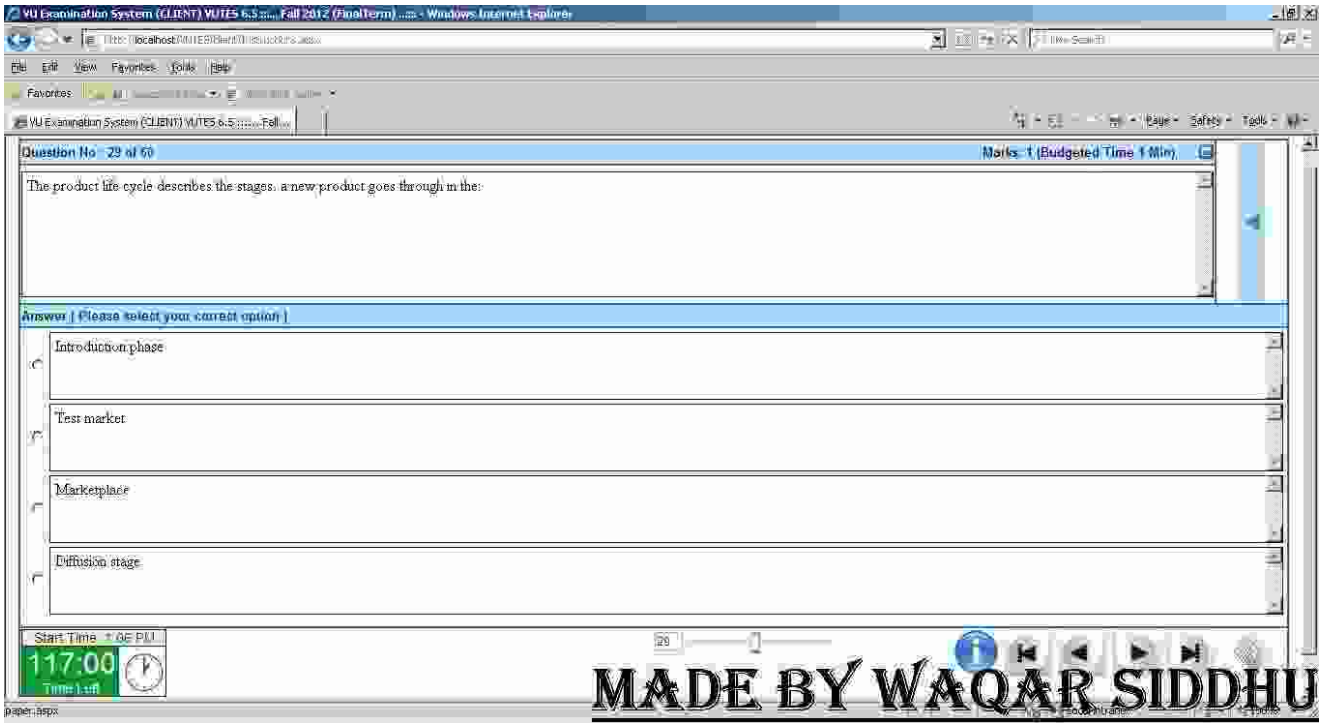
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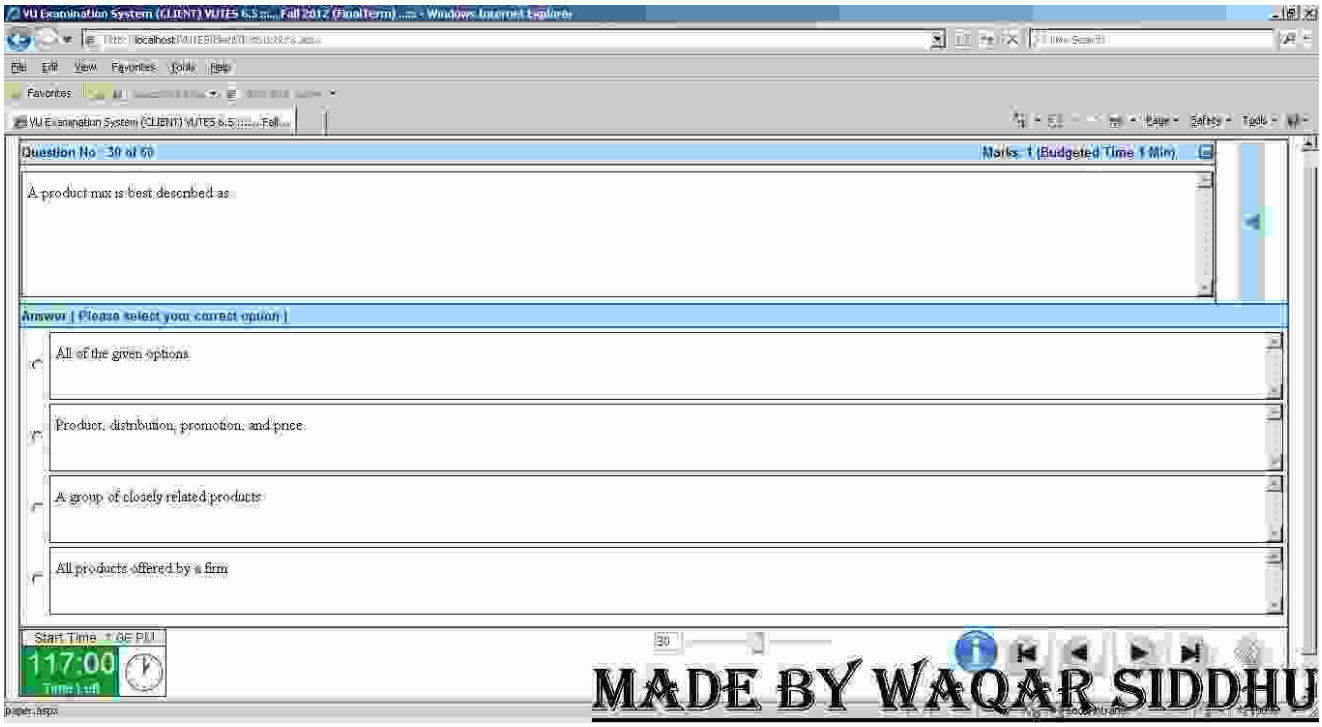
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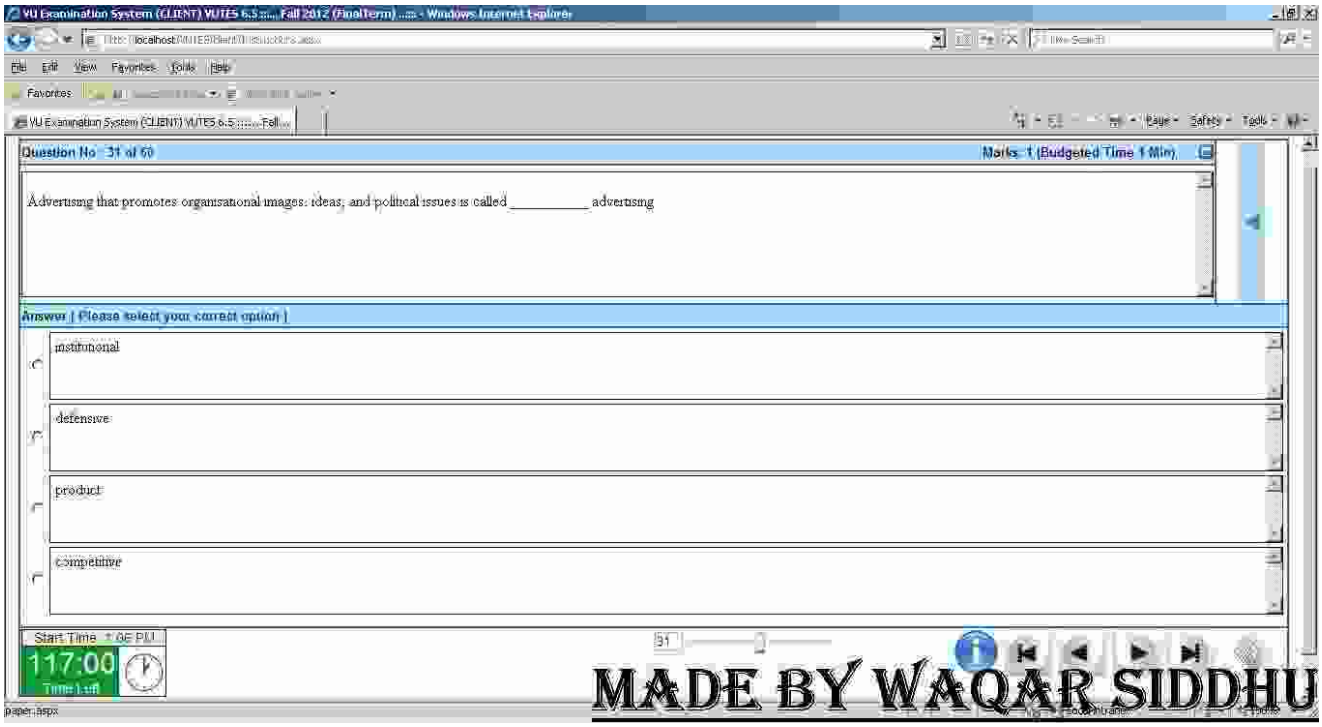
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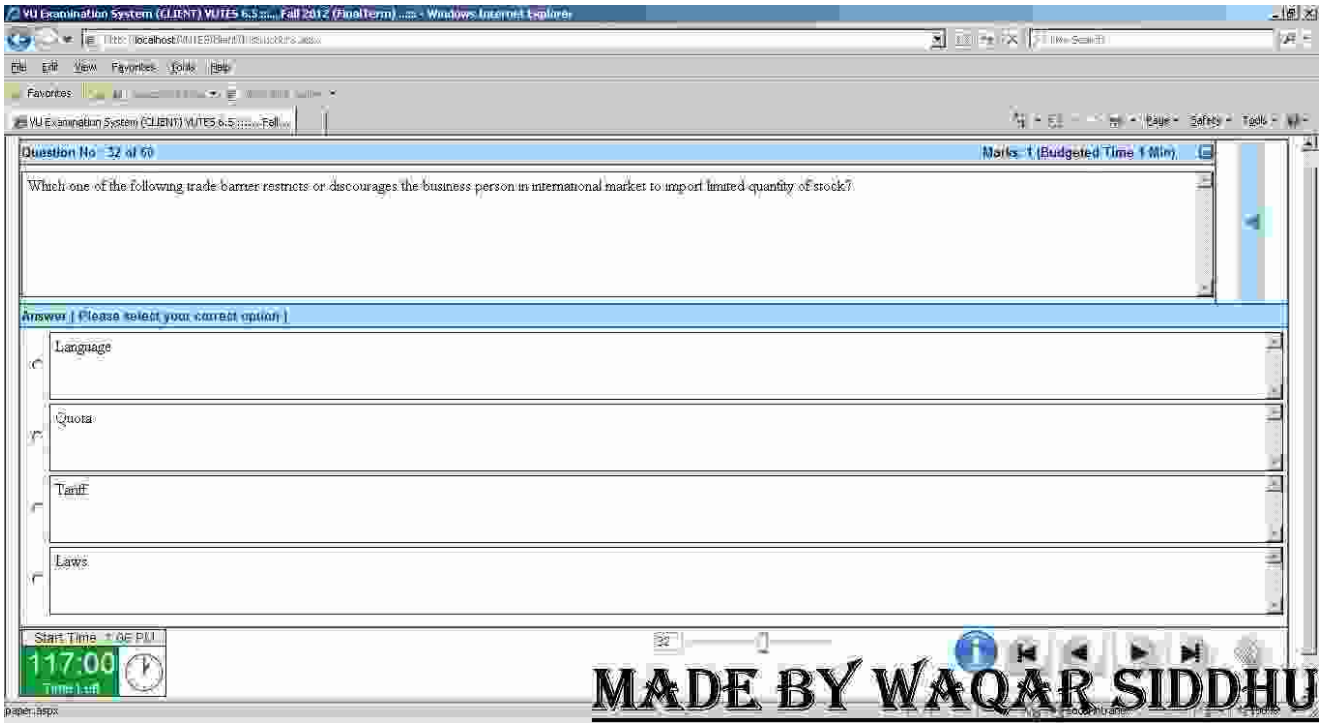
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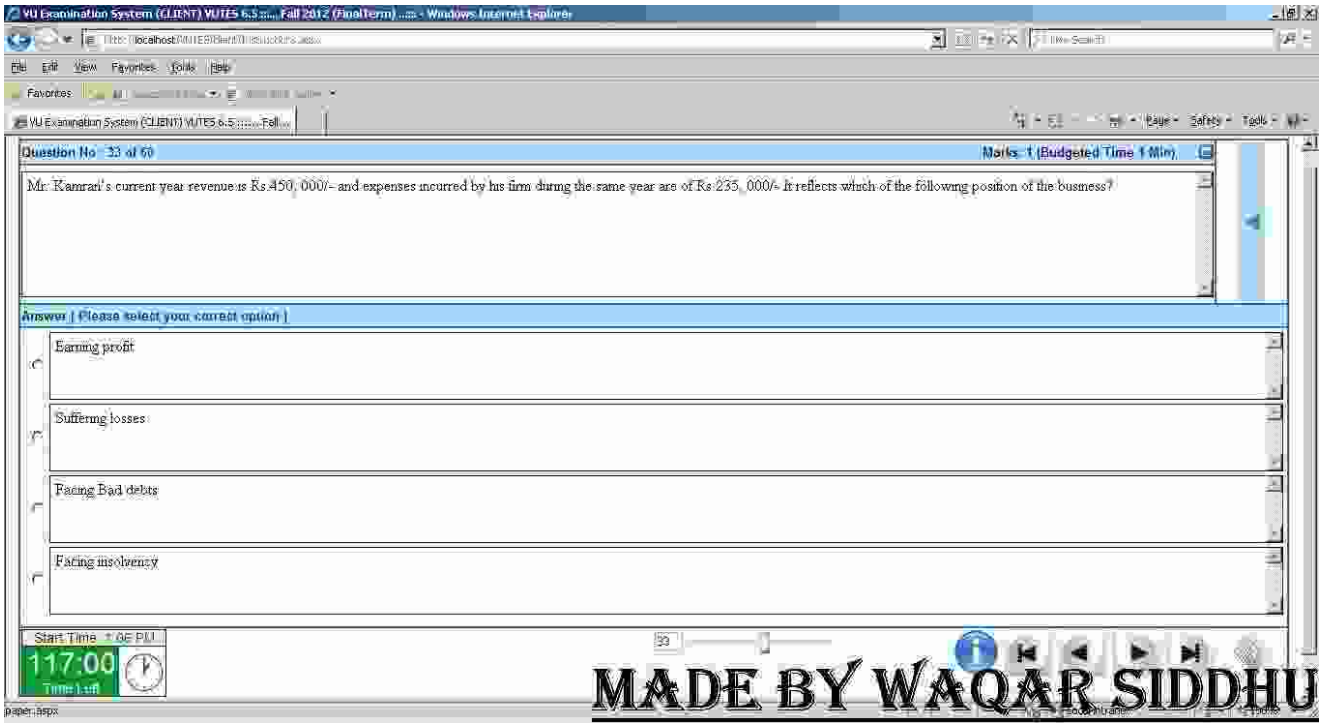
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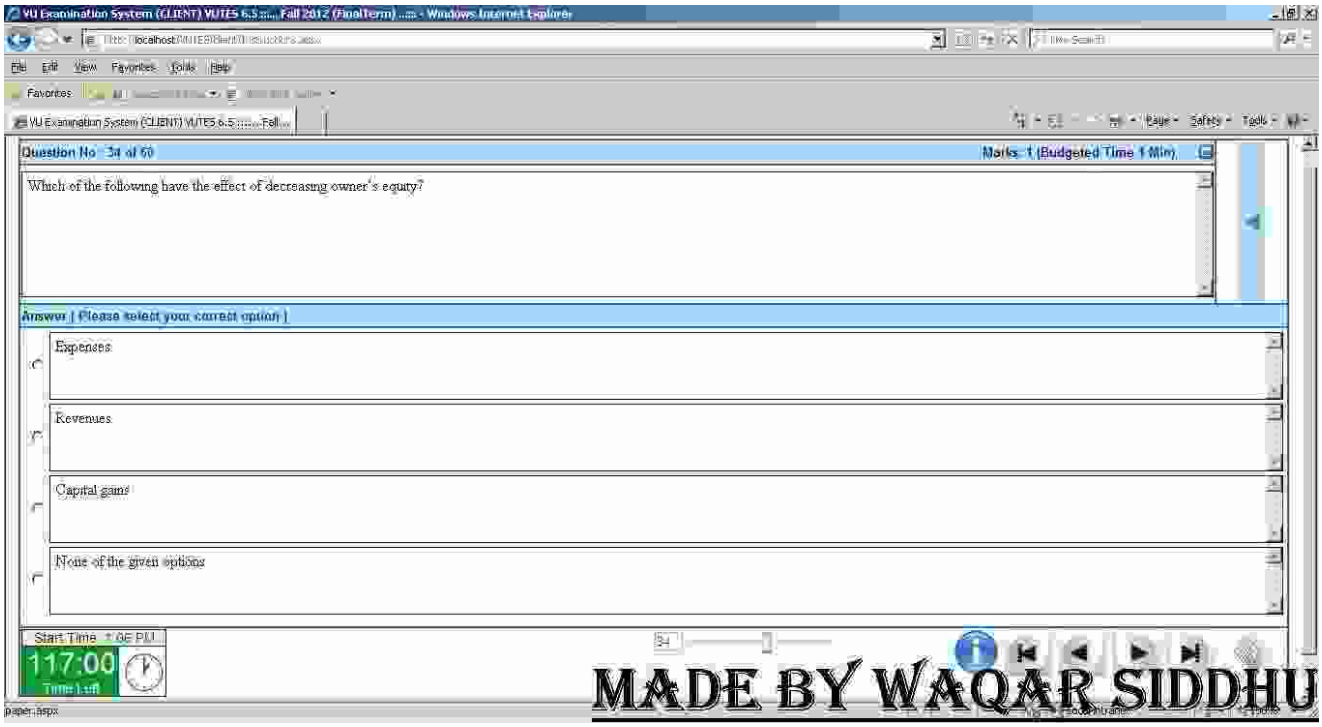
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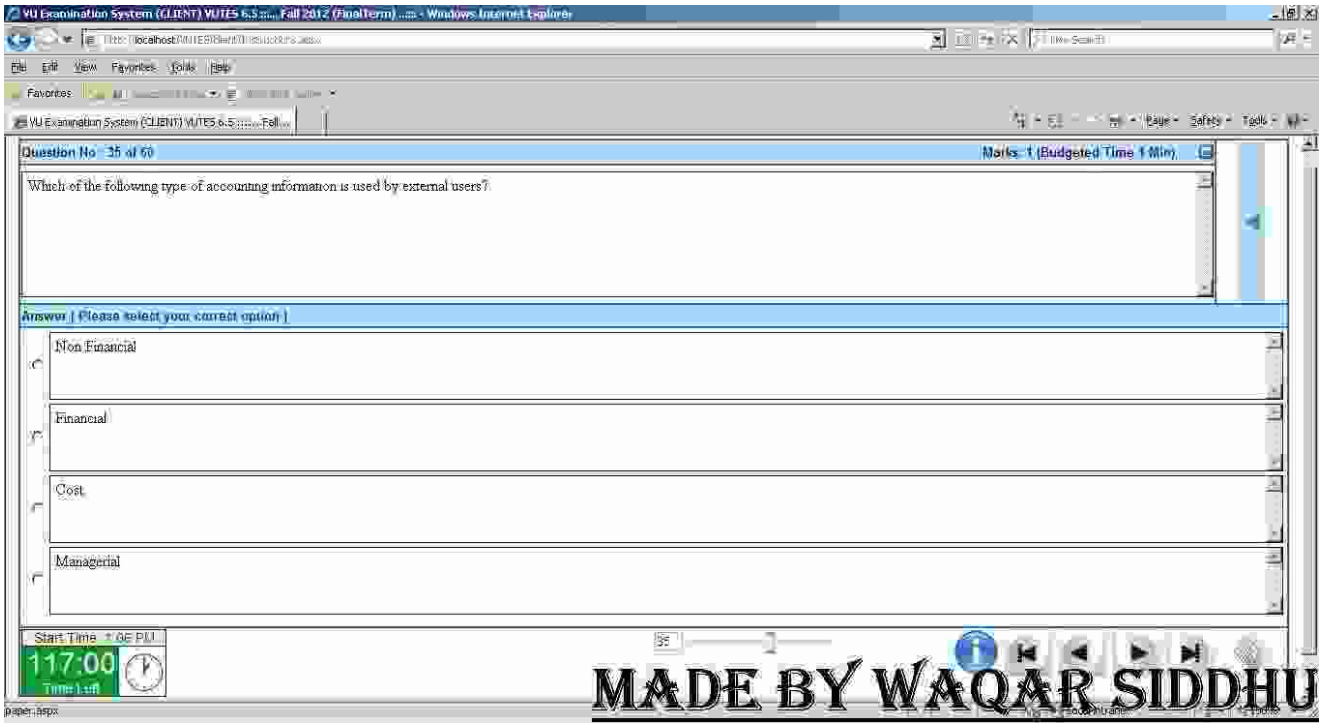
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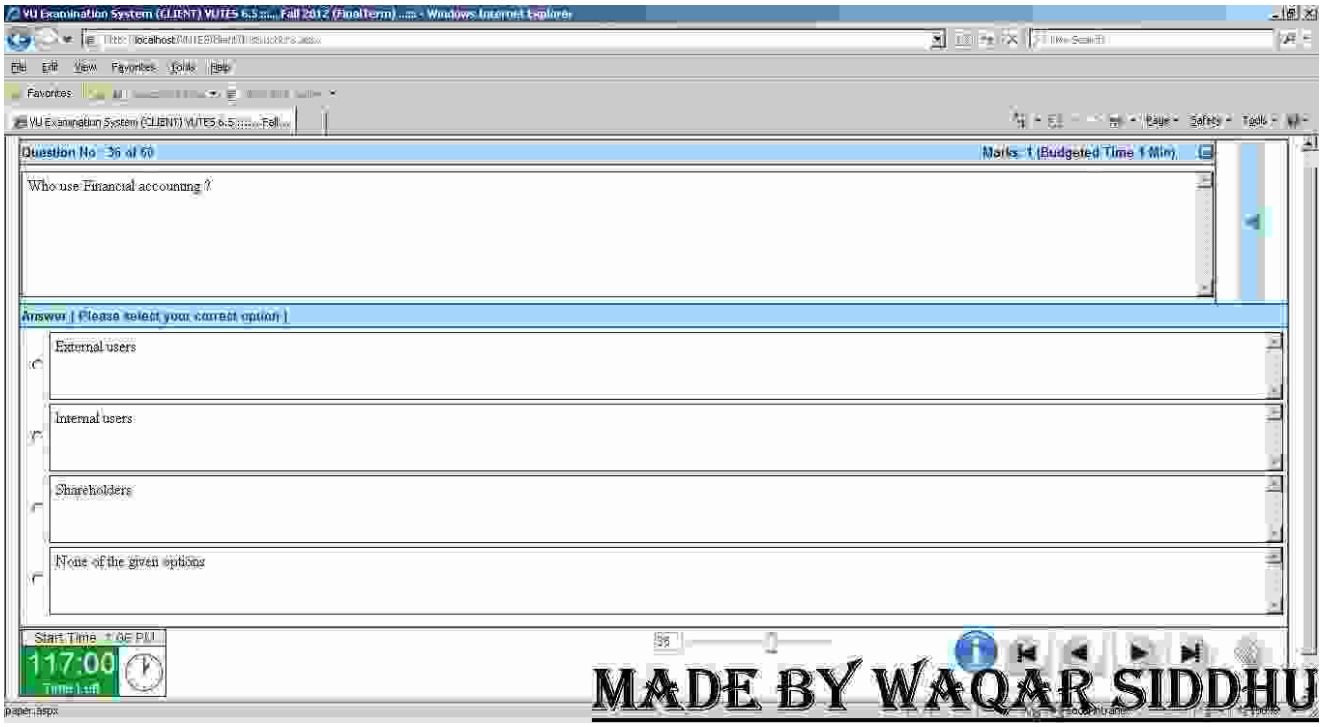
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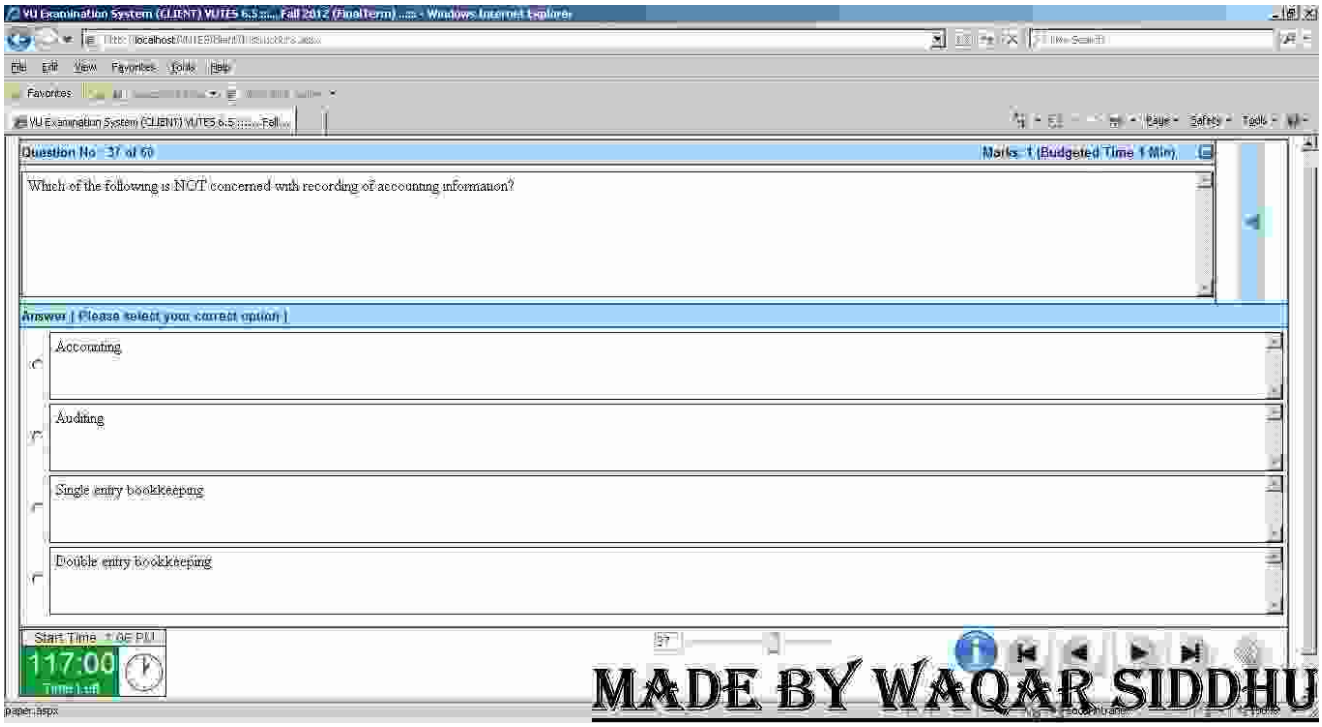
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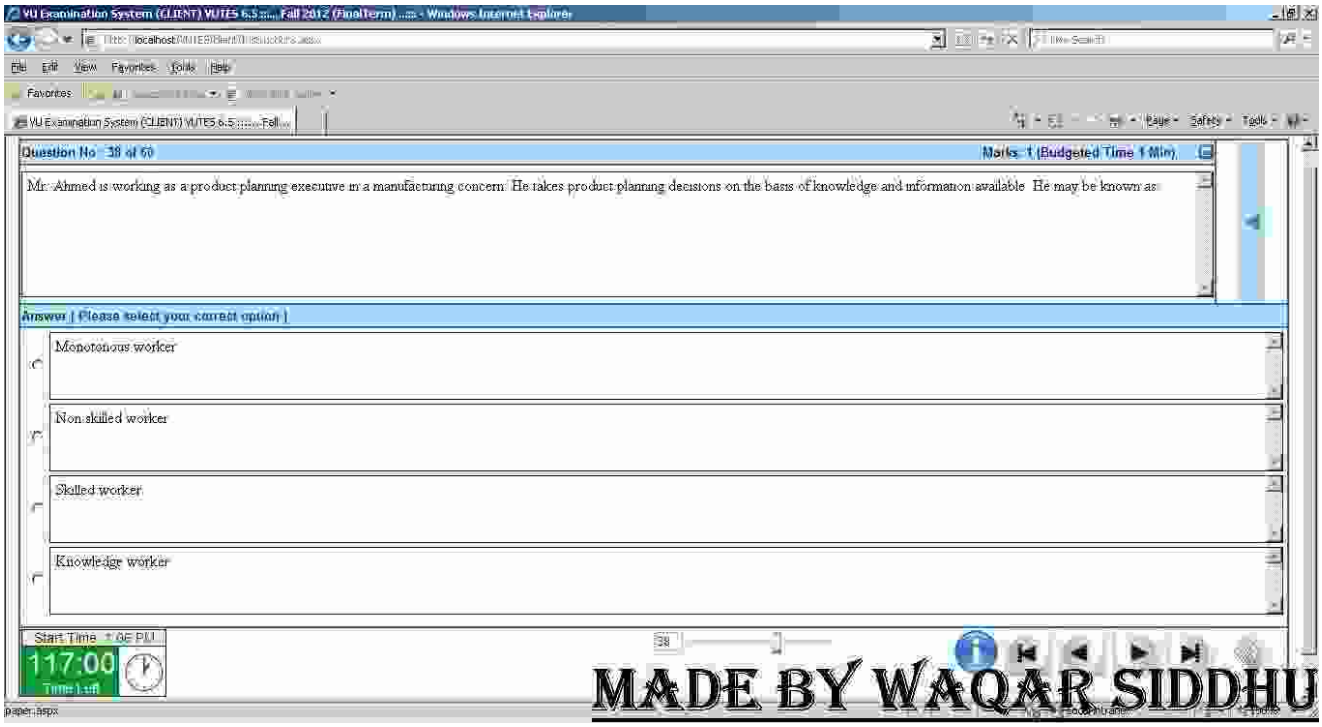
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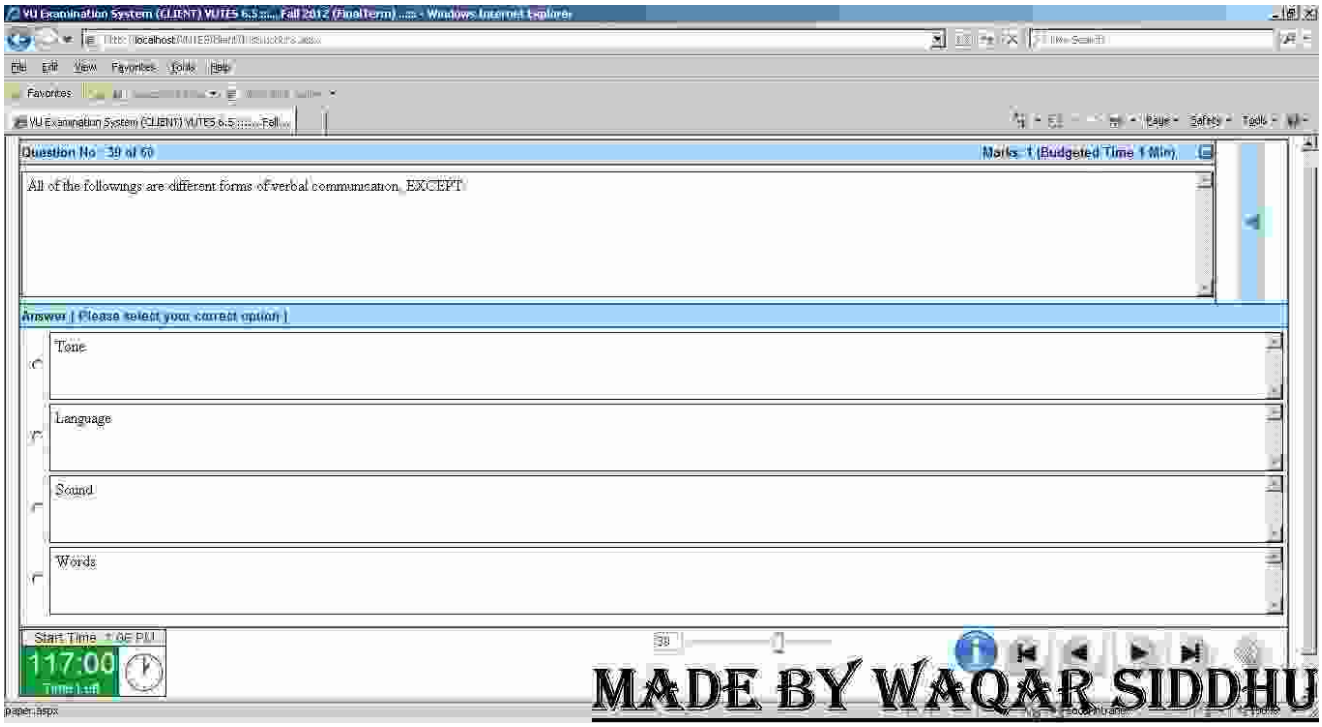
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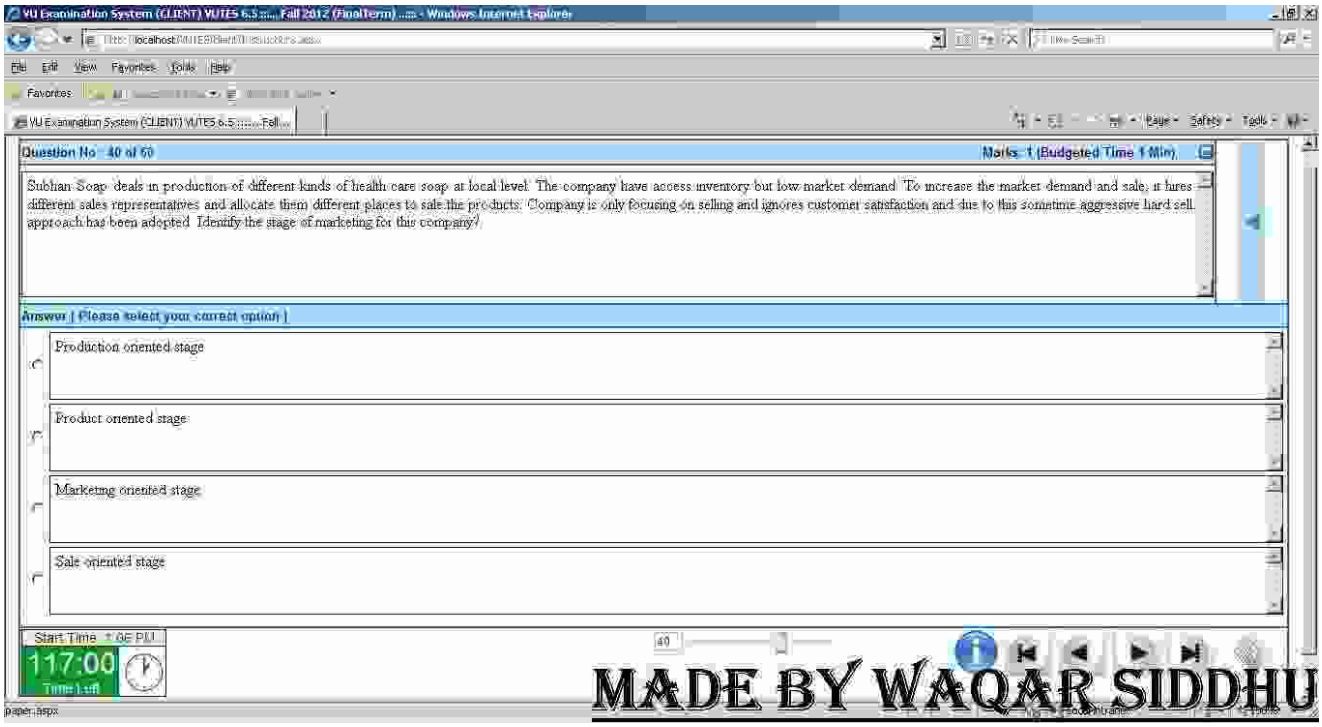
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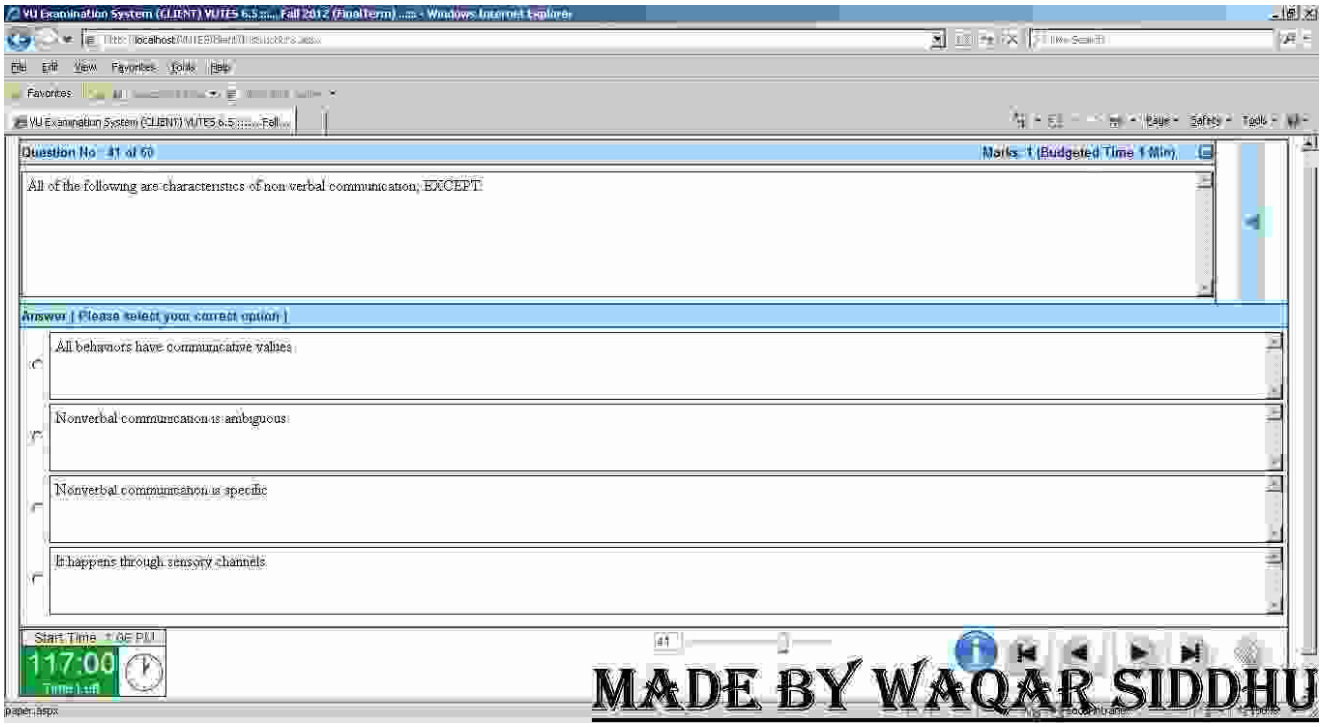
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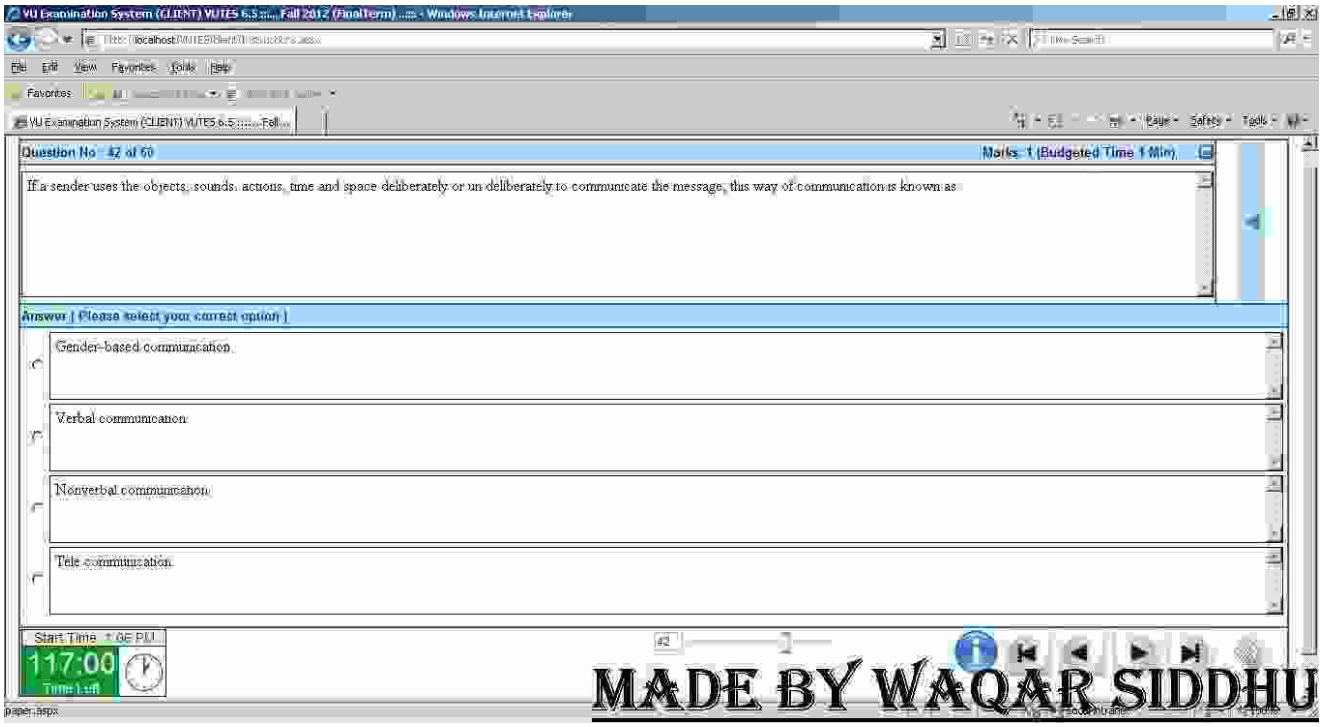
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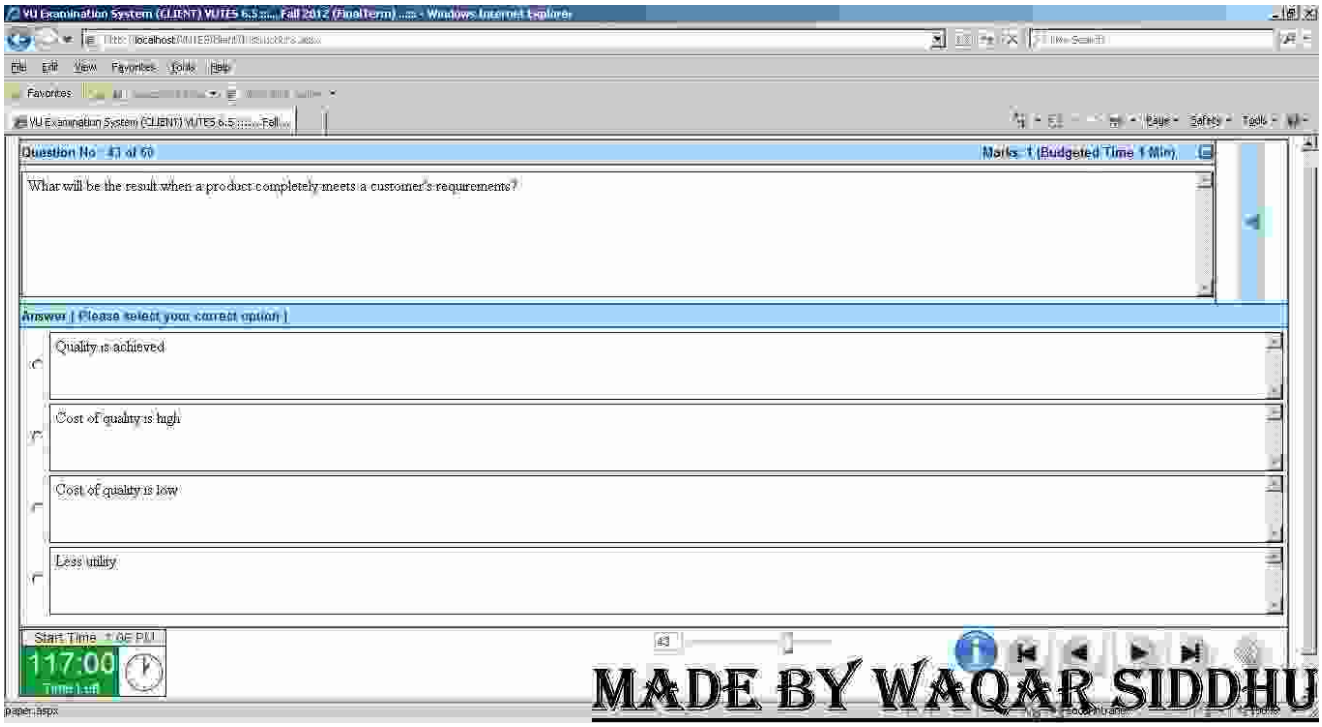
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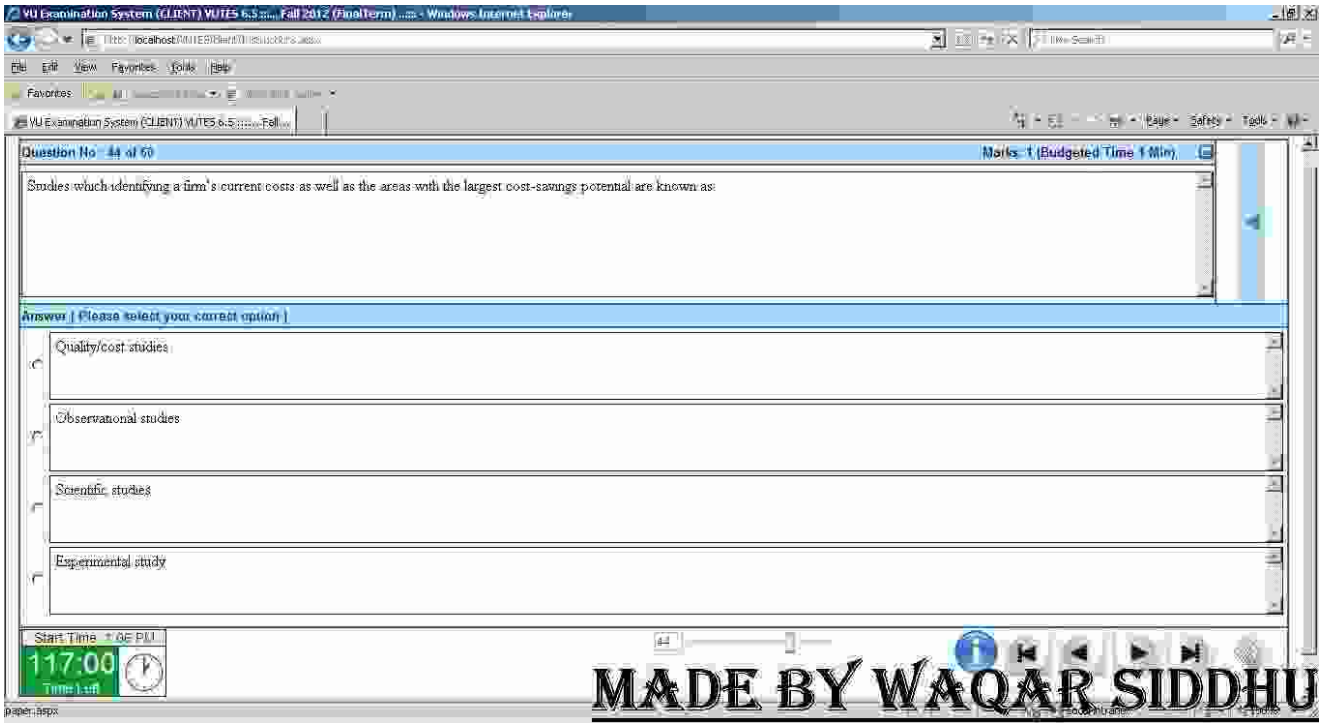
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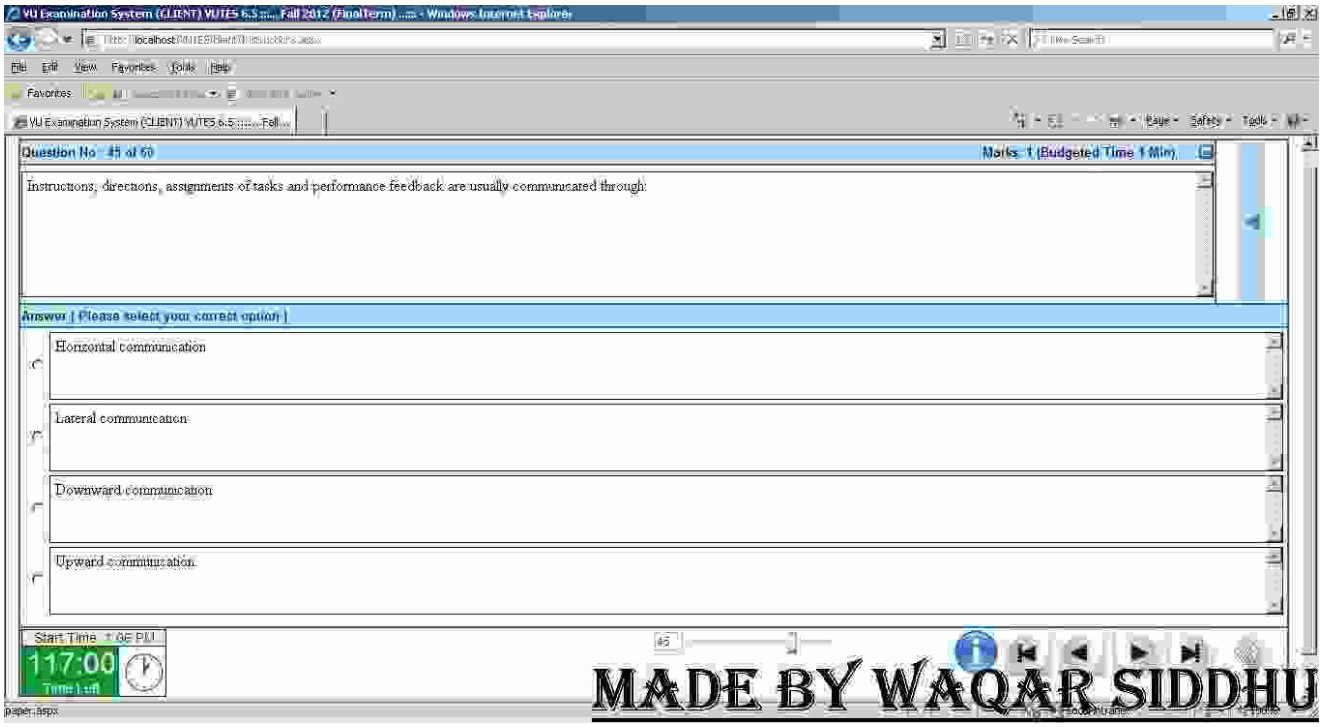
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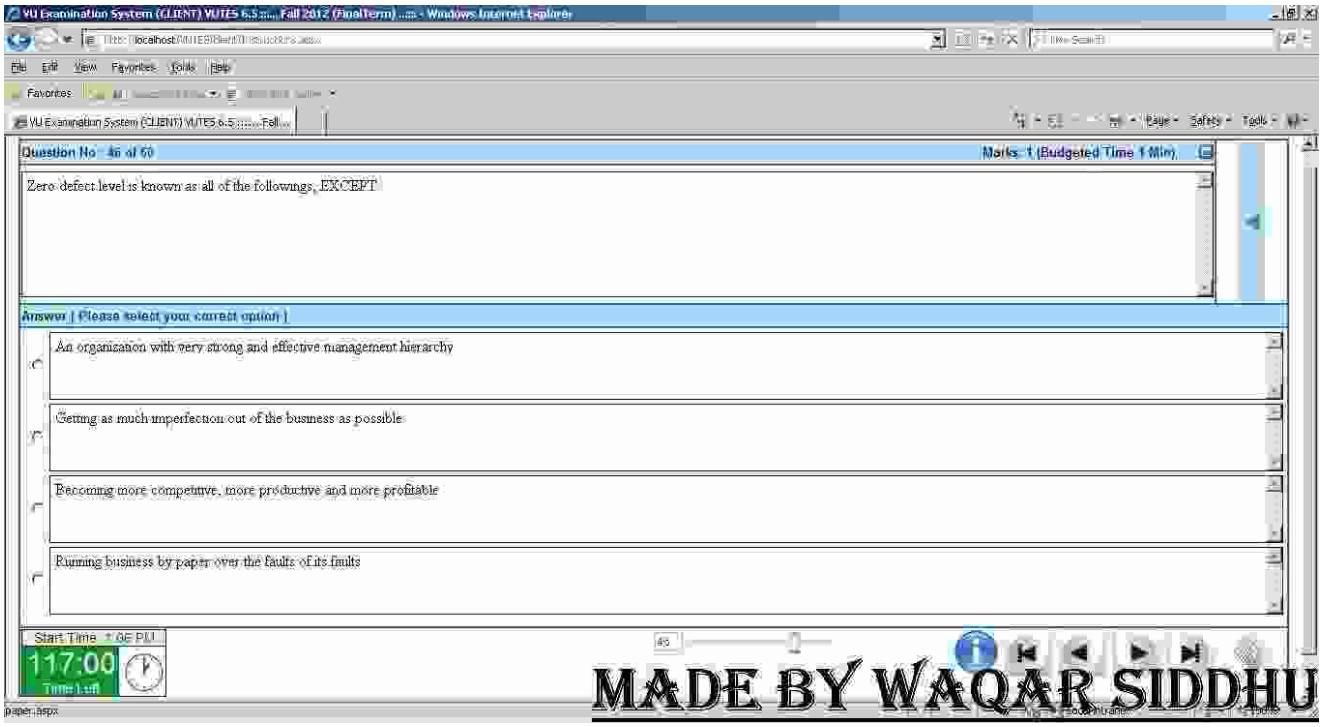
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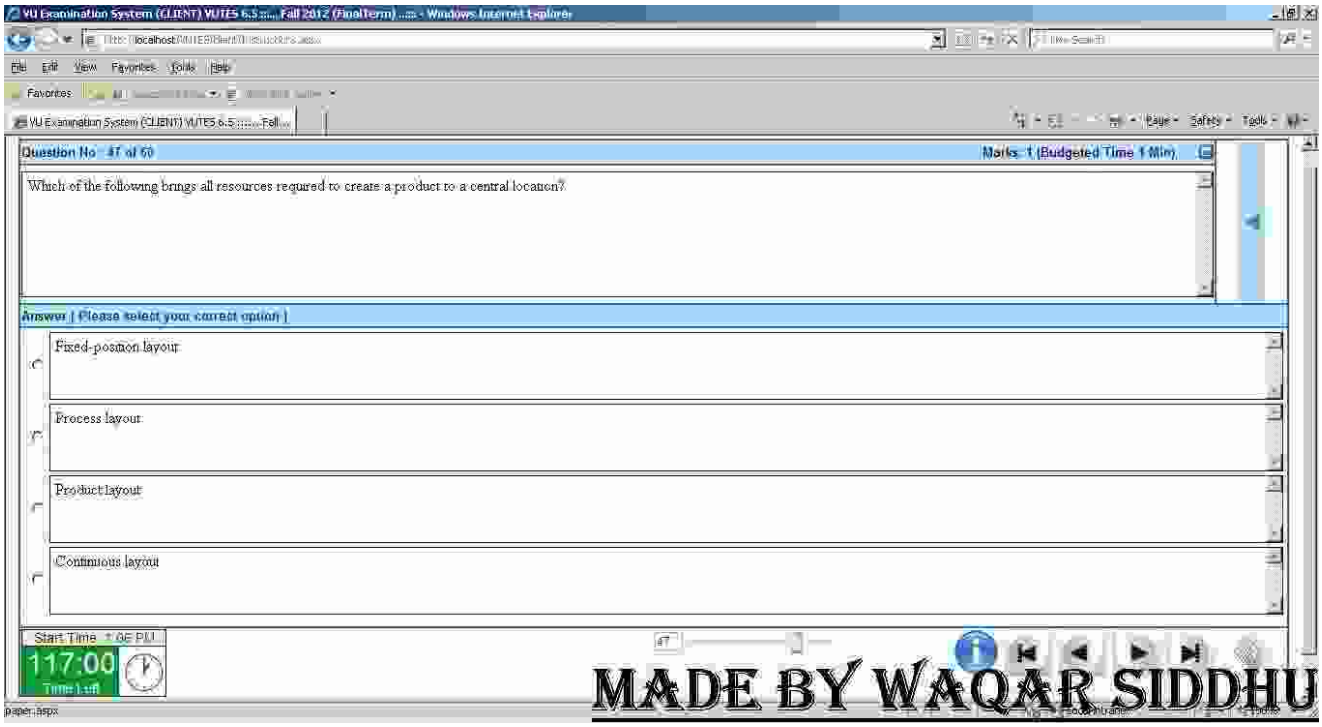
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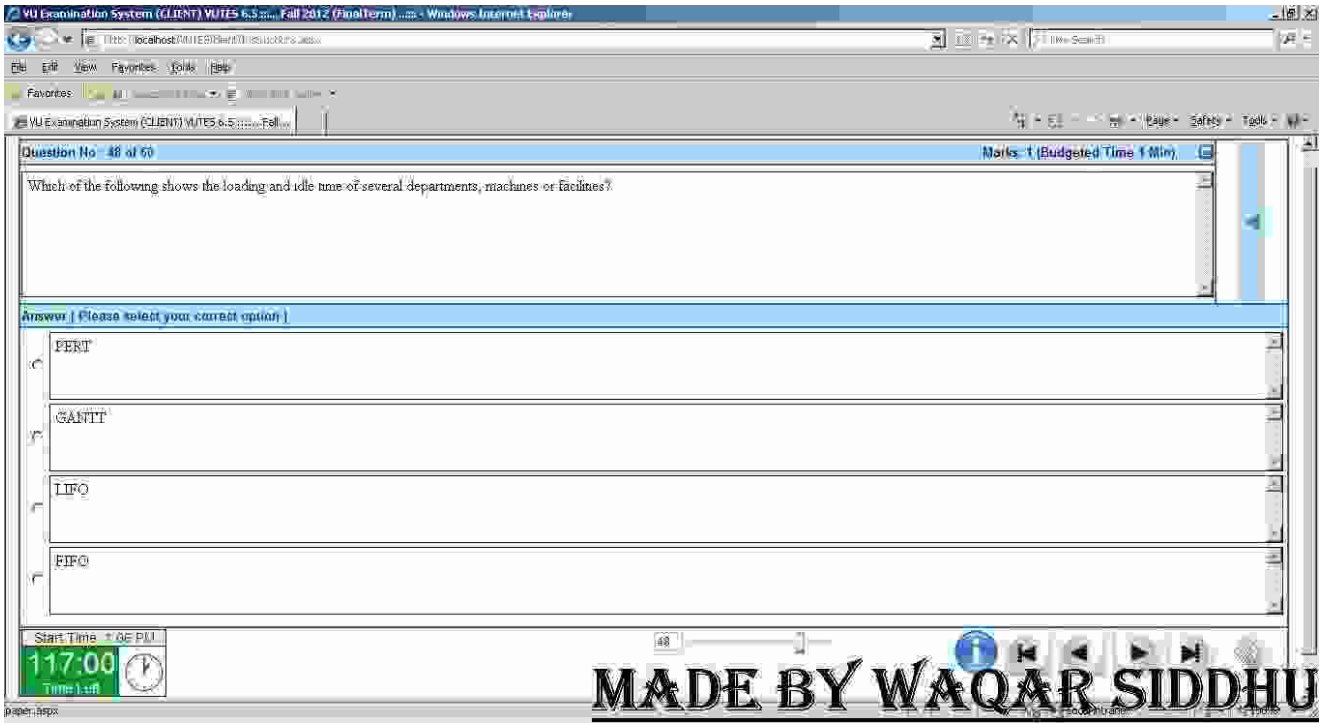
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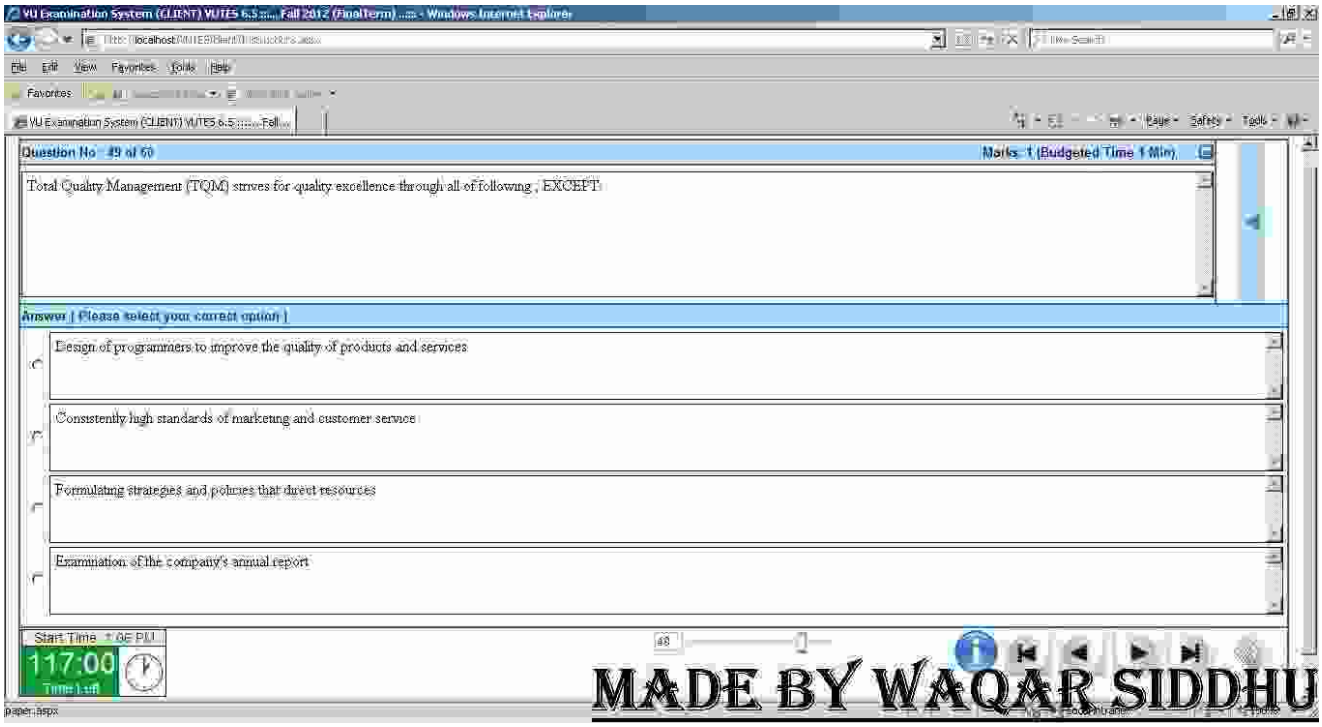
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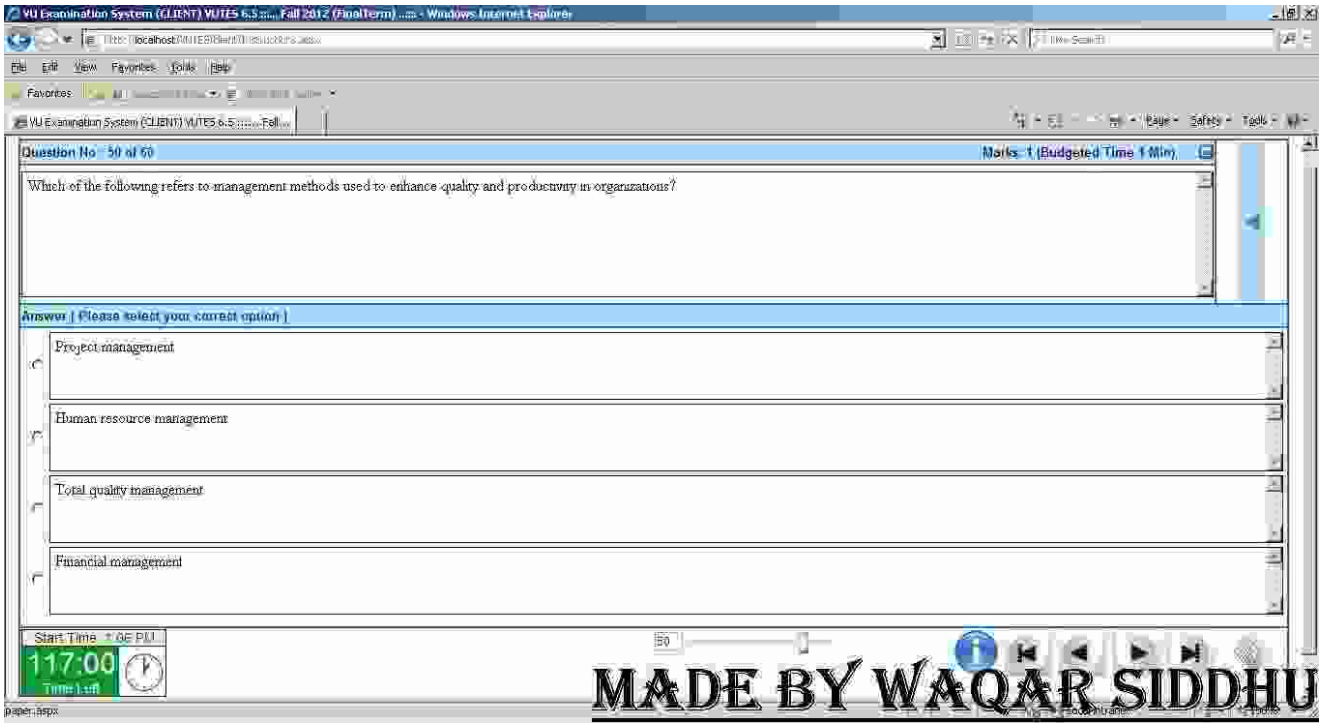
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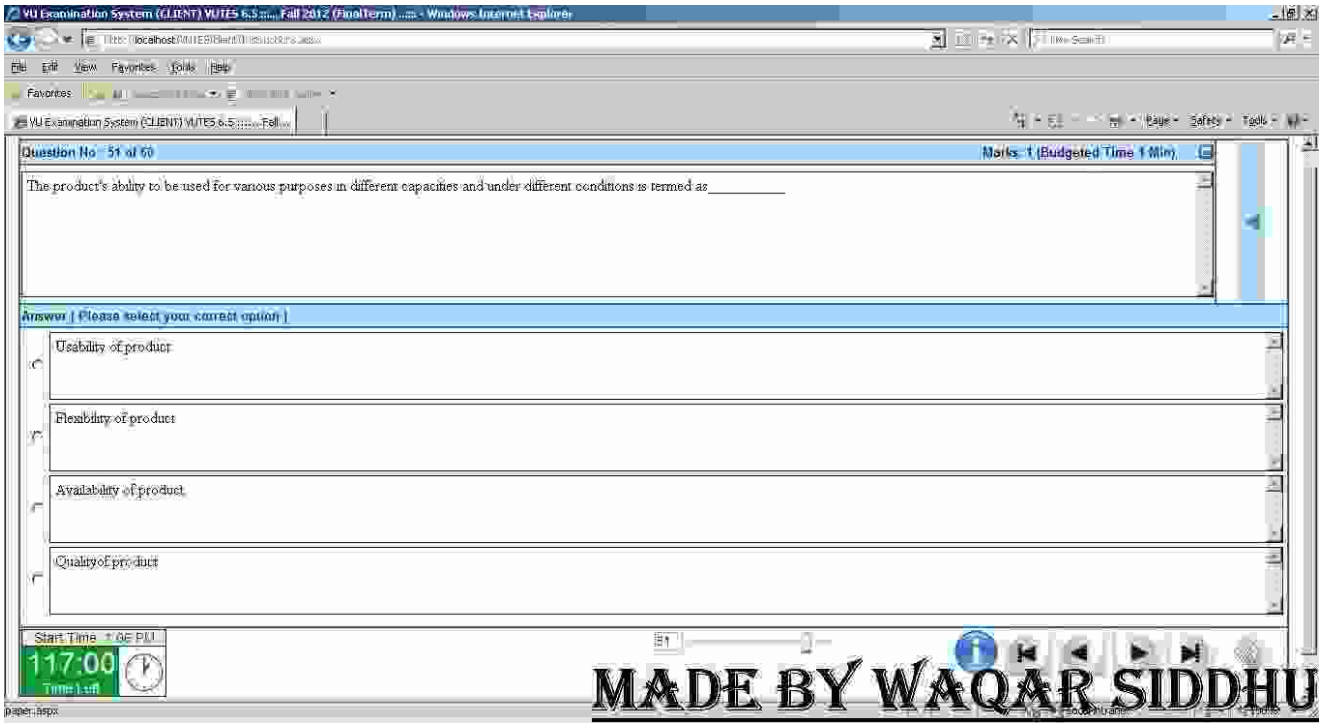
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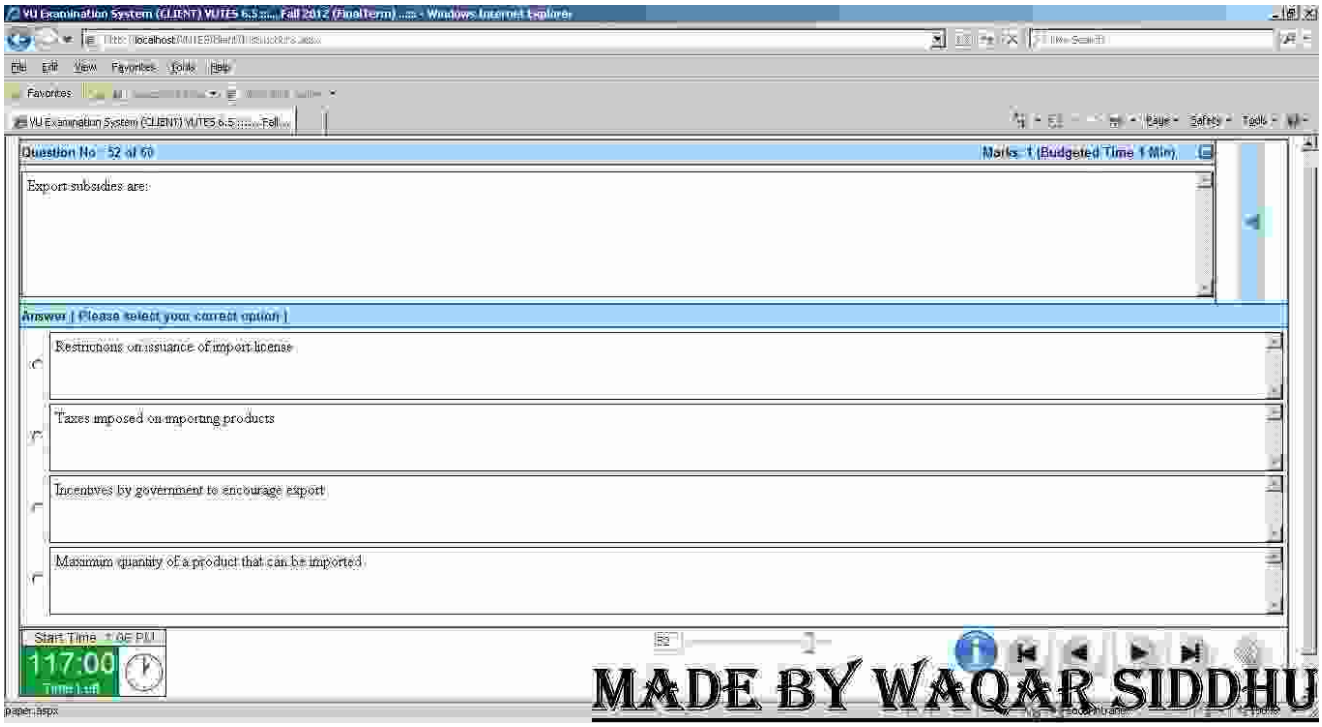
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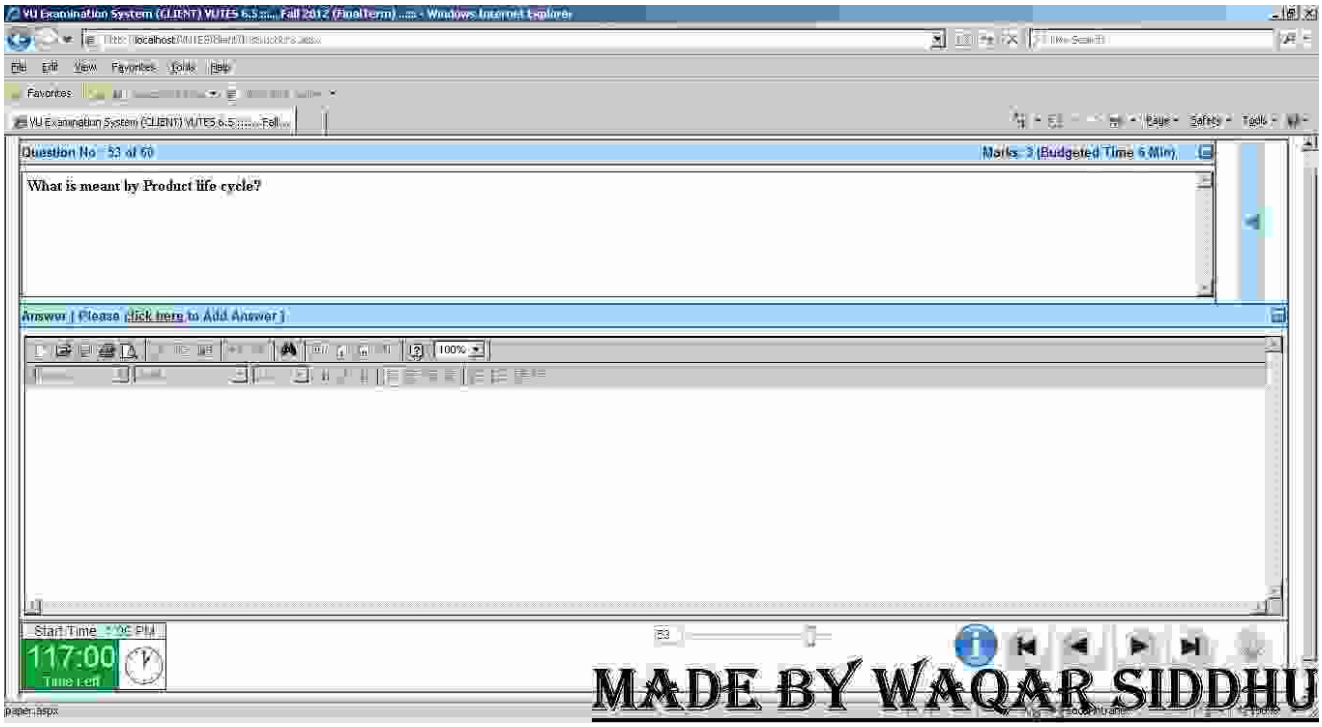
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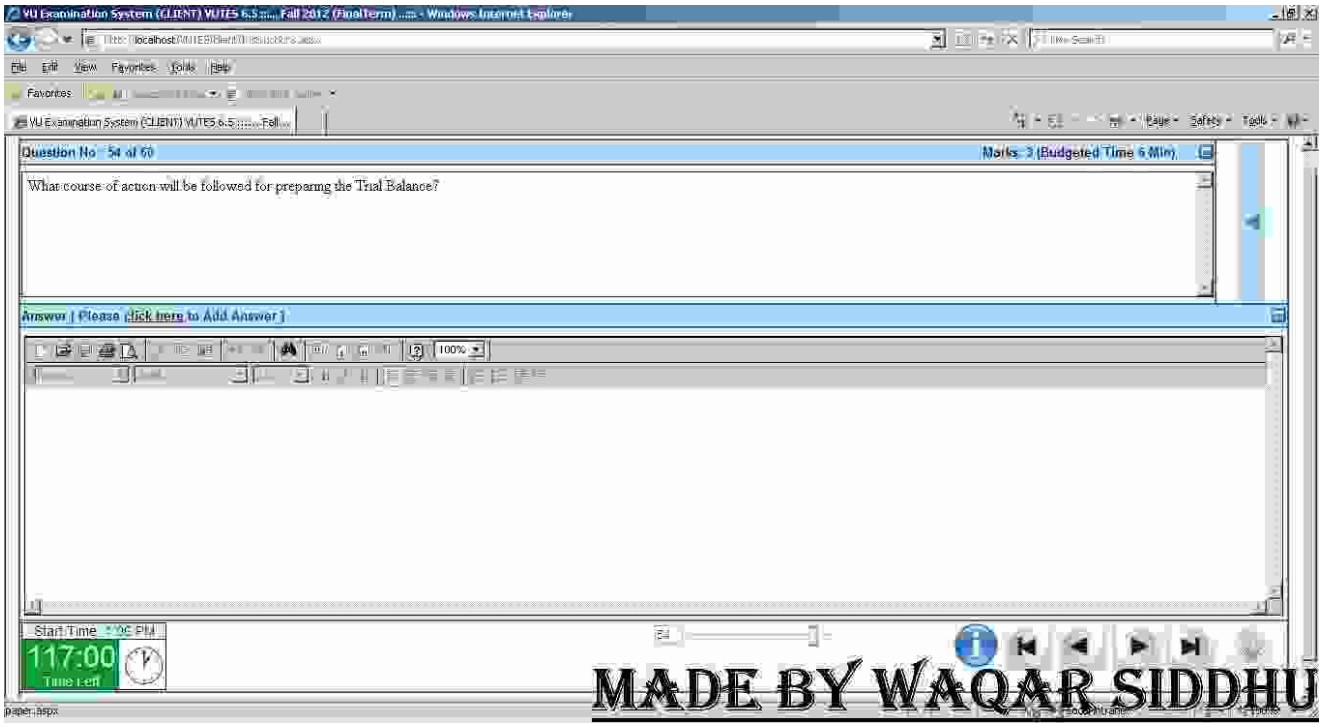
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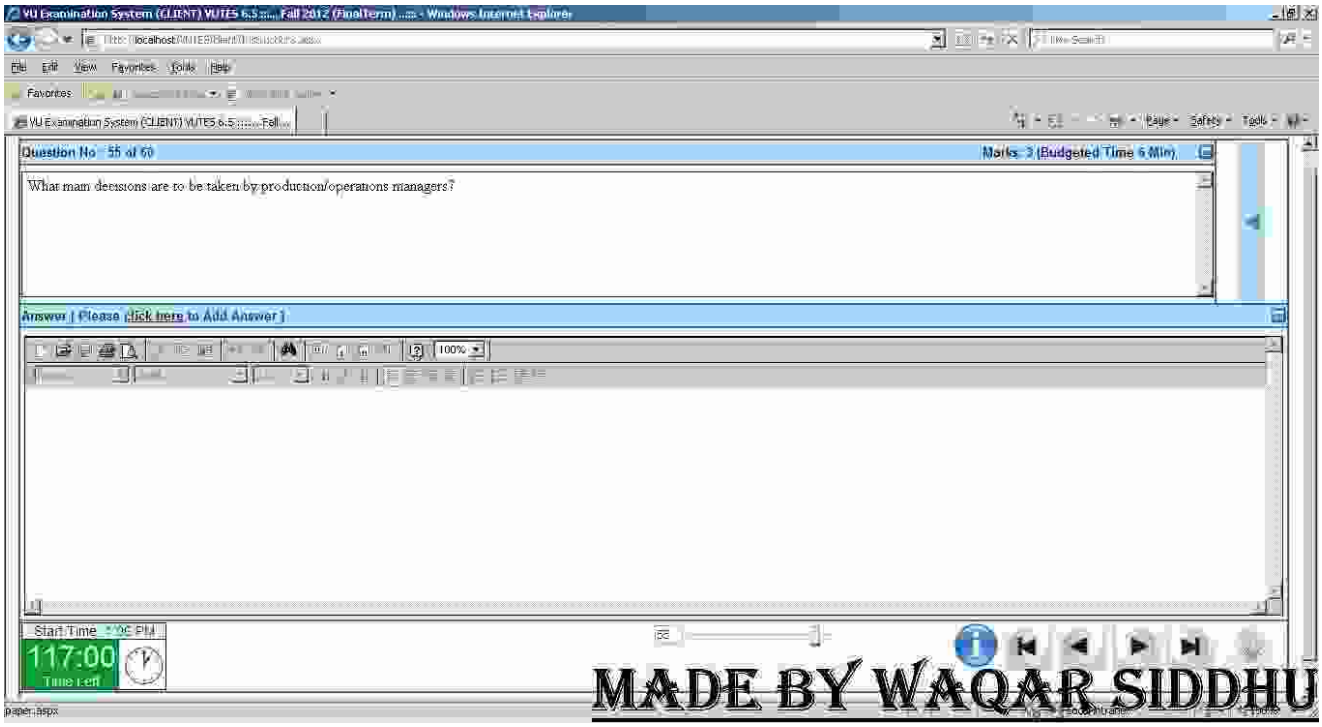
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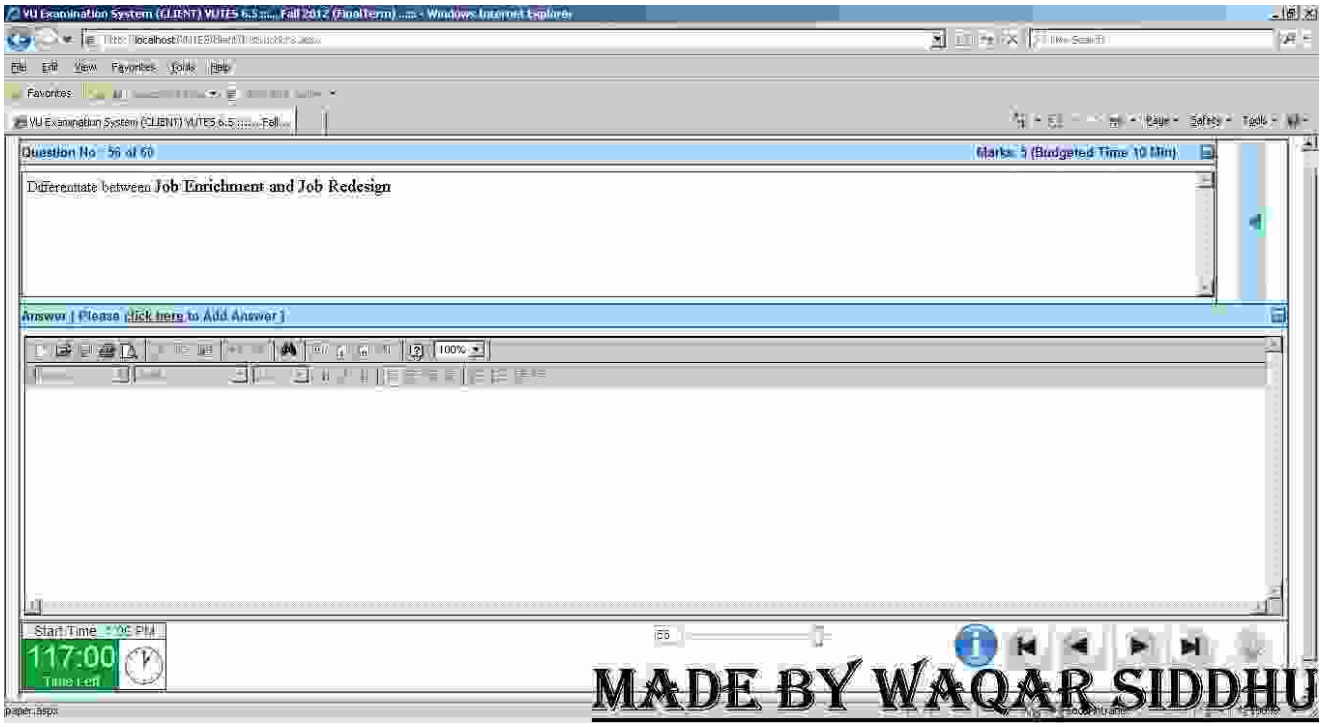
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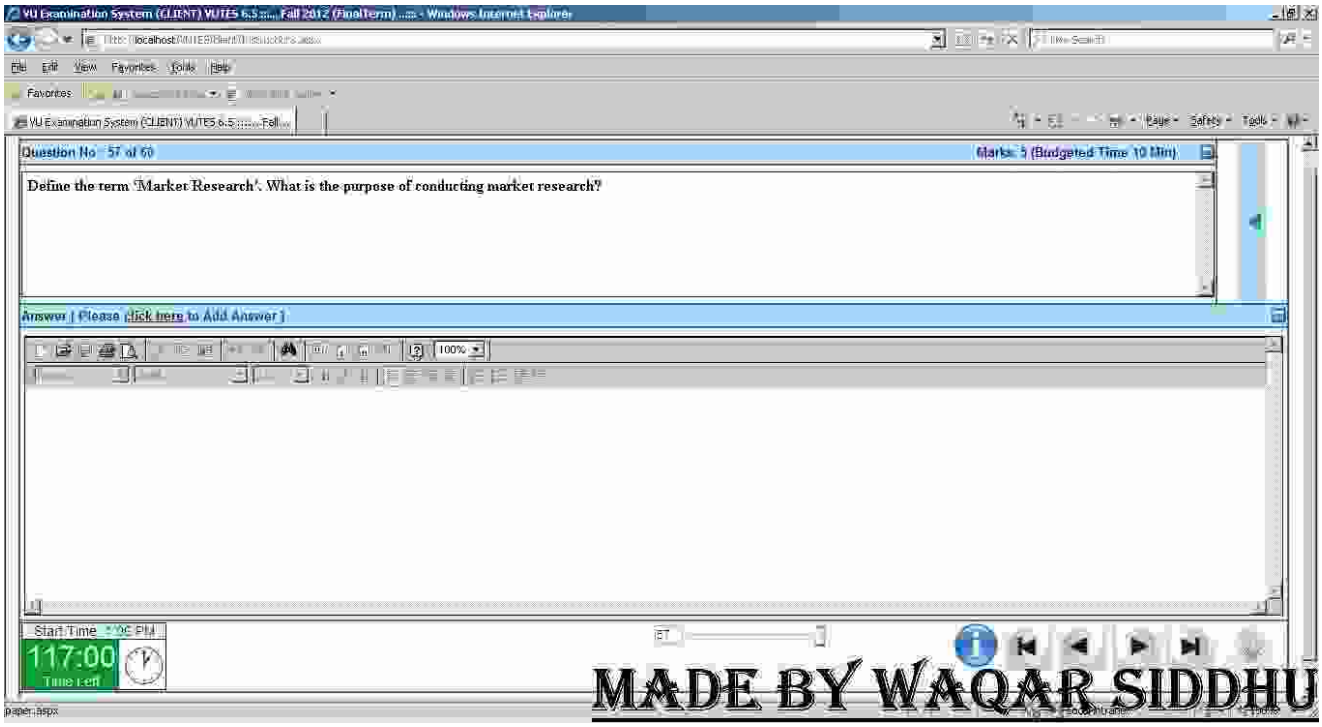
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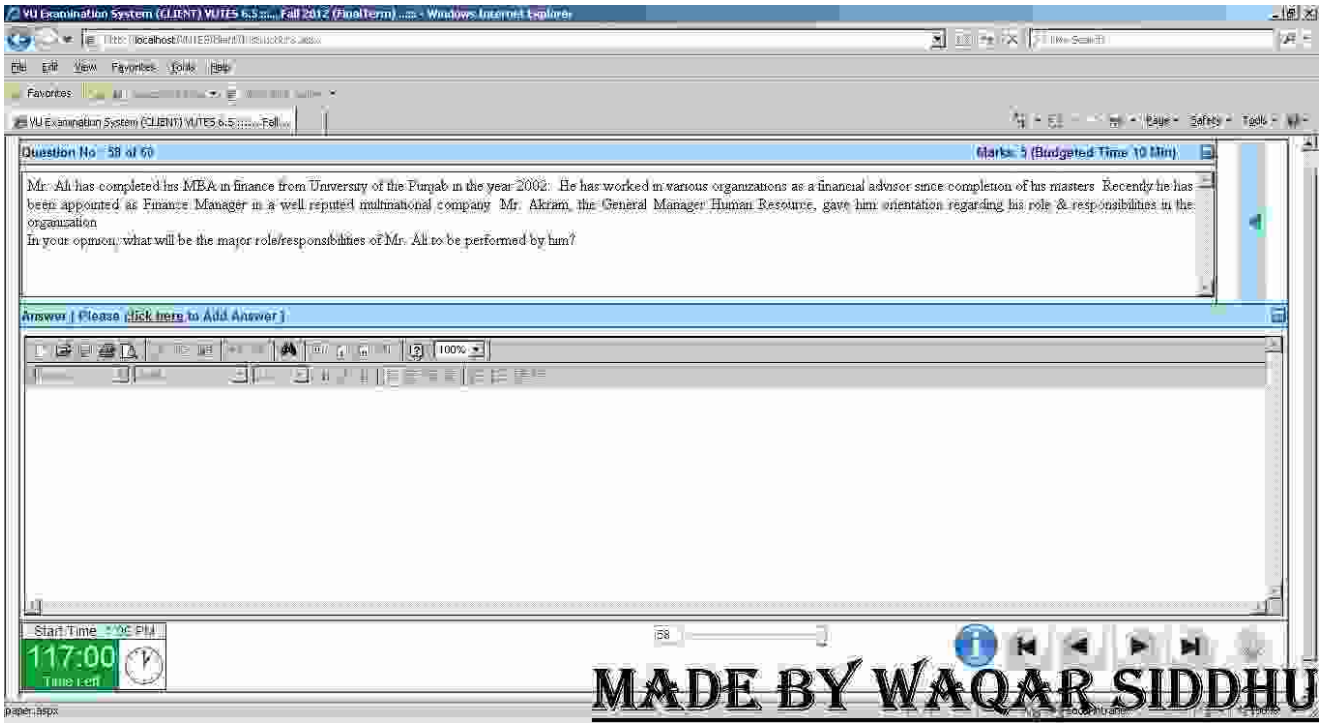
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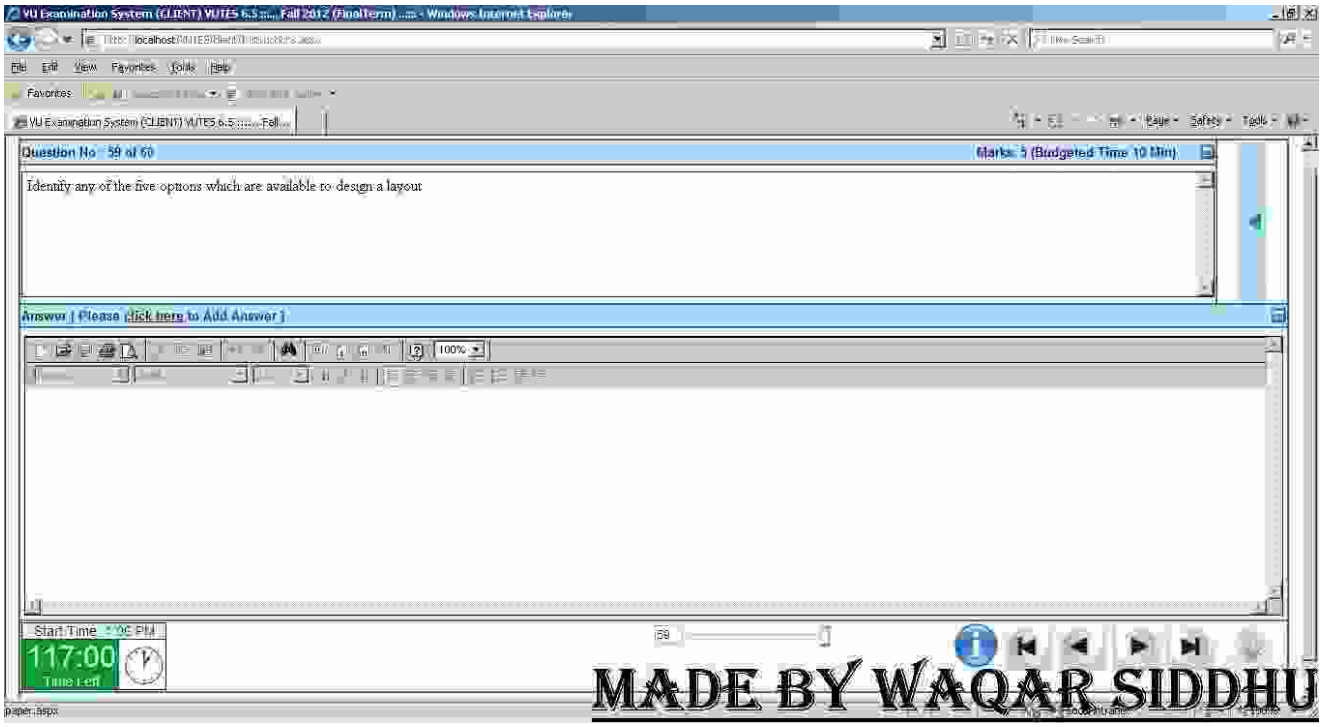
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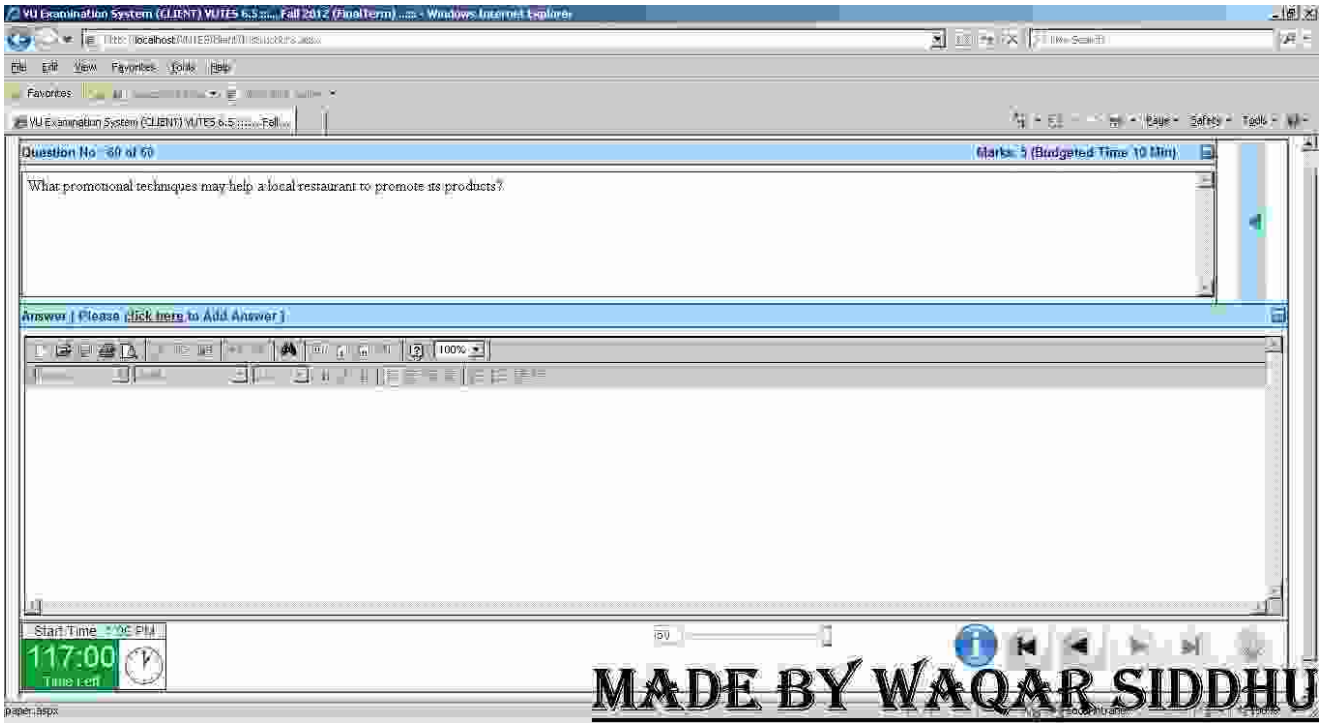
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